

Master Circular on Area of Operation, Branch Authorisation Policy, Opening / Up-gradation of Extension Counters, ATMs and Shifting / Splitting / Closure of Offices

Please refer to our Master Circular [UBD.LS \(PCB\) MC. No.14/07.01.00/2013-14](#), dated July 1, 2014 on the captioned subject. This [Master Circular](#) consolidates and updates all the instructions/guidelines issued on the subject up to June 30, 2015.

2. Please acknowledge receipt of this Master Circular to the Regional Office concerned of this Department.

Area of Operation, Branch Authorisation Policy, Opening / Upgradation of Extension Counters, ATMs and Shifting / Splitting / Closure of Offices

Master Circular on Area of Operation, Branch Authorisation Policy, Opening / Upgradation of Extension Counters, ATMs and Shifting / Splitting / Closure of Offices

1.1 Area of Operation of a primary (urban) co-operative bank (UCB) means the geographical area/s as defined in its bye-laws, approved by the registering authority. UCBs may expand their Area of Operation through a resolution passed by the general body and getting the amended bye-laws registered with the Registrar of Co-operative Societies (RCS) / Central Registrar of Cooperative Societies (CRCS). Banks are required to seek prior permission (No Objection Certificate) from the Reserve Bank of India for such revision, wherever applicable.

Extension of Area of Operation within the district of registration and adjoining districts within the State of registration

1.2. Licensed Tier I and Tier II UCBs satisfying the criteria stated below may extend their area of operation to the whole of the district of registration and to its adjoining districts within their State of registration, without prior permission from the Reserve Bank of India subject to satisfying the following norms :

- (c) Net profit for at least three out of the preceding four years subject to it not having incurred a net loss in the immediate preceding year.
- (d) No default in the maintenance of CRR / SLR during the preceding financial year;
- (e) Sound internal control system with at least two professional directors on the Board;
- (g) Regulatory Comfort based on, inter alia, record of compliance to the provisions of [Banking Regulation Act, 1949 \(AACS\)](#), Reserve Bank of [RBI Act, 1934](#) and the instructions / directions issued by RBI from time to time i.e. the bank should have track record of regulatory compliance and no monetary penalty should have been imposed on the bank on account of violation of RBI directives / guidelines during the last two financial years

The Urban Co-operative Banks, which fulfill the above stated seven norms, are called "Financially Sound and Well Managed (FSWM)" UCBs.

Such FSWM UCBs need not approach Reserve Bank of India for seeking 'no objection' for extension of area of operation as stated above. Such banks may directly approach the RCS of the State concerned for extension of area of operation to the entire district of registration and its adjoining districts within the State of registration.

Extension of Area of Operation beyond the adjoining districts and to the entire State of registration

1.3 The uni-state Tier II UCBs may extend their area of operation to the entire State of Registration on fulfilling the conditions stipulated for FSWM UCBs.

1.4 Tier II UCBs registered or deemed to be registered under the [Multi-State Co-operative Societies Act, 2002](#) satisfying the criteria for FSWM UCBs will be permitted to extend their area of operation to the entire State of original registration.

RBI will consider requests for expansion of area of operation to the entire state from licensed Tier II UCBs or UCBs registered or deemed to be registered under the [Multi-State Co-operative Societies Act, 2002](#) and which fulfil the above criteria stated for FSWM UCBs as per the last RBI inspection. Also the Assessed Net Worth (ANW) of such FSWM UCBs should not be less than the entry point capital norms prescribed for the highest category centre in that district(s), applicable to a new general category bank, as indicated in [Annex I](#). While considering such applications, RBI will give due consideration to system of internal controls prevailing in the bank and supervisory comfort. UCBs desirous of extending their area of operation to the entire state may approach the Regional Offices of Reserve Bank of India for prior approval.

1.5 For the purpose of classification of UCBs into Tier I and II, the following definition may be adopted for all regulatory purposes in super-session of instructions contained in circular RBI Circular [UBD.\(PCB\).Cir.No.35/09.20.001/07-08](#) dated March 7, 2008 :

- (i) Banks having deposits below 100 crore operating in a single district;
- (ii) Banks with deposits below 100 crore operating in more than one district will be treated as Tier I provided the branches are in contiguous districts and deposits and advances of branches in one district separately constitute at least 95 per cent of the total deposits and advances respectively of the bank; and
- (iii) Banks with deposits below 100 crore, whose branches were originally in a single district but subsequently, became multi-district due to reorganisation of the district may also be treated as Tier I UCBs.

Note : The deposit and advances as referred to in the definition may be reckoned as on 31st March of the immediate preceding financial year.

Extension of Area of Operation beyond the State of registration and Extension of Area of Operation of Multi-State UCBs

1.6 Financially sound and well managed (FSWM) UCBs that have a minimum assessed net worth of 50 crore, will henceforth, be allowed to extend their area of operation beyond the State of registration as also to any other State/s of their choice subject to the criteria stipulated for them as laid down in [Para 1.2](#) above.

2.1 In terms of [Annual Policy Statements for the year 2007-08](#) and [2008-09](#), it was decided to liberalise and rationalise the branch authorisation norms for Financially Sound and Well Managed (FSWM) UCBs in the States that have signed Memorandum of Understanding (MoU) with Reserve Bank of India and those registered under [Multi-State Co-operative Societies Act, 2002](#). The present policy is given in the following paragraphs.

2.2 Financially sound and well managed (FSWM) UCBs will be eligible to open branches/extension counters (ECs) in their approved area of operation beyond the current annual ceiling of 10 per cent and upgrade ECs which are in operation for more than three years, provided they have the required headroom capital (prescribed in [Annex V](#)) in terms of assessed net worth (ANW) per branch, including existing branches (methodology given in [Annex VI](#)) and subject to fulfillment of the six criteria laid down in Para 1.2 above. Such FSWM UCBs should maintain a minimum CRAR of 10 per cent on a continuous basis with minimum ANW commensurate with the prevalent entry point capital norms for the centre where branch is proposed / where it is registered. Entry point norms for various categories of UCBs are given in [Annex I](#).

2.3 Banks which have been organised as unit banks and have been extended relaxation in the entry point capital as indicated in [Annex I](#), would be eligible to open branches only after augmenting their Assessed Net Worth (ANW) to the level required for opening a new general category bank at the place where the bank was organised or where the branch is desired to be opened, whichever is higher. For instance, if a unit bank was organised at a category 'D' centre and it intends to open a branch at a 'B' category centre, such bank's ANW should necessarily be raised to entry point capital prescribed for organising a general category bank at a 'B' category centre.

2.4 Similarly if a bank, other than a unit bank, desires to open a branch at a higher category centre, other than the centre at which it was established, within the district of its registration, the ANW of the bank should at least be equivalent to the entry point capital prescribed for that centre. Illustratively, if a bank situated at 'C' category centre intends to open a branch at 'B' category centre, in the same district, its ANW should be equivalent to the entry point capital prescribed for 'B' category centre.

2.5 However, a bank which desires to open a branch at a centre, other than its district of registration but within the state of registration, must have ANW not less than the entry point capital required for organisation of a new general category bank at the highest category centre in that state. Illustratively, if a bank registered in district 'X' desires to open a branch in district 'Y' within its state of registration, then its ANW should not be less than the entry point capital required for highest category centre in the state.

2.6 UCBs, satisfying the above mentioned norms may prepare an Annual Business Plan (ABP) for opening of branches (including extension counters and up-gradation of extension counters into full-fledged branches, in their existing area of operation, for the next 12 months, with the approval of their Board of Directors and submit the ABP, in duplicate, along with [Annexes II, III, IV](#) and [VI](#) to the respective Regional Offices of Reserve Bank of India. The plan may be submitted preferably by end of December of the previous financial year.

2.7 Where the banks have opened extension counters without complying with the prescribed norms and subsequently approach Reserve Bank of India for up-gradation of the same into fullfledged branches, such banks would not be allotted centres unless they close unauthorised extension counters. Further, a centre where a bank has opened an unauthorised extension counter, such a centre would not be considered for opening a branch in future.

2.8 Scheduled UCBs which comply with the eligibility norms indicated at [Para 1.2](#) above may open mobile / satellite offices. Such of the scheduled banks which desire to open mobile / satellite offices may indicate the same in the format as per [Annex IV](#) enclosed to this circular along with other centres where they intend to open branches.

2.9 Banks need not indicate the exact address of the proposed branch in the ABP but may only indicate the place of business including the name of the town / city within their area of operation, in the order of their preference, where they desire to open branches. Banks should choose the centres at which they wish to open branches after careful consideration of business potential and availability of premises at such centres.

2.10 A list of centres where a bank desires to open branches under the ABP should be indicated in the format as per [Annex IV](#) enclosed to this circular, and only one application need to be sent. The banks should not submit statements / annexes, which are not required / called for, but submit only the requisite information / data, along with a certified copy of the latest audited balance sheet (as of 31 March) or a copy of the published Annual Report of the bank.

2.11 The banks which comply with the prescribed norms ([Para 1.2](#)) will be allotted centres strictly in the order of preference given by them. Once a centre is allotted, no request for change in the allotted centre would be entertained.

2.12 A valid authorisation from the Reserve Bank of India is required for opening a new place of business including extension counters, off-site ATMs or changing the location of any existing place of business (except to the extent permitted vide [paragraphs 5.1 to 5.5](#)) under [Section 23](#) of the BR Act, 1949 (AACS). After making arrangements for opening of branches, the bank should approach the Regional Offices of Urban Banks Department under whose jurisdiction they operate, in the prescribed Form V, indicating the exact postal address of the place where the branch is to be opened, for issuance of authorisation within a period of six months from the date of allotment of the centre.

2.13 Authorisation will be valid for one year from the date of issue, or one and a half year from the date of allotment of the centre, whichever is earlier. Ordinarily, no extension of time will be granted after the expiry of validity period of licence. Only in exceptional cases, where the

bank is unable to open the branch for reasons beyond its control, an extension of time not exceeding six months may be granted by the Regional Offices, under advice to Central Office.

2.14 Opening of branches without a valid authorisation from the Reserve Bank is an act of violation of [Section 23](#) of the BR Act, 1949 (AACS), and liable to attract penalties.

2.15 In case, the information / particulars furnished by any bank are found to be incorrect, the Reserve Bank of India will take a serious view in the matter and the bank will be liable for penal action, including debarring it from allotment of centres for a period of three years.

2.16 Banks should ensure that there are no restrictions imposed by the local development or other authorities for setting up commercial establishment in the locality where the branch is proposed to be opened.

Opening of Specialised branches - Central Processing Centres (CPCs) / Retail Asset Processing Centres

3.1 Need based authorizations for specialised branches would be considered for UCBs with a large network of branches having substantial volume of business to handle and process, which ultimately result is cost reduction and faster approvals.

3.2 CBS enabled scheduled UCBs satisfying the criteria of financially sound and well managed (FSWM) UCBs as stated at Para 1.2 are permitted to open specialised branches with the prior approval of RBI. UCBs desirous of opening specialised branches may include them in their Annual Business Plan explaining the need and objective for opening such centres.

3.3 The specialised branches should be fully computerized and should be opened within the Area of Operation of a UCB and should be based on a cluster approach. These branches should not have direct interference / business transactions with customers and conversion from a specialised branch to normal branch and vice versa to be carried out with prior approval of RBI.

4.1 Eligibility criteria and application procedure for opening of Extension Counters are prescribed in [paragraphs 2.2](#) to [2.10](#).

4.2 ECs may be opened within the premises of educational institutions, big offices, factories and hospitals of which the concerned UCB is the principal banker. Request from other banks to the institution may be considered, only if opening of an EC is not considered feasible by the principal banker and / or its base branch is beyond 10 kilometers from the EC, after obtaining written consent from principal banker. UCBs may submit declaration from the institution in which it proposes to open EC in the format as per [Annex XI](#). ECs may also be opened in the residential colonies provided no other branch / EC is already existing in the colony and no restrictions have been imposed by the local development or any other authorities for setting up a commercial establishment in the residential colony / locality. No extension counter should be opened in market place, shopping centre, etc.

4.3 A bank desiring to open ECs should comply with the following norms.

- (a) Only one EC is permitted within the premises of any institution / office / hospital or in a residential colony.
- (b) Base branch of the bank to which the proposed extension counter is linked should be within a distance of 10 kilometers to facilitate incorporation of transactions of EC in the accounts of the base branch on a day-to-day basis.
- (c) While opening an extension counter, the bank should take into account important factors such as need, viability and overall merits of opening of the EC.
- (d) ECs should not be opened merely for collection of fees, payment of bills for electricity, water, telephones, etc. as it is primarily the responsibility of the institution concerned.
- (e) The facilities at an extension counter should be restricted to deposit / withdrawal transactions; issue and encashment of drafts and mail transfers; issue and encashment of travellers' cheques; collection of bills; advances against fixed deposits of their customers (within the sanctioning power of the officials concerned at the EC); and disbursement of other loans (only for individuals) sanctioned by the Head Office / base branch up to the limit of 10.00 lakh only.
- (f) Such of the banks which have opened ECs, without seeking prior permission from RBI, will have to close down the same and these would not be considered for regularization / up-gradation into full-fledged branches.

4.4 The permission to provide the facility of safe deposit lockers may be granted on merit to banks which comply with following criteria.

- (a) The bank should have complied with the prescribed capital adequacy norms.
- (b) The bank's net NPAs should be less than seven per cent of its net loans and advances.
- (d) UCBs intending to provide safe deposit lockers at their extension counters should ensure that the institution in whose premises the extension counter is / proposed to be opened is agreeable for the provision of such facility and adequate security arrangements are in place at the premises.

4.5 Eligibility criteria and application procedure for up-gradation of extension counters (ECs) are prescribed in [paragraphs 2.2 to 2.10](#).

4.6 Up-gradation of extension counters into a branch is treated as equivalent to allotment of centre for opening of a branch. Only such of the ECs as have been accorded post-facto approval by the Reserve Bank of India or opened with the prior approval of the Reserve Bank of India will be considered for up-gradation into a branch.

4.7 Up-gradation of the extension counters is permitted after completion of three years of their operation as extension counters.

4.8 The shifting / relocation of these branches, if considered necessary by the bank, would be permitted subject to the following conditions :

- (a) The proposal is for shifting / relocation of the converted branch within the city / town limit.
- (b) Banking services to the existing customers of the extension counter, including the institutional customer, are ensured.
- (c) No new extension counter will be allowed in the institution in which the extension counter is housed presently.

5.1 UCBs satisfying the criteria of financially sound and well managed (FSWM) UCBs as stated at [Para 1.2](#) above, may set up on-site ATMs without prior approval of the Reserve Bank of India.

5.2 Approvals for opening off-site ATMs in respect of FSWM UCBs will henceforth be considered outside Annual Business Plans, subject to conditions laid down in [Para 1.2](#) above and maintenance of a minimum CRAR of 10 per cent on a continuous basis with minimum ANW commensurate with entry point capital norms for the centre where the off-site ATM is proposed / where the bank is registered.

(a) The bank shall have an assessed networth of 50 crore and conform to the FSWM criteria based on the Reserve's Bank inspection Report relating to the financial year immediately preceding the financial year in which the ATM (s) is / are proposed to be installed and in the absence thereto, to the financial year just before the immediate preceding year.

(b) Mobile ATMs shall be operated strictly within the bank's approved area of operation and any violation thereof may lead to ban on further branch expansion and / or grant of other regulatory approvals apart from action under section 47 A of the B. R. Act, 1949 (AACS). Mobile ATMs will have to be linked to a branch as per extant instructions

(c) UCBs shall report to the concerned Regional Office of Reserve Bank under whose jurisdiction the Head Office of the bank is functioning immediately after operationalisation of offsite / mobile ATMs and in any case not later than 15 days as per format detailed in Annex XVI and obtain authorization under section 23 of the B. R. Act, 1949 (AACS).

5.3 Requests for opening off-site ATMs by FSWM UCBs which do not comply with the assessed networth criteria as per para 5.2 above will be considered outside Annual Business Plans, subject to conditions laid down in Para 1.2 above and maintenance of a minimum CRAR of 10 per cent on a continuous basis with minimum ANW commensurate with entry point capital norms for the centre where the off-site ATM is proposed / where the bank is registered.

5.4 UCBs, satisfying the above mentioned norms may prepare an application for opening Off-site Automated Teller Machines, as per their requirement, in their existing area of operation, with the approval of their Board of Directors and submit the same, in single copy, along with [Annexes III, V, IX](#) and [X](#) to the respective Regional Office of Reserve Bank of India.

5.5 The following facilities may be provided at off-site ATMs.

- (e) Inter-account transfer - restricted to accounts of the same customer at the same centre
- (f) Banks may provide telephone connection between the "stand alone" ATMs with branch ATMs and Shared Payment Network System (SPNS). However, no person other than security guard should be posted at such non-branch stand-alone ATM centers.
- (g) UCBs are free to share / interlink their ATMs with other banks.

6.1 Licensed UCBs satisfying the criteria of Financially Sound and Well Managed (FSWM) UCBs as stated at [para 1.2](#) above may shift their place of business, including administrative office, located in the semi-urban areas anywhere within the same town, irrespective of distance vis-a-vis other banks / offices, etc. without prior permission of the Reserve Bank of India. As regards banks located in urban / metropolitan centers, shifting within the same locality / municipal ward is permitted in respect of licensed UCBs satisfying the criteria of FSWM UCBs as stated at para 1.2 above without prior permission of the Reserve Bank of India.

6.2 A report in the format, as per [Annex XII](#) should be submitted in duplicate to the Regional Office concerned of this Department within a month from the date of shifting where RBI's prior approval is not required.

6.4 The requests of UCBs (other than Unit banks) to shift their branches from one city to another in their area of operation within the same State will be considered subject to their compliance with the following conditions :

- (a) The new centre is of the same or lower population group as the existing centre e.g. a branch at a 'D' centre can be shifted to another 'D' centre only; and
- (b) A branch located in under-banked district can be shifted to another centre in under-banked district only. The shifting should be beneficial to the bank in terms of cost and business.

6.5 UCBs desiring such shifting are required to submit their applications in this regard to the Regional Office concerned of the Urban Banks Department for prior permission.

6.6 Splitting of branches or part shifting of some of the departments of parent office / branch can be made to a near by location within the same locality / municipal ward due to space constraints and for better customer service or for convenience of the members, irrespective of the distance vis-a-vis other offices / banks, without prior permission of the Reserve Bank of India subject to the condition that identical business is not conducted from both the premises.

6.7 A post-facto report to this effect, in the format as mentioned in [Para 5.2](#) above, should be submitted in duplicate to the Regional Office concerned within one month from the date of shifting.

6.8 UCBs are allowed closure of un-remunerative branches / extension counters without prior permission of RBI subject to the following conditions.

- (a) Bank should not have been placed under any directions under [section 35A](#) of the Banking Regulation Act, 1949 (AACS)..

- (b) Decision to close down extension counters / branches should be taken by the Board after taking into account all the relevant factors and should be properly minuted in the official record of proceedings of the Board meeting.
- (c) Bank should give proper notice to all existing depositors / clients of the branch through press release in local leading newspapers as well as in the form of circular letter to each constituent of the branch, well in advance of closure of the branch.
- (d) It should return the original licence/s issued for the closed branch to the Regional Office concerned of this department.
- (e) The disposal of the premises occupied by the erstwhile branch should be reported to our Regional Office concerned and the RCS.
- (f) Bank should not open extension counter at the same place after closure of branch/es.
- (g) Bank should report to the Regional Office concerned of Reserve Bank of India, in Form VI prescribed under [Rule 8](#) of Banking Regulations (Co-operative Societies) Rules, 1966 after closing the branches, within one month from the date of closure, along with copies of the relative Board resolution.
- (h) The bank should preserve all the relevant records and make them available to Reserve Bank inspection team for scrutiny during the course of inspection.

Shifting, Acquisition, Surrender of leased premises, etc. of UCBs not categorized as Financially Sound and Well Managed (FSWM)

7.1 UCBs, which do not satisfy the criteria of financially sound and well managed (FSWM) UCBs as stated at [para 1.2](#) above and not complying with [section 11\(1\)](#) of BR Act, 1949 (AACS), will be required to obtain prior approval of the Reserve Bank of India and / or Registrar of Co-operative Societies for :

- (d) Shifting of offices / departments as a result of sale of premises / surrender of premises / acquisition of new premises.

7.2 Such banks are required to submit their application in enclosed format given at [Annex XIV](#) in duplicate to the Regional Office concerned.

8. In view of their special status the salary earners' banks (SEBs) have not been covered under ABP for opening of new branches. Requests for allotment of centres may be considered only from licensed SEBs on their fulfilling certain specified norms. SEBs fulfilling the under-noted norms may apply for opening of branches.

- (a) The bye-laws should not contain provision for giving loans to outsiders (non-employees) by enrolling them as members / nominal members.
- (b) There should at least be 1000 members at a place where the SEB desires to open a branch.

- (c) It should comply with the regulatory framework prescribed by RBI.
- (d) It should have posted net profits during each of the preceding two years.
- (e) Its net NPAs should be less than 10 per cent of its net loans and advances as on the last balance sheet date and it should have made requisite provisions as per RBI guidelines.
- (f) CRAR of the bank should not be less than that prescribed by RBI from time to time.
- (g) In case a bank desires to open a new branch within its district of registration, its Assessed Net Worth (ANW) should, at least be equal to the entry point capital norms indicated in [Annex I](#) for opening a new general category bank at that centre where the bank was organised or where the branch is desired to be opened, whichever is higher. Illustratively, if a SEB organised in the "C" category centre desires to open a branch in "B" category centre within its district of registration, its ANW should be at least equivalent to the entry point capital norm prescribed for "B" category centre.
- (h) SEB desirous to open a branch, outside its district of registration but within the State of registration, should have ANW not less than the entry point capital norm prescribed for opening a new general category bank at the highest category centre in that State. The entry point capital norms prescribed are indicated in [Annex I](#) enclosed to this circular.
- (i) SEBs, which satisfy the norms indicated above, may prepare and get their branch expansion programme approved by their Board of Directors and forward the same to the Regional Office concerned of the Urban Banks Department giving information in [Annexes I, II & III](#) enclosed to our circular UBD BL (SEB) No.5A/07.01.00/ 2001-02 dated August 8, 2001. [Annex III](#) indicating classification of assets and provision made against non-performing assets should be duly certified by Statutory Auditor / Chartered Accountant under his stamp and signature. Once a centre is allotted no request for change in the allotted centre would be entertained. On receipt of the allotment letter the banks may make preliminary arrangements for opening the branches and submit applications in Form V for issue of branch authorisation/s, within six months from the date of allotment of the centre. The banks should note to open the branches only after obtaining branch authorisation and within the validity period of the branch authorisation. No request for extension of time for opening the branch will be entertained except in the circumstances beyond the control of the bank.

9. It may be carefully noted that in case the information / particulars furnished by a bank is found incorrect, Reserve Bank of India would take a serious view in the matter and the bank concerned would be liable for penal action, including debarring it from allotment of centres for the next three years.

10. The proposals of UCBs for extension of Area of Operation, opening of branches, extension counters etc., shifting of offices, splitting of branches, etc. should be sent only with the prior approval of the bank's Board of Directors and appropriate resolutions in this behalf should be passed. The relevant resolutions should be submitted to the Regional Offices concerned while

approaching them for prior / post-facto approval therefor. The relevant records may also be preserved and made available to the Reserve Bank's inspection team for scrutiny during the course of inspection.

Branch Banking Statistics - Submission of Quarterly Returns - Revision of Proforma I & II

11. With a view to streamlining and updating the system of compilation of branch banking data, maintained by the Department of Statistics and Information Management (DSIM), Central Office, Bandra Kurla Complex, Mumbai and Regional Offices of UBD, the Proforma I & II submitted by banks have been revised in order to include details in respect of Not Administratively Independent Offices (NAIOs) like Extension Counters, Satellite Offices, ATMs etc. The quarterly Proforma I and II should be submitted by all UCBs to DSIM and Regional Offices of UBD. The detailed instructions in this regard are given in our circular [UBD.CO.LS.Cir.No.43/ 07.01.000/2006-07](#) dated May 9, 2007.

Acquisition of Accommodation on Lease / Rental Basis by Urban Co-operative Banks for their Use i.e., for Office and Residence of Staff

12.1 The authorisations issued for opening of bank branches / offices are location-specific in as much as, in terms of the extant instructions, Reserve Bank of India issues authorisation / permission for opening a bank branch / office at a particular centre based on the exact postal address of the place where the branch / office is to be opened. In the circumstances, it is incumbent upon banks to ensure that their branches are operating from premises, which have a subsisting and valid lease agreement, free of any dispute between the bank and the landlords of the premises in question. Therefore, Head Offices of banks were advised to undertake a review in this regard.

12.2 Banks are required to furnish quarterly progress reports (as at the end of March, June, September and December) as per the format given at [Annex XII](#) to enable RBI to take a view on the appropriateness, or otherwise, of continuing the authorization for the branch / office which is functioning in a 'disputed' premises, to the RD of the Regional Office of RBI concerned, within a period of one month from the close of the respective quarter to which the report relates. It may be noted in this regard that in respect of branches / offices situated in Maharashtra, the information will be furnished by banks to the Chief General Manager, Urban Banks Department, Reserve Bank of India, Mumbai Regional Office, Garment House, 2nd Floor, Dr. Anne Besant Road, Worli, Mumbai - 400 018

In the tables below A, B, C and D denote centres with the following population :

Category of Centre	Population
A	Over 10 lakh
B	5 lakh and above but less than 10 lakh
C	1 lakh and above but less than 5 lakh
D	Less than 1 lakh

I. Entry Point Norms for General Category

Particulars	A	B	C	D
Assessed Net Worth (lakh)	400	200	100	25
Membership	3000	2000	1500	500

II. Entry Point Capital Norms for Unit Banks / Banks organised by Mahilas / SCs / STs and those organised in less developed States

Particulars	A	B	C	D
Assessed Net Worth (lakh) (50% of EPN)	200	100	50	12.50
Membership	3000	2000	1500	500

III. Entry Point Norms for Banks organised in least developed States / North-Eastern States / Tribal Regions

Particulars	A	B	C	D
Assessed Net Worth (lakh) (33.33% of EPN)	133.33	66.67	33.33	8.33
Membership (66.67% of normal membership)	2000	1334	1000	334

Master Circular - Prudential Norms on Capital Adequacy - Primary (Urban) Co-operative Banks (UCBs)

2. The enclosed [Master Circular](#) consolidates and updates all the instructions / guidelines on the subject issued up to March 31, 2025 as listed in the [Appendix](#).

Master Circular Prudential Norms on Capital Adequacy - Primary (Urban) Co-operative Banks (UCBs)

1. Introduction

Capital acts as a buffer in times of crisis or poor performance by a bank. Sufficiency of capital also instills depositors' confidence. As such, adequacy of capital is one of the pre-conditions for licensing of a new bank as well as its continuance in business.

2. Statutory Requirements

In terms of the provisions contained in [Section 11](#) of Banking Regulation Act (AACs), no co-operative bank shall commence or carry on banking business unless the aggregate value of its paid-up capital and reserves is not less than one lakh of rupees. In addition, under [Section 22\(3\)\(d\)](#) of the above Act, the Reserve Bank prescribes the minimum entry point capital (entry point norms) from time to time, for setting-up of a new Primary (Urban) Cooperative Bank.

3. Net Worth

- * Tier 1¹ UCBs operating in a single district shall have minimum net worth of 2 crore.
- * All other UCBs (of all tiers) shall have minimum net worth of 5 crore.
- * UCBs which currently do not meet the minimum net worth requirement, as above, shall achieve the minimum net worth of 2 crore or 5 crore (as applicable) in a phased manner. Such UCBs shall achieve at least 50 per cent of the applicable minimum net worth on or before March 31, 2026 and the entire stipulated minimum net worth on or before March 31, 2028.

4. Capital Adequacy Norms

UCBs shall maintain minimum Capital to Risk Weighted Assets Ratio (CRAR) as under :

- * Tier 1 UCBs shall maintain, as hitherto, a minimum CRAR of 9 per cent of Risk Weighted Assets (RWAs) on an ongoing basis.
- * Tier 2 to 4 UCBs shall maintain a minimum CRAR of 12 per cent of RWAs on an ongoing basis.

* UCBs in Tier 2 to 4, which do not currently meet the revised CRAR of 12 per cent of RWAs, shall achieve the same in a phased manner. Such UCBs shall achieve the CRAR of at least 10 per cent by March 31, 2024, 11 per cent by March 31, 2025, and 12 per cent by March 31, 2026.

The capital funds (eligible total capital) for capital adequacy purposes shall consist of Tier I and Tier II capital as defined below. The total of Tier II capital shall be limited to a maximum of 100 per cent of total Tier I capital for the purpose of compliance with CRAR norms.

Risk weights for different categories of exposures of banks are outlined in [Annex 2](#).

(ii) Contributions received from associate / nominal members where the bye- laws permit allotment of shares to them and provided there are restrictions on withdrawal of such shares, as applicable to regular members.

(iii) Contribution / non-refundable admission fees collected from the nominal and associate members which is held separately as 'reserves' under an appropriate head since these are not refundable.

(iv) Perpetual Non-Cumulative Preference Shares (PNCPS) which comply with the regulatory requirements as specified in [Annex 3](#).

(v) Free Reserves as per the audited accounts. Reserves, if any, created to meet outside liabilities should not be included in the Tier I Capital. Free reserves shall exclude all reserves / provisions which are created to meet anticipated loan losses, losses on account of fraud etc., depreciation in investments and other assets and other outside liabilities. For example, the amount held under the head "Building Fund" will be treated as part of free reserve³. Similarly, "Bad and Doubtful Debt Reserve" complying with all the terms and instructions issued vide circular [DOR.CAP.REC.No.27/09.18.201/2024-25](#) dated August 02, 2024, shall also be treated as free reserves.

(vi) Capital Reserves representing surplus arising out of sale proceeds of assets.

(vii) Perpetual Debt Instruments (PDIs) which comply with the regulatory requirements as specified in [Annex 4](#).

(viii) Any surplus (net) in Profit and Loss Account i.e., balance after appropriation towards dividend payable, education fund, other funds whose utilisation is defined, asset loss, if any, etc.

(ix) Outstanding amount in Special Reserve created under [Section 36\(1\)\(viii\)](#) of the Income Tax Act, 1961.

(x) Revaluation reserves, arising out of change in the carrying amount of a bank's property consequent upon its revaluation, may be reckoned as Tier I capital at a discount of 55 per cent, subject to meeting the following conditions :

- * the bank is able to sell the property readily at its own will and there is no legal impediment in selling the property;
- * the revaluation reserves are presented / disclosed separately under "Reserve Fund and Other Reserves" in the Balance Sheet;
- * revaluations are realistic, in accordance with applicable accounting standards;
- * valuations are obtained, from two independent valuers, at least once in every three years;
- * where the value of the property has been substantially impaired by any event, these are to be immediately revalued and appropriately factored into capital adequacy computations;
- * the external auditor(s) of the bank have not expressed a qualified opinion on the revaluation of the property;
- * the instructions on valuation of properties and other specific requirements as mentioned in [Annex 1](#) (Guidelines on Valuation of Properties - Empanelment of Valuers) to the Master Circular DOR.CRE.REC.No.27/07.10.002/2023-24 dated July 25, 2023 on Management of Advances - UCBs, as amended from time to time, are strictly adhered to.

Revaluation reserves which do not qualify as Tier I capital shall also not qualify as Tier II capital. The bank may choose to reckon revaluation reserves in Tier I capital or Tier II capital at its discretion, subject to fulfilment of all the conditions specified above.

(i) Amount of intangible assets, losses in current year and those brought forward from previous periods, deficit in NPA provisions, income wrongly recognized on non-performing assets, provision required for liability devolved on bank, etc. will be deducted from Tier I Capital.

(ii) For a Fund to be included in the Tier I Capital, the Fund should satisfy two criteria viz., the Fund should be created as an appropriation of net profit and should be a free reserve and not a specific reserve. However, if the same has been created not by appropriation of profit but by a charge on the profit then this Fund is in effect a provision and hence will be eligible for being reckoned only as Tier II capital as defined below and subject to a limit of 1.25% of risk weight assets provided it is not attributed to any identified potential loss or diminution in value of an asset or a known liability.

(iii) Outstanding Innovative Perpetual Debt Instruments (IPDI) which were issued in terms of [Annex](#) to circular UCB.PCB.Cir.No.39/09.16.900/08-09 dated January 23, 2009 shall also be eligible to be reckoned as Tier-I capital subject to the ceilings prescribed in Annexes to this Master Circular. It may be noted that the [Annex](#) to circular dated January 23, 2009 has since been repealed vide circular No. [DOR.CAP.REC.92/09.18.201/2021-22](#) dated March 08, 2022,

and with effect from March 08, 2022, amount issued through PDI by conversion of existing deposits as part of revival plan / financial reconstruction of the UCBs (in terms of [circular](#) dated January 23, 2009) shall comply with the [Annex 4](#) of this Master Circular.

These would include such provisions of general nature appearing in the books of the bank which are not attributed to any identified potential loss or a diminution in value of an asset or a known liability. Adequate care must be taken to ensure that sufficient provisions have been made to meet all known losses and foreseeable potential losses before considering any amount of general provision as part of Tier II capital as indicated above. To illustrate : General provision for Standard Assets, excess provision on transfer of stressed loans etc. could be considered for inclusion under this category. Such provisions which are considered for inclusion in Tier II capital will be admitted up to 1.25% of total risk weighted assets.

As per the extant instructions, provisions made for NPAs as per prudential norms are deducted from the amount of Gross NPAs to arrive at the amount of Net NPAs. The prudential treatment of different type of provisions and its treatment for capital adequacy purposes is given below :

Additional general provisions (floating provisions) for bad debts i.e., provisions not earmarked for any specific loan impairments (NPAs) may be used either for netting off of gross NPAs or for inclusion in Tier II capital within the overall ceiling of 1.25% of total risk weighted assets but cannot be used on both counts.

In cases where banks make specific provision for NPAs in excess of what is prescribed under the prudential norms, the total specific provision may be deducted from the amount of Gross NPAs while reporting the amount of Net NPAs. The additional specific provision made by the bank will not be reckoned as Tier II capital.

(c) *Excess Provisions on transfer of stressed loans to Asset Reconstruction Companies (ARC)*

In terms of instructions issued vide [Reserve Bank of India \(Transfer of Loan Exposures\) Directions, 2021](#) dated September 24, 2021 and as amended from time to time, excess provisions on transfer of stressed loans to ARC, until reversal, shall continue to be shown under 'provisions' and would be considered as Tier II capital within the overall ceiling of 1.25% of risk weighed assets.

Provisions for diminution in the fair value of restructured accounts, both in respect of standard assets and NPAs, are permitted to be netted from the relative loan asset and will not be reckoned as Tier II capital.

a) Upper Tier-II instruments - Perpetual Cumulative Preference Shares (PCPS), Redeemable Non-Cumulative Preference Shares (RNCPS) and Redeemable Cumulative Preference Shares (RCPS) which comply with the regulatory requirements as specified in [Annex 3](#).

b) Lower Tier-II instruments - Long Term Subordinated Bonds (LTSB) which comply with the regulatory requirements as specified in [Annex 4](#).

Note : Outstanding Long Term (Subordinated) Deposits (LTD) which were issued in terms of [Annex-II](#) to the circular UBD.PCB.Cir.No.4/09.18.201/08-09 dated July 15, 2008, and subsequent amendments thereto, shall also be eligible to be reckoned as Tier-II capital subject to the ceilings prescribed in [Annex 4](#) to this Master Circular. It may be noted that the circular dated July 15, 2008 has since been repealed vide circular No. [DOR.CAP.REC.92/09.18.201/2021-22](#) dated March 08, 2022.

5. Capital for Market Risk

5.1 Market risk is defined as the risk of losses in on-balance sheet and off- balance sheet positions arising from movements in market prices. The market risk positions, which are subject to capital charge are as under :

- * The risks pertaining to interest rate related instruments and equities in the trading book; and
- * Foreign exchange risk (including open position in precious metals) throughout the bank (both banking and trading books).

5.2 As an initial step towards prescribing capital requirement for market risks, UCBs were advised to assign an additional risk weight of 2.5 per cent on investments. These additional risk weights are clubbed with the risk weights prescribed for credit risk in respect of investment portfolio of UCBs as per [Annex 2](#), and banks are not required to provide for the same separately. Further, UCBs are advised to assign a risk weight of 100% on the open position limits on foreign exchange and gold, and to build up investment fluctuation reserve as per extant instructions.

5.3 UCBs having AD Category I licence are required to provide capital for market risk in terms of circular [UBD.BPD\(PCB\)Cir.No.42/09.11.600/2009-10](#) dated February 8, 2010.

6. Share linking to Borrowings

Borrowings from UCBs (except in the case of advances against fixed deposits) shall be linked to shareholdings of the borrowing members as below :

- (i) 5 per cent of the borrowings, if the borrowings are on unsecured basis.
- (ii) 2.5 per cent of the borrowings, in case of secured borrowings.
- (iii) In case of secured borrowings by Micro and Small Enterprises (MSEs), 2.5 per cent of the borrowings, of which 1 per cent is to be collected initially and the balance of 1.5 per cent is to be collected in the course of next 2 years.

The above share linking norms may be applicable for member's shareholdings up to the limit of 5 per cent of the total paid up share capital of the bank. Where a member is already holding 5 per cent of the total paid up share capital of a UCB, it would not be necessary for him / her to subscribe to any additional share capital on account of the application of extant share linking

norms. In other words, a borrowing member may be required to hold shares for an amount that may be computed as per the extant share linking norms or for an amount that is 5 per cent of the total paid up share capital of the bank, whichever is lower.

Share-linking to borrowing norms shall be discretionary for UCBs which meet the minimum regulatory CRAR applicable and a Tier 1 CRAR of 5.5 per cent as per the latest audited financial statements and the last CRAR as assessed by RBI during statutory inspection. Such UCBs shall have a Board-approved policy on share-linking to borrowing norms which shall be implemented in a transparent, consistent and non-discriminatory manner. The policy may be reviewed by the Board at the beginning of the accounting year. UCBs, which do not maintain the minimum CRAR applicable and Tier I CRAR of 5.5 per cent, shall continue to be guided by the norms on share-linking to borrowing as specified above.

7. Refund of share capital

In terms of Section 12(2)(ii) read with [Section 56](#) of the BR Act, a co-operative bank shall not withdraw or reduce its share capital, except to the extent and subject to such conditions as the Reserve Bank may specify in this behalf. Accordingly, it has been decided to permit UCBs to refund the share capital to their members, or nominees / heirs of deceased members, on demand⁴, subject to the following conditions :

- a) The bank complies with the minimum applicable regulatory CRAR, both as per the latest audited financial statements and the last CRAR as assessed by RBI during statutory inspection.
- b) Such refund does not result in the CRAR of the bank falling below the minimum regulatory CRAR applicable to the bank.

For the purpose of computing CRAR as above, accretion to capital funds after the balance sheet date⁵, other than by way of profits, may be taken into account. Any reduction in capital funds, including by way of losses, during the aforesaid period shall also be considered.

For the purpose of enhancing investor education on the risk characteristics of regulatory capital instruments, UCBs, which issue regulatory capital instruments specified in [Annex 3](#) and [Annex 4](#) shall adhere to the following conditions :

- a) For floating rate instruments, banks should not use its Fixed Deposit rate as benchmark.
- b) A specific sign-off, as quoted below, from the investors, for having understood the features and risks of the instruments, may be incorporated in the common application form of the proposed issue :

"By making this application, I / we acknowledge that I / we have understood the terms and conditions of the issue of [Name of the share / security] being issued by [Name of the bank] as disclosed in the Prospectus and Offer Document".

c) UCBs shall ensure that all the publicity material / offer document, application form and other communication with the investor should clearly state in bold letters (Arial font, size 14, equivalent size in English / Vernacular version) how a PNCPS / PCPS / RNCPS / RCPS / PDI / LTSB, as the case may be, is different from a fixed deposit, and that these instruments are not covered by deposit insurance.

d) The procedure for transfer to legal heirs in the event of death of the subscriber of the instrument should also be specified.

9. Returns

Banks should furnish to the respective Regional Offices annual return indicating (i) capital funds, (ii) conversion of off-balance sheet / non-funded exposures, (iii) calculation of risk weighted assets, and (iv) calculation of capital funds and risk assets ratio. The format of the return is given in the [Annex 5](#). The returns should be signed by two officials who are authorized to sign the statutory returns submitted to Reserve Bank.

Annex 1

Computation of Net Worth by UCBs

Sr. No.	Description	Amount (Rs. crore)
1	Paid-up share capital collected from regular members having voting powers	
2	Perpetual Non-Cumulative Preference Shares (PNCPS)	
3	Contributions received from associate / nominal members where the by-laws permit allotment of shares to them and provided there are restrictions on withdrawals of such shares, as applicable to regular members	
4	Contribution / non-refundable admission fees collected from the nominal and associate members which is held separately as 'reserves' under an appropriate head since these are not refundable	
5	Free Reserves including "Building Fund", Capital Reserves etc. but excluding Revaluation Reserves. Free reserves shall exclude all reserves / provisions which are created to meet anticipated loan losses, losses on account of fraud etc., depreciation in investments and other assets, and other outside liabilities.	
6	Investment Fluctuation Reserve (IFR) in excess of stipulated 5% of investment in AFS & HFT categories ⁶	
7	Credit balance in Profit & Loss Account, if any	
Deductions		
8	Debit balance in Profit & Loss Account, if any	
9	All Intangible Assets, including, inter alia, Deferred Tax Assets (DTA)	
Note :		
1.	Funds raised through Perpetual Debt Instruments included in Tier I capital and debt capital instruments included in Tier II capital should not be reckoned as part of net worth.	

2.	Perpetual Cumulative Preference Shares (PCPS), Redeemable Non-Cumulative Preference Shares (RNCPS) and Redeemable Cumulative Preference Shares (RCPS) included in Tier II capital should not be reckoned as part of net worth.
3.	No general or specific provisions should be included in computation of net worth.

Annex 2

Prudential Norms - Risk Weights for Computation of CRAR

I. A. Funded Risk Assets

Assets Items			Risk Weight
I.	Balances		
	i.	Cash (including foreign currency notes) Balances with RBI	0
	ii.	Balances in current account with UCBs	20
	iii.	Balances in current account with other banks	20

II.	Investments		
	i.	Investment in Government Securities	2.5
	ii.	Investment in other Approved Securities guaranteed by Central Government / State Government	2.5
	iii.	Investment in Other Securities where payment of interest and repayment of principal are guaranteed by Central Govt. (include investment in Indira / Kisan Vikas Patras and investments in bonds & debentures where payment of interest and repayment of principal is guaranteed by Central Govt. / State Government)	2.5
	iv.	Investment in other securities where payment of interest and repayment of principal are guaranteed by State Govt.	2.5
		Note : Investment in securities where payment of interest or repayment of principal is guaranteed by State Government and which has become a non-performing investment, will attract 102.5 percentage risk weight	
	v.	Investment in other Approved Securities where payment of interest and repayment of principal is not guaranteed by Central / State Govt.	22.5
		Investment in Govt. guaranteed securities of government undertakings which do not form part of the approved market borrowing Program	22.5
	vi.	(a) Claims on commercial banks, District Central Co-operative Banks, and State Co-operative Banks such as fixed deposits, certificates of deposits, etc.	20
		(b) Claims on other Urban Co-operative banks such as term / fixed deposits	
	vii.	Investments in bonds issued by All India Public Financial Institutions.	102.5
	viii.	Investments in bonds issued by Public Financial Institutions for their Tier-II Capital	102.5

ix.	Investment in bonds / debentures / Security Receipts issued by Asset Reconstruction Company	102.5
x.	All other Investments Note : Intangible assets and losses deducted from Tier I capital should be assigned zero weight	102.5
xi.	The off balance sheet (net) position in 'WI' securities, scrip-wise.	2.5

III.

Loans and Advances				
i.	Loans and advances including bills purchased and discounted and other credit facilities guaranteed by Gol		0	
ii.	Loans guaranteed by State Govt		0	
iii.	A State Government guaranteed advance which has become a non performing advance		100	
iv.	Loans granted to PSUs of Gol		100	
v.	Real Estate Exposure			
	(a)	Mortgaged residential housing loan to individuals		
	-	upto 30.00 lakh (LTV* ratio =or<75 %)	50	
	-	above 30.00 lakh (LTV ratio =or<75 %).	75	
	-	Irrespective of the loan amount (LTV ratio >75 %).	100	
	(b)	Commercial Real Estate		100
	(c)	Co-op / group housing societies and Housing Board and for any other purpose.		100
	(d)	Commercial Real Estate - Residential Housing		75
* LTV ratio should be computed as a percentage of total outstanding in the account (viz. "principal + accrued interest + other charges pertaining to the loan" without any netting) in the numerator and the realizable value of the residential property mortgaged to the bank in the denominator				

vi.	Retail Loans and Advances		
	(a)	consumer credit including personal loan	125
	(b)	loans up to 1 lakh against gold and silver ornaments	50
	(c)	all other loans and advances including educational loan.	100
	(d)	Loans extended against primary / collateral security of shares / debentures	127.5
vii.	Leased Assets		
	(a)	Loans and advances for eligible activities to NBFCs engaged in hire purchase / leasing activities now classified as Asset Finance Companies	100
	(b)	loans and advances for eligible activities to Non-Deposit Taking Systemically Important Non-Banking Finance Companies (NBFC-ND- SI) engaged in hire purchase / leasing activities	125
viii.	Advances covered by DICGC / ECGC		50
Note : The risk weight of 50% should be limited to the amount guaranteed and not the entire outstanding balance in the accounts. In other words, the outstanding in excess of the amount guaranteed, will carry 100% risk weight.			
ix.	Advances to the extent guaranteed under any existing or future schemes launched by Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) and National Credit Guarantee Trustee Company Ltd (NCGTC) satisfying the conditions as mentioned in the circular- Review of Prudential Norms - Risk Weights for Exposures guaranteed by Credit Guarantee Schemes (CGS) dated September 07, 2022. The balance outstanding in excess of guaranteed portion will attract appropriate risk-weight		0
x.	Advances for term deposits, Life policies, NSCs, IVPs and KVPs where adequate margin is available		0

	xi.	Loans to staff of banks, which are fully covered by superannuation benefits and mortgage of flat / house	20
	Notes : While calculating the aggregate of funded and non-funded exposure of a borrower for the purpose of assignment of risk weight, banks may 'net-off' against the total outstanding exposure of the borrower -		
	(a)	advances collateralised by cash margins or deposits,	
	(b)	credit balances in current or other accounts of the borrower which are not earmarked for specific purposes and free from any lien,	
	(c)	in respect of any assets where provisions for depreciation or for bad debts have been made,	
	(d)	claims received from DICGC / ECGC and kept in a separate a/c pending adjustment in case these are not adjusted against the dues outstanding in the respective a/cs.	
IV.	Other Assets		
	1.	Premises, furniture and fixtures	100
	2.	Other assets	
	(i)	Interest due on Government securities	0
	(ii)	Accrued interest on CRR balances maintained with RBI	0
	(iii)	Interest receivable on staff loans	20
	(iv)	Interest receivable from banks	20
	(v)	All other assets	100

V.	Market Risk on Open Position		
	1.	Market risk on foreign exchange open position (Applicable to Authorised Dealers only)	100
	2.	Market risk on open gold position	100

I. B. Off-Balance Sheet Items

The credit risk exposure attached to off-Balance Sheet items has to be first calculated by multiplying the face amount of each of the off-Balance Sheet items by 'credit conversion factors' as indicated in the table below. This will then have to be again multiplied by the weights attributable to the relevant counter-party as specified above.

Sl. No.	Instruments	Credit Conversion Factor (%)
1	Financial Guarantees / Direct credit substitutes e.g., general guarantees of indebtedness (including stand L/Cs serving as financial guarantees for loans and securities) and acceptances (including endorsements with character of acceptance)	100
2	Performance Guarantees / Related contingent items (e.g., warranties and standby L/Cs related to particular transactions)	50
3	Short-term self-liquidating trade-related contingencies (such as documentary credits collateralised by the underlying shipments)	20
4	Sale and repurchase agreement and asset sales with recourse, where the credit risk remains with the bank.	100
5	Forward asset purchase, forward deposit and partly paid shares and securities, which represent commitments with certain draw down	100
6	Note issuance facilities and revolving underwriting facilities	50
7	Other commitments (e.g., formal standby facilities and credit lines) with an original maturity of over one year.	50
8	Similar commitments with an original maturity upto one year, or which can be unconditionally cancelled at any time.	0

9	(i)	Guarantees issued by banks against the counter guarantees of other banks	20
	(ii)	Rediscounting of documentary bills accepted by banks. Bills discounted by banks which have been accepted by another bank will be treated as a funded claim on a bank.	20
	Note : In these cases, banks should be fully satisfied that the risk exposure is, in fact, on the other bank. Bills purchased / discounted / negotiated under LC (where the payment to the beneficiary is not made 'under reserve') will be treated as an exposure on the LC issuing bank and not on the borrower. All clean negotiations as indicated above, will be assigned the risk weight which is normally applicable to inter-bank exposures, for capital adequacy purposes. In the case of negotiations 'under reserve' the exposure should be treated as on the borrower and risk weight assigned accordingly.		
10	Aggregate outstanding foreign exchange contracts of original maturity* -		
	Less than 14 calendar days		0
	more than 14 days but less than one year		2
	for each additional year or part thereof		3
	*In case effective bilateral netting contracts as specified in paragraph II(3) of this Annex are in place, Credit Conversion Factor (CCF) for foreign exchange contracts shall be as provided in paragraph II(1.3)(a) of this Annex and CCF of "zero" per cent for foreign exchange contracts which have original maturity of 14 calendar days or less will not be applicable.		
	Notes :		
	While calculating the aggregate of funded and non-funded exposure of a borrower for the purpose of assignment of risk weight, bank may 'net-off' against the total outstanding exposure of the borrower credit balances in current or other accounts which are not earmarked for specific purposes and free from any lien.		
	After applying the conversion factor as indicated above, the adjusted off-Balance Sheet value shall again be multiplied by the weight attributable to the relevant counter-party as specified.		

Note : At present, Primary Urban Cooperative Banks may not be undertaking most of the off balance sheet transactions. However, keeping in view their potential for expansion, risk-weights are indicated against various off balance sheet items, which, Primary Urban Cooperative Banks may undertake in future.

II. Additional Risk Weights (applicable to Authorised Dealers only)

1. Foreign Exchange and Interest Rate related Contracts

1.1 *Foreign exchange contracts include the following :*

- (a) Cross currency swaps
- (b) Forward foreign exchange contracts
- (c) Currency futures
- (d) Currency options purchased
- (e) Other contracts of a similar nature

1.2 *Interest rate contracts include the following :*

- (a) Single currency interest rate swaps
- (b) Basis swaps
- (c) Forward rate agreements
- (d) Interest rate futures
- (e) Interest rate options purchased
- (f) Other contracts of a similar nature

1.3 As in the case of other off-Balance Sheet items, a two-stage calculation prescribed below shall be applied :

- (a) Step 1 - The notional principal amount of each instrument is multiplied by the conversion factor given below :

Original maturity	Conversion factor	
	Interest rate contracts	Foreign Exchange Contracts
Less than one year	0.5%	2%
One year and less than two years	1.0%	5% (i.e. 2% + 3%)
For each additional year	1.0%	3%

When effective bilateral netting contracts as specified in [paragraph II.3](#) of this Annex are in place, the conversion factors, as mentioned in the below table, shall be applicable⁷:

Original maturity	Conversion factor	
	Interest rate contracts	Foreign Exchange Contracts
Less than one year	0.35%	1.5%
One year and less than two years	0.75%	3.75% (i.e. 1.5% + 2.25%)
For each additional year	0.75%	2.25%

- (b) Step 2 - The adjusted value thus obtained shall be multiplied by the risk weight allotted to the relevant counter-party as given in [I-A](#) above.

Note : At present, most of the Primary (Urban) Cooperative Banks are not carrying out forex transactions. However, those who have been given A.D's licence may undertake transactions mentioned above. In the event of any uncertainty in assigning risk weight against a specific transaction, RBI clarification may be sought for.

2. Repo in Corporate Bonds

UCBs which are lenders of funds in the repo transaction are required to provide counter-party credit risk corresponding to the risk weight for such exposure as applicable to the loan / investment exposure.

3. Requirement for recognition of Bilateral Netting Contract :

(a) UCBs may net transactions subject to novation under which any obligation between a UCB and its counterparty to deliver a given currency on a given value date is automatically amalgamated with all other obligations for the same currency and value date, legally substituting one single amount for the previous gross obligations.

(b) UCBs may also net transactions subject to any legally valid form of bilateral netting not covered in (a), including other forms of novation.

(c) In both cases (a) and (b), a UCB will need to satisfy that it has :

(i) A netting contract or agreement with the counterparty which creates a single legal obligation, covering all included transactions, such that the UCB would have either a claim to receive or obligation to pay only the net sum of the positive and negative mark-to-market values of included individual transactions in the event a counterparty fails to perform due to any of the following : default, bankruptcy, liquidation or similar circumstances.

(ii) Written and reasoned legal opinions that, in the event of a legal challenge, the relevant courts and administrative authorities would find the UCB's exposure to be such a net amount under :

* The law of the jurisdiction in which the counterparty is chartered and, if the foreign branch of a counterparty is involved, then also under the law of the jurisdiction in which the branch is located.

* The law that governs the individual transactions; and

* The law that governs any contract or agreement necessary to effect the netting.

(iii) Procedures in place to ensure that the legal characteristics of netting arrangements are kept under review in the light of possible changes in relevant law.

-
- (d) Contracts containing walkaway clauses will not be eligible for netting for the purpose of calculating capital requirements under these guidelines. A walkaway clause is a provision which permits a non-defaulting counterparty to make only limited payments or no payment at all, to the estate of a defaulter, even if the defaulter is a net creditor.
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-
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Annex 3

Guidelines on Issuance of Preference Shares

A. Perpetual Non-Cumulative Preference Shares (PNCPS) eligible for inclusion in Tier-I capital

UCBs are permitted to issue Perpetual Non-Cumulative Preference Shares (PNCPS) at face value to their members or any other person residing within their area of operation, with the prior approval of Reserve Bank of India (RBI). The UCBs shall submit the application seeking permission, together with the Prospectus / Offer Document / Information Memorandum, to the concerned Regional Office (RO) of the RBI. A certificate from a Chartered Accountant to the effect that the terms of the offer document are in compliance with these instructions shall also be submitted along with the application. The amounts raised through PNCPS shall comply with the following terms and conditions to qualify for inclusion as Tier-I capital.

2. Terms of Issue

2.1 Limits

The outstanding amount of PNCPS and Perpetual Debt Instruments (PDI) along with outstanding Innovative Perpetual Debt Instruments (IPDI) shall not exceed 35 per cent of total Tier-I capital at any point of time. The above limit will be based on the amount of Tier-I capital after deduction of goodwill and other intangible assets, but before deduction of equity investment in subsidiaries, if any. PNCPS issued in excess of the overall ceiling of 35 per cent, shall be eligible for inclusion under Upper Tier-II capital, subject to limits prescribed for Tier-II capital. However, investors' rights and obligations would remain unchanged.

2.2 Amount

The amount of PNCPS to be raised shall be decided by the Board of Directors of banks.

2.3 Maturity

The PNCPS shall be perpetual.

2.4 **Options**

- a. PNCPS shall not be issued with a 'put option' or 'step up option'.
 - b. PNCPS may be issued with a call option, subject to following conditions :
 - i. The call option on the instrument is permissible after the instrument has run for at least ten years; and
 - ii. Call option shall be exercised only with the prior approval of Department of Regulation (DoR), RBI. While considering the proposals received from banks for exercising the call option, the RBI would, among other things, take into consideration the bank's CRAR position both at the time of exercise of the call option and after exercise of the call option.
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2.5 **Classification in the Balance Sheet**

These instruments shall be classified as 'Capital' and shown separately in the Balance Sheet.

2.6 **Dividend**

The rate of dividend payable to the investors will be a fixed rate or a floating rate referenced to a market determined rupee interest benchmark rate.

2.7 **Payment of Dividend**

- 2.7.1 The payment of dividend by the bank shall be subject to availability of distributable surplus out of current year's profits, and if :
 - i. the CRAR is above the minimum regulatory requirement prescribed by RBI
 - ii. the impact of such payment does not result in bank's CRAR falling below or remaining below the minimum regulatory requirement prescribed by RBI
-

-
- iii. the balance sheet as at the end of the previous year does not show any accumulated loss
-

2.7.2 The dividend shall not be cumulative, i.e., dividend missed in a year shall not be paid in subsequent years even if adequate profit is available and the level of CRAR conforms to the regulatory minimum. When dividend is paid at a rate lesser than the prescribed rate, the unpaid amount will not be paid in future years, even if adequate profit is available and the level of CRAR conforms to the regulatory minimum.

2.7.3 All instances of non-payment of dividend / payment of dividend at a rate less than that specified should be reported by the issuing UCB to the concerned RO of Department of Supervision (DoS), RBI.

2.8 **Seniority of Claim**

The claims of the investors in PNCPS shall be senior to the claims of investors in equity shares and subordinated to the claims of all other creditors and the depositors.

2.9 **Voting Rights**

The investors in PNCPS shall not be eligible for any voting rights.

2.10 **Discount**

The PNCPS shall not be subjected to a progressive discount for capital adequacy purposes since these are perpetual.

2.11 **Other Conditions**

2.11.1 PNCPS shall be fully paid-up, unsecured, and free of any restrictive clauses.

2.11.2 UCBs shall also comply with the terms and conditions, if any, stipulated by other regulatory authorities in regard to issue of the PNCPS, provided they are not in conflict with the terms and conditions specified in these guidelines. Any instance of conflict shall be brought to the notice of DoR of RBI for seeking confirmation of the eligibility of the instrument for inclusion in Tier I capital.

2.12 **Compliance with Reserve Requirements**

2.12.1 The total amount raised by the bank by issue of PNCPS shall not be reckoned as liability for calculation of net demand and time liabilities for the purpose of reserve requirements and, as such, will not attract CRR / SLR requirements.

2.12.2 However, the amount collected from members / prospective investors and held pending allotment of the PNCPS, shall be reckoned as liability for the purpose of calculating the net demand and time liabilities and shall, accordingly, attract reserve requirements. Such amounts shall not be reckoned for calculation of capital funds.

2.13 **Reporting Requirements**

UCBs issuing PNCPS shall submit a report to the concerned RO of DoS, RBI, giving details of the capital raised, including the terms and conditions of issue together with a copy of the Prospectus / Offer Document, soon after the issue is completed.

2.14 **Investments in PNCPS and Advances for Purchase of PNCPS**

UCBs shall not grant any loan or advance to any person for purchasing their own PNCPS or the PNCPS of other banks. Further, UCBs shall not invest in PNCPS of other banks and shall not grant advances against the security of the PNCPS issued by them or other banks.

B. Perpetual Cumulative Preference Shares (PCPS) / Redeemable Non-Cumulative Preference Shares (RNCPS) / Redeemable Cumulative Preference Shares (RCPS) for inclusion in Upper Tier-II capital

UCBs are permitted to issue Perpetual Cumulative Preference Shares (PCPS) / Redeemable Non-Cumulative Preference Shares (RNCPS) / Redeemable Cumulative Preference Shares (RCPS), at face value, to their members or any other person residing within their area of operation, with the prior approval of the RBI. The UCBs shall submit the application seeking permission, together with the Prospectus / Offer Document / Information Memorandum to the concerned Regional Office (RO) of the RBI. A certificate from a Chartered Accountant to the effect that the terms of the offer document are in compliance with these instructions shall also be submitted along with the application. These three instruments, collectively referred to as Tier-II preference shares, shall comply with the following terms and conditions, to qualify for inclusion as Upper Tier-II capital.

2. Terms of issue

2.1 Limits

The outstanding amount of these instruments along with other components of Tier-II capital shall not exceed 100 per cent of Tier-I capital at any point of time. The above limit shall be based on the amount of Tier-I capital after deduction of goodwill and other intangible assets, but before deduction of equity investment in subsidiaries, if any.

2.2 **Amount**

The amount to be raised may be decided by the Board of Directors of banks.

2.3 **Maturity**

The Tier-II preference shares could be either perpetual (PCPS) or dated (RNCPS and RCPS) instruments with a minimum maturity of 10 years.

2.4 **Options**

2.4.1 These instruments shall not be issued with a 'put option' or 'step up option'.

2.4.2 These instruments may be issued with a call option, subject to following conditions :

- a) The call option on the instrument is permissible after the instrument has run for at least ten years; and
 - b) Call option shall be exercised only with the prior approval of DoR, RBI. While considering the proposals received from banks for exercising the call option, the RBI would, among other things, take into consideration the bank's CRAR position both at the time of exercise of the call option and after exercise of the call option.
-

2.5 **Classification in the Balance Sheet**

These instruments will be classified as 'Borrowings' and shown separately in the Balance sheet.

2.6 **Coupon**

The coupon payable to the investors may be either at a fixed rate or at a floating rate referenced to a market determined rupee interest benchmark rate

2.7 **Payment of Coupon**

2.7.1 The coupon payable on these instruments will be treated as interest and accordingly debited to P&L Account. However, it will be payable only if :

-
- a) the bank's CRAR is above the minimum regulatory requirement prescribed by RBI
 - b) the impact of such payment does not result in bank's CRAR falling below or remaining below the minimum regulatory requirement.
 - c) the bank should not have a net loss. For this purpose, the net loss is defined as either (i) the accumulated loss at the end of the previous financial year or (ii) the loss incurred during the current financial year.
-

2.7.2 In the case of PCPS and RCPS, the unpaid / partly unpaid coupon will be treated as a liability. The interest amount due and remaining unpaid may be allowed to be paid in later years subject to the bank complying with the above requirements.

2.7.3 In the case of RNCPS, deferred coupon will not be paid in future years, even if adequate profit is available and the level of CRAR conforms to the regulatory minimum. The bank can however pay a coupon at a rate lesser than the specified rate, if adequate profit is available and the level of CRAR conforms to the regulatory minimum, subject to conformity with [para 2.7.1](#).

2.7.4 All instances of non-payment of interest or payment of interest at a rate lesser than the specified rate should be reported by the issuing UCB to the concerned RO of DoS, RBI.

2.8 **Redemption / Repayment of Redeemable Tier-II Preference Shares**

RNCPS and RCPS shall not be redeemable at the initiative of the holder. Redemption of these instruments at maturity shall be made only with the prior approval of the DoR, RBI subject, inter alia, to the following conditions :

-
- (a) the bank's CRAR is above the minimum regulatory requirement prescribed by RBI
 - (b) the impact of such payment does not result in bank's CRAR falling below or remaining below the minimum regulatory requirement.
-

2.9 **Seniority of Claim**

The claims of the investors in these instruments shall be senior to the claims of investors in instruments eligible for inclusion in Tier-I capital and subordinate to the claims of all other creditors including those in lower Tier-II capital and the depositors. Amongst the investors of various instruments included in Upper Tier-II capital, the claims shall rank pari passu with each other.

2.10 **Voting Rights**

The investors in Tier-II preference shares shall not be eligible for any voting rights.

2.11 **Progressive Discount for the purpose of computing CRAR**

The Redeemable Preference Shares (both cumulative and non-cumulative) shall be subjected to progressive discount for capital adequacy purposes over the last five years of their tenor, as under :

Remaining Maturity of Instruments	Rate of Discount (%)
Less than one year	100
One year and more but less than two years	80
Two years and more but less than three years	60
Three years and more but less than four years	40
Four years and more but less than five years	20

2.12 **Other Conditions**

2.12.1 The Tier II preference shares shall be fully paid-up, unsecured, and free of any restrictive clauses.

-
- 2.12.2 UCBs shall also comply with the terms and conditions, if any, stipulated by other regulatory authorities in regard to issue of the Tier II preference shares, provided they are not in conflict with any terms and conditions specified in these guidelines. Any instance of conflict shall be brought to the notice of DoR of RBI for seeking confirmation of the eligibility of the instrument for inclusion in Tier II capital.
-

2.13 **Compliance with Reserve Requirements**

- 2.13.1 The total amount raised by a bank through the issue of these instruments shall be reckoned as liability for the calculation of net demand and time liabilities for the purpose of reserve requirements and, as such, will attract CRR / SLR requirements.
-
- 2.13.2 The amount collected from members / prospective investors and held pending allotment shall not be reckoned for calculation of capital funds until the allotment process is over.
-

2.14 **Reporting Requirements**

UCBs issuing these instruments shall submit a report to the concerned RO of DoS, RBI, giving details of the capital raised, including the terms and conditions of issue together with a copy of the Prospectus / Offer Document soon after the issue is completed.

2.15 **Investments in Tier-II preference shares and advances for purchase of Tier-II preference shares**

UCBs shall not grant any loan or advance to any person for purchasing their own Tier-II preference shares or Tier-II preference shares of other banks. UCBs shall not invest in Tier-II preference shares issued by other banks and shall not grant advances against the security of Tier-II preference shares issued by them or other banks.

Annex 4

Guidelines on issuance of Debt Capital Instruments

A. Perpetual Debt Instrument (PDI) eligible for inclusion in Tier-I Capital

UCBs may issue Perpetual Debt Instruments (PDI) as bonds or debentures to their members or any other person residing within their area of operation, with the prior approval of RBI. The UCBs shall submit the application seeking permission, together with the Prospectus / Offer Document / Information Memorandum to the concerned Regional Office (RO) of the RBI. A certificate from a Chartered Accountant to the effect that the terms of the offer document are in compliance with these instructions shall also be submitted along with the application. PDI can also be issued through conversion of a portion of existing deposits of the Institutional Depositors as a part of revival plan / financial reconstruction of the UCB with consent of depositors as per applicable regulatory instructions. The amounts raised through PDI shall comply with the following terms and conditions to qualify for inclusion as Tier I capital.

2. Terms of Issue

2.1 Limit

- i. The amount of PDI reckoned for Tier-I capital shall not exceed 15 per cent of total Tier-I capital⁸. The outstanding Innovative Perpetual Debt Instruments (IPDI)⁹ shall also be covered in the aforementioned ceiling of 15 per cent and reckoned for capital purposes as hitherto. PDI in excess of the above limits shall be eligible for inclusion under Tier-II capital, subject to the limits prescribed for Tier-II capital. However, investors' rights and obligations would remain unchanged.
 - ii. The aforesaid ceiling of 15 per cent for PDI can be exceeded with prior RBI approval, if PDI are issued as part of revival plan / financial reconstruction of UCBs.
 - iii. The eligible amount shall be computed with reference to the amount of Tier-I capital as on March 31 of the previous year, after deduction of goodwill, DTA and other intangible assets, but before deduction of equity investment in subsidiaries, if any.
-

2.2 Amount

The amount of PDI to be raised may be decided by the Board of Directors of banks.

2.3 Maturity

These instruments shall be perpetual.

2.4 Options

2.4.1 The PDI shall not be issued with a 'put option' or 'step-up' option.

2.4.2 However, PDI may be issued with a call option subject to following conditions :

- a) The call option on the instrument is permissible after the instrument has run for at least ten years; and
 - b) Call option shall be exercised only with the prior approval of Department of Regulation (DoR), RBI. While considering the proposals received from banks for exercising the call option, the RBI would, among other things, take into consideration the bank's CRAR position both at the time of exercise of the call option and after exercise of the call option.
-

2.5 **Classification**

PDI shall be classified as 'Borrowings' and shown separately in the Balance Sheet.

2.6 **Rate of interest**

The interest payable to the investors may be either at a fixed rate or at a floating rate referenced to a market determined rupee interest benchmark rate.

2.7 **Lock-in-Clause**

2.7.1 PDI shall be subjected to a lock-in-clause in terms of which the issuing bank shall not be liable to pay interest, if

- i. the bank's CRAR is below the minimum regulatory requirement prescribed by RBI; or
 - ii. the impact of such payment results in bank's CRAR falling below or remaining below the minimum regulatory requirement prescribed by RBI;
-

2.7.2 However, UCBs may pay interest with the prior approval of the DoR, RBI when the impact of such payment may result in net loss or increase the net loss, provided the CRAR meets the regulatory norm. For this purpose, net loss is defined as either (i) the accumulated loss at the end of the previous financial year or (ii) the loss incurred during the current financial year.

2.7.3 The interest shall not be cumulative.

2.7.4 All instances of invocation of the lock-in-clause should be reported by the issuing UCB to the concerned RO of DoS, RBI.

2.8 **Seniority of claim**

The claims of the investors of PDI shall be superior to the claims of investors in equity shares and PNCPS but subordinated to the claims of all other creditors and the depositors. Among investors in PDI and outstanding Innovative Perpetual Debt Instruments (IPDI¹⁰), the claims shall rank pari passu with each other.

2.9 **Discount**

The PDI shall not be subjected to a progressive discount for capital adequacy purposes since these are perpetual.

2.10 **Other conditions**

2.10.1 PDI shall be fully paid-up, unsecured and free of any restrictive clauses.

2.10.2 UCBs shall also comply with the terms and conditions, if any, stipulated by other regulatory authorities in regard to issue of the PDI, provided they are not in conflict with the terms and conditions specified in these guidelines. Any instance of conflict shall be brought to the notice of the DoR of RBI for seeking confirmation of the eligibility of the instrument for inclusion in Tier-I capital.

2.11 **Compliance with Reserve Requirements**

The total amount raised by a UCB through the issue of PDI shall not be reckoned as liability for calculation of net demand and time liabilities for the purpose of reserve requirements and, as such, will not attract CRR / SLR requirements. However, the amount collected from members / prospective investors and pending issue of PDI, shall be reckoned as liability for the purpose of calculating the net demand and time liabilities and shall, accordingly, attract reserve requirements. Such amounts pending issue of PDI, shall not be reckoned for calculation of capital funds.

2.12 **Reporting Requirements**

UCBs issuing PDI shall submit a report to the concerned RO of DoS, RBI giving details of the amount raised, including the terms and conditions of issue together with a copy of the Prospectus / Offer Document, soon after the issue is completed.

2.13 **Investments in PDI and Advances for Purchase of PDI**

UCBs shall not grant any loan or advance to any person for purchasing their PDI or PDI of other banks. UCBs shall not invest in PDI issued by other banks (except when the PDI are issued as a part of revival plan of a UCB as mentioned in [Para 1](#) above) and shall not grant advances against the security of PDI issued by them or other banks.

B. Long Term Subordinated Bonds (LTSB) eligible for inclusion in Lower Tier-II capital

UCBs are permitted to issue LTSB to their members, or any other person residing within their area of operation. The amounts raised through LTSB shall comply with the following terms and conditions to be eligible for inclusion in Lower Tier-II capital.

2. Terms of Issue

2.1 **Eligibility**

2.1.1 Banks fulfilling the following criteria as per their latest audited financial statements are permitted to issue LTSB without seeking specific permission of RBI in this regard :

- i. The CRAR shall be at least one percentage point above the minimum CRAR applicable to a UCB.
 - ii. Gross NPA less than 7% and net NPA not more than 3%.
 - iii. Net profit for at least three out of the preceding four years subject to the bank not having incurred net loss in the immediate preceding year.
 - iv. No default in maintenance of CRR / SLR during the preceding year.
 - v. The bank has at least two professional directors on its Board.
 - vi. Core Banking Solution (CBS) fully implemented.
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- vii. No monetary penalty has been imposed on the bank for violation of RBI directives / guidelines during the two financial years preceding the year in which the LTSB are being issued.
-

2.1.2 Prior permission of the RBI is required for banks which do not comply with the above criteria. The UCBs shall submit the application seeking permission, together with the Prospectus / Offer Document / Information Memorandum to the concerned Regional Office of the RBI. A certificate from a Chartered Accountant to the effect that the terms of the offer document are in compliance with these instructions shall also be submitted along with the application.

2.2 **Limit**

The amount of LTSB eligible to be reckoned as Tier-II capital shall be limited to 50 per cent of total Tier-I capital. The outstanding Long Term (Sub-ordinated) Deposits (LTDs) shall also be covered in the aforementioned ceiling of 50 per cent and reckoned for capital purposes as hitherto. These instruments, together with other components of Tier-II capital shall not exceed 100 per cent of Tier-I capital. The aforementioned limit shall be based on the amount of Tier-I capital after deduction of goodwill and other intangible assets, but before the deduction of equity investments in subsidiaries, if any.

2.3 **Amount**

The amount to be raised may be decided by the Board of Directors of banks.

2.4 **Maturity**

LTSB shall be issued with a minimum maturity of ten years.

2.5 **Options**

2.5.1 The LTSB shall not be issued with a 'put option' or 'step-up' option.

2.5.2 However, LTSB may be issued with a call option subject to following conditions :

- a) The call option on the instrument is permissible after the instrument has run for at least ten years; and
-

-
- b) Call option shall be exercised only with the prior approval of Department of Regulation (DoR), RBI. While considering the proposals received from banks for exercising the call option, the RBI would, among other things, take into consideration the bank's CRAR position both at the time of exercise of the call option and after exercise of the call option.
-

2.6 **Classification in the Balance Sheet**

These instruments will be classified as 'Borrowings' and shown separately in the Balance Sheet.

2.7 **Interest Rate**

LTSB may bear a fixed rate of interest or a floating rate of interest referenced to a market determined rupee interest benchmark rate.

2.8 **Redemption / Repayment**

Redemption / repayment at maturity shall be made only with the prior approval of the DoR, RBI.

2.9 **Seniority of Claims**

LTSB will be subordinated to the claims of depositors and other creditors but would rank senior to the claims of investors in instruments eligible for inclusion in Tier-I capital and holders of preference shares (both Tier I & Tier II). Among investors of instruments included in Lower Tier-II capital (i.e., including outstanding LTDs, if any), the claims shall rank pari passu with each other.

2.10 **Progressive Discount**

These Bonds shall be subjected to a progressive discount for capital adequacy purposes in the last five years of their tenor, as under :

Remaining Maturity of Instruments	Rate of Discount (%)
Less than one year	100
One year and more but less than two years	80
Two years and more but less than three years	60
Three years and more but less than four years	40
Four years and more but less than five years	20

2.11 **Other conditions**

2.11.1 LTSB shall be fully paid-up, unsecured, and free of any restrictive clauses.

2.11.2 UCBs shall also comply with the terms and conditions, if any, stipulated by other regulatory authorities in regard to issue of the LTSB, provided they are not in conflict with the terms and conditions specified in these guidelines. Any instance of conflict shall be brought to the notice of the DoR of RBI for seeking confirmation of the eligibility of the instrument for inclusion in Tier-II capital.

2.12 **Reserve Requirement**

The total amount raised through the issue of LTSB shall be reckoned as liability for the calculation of net demand and time liabilities for the purpose of reserve requirements and, as such, will attract CRR / SLR requirements. The amount collected by the UCB from members / prospective investors and held by it pending issue of LTSB, shall not be reckoned for calculation of capital funds.

2.13 **Reporting Requirements**

UCBs issuing LTSB shall submit a report to the concerned RO of DoS, RBI giving details of the amount raised, including the terms and conditions of issue together with a copy of Prospectus / Offer Document, soon after the issue is completed.

2.14 **Investments in LTSB and advances for purchase of LTSB**

UCBs shall not grant any loan or advance to any person for purchasing their LTSB or LTSB of other banks. UCBs shall not invest in LTSB issued by other banks nor shall they grant advances against the security of LTSB issued by them or other banks.

Annex 5

(Proforma for Returns)

Statement of Capital Funds, Risk Assets / Exposures and Risk Asset Ratio

SI No.	Circular	Date	Subject
1	DOR.CAP.REC.No.27/09.18.201/2024-25	02.08.2024	Prudential Treatment of Bad and Doubtful Debt Reserve by Co-operative Banks
2	DOR.CAP.REC.No.30/09.18.201/2024-25	30.07.2024	Guidelines on treatment of Dividend Equalisation Fund (DEF) - Primary (Urban) Co-operative Banks (UCBs)
3	DOR.CAP.REC.No.86/09.18.201/2022-23	01.12.2022	Revised Regulatory Framework for Urban Co-operative Banks (UCBs) - Net Worth and Capital Adequacy
4	DOR.STR.REC.67/21.06.201/2022-23	07.09.2022	Review of Prudential Norms - Risk Weights for Exposures guaranteed by Credit Guarantee Schemes (CGS)
5	Part D of Annex of DOR.MRG.REC.64/00-00-005/2022-23	11.08.2022	Bilateral Netting of Qualified Financial Contracts - Amendments to Prudential Guidelines
6	Annex 2 of DOR.CAP.REC.No.97/21.06.201/2021-22	31.03.2022	Bilateral Netting of Qualified Financial Contracts - Amendments to Prudential Guidelines

7	DOR.CAP.REC.92/09.18.201/2021-22	08.03.2022	Issue and regulation of share capital and securities - Primary (Urban) Co-operative Banks.
8	UBD.CO.BPD.PCB.Cir.No. 67/09.50.001/2013-14	30.05.2014	Deferred Tax Liability on Special Reserve created under Section 36(1) (viii) of the Income Tax Act, 1961 -UCBs.
9	UBD BPD(PCB) Cir. No.45/13.05.000/2013-14	28.01.2014	Housing Sector : New Sub- Sector CRE- Residential Housing (CRE-RH) Segment within CRE Sector & Rationalisation of Provisioning and Risk Weight.
10	UBD. BPD PCB Cir No.37/09.22.010/2013-14	14.11.2013	Advances guaranteed by Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) - Risk Weights and Provisioning.
11	Para 2 of UBP BPD (SCB) Cir.No.4/16.20.000/2012-13	10.06.2013	Ready Forward Contracts in Corporate Debt Securities.
12	UBD.BPD.(PCB)Cir.No.42/09.11.600/2009-10	08.02.2010	Prudential guidelines on capital charge for market risks.
13	UBD.PCB.Cir.No.30/09.14.000/2008-09	16.12.2009	Prudential treatment of different types of provisions in respect of loan portfolios.
14	UBD.PCB.Cir.No.73/09.14.000/2008-09	29.06.2009	Prudential treatment of different types of provisions in respect of loan portfolios.

15	UBD.PCB.Cir.No.29/09.11.600/2008-09	01.12.2008	Review of Prudential Norms- Provision for Standard Assets & Risk weights for exposures to commercial real estate and NBFCs.
16	UBD.PCB.Cir.No.53/13.05.000/07-08	16.06.08	Claims secured by residential property - change in limits for risk weights.
17	UBD.PCB.Cir.No.31/09.11.600/07-08	29.01.08	Prudential Norms for Capital Adequacy - Risk Weight for Educational Loans.
18	UBD.PCB.Cir.No.40/13.05.000/2006-07	04.05.07	Annual Policy Statement for the Year 2007-08 - residential housing loans- reduction of risk weight.
19	UBD(PCB).Cir.No.39/13.05.000	30.04.07	Annual Policy Statement for 2007-08-Loans against Gold / Silver ornaments--reduction of risk weight.
20	UBD(PCB).Cir.No.30/09.11.600/06-07	19.02.07	Third Quarter Review of the Annual Statement on Monetary Policy for the year 2006-07 - Provisioning requirement for Standard Assets.
21	Para 1(c) of UBD.BPD.Cir.No:7/09.29.000/2006-07	18.08.06	'When Issued' Transactions in Central Government Securities - Accounting and Related Aspects.
22	UBD.PCB.Cir.No.55/09.11.600/05-06	01.06.06	Annual Policy Statement for the Year 2006-07 - Risk weight on exposure to commercial real estate.

23	UBD.PCB).BPD.Cir.No.46/13.05.000/2005-06	19.04.06	Bills Discounted under LC - Risk Weight and Exposure Norms.
24	UBD.PCB.Cir.No.9/13.05.00/05-06	09.08.05	Risk Weight for Capital Market Exposure.
25	UBD.PCB.Cir.No.8/09.116.00/05-06	09.08.05	Prudential Norms on Capital Adequacy - Risk Weight on Housing Finance / commercial real estate exposures.
26	UBD.DS.Cir/No.44/13.05.00/04-05	15.04.05	Maximum Limit on Advances - Exposures to individuals / group of borrowers.
27	UBD.PCB.Cir.33/09.116.00/2004	05.01.05	Risk Weight on Housing Finance and Consumer Credit.
28	UBD.PCB.Cir.26/09.140.00/2004-05	01.11.04	Prudential Norms - State Government Guaranteed Exposures.
29	UBD.No.BPD.PCB.Cir.52/09.116.00/2003-04	15.06.04	Risk Weight for Exposure to Public Financial Institutions (PFIs).
30	UBD.No.BPD.PCB.Cir.37/13.05.00/03-04	16.03.04	Discounting / Rediscounting of Bills by Banks.
31	UBD.No.BPD.PCB.Cir.34/13.05.00/2003-04	11.02.04	Maximum Limit on Advances - Limits on Credit Exposure to Individual / Group of borrowers computation of capital funds.
32	UBD.No.POT.PCB.CIR.18/09.22.01/2002-03	30.09.02	Risk Weight on Housing Finance.

33	UBD.No.POT.PCB.Cir.No.45/09.116.00/2000	25.04.01	Application of Capital Adequacy Norms to Urban (Primary) Co-operative Banks.
34	ACD.Plan.1310/PR.36-72/3	24.11.1972	Share Linking to Borrowings in Primary (Urban) Co-operative Banks

1 Tier 1 - All unit UCBs and salary earners' UCBs (irrespective of deposit size), and all other UCBs having deposits up to 100 crore;

Tier 4 - UCBs with deposits more than 10,000 crore

2 UCBs are permitted to raise share capital, as hitherto, by way of (i) issue of shares to persons within their area of operation, in accordance with the provisions of their bye-laws, and (ii) issue of additional shares to the existing members.

3 In terms of circular [DOR.CAP.REC.No.30/09.18.201/2024-25](#) dated July 30, 2024, as a one-time measure, balances in Dividend Equalisation Fund (DEF) could be transferred to general reserves / free reserves and treated as Tier I Capital.

4 Subject to the member fulfilling all the eligibility conditions for refund.

5 Capital funds shall be as per audited data.

7 For purposes of calculating the credit exposure to a netting counterparty for forward foreign exchange contracts and other similar contracts in which notional principal is equivalent to cash flows, the original credit conversion factors (i.e., without considering the impact of bilateral netting) should be applied to the notional principal, which is defined as the net receipts falling due on each value date in each currency. In no case should the reduced factors above be applied to net notional amounts.

8 Reference is invited to [para 2.1](#) of Annex 3 as per which the outstanding amount of PNCPS and Perpetual Debt Instruments (PDI) along with outstanding Innovative Perpetual Debt Instruments (IPDI) shall not exceed 35 per cent of total Tier-I capital at any point of time

10 IPDI issued in terms of circular no. [UBD.PCB.Cir.No.39/09.16.900/08-09](#) on 'Financial restructuring of UCBs' dated January 23, 2009.

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Chief Executive Officers of
All Primary (Urban) Co-op. Banks

Please refer to our Master Circular [UBD.BPD.Cir.No.10/10.01.00/2004-05](#) dated September 3, 2004, on the captioned subject (available at RBI website www.mastercirculars.rbi.org.in). The enclosed Master Circular consolidates and updates all the instructions / guidelines on the subject upto June 30, 2005.

2. Please acknowledge receipt of this Master Circular to the Regional Office concerned of this Department.

(N. S. Vihwanathan)
Chief General Manager-in-Charge

Master Circular - Scheme for Refinance Facilities to Primary (Urban) Co-operative Banks under Section 17 of the RBI Act, 1934 - Small / Tiny Cottage Industrial Units

Master Circular - Scheme for Refinance Facilities to Primary (Urban) Co-operative Banks under Section 17 of the RBI Act, 1934 - Small / Tiny Cottage Industrial Units

1. Introduction

1.1 In order to ensure adequate flow of funds for industrial financing through co-operative banks, the Reserve Bank of India have approved 22 broad groups of cottage and small scale industries as eligible for accommodation under section 17(2)(bb) of the Reserve Bank of India Act, 1934.

1.2 A scheme has been formulated by RBI, to make loans and advances to state co-operative banks under section 17(2)(bb) read with section 17(4)(c) of the Reserve Bank of India (RBI) Act, 1934 for financing production and marketing activities of these industries. The salient features of the scheme are detailed in the following paragraphs.

2. Approved Groups of Industries

2.1 A list of 22 approved broad groups of cottage and small scale industries is given in the [Annexure 1](#). The list of these 22 cottage and small scale industries is not, by any means exhaustive, but is only illustrative of the broad groups of industries which may include one or more sub-groups or units falling under the purview of the individual broad group. It may, however, be stressed that the most important factor determining the eligibility of any cottage or small scale industry or unit for financial accommodation would be the financial soundness of the individual unit and not the mere fact that it belongs to a particular category or group.

2.2 The above referred list, also includes small-scale industrial units engaged in the manufacture and use of the equipment for development and utilisation of renewable sources of energy which have been included under item 22 of the broad groups of cottage and small scale industries as "manufacture and use of equipment / systems for development of new and renewable sources of energy". An illustrative list of such equipment / systems based on new and renewable sources of energy is given in [Annexure 2](#).

2.3 The approved list also includes such of the small scale and cottage industries where the raw material does not belong to constituent borrower. Such type of industries may be broadly termed as service type of industries.

3. Eligible Lending for Refinance

3.1 Concessional refinance from the Reserve Bank shall be available to primary (urban) co-operative banks (PCBs) through the concerned state co-operative bank (SCB) or district central cooperative bank (DCCB) in respect of finance made available by them only to small and tiny units outside the co-operative sector covered by the 22 broad groups of industries as indicated in paragraph 2.1 above.

3.2 For the purpose of this scheme, the eligible small and tiny units have been defined as those units outside the co-operative sector whose investment in plant & machinery (fixed assets excluding land & building) does not exceed Rs. 25 lakh.

(ii) those in existence / operation for not more than 7 years.

3.4 The concessional finance is meant to provide incentive to new small scale industrial units only during their gestation period of 7 years.

3.5 In order to circumvent the above instructions, some of the industrial units / firms get themselves dissolved on completion of 7 years of their existence and form new units / firms with the same partners or one of the partners of old units / firms. PCBs should not claim refinance under the scheme on account of such units.

3.6 The finance provided by the banks, to the small and tiny units belonging to directors and their relatives or to concerns in which their directors or their relatives are interested directly or indirectly, should not exceed 5% of the refinance limit sanctioned by the Reserve Bank of India under the scheme. However, such finance will be subject to RBI directives / instructions on loans and advances to directors, their relatives and the firms and concerns in which they are interested. Presently banks are prohibited from granting any loans & advances (both secured and unsecured) to the directors, their relatives and the firms / companies in which they are interested.

3.7 The bank finance may be provided to the manufacturers and users of equipment / system in the industrial sector based on new and renewable sources of energy detailed in [Annexure 2](#).

3.8 As mentioned in Para. 2.3 the bank finance may also be provided to service type of industries. In such cases, although the borrower may not require finance for the purpose of his day-to-day working i.e. purchasing raw material etc., he may have to incur expenditure on

account of rent, electricity and labour charges, etc. The Reserve Bank will extend refinance to the extent of rent, electricity and labour charges for two months.

4. Type of Finance to Eligible Units

4.1 Under the scheme, only the working capital advances made by the PCBs for production and marketing activities of eligible units would be eligible for refinance.

4.2 Banks may also provide term finance from their own resources within the overall limit for such block capital loans. However, no refinance will be available for such loans.

4.3 As regards eligibility in respect of working capital requirements, banks are free to assess the same, based on their commercial judgement.

4.4 The accommodation granted for working capital purposes should be in the nature of secured advances i.e. the advances should be backed by adequate stocks-in-trade, subject to appropriate margins. The margin may be reduced in special circumstances such as the advances guaranteed by the Government.

(i) Banks may purchase / discount bills up to the extent of 100% i.e. without any margin, drawn only on parties of good standing and repute as approved by the Board of the banks at the time of granting the bills purchase / discounting limits.

(ii) The facility should be limited to only genuine trade bills which evidence sale and / or despatch of goods.

(iii) Clean bills (accommodation bills) and bills covering hire purchase transactions and sale of service should not be purchased / discounted under the facility.

(iv) The types of bills that may be purchased / discounted should be further limited to :

(b) bills drawn on the buyer and the buyer's bank jointly, and accepted by them jointly

(c) bills drawn on and accepted by the buyer under irrecoverable letter of credit and certified by the buyer's bank to that effect,

(d) bills drawn on and accepted by the buyer and endorsed by the seller in favour of his bank and bearing a certificate signed by the buyer's bank to the effect that payment would be made by that bank 3 days before the date of maturity.

(v) The bills should be of a usance not exceeding 90 days.

(vi) The bills of exchange arising out of sale of commodities notified under selective credit control measures should not be purchased / discounted.

(vii) The bills should specifically exclude the usual grace period.

(viii) The bills discounted and outstanding for more than 90 days from the due date (excluding the usual days of grace) should be removed from the bills discounted account by debit to the current account of parties concerned.

At the time of applying for refinance facilities, the bank concerned should give a certificate to the effect that while discounting bills the bank has duly complied with above stipulations.

(i) The book debts of the parties having an established and satisfactory business relationship should only be approved by the banks. In approving the parties, the banks should take into account the past performance of the parties in honouring their debts to the constituent borrowers. Only parties having an established and satisfactory business relationship should be approved.

(ii) The book debts outstanding for a period not exceeding 90 days should only be reckoned as cover. The book debts outstanding for over 90 days should be excluded from the cover and the constituents asked to make good the shortfall in the cover immediately.

(iii) The limit against book debts should not exceed 30 per cent of the aggregate working capital limit and 15 per cent of the annual turnover of the borrower.

5. Terms and Conditions

5.1.1 Refinance facilities will be available only in respect of financially sound and well-managed banks, i.e. other than those classified in Grades II, III and IV.

5.1.2 Banks should have achieved specified targets towards lending to priority sector including weaker sections. While sanctioning the refinance facilities, due weightage will be given to the performance in this regard.

5.1.3 Banks will not be considered eligible for sanction of refinance if their working is unsatisfactory as revealed by -

(v) irregularities in the operations on the short-term credit limits sanctioned for the previous year and defaults in maintenance of non-overdue cover.

5.2.1 Maximum credit limit fixed for a bank may not exceed four times its owned funds. The owned funds of the bank for the purpose of sanction of credit limit would include paid-up share capital, statutory reserve, dividend equalisation fund and building fund (if building was constructed and adequate provision made for its depreciation).

5.2.2 For working out the quantum of finance required, banks may take into account the average for the previous year and accordingly seek reimbursement from the Reserve Bank of India.

5.2.3 While fixing the credit limits for the banks, the Reserve Bank will take into account the surplus funds available on a continuing basis with the institutions concerned. Banks which keep large surplus funds on a continuing basis will not be eligible for refinance. For this purpose, the

funds in excess of the optimum level of 35% of demand and time liabilities of the bank in India will be construed as surplus funds available with the bank.

5.2.4 The resources maintained by a bank in excess of 35% of its demand and time liabilities in India will be reckoned for the purpose of arriving at the eligible refinance.

5.2.5 In the case of newly organised banks, however, for a period up to 5 years from the date of their commencement of business, a liberal view will be taken and refinance assistance may be allowed in respect of all the eligible small-scale / cottage industrial units financed by them without above stipulation.

5.3.1 The refinance by Reserve Bank of India will be made available at the Bank Rate, as announced from time to time.

5.3.2 Refinance shall be routed through SCBs directly to PCBs or through DCCBs. However, the margin available between the rate at which the refinance is made available and the rate at which the ultimate beneficiary (i.e. eligible cottage / tiny industrial units) is charged should be appropriately shared.

5.3.3 Banks are free to determine the interest rate to be charged to the ultimate borrower even if they avail of refinance from RBI. The banks should, however, ensure that the rate of interest to be charged to the ultimate borrower is reasonable and transparent.

5.4.1 The state government would have to guarantee fully the repayment of the principal and the payment of interest on the loans and advances granted to the state co-operative banks and execute a deed of guarantee in favour of the Reserve Bank in the prescribed form enclosed to our circulars No. ACD.OPR.[3101](#) and [3472](#)/M.1/69-70 dated 17 November 1969 and 16 December 1969, respectively.

5.4.2 Where the state government agrees to execute a continuing guarantee deed for three years, the same may be executed in the prescribed form.

Part I	Application for Credit Limit from RBI (To be submitted by State Co-operative Bank through the Registrar of Co-operative Societies, State)
Part II	Application for Credit Limit from RBI (To be submitted by District Co-operative Bank through the State Co-operative Bank and the Registrar of Co-operative Societies, State) Note : Part II to be filled in only if funds are to be channelled through the Central Co-operative Bank
Part III	Application for Credit Limit from RBI (To be submitted by Primary (Urban) Co-operative Bank through District Co-operative Bank, the State Co-operative Bank and the Registrar of Co-operative Societies, State)

Statement No. 1	Showing certain basic data regarding the financial position and advances to small / tiny units
Statement No. 2	Statement of resources for the period April ____ to March ____
Statement No. 3	Statement of non-overdue cover maintained against Refinance sanctioned by Apex Bank / Reserve Bank during the Previous year (April-March or any other latest month for which data is available at the time of application)
Statement No. 4	Details relating to advances - actual / estimated of small / tiny units belonging to the approved cottage and small scale industry as on 31st December ____
Statement No. 5	Details relating to advances to the small and tiny units belonging to directors and their relatives or to concerns in which their directors or their relatives are interested directly or indirectly - actual / estimated of small / tiny units belonging to the approved cottage and small scale industry as on 31st December ____

The formats of the above application forms and statements have been enclosed to our circular [UBD.No.P&O.161/HG.4/91-92](#) dated 16 September 1991.

5.5.2 Banks should submit their applications in the prescribed form (Part III) along with Statements 1 to 5 to the State Co-operative Bank directly or through the concerned District Central Co-operative Bank, as the case may be, before 15th January each year.

5.5.3 Banks should furnish a proforma balance sheet and trial balance as at the end of December or any later date.

5.5.4 Information in respect of service type of industries may be furnished in column 6 of the Statement No. 3, apart from the usual types of industries. Where an industry is undertaking production and marketing activities as also the service type of activities, the information need not be furnished in all the columns of Statement No. 3, but the same may be furnished only in the relevant columns applicable to them.

5.5.5 The finance provided by banks to the small and tiny units belonging to directors and their relatives or to concerns in which their directors or their relatives are interested directly or indirectly should be indicated separately in the Statement No.5 and enclosed to the application. Format of the statement is enclosed as Annexure. However, such finance would be subject to the directives / instructions for granting loans and advances to directors and their relatives, etc.

5.6.1 The following documents will need to be executed before availing of the credit limit sanctioned to the state co-operative bank :

Form of Agreement to be signed by the State Co-operative Bank

Form of Demand Promissory Note to be executed by the State Co-operative Bank in favour of the Reserve Bank
Form of Time Promissory Note to be executed by the Primary (Urban) Co-operative Bank in favour of the State Co-operative Bank / Central Co-operative Bank
Form of Certificate to be obtained from State Co-operative Bank as to the Character of Bills / Promissory Notes offered by it as Security and of the Accommodation provided by it
Form of Certificate to be obtained from the Borrower by the State Co-operative Bank directly or through the Central Co-operative Bank, as the case may be.

The formats of the above documents / certificates have been enclosed to our circular [ACD.OPR.3472/M.1/69-70](#) dated 16 December 1969.

5.7.1 Loans and advances granted to the state co-operative banks would be by way of refinance, that is to say, the working capital accommodation provided to approved eligible units by the banks and outstanding against them would be eligible for reimbursement from the Reserve Bank from the credit limit sanctioned to the state co-operative bank on their behalf. The outstanding referred to here would be the non-overdue outstanding and would exclude amounts outstanding under un-renewed cash credits.

5.7.2 The limit sanctioned for a financial year will be operative up to 31 March of the ensuing financial year.

5.7.3 The refinance limit sanctioned may be operated by the banks by drawing and repaying as often as necessary during the financial year.

5.7.4 Banks may finance the industrial units which are eligible for accommodation under the refinance scheme without regard to the point of time at which they approach the banks and the banks themselves avail of the facility through the Apex Bank.

Banks are required to submit to the state co-operative banks or the central co-operative bank depending on whether the refinance is drawn directly from the former or through the latter, the monthly non-overdue cover statements A and B annexed to our circular No.

[DBOD.UBD.P&O.523/HG 4/82-83](#) dated 12 January 1983. The statements for each month should be submitted so as to reach the state / central co-operative bank on or before 15th of the following month. In these statements, the banks should report figures of loans and advances outstanding and overdue only in respect of the eligible units.

5.9.1 It would be necessary for the banks to maintain a separate record of transactions pertaining to the eligible units covered under the refinance facility for the latest completed accounting year of the unit proposed for financing. For this purpose, the banks should maintain necessary registers.

5.9.2 The banks are also required to introduce a separate heading in the general ledger for the loans and advances provided to the eligible units covered by the refinance facility.

5.9.3 The banks which fail to maintain separate records and / or are found to be availing refinance facility in respect of units not to be covered under the refinance scheme will be liable to be denied sanction of credit limits in future.

5.9.4 The records pertaining to the monthly non-overdue statements should be available with the banks for verification by the officers of Reserve Bank / Apex Bank at any point of time.

6. Other Instructions

(i) the norms / standards adopted by the bank for assessing the viability / potential viability are advised to the Reserve Bank as part of the loan application,

(ii) in assessing the credit eligibility of an industrial unit, apart from its financial soundness, level of its annual production, turnover in sales during the previous year etc. and the ability of the industrial unit to provide the required margin of cover for the borrowings from the bank, as represented by the resources with the industrial unit are also taken into account.

6.2 Where it is difficult to obtain the financial and operational particulars from the eligible borrowing units as on 31 December due to different accounting years followed by such units, the Reserve Bank will accept the financial and operational particulars of the units, required to be furnished in the loan application by the banks for the accounting year as adopted by the borrowing units.

6.3 In the case of eligible units which have also borrowed from commercial banks and other credit agencies besides the primary (urban) co-operative banks, the latter should satisfy that the units maintain adequate cover including margin for the aggregate working capital borrowed from different credit agencies. It must also be ensured that the aggregate of the borrowings are not in excess of the requirements of the unit.

7. Instructions for Central District Co-operative Banks

7.1 The central district co-operative banks should submit the applications in the prescribed Form II duly completed by them along with the prescribed Application in Part III and other enclosures received from the banks. The applications should be routed through the concerned state co-operative bank to reach them by 20th January each year.

7.2 While submitting the refinance limit applications, the central district co-operative banks should, inter alia, -

(ii) certify that the industrial units proposed to be financed by the banks are eligible for concessional finance under the Reserve Bank's Refinance Scheme.

8. Instructions for State Co-operative Banks

8.1 The state co-operative banks should submit the applications in the prescribed Form I along with the prescribed application, Form III and other enclosures received from the primary (urban) co-operative banks. One copy of the application should be sent direct to the Regional Office of this department so as to reach them before 31st January, each year, and the other copy should be forwarded to the Registrar of Co-operative Societies of the state concerned also to reach them by end January, each year.

8.2 Where the applications from banks are received through the district central co-operative banks, along with Form II received from the latter, the same should also be forwarded to RBI as well as the Registrar of Co-operative Societies of the state concerned as stated above.

8.3 While submitting the refinance limit applications, the state co-operative banks should, inter alia, -

(ii) certify that the industrial units proposed to be financed by the banks are eligible for concessional finance under the Reserve Bank's Refinance Scheme, and

(iii) furnish only the consolidated position and the lending programme of each bank, although the banks are required to submit details regarding each unit covered / proposed to be covered by the refinance facility in statement no. 4 to the state co-operative banks concerned.

8.4 It will be the responsibility of the state co-operative banks to evolve a suitable system for maintenance and verification of the data for SSI units by the banks. The information system evolved for this purpose would be subject to scrutiny by the Reserve Bank, both at the level of the state co-operative bank, and the primary (urban) co-operative banks.

8.5 The RBI sanction letter on short term credit limits to the state co-operative banks on behalf of banks for financing industrial units under the Scheme will be stipulating the following condition :

"State co-operative bank should, at the time of every drawal on the credit limits sanctioned to it, furnish to the Reserve Bank of India a certificate, to the effect that, the drawals and the outstanding under previous drawals made on behalf of banks will not take the total outstanding against the banks beyond the level of the concerned banks' outstanding against industrial units. The outstanding under cash credit sanctioned by the banks will be non-overdue outstanding and will exclude the outstanding under un-renewed cash credits."

8.6 In order to ensure that the condition stipulated in the sanction letter is strictly adhered to, the state co-operative banks, should arrange to submit every month, a certificate to the effect that, its borrowings from the Reserve Bank of India in respect of every bank (when the latter borrows directly or through the central co-operative bank) for financing industrial units are fully covered by the latter's non-overdue loans outstanding with the industrial units affiliated to it for the same purpose. The monthly certificates should reach the Reserve Bank of India by 20th of each month succeeding that to which they relate.

8.7 A copy of each of such certificates should also be furnished to the concerned regional office for their information.

8.8 In addition to the above certificates, the Reserve Bank of India also requires information in regard to the operations on the limits sanctioned in respect of each primary co-operative bank's advances to industrial units covered by the 22 broad groups of cottage and small-scale industries. State co-operative banks should, therefore, submit to RBI, the monthly non-overdue cover statements in forms 'A' and 'B' as per the formats annexed to our circular [DBOD.UBD.P&O.523/HG 4/82-83](#) dated 12 January 1983 to reach by 20th of each month succeeding to that to which it relates.

8.9 In order that the state co-operative banks are in a position to furnish the certificate and the non-overdue statements to RBI in time, they should arrange to receive the statements A and B at least by the middle of each month from each bank directly or through the central co-operative bank through whom the finance is routed.

9. Instructions for the Registrar of Co-operative Societies

9.1 The applications in the prescribed form given in part I and II received from the state co-operative bank and the district central co-operative bank, where applicable, along with the prescribed application in Part III and other enclosures submitted by the primary (urban) co-operative banks, should be recommended by the Registrar of Co-operative Societies of the state concerned and forwarded to reach the Chief General Manager, Reserve Bank of India, Urban Banks Department, Central office, Garment House, Dr. Annie Besant Road, Worli, Mumbai 400 018 by 15th February each year.

9.2 It should also be ensured that a full set of application is forwarded to the concerned Regional Office of the Reserve Bank of India, to enable them to give their recommendations thereon so as to avoid delay in sanction of the credit limit.

9.3 In order, to ensure expeditious sanction of credit limits and facilitating drawal thereon, the state / central government may be persuaded to issue, a guarantee in the prescribed format on a continuing basis for a period of three years at a time for the advances proposed to be availed of by the state co-operative banks from Reserve Bank of India under section 17(2)(bb) read with section 17(4)(e) of Reserve Bank of India Act, 1934.

9.4 It is desirable that the maximum borrowing power of primary (urban) co-operative banks are fixed on a higher level so that they would be able to meet the increased demand for financing the needs of economy. For the purpose, appropriate steps may be taken to suitably amend the co-operative societies act or the rules within the state so as to provide for the maximum borrowing power at 25 times the paid up share capital and reserves of a bank

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RBI/2015-16/32

DCBR.BPD.(PCB).MC.No.7/13.01.000/2015-16

July 1, 2015

The Chief Executive Officers of
All Primary (Urban) Co-operative Banks

Dear Sir / Madam,

**Master Circular Interest Rates on
Rupee Deposits - Primary (Urban) Co-operative Banks**

Please refer to our Master Circular [UBD.BPD.\(PCB\) MC.No.11/13.01.000/2014-15](#) dated July 1, 2014 on the captioned subject (available at RBI website www.rbi.org.in). The enclosed [Master Circular](#) consolidates and updates all the instructions / guidelines on the subject issued up to June 30, 2015 and mentioned in the Appendix.

Yours faithfully,

Sd/-

(Suma Varma)
Principal Chief General Manager

**Master Circular
Interest Rates on Rupee Deposits**

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 2. [Definitions](#)
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 - 4A. [Rate of Interest Payable on Savings Deposits](#)
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-

[Annex - 1 : Rate of Interest on Deposits \(Domestic and NRO Deposits\)](#)

[Annex - 2 : Rate of Interest on Deposits \(NRE Deposits\)](#)

[Appendix : List of Circulars consolidated in the Master Circular](#)

1. Introduction

In exercise of the powers conferred by [Sections 21](#) and [35A](#) read with [Section 56](#) of the Banking Regulation Act, 1949, the Reserve Bank of India, being satisfied that it is necessary and expedient in the public interest so to do, has issued directives that no primary (urban) co-

operative bank shall pay interest on rupee deposits of money accepted by it or renewed by it, except in accordance with rates as specified in the [Annex 1 & 2](#), subject to the conditions specified in the paragraphs below.

2. Definitions

- (i) "Demand Liabilities" and "Time Liabilities" shall have the same meaning as defined in [Section 18](#) read with [Section 56](#) of the Banking Regulation Act, 1949;
- (ii) "Demand Deposit" shall mean a deposit received by the bank which is withdrawable on demand;
- (iii) "Saving Deposit" shall mean a form of demand deposit which is a deposit account whether designated as "Saving Account", "Saving Bank Account", "Saving Deposit Account" or other account by whatever name called, which is subject to the restrictions as to the number of withdrawals as also the amount of withdrawals permitted by the bank during any specified period;
- (iv) "Term Deposit" shall mean a deposit received by the bank for a fixed period and which is withdrawable only after the expiry of the said fixed period and shall also include deposits such as Recurring / Cumulative / Annuity / Reinvestment deposits, Cash Certificates, and so on;
- (v) "Notice Deposit" shall mean term deposit for specific period but withdrawable on giving at least one complete banking day's notice;
- (vi) "Current Account" shall mean a form of demand deposit wherefrom withdrawals are allowed any number of times depending upon the balance in the account or upto a particular agreed amount and shall also be deemed to include other deposit accounts which are neither Savings Deposit nor Term Deposit;
- (vii) "Budgetary Allocation" shall mean the allocation of funds by the Government made through the budget, wherein all the Government's expenditure is reflected. Any institution, irrespective of the fact whether it is a Government Department, Semi-Government or Quasi-Government Body, which receives grants, loans or subsidies from the Government is said to depend on budgetary allocation. Government grants to institutions are also in the nature of budgetary allocation. Government's subscription to the share capital of these institutions also forms part of the budgetary allocation. Local bodies like Municipal Corporations, Zilla Parishads, Taluka Panchayats and Gram Panchayats are given grants in the nature of 'compensation and assignments', which also form part of budgetary allocation, although taxes collected by these bodies are not covered under the definition and scope of budgetary allocation of Central and State Governments;
- (viii) "a member of the bank's staff" means a person employed on a regular basis, whether full-time or part-time, and includes a person recruited on probation or employed on a contract of a specified duration or on deputation and an employee taken over in pursuance of any scheme of amalgamation, but does not include a person employed on casual basis;

(ix) "a retired member of the bank's staff" means an employee retiring whether on superannuation or otherwise, but does not include an employee retired compulsorily or in consequence of disciplinary action;

(x) "family" in the context of the members of staff means and includes the spouse of the member / retired member of the bank's staff and the children, parents, brothers and sisters of the member / retired member of the bank's staff who are dependent on such member / retired member, but shall not include legally separated spouse;

(xi) "political party" means an association or body of individual citizens of India, which is, or is deemed to be registered with the Election Commission of India as a political party under the Election Symbols (Reservation and Allotment) Order, 1968 as in force for the time being.

3. Rate of Interest Payable on Current Accounts

Primary (urban) co-operative banks may, at their discretion, pay interest at a rate not exceeding half per cent per annum on current accounts. As the discretionary provisions generally lead to increase in cost of such deposits, banks are encouraged not to pay interest on current accounts. Interest on current account balances, wherever paid, shall be calculated on a daily product basis and paid on quarterly or longer rests.

4A Rate of Interest Payable on Savings Deposits

4.1 Banks should pay interest on domestic savings deposits at the rates specified in the [Annex 1](#) to this Circular.

4.2 With effect from November 25, 2011, the interest rate on saving bank deposit for resident Indian has been deregulated. Accordingly, banks are free to determine, their savings bank deposit interest rate, subject to the following two conditions :-

(i) each bank will have to offer a uniform interest rate on savings bank deposits up to 1 lakh, irrespective of the amount in the account within this limit.

(ii) for savings bank deposits over 1 lakh, a bank may provide differential rates of interest, if it chooses, subject to the condition that banks will not discriminate in the matter of interest paid on such deposits, between one deposit and another of similar amount, accepted on the same date, at any of its offices.

4.2.1 The interest rates applicable on the domestic savings deposit will be determined on the basis of end-of-day balance in the account. Accordingly, while calculating interest on domestic savings bank deposits, banks are required to apply the uniform rate set by them on end-of-day balance up to 1 lakh and for any end-of day balance exceeding 1 lakh, banks may apply the differential rate(s) as fixed by them. Urban Co-operative Banks may ensure that prior approval of the Board / Asset Liability Management Committee (if powers are delegated by the Board) may be obtained by a bank while fixing interest rates on such deposits.

4.3 Interest on balances in savings bank accounts should be calculated on a daily product basis.

4.4 Such interest should be paid at quarterly or longer rests.

4.5 Banks may continue to credit the interest to the savings bank accounts frozen by enforcement authorities on a regular basis.

4B Interest on Ordinary Non-Resident (NRO) Accounts and Non-Resident (External) Rupee (NRE) Deposits

Banks should pay interest on NRO accounts and NRE deposits at the rates specified in [Annex 1](#) & [2](#) respectively. With effect from December 28, 2011, the interest rates on NRE Deposits and NRO Deposit Accounts have been deregulated. Accordingly, banks are free to determine their interest rates on both savings deposits and term deposits of maturity of one year and above under NRE Deposit accounts and savings deposits under NRO Accounts. However, interest rates offered by banks on NRE and NRO deposits cannot be higher than those offered by them on comparable domestic rupee deposits. Prior approval of the Board / Asset Liability Management Committee (if powers are delegated by the Board) may be obtained by banks while fixing interest rates on such deposits. At any point of time, individual banks should offer uniform rates at all their branches. Banks should closely monitor their external liability arising on account of such deregulation and ensure asset-liability compatibility from systemic risk point of view.

Note : Non-Resident Ordinary (Rupee) [NRO] / Non-Resident (External) [NRE] deposits may be accepted only by such banks as have been specifically authorised by Reserve Bank of India in this regard.

5. Interest Payable on Term Deposits

5(A) Interest Rates on Term Deposits of not less than 15 days (7 days in the case of a term deposit of Rs.15 lakh & above and 1 year in case of NR deposit)

Banks should pay interest at the rates specified in [Annex 1](#) & [2](#) of this Circular. Banks are free to offer floating rate of interest at their discretion, clearly linked to an anchor rate for domestic term deposits and with an upper cap as indicated in [Annex 2](#) of this Master Circular for NRE deposits. Prior approval of the Board of Directors should be obtained for fixing interest rates of various maturities.

5.1 Banks are free to fix interest rates on domestic term deposits.

5.2 The banks may at their discretion, reduce the minimum tenor of domestic / NRO term deposits even below Rs.15 lakh from 15 days to 7 days.

5.3 The banks are required to offer uniform rates on deposits below Rs.15 lakh for the same maturity.

5.4 In case of deposits of Rs.15 lakh and above banks may discriminate in the matter of rate of interest between one deposit and another, accepted on the same date and for the same maturity, on the basis of the size of deposit.

5.5 Banks are advised to put in place a Board approved transparent policy on pricing of liabilities. The Board / Asset Liability Management Committee (ALCO) should ensure that the variation in interest rates on single term deposits of 15 lakh and above and other term deposits (i.e. deposits less than 15 lakh) is minimal for corresponding maturities.

5.6 Banks are required to disclose in advance the schedule of interest rates payable on deposits including deposits on which differential rate of interest will be paid by the banks. Interest rates paid by a bank should be as per the schedule and the same shall not be subject to negotiation between the bank and the depositor for domestic deposits.

5.7 Banks are required to review their interest rate structure on domestic term deposits of different maturities and take appropriate action to make them comparable with the rates offered by the commercial banks.

(B) Method of Calculation of Interest on Term Deposits

Indian Banks' Association (IBA) [code for banking practice](#) is issued by IBA for uniform adoption by the Member Banks. Code is intended to promote good banking practices by setting out minimum standards which member banks will follow in their dealings with customers. IBA, for the purpose of calculation of interest on domestic term deposit, have prescribed that on deposits repayable in less than three months or where the terminal quarter is incomplete, interest should be paid proportionately for the actual number of days reckoning the year at 365 days. It has been reported to us that some of the banks are adopting the model of reckoning the year at 366 days / 365 days in Leap Year and in other years respectively. While banks are free to adopt their methodology, they should provide information to their depositors about the manner of calculation of interest appropriately while accepting the deposits and display the same at their branches.

6. Additional Interest Payable

6.1 To Non-Staff Depositors

(i) A primary (urban) co-operative bank may, at its discretion, allow additional interest at a rate not exceeding 1% per annum on all local rupee (domestic) savings deposits, as well as on savings accounts opened by resident depositor(s) which become ordinary non-resident accounts (NRO) on the depositor(s) going abroad.

(ii) While the banks have been permitted to offer, at their discretion, additional interest not exceeding 1% and 0.5% per annum on the saving bank deposits and current account deposits respectively, the discretionary provisions generally lead to increase in the cost of deposits. The banks should, therefore, endeavour :

a) not to pay any additional interest on the saving bank accounts over and above what is payable by commercial banks; and

b) not to pay interest on current accounts.

6.2 To Bank's Staff and their Exclusive Associations

A bank may, at its discretion allow additional interest at a rate not exceeding one per cent per annum over and above the rate of interest stipulated in the [Annex 1 & 2](#) and the additional interest payable / paid as per paragraph [6.1](#) :

- (A) In respect of a savings or a term deposit account opened in the name of
- (i) a member or retired member of the bank's staff, either singly or jointly with any other member or members of his / her family; or
 - (ii) the spouse of a deceased member or a deceased retired member of the bank's staff; and
 - (iii) an association or a fund, members of which are the members of the bank's staff,

Provided that -

the bank shall obtain a declaration from the depositor concerned, that the monies deposited or which may, from time to time, be deposited into such account, shall be monies belonging to the depositor as stated in Clauses (i) to (iii) above.

Provided further that -

- (a) in the case of employees taken on deputation from another bank, the bank from which they are deputed may allow additional interest in respect of the savings or term deposit account opened with it, during the same period of deputation;
- (b) in the case of persons taken on deputation for a fixed duration, or on a contract of a fixed duration, the benefit shall cease to accrue on the expiry of the term of deputation or contract, as the case may be;

(B) Payment of additional interest shall be subject to the following conditions, namely :

- (i) The additional interest shall be payable only so long as the person continues to be eligible for the same and in case of his ceasing to be so eligible, till the maturity of the deposit, in the case of a term deposit account.
- (ii) In the case of employees taken over pursuant to the scheme of amalgamation, the additional interest shall be allowed only if the interest at the contractual rate together with the additional interest does not exceed the rate which could have been allowed if such employees were originally employed by the bank.

(C) Bank employees' federations in which bank employees are not direct members shall not be eligible for additional interest.

(D) In case of Domestic deposits, it will be in order for banks to give their resident Indian retired staff, who are senior citizens, the benefit of higher interest rates as admissible to senior citizens over and above the additional interest of not exceeding one per cent payable to them by virtue of their being retired members of the banks' staff.

6.3 To Managing Director / Chief Executive of the Bank

A bank may, at its discretion, pay additional interest not exceeding one per cent per annum over and above the rate of interest stipulated in the [Annex 1 & 2](#) and the additional interest paid / payable as per [paragraph 6.1](#) on deposits accepted / renewed from Managing Director of the bank; provided he acts as the Chief Executive of the bank drawing regular salary from the bank and he is not eligible to get similar benefit under [paragraph 6.2](#) above. Additional interest on the deposits of Managing Director of the bank as above shall be payable only during the period of his tenure as Managing Director.

6.4 To Senior Citizens

- (i) Banks, with the permission of their Board, may offer higher rate of interest on the term deposits of any size, to senior citizens.
- (ii) The scheme of term deposits of senior citizens shall incorporate simplified procedure for automatic transfer of deposits to nominees in the event of the death of the depositor.

7 Payment of Interest on Term Deposit Maturing on Sunday / Holiday / Non-Business Working Day

In respect of a term deposit maturing for payment on a Sunday or a holiday or a non-business working day, a bank shall pay interest till the next working day at the originally contracted rate, -

- (i) on the maturity value in the case of reinvestment deposits and recurring deposits, and
- (ii) on the original principal amount in the case of ordinary term deposit on the basis of 365 days in a year.

8 Premature withdrawal of Term Deposit

8.1 A primary (urban) co-operative bank, on request from the depositor, should allow withdrawal of a term deposit before completion of the period of the deposit agreed upon at the time of making the deposit. Banks are free to determine their own penal interest rates for premature withdrawal of term deposits.

8.2 Banks should ensure that the depositors are made aware of the applicable penal rate along with the deposit rate.

8.3 Banks, at its discretion, may disallow premature withdrawal of large deposits held by entities other than individuals and Hindu Undivided Families. Bank should, however, notify such depositors of its policy of disallowing premature withdrawal in advance, i.e., at the time of accepting such deposits.

8.4 Conversion of NRE deposit into Foreign Currency Non-Resident (Banks) [FCNR (B)] deposit and vice versa before maturity by a bank allowed to maintain FCNR(B) deposits, shall be subject to the penal provision relating to premature withdrawal.

8.5 Deposit Schemes with Lock-in period

It has been brought to notice of the Reserve Bank of India that some banks are offering special term deposit products to customers, in addition to regular term deposits, ranging from 300 days to five years, with the following features :

- (i) Lock-in periods ranging from 6 to 12 months;
- (ii) Premature withdrawal is not permitted during the lock-in period. In case premature withdrawal is allowed during the lock-in period, no interest is paid;
- (iii) Rates of interest offered on these deposits are not in tune with the rates of interest on normal deposits and
- (iv) Part pre-payment is allowed by some banks subject to certain conditions.

Before launching new domestic deposit mobilization schemes with the approval of their respective Boards, primary (urban) co-operative banks should ensure that the provisions of Reserve Bank of India's directives on interest rates on deposits, premature withdrawal of term deposits, sanction of loans / advances against term deposits, etc., issued from time to time, are strictly adhered to. Any violation in this regard will be viewed seriously and may attract penalty under the [Banking Regulation Act, 1949 \(As Applicable to Co-operative Societies\)](#). It is clarified that the special schemes, with lock-in periods and other features referred to above, which have been floated by some banks, are not in conformity with Reserve Bank of India's instructions. Banks that have floated such deposit schemes are, therefore, advised to discontinue the schemes with immediate effect and report compliance to Regional Office concerned of Reserve Bank of India.

9. Conversion of a Term Deposit, a Deposit in the Form of Daily Deposit, or Recurring Deposit for Reinvestment in Term Deposit

In order to facilitate better Asset Liability Management, banks are permitted to formulate their own policies towards conversion of deposits.

10 Unclaimed Deposits and Inoperative / Dormant Accounts

Banks should play a more pro-active role in finding the whereabouts of the account holders whose accounts have remained inoperative.

- (i) A savings as well as current account should be treated as inoperative / dormant if there are no transactions in the account for over a period of two years. For the purpose of classifying an account as 'inoperative' both the type of transactions i.e. debit as well as credit transactions induced at the instance of customers as well as third party should be considered.
- (ii) Interest on savings bank accounts should be credited on regular basis whether the account is operative or not. If a Fixed Deposit Receipt matures and proceeds are unpaid, the amount left unclaimed with the bank will attract savings bank rate of interest.

11 Interest Payable on a Deposit Account of Deceased Depositor

The criterion for payment of interest on term deposit standing in the name/s of a deceased individual depositor or two or more joint depositors, where one of the depositors has died to be paid to the legal heir/s / representative/s / nominee/s has been left to the discretion of the individual banks, subject to their Board of Directors, laying down a transparent policy in this regard and the customers being notified at the time of acceptance of deposits. The policy should be non-discretionary and non-discriminatory.

12 Rounding off of Transactions

Interest payable on deposits and interest chargeable on advances shall be rounded off to the nearest rupee; i.e., fraction of 50 paise and above shall be rounded off to the next higher rupee and fraction of less than 50 paise shall be ignored.

13 Margin on Advances against Term Deposits

The decision regarding maintenance of margin on any financial accommodation allowed by the banks against the security of term deposit, has been left to the individual banks, subject to their Board laying down a transparent policy in this regard.

14 Addition or Deletion of the Name(s) or Split into Joint Account Holders

A primary (urban) co-operative bank may, at its discretion, and at the request of the joint account holders of a deposit, if any,

- (i) allow the addition or deletion of name(s) of joint account holders, if the circumstances so warrant; or
- (ii) allow an individual depositor to add the name of another person as a account holder; or
- (iii) allow splitting up of the joint deposit in the name of each of the joint account holders only;

Provided that in no case, shall the amount, or duration of the original deposit, undergo change in any manner in case the deposit is a term deposit.

15 Transfer / Split up of the Deposit on the Death of an Account Holder

On the death of a depositor, a primary (urban) co-operative bank may allow the deposit to be held in the name/s of one or more legal heirs, or legal representatives, or nominees of the depositor, either jointly in their names, or along with other persons, or separately in their names by splitting up the deposits.

16 Payment of Interest on Accounts Frozen

The following procedure may be followed in case of Term Deposits Accounts frozen by the enforcement authorities-

- (i) A request letter may be obtained from the customer for renewal of the deposit on maturity. While obtaining the request letter from the depositor for renewal, the banks may advise him to indicate the term for which the deposit is to be renewed. In case the depositor does not

exercise his option of choosing the term for renewal, banks may renew the same for a term equal to the original term.

- (ii) No new receipt is required to be issued. However, suitable note may be made regarding renewal in the deposit ledger.
- (iii) Renewal of deposit may be advised by registered letter / speed post / courier service to the concerned Government department under advice to the depositor. In the advice to the depositor, the rate of interest at which the deposit is renewed should also be mentioned.
- (iv) If overdue period does not exceed 14 days on the date of receipt of the request letter, renewal may be done from the date of maturity. If it exceeds 14 days, banks may pay interest for the overdue period as per the policy adopted by them, and keep it in a separate interest free sub-account which should be released when the original fixed deposit is released.

17 Exemptions

Nothing contained in the directives on interest rates on deposits shall apply to deposits received by a primary (urban) co-operative bank from

- (i) the institutions permitted to participate in the Call / Notice Money Market both as a lenders and borrowers
- (ii) from any depositor under Foreign Currency (Non-resident) Account Scheme

18 Prohibitions

18.1 No bank shall -

- (i) discriminate in the matter of interest paid on deposits, between one deposit and another, accepted on the same date and for the same maturity, whether such deposits are accepted at the same office or at different offices of the bank, except in respect of term deposit schemes specifically meant for senior citizens offering higher and fixed rates of interest as compared to normal deposits of any size and single term deposit of Rs.15 lakh and above on which varying rates of interest may be permitted on the basis of size of deposits.
- (ii) pay brokerage on deposits in any form to any individual, firm, company, association, institution or any other person except -
 - (a) commission paid to agents employed to collect door-to-door deposits under a special scheme, and
 - (b) incentives granted to staff members as approved by the Reserve Bank of India from time to time.
- (iii) employ / engage any individual, firm, company, association, institution or any other person for collection of deposit or for selling any other deposit linked products on payment of remuneration or fees or commission in any form or manner, except to the extent permitted in sub-clause (a) of clause (ii) above.

- (iv) launch prize / lottery / free trips (in India and / or abroad), etc. oriented deposit mobilisation schemes.
- (v) resort to unethical practices of raising of resources through agents / third parties to meet the credit needs of the existing / prospective borrowers or to grant loans to the intermediaries based on the consideration of deposit mobilisation.
- (vi) issue any advertisement / literature soliciting deposits from public highlighting only the compounded yield on term deposits without indicating the actual rate of simple interest offered by bank for the particular period. Simple rate of interest per annum for the period of deposit shall be indicated invariably.
- (vii) accept deposits from / at the instance of private financiers or unincorporated bodies under any arrangement which provides for either issue of deposit receipt/s favouring client/s of private financiers or giving of an authority by power of attorney, nomination or other-wise, for such clients receiving such deposits on maturity.
- (viii) grant advances against fixed deposit receipts or other term deposits of other banks.

18.2 Accounts in the Names of Certain Bodies / Organisations

- (i) No primary (urban) co-operative bank shall open a savings deposit account in the name of Government departments / bodies depending upon budgetary allocations for performance of their functions / Municipal Corporations or Municipal Committees / Panchayat Samitis / State Housing Boards / Water and Sewerage / Drainage Boards / State Text Book Publishing Corporations / Societies / Metropolitan Development Authority / State / District Level Housing Co-operative Societies, etc. or any political party or any trading / business or professional concern, whether such concern is a proprietary or a partnership firm or a company or an association.
- (ii) The above prohibition at (i) will not apply in the case of the following organisations / agencies :
 - (a) Small Farmers' Development Agency (SFDA)
 - (b) Marginal Farmers' and Agricultural Labourers' Agencies (MFAL)
 - (c) Drought Prone Areas Programme (DPAP)
 - (d) District Development Authority (DDA)
 - (e) District Rural Development Agency / Society (DRDA / DRDS)
 - (f) Integrated Tribal Development Agency (ITDA)
 - (g) Agriculture Produce Market Committees.
 - (h) Khadi and Village Industries Boards.

- (i) Fish Farmers Development Agencies (FFDAs)
- (j) Societies registered under the Societies Registration Act, 1860, or any other corresponding law in force in a State or a Union Territory.
- (k) Companies governed by the Companies Act, 1956 which have been licensed by the Central Government under Section 25 of the said Act, or under the corresponding provision in the Indian Companies Act, 1913 and permitted, not to add to their names the word, 'Limited' or the words 'Private Limited';
- (l) Institutions other than those mentioned in Clause 18.2 (i) above and whose entire income is exempt from payment of income-tax under the Income-tax Act, 1961;
- (m) "Zilla Parishads / Gram Panchayats only in respect of Jawahar Rojgar Yojana funds".
- (n) HUF, provided that HUF is not engaged in trading or business activities and if the account is specified in the name of the Karta
-

Annex - 1

[Vide paragraphs 1, 4.1, 4B, 6.1, 6.2 & 6.3]

Rate of Interest on Deposits

(Domestic and NRO Deposits)*

Category of Account		Per cent per annum
(i)	Current	Not exceeding 0.5 @
(ii)	Savings Bank (Domestic)	@
Savings Bank (NRO)		#
(iii)	Term Deposits :	
	(a)	Rs.15 lakh and above (minimum period 7 days)
	(b)	Below Rs.15 lakh (minimum period 7 days)
		Free (rate may vary depending on the size of deposit)
		Free (uniform for all customers)

@ Urban Co-operative Banks (UCBs) are permitted to offer, at their discretion, additional interest not exceeding one percent and half percent per annum on savings bank deposits and current accounts respectively. As the above discretionary provisions generally lead to increase in the cost of their deposits, UCBs are encouraged to implement the following measures

- | | |
|------|---|
| (i) | not to pay additional interest on savings bank accounts over and above what is payable by commercial banks; |
| (ii) | not to pay interest on current accounts. |

◆ 4% per annum from May 3, 2011 upto November 24, 2011 and deregulated from November 25, 2011.

4% per annum from May 3, 2011 upto December 27, 2011 and deregulated from December 28, 2011 .

* Ordinary Non-Resident (NRO) deposits may be accepted only by such of the banks as have been authorised by Reserve Bank of India in this regard.

Annex - 2
[Vide paragraphs 1, 4B]

Rate of Interest on Deposits (NRE Deposits)*

Category of Account		Per cent per Annum
(i)	Current	Nil
(ii)	Savings	@
(iii)	Term Deposits	@@

* Non-Resident (External) Rupee deposits may be accepted only by such of the banks as have been authorised by Reserve Bank of India in this regard.

-
- @ i) 4% from May 3, 2011 upto December 27, 2011.
-
- ii) With effect from December 28, 2011, banks are free to determine their interest rates on savings deposits.
-
- iii) The interest rates offered by banks on NRE deposits cannot be higher than those offered by them on comparable domestic rupee deposits.
-
- iv) In order to pass on the benefit of exemption provided on incremental NRE deposits with maturity of 3 years and above from CRR / SLR requirements, banks were permitted to offer interest rates on such deposits without any ceiling from September 1, 2013 to February 28, 2014. With effect from March 1, 2014, the interest rate ceiling reverted to the position prior to August 30, 2013 i.e. the interest rates offered by banks on NRE deposits cannot be higher than those offered by them on comparable domestic rupee deposits.
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- v) Advance against NRE Savings Deposits : It is clarified that since the account holder of NRE savings deposits can withdraw savings deposits at any time, banks should not mark any type of lien, direct or indirect, against these deposits.
-
- @@ i) With effect from December 28, 2011, the interest rate on NRE term deposits accounts of maturity of one year and above is deregulated.
-
- ii) The maturity period of fresh NRE deposits, with effect from 29 April, 2003 will normally be one year to three years. This will also apply to NRE deposits renewed after their present maturity period.
-
- iii) In case a particular bank, from its Asset Liability Management point of view, wishes to accept such deposits with maturity of more than 3 years, it may do so provided the interest rate on such long term deposits is not higher than that applicable to 3 year NRE deposits.
-
- iv) The interest rates on fresh repatriable NRE deposits for one to three years is as under :
-

Sr. No.	With effect from the close of Business as on	Interest Rate not to Exceed
(a)	November 15, 2008	LIBOR / SWAP rates plus 175 basis points as on the last working day of the previous month, for US dollar of corresponding maturities.
(b)	November 23, 2011	LIBOR / SWAP rates plus 275 basis points as on the last working day of the previous month, for US dollar of corresponding maturities
(c)	December 28, 2011	Deregulated.

v) The LIBOR / SWAP rates as on the last working day of the preceding month would form the base for fixing ceiling rates for the interest rates that would be offered effective from the following month. LIBOR / SWAP rates quoted by FEDAI would be used as the reference rate in arriving at the interest rates on NRI deposits.

vi) For purposes of operational convenience, the interest rates could be rounded off to nearest decimal point. For example, a computed interest rate of 3.67 per cent would become 3.7 per cent, and 3.64 per cent would become 3.6 per cent.

vii) The above mentioned interest rates would also apply to renewal of NRE deposits on maturity.

viii) The interest rates as determined above for 3 years deposits would also be applicable in case the maturity period exceeds 3 years.

Appendix

List of Circulars consolidated in the Master Circular

No	Circular No.	Date	Subject
1.	UBD.BPD.PCB.Cir.No.47/13.01.000/2013-14	07.02.2014	Deregulation of Interest Rates on Non-Resident (External) Rupee (NRE) Deposits

2.	UBD.BPD.PCB.Cir.No.40/13.01.000/2013-14	02.12.2013	Deregulation of Interest Rates on Non-Resident (External) Rupee (NRE) Deposits
3.	UBD.BPD.PCB.Cir.No.8/13.01.000/2013-14	03.09.2013	Deregulation of Interest Rates on Non-Resident (External) Rupee (NRE) Deposits
4.	UBD.BPD.Cir.No.7/13.01.000/2012-13	06.09.2012	Interest Rate on Deposits
5.	UBD.BPD.AD.CIR.No.7/13.01.000/2011-12	17.05.2012	Interest Rates on FCNR (B) Deposits
6.	UBD.BPD.PCB.Cir.No.18/13.01.000/2011-12	07-02-2012	Deregulation of Savings Bank Deposit Interest Rate-Clarification
7.	UBD.BPD.PCB.Cir.No.16/13.01.000/2011-12	28-12-2011	Deregulation of Interest Rates on Non-Resident (External) Rupee (NRE) Deposits and Ordinary Non-Resident (NRO) Accounts
8.	UBD.BPD.PCB.Cir.No.13/13.01.000/2011-12	25-11-2011	Deregulation of Savings Bank Deposit Interest Rate
9.	UBD.BPD.PCB.Cir.No.12/13.01.000/2011-12	24-11-2011	Interest Rates on Non-Resident (External) Rupee [NRE] Deposits - UCBs
10.	UBD.BPD.AD.CIR.No.4/13.01.000/2011-12	24.11.2011	Interest Rates on FCNR (B) Deposits -UCBs
11.	UBD.BPD.PCB.Cir.No.45/13.01.000/2010-11	03-05-2011	Interest Rates on Deposits
12.	UBD.BPD.PCB.Cir.No.65/13.01.000/2009-10	05-05-2010	Conversion of Term Deposits, Daily Deposits or Recurring Deposits for reinvestment in term deposits by Primary (Urban) Co-operative Banks
13.	UBD(PCB)BPD.Cir.No.48/13.01.000/2009-10	04-03-2010	Payment of interest on savings bank account on daily product basis

14.	UBD.(PCB).BPD.Cir.No.7/13.01.000/2009-10	01-09-2009	Payment of interest on savings bank account on daily product basis
15.	UBD(PCB)BPD.Cir.No.4/13.01.000/2009-10	20-08-2009	Payment of interest on accounts frozen by UCBs
16.	UBD.PCB.CO.BPD.Cir.No.25/13.01.000/2008-09	17-11-2008	Interest Rates on Non-Resident (External) Rupee [NRE] Deposits - UCBs
17.	UBD.PCB.CO.BPD.Cir.No.22/13.01.000/2008-09	16-10-2008	Interest Rates on Non-Resident (External) Rupee [NRE] Deposits - UCBs
18.	UBD.PCB.CO.BPD.Cir.No.21/13.01.000/2008-09	01-10-2008	Payment of interest on accounts frozen-UCBs
19.	UBD.PCB.CO.BPD.Cir.No.16/13.01.000/2008-09	19-09-2008	Interest Rates on Non-Resident (External) Rupee [NRE] Deposits - UCBs
20.	UBD.BPD(PCB)Cir.No.9/13.01.000/2008-09	01-09-08	Unclaimed Deposits and Inoperative/ Dormant Accounts in Urban Co-operative Banks
21.	UBD.(PCB).CO.BPD.Cir.No.16/13.01.000/2008-09	19-09-08	Interest Rates on Non-Resident (External) Rupee (NRE) Deposits- UCBs
22.	UBD.BPD.ADCir.No.17/13.01. 000/2008-09	19-09-08	Interest Rate on FCNR (B) Deposits- UCBs (ADs)
23.	UBD(PCB)CO.BPD.Cir.No.21/13.01.000/2008-09	01-10-08	Payment of interest on accounts frozen - UCBs
24.	UBD(PCB)CO.BPD.Cir.No.22/13.01.000/08-09	16-10-08	Interest Rates on Non-Resident (External) Rupee (NRE) Deposits- UCBs
25.	UBD.BPD.AD.Cir.No.23/13.01. 000/2008-09	16-10-08	Interest Rate on FCNR (B) Deposits- UCBs (ADs)

26.	UBD.(PCB).CO.BPD.Cir.No.25/13.01.000/2008-09	17-11-08	Interest Rates on Non-Resident (External) Rupee (NRE) Deposits-UCBs
27.	UBD.BPD.AD.Cir.No.26/13.01.000/08-09	17-11-08	Interest Rate on FCNR (B) Deposits- UCBs (ADs)
28.	UBD(PCB).CO.BPD.Cir.No.21/13.01.000/2007-08	15-11- 07	Deposit schemes with lock-in period
29.	UBD.PCB.CO.BPD.Cir.No:37/13.01.000/2006-07	26-04-2007	Interest rates on Non-Resident (External)Rupee (NRE)Deposits - UCBs
30.	UBD.PCB.CO.BPD.Cir.No:28/13.01.000/2006-07	05-02-2007	Interest rates on Non-Resident (External)Rupee (NRE)Deposits - UCBs
31.	UBD.PCB.Cir.48/13.01.00/2005-06	20.04.2006	Interest rates on Non-Resedint (external) Rupee (NRE) deposits-UCbs
32.	UBD.PCB.Cir.42/13.01.00/2005-06	05.04.2006	Interest rates on Non-Resedient deposits - UCBs
33.	UBD.PCB.Cir.17/13.01.00/2005-06	22.11.2005	Interest rates on Non-Resedint (external) Rupee (NRE) deposits-UCbs
34.	UBD.PCB.Cir.27/13.01.00/2004-05	1.11.2004	Interest rate on Non-Resident (External) Rupee (NRE) Deposits
35.	UBD.No.28/13.01.00/2004-2005	1.11.2004	Reduction of Tenor of Domestic / Ordinary Non-Resident (NRO) Term Deposits
36.	BPD.PCB.Cir.49/13.01.00/2002-03	29-04-2003	Deposits under Non-Resident (External) Rupee (NRE) Accounts Scheme

37.	UBD.BPD(PCB)Cir.No.4/13.01.00/2002-03	17-07-2003	Interest Rate on Deposits under Non-Resident (External) Rupee Accounts (NRE Accounts)
38.	UBD.CO.BPD.No.14/13.01.00/2003-04	17-09-2003	Interest rate on deposit under Non-Resident (External) Rupee Account (NRE A/c)
39.	UBD.BPD(PCB)Cir.No.20/13.01. 00/2003-04	18-10-2003	Interest rate on deposit under Non-Resident (External) Rupee A/c (NRE A/c)
40.	UBD.BPD(PCB)Cir.No.43/13.01. 00/2003-04	08-04-2004	Interest rates on rupee deposits held in domestic, ordinary Non-resident (NRO) & Non-Resident External (NRE) A/cs
41.	UBD.BPD(PCB)Cir.No.46/13.01. 00/2003-04	17-04-2004	Interest rates on deposits under Non-Resident (External) Rupee A/c (NRE A/cs)
42.	BPD.PCB.Cir.49/13.01.00/2002-03	29-04-2003	Deposits under Non-Resident (External) Rupee (NRE) Accounts Scheme
43.	UBD.BPD(PCB)Cir.No.4/13.01. 00/2002-04	17-07-2003	Interest Rate on Deposits under Non-Resident (External) Rupee Accounts (NRE Accounts)
44.	UBD.CO.BPD.No.14/13.01.00/2003-04	17-09-2003	Interest rate on deposit under Non-Resident (External) Rupee Account (NRE A/c)
45.	UBD.BPD(PCB)Cir.No.20/13.01. 00/2003-04	18-10-2003	Interest rate on deposit under Non-Resident (External) Rupee A/c (NRE A/c)
46.	UBD.BPD(PCB)Cir.No.43/13.01. 00/2003-04	08-04-2004	Interest rates on rupee deposits held in domestic, ordinary Non resident (NRO) & Non Resident External (NRE) A/cs

47.	UBD.BPD(PCB)CirNo.46/13.01. 00/2003-04	17-04-2004	Interest rates on deposits under Non-Resident (External) Rupee A/c (NRE A/cs)
48.	UBD.PBD.Dir.(PCB)No.42/13.01. 00/2000-01* * Actual Reference no. should be UBD.BPD.DIR/PCB.CIR.42/13.01 .00/2002-03	25-03-2003	Interest Rates on Deposits
49.	UBD.No.PCB.Dir.10/13.01.00/2000-01	19-04-2001	Interest Rates on Deposits
50.	UBD.No.DS.Dir.3/13.01.00/2000-01	03-01-2001	Interest Rates on Deposits
51.	UBD.No.DS(PCB)CIR.20/13.01.00/ 2000-01	22-12-2000	Rate of Interest on Advances against Term Deposits
52.	UBD.No.DS.PCB.DIR.10/13.01.00/ 1999-2000	27-04-2000	Interest Rates on Deposits
53.	UBD.No.DS.PCB.Cir.32/13.01.00/ 1999-2000	27-04-2000	Interest Rates on Deposits held under Non-Resident (External) Accounts
54.	UBD.No.DS.PCB.CIR.29/13.01-00/ 1999-2000	01-04-2000	Interest Rates on Deposits
55.	UBD.DS.PCB-DIR.7/13.01-00/1999-2000 * Actual date should be 01-04-2000	01-07-2000*	Interest Rate on Deposits
56.	UBD.DS.2/13.01.00/1999-2000	21-09-1999	Interest Rates on Deposit
57.	UBD.No.DS.PCB.CIR.9/13.01. 00/1999-2000	21-09-1999	Interest Rates on Deposits

58.	UBD.No.DS.PCB.CIR.59/13.01.00/97-98	26-05-1998	Interest Rate on Deposits
59.	UBD.No.DS.Dir.PCB.14/13.01.00/97-98	29-04-1998	Interest Rates on Deposits
60.	UBD.No.DS.PCB.CIR.53/13.01.00/97-98	29-04-1998	Interest Rate on Deposits
61.	UBD.No.DS.PCB.Cir.12/13.01.00/97-98	21-10-1997	Interest Rates on Deposits
62.	UBD.No.DS.PCB.DIR.5/13.01.00/97-98	21-10-1997	Interest Rates on Deposits
63.	UBD.No.DS.PCB.DIR.2/13.01.00/97-98	12-09-1997	Interest Rates on Deposits under Non-Resident (External) Rupee (NRE) Accounts Scheme
64.	UBD.No.DS.CIR.PCB.6/13.01.00/97/98	12-09-1997	Interest Rates on Deposits under Non-Resident (External) Rupee (NRE) Accounts Scheme
65.	UBD.No.DS.PCB.Cir.2/13.01.00/97-98	17-07-1997	Interest Rates on Deposits
66.	UBD.No.DS.PCB.DIR.26/13.01.00/96-97	25-06-1997	Interest Rates on Deposits
67.	UBD.No.DSP.CB.DIR.27/13.01.00/96-97	25-06-1997	Interest Rates on Deposits under Non-Resident (External) Rupee (NRE) Accounts Scheme
68.	UBD.No.DS.PCB.Cir.57/13.01.00/96-97	25-06-1997	Interest Rates on Deposits
69.	UBD.No.DS.CIR.PCB.58/13.01.00/96-97	25-06-1997	Interest Rates on Deposits Under Non-Resident (External) Rupee (NRE) Accounts Scheme

70.	UBD.No.DSP.CB.DIR.27/13.01.00/96-97	25-06-1997	Interest Rates on Deposits
71.	UBD.No.DS.PCB.CIR45/13.01.00/96-97	19-04-1997	Interest Rates on Deposits-Premature withdrawal of term deposit.
72.	UBD.No.DS.PCB.DIR.20/13.01.00/96-97	15-04-1997	Interest Rates on Deposits
73.	UBD.No.DS(PCB)Dir.21/13.01.00/96-97	15-04-1997	Interest Rates on Deposits
74.	UBD.No.DS.CIR.PCB.44/13.01.00/96-97	15-04-1997	Interest Rates on Deposits
75.	UBD.No.DS.PCB.Cir.21/13.01.00-96/97	19-10-1996	Interest Rates on Deposits
76.	UBD.No.DS.PCB.CIR.18/13.01.00/96-97	30-08-1996	Interest Rates on Deposits
77.	UBD.No.DS.DIR.9/13.01.00/96-97	30-08-1996	Interest Rates on Deposits
78.	UBD.No.DS.PCB.CIR.16/13.01.00/96-97	09-08-1996	Rate of interest on advances against term deposits
79.	UBD.No.DS.PCB.Cir.2/13.01.00/96-97	01-07-1996	Interest Rates on Deposits
80.	UBD.No.DS.PCB.Dir.2/13.01.00/96-97	01-07-1996	Interest Rates on Deposits
81.	UBD.No.(PCB.)Dir.25/13.01.00/95-96	03-04-1996	Interest Rates on Deposits
82.	UBD.No.DS.CIR.PCB.59/13.01.00/95-96.	03-04-1996	Interest Rates on Deposits

83.	UBD.No.DS.PCB.DIR.24/13.01.00/95-96	30-03-1996	Interest Rates on Deposits
84.	UBD.No.DS.PCB.CIR.57/13.01.00/95-96	30-03-1996	Interest Rates on Deposits
85.	UBDNo.DS.(PCB.)12/13.01.00/95-96	30-10-1995	Interest Rates on Deposits
86.	UBDNo.DS.Cir.PCB.24/13.01.00/95-96.	30-10-1995	Interest Rates on Deposits
87.	UBD.No.DS.(PCB)DIR.10/13.01.00/95-96	29-09-1995	Rate of Interest on advances against term deposits
88.	UBDNo.DS.Cir.PCB.15/13.01.00/95-96	29-09-1995	Interest Rates on Deposits
89.	UBD.No.DS.Cir.PCB.17/13.01.00/95-96.	09-09-1995* * Actual date should be 29-09-1995	Rate of Interest on Advances against term deposits
90.	UBD.No.DS.(PCB.)8/13.01.00/95-96	29-09-1995	Interest Rates on Deposits
91.	UBD.No.DS.PCB.DIR.17/13.01.00/94-95.	06-05-1995	Interest Rates on Deposits
92.	UBD.No.DS.(PCB)DIR.13(13.01.00)/94/95	17-04-1995	Interest Rates on Deposits
93.	UBD.No.DS.CIR.PCB.50(13.01.00)/ 94-95	17-04-1995	Interest rates on Deposits
94.	UBD.No.DS.(PCB.)DIR.10(13.01.00)/94-95	09-02-1995	Interest Rates on Deposits
95.	UBD.No.DS.CIR.PCB.42(13.01.00)/ 94-95	09-02-1995	Interest Rates on Deposits

96.	UBD.No.DS.CIR.PCB.40/13.01.00/94-95.	04-02-1995	Interest rates on deposits
97.	UBD.DS.CIR.PCB.26/13.01.00/94-95	26-10-1994	Interest Rates on Deposits - Margin on advances against term deposits
98.	UBD.DS.PCB.DIR.7/13.01.00/94-95	26-10-1994	Interest Rates on Deposits
99.	UBD.No.DS.CIR.(PCB)21/(13.01.00)/94-95	17-10-1994	Interest Rates on Deposits
100.	UBD.No.DS.CIR.PCB.22/(13.01.00)/ 94-95	17-10-1994	Interest Rates on Deposits under Non-Resident (External) Rupee Accounts (NRE Accounts)
101.	UBD.No.(PCB)DIR.4/(13.01.00)/94-95	17-10-1994	Interest Rates on Deposits
102.	UBD.No.DS(PCB)DIR.5/(13.01.00)/ 94-95	17-10-1994	Interest Rates on Deposits
103.	UBD.DS.CIR.AD1/13.02.00/94-95	07-07-1994	Interest rates on deposits
104.	UBD.DS.PCB.DIR1/13.01.00/94-95	05-07-1994	Interest Rates on Deposits
105.	UBD.No.PCB.(CIR).83/13-01.00/93-94	16-06-1994	Calculation of interest on savings bank accounts - Determining the monthly product
106.	UBD.No.(PCB)Cir.70/(13.01.00)/93-94	14-05-1994	Interest Rates on Deposits
107.	UBD.No.(PCB)DIR.3/(13.01.00)/93-94	14-05-1994	Deposits under Non-Resident (External) Rupee Accounts (NRE Accounts) Scheme

108.	UBD.No.(PCB)Cir.58/13.01.00/93-94	16-02-1994	Interest Rates on Deposits - Premature withdrawal
109.	UBD.No.(PCB)Cir.54/13.01.00/93-94	08-02-1994	Premature withdrawal of term deposit before the minimum period - Rate of Interest on advance granted against deposit
110.	UBD.No.(PCB)DC.24/(13.01.00)/93-94	11-10-1993	Interest Rates on Deposits
111.	UBD.No.(PCB)DC.25/(13.01.00)/93-94	11-10-1993	Interest Rates on Deposits
112.	UBD.No.(PCB)15/DC(13.01.00)-93/94	01-09-1993	Interest Rates on Deposits
113.	UBD.No.(PCB)DC.16/(13.01.00)/93-94	01-09-1993	Interest Rates on Deposits
114.	UBD.No.(PCB)9/(13.01.00)/93-94	04-08-1993	Premature withdrawal of term deposit for a period of 46 days - Rate of Interest on advance granted against deposit
115.	UBD.No.(PCB)91/DC(13.01.00)92-93	23-06-1993	Interest Rates on Deposits
116.	UBD.No.(PCB)92/DC.V.1(B)/92-93	23-06-1993	Interest Rates on Deposits
117.	UBD.(PCB)78/DC.V.1(B)/92-93	26-05-1993	Interest rates on deposits Premature withdrawal
118.	UBD.(PCB)68/DC.V.1(B)/92-93	15-05-1993	Interest rates on deposits
119.	UBD.(PCB)69/DC.V.1(B)/92-93	15-05-1993	Interest rates on deposits - acceptance of deposits for longer period

120.	UBD.No.(PCB)56A/DC.V.1(B)/92-93	07-04-1993	Interest Rates on Deposits
121.	UBD.No.(PCB)57/DC.V.1(B)/92-93	07-04-1993	Interest Rates on Deposits held under Non-Resident (External) Rupee Accounts
122.	UBD.No.(SUC)104/DC.V.1(B)/92-93	13-03-1993	Interest rates on deposits
123.	UBD.No.(PCB)50/DC.V.1(B)/92-93	27-02-1993	Interest Rates on Deposits
124.	UBD.No.(PCB)51/DC.V.1(B)/92-93	27-02-1993	Interest Rates on Deposits
125.	UBD.(DC)36/V.1/92-93 28	28-01-1993	Directive on Interest rates on Deposits - Permissible Value of Gift
126.	UBD No.(PCB)24/DC.V.1/92-93	08-10-1992	Interest Rates on Deposits
127.	UBD.No.(PCB)23/DC.V.1/92-93	08-10-1992	Deposits [other than Foreign Currency (Non-Resident) Accounts and Non-Resident (External) Rupee Accounts]
128.	UBD.(PCB)15/DC.V.1-92/93	18-09-1992	Premature withdrawal of term deposit for a period of 46 days - Rate of interest on advance granted against deposit
129.	UBD.(UAF)1/DC(V.1)-92/93	24-07-1992	Interest rate on Savings deposits - increase from 5% p.a. to 6% p.a.W.E.F.24.4.1992
130.	UBD.No.(PCB)70/DC.V.1-91/92	23-04-1992	Interest Rates on Deposits
131.	UBD.PCB.71/DC.V.1-91/92	23-04-1992	Interest Rates on Deposits

132.	UBD.No.(PCB)64/DC.V.1.91/92	21-04-1992	Interest Rates on Deposits
133.	UBD.No.(PCB)65/DC.V.1-91/92	21-04-1992	Interest Rates on Deposits
134.	UBD.(SUC)48/DC.V.1(B)-91/92	30-11-1991	Interest Rates on Deposits
135.	UBD(PCB)24/DC.V-1-91/92	08-10-1991	Interest Rates on Deposits
136.	UBD(PCB)25/DC.V-1-91/92	08-10-1991	Interest Rates on Deposits
137.	UBD(PCB)19/DC.V-1-91/92	20-09-1991	Interest Rates on Deposits
138.	UBD(PCB)20/DC.V-1-91/92	20-09-1991	Interest Rates on Deposits - Opening of Savings Bank Accounts
139.	UBD.No(RO)6/DC(V.1)-91/92	17-09-1991	Interest Rates on Deposits - Payment of Interest on Term Deposits
140.	UBD(PCB)1.DC.V.1-91/92	22-07-1991	Interest Rates on Deposits
141.	UBD(PCB)2/DC.V-1-91/92	22-07-1991	Interest Rates on Deposits
142.	UBD.PCB.76/DC-V-1-90/91	26-04-1991	Interest Rates on Deposits - Premature Withdrawal of Term Deposits - Method and Rate for Calculating Interest
143.	UBD.No(PCB)64/DC-V-1-90/91	12-04-1991	Interest Rates on Deposits
144.	UBD.No(PCB)65/DC-V-1-90/91	12-04-1991	Interest Rates on Deposits

145.	UBD.No(PCB)67/DC(V.1)90/91	12-04-1991	Interest Rates on Deposits
146.	UBD.No.(PCB)68/DC-V-1-90/91	12-04-1991	Interest Rates on Deposits held under the Non-Resident (External) Rupee Accounts
147.	UBD.No.(PCB)44/DC(V.1)-90/91	11-02-1991	Interest Rates on Deposits
148.	UBD.(PCB)34/DC.V-1-90/91	16-01-1991	Interest Rates on Deposits
149.	UBD.DC.29/V.1-90/91	08-12-1990	Charging of Penal Interest for the Defaulted Instalments of Recurring Deposits
150.	UBD.No.(PCB)26/DC(V.1)-90/91	30-11-1990	Interest Rates on Deposits
151.	UBD.No(PCB)20/DC(V.1)-90/91	15-10-1990	Interest Rates on Deposits
152.	UBD.(PCB)14/DC.V.1-90/91	09-10-1990	Interest Rates on Deposits
153.	UBD(PCB).15/DC-V-1-90/91	09-10-1990	Interest Rates on Deposits
154.	UBD.(PCB)8/DC.V.1-90/91	07-09-1990	Directives on Interest Rates on Deposits
155.	UBD.(PCB)No.9/DC-V-1-90/91	07-09-1990	Interest Payable on the Deposit Account of Deceased Depositor/s
156.	UBD.No.PCB.32/DC.V.1(B)-89/90	30-04-1990	Interest Rates on Deposits
157.	UBD.(UCB).23/DC(V.1)-89/90	12-04-1990	Interest Rates on Deposits

158.	UBD.(UCB)24/DC-(V.1)-89/90	12-04-1990	Interest Rates on Deposits held under the Non-Resident (External) Rupee Accounts
159.	UBD.No.PCB.16/DC.V-1(B)-89/90	05-03-1990	Interest Rates on Deposits
160.	UBD.DC.49/V.1-89/90	13-12-1989	Method of Calculation of Interest on Premature Withdrawal / Discontinuance of Recurring Deposits and Charging of Penal Interest for the Defaulted Instalments of Recurring Deposits
161.	UBD.No.DC.31/V.1-89/90	09-10-1989	Interest Rates on Deposits
162.	UBD.No.DC.32/V.1-89/90	09-10-1989	Interest Rates on Deposits
163.	UBD.No.DC.9/V.1.89/90	31-07-1989	Interest Rates on Deposits - Payment of Interest on Term Deposits
164.	UBD.No.DC.101/V.1-88/89	27-03-1989	Interest Rates on Deposits
165.	UBD.No.DC.102/V.1/88-89	27-03-1989	Interest Rates on Deposits
166.	UBD.No.DC.12/V.1(B)-88/89	30-07-1988	Directives on Interest Rates on Deposits
167.	UBD.No.DC.104/V-1/87-88	02-04-1988	Interest Rates on Deposits
168.	UBD.DC.105/V.1-87/88	02-04-1988	Interest Rates on Deposits
169.	UBD.No.(DC)63/V.1-86/87	19-11-1987	Payment of Interest on Savings Bank Accounts

170.	UBD.No.DC.60/V.1.87/88	13-11-1987	Interest Rates on Deposits - Rate of Interest Applicable to Overdue Deposits
171.	UBD.(DC)46/V.1-87/88	10-10-1987	Interest Rates on Deposits
172.	UBD.DC.No.7/V.1-87/88	06-07-1987	Interest Rates on Deposits
173.	UBD.DC.8/V.1-87/88	06-07-1987	Interest Rates on Deposits
174.	UBD.DC.102/V.1-86/87	25-06-1987	Interest Rates of Deposits
175.	UBD.DC.103/V.1.86/87	25-06-1987	Interest Rates on Deposits
176.	UBD.No.(DC)68.V.1.86/87	01-04-1987	Interest Rates on Deposits
177.	UBD.No.DC.60/V.1-86/87	31-03-1987	Interest Rates on Deposits
178.	UBD.No.(DC)61/V.1-86/87	31-03-1987	Interest Rates on Deposits
179.	UBD(DC)57/V.1-85/86	19-11-1985	Margin and Rate of Interest on Loans Against Fixed Deposits
180.	UBD.No.(DC)56/V.1/85-86	19-11-1985	Payment of Interest on Savings Bank Accounts of Government Departments, Semi-Governments, Quasi-Governments and Local Bodies and certain Organisations engaged in Public Utility Services like State Housing Board

181.	UBD.No.(DC)36/V.1-85/86	09-10-1985	Interest Rates on Deposits
182.	UBD.DC.21/ V.I-85/86	02-09-1985	Directives on Interest Rates on Deposits
183.	UBD.(DC)3408/V.1-84/85	25-05-1985	Non-resident accounts in rupees
184.	UBD.(DC)3413/V.1-84/85	25-05-1985	Interest rates on deposits
185.	UBD.(DC)3415/V.1-84/85	25-05-1985	Interest rates on deposits acceptance of deposits for periods exceeding 10 years
186.	UBD.(DC)3414/V.1-84/85	24-05-1985	Interest rates on deposits
187.	UBD(DC)3160/V.1-84/85	06-04-1985	Interest rates on deposits
188.	UBD.(DC)3161/V.1-84/85	06-04-1985	Interest rates on deposits
189.	UBD.I&L1707/J.1-84/85	23-02-1985	Crediting of interest on deposits accepted under re-investment plan to the deposit accounts
190.	UBD.(DC)890/V.1-84/85	09-01-1985	Interest rates on deposits payment of interest at savings bank rate on amounts lying in the current account of deceased depositors
191.	DBOD.UBD(DC)128/V.1-83/84	22-07-1983	Interest rates on deposits
192.	DBOD.UBD(DC)1055/V.1-82/83	04-02-1983	Interest rates on deposits
193.	DBOD.UBD(DC)464/V.1-82/3	26-10-1982	Interest Rates on Deposits
194.	DBOD.UBD(DC)465/V.1-82/3	26-10-1982	Interest Rates on Deposits

195.	ACD.ID.(DC).38/V.1-82/83	09-07-1982	Violations of the directive provisions relating to interest rates on deposits
196.	ACD.ID.(DC)2692/V.1-81/82	03-06-1982	Interest rates on deposits payments of interest on savings bank accounts of certain organisations engaged in public utility services like municipal corporations, state housing boards, etc.
197.	ACD.ID.(DC)1882/V.1-81/82	01-03-1982	Interest rates on deposits
198.	ACD.ID.(DC)1883/V.1-81/82	01-03-1982	Interest rates on deposits
199.	ACD.ID.(DC)1249/V.1-81/82	21-12-1981	Interest rates on deposits
200.	ACD.ID.(DC)1251/V.1-81/82	21-12-1981	Interest rates on deposits
201.	ACD.ID.(DC)367/V.1-81/82	13-08-1981	Interest rates on deposits renewal of deposits before maturity
202.	ACD.ID.(DC)369/V.1-81/82	13-08-1981	Interest rates on deposits
203.	ACD.ID.(DC)256/V.1-81/82	22-07-1981	Interest rates on deposits premature withdrawal of deposits
204.	ACD.ID.(DC)2133/V.1-80/81	02-03-1981	Interest Rates on Deposits
205.	ACD.ID.(DC)2132/V.1-80/81	02-03-1981	Interest rates on deposits
206.	ACD.ID.(DC)2961/V.1-79/80	16-05-1980	Directives on interest rates on deposits
207.	ACD.ID.(DC)791/V.1-79/80	14-09-1979	Interest rates on deposits
208.	ACD.ID.(DC)790/V.1-79/80	13-09-1979	Interest rates on deposits

209.	ACD.ID.(DC)3167/V.1-78/9	19-02-1979	Interest rates on deposits
210.	ACD.ID.(DC)1259/V.1-78/9	20-11-1978	Interest rates on deposits covered by declaration under section 54 E of the income tax act,1961
211.	ACD.ID.(DC)584/V.1-78/9	23-08-1978	Interest Rates on Deposits
212.	ACD.ID.(DC)585/V.1-78/9	23-08-1978	Interest rates on deposits
213.	ACD.ID.(DC)9264/V.1-77/8	02-06-1978	Interest rates on deposits payment of interest on monthly basis on fixed deposits
214.	ACD.ID.(DC)8866/V.1-77/8	10-05-1978	Directives on interest rates on deposits
215.	ACD.ID.(DC)6975/V.1-77/8	07-03-1978	Interest rates on deposits
216.	ACD.ID.(DC)69761/V.1-77/8* Actual circular no Should be ACD.ID. (DC)6976/V.1-77/8	07-03-1978	Interest rates on deposits
217.	ACD.ID.(DC)6870/V.1-77/8	01-03-1978	Interest rates on deposits
218.	ACD.ID.(DC)6871/V.1-77/8	01-03-1978	Interest rates on deposits
219.	ACD.ID.2717/V.1-77/8	21-09-1977	Interest rates on deposits
220.	ACD.ID.2718/V.1-77/8	21-09-1977	Interest rates on deposits
221.	ACD.ID.1092/V.1-77/8	30-07-1977	Interest rates on deposits overdue deposits
222.	ACD.ID.11438/V.1-76/7	20-06-1977	Interest rates on deposits
223.	ACD.ID.10844/V.1-76/7	31-05-1977	Interest rates on deposits

224.	ACD.ID.10845/V.1-76-7	31-05-1977	Interest rates on deposits
225.	ACD.ID.3677/V.1-76/7	01-11-1976	Interest rates on deposits - linked janata personal accident policy
226.	ACD.ID.12504/J.32-75/6	21-06-1976	Interest rates on deposits
227.	ACD.ID.12505/J.32-75/6	21-06-1976	Interest rates on deposits
228.	ACD.ID.8217/J.32-75/6	31-01-1976	Interest rates on deposits premature withdrawal of deposits
229.	ACD.ID.5257/J.32-75/6	24-11-1975	Interest Rates on Deposits Schemes for Mobilising Deposits
230.	ACD.ID.4300/J.32-74/5	12-02-1975	Interest Rates on Deposits
231.	ACD.ID.4301/J.32-74/5	12-02-1975	Interest Rates on Deposits
232.	ACD.ID.4141/J.32-74/5	31-01-1975	Interest Rates on Deposits
233.	ACD.ID.4142/J.32-74-5	31-01-1975	Interest Rates on Deposits
234.	ACD.ID.3986/J.32-74/5	20-01-1975	Interest rates on deposits
235.	ACD.ID.2918/J.32-74/5	22-11-1974	Interest rates on deposits
236.	ACD.ID.2919/J.32-74/5	22-11-1974	Interest rates on deposits
237.	ACD.ID.935/J.32/74-5	16-08-1974	Interest rates on deposits
238.	ACD.ID.936/J.32/7-45	16-08-1974	Interest rates on deposits

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Master Direction - Reserve Bank of India (Interest Rate on Deposits) Directions, 2025

2. In order to have all instructions related to Interest Rate on Deposits applicable to banks in one place, it has been decided to issue a comprehensive Master Direction. The Master Direction - Reserve Bank of India (Interest Rate on Deposits) Directions, 2025, is being issued in exercise of the powers conferred upon the Reserve Bank of India under [Sections 21](#) and [35A](#) read with [Section 56](#) of the Banking Regulation Act, 1949.

3. The comprehensive MD shall come into force with immediate effect.

1. Short Title and Commencement

1.1 These Directions shall be called the Reserve Bank of India (Interest Rate on Deposits) Directions, 2025.

1.2 These Directions shall come into effect on the day it is placed on the official website of the Reserve Bank of India.

2. Objective

These Directions provide a framework for banks to follow while formulating their policies on Interest Rates on Deposits.

3. Applicability

3.1 The provisions of these Directions shall apply to all banks authorised to operate in India.

3.2 These Directions shall not be applicable to operations of foreign branches of Indian banks.

4. Definitions

In these Directions, unless the context otherwise requires, the terms herein shall bear the meanings assigned to them below :

4.1 "Alternative Reference Rate" (ARR) means any widely accepted ARR for the respective currency as prescribed in RBI circular on Roadmap for LIBOR Transition issued vide [CO.FMRD.DIRD.S39/14.02.001/2021-22](#) dated July 08, 2021.

(e) Local Area Banks (LABs).

(c) District Central Co-operative Banks (DCCBs).

4.3.1 Single Rupee term deposits of Rupees three crore and above for Scheduled Commercial Banks (excluding RRBs) and SFBs.

4.3.2 Single Rupee term deposits of Rupees one crore and above for RRBs and LABs.

4.3.3 Single Rupee term deposits of Rupees one crore and above for Tier 3 and Tier 4 Scheduled Primary (Urban) Co-operative Banks (UCBs) as defined under Revised Regulatory Framework for UCBs issued vide circular [DOR.REG.No.84/07.01.000/2022-23](#) dated December 01, 2022. .

4.3.4 Single Rupee term deposits of Rupees fifteen lakh and above for other Co-operative Banks (i.e., other than Tier 3 and 4 Scheduled Primary UCBs mentioned above).

4.4 "Composite Cash Credit" means a type of loan product having a cash credit limit with a fully savings module designed to take care of farmer's interest.

4.5 "Current Account" means a form of non-interest bearing demand deposit where from withdrawals are allowed any number of times depending upon the balance in the account or up to a particular agreed amount and shall also be deemed to include other deposit accounts which are neither Savings Deposit nor Term Deposit;

4.6 "Daily Product" means the interest applied on the end of day balance.

4.7 "Demand Deposit" means a deposit received by the bank, which is withdrawable on demand;

4.8 "Domestic Rupee Deposits" mean rupee deposits maintained in India in the form of current account, savings deposits or term deposit.

4.9 "Family" includes members as mentioned in the bank's Service / Staff Regulations.

4.11 "Hindu Undivided Family" (HUF) means HUF as defined under [Income-tax Act, 1961](#).

4.12 "Individual" means a natural person.

4.13 "Member of the bank's Staff" means a person employed on a regular basis, whether full-time or part-time, and includes a person recruited on probation or employed on a contract of a specified duration or on deputation and an employee taken over in pursuance of any scheme of amalgamation but does not include a person employed on casual basis.

4.14 "Notice Deposit" means term deposit for specific period but withdrawable on giving at least one complete banking day's notice.

4.17 "Retired Member of the bank's Staff" means an employee retiring whether on superannuation or otherwise as provided in the bank's Service / Staff Regulations.

4.19 "Savings Deposit" means a form of interest bearing demand deposit which is a deposit account whether designated as "Savings Account", "Savings Bank Account", "Savings Deposit Account", "Basic Savings Bank Deposit Account (BSBDA)" or other account by whatever name called which is subject to the restrictions as to the number of withdrawals as also the amounts of withdrawals permitted by the bank during any specified period.

4.20 "Scheduled Commercial Bank" means banks other than co-operative banks included in [Second Schedule](#) of Reserve Bank of India Act, 1934.

4.21 "Scheduled Co-operative Bank" means a State Co-operative Bank and a Primary (Urban) Co-operative Bank included in [Second Schedule](#) of Reserve Bank of India Act, 1934.

4.22 "Term Deposit" means an interest-bearing deposit received by the bank for a fixed period and shall also include deposits such as Recurring / Cumulative / Annuity / Reinvestment deposits and Cash Certificates.

4.23 All other expressions, unless defined herein, shall have the same meaning as have been assigned to them under the [Banking Regulation Act, 1949](#) or the [Reserve Bank of India Act, 1934](#) or any statutory modification or re-enactment thereto or as used in commercial parlance, as the case may be.

5. Interest Rate Framework

Banks shall pay interest on deposits of money (other than current account deposits) accepted by them or renewed by them in their domestic, Ordinary Non-Resident (NRO), Non-Resident (External) Accounts (NRE) and Foreign Currency (Non-resident) Accounts (Banks) Scheme {FCNR(B)} deposit account on the terms and conditions specified in these directions :

5.1 There shall be a comprehensive policy on interest rates on deposits duly approved by the Board of Directors or any committee of the Board to which powers have been delegated.

5.2 The rates shall be uniform across all branches and for all customers and there shall be no discrimination in the matter of interest paid on the deposits, between one deposit and another of similar amount, accepted on the same date, at any of its offices.

5.3 Interest rates payable on deposits shall be strictly as per the schedule of interest rates disclosed in advance.

5.4 The commercial banks shall maintain the bulk deposit interest rate card in their Core Banking System to facilitate supervisory review.

5.5 The rates shall not be subject to negotiation between the depositors and the bank.

5.6 The interest rates offered shall be reasonable, consistent, transparent, and available for supervisory review / scrutiny as and when required.

5.7 All transactions, involving payment of interest on deposits shall be rounded off to the nearest rupee for rupee deposits and to two decimal places for FCNR(B) deposits.

5.8 Deposits maturing on non-business working day for commercial banks.

5.8.1 If a term deposit is maturing for payment on a non-business working day, banks shall pay interest at the originally contracted rate on the original principal deposit amount for the non-business working day, intervening between the date of the maturity of the specified term of

the deposit and the date of payment of the proceeds of the deposit on the succeeding working day.

5.8.2 In case of reinvestment deposits and recurring deposits, banks shall pay interest for the intervening non-business working day on the maturity value.

5.9 Deposits maturing on a Sunday / holiday / non-business working day for co-operative banks.

5.9.1 If a term deposit is maturing for payment on a Sunday / holiday / non-business working day, co-operative banks shall pay interest at the originally contracted rate on the original principal deposit amount for the Sunday / holiday / non-business working day, intervening between the date of the maturity of the specified term of the deposit and the date of payment of the proceeds of the deposit on the succeeding working day.

5.9.2 In case of reinvestment deposits and recurring deposits, co-operative banks shall pay interest for the intervening non-business working day on the maturity value.

5.10 Consequence of transfer of branch of one commercial bank to another commercial bank

Deposit accounts transferred from one bank branch to another bank branch on account of takeover of bank branches in rural and semi-urban centres shall adhere to the following conditions :

5.10.1 deposit accounts shall deemed to be transferred to the new bank and will continue to be governed by the terms of contract agreed to between the customer and the bank branch that is being taken over.

5.10.2 the same rate of interest shall be payable till maturity on such transferred deposits, as was payable at the time of takeover of the branch.

6. Interest Rate on Domestic Current Account

No interest shall be paid on deposits held in current accounts.

Provided that balances lying in current account standing in the name of a deceased individual depositor or sole proprietorship concern shall attract interest from the date of death of the depositor till the date of repayment to the claimant(s) at the rate of interest applicable to savings deposit as on the date of payment.

7. Interest Rate on Domestic Savings Deposit

In addition to the conditions laid down in [paragraph 5](#) of these Directions, interest on domestic rupee savings deposit shall be subject to the following :

7.1 Interest on domestic rupee savings deposits shall be calculated on a daily product basis as under :

7.1.1 A uniform interest rate shall be set on balance up to Rupees one lakh, irrespective of the amount in the account within this limit.

7.1.2 Differential rates of interest may be provided for any end-of-day savings bank balance exceeding Rupees one lakh.

8. Interest Rates on Domestic Term Deposits

8.1 In addition to the conditions laid down in [paragraphs 5](#) of these Directions, interest rates on term deposits shall vary only on account of one or more of the following reasons :

Banks shall have the freedom to determine the maturity / tenor of the deposit subject to the condition that minimum tenor of the deposit offered shall be seven days.

Differential interest rate shall be offered only on bulk deposits.

Provided that differential interest shall not be applicable on deposit schemes framed on the basis of the [Bank Term Deposit Scheme, 2006](#).

Provided also that differential interest shall not be applicable on deposits received under the Capital Gains Accounts Scheme, 1988 by commercial banks.

Banks shall have the freedom to offer term deposits without premature withdrawal option.

Provided that all term deposits accepted by commercial banks from individuals (held singly or jointly) for amount of Rupees one crore and below shall have premature withdrawal facility.

Provided also that all term deposits accepted by co-operative banks from HUF for amount of Rupees one crore and below shall have premature withdrawal facility.

The interest rates applicable on term deposits withdrawn before the maturity date shall be as under :

8.2.1 Interest shall be paid at the rate applicable to the amount and period for which the deposit remained with the bank and not at the contracted rate.

8.2.2 No interest shall be paid, where premature withdrawal of deposits takes place before completion of the minimum period specified in [paragraph 8.1.1](#).

9. Payment of Additional Interest on Domestic Deposits

9.1 Banks shall, at their discretion, allow additional interest of one per cent per annum, over and above the rate of interest mentioned in the schedule of interest rates on savings or a term deposits of bank's staff and their exclusive associations as well as on deposits of Chairman, Chairman & Managing Director, Executive Director, or such other Executives appointed for a fixed tenure and Managing Director who acts as Chief Executive of Co-operative Bank drawing regular salary from the Co-operative Bank, subject to the following conditions :

9.1.1 The additional interest is payable till the person continues to be eligible for the same and in case of his ceasing to be so eligible, till the maturity of a term deposit account.

9.1.2 In case of employees taken over pursuant to the scheme of amalgamation, the additional interest is allowed only if the interest at the contractual rate together with the additional interest does not exceed the rate, which could have been allowed if such employees were originally employed by the bank.

9.1.3 In the case of employees taken on deputation from another bank, the bank from which they are deputed may allow additional interest in respect of the savings or term deposit account opened with it during the period of deputation.

9.1.4 In the case of persons taken on deputation for a fixed tenure or on a contract of a fixed tenure, the benefit will cease to accrue on the expiry of the term of deputation or contract, as the case may be.

9.1.5 Bank Employees' Federations, in which bank employees are not direct members, shall not be eligible for additional interest.

9.1.6 The additional interest may be paid on the following deposits after obtaining a declaration from the depositor concerned, that the monies deposited or which may be deposited from time to time into such account belong to the depositor :

- (i) member or a retired member of the bank's staff, either singly or jointly with any member or members of his / her family; or
- (ii) the spouse of a deceased member or a deceased retired member of the bank's staff; and
- (iii) an Association or a fund, members of which are members of the bank's staff.

9.2 Banks shall, at their discretion, formulate term deposit schemes specifically for resident Indian senior citizens, offering higher and fixed rates of interest as compared to normal deposits of any size.

Provided that this facility is not offered on the term deposit standing in the name of an HUF or the Karta of the HUF, even if the Karta is a resident Indian senior citizen.

9.3 Banks shall, at their discretion, give their resident Indian retired staffs, who are senior citizens, the benefit of additional interest rates as admissible to senior citizens over and above the additional interest payable to them by virtue of their being retired members of the banks' staff.

10. Interest on Overdue Domestic Deposits

10.1 The rate of interest to be paid on renewal of overdue term deposits shall be subject to the stipulation contained in the [paragraph 5](#) of these Directions.

10.2 If a Term Deposit (TD) matures and proceeds are unpaid, the amount left unclaimed with the bank, shall attract rate of interest as applicable to savings account or the contracted rate of interest on the matured TD, whichever is lower.

11. Floating Rate Domestic Term Deposits

Floating rate domestic term deposits shall be linked to a directly observable and transparent market determined external benchmark.

12. Periodicity of Payment of Interest on Domestic Savings Deposit

12.1 Interest on savings deposit shall be credited by commercial banks at quarterly or shorter intervals.

12.2 Interest on savings deposit shall be credited by co-operative banks at quarterly or longer intervals.

12.3 Interest on savings bank accounts, including those frozen by the enforcement authorities, shall be credited on regular basis, irrespective of the operational status of the account.

13. Interest Payable on the Domestic Deposit Account of Deceased Depositor

The rate of interest on matured deposits standing in the name of a deceased individual depositor or two or more joint depositors, where one of the depositors has died, shall be subject to the conditions laid down in [paragraph 5](#) of these Directions.

14. Discretion to pay interest on the minimum credit balance in the composite cash credit account of a farmer

Interest, if any, on the minimum credit balance in the composite cash credit account of a farmer maintained with commercial banks during the period from the 10th to the last day of each calendar month shall be paid, subject to the conditions given in [paragraph 5](#) of these Directions.

15. Penalty on Premature Withdrawal of Domestic Term Deposit

15.1 There shall be a comprehensive policy on penalties for premature withdrawal of term deposits approved by the Board of Directors or any committee of the Board to which powers have been delegated.

15.2 The components of penalty shall be clearly brought to the notice of the depositors at the time of acceptance of deposits. If not, no penalty shall be levied.

15.3 In case of splitting of the amount of term deposit at the request from the claimant(s) of deceased depositors or joint account holders, no penalty for premature withdrawal of the term deposit shall be levied if the period and aggregate amount of the deposit do not undergo any change.

15.4 No penalty for premature withdrawal shall be levied, where depositors of the branch of a commercial bank as mentioned in [paragraph 5.10](#) of these Directions desire premature withdrawal of deposit consequent to the transfer of business to another commercial bank.

Rupee deposits of non-residents under NRE and NRO deposits shall be accepted only by those banks that are authorised under [Foreign Exchange Management Act, 1999 \(FEMA\)](#) by Reserve Bank of India from time to time.

16. Interest Rates on Rupee Deposits - Non-Residents

Interest on deposits of money accepted or renewed under NRE / NRO deposit scheme shall be on the terms and conditions specified in the ensuing paragraphs :

16.1 The interest rates shall be subject to the conditions laid down in [paragraph 5](#) of these Directions.

16.2 Interest rates on savings deposits under NRE Deposit / NRO Deposits shall be in accordance with [paragraph 7](#) of these Directions.

16.3 Interest rates on NRE / NRO term deposits shall vary only on account of one or more of the following reasons :

Banks shall have the freedom to determine the maturity / tenor of the deposit subject to the condition that minimum tenor of NRE term deposits shall be one year and that of NRO term deposits shall be seven days.

Differential interest rate shall be offered only on bulk deposits.

Banks shall have the freedom to offer NRE / NRO term deposits without premature withdrawal option.

Provided that all NRE / NRO term deposits accepted from individuals (held singly or jointly) for amount of Rupees one crore and below shall have premature withdrawal facility.

16.4 Interest rates on NRE / NRO deposits shall not be higher than those offered by the banks on comparable domestic rupee term deposits.

16.5 The benefit of additional interest rate on deposits on account of being bank's own staff or senior citizens shall not be available to NRE and NRO deposits.

16.6 Interest on savings deposits shall be credited at quarterly or shorter intervals by commercial banks.

16.7 Interest on savings deposits shall be credited at quarterly or longer intervals by co-operative banks.

16.8 If an NRE account holder, immediately on return to India, requests for conversion of the NRE term deposit into Resident Foreign Currency (RFC) account, interest shall be paid as under :

16.8.1 If the NRE deposit has not run for a minimum period of one year, interest shall be paid at a rate not exceeding the rate payable on savings deposits held in RFC accounts.

16.8.2 In all other cases, interest shall be paid at the contracted rate.

17. Prohibition on Marking Lien

Banks shall not mark any type of lien, direct or indirect, against NRE saving deposits.

18. Penalty on Premature Withdrawal of NRE Deposits

There shall be a comprehensive policy on penalties for premature withdrawal of NRE term deposits approved by the Board of Directors or any committee of the Board to which powers have been delegated, subject to the following :

18.1 The components of penalty shall be clearly brought to the notice of the depositors at the time of acceptance of the deposits.

18.2 No penalty shall be levied for premature withdrawal of NRE term deposits for conversion into RFC account.

18.3 Penalties for premature withdrawal shall be levied for conversion of NRE deposit into FCNR(B) deposit and vice versa.

18.4 No penalty for premature withdrawal shall be levied, where depositors of the branch of a commercial bank as mentioned in [paragraph 5.10](#) of these Directions desire premature withdrawal of deposit consequent to the transfer of business to another commercial bank.

19. Interest Payable on the NRE Term Deposit Account of Deceased Depositor

In case the claimant(s) of an NRE term deposit account of a deceased depositor are residents, the deposit on maturity shall be treated as a domestic rupee term deposit and interest shall be paid for the subsequent period at a rate applicable to a domestic term deposit of similar maturity.

Foreign Currency deposits under FCNR(B) Scheme shall be accepted only by those banks that are authorised under [Foreign Exchange Management Act, 1999 \(FEMA\)](#) by Reserve Bank of India from time to time.

20. Foreign Currency (Non-resident) Accounts (Banks) Scheme

Interest on deposits of money accepted or renewed under the FCNR(B) Scheme shall be in accordance with the terms and conditions specified in the ensuing paragraphs :

20.1 The interest rates shall be subject to the conditions laid down in [paragraph 5](#) of these Directions.

20.2 Interest rates on term deposits under the FCNR(B) scheme shall vary only on account of one or more of the following reasons :

The maturity period for term deposits under the FCNR(B) scheme shall be as under :

(v) Five years only.

Provided that, no bank shall accept or renew FCNR(B) deposits over five years and no recurring deposits shall be accepted under the FCNR(B) Scheme.

Banks shall, at their discretion, decide the currency-wise minimum quantum on which differential rates of interest may be offered.

20.3 The interest rates on all deposits, including where differential rates of interest are offered, shall be subject to the overall ceiling prescribed at [paragraph 20.7](#) below.

20.4 Interest on floating rate deposits shall be paid within the ceiling of swap rates for the respective currency / maturity and in case of fixed rate deposits, interest shall be paid within the ceiling of Overnight Alternative Reference Rate (ARR) for the respective currency / maturity.

20.5 The interest reset period shall be six months for all floating rate deposits.

20.6 The Overnight ARR for the respective currency / SWAP rates as on the last working day of the preceding month shall form the base for fixing ceiling rates for the interest rates offered effective in the following month.

Period of Deposit	Ceiling Rate
1 year to less than 3 years	Overnight ARR for the respective currency / Swap plus 250 basis points
3 years and above upto and including 5 years	Overnight ARR for the respective currency / Swap plus 350 basis points

20.8 The Overnight ARR for the respective currency / Swap rates quoted / displayed by Financial Benchmarks India Pvt. Ltd. (FBIL) shall be used as the reference for arriving at the interest rates on FCNR(B) deposits.

21. Manner of Calculation of Interest on FCNR(B) Deposits

21.1 Interest on the deposits accepted under the scheme shall be calculated on the basis of 360 days to a year.

21.2 The interest on FCNR (B) deposits shall be calculated and paid at intervals of 180 days each and thereafter for the remaining actual number of days.

Provided that the option to receive the interest on maturity with compounding effect shall vest with the depositor.

22. Calculation of Interest on Renewal of FCNR(B) Deposits

22.1 If the period from the date of maturity till the date of renewal (both days inclusive) does not exceed 14 days, the rate of interest payable on the amount of the deposit so renewed shall be the appropriate rate of interest for the period of renewal as prevailing on the date of maturity or on the date when the depositor seeks renewal, whichever is lower.

22.2 In all other cases of renewal, interest rates for the overdue period on the renewed amount shall be determined by treating it as a fresh term deposit.

22.3 If, after renewal, the deposit is withdrawn before completion of the minimum stipulated period under the scheme, banks may, at their discretion, recover the interest paid for the overdue period i.e., period beyond the original date of maturity.

23. Interest Payable on the Deposit of a Deceased FCNR(B) Depositor

Banks shall pay interest on the term deposits standing in the name(s) of a deceased FCNR(B) individual depositor or two or more joint depositors, where one of the depositors has died, as under :

23.1 If paid on the maturity of the deposit, interest shall be paid at the contracted rate.

23.2 If the deposit is claimed before the maturity date, interest shall be paid not at the contracted rate but at the rate applicable to the period for which the deposit remained with the bank and without charging penalty for pre-payment.

23.3 In case the depositor dies before the date of maturity of the deposit, but the amount of the deposit is claimed after the date of maturity, interest shall be paid at the contracted rate till the date of maturity and simple interest at the applicable rate operative on the date of maturity for the period for which the deposit remained with the bank beyond the date of maturity.

23.4 In case of death of the depositor after the date of maturity of the deposit, the interest rate operative on the date of maturity in respect of savings deposit held under RFC Account Scheme shall be paid from the date of maturity till the date of payment.

23.5 In case the claimants are residents, the maturity proceeds shall be converted into Indian Rupees on the date of maturity and interest shall be paid for the subsequent period at the rate applicable to a domestic term deposit of similar maturity.

24. Payment of Interest on FCNR(B) Deposits of NRIs on Return to India

Banks may, at their discretion, on receipt of the request from the depositor, allow FCNR(B) deposits of persons of Indian nationality / origin who return to India for permanent settlement to continue till maturity at the contracted rate of interest subject to the conditions that :

24.1 The rate of interest as applicable to FCNR(B) deposits shall continue.

24.2 Such deposits shall be treated as resident deposits from the date of return of the account holder to India.

24.3 The FCNR(B) deposits on maturity shall be converted into Resident Rupee Deposit Account or RFC Account (if eligible) at the option of the account holder.

24.4 The rate of interest on the new deposit (Rupee account or RFC Account) shall be the relevant rate applicable for such deposit account.

25. Conversion of FCNR(B) Accounts of Returning Indians into RFC Accounts / Resident Rupee Accounts - Payment of Interest

Subject to the conditions given in [paragraph 5](#) of these Directions, a bank shall pay interest at the time of conversion of FCNR(B) Account into RFC / Resident Rupee Account even if the deposit has not completed the minimum maturity period mentioned in [paragraph 20.2.1](#) above.

Provided that the rate of interest shall not exceed the rate payable on savings bank deposits held under RFC Account Scheme.

26. Premature Withdrawal of Deposits

26.1 Banks shall, on request from the depositor, permit premature withdrawal of deposits under the FCNR(B) Scheme.

26.2 If the premature withdrawal of FCNR(B) deposits takes place before completion of the minimum stipulated period as mentioned in [paragraph 20.2.1](#) above, no interest shall be paid.

27. Penalty on Premature Withdrawal of Deposits

There shall be a comprehensive policy on penalties for premature withdrawal of FCNR(B) term deposits approved by the Board of Directors or any committee of the Board to which powers have been delegated, subject to the following :

27.1 The components of penalty shall be clearly brought to the notice of the depositors at the time of acceptance of the deposits. If not, the exchange loss arising out of premature withdrawal shall be borne by the banks.

(i) when the depositors return to India for permanent settlement.

(ii) for conversion of FCNR(B) deposits into NRE deposits or vice-versa.

27.3 In case of splitting of the amount of term deposit at the request from the claimant(s), no penalty for premature withdrawal of the term deposit shall be levied if the period and aggregate amount of the deposit do not undergo any change.

27.4 Banks shall, at their discretion, levy penalty to recover the swap cost in the case of premature withdrawal of FCNR(B) deposits.

27.5 No penalties shall be levied in the case of premature conversion of balances held in FCNR(B) deposits into RFC Accounts by Non-Resident Indians on their return to India.

27.6 No penalty for premature withdrawal shall be levied, where depositors of the branch of a commercial bank as mentioned in [paragraph 5.10](#) of these Directions desire premature withdrawal of deposit consequent to the transfer of business to another commercial bank.

28. Resident Foreign Currency Accounts Scheme

Banks shall have the freedom to determine interest on deposits of money accepted by it or renewed by it under the RFC Account Scheme, in accordance with the comprehensive policy on interest rates on deposits duly approved by the Board of Directors or any committee of the Board to which powers have been delegated.

29. Prohibitions

29.1 Pay any remuneration or fees or commission or brokerage or incentives on deposits in any form or manner to any individual, firm, company, association, institution or any other person except :

- (i) commission paid to agents employed to collect door-to-door deposits under a special scheme.
- (ii) commission paid to Direct Selling Agents / Direct Marketing Agents as part of the outsourcing arrangements by commercial banks
- (iii) remuneration paid to Business Facilitators or Business Correspondents.
- (iv) incentives granted to staff members of co-operative banks as approved by Reserve Bank of India from time to time.

29.2 Offer prize / lottery / free trips (in India and / or abroad), etc., or any other initiative having element of chance for mobilizing deposits. However, inexpensive gifts costing not more than Rupees 250/- which is the amount prescribed by the Indian Banks' Association (IBA) as part of the Ground Rules and Code of Ethics framed by them, may, at the commercial bank's discretion, be given to depositors at the time of accepting deposits.

29.3 Resort to unethical practices of raising of resources through agents / third parties to meet the credit needs of the existing / prospective borrowers or to grant loans to the intermediaries based on the consideration of deposit mobilisation.

29.4 Issue any advertisement / literature soliciting deposits from public highlighting only the compounded yield on term deposits without indicating the actual rate of simple interest offered by the bank for the particular period. Simple rate of interest per annum for the period of deposit should be indicated invariably.

29.5 Accept interest-free deposit other than in current account or pay compensation indirectly.

29.6 Accept deposits from / at the instance of private financiers or unincorporated bodies under any arrangement which provides for either issue of deposit receipt(s) favouring client/s of private financiers or giving of an authority by power of attorney, nomination or otherwise, for such clients receiving such deposits on maturity.

29.7 Grant advances against term deposits maintained with other banks.

29.8 Open a savings deposit account in the name of Government departments / bodies depending upon budgetary allocations for performance of their functions / Municipal Corporations or Municipal Committees / Panchayat Samitis / State Housing Boards / Water and Sewerage / Drainage Boards / State Text Book Publishing Corporations / Societies / Metropolitan Development Authority / State / District Level Housing Co-operative Societies, etc. or any political party or any trading / business or professional concern, whether such concern is a proprietary or a partnership firm or a company or an association and entities other than individuals, Karta of HUF and organisations / agencies listed in [Schedule-I](#).

Explanation For the purposes of this clause, 'political party' means an association or body of individual citizens of India, which is, or is deemed to be registered with the Election Commission of India as a political party under the Election Symbols (Reservation and Allotment) Order, 1968 as in force for the time being.

29.9 Create any fund to be utilized for charitable purposes in consultation with the depositors.

30. Exemptions

(i) from the institutions permitted to participate in the Call / Notice / Term Money Market both as lenders and borrowers.

(ii) for which it has issued a participation certificate.

(iii) under the Capital Gains Accounts Scheme, 1988 for commercial banks, framed by the Government of India in pursuance of [sub-section \(2\)](#) of Section 54, [sub-section \(2\)](#) of Section 54B, [sub-section \(2\)](#) of Section 54D, [sub-section \(4\)](#) of Section 54F and [sub-section \(2\)](#) of Section 54G of the Income-Tax Act, 1961; and

(iv) under the Certificate of Deposit Scheme for commercial banks.

30.2 Payment of interest on delayed collection of outstation instruments like cheques, drafts, bills, telegraphic / mail transfers, etc.

Schedule - I

i. Primary Co-operative Credit Society which is being financed by the bank.

ii. Khadi and Village Industries Boards.

-
- iii. Agriculture Produce Market Committees.
-
- iv. Societies registered under the Societies Registration Act, 1860 or any other corresponding law in force in a State or a Union Territory except societies registered under the State Co-operative Societies Acts and specific state enactment creating Land Mortgage Banks.
-
- v. Companies licensed by the Central Government under [Section 8](#) of Companies Act, 2013 or Section 25 of Companies Act, 1956 or under the corresponding provision in the Indian Companies Act, 1913 and permitted, not to add to their names the words 'Limited' or the words 'Private Limited'.
-
- vi. Institutions other than those mentioned in [paragraph 29.8](#) and whose entire income is exempt from payment of income tax under the [Income-Tax Act, 1961](#).
-
- vii. Government departments / bodies / agencies in respect of grants / subsidies released for implementation of various programmes / Schemes sponsored by Central Government / State Governments subject to production of an authorization from the respective Central / State Government departments to open savings bank account.
-
- viii. Development of Women and Children in Rural Areas (DWCR).
-
- ix. Self-help Groups (SHGs), registered or unregistered, which are engaged in promoting savings habits among their members.
-
- x. Farmers' Clubs - Vikas Volunteer Vahini - VVV.
-

31. With the issue of these Directions, the instructions / guidelines contained in the following Circulars / Directions issued by the Reserve Bank stand repealed :

Sl. No.	Circular / Master Direction No.	Date	Subject
1.	DBR.Dir.No.84/13.03.00/2015-16	03.03.2016	Master Direction - Reserve Bank of India (Interest Rate on Deposits) Directions, 2016
2.	DCBR.Dir.No.1/13.01.000/2015-16	12.05.2016	Master Direction - Reserve Bank of India (Co-operative Banks - Interest Rate on Deposits) Directions, 2016

@1 Actual Regulation should be "Foreign Exchange Management (Foreign Currency Accounts by a person resident in India) Regulations, 2015" instead of "Foreign Exchange Management (Foreign currency accounts by a person resident in India) Regulations, 2016"

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To,
The Chairman /
Managing Director /
Chief Executive Officer
[All Commercial Banks
including Regional Rural Banks,
Small Finance Banks, Local Area Banks
and Primary (Urban) Co-operative Banks
other than Salary Earners' Banks]

The Priority Sector Lending (PSL) guidelines issued by Reserve Bank of India were last reviewed for Commercial Banks in April 2015 and for UCBs in May 2018 respectively. With an objective to harmonise various instructions issued to Commercial Banks, SFBs, RRBs, UCBs and LABs; align these guidelines with emerging national priorities and bring sharper focus on inclusive development, it was decided to comprehensively review the PSL guidelines. The revised guidelines also aim to encourage and support environment friendly lending policies to help achieve Sustainable Development Goals (SDGs). This review also took into account the recommendations made by the 'Expert Committee on Micro, Small and Medium Enterprises (Chairman: Shri U.K. Sinha) and the 'Internal Working Group to Review Agriculture Credit' (Chairman: Shri M. K. Jain) apart from discussions with all stakeholders. Further, these Master Directions encompass the revised guidelines on PSL for all Commercial banks, RRBs, SFBs, UCBs and LABs and, accordingly, supersede the earlier Master Directions on PSL issued separately for Scheduled Commercial Banks, RRBs, SFBs and guidelines issued for UCBs, respectively. The list of circulars consolidated in these Master Directions is indicated in the [Appendix](#). The [Master Directions](#) have been placed on the RBI website www.rbi.org.in.

Master Directions- Reserve Bank of India (Priority Sector Lending - Targets and Classification) Directions, 2020

In exercise of the powers conferred by [Sections 21](#) and [35A](#) read with Section 56 of the Banking Regulation Act, 1949, the Reserve Bank of India, being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Directions hereinafter specified.

1. Short Title and Commencement

1.1 These Directions shall be called the Reserve Bank of India (Priority Sector Lending - Targets and Classification) Directions, 2020.

1.2 These Directions shall come into effect on the day they are placed on the official website of the Reserve Bank of India.

2. Applicability

The provisions of these Directions shall apply to every Commercial Bank [including Regional Rural Bank (RRB), Small Finance Bank (SFB), Local Area Bank] and Primary (Urban) Co-operative Bank (UCB) other than Salary Earners' Bank licensed to operate in India by the Reserve Bank of India.

3. Definitions / Clarifications

3.1 In these Directions, unless the context otherwise requires, the terms herein shall bear the meanings assigned to them below :

(i) 'Urban Co-operative Bank' or 'UCB' means a Primary Co-operative Bank as defined under [Section 5\(ccv\)](#) of the Banking Regulation Act, 1949 read with [Section 56](#) of the Act.

(ii) "On-lending" means loans sanctioned by banks to eligible intermediaries for onward lending for creation of priority sector assets. The average maturity of priority sector assets thus created by the eligible intermediaries should be co-terminus with maturity of the bank loan.

(iii) Contingent liabilities / off-balance sheet items do not form part of priority sector achievement. However, foreign banks with less than 20 branches have an option to reckon the Credit Equivalent of Off-Balance Sheet Exposures (CEOBE) extended to borrowers for eligible priority sector activities for achievement of priority sector target, subject to the condition that the CEOBE (both priority sector and non-priority sector excluding interbank exposure) should be added to the Adjusted Net Bank Credit (ANBC) in the denominator for computation of PSL targets.

(iv) Off-balance sheet interbank exposures are excluded for computing CEOBE for the priority sector targets.

(v) The term "all-inclusive interest" includes interest (effective annual interest), processing fees and service charges.

3.3 Banks must ensure that loans extended under priority sector are for approved purposes and the end use is continuously monitored. The banks should put in place proper internal controls and systems in this regard.

4. The categories under priority sector are as follows :

The details of eligible activities under the above categories are specified in [Chapter III](#).

5. Targets / Sub-targets for Priority sector

5.1 The targets and sub-targets set under priority sector lending, to be computed on the basis of the ANBC / CEOBE as applicable as on the corresponding date of the preceding year, are as under :

Categories	Domestic commercial banks (excl. RRBs & SFBs) & foreign banks with 20 branches and above	Foreign banks with less than 20 branches	Regional Rural Banks	Small Finance Banks
Total Priority Sector	40 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher	40 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher; out of which up to 32% can be in the form of lending to Exports and not less than 8% can be to any other priority sector	75 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher; However, lending to Medium Enterprises, Social Infrastructure and Renewable Energy shall be reckoned for priority sector achievement only up to 15 per cent of ANBC.	75 per cent of ANBC as computed in para 6 below or CEOBE whichever is higher.
Agriculture	18 per cent of ANBC or CEOBE, whichever is higher; out of which a target of 10 percent [#] is prescribed for Small and Marginal Farmers (SMFs)	Not applicable	18 per cent ANBC or CEOBE, whichever is higher; out of which a target of 10 percent [#] is prescribed for SMFs	18 per cent of ANBC or CEOBE, whichever is higher; out of which a target of 10 percent [#] is prescribed for SMFs
Micro Enterprises	7.5 per cent of ANBC or CEOBE, whichever is higher	Not applicable	7.5 per cent of ANBC or CEOBE, whichever is higher	7.5 per cent of ANBC or CEOBE, whichever is higher
Advances to Weaker Sections	12 percent [#] of ANBC or CEOBE, whichever is higher	Not applicable	15 per cent of ANBC or CEOBE, whichever is higher	12 percent [#] of ANBC or CEOBE, whichever is higher

Revised targets for SMFs and Weaker Section will be implemented in a phased manner as indicated in [para 5.2](#)

Categories	Primary Urban Co-operative Bank				
Total Priority Sector	40 per cent of ANBC or CEOBE, whichever is higher, which shall stand increased to 75 per cent of ANBC or CEOBE, whichever is higher, with effect from March 31, 2024. UCBs shall comply with the stipulated target as per the following milestones :				
	March 31, 2020	March 31, 2021	March 31, 2022	March 31, 2023	March 31, 2024
	40 %	45%	50%	60%	75%
Micro Enterprises	7.5 per cent of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher				
Advances to Weaker Sections	12 per cent# of ANBC or credit equivalent amount of Off-Balance Sheet Exposure, whichever is higher.				
# Revised targets for weaker sections will be implemented in a phased manner as indicated below					

5.2 The targets for lending to SMFs and for Weaker Sections shall be revised upwards from FY 2021-22 onwards as follows :

Financial Year	Small and Marginal Farmers target *	Weaker Sections target ^
2020-21	8%	10%
2021-22	9%	11%
2022-23	9.5%	11.5%
2023-24	10%	12%
* Not applicable to UCBs		
^ Weaker Sections target for RRBs will continue to be 15% of ANBC or CEOBE, whichever is higher.		

5.3 All domestic banks (other than UCBs) and foreign banks with more than 20 branches are directed to ensure that the overall lending to Non-Corporate Farmers (NCFs) does not fall below the system-wide average of the last three years' achievement which will be separately notified every year. The applicable target for lending to the non-corporate farmers for FY 2021-22 will be 12.73% of ANBC or CEOBE whichever is higher. All efforts should be made by banks to reach the level of 13.5 percent of ANBC (erstwhile target for direct lending to agriculture sector).

6. Computation of Adjusted Net Bank Credit (ANBC)

6.1 For the purpose of priority sector lending, ANBC denotes the outstanding Bank Credit in India [As prescribed in item No.VI of Form 'A' under [Section 42\(2\)](#) of the RBI Act, 1934] and computed as follows :

Bank Credit in India [As prescribed in item No.VI of Form 'A' under Section 42(2) of the RBI Act, 1934]	I
Bills Rediscounted with RBI and other approved Financial Institutions	II
Net Bank Credit (NBC)*	III (I-II)
Outstanding Deposits under RIDF and other eligible funds with NABARD, NHB, SIDBI and MUDRA Ltd in lieu of non-achievement of priority sector lending targets / sub-targets + outstanding PSLCs	IV
Eligible amount for exemptions on issuance of long-term bonds for infrastructure and affordable housing as per circular DBOD.BP.BC.No.25/08.12.014/2014-15 dated July 15, 2014	V
Advances extended in India against the incremental FCNR (B) / NRE deposits, qualifying for exemption from CRR / SLR requirements, as per the Reserve Bank's circulars DBOD.No.Ret.BC.36/12.01.001/ 2013-14 dated August 14, 2013 read with DBOD.No.Ret.BC.93/12.01.001/2013-14 dated January 31, 2014, DBOD mailbox clarification issued on February 6, 2014 and UBD.BPD.(PCB).CIR.No.5/13.01.000/2013-14 dated August 27, 2013 read with UBD.BPD.(PCB).Cir.No.72/13.01.000/2013-14 dated June 11, 2014.	VI
Investments made by public sector banks in the Recapitalization Bonds floated by Government of India	VII
Other investments eligible to be treated as priority sector (e.g. investments in securitised assets)	VIII

Face Value of securities acquired and kept under HTM category under the TLTRO 2.0 (Press Release 2019-2020/2237 dated April 17, 2020 read with Q.11 of FAQ and SLF-MF- Press Release 2019-2020/2276 dated April 27, 2020 and also Extended Regulatory Benefits under SLF-MF Scheme vide Press Release 2019-2020/2294 dated April 30, 2020.	IX
Bonds / debentures in Non-SLR categories under HTM category	X
For UCBs : investments made after August 30, 2007 in permitted non SLR bonds held under 'Held to Maturity' (HTM) category	XI
ANBC (Other than UCBs) III + IV- (V+VI+VII) +VIII - IX + X	
ANBC for UCBs III + IV - VI - IX + XI	
* For the purpose of priority sector computation only. Banks should not deduct / net any amount like provisions, accrued interest, etc. from NBC.	

6.2 For the purpose of calculation of CEOBE, banks may be guided by the Master Circular on Exposure Norms issued by Department of Regulation, RBI vide [DBR.No.Dir.BC.12/13.03.00/2015-16](#) dated July 1, 2015 and as updated from time to time. UCBs may be guided by the relevant provisions of the Master Circular dated July 1, 2015 on '[Prudential Norms on Capital Adequacy - UCBs](#)' issued by Reserve Bank of India.

6.4 While calculating Net Bank Credit as above, if banks subtract prudential write off at Corporate / Head Office level, it must be ensured that the credit to priority sector and all other sub-sectors so written off should also be subtracted category wise from priority sector and sub-target achievement. Wherever, investments or any other items which are treated as eligible for classification under priority sector target / sub-target achievement, the same should also form part of Adjusted Net Bank Credit.

6.5 All the banks have to adhere to the respective licencing guidelines and operating guidelines issued by the Department of Regulation, RBI and updated from time to time

7. Adjustments for weights in PSL Achievement

To address regional disparities in the flow of priority sector credit at the district level, it has been decided to rank districts on the basis of per capita credit flow to priority sector and build an incentive framework for districts with comparatively lower flow of credit and a dis-incentive framework for districts with comparatively higher flow of priority sector credit. Accordingly, from FY 2021-22 onwards, a higher weight (125%) would be assigned to the incremental priority sector credit in the identified districts where the credit flow is comparatively lower (per capita PSL less than 6000), and a lower weight (90%) would be assigned for incremental priority sector credit in the identified districts where the credit flow is comparatively higher (per capita PSL greater than 25,000). The list of both categories of districts is given in [Annex IA](#) & [IB](#). This

list will be valid for a period up to FY 2023-24 and will be reviewed thereafter. The districts other than those mentioned in Annex IA and IB will continue to have existing weightage of 100%.

The banks should continue to report the actual outstanding amount in QPSA returns as hitherto. Adjustments for weights to incremental PSL credit will be done by RBI, based on reporting of district wise credit flow to FIDD, CO through the ADEPT database. RRBs, UCBs, LABs and foreign banks (including WoS) would be exempted from adjustments of weights in PSL achievement due to their currently limited area of operation / catering to a niche segment.

8. Agriculture

The lending to agriculture sector will include Farm Credit (Agriculture and Allied Activities), lending for Agriculture Infrastructure and Ancillary Activities.

Loans to individual farmers [including Self Help Groups (SHGs) or Joint Liability Groups (JLGs) i.e. groups of individual farmers, provided banks maintain disaggregated data of such loans] and Proprietorship firms of farmers, directly engaged in Agriculture and Allied Activities, viz. dairy, fishery, animal husbandry, poultry, bee-keeping and sericulture. This will include :

- i. Crop loans including loans for traditional / non-traditional plantations, horticulture and allied activities.
- ii. Medium and long-term loans for agriculture and allied activities (e.g. purchase of agricultural implements and machinery and developmental loans for allied activities).
- iii. Loans for pre and post-harvest activities viz. spraying, harvesting, grading and transporting of their own farm produce.
- iv. Loans to distressed farmers indebted to non-institutional lenders.
- v. Loans under the Kisan Credit Card Scheme.
- vi. Loans to small and marginal farmers for purchase of land for agricultural purposes.
- vii. Loans against pledge / hypothecation of agricultural produce (including warehouse receipts) for a period not exceeding 12 months subject to a limit up to 75 lakh against NWRs / eNWRs and up to 50 lakh against warehouse receipts other than NWRs / eNWRs.
- viii. Loans to farmers for installation of stand-alone Solar Agriculture Pumps and for solarisation of grid connected Agriculture Pumps.
- ix. Loans to farmers for installation of solar power plants on barren / fallow land or in stilt fashion on agriculture land owned by farmer.

8.2 Farm Credit - Corporate farmers, Farmer Producer Organisations (FPOs) / (FPC) Companies of Individual Farmers, Partnership firms and Co-operatives of farmers engaged in Agriculture and Allied Activities

(a) Loans for the following activities will be subject to an aggregate limit of 2 crore per borrowing entity :

(i) Crop loans to farmers which will include traditional / non-traditional plantations and horticulture and loans for allied activities.

(ii) Medium and long-term loans for agriculture and allied activities (e.g. purchase of agricultural implements and machinery and developmental loans for allied activities).

(iii) Loans for pre and post-harvest activities viz. spraying, harvesting, grading and transporting of their own farm produce.

(b) Loans up to 75 lakh against pledge / hypothecation of agricultural produce (including warehouse receipts) for a period not exceeding 12 months against NWRs / eNWRs and up to 50 lakh against warehouse receipts other than NWRs / eNWRs.

(c) Loans up to 5 crore per borrowing entity to FPOs / FPCs undertaking farming with assured marketing of their produce at a pre-determined price.

(d) UCBs are not permitted to lend to co-operatives of farmers.

Loans for agriculture infrastructure will be subject to an aggregate sanctioned limit of 100 crore per borrower from the banking system. List of activities is furnished in [Annex II](#).

8.4.1 Following loans under ancillary services will be subject to limits prescribed as under :

i. Loans up to 5 crore to co-operative societies of farmers for purchase of the produce of members (Not applicable to UCBs)

ii. Loans up to 50 crore to Start-ups, as per definition of Ministry of Commerce and Industry, Govt. of India that are engaged in agriculture and allied services.

iii. Loans for Food and Agro-processing up to an aggregate sanctioned limit of 100 crore per borrower from the banking system.

8.4.2 Outstanding deposits under RIDF and other eligible funds with NABARD on account of priority sector shortfall.

8.4.3 The eligible activities under ancillary services and food processing is given in [Annex II](#) and [Annex III](#), respectively.

For the purpose of computation of achievement of the sub-target, Small and Marginal Farmers will include the following:

i. Farmers with landholding of up to 1 hectare (Marginal Farmers).

ii. Farmers with a landholding of more than 1 hectare and up to 2 hectares (Small Farmers).

iii. Landless agricultural labourers, tenant farmers, oral lessees and share-croppers whose share of landholding is within the limits prescribed for SMFs.

- iv. Loans to Self Help Groups (SHGs) or Joint Liability Groups (JLGs), i.e. groups of individual SMFs directly engaged in Agriculture and Allied Activities, provided banks maintain disaggregated data of such loans.
 - v. Loans up to 2 lakh to individuals solely engaged in Allied activities without any accompanying land holding criteria.
 - vi. Loans to FPOs / FPC of individual farmers and co-operatives of farmers directly engaged in Agriculture and Allied Activities where the land-holding share of SMFs is not less than 75 per cent, subject to loan limits prescribed in [para 8.2](#). UCBs are not permitted to lend to co-operatives of farmers.
- (i) Bank credit extended to registered NBFC-MFIs and other MFIs (Societies, Trusts etc.) which are members of RBI recognised SRO for the sector, for on-lending to individuals and also to members of SHGs / JLGs will be eligible for categorisation as priority sector advance under respective categories of agriculture subject to conditions specified in [para 21](#) (not applicable to RRBs, UCBs, SFBs and LABs).
 - (ii) Bank credit to registered NBFCs (other than MFIs) towards on-lending for 'Term lending' component under agriculture will be allowed up to .10 lakh per borrower subject to conditions specified in [para 22](#) and [24](#) (not applicable to RRBs, UCBs, SFBs and LABs).

9. Micro, Small and Medium Enterprises (MSMEs)

The definition of MSMEs will be as per Government of India (GoI), Gazette Notification [S.O.2119 \(E\)](#) dated June 26, 2020 read with circular RBI/2020-2021/10 [FIDD.MSME&NFS.BC.No.3/06.02.31/2020-21](#) read with [FIDD.MSME&NFS.BC.No.4/06.02.31/2020-21](#) dated July 2, 2020, August 21, 2020 respectively on 'Credit flow to Micro, Small and Medium Enterprises Sector' and updated from time to time. Further, such MSMEs should be engaged in the manufacture or production of goods, in any manner, pertaining to any industry specified in the [First Schedule](#) to the Industries (Development and Regulation) Act, 1951 or engaged in providing or rendering of any service or services. All bank loans to MSMEs conforming to the above guidelines qualify for classification under priority sector lending.

- (i) With Recourse' Factoring transactions by banks which carry out the business of factoring departmentally wherever the 'assignor' is a Micro, Small or Medium Enterprise would be eligible for classification under MSME category on the reporting dates.
- (ii) In terms of [paragraph 9](#) of Circular DBR.No. FSD.BC.32/24.01.007/2015-16 dated July 30, 2015 on 'Provision of Factoring Services by Banks- Review', inter-alia, the borrower's bank shall obtain from the borrower, periodical certificates regarding factored receivables to avoid double financing / counting. Further, the 'factors' must intimate the limits sanctioned to the borrower and details of debts factored to the banks concerned, taking responsibility to avoid double financing.

(iii) Factoring transactions pertaining to MSMEs taking place through the Trade Receivables Discounting System (TReDS) shall also be eligible for classification under priority sector.

All loans to units in the KVI sector will be eligible for classification under the sub-target of 7.5 percent prescribed for Micro Enterprises under priority sector.

(i) Loans up to 50 crore to Start-ups, as per definition of Ministry of Commerce and Industry, Govt. of India that confirm to the definition of MSME as per [Para 9](#).

(ii) Loans to entities involved in assisting the decentralized sector in the supply of inputs and marketing of output of artisans, village and cottage industries. In respect of UCBs, the term "entities" shall not include institutions to which UCBs are not permitted to lend under the RBI guidelines / the legal framework governing their functioning.

(iii) Loans to co-operatives of producers in the decentralized sector viz. artisans, village and cottage industries (Not applicable for UCBs).

(iv) Loans sanctioned by banks to NBFC-MFIs and other MFIs (Societies, Trusts etc.) which are members of RBI recognised SRO for the sector for on-lending to MSME sector as per the conditions specified in [paragraph 21](#) of these Master Directions (not applicable to RRBs, SFBs and UCBs)

(v) Loans to registered NBFCs (other than MFIs) for on-lending to Micro & Small Enterprises as per conditions specified in [para 22](#) of these Master Directions (not applicable to RRBs, SFBs and UCBs)

(vi) Credit outstanding under General Credit Cards (including Artisan Credit Card, Laghu Udyami Card, Swarojgar Credit Card and Weaver's Card etc. in existence and catering to the non-farm entrepreneurial credit needs of individuals).

(vii) Overdraft to Pradhan Mantri Jan-Dhan Yojana (PMJDY) account holders as per limits and conditions prescribed by Department of Financial Services, Ministry of Finance from time to time, will qualify as achievement of the target for lending to Micro Enterprises.

(viii) Outstanding deposits with SIDBI and MUDRA Ltd. on account of priority sector shortfall.

10. Export Credit (not applicable to RRBs and LABs)

Export credit under agriculture and MSME sectors are allowed to be classified as PSL in the respective categories viz. agriculture and MSME. Export Credit (other than in agriculture and MSME) will be allowed to be classified as priority sector as per the following table :

Domestic banks / WoS of Foreign banks / SFBs / UCBs	Foreign banks with 20 branches and above	Foreign banks with less than 20 branches

Incremental export credit over corresponding date of the preceding year, up to 2 per cent of ANBC or CEOBE whichever is higher, subject to a sanctioned limit of up to 40 crore per borrower.	Incremental export credit over corresponding date of the preceding year, up to 2 percent of ANBC or CEOBE whichever is higher.	Export credit up to 32 per cent of ANBC or CEOBE whichever is higher.
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10.1 Export credit includes pre-shipment and post-shipment export credit (excluding off-balance sheet items) as defined in Master Circular on Rupee / Foreign Currency Export Credit and Customer Service to Exporters issued by Department of Regulation, RBI vide [DBR No.DIR.BC.14/04.02.002/2015-16](#) dated July 1, 2015 and updated from time to time.

11. Education

Loans to individuals for educational purposes, including vocational courses, not exceeding 20 lakh will be considered as eligible for priority sector classification. Loans currently classified as priority sector will continue till maturity.

12. Housing

12.1 Bank loans to Housing sector as per limits prescribed below are eligible for priority sector classification :

(i) Loans to individuals up to 35 lakh in metropolitan centres (with population of ten lakh and above) and up to 25 lakh in other centres for purchase / construction of a dwelling unit per family provided the overall cost of the dwelling unit in the metropolitan centre and at other centres does not exceed 45 lakh and 30 lakh respectively. Existing individual housing loans of UCBs presently classified under PSL will continue as PSL till maturity or repayment.

(ii) Housing loans to banks' own employees will not be eligible for classification under the priority sector.

(iii) Since Housing loans which are backed by long term bonds are exempted from ANBC, banks should not classify such loans under priority sector. Investments made by UCBs in bonds issued by NHB / HUDCO on or after April 1, 2007 shall not be eligible for classification under priority sector.

12.2 Loans up to 10 lakh in metropolitan centres and up to 6 lakh in other centres for repairs to damaged dwelling units conforming to the overall cost of the dwelling unit as prescribed in [para 12.1](#).

12.3 Bank loans to any governmental agency for construction of dwelling units or for slum clearance and rehabilitation of slum dwellers subject to dwelling units with carpet area of not more than 60 sq.m.

12.4 Bank loans for affordable housing projects using at least 50% of FAR / FSI for dwelling units with carpet area of not more than 60 sq.m.

12.5 Bank loans to HFCs (approved by NHB for their refinance) for on-lending, up to 20 lakh for individual borrowers, for purchase / construction / reconstruction of individual dwelling units or for slum clearance and rehabilitation of slum dwellers, subject to conditions specified in [para 23](#) and [24](#).

12.6 Outstanding deposits with NHB on account of priority sector shortfall.

13. Social Infrastructure

Bank loans to social infrastructure sector as per limits prescribed below are eligible for priority sector classification

13.1. Bank loans up to a limit of 5 crore per borrower for setting up schools, drinking water facilities and sanitation facilities including construction / refurbishment of household toilets and water improvements at household level, etc. and loans up to a limit of 10 crore per borrower for building health care facilities including under 'Ayushman Bharat' in Tier II to Tier VI centres. In case of UCBs, the above limits are applicable only in centres having a population of less than one lakh.

13.2. # Bank loans to MFIs extended for on-lending to individuals and also to members of SHGs / JLGs for water and sanitation facilities subject to the criteria laid down in [paragraph 21](#) of these Master Directions. # not applicable to RRBs, UCBs and SFBs.

14. Renewable Energy

Bank loans up to a limit of 30 crore to borrowers for purposes like solar based power generators, biomass-based power generators, wind mills, micro-hydel plants and for non-conventional energy based public utilities, viz., street lighting systems and remote village electrification etc., will be eligible for Priority Sector classification. For individual households, the loan limit will be 10 lakh per borrower.

15. Others

The following loans as per the prescribed limits are eligible for priority sector classification :

15.1. Loans not exceeding 1.00 lakh per borrower provided directly by banks to individuals and individual members of SHG / JLG, provided the individual borrower's household annual income in rural areas does not exceed 1.00 lakh and for non-rural areas it does not exceed 1.60 lakh, and loans not exceeding 2.00 lakh provided directly by banks to SHG / JLG for activities other than agriculture or MSME, viz., loans for meeting social needs, construction or repair of house, construction of toilets or any viable common activity started by the SHGs.

15.2. Loans to distressed persons [other than distressed farmers indebted to non-institutional lenders] not exceeding 1.00 lakh per borrower to prepay their debt to non-institutional lenders.

15.3. Loans sanctioned to State Sponsored Organisations for Scheduled Castes / Scheduled Tribes for the specific purpose of purchase and supply of inputs and / or the marketing of the outputs of the beneficiaries of these organisations.

15.4. Loans up to 50 crore to Start-ups, as per definition of Ministry of Commerce and Industry, Govt. of India that are engaged in activities other than Agriculture or MSME.

16. Weaker Sections

16.1 Priority sector loans to the following borrowers will be considered as lending under Weaker Sections category :

(i)	Small and Marginal Farmers
(ii)	Artisans, village and cottage industries where individual credit limits do not exceed 1 lakh
(iii)	Beneficiaries under Government Sponsored Schemes such as National Rural Livelihood Mission (NRLM), National Urban Livelihood Mission (NULM) and Self Employment Scheme for Rehabilitation of Manual Scavengers (SRMS)
(iv)	Scheduled Castes and Scheduled Tribes
(v)	Beneficiaries of Differential Rate of Interest (DRI) scheme
(vi)	Self Help Groups
(vii)	Distressed farmers indebted to non-institutional lenders
(viii)	Distressed persons other than farmers, with loan amount not exceeding 1 lakh per borrower to prepay their debt to non-institutional lenders
(ix)	Individual women beneficiaries up to 1 lakh per borrower (For UCBs, existing loans to women will continue to be classified under weaker sections till their maturity / repayment.)
(x)	Persons with disabilities
(xi)	Minority communities as may be notified by Government of India from time to time.

16.2 Overdraft availed by PMJDY account holders as per limits and conditions prescribed by Department of Financial Services, Ministry of Finance from time to time may be classified under Weaker Sections.

16.3 In States, where one of the minority communities notified is, in fact, in majority, item (xi) will cover only the other notified minorities. These States / Union Territories are Punjab, Meghalaya, Mizoram, Nagaland, Lakshadweep and Jammu & Kashmir.

Investments by banks in 'securitised assets', representing loans to various categories of priority sector, except 'others' category, are eligible for classification under respective categories of priority sector depending on the underlying assets provided:

- (i) The assets are originated by banks and financial institutions and are eligible to be classified as priority sector advances prior to securitisation and fulfil the Reserve Bank of India guidelines on securitisation issued vide circular [DBOD.No.BP.BC-103/21.04.177/2011-12](#) dated May 7, 2012 and updated from time to time.
- (ii) The all-inclusive interest charged to the ultimate borrower by the originating entity should not exceed the investing bank's MCLR + 10% or EBLR + 14%.
- (iii) The investments in securitised assets originated by MFIs, which comply with the guidelines in [Paragraph 21](#) of these Master Directions are exempted from this interest cap as there are separate caps on margin and interest rate for MFIs.
- (iv) Purchase / assignment / investment transactions undertaken by banks with NBFCs, where the underlying assets are loans against gold jewellery, are not eligible for priority sector status.

18. Transfer of Assets through Direct Assignment / Outright purchase (not applicable to RRBs and UCBs)

Assignment / outright purchase of pool of assets by banks representing loans under various categories of priority sector, except the 'others' category, will be eligible for classification under respective categories of priority sector provided :

- (i) The assets are originated by banks and financial institutions which are eligible to be classified as priority sector advances prior to the purchase and fulfil the Reserve Bank of India guidelines on outright purchase / assignment issued vide circular [DBOD.No.BP.BC-103/21.04.177/2011-12](#) dated May 7, 2012 and updated from time to time.
- (ii) The all-inclusive interest charged to the ultimate borrower by the originating entity should not exceed the investing bank's MCLR + 10% or EBLR + 14%.
- (iii) The Assignments / Outright purchases of eligible priority sector loans from MFIs, which comply with the guidelines in [Paragraph 21](#) of these Master Directions are exempted from this interest rate cap as there are separate caps on margin and interest rate for MFIs.
- (iv) When the bank undertakes outright purchase of loan assets (eligible to be classified under priority sector) from banks / financial institutions, they must report the outstanding amount actually disbursed to priority sector borrowers and not the premium embedded amount paid to the seller.
- (v) Purchase / assignment / investment transactions undertaken by banks with NBFCs, where the underlying assets are loans against gold jewellery, are not eligible for priority sector status.

19. Inter Bank Participation Certificates (IBPCs) (not applicable to UCBs)

(i) IBPCs bought by banks, on a risk sharing basis, are eligible for classification under respective categories of priority sector, provided the underlying assets are eligible to be categorized under the respective categories of priority sector and the banks fulfil the Reserve Bank of India guidelines on IBPCs issued vide circular [DBOD.No.BP.BC.57/62-88](#) dated December 31, 1988 and updated from time to time.

(ii) IBPCs bought by banks on risk sharing basis relating to 'Export Credit' as per [Para 10](#), may be classified from purchasing bank's perspective for priority sector categorization. However, in such a scenario, the issuing bank shall certify that the underlying asset is 'Export Credit', in addition to the due diligence required to be undertaken by the issuing and the purchasing bank as per guidelines in this regard.

20. Priority Sector Lending Certificates (PSLCs)

The outstanding PSLCs bought by banks will be eligible for classification under respective categories of priority sector provided the underlying assets originated by banks are eligible to be classified as priority sector advances and fulfil the Reserve Bank of India guidelines on Priority Sector Lending Certificates issued vide Circular [FIDD.CO.Plan.BC.23/04.09.001/2015-16](#) dated April 7, 2016. SFBs may further be guided by the terms and conditions specified in [Para 1.9](#) of DBR circular No. DBR.NBD.26/16.13.218/2016-17 dated October 6, 2016 on credit risk transfer and portfolio sales / purchases.

21. Bank loans to MFIs (NBFC-MFIs, Societies, Trusts, etc.) for on-lending (not applicable to RRBs, UCBs, SFBs and LABs)

21.1 Banks other than SFBs are allowed to extend credit to registered NBFC-MFIs and other MFIs (Societies, Trusts etc.) which are members of RBI recognised SRO for the sector, for on-lending to individuals and also to members of SHGs / JLGs.

21.2 With effect from [May 5, 2021](#), SFBs are allowed to extend fresh credit to registered NBFC-MFIs and other MFIs (Societies, Trusts etc.) which are members of RBI recognised 'Self-Regulatory Organisation' of the sector, and which have a 'gross loan portfolio' of up to 500 crore as on 31 March 2021, for the purpose of on-lending to individuals. Bank credit as above will be permitted up to 10% of the bank's total priority sector portfolio as on 31 March, 2021. The above dispensation shall be valid up to March 31, 2022. However, loans thus disbursed will continue to be classified under Priority Sector till the date of repayment / maturity whichever is earlier.

21.3 Loans disbursed by banks under [para 21.1](#) and [21.2](#) above are eligible for categorisation as priority sector advance under respective categories viz., Agriculture, MSME, Social Infrastructure and Others, provided the MFIs adhere to the conditions prescribed in [Chapter II \(xx\)](#) and [Chapter VIII](#) of Master Directions DNBR PD.007 and [Chapter II \(xx\)](#) and [Chapter IX](#) of Master Directions DNBR PD.008/03.10.119/2016-17 dated September 1, 2016, as updated from time to time.

22. Bank loans to NBFCs for on-lending (not applicable to RRBs, UCBs, SFBs and LABs)

Bank credit to registered NBFCs (other than MFIs) for on-lending will be eligible for classification as priority sector under respective categories subject to the following conditions :

- (i) Agriculture : On-lending by NBFCs for 'Term lending' component under Agriculture will be allowed up to 10 lakh per borrower.
- (ii) Micro & Small enterprises : On-lending by NBFC will be allowed up to 20 lakh per borrower.

The above dispensation shall be valid upto March 2022. However, loans disbursed under the on-lending model will continue to be classified under Priority Sector till the date of repayment / maturity.

23. Bank loans to HFCs for on-lending (not applicable to RRBs, SFBs and LABs)

Bank credit to Housing Finance Companies (HFCs), approved by NHB for their refinance, for on-lending for the purpose of purchase / construction / reconstruction of individual dwelling units or for slum clearance and rehabilitation of slum dwellers, subject to an aggregate loan limit of 20 lakh per borrower. Banks should maintain necessary borrower-wise details of the underlying portfolio.

24. Cap on On-lending

Bank credit to NBFCs (including HFCs) for on-lending as applicable in [para 22](#) and [23](#) above, will be allowed up to an overall limit of five percent of individual bank's total priority sector lending. Banks shall compute the eligible portfolio under on-lending mechanism by averaging across four quarters, to determine adherence to the prescribed cap.

25. Co-lending by Banks and NBFCs to priority sector (not applicable to RRBs, UCBs, SFBs and LABs)

All Scheduled Commercial Banks (excluding SFBs, RRBs, UCBs and LABs) are permitted to co-lend with all registered Non-Banking Financial Companies (including Housing Finance Companies) for lending to the priority sector. Detailed guidelines, in this regard, have been issued vide our circular [FIDD.CO.Plan.BC.No.8/04.09.01/2020-21](#) dated November 5, 2020. For the sake of business continuity and to ensure uninterrupted flow of credit to the priority sector, banks may continue existing arrangement as per earlier guidelines on co-origination, issued vide our circular No. [FIDD.CO.Plan.BC/08/04.09.01/2018-19](#) dated September 21, 2018, till the Board approved co-lending policy is put in place by them.

26. COVID19 measures for PSL

- (i) In terms of the [press release 2019-2020/2237](#) dated April 17, 2020 notifying the TLTRO 2.0 scheme, banks were allowed to exclude the face value of such securities kept in the HTM category from computation of adjusted net bank credit (ANBC) for the purpose of determining

priority sector targets / sub-targets as shown in [para 6.1](#). This exemption is only applicable to the funds availed under TLTRO 2.0.

(ii) In terms of [press release 2019-2020/2276](#) dated April 27, 2020, the face value of securities acquired under the SLF-MF and kept in the HTM category will not be reckoned for computation of adjusted net bank credit (ANBC) for the purpose of determining priority sector targets / sub-targets as shown in [para 6.1](#).

(iii) In terms of [press release 2019-2020/2294](#) dated April 30, 2020, the regulatory benefits announced under the SLF-MF scheme will be extended to all banks, irrespective of whether they avail funding from the Reserve Bank or deploy their own resources under the above-mentioned scheme and the same can be reckoned for computation of adjusted net bank credit (ANBC) for the purpose of determining priority sector targets / sub-targets as shown in [para 6.1](#).

(iv) In terms of [press release : 2021-2022/177](#) dated May 7, 2021, an on-tap liquidity window of 50,000 crore with tenors of up to three years at the repo rate till March 31, 2022 has been opened to boost provision of immediate liquidity for ramping up COVID-related healthcare infrastructure and services in the country. Banks are expected to create a COVID loan book under the scheme. These loans will continue to be classified under priority sector till repayment or maturity, whichever is earlier. Banks may deliver these loans to borrowers directly or through intermediary financial entities regulated by the RBI. Banks desirous of deploying their own resources without availing funds from the RBI under the scheme for lending to the specified segments mentioned above will also be eligible for the incentives stipulated as above.

(v) In terms of [press release : 2021-2022/323](#) dated June 4, 2021, a separate liquidity window of 15,000 crore with tenors of up to three years at the repo rate till March 31, 2022 has been opened for certain contact-intensive sectors i.e., hotels and restaurants; tourism - travel agents, tour operators and adventure / heritage facilities; aviation ancillary services - ground handling and supply chain; and other services that include private bus operators, car repair services, rent-a-car service providers, event / conference organisers, spa clinics, and beauty parlours / saloons. Banks are expected to create a separate COVID loan book under the scheme. Banks desirous of deploying their own resources without availing funds from the RBI under the scheme for lending to the specified segments mentioned above will also be eligible for this incentive.

27. Monitoring of Priority Sector Lending targets

To ensure continuous flow of credit to priority sector, the compliance of banks will be monitored on 'quarterly' basis. The data on priority sector advances is required to be furnished by banks to FIDD, Central Office at quarterly and annual intervals as per the reporting format ([quarterly](#) and [annual](#)). In respect of RRBs, the data on priority sector advances, in the above format, must be furnished to NABARD at quarterly and annual intervals. In respect of UCBs, the data on priority sector advances in the reporting formats '[Statement I](#)' and '[Statement II \(Part A to D\)](#)' shall be furnished at quarterly and annual intervals, to the Regional Office of DoS, RBI.

28. Non-achievement of Priority Sector targets

- (i) Banks having any shortfall in lending to priority sector shall be allocated amounts for contribution to the Rural Infrastructure Development Fund (RIDF) established with NABARD and other funds with NABARD / NHB / SIDBI / MUDRA Ltd., as decided by the Reserve Bank from time to time.
- (ii) With effect from March 31, 2021, all UCBs (excluding those under all-inclusive directions) will be required to contribute to Rural Infrastructure Development Fund (RIDF) established with NABARD and other funds with NABARD / NHB / SIDBI / MUDRA Ltd., against their priority sector lending (PSL) shortfall vis-a-vis the prescribed target.
- (iii) While computing priority sector target achievement, shortfall / excess lending for each quarter will be monitored separately. A simple average of all quarters will be arrived at and considered for computation of overall shortfall / excess at the end of the year. The same method will be followed for calculating the achievement of priority sector sub-targets. (Illustration given in [Annex IV](#)).
- (iv) The interest rates on banks' contribution to RIDF or any other funds, tenure of deposits, etc. shall be fixed by Reserve Bank of India from time to time.
- (v) The mis-classifications reported by the Reserve Bank's Department of Supervision (DoS) (NABARD in respect of RRBs) would be adjusted / reduced from the achievement of that year, to which the amount of misclassification pertains, for allocation to various funds in subsequent years.
- (vi) Non-achievement of priority sector targets and sub-targets will be taken into account while granting regulatory clearances / approvals for various purposes.

29. Common guidelines for priority sector loans

Banks should comply with the following common guidelines for all categories of advances under the priority sector.

- (i) **Rate of interest** : The rates of interest on bank loans will be as per directives issued by Department of Regulation (DoR), RBI from time to time.
- (ii) **Service charges** : No loan related and ad hoc service charges / inspection charges should be levied on priority sector loans up to 25,000. In the case of eligible priority sector loans to SHGs / JLGs, this limit will be applicable per member and not to the group as a whole.
- (iii) **Receipt, Sanction / Rejection / Disbursement Register** : A register / electronic record should be maintained by the bank wherein the date of receipt, sanction / rejection / disbursement with reasons thereof, etc. should be recorded. The register / electronic record should be made available to all inspecting agencies.
- (iv) **Issue of acknowledgement of loan applications** : Banks should provide acknowledgement for loan applications received under priority sector loans. Bank Boards should prescribe a time limit within which the bank communicates its decision in writing to the applicants.

Sl. No	State	District name
1	Andaman Nicobar	South Andaman
2	Andhra Pradesh	Anantapur
3	Andhra Pradesh	Chittoor
4	Andhra Pradesh	East Godavari
5	Andhra Pradesh	Guntur
6	Andhra Pradesh	Krishna
7	Andhra Pradesh	Kurnool
8	Andhra Pradesh	Prakasam
9	Andhra Pradesh	Sri Potti Sriramulu Nellore
10	Andhra Pradesh	Visakhapatnam
11	Andhra Pradesh	West Godavari
12	Andhra Pradesh	Y.S.R.
13	Arunachal Pradesh	Papumpare
14	Assam	Kamrup Metropolitan
15	Bihar	Sheikhpura
16	Chandigarh	Chandigarh
17	Chhattisgarh	Durg
18	Chhattisgarh	Raipur

19	Dadra Nagar Haveli	Dadra&Nagar Haveli
20	Daman Diu	Daman
21	Delhi	Central Delhi
22	Delhi	East Delhi
23	Delhi	New Delhi
24	Delhi	North Delhi
25	Delhi	Shahdara
26	Delhi	South Delhi
27	Delhi	South-East Delhi
28	Delhi	South-West Delhi
29	Delhi	West Delhi
30	Goa	North Goa
31	Goa	South Goa
32	Gujarat	Ahmedabad
33	Gujarat	Bharuch
34	Gujarat	Gandhinagar
35	Gujarat	Junagadh
36	Gujarat	Kachchh
37	Gujarat	Mahesana

38	Gujarat	Morbi
39	Gujarat	Porbandar
40	Gujarat	Rajkot
41	Gujarat	Surat
42	Gujarat	Vadodara
43	Gujarat	Valsad
44	Haryana	Ambala
45	Haryana	Bhiwani
46	Haryana	Faridabad
47	Haryana	Fatehabad
48	Haryana	Gurgaon
49	Haryana	Hisar
50	Haryana	Jind
51	Haryana	Kaithal
52	Haryana	Karnal
53	Haryana	Kurukshetra
54	Haryana	Panchkula
55	Haryana	Panipat
56	Haryana	Rohtak

57	Haryana	Sirsa
58	Haryana	Sonipat
59	Haryana	Yamunanagar
60	Himachal Pradesh	Kinnaur
61	Himachal Pradesh	Kulu
62	Himachal Pradesh	Shimla
63	Himachal Pradesh	Sirmaur
64	Himachal Pradesh	Solan
65	Jammu Kashmir	Baramulla
66	Jammu Kashmir	Jammu
67	Jammu Kashmir	Pulwama
68	Jammu Kashmir	Samba
69	Jammu Kashmir	Shopian
70	Jammu Kashmir	Srinagar
71	Jharkhand	Ranchi
72	Karnataka	Bagalkote
73	Karnataka	Bangalore Rural
74	Karnataka	Bangalore Urban
75	Karnataka	Chikmagalur

76	Karnataka	Dakshin Kannad
77	Karnataka	Davangere
78	Karnataka	Dharwad
79	Karnataka	Hassan
80	Karnataka	Kodagu
81	Karnataka	Mysore
82	Karnataka	Raichur
83	Karnataka	Ramanagara
84	Karnataka	Shimoga
85	Karnataka	Udipi
86	Kerala	Alapuzha
87	Kerala	Ernakulam
88	Kerala	Idukki
89	Kerala	Kannur
90	Kerala	Kasaragod
91	Kerala	Kollam
92	Kerala	Kottayam
93	Kerala	Kozhikode
94	Kerala	Palakkad

95	Kerala	Pathanamthitta
96	Kerala	Thiruvananthapuram
97	Kerala	Thrissur
98	Kerala	Wayanad
99	Ladakh	Kargil
100	Ladakh	Leh Ladakh
101	Madhya Pradesh	Bhopal
102	Madhya Pradesh	Gwalior
103	Madhya Pradesh	Harda
104	Madhya Pradesh	Hoshangabad
105	Madhya Pradesh	Indore
106	Madhya Pradesh	Jabalpur
107	Madhya Pradesh	Narsimhapur
108	Madhya Pradesh	Ratlam
109	Madhya Pradesh	Sehore
110	Madhya Pradesh	Shajapur
111	Madhya Pradesh	Ujjain
112	Maharashtra	Aurangabad
113	Maharashtra	Mumbai

114	Maharashtra	Mumbai Suburban
115	Maharashtra	Nagpur
116	Maharashtra	Nasik
117	Maharashtra	Pune
118	Odisha	Khurda
119	Puducherry	Karaikal
120	Puducherry	Mahe
121	Puducherry	Puducherry
122	Puducherry	Yanam
123	Punjab	Amritsar
124	Punjab	Barnala
125	Punjab	Bathinda
126	Punjab	Faridkot
127	Punjab	Fatehgarh Sahib
128	Punjab	Fazilka
129	Punjab	Ferozpur
130	Punjab	Hoshiarpur
131	Punjab	Jalandhar
132	Punjab	Kapurthala

133	Punjab	Ludhiana
134	Punjab	Mansa
135	Punjab	Moga
136	Punjab	Muktsar
137	Punjab	Patiala
138	Punjab	Sahibzada Ajit Singh Nagar
139	Punjab	Sangrur
140	Punjab	Shahid Bhagat Singh Nagar
141	Punjab	Tarn Taran
142	Rajasthan	Ajmer
143	Rajasthan	Bhilwara
144	Rajasthan	Bikaner
145	Rajasthan	Ganganagar
146	Rajasthan	Hanumangarh
147	Rajasthan	Jaipur
148	Rajasthan	Jaisalmer
149	Rajasthan	Jodhpur
150	Rajasthan	Kota
151	Sikkim	East Sikkim

152	Tamil Nadu	Ariyalur
153	Tamil Nadu	Chennai
154	Tamil Nadu	Coimbatore
155	Tamil Nadu	Cuddalore
156	Tamil Nadu	Dharmapuri
157	Tamil Nadu	Dindigul
158	Tamil Nadu	Erode
159	Tamil Nadu	Kancheepuram
160	Tamil Nadu	Kanyakumari
161	Tamil Nadu	Karur
162	Tamil Nadu	Krishnagiri
163	Tamil Nadu	Madurai
164	Tamil Nadu	Nagapattinam
165	Tamil Nadu	Namakkal
166	Tamil Nadu	Nilgiris
167	Tamil Nadu	Perambalur
168	Tamil Nadu	Pudukkottai
169	Tamil Nadu	Ramanathapuram
170	Tamil Nadu	Salem

171	Tamil Nadu	Sivaganga
172	Tamil Nadu	Thanjavur
173	Tamil Nadu	Theni
174	Tamil Nadu	Thiruvallur
175	Tamil Nadu	Thiruvarur
176	Tamil Nadu	Tiruchirapalli
177	Tamil Nadu	Tirunelveli
178	Tamil Nadu	Tiruppur
179	Tamil Nadu	Tiruvannamalai
180	Tamil Nadu	Toothukudi
181	Tamil Nadu	Vellore
182	Tamil Nadu	Villupuram
183	Tamil Nadu	Virudhunagar
184	Telangana	Hyderabad
185	Telangana	Karimnagar
186	Telangana	Khammam
187	Telangana	Mahbubnagar
188	Telangana	Medchal-Malkajgiri
189	Telangana	Nalgonda

190	Telangana	Nizamabad
191	Telangana	Suryapet
192	Telangana	Warangal Urban
193	Uttar Pradesh	Agra
194	Uttar Pradesh	Gautam Buddha Nagar
195	Uttar Pradesh	Ghaziabad
196	Uttar Pradesh	Kanpur Nagar
197	Uttar Pradesh	Lucknow
198	Uttar Pradesh	Meerut
199	Uttarakhand	Dehra Dun
200	Uttarakhand	Haridwar
201	Uttarakhand	Nainital
202	Uttarakhand	Udham Singh Nagar
203	West Bengal	Darjiling
204	West Bengal	Kolkata
205	West Bengal	Paschim Bardhaman

Sl. No	State	District name
1	Andaman Nicobar	Nicobar
2	Arunachal Pradesh	Anjaw

3	Arunachal Pradesh	Chunglang
4	Arunachal Pradesh	Dibang Valley
5	Arunachal Pradesh	East Kameng
6	Arunachal Pradesh	East Siang
7	Arunachal Pradesh	Kra Daadi
8	Arunachal Pradesh	Kurung Kumey
9	Arunachal Pradesh	Lohit
10	Arunachal Pradesh	Longding
11	Arunachal Pradesh	Lower Dibang Valley
12	Arunachal Pradesh	Lower Siang
13	Arunachal Pradesh	Lower Subansiri
14	Arunachal Pradesh	Namsai
15	Arunachal Pradesh	Siang
16	Arunachal Pradesh	Tawang
17	Arunachal Pradesh	Tirap
18	Arunachal Pradesh	Upper Siang
19	Arunachal Pradesh	Upper Subansiri
20	Arunachal Pradesh	West Kameng
21	Arunachal Pradesh	West Siang

22	Assam	Baksa
23	Assam	Charaideo
24	Assam	Chirang
25	Assam	Dhemaji
26	Assam	Dhubri
27	Assam	Goalpara
28	Assam	Hailakandi
29	Assam	Hojai
30	Assam	Karbi Anglong
31	Assam	Kokrajhar
32	Assam	North Cachar Hills
33	Assam	South Salmara-Mankachar
34	Assam	Udalguri
35	Assam	West Karbi Anglong
36	Bihar	Araria
37	Bihar	Arwal
38	Bihar	Aurangabad
39	Bihar	Banka
40	Bihar	Bhojpur

41	Bihar	Darbhanga
42	Bihar	Gaya
43	Bihar	Gopalganj
44	Bihar	Jamui
45	Bihar	Jehanabad
46	Bihar	Katihar
47	Bihar	Khagaria
48	Bihar	Lakhisarai
49	Bihar	Madhepura
50	Bihar	Madhubani
51	Bihar	Munger
52	Bihar	Nalanda
53	Bihar	Nawada
54	Bihar	Paschimi Champaran
55	Bihar	Purbi Champaran
56	Bihar	Saharsa
57	Bihar	Samastipur
58	Bihar	Saran
59	Bihar	Sheohar

60	Bihar	Sitamarhi
61	Bihar	Siwan
62	Bihar	Supaul
63	Bihar	Vaishali
64	Chhattisgarh	Balod
65	Chhattisgarh	Balrampur
66	Chhattisgarh	Bastar
67	Chhattisgarh	Bemetara
68	Chhattisgarh	Bijapur
69	Chhattisgarh	Dakshin Bastar Dantewada
70	Chhattisgarh	Gariyaband
71	Chhattisgarh	Jashpur
72	Chhattisgarh	Kondagaon
73	Chhattisgarh	Mungeli
74	Chhattisgarh	Narayanpur
75	Chhattisgarh	Sukma
76	Chhattisgarh	Surajpur
77	Chhattisgarh	Surguja
78	Chhattisgarh	Uttar Bastar Kanker

79	Delhi	North-East Delhi
80	Gujarat	Dangs
81	Gujarat	Dohad
82	Haryana	Mewat
83	Jharkhand	Chatra
84	Jharkhand	Dumka
85	Jharkhand	Garhwa
86	Jharkhand	Giridih
87	Jharkhand	Gumla
88	Jharkhand	Jamtara
89	Jharkhand	Khunti
90	Jharkhand	Latehar
91	Jharkhand	Pakur
92	Jharkhand	Palamau
93	Jharkhand	Sahebganj
94	Jharkhand	Simdega
95	Madhya Pradesh	Alirajpur
96	Madhya Pradesh	Anuppur
97	Madhya Pradesh	Bhind

98	Madhya Pradesh	Dindori
99	Madhya Pradesh	Mandla
100	Madhya Pradesh	Niwari
101	Madhya Pradesh	Panna
102	Madhya Pradesh	Sidhi
103	Madhya Pradesh	Singrauli
104	Madhya Pradesh	Tikamgarh
105	Madhya Pradesh	Umaria
106	Maharashtra	Gadchiroli
107	Manipur	Bishenpur
108	Manipur	Chandel
109	Manipur	Churachandpur
110	Manipur	Imphal East
111	Manipur	Kakching
112	Manipur	Kamjong
113	Manipur	Kangpokpi
114	Manipur	Noney
115	Manipur	Pherzawal
116	Manipur	Senapati

117	Manipur	Tamenglong
118	Manipur	Tengnoupal
119	Manipur	Thoubal
120	Manipur	Ukhrul
121	Meghalaya	East Garo Hills
122	Meghalaya	East Jaintia Hills
123	Meghalaya	Jaintia Hills
124	Meghalaya	North Garo Hills
125	Meghalaya	South Garo Hills
126	Meghalaya	South West Garo Hills
127	Meghalaya	South West Khasi Hills
128	Meghalaya	West Garo Hills
129	Meghalaya	West Khasi Hills
130	Mizoram	Champhai
131	Mizoram	Kolasib
132	Mizoram	Lawngtlai
133	Mizoram	Lunglei
134	Mizoram	Mamit
135	Mizoram	Saiha

136	Mizoram	Serchhip
137	Nagaland	Kiphire
138	Nagaland	Longleng
139	Nagaland	Mon
140	Nagaland	Peren
141	Nagaland	Phek
142	Nagaland	Tuensang
143	Nagaland	Wokha
144	Nagaland	Zunheboto
145	Odisha	Gajapati
146	Odisha	Kandhamal
147	Odisha	Kendrapara
148	Odisha	Malkangiri
149	Odisha	Nawapara
150	Odisha	Nawrangpur
151	Sikkim	West Sikkim
152	Telangana	Komram Bheem (Asifabad)
153	Tripura	Gomati
154	Tripura	Khowai

155	Tripura	Sepahijala
156	Tripura	Unakoti
157	Uttar Pradesh	Ambedkar Nagar
158	Uttar Pradesh	Auraiya
159	Uttar Pradesh	Azamgarh
160	Uttar Pradesh	Ballia
161	Uttar Pradesh	Balrampur
162	Uttar Pradesh	Basti
163	Uttar Pradesh	Deoria
164	Uttar Pradesh	Farrukhabad
165	Uttar Pradesh	Gonda
166	Uttar Pradesh	Jaunpur
167	Uttar Pradesh	Kanpur Dehat
168	Uttar Pradesh	Kaushambi
169	Uttar Pradesh	Kushi Nagar
170	Uttar Pradesh	Maharajganj
171	Uttar Pradesh	Mau
172	Uttar Pradesh	Pratapgarh
173	Uttar Pradesh	Sant Kabir Nagar

174	Uttar Pradesh	Shravasti
175	Uttar Pradesh	Sidharthanagar
176	Uttar Pradesh	Sitapur
177	Uttar Pradesh	Sultanpur
178	Uttar Pradesh	Unnao
179	Uttarakhand	Bageshwar
180	Uttarakhand	Rudraprayag
181	Uttarakhand	Tehri Garhwal
182	West Bengal	Bankura
183	West Bengal	Jhargram
184	West Bengal	Puruliya

An indicative list of eligible activities under Agriculture infrastructure and Ancillary activities is given below :

Agriculture infrastructure	i)	Loans for construction of storage facilities (warehouse, market yards, godowns and silos) including cold storage units/cold storage chains designed to store agriculture produce/products, irrespective of their location.
	ii)	Soil conservation and watershed development.
	iii)	Plant tissue culture and agri-biotechnology, seed production, production of bio-pesticides, bio-fertilizer, and vermi composting.
	iv)	Loans for construction of oil extraction/ processing units for production of bio-fuels, their storage and distribution infrastructure along with loans to entrepreneurs for setting up Compressed Bio Gas (CBG) plants.

Ancillary activities	(i)	Loans for setting up of Agri-clinics and Agri-business centres.
	(ii)	Loans to Custom Service Units managed by individuals, institutions or organizations who maintain a fleet of tractors, bulldozers, well-boring equipment, threshers, combines, etc., and undertake farm work for farmers on contract basis.
	(iii)	Bank loans to Primary Agricultural Credit Societies (PACS), Farmers' Service Societies (FSS) and Large-sized Adivasi Multi-Purpose Societies (LAMPS) for on-lending to agriculture.
	(iv)	Loans sanctioned by banks to MFIs for on-lending to agriculture sector as per the conditions specified in paragraph 21 of these Master Directions.
	(v)	Loans sanctioned by banks to registered NBFCs (other than MFIs) as per conditions specified in paragraph 22 of these Master Directions.

Annex - III

Indicative list of Permissible Activities under Food Processing Sector as shared by Ministry of Food Processing Industries (MoFPI)

1. Cleaning, Air Cooling (Field Heat Removal), Sorting, Grading / Sizing, Packaging, Warehousing, Distribution of Fruits & Vegetables etc.
2. Transportation including in refrigerated van / Cold Chain infrastructure system
Packaging and storage including techniques like Silo, Hermetic storage; pest management.
3. Storage at low temperature / Cold Storage / Modified / Controlled Atmosphere packaging, Refrigeration / Chilling etc.
4. Primary and / or Minimal Processing of F&V: - Blanching (Vegetables), Peeling, Cutting, Storage, Distribution at Low temperature, vacuum packaging etc.
5. Sun Drying and Mechanical Drying: - Solar Drying, Hot air drying, Dehydration, hybrid drying, fluidized bed drying, refractive window drying, drum drying, radio frequency drying, Lyophilisation (Freeze Drying), Vacuum Drying, Spray Drying, De-hydro-freezing etc.

6.	Preservation through various methods; both traditional and modern.
7.	Frozen Products: Individually Quick Frozen (IQF) of Fruit, Vegetables, Meat, Fish, Sea Foods etc.
8.	Milk and Milk products processing, including their transportation, packaging and storage.
9.	Canning of Fruit, Vegetables including Mushrooms, Meat, Fish, crustaceans, molluscs, other Sea Foods etc.
10.	Milling Grains, Legumes & Pulses, Preparation of their by-products such as Bran Oil, Cattle Feed / Poultry feed etc.
11.	Processing of F&V into different products such as juices, concentrates, sauces, jam, jellies, marmalades, Chips, Flakes, Powders etc.
12.	Processing of Grains & Pulses, Fish, Meat, Poultry, Sea Foods, Egg etc. into their different products including extruded, popped, puffed and flaked products and their packaging and storage including fumigation, Smoking etc.
13.	Oil seed Extraction- Rendering, Pressing, Hydrogenation, Refining with Extraction, Filling / packaging etc.
14.	Spices, Seasoning and Condiments - Grinding, Crushing, Milling, Sieving, Mixing, Blending, Roasting, Packaging, Storage, Distribution.
15.	Production of fermented Products and Alcoholic- Wines, Vinegar, Milk products, Prebiotics, Probiotics etc.
16.	Production of beverages - Juices, RTS, Nectar, Squash, Cordial, Syrups / Sherbets, Soups, Carbonated Beverages etc.
17.	Production of Cocoa, Coffee, Chicory and Tea Products; including Cocoa Butter, Cocoa Powder, Chocolates, wafers etc.
18.	Production of Bakery and Confectionary Products - Biscuits, Bread, Cakes, Cookies, Toffee etc.
19.	Production of Jaggery, Sugar, Khandasari etc from Sugarcane, Beet, Palm etc.
20.	Production of apiary products (honey processing; both natural and artificial honey).

-
21. Production of Starch and Starch Products - Sago, Tapioca, Corn, Noodles, Macaroni, Vermicelli etc,
-
22. Slaughtering of animals / ruminants / birds etc. and their processing.
-
23. Nuts Processing; coconut-based product processing such as water, nuts etc.
-
24. Processing of other products such as Instant Mixes, Ready to Eat (RTE) retort-based products, ready to cook and Beverages etc.
-
25. Nutraceutical products / functional foods / fortified food / enriched food preparation.
-
26. Production of Organic food products.
-
27. Processing of algal and fungal products (eg Spirulina, Mushrooms etc), including packaging and enhancement of shelf life.
-
28. Processing plantation crops, packaging, storage and enhancement of shelf life.
-
29. Production of food grade packaging material such as laminates, tetra packs, bottles, tin containers etc.
-
-
-
-

Annex - IV

Priority Sector achievement - Calculation of shortfall / excess

Illustration :

[Tables No.1](#) and [2](#) below illustrate the method followed for computation of shortfall / excess in priority sector target achievement at the end of the financial year under the revised PSL guidelines.

(Table 1)				
Amount in crore				
Quarter ended	PSL targets (A)	Priority Sector Amount Outstanding (B)	Adjustments for weightage on incremental credit to identified districts as per para 7 of MD (C)	Shortfall / Excess (B)+(C)-(A)
June	329615	316938	1625	-11052
September	308826	311945	-810	2309
December	317694	319291	-819	778
March	324560	321347	2925	-288
Total	1280695	1269521	2921	-8253
Average	320174	317380	730	-2063

(Table 2)				
Amount in crore				
Quarter ended	PSL targets (A)	Priority Sector Amount Outstanding (B)	Adjustments for weightage on incremental credit to identified districts as per para 7 of MD (C)	Shortfall / Excess (B)+(C)-(A)
June	329615	327967	1500	-148
September	308826	312378	-729	2823
December	317694	327225	975	10506
March	324560	321315	-765	-4010
Total	1280695	1288885	981	9171
Average	320174	322221	245	2293

In the example given in [Table - 1](#), the bank has overall shortfall of 2063 crore at the end of the financial year. In [Table - 2](#), the bank has overall excess of 2293 crore at the end of the financial year.

The Adjustments due to weightage on incremental credit in identified districts as per [para 7](#), will be as per the data submitted by banks in the Automated Data Extraction Project (ADEPT).

The same method will be followed for calculating the achievement of quarterly and yearly priority sector sub-targets.

Note: The computation of priority sector targets / sub-targets achievement will be based on the ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposures, whichever is higher, as at the corresponding date of the preceding year.

Appendix

List of Circulars Consolidated

Sr. #	Circular No.	Date	Subject
1.	FIDD.CO.Plan.BC.No.15/04.09.01/2021-22	October 8, 2021	Priority Sector Lending- Banks' lending to NBFCs for on-lending - Extension of facility
2.	CO.FIDD.PCD.No.S414/04-09-001/2021-22	August 17, 2021	Priority Sector Lending (PSL) - Target for Non-Corporate Farmers FY 2021-22
3.	FIDD.CO.Plan.BC.No.10/04.09.01/2021-22	May 5, 2021	Priority Sector Lending (PSL) - On-lending by Small Finance Banks (SFBs) to NBFC-MFIs
4.	FIDD.CO.Plan.BC.No.7/04.09.01/2021-22	April 7, 2021	Priority Sector Lending (PSL) - Increase in limits for bank lending against Negotiable Warehouse Receipts (NWRs) / electronic Negotiable Warehouse Receipts (eNWRs)
5.	FIDD.CO.Plan.BC.No.8/04.09.01/2021-22	April 7, 2021	Priority Sector Lending (PSL) - Lending by banks to NBFCs for On-Lending
6.	CO.FIDD.PCD.No.S7850/04-09-001/2020-21	February 16, 2021	Priority Sector Lending (PSL) - Interest Cap on Investment by Banks in Securitised Assets/Direct Assignment

7.	CO.FIDD.PCD.No.S7519/04-09-001/2020-21	February 15, 2021	Regional Rural Banks- Issue of Inter-Bank Participation Certificates
8.	FIDD.CO.Plan.BC.No.8/04.09.01/2020-21	November 5, 2020	Co-Lending by Banks and NBFCs to Priority Sector
9.	DOR(PCB).BPD.Cir.No.12/09.09.002/2019-20	April 24, 2020	Non-achievement of Priority Sector Lending Targets by Primary (Urban) Co-operative Banks (UCBs) - Contribution to the Rural Infrastructure Development Fund (RIDF) and other funds
10.	FIDD.CO.Plan.BC.No.19/04.09.01/2019-20	March 23, 2020	Priority Sector Lending - Lending by banks to NBFCs for On-Lending
11.	FIDD.CO.Plan.BC.12/04.09.01/2019-20	September 20, 2019	Priority Sector Lending (PSL)- Classification of Exports under Priority Sector
12.	FIDD.CO.Plan.BC.No.11/04.09.01/2019-20	September 19, 2019	Priority Sector Targets- Lending to Non-Corporate Farmers-FY 2019-20
13.	FIDD.CO.Plan.BC7/04.09.01/2019-20	August 13, 2019	Priority Sector Lending - Lending by banks to NBFCs for On-Lending
14.	Master Directions FIDD.CO.Plan.BCNo.08/04.09.01/2019-20	July 29, 2019 (Updated as on March 12, 2020)	Master Directions - Priority Sector Lending - Small Finance Banks - Targets and Classification

15.	FIDD.CO.Plan.BC.18/04.09.01/2018-19	May 06, 2019	Priority Sector Lending - Targets and Classification
16.	Letter to Indian Banks' Association No. FIDD.CO.Plan.772/04.09.001/2018-19	October 4, 2018	Exemption of Special GOI Securities issued to Public Sector Banks from Adjusted Net Bank Credit (ANBC)
17.	FIDD.CO.Plan.BC.08/04.09.01/2018-19	September 21, 2018	Co-origination of loans by Banks and NBFCs for lending to priority sector
18.	FIDD.CO.Plan.BC.07/04.09.01/2018-19	July 12, 2018	Priority Sector Lending - Targets and Classification: Lending to non-corporate farmers - System wide average of last three years
19.	FIDD.CO.Plan.BC.22/04.09.01/2017-18	June 19, 2018	Priority Sector Lending - Targets and Classification
20.	DCBR.BPD(PCB).Cir.No.07/09.09.002/2017-18	May 10, 2018	Revised guidelines on lending to Priority Sector for Primary (Urban) Co-operative Banks (UCBs)
21.	FIDD.CO.Plan.BC.18/04.09.01/2017-18	March 1, 2018	Priority Sector Lending - Targets and Classification
22.	FIDD.CO.Plan.BC.16/04.09.01/2017-18	September 21, 2017	Priority Sector Lending - Targets and Classification: Lending to non-corporate farmers - System wide average of last three years

23.	FIDD.CO.SFB.No.9/04.09.001/2017-18	July 6, 2017	Small Finance Banks - Compendium of Guidelines on Financial Inclusion and Development
24.	FIDD.CO.Plan.BC.No.17/04.09.001/2016-17	October 6, 2016	Priority Sector Lending - Revised Reporting System
25.	DBR.NBD.No.26/16.13.218/2016-17	October 6, 2016	Operating Guidelines for Small Finance Banks
26.	Master Directions DNBRPD.007 and 008/03.10.119/2016-17	September 1, 2016 (updated as on February 17, 2020)	Master Directions 2016-NBFC-Non-SI-Non-deposit taking and SI-Non-Deposit and Deposit taking Company, respectively
27.	FIDD.CO.Plan.BC.No.14/04.09.001/2016-17	September 1, 2016	Priority Sector Lending-Targets and Classifications : Lending to Non-corporate Farmers - System Wide Average of last three years
28.	FIDD.CO.Plan.BC.No.10/04.09.001/2016-17	August 11, 2016	Priority Sector Lending Status for Factoring Transactions
29.	FIDD.CO.Plan.BC.No.8/04.09.001/2016-17	July 28, 2016	PSL-Targets and Classification - Bank loans to MFIs for on-lending- Qualifying asset - Revised loan limit
30.	Master Directions FIDD.CO.Plan.2/04.09.01/2016-17	July 07, 2016 (Updated as on June 18, 2019)	Master Directions - Regional Rural Banks - Priority Sector Lending - Targets and Classification

31.	FIDD.CO.Plan.BC.23/04.09.01/2015-16	April 7, 2016	Priority Sector Lending Certificates
32.	DBOD Mailbox clarification	March 28, 2016	Bank loans to proprietorship under Priority Sector
33.	DBOD Mailbox clarification	March 17, 2016	Eligibility of IBPC as Priority Sector Asset
34.	FIDD.CO.Plan.BC.No.14/04.09.01/2015-16	December 03, 2015	Regional Rural Banks - Priority Sector Lending - Targets and Classification
35.	DBOD Mailbox clarification	November 27, 2015	Bank loans to SHGs/ JLGs- Processing Charges
36.	FIDD.CO.Plan.BC.13/04.09.01/2015-16	November 18, 2015	Priority Sector Lending-Targets and Classification
37.	DBOD Mailbox clarification	September 7, 2015	Calculation of shortfall/ excess
38.	DBOD Mailbox clarification	August 14, 2015	Social Infrastructure and Bank loans to MFIs for on-lending - Social Infrastructure
39.	FIDD.CO.Plan.BC.08/04.09.01/2015-16	July 16, 2015	Priority Sector Lending -Targets and Classification
40.	DBOD Mailbox clarification	June 26, 2015	Outstanding deposits with MUDRA Ltd. On account of priority sector shortfall
41.	DBOD Mailbox clarification	June 12, 2015	Loans to Minority Communities
42.	DBOD Mailbox clarification	June 11, 2015	Loans to Custom Service Units

43.	<u>FIDD.CO.Plan.BC.54/04.09.01/2014-15</u>	April 23, 2015	Priority Sector Lending-Targets and Classification
44.	<u>DCBR.BPD.(PCB)Cir.No.7/14.01.062/2014-15</u>	March 19, 2015	Priority Sector Lending - Persons with Disabilities (PwD) - Inclusion under Weaker Sections
45.	<u>DCBR.BPD.(PCB)Cir.No.5/14.01.062/2014-15</u>	February 18, 2015	Credit Facilities to Minority Community - Inclusion of Jain Community under Section 2c of National Commission of Minorities (NCM) Act, 1982
46.	<u>UBD.BPD.(PCB).Cir.No.72/13.01.000//2013-14</u>	June 11, 2014	Section 42(1) of the Reserve Bank of India Act, 1934 and Section 18 & 24 of the Banking Regulation Act, 1949 (AACS)- FCNR (B)/NRE deposits - Exemption from Maintenance of CRR / SLR and Exclusion from ABC for Priority Sector Lending
47.	<u>UBD.CO.BPD.(PCB).Cir.No.13/09.22.010/2013-14</u>	September 10, 2013	Finance for Housing Schemes - Primary (Urban) Co-operative Banks - Loans for Repairs / Additions / Alterations - Enhancement of Limits

48.	UBD.BPD.(PCB).CIR.No.5/13.01.000/2013-14	August 27, 2013	Section 42(1) of the Reserve Bank of India Act, 1934 and Section 18 and 24 of the Banking Regulation Act, 1949 (AACS) - FCNR (B) / NRE Deposits - Exemption from Maintenance of CRR / SLR and Exclusion from ABC for Priority Sector Lending
49.	UBD.BPD.(PCB).CIR.No.33/09.09.001/2011-12	May 18, 2012	Priority Sector Lending -Indirect Finance to Housing Sector.
50.	UBD.BPD.(PCB)CIR.No.50/13.05.000(B)/2010-11	June 2, 2011	Financing of Self Help Groups (SHGs) and Joint Liability Groups (JLGs) by Primary (Urban) Co-operative Banks (UCBs)
51.	UBD.CO.BPD.No.70/09.09.001/2009-10	June 15, 2010	Advances to MSEs engaged in exports and export credit to agriculture / allied activities
52.	UBD.BPD(PCB).Cir.No.50/09.09.01/2009-10	March 25, 2010	Categorisation of activities under Services
53.	UBD.PCB.Cir.No.26/09.09.001/07-08	November 30, 2007	Priority Sector lending-Revision of target - UCBs
54.	UBD.PCB.Cir.No.11/09.09.01/07-08	August 30, 2007	Revised Guidelines on Lending to Priority Sector for UCBs
55.	UBD.PCB.Cir.No.11(126A)/09.09.001/2007-08	August 30, 2007	Priority Sector Advances - List of minority Concentrated Districts

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Please refer to the Master Circular [DOR.CRE.REC.No.27/07.10.002/2023-24](#) dated July 25, 2023 on the captioned subject, consolidating the instructions / guidelines issued to UCBs till July 24, 2023. Attached is the revised [Master Circular](#), updated to reflect all instructions issued upto March 31, 2025 on the above matter, as listed in the [Appendix](#). It may be noted that this Master Circular only consolidates all instructions on the above matter issued up to March 31, 2025 and does not contain any new instructions / guidelines.

1. Introduction

Primary (Urban) Cooperative Banks (UCBs) are expected to lay down, with the approval of their boards, transparent policies and guidelines for credit dispensation, in respect of each broad category of economic activity, keeping in view the credit exposure norms and various other guidelines issued by the Reserve Bank of India from time to time.

In order to ensure that the loan policy of the UCB reflects approved internal risk appetite and remains in alignment with the extant regulations, it shall be reviewed by the Board at least once in a financial year.

2. Working Capital Requirements

2.1 The assessment of working capital requirement of borrowers, other than micro and small enterprises, requiring fund based working capital limits up to 1 crore and micro and small enterprises requiring fund based working capital limits up to 5 crore from the banking system may be made on the basis of their projected annual turnover.

2.2 In accordance with these guidelines, the working capital requirement is to be assessed at 25% of the projected turnover to be shared between the borrower and the UCB, viz. borrower contributing 5% of the turnover as Net Working Capital (NWC) and UCB providing finance at a minimum of 20% of the turnover. Projected turnover may be interpreted as 'Gross Sales' including excise duty.

2.3 The UCBs may, at their discretion, carry out the assessment based on projected turnover basis or the traditional method. If the credit requirement based on traditional production / processing cycle is higher than the one assessed on projected turnover basis, the same may be sanctioned, as borrower must be financed up to the extent of minimum 20% of their projected annual turnover. The projected annual turnover would be estimated on the basis of annual statements of accounts or other documents such as returns filed with sales-tax / revenue authorities. Actual drawals may be allowed on the basis of drawing power to be determined by UCBs after excluding unpaid stocks.

2.4 Drawals against the limits should be allowed against the usual safeguards including drawing power and it is to be ensured that the same are used for the purpose intended. UCBs will have to ensure regular and timely submission of monthly statements of stocks, receivables, etc., by the borrowers and also periodical verification of such statements vis-a-vis physical stocks by their officials.

2.5 In respect of borrowers other than micro and small enterprises, requiring working capital limits above 1 crore and for micro and small enterprises / units requiring fund based working capital limits above 5 crore, UCBs may determine the working capital requirements according to their perception of the credit needs of borrowers. UCBs may adopt turnover method or cash budgeting method or any other method as considered necessary. However, UCBs may ensure that the book-debt finance does not exceed 75% of the limits sanctioned to borrowers for financing inland credit sales. The remaining 25% of the credit sales may be financed through bills to ensure greater use of bills for financing sales.

3. Loan System for Delivery of Bank Credit

3.1 In the case of borrowers enjoying working capital credit limits of 10 crore and above from the banking system, the loan component should normally be 80% and the remaining Cash Credit component. UCBs have been given freedom to change the composition of working capital by increasing the cash credit component beyond 20% or increase the loan component beyond 80%, as the case may be, if they so desire. UCBs are expected to appropriately price each of the two components of working capital finance, taking into account the impact of such decisions on their cash and liquidity management.

3.2 In the case of borrowers with working capital (fund based) credit limit of less than 10 crore, UCBs may persuade them to go in for the Loan System by offering an incentive in the form of lower rate of interest on the 'loan component' as compared to the 'cash credit component'. The actual percentage of 'loan component' in these cases may be settled by the UCB with its borrower clients.

The release of ad hoc / additional credit for meeting temporary requirements may be considered by the financing UCB only after the borrower has fully utilised / exhausted the existing limit. As certain concerns were observed with regard to practices followed by banks in this regard, it has been reiterated vide circular [DoS.CO.PPG.BC.1/11.01.005/2020-21](#) dated August 21, 2020, that UCBs are expected to have a detailed Board approved policy on methodology and periodicity for review / renewal of credit facilities within the overall regulatory guidelines and adhere to the same strictly. Further, timely and comprehensive review / renewal of credit facilities should be an integral part of the Board approved loan policy and credit risk management framework, and UCBs should avoid frequent and repeated ad-hoc / short review / renewal of credit facilities without justifiable reasons. UCBs are also advised to capture all the data relating to regular as well as ad-hoc / short review / renewal of credit facilities in their core banking systems / management information systems and make the same available for scrutiny as and when required by any audit or inspection by Auditors / RBI. Moreover, the processes governing review / renewal of credit facilities should be brought under the scope of concurrent / internal audit / internal control mechanism of UCBs with immediate effect.

In respect of consortium lending, the level of individual bank's share in Cash Credit and Loan Component shall be governed by the norm for single / group borrowers' credit exposure.

UCBs are allowed to fix separate lending rates for 'loan component' and 'cash credit component'.

The minimum period of the loan for working capital purposes may be fixed by UCBs in consultation with borrowers. UCBs may decide to split the loan component according to the need of the borrower with different maturity bases for each segment and allow roll over.

In respect of borrowers enjoying export credit limit, the bifurcation of the working capital limit into loan and cash credit components, would be effected after excluding the export credit limits (pre-shipment and post-shipment).

3.8.1 Bills limit for inland sales may be fully carved out of the 'loan component'. Bills limit also includes limits for purchase of third party (outstation) cheques / bank drafts. UCBs must satisfy themselves that the bills limit is not mis-utilised.

3.8.2 UCBs may lay down policy guidelines for periodic review of the working capital limit and the same may be scrupulously adhered to.

4. Credit Administration

4.1.1 UCBs are permitted to determine their lending rates taking into account their cost of funds, transaction costs etc. with the approval of their Board. However, UCBs are advised to ensure that the interest rates charged by them are transparent and known to all customers. UCBs are also required to publish the minimum and maximum interest rates charged on advances and display the information in every branch. Though interest rates have been deregulated, rates of interest beyond a certain level may be seen to be usurious and can neither be sustainable nor be conforming to normal banking practice. Boards of UCBs have to lay down appropriate internal principles and procedures in this regard. In laying down such principles and procedures in respect of small value loans, particularly, personal loans and such other loans of similar nature, UCBs may take into account, inter-alia, the following broad guidelines :

- (i) An appropriate prior-approval process should be prescribed for sanctioning such loans, which should take into account, among others, the cash flows of the prospective borrower.
- (ii) Interest rates charged by UCBs, inter-alia, should incorporate risk premium as considered reasonable and justified having regard to the internal rating of the borrower. Further, in considering the question of risk, the presence or absence of security and the value thereof should be taken into account.
- (iii) The total cost to the borrower, including interest and all other charges levied on a loan, should be justifiable having regard to the total cost incurred by the UCB in extending the loan, which is sought to be defrayed and the extent of return that could be reasonably expected from the transaction.

(iv) UCBs should ensure that the total interest debited to an account should not exceed the principal amount in respect of short term advances granted to small and marginal farmers. The small and marginal farmers for the purpose shall include those with land holding of 5 acres and less.

(v) An appropriate ceiling may be fixed on the interest, including processing and other charges that could be levied on such loans, which may be suitably publicised.

(vi) Foreclosure Charges / Prepayment Penalty - UCBs are not permitted to charge foreclosure charges / prepayment penalties on all floating rate term loans sanctioned to individual borrowers.

4.1.2 Reset of floating interest rate on Equated Monthly Instalment (EMI) based personal loans

At the time of sanction of EMI based floating rate personal loans, UCBs are required to take into account the repayment capacity of borrowers to ensure that adequate headroom / margin is available for elongation of tenor and / or increase in EMI, in the scenario of possible increase in the benchmark rate during the tenor of the loan. Further, UCBs are advised to put in place an appropriate policy framework for reset of floating interest rates on EMI based personal loans, complying with the requirements contained in the circular [DOR.MCS.REC.32/01.01.003/2023-24](#) dated August 18, 2023. A set of [frequently asked questions \(FAQs\)](#) providing clarifications related to implementation of the circular has been uploaded in the FAQs section of the RBI website.

UCBs should not finance a borrower already availing credit facility from another bank without obtaining a 'No Objection Certificate' from the existing financing bank.

4.3.1 Keeping in view the importance of credit discipline, at the time of opening of current accounts, UCBs should :

(i) insist on a declaration from the account holder to the effect that he is not enjoying any credit facility with any other commercial bank or obtain a declaration giving particulars of credit facilities enjoyed by him with any other commercial bank/s.

(ii) ascertain whether he / she is a member of any other co-operative society / bank; if so, the full details thereof such as name of the society / bank, number of shares held, details of credit facilities, such as nature, quantum, outstanding, due dates etc. should be obtained.

4.3.2 In case the borrower is already enjoying any credit facility from any other commercial / co-operative bank, the UCB opening a current account should duly inform the lending bank(s) concerned and also specifically insist on obtaining a "No Objection Certificate" from them. In case of a prospective customer who is a corporate or large borrower enjoying credit facilities from more than one bank, the banks may inform the consortium leader, if under consortium, and the banks concerned, if under multiple banking arrangement. In case a facility has been

availed from a co-operative bank / society, it is essential for the UCB to comply with the requirements of the Co-operative Societies Act / Rules of the state concerned in regard to membership and borrowings.

4.3.3 UCBs may open current accounts of prospective customers in case no response is received from the existing bankers after a minimum waiting period of a fortnight. If a response is received within a fortnight, UCBs should assess the situation with reference to information provided on the prospective customer by the bank concerned and are not required to solicit a formal no objection, consistent with true freedom to the customer of banks as well as needed due diligence on the customer by the bank.

4.4 Certification of Accounts of Non-Corporate Borrowers by Chartered Accountants

As per the [Income Tax Act, 1961](#), filing of audited balance sheet and Profit & Loss Account is mandatory for certain types of non-corporate entities. Therefore, the UCBs must insist on the audited financial statements from the borrowers enjoying large limits; since such borrowers would, in any case, be submitting audit certificate to the income-tax authorities, based on audit of their books of accounts by a Chartered Accountant.

UCBs may ensure that borrowers enjoying credit facilities, pay the provident fund payments and similar other statutory dues promptly. The non-payment of statutory dues by the borrowers is one of the symptoms of incipient sickness of an industrial unit. Therefore, it is in the interest of both the lender and borrower to give high priority to the clearance of these dues. Apart from insisting on the borrowers to indicate a definite programme for clearance of arrears, UCBs may consider suitable restrictions on the outflow of funds. UCBs may incorporate an appropriate declaration in their application forms for grant / renewal / enhancement of credit facilities so as to ensure that the position regarding the statutory dues is disclosed therein. In respect of the corporate borrowers and non-corporate borrowers, the amount of statutory dues should normally be reflected in their audited annual accounts. In case audited accounts do not indicate the position clearly, a certificate may be obtained from the Chartered Accountant for this purpose.

UCBs should take suitable precautions to avoid irregular practices such as sanctioning advances beyond discretionary powers and / or without proper credit appraisal in order to minimise chances of frauds.

(i) The Board of Directors should delegate specific powers to the Branch Managers and other functionaries at the Head Office level as also to the Chairman in the matter of sanction of advances and expenditure. A system should also be introduced to ensure that powers are exercised within the limits prescribed and any transgressions are immediately reported to Head Office.

(ii) The internal inspectors should examine during the course of inspection of branches whether powers have been exercised properly and any unauthorised exercise of powers should immediately be brought to the notice of Head Office. Similarly, sanctions beyond discretionary powers by the Chairman, Chief Executive Officer and other executives at the Head Office should also be reported to the Board of Directors.

The higher authorities at various levels should desist from the unhealthy practice of conveying sanction of advances orally or on telephone.

4.6.4.1 Only in exigencies, where sanctions are made on telephone / oral instructions of higher functionaries or sanctions beyond discretionary powers have to be resorted to, the following steps should be taken :

- (i) Record of such instructions / sanctions should be maintained by the sanctioning / disbursing authorities explaining the circumstances under which sanctions were made.
- (ii) Written confirmation of the competent sanctioning authority should be obtained by the disbursing authority / official within a week / fortnight.
- (iii) Sanctions within discretionary powers should also be reported to Head Office within a stipulated time and Head Office should meticulously follow up receipt of such returns.
- (iv) Head Office should diligently scrutinise the statements / returns and should initiate stringent action against erring functionary(s) if he is / they are / found to have indulged in unauthorised sanctioning.

4.6.4.2 Officials should exercise powers delegated to them judiciously and should not exceed their discretionary powers for granting loans and advances. Violations, if any, in this regard should be viewed seriously and the guilty should be punished suitably.

4.7.1.1 It is the primary responsibility of UCBs to be vigilant and ensure proper end use of bank funds / monitor the funds flow. It is, therefore, necessary for UCBs to evolve such arrangements as may be considered necessary to ensure that drawals from cash credit / overdraft accounts are strictly for the purpose for which the credit limits are sanctioned by them.

4.7.1.2 Post sanction follow-up of loans and advances should be effective so as to ensure that the security obtained from borrowers by way of hypothecation, pledge, etc. are not tampered with in any manner and are adequate.

UCBs may put in place more stringent safeguards, especially where accounts show sign of turning into NPAs. In such cases UCBs may strengthen their monitoring system by resorting to more frequent inspections of borrowers' godowns, ensuring that sale proceeds are routed through the borrower's accounts maintained with the UCB and insisting on pledge of the stock in place of hypothecation.

4.7.1.4 Drawals against clearing cheques should be sanctioned only in respect of first class customers and even in such cases the extent of limits and the need therefore should be subjected to thorough scrutiny and periodic review. UCBs should not issue banker's cheques / pay orders / demand drafts against instruments presented for clearing, (unless the proceeds thereof are collected and credited to the account of the party) or to borrowers whose accounts are already overdrawn or likely to be overdrawn with the issue of such instruments.

4.7.1.5 Drawals against clearing instruments should be normally confined to bank drafts and Government cheques and only to a limited extent against third party cheques.

4.7.1.6 Cheques against which drawals are allowed, should represent genuine trade transactions and strict vigilance should be observed against assisting kite-flying operations.

4.7.2.1 The primary responsibility for preventing misuse of funds rests with the management of UCBs. UCBs should, therefore, take appropriate steps to review and tighten their internal administration and control measures so as to eliminate the scope for misuse / diversion of funds and malpractices.

4.7.2.2 UCBs should take serious view of instances of misuse of power, corruption and other malpractices indulged by the members of staff and erring staff members should be given punishments befitting the seriousness of the irregularity. Quick disposal of enquiries by the banks and award of deterrent punishment would be necessary in all such cases.

For an effective monitoring of the advances, it is imperative for the UCBs to undertake an exercise for review of the advances on a regular basis. Apart from the usual objective of such a review of assessing the quality of operation, safety of funds, etc. the review should specifically attempt to make an assessment of the working capital requirements of the borrower based on the latest data available, whether limits continue to be within the need-based requirements and according to the UCB's prescribed lending norms.

The issue of correct and realistic valuation of fixed assets owned by UCBs and that accepted by them as collateral for a sizable portion of their advances portfolio assumes significance in view of its implications for correct measurement of capital adequacy position of UCBs. UCBs are, therefore, advised to put in place a system / procedure for realistic valuation of fixed assets and also for empanelment of valuers for the purpose as per guidelines given at [Annex-2](#).

UCBs should have a mechanism for proper monitoring of the end use of funds. Wherever diversion is observed, they should take appropriate action including recalling the loans, reduction of sanctioned limits, imposing penal charges etc. to protect the UCB's interest. UCBs should keep a proper vigil over requests of their clients for cash withdrawals from their accounts for large amounts. Whenever stocks under hypothecation to cash credit and other loan accounts are found to have been sold but the proceeds thereof not credited to the loan account, such action should normally be treated as a fraud. In such cases, UCBs may take immediate steps to secure the remaining stock so as to prevent further erosion in the value of the available security as also other action as warranted.

4.11 Diversion of funds would be construed to include any one of the under-noted occurrences :

(i) Utilisation of short-term working capital funds for long-term purposes not in conformity with the terms of sanctions;

- (ii) deploying borrowed funds for purposes / activities or creation of assets other than those for which the loan was sanctioned;
- (iii) transferring funds to the subsidiaries / group companies or other corporates by whatever modalities;
- (iv) routing of funds through any bank other than the lender bank or members of consortium without prior permission of the lender;
- (v) investment in other companies by way of acquiring equities / debt instruments without approval of lenders;
- (vi) shortfall in deployment of funds vis-a-vis the amounts disbursed / drawn, and the difference not being accounted for.

4.12 Siphoning of funds should be construed to have occurred if any funds borrowed are utilised for purposes unrelated to the operations of the borrower, to the detriment of the financial health of the entity or of the lender. The decision as to whether a particular instance amounts to siphoning of funds would have to be a judgement of the lenders based on objective facts and circumstances of the case.

In cases of project financing, UCBs should seek to ensure end use of funds by, inter alia, obtaining certification from the Chartered Accountants for the purpose. In case of short-term corporate / clean loans, such an approach ought to be supplemented by 'due diligence' on the part of lenders themselves, and to the extent possible, such loans should be limited to only those borrowers whose integrity and reliability were above board. UCBs, therefore, should not depend entirely on the certificates issued by the Chartered Accountants but strengthen their internal controls and the credit risk management system to enhance the quality of their loan portfolio. Needless to say, ensuring end-use of funds by UCBs should form a part of their loan policy document for which appropriate measures should be put in place.

4.14 The following are the illustrative measures that could be taken by the lenders for monitoring and ensuring end-use of funds :

- (i) Meaningful scrutiny of quarterly progress reports / operating statements / balance sheets of the borrowers;
- (iii) Periodic scrutiny of borrowers' books of accounts and the no-lien accounts maintained with other banks;
- (vi) Periodic comprehensive management audit of the 'Credit' function of the lenders, so as to identify the systemic weaknesses in the credit-administration.

Reserve Bank has issued various guidelines to the Regulated Entities (REs) to ensure reasonableness and transparency in disclosure of penal interest. The intent of levying penal interest/charges is essentially to inculcate a sense of credit discipline and such charges are not

meant to be used as a revenue enhancement tool over and above the contracted rate of interest. UCBs shall comply with the following instructions for charging penal interest/charges on loans :

4.15.1 Penalty, if charged, for non-compliance of material terms and conditions of loan contract by the borrower shall be treated as 'penal charges' and shall not be levied in the form of 'penal interest' that is added to the rate of interest charged on the advances. There shall be no capitalisation of penal charges i.e., no further interest computed on such charges. However, this will not affect the normal procedures for compounding of interest in the loan account.

4.15.2 UCBs shall not introduce any additional component to the rate of interest and ensure compliance to these guidelines in both letter and spirit.

4.15.3 UCBs shall formulate a Board approved policy on penal charges or similar charges on loans, by whatever name called.

4.15.4 The quantum of penal charges shall be reasonable and commensurate with the non-compliance of material terms and conditions of loan contract without being discriminatory within a particular loan / product category.

4.15.5 The penal charges in case of loans sanctioned to 'individual borrowers, for purposes other than business', shall not be higher than the penal charges applicable to non-individual borrowers for similar non-compliance of material terms and conditions.

4.15.6 The quantum and reason for penal charges shall be clearly disclosed by UCBs to the customers in the loan agreement and most important terms & conditions / Key Fact Statement (KFS)¹ as applicable, in addition to being displayed on UCBs website under Interest rates and Service Charges.

4.15.7 Whenever reminders for non-compliance of material terms and conditions of loan are sent to borrowers, the applicable penal charges shall be communicated. Further, any instance of levy of penal charges and the reason therefor shall also be communicated.

4.15.8 UCBs may carry out appropriate revisions in their policy framework and ensure implementation of the above instructions in respect of all the fresh loans availed from April 1, 2024 onwards. In the case of existing loans, the switchover to new penal charges regime shall be ensured on the next review/ renewal date falling on or after April 1, 2024, but not later than June 30, 2024.

4.15.9 In the case of loans to borrowers under priority sector, no penalty should be charged for loans up to 25,000.

4.15.10 A set of [frequently asked questions \(FAQs\)](#) providing clarifications related to implementation of the guidelines on penal charges has been uploaded in the FAQs section of the RBI website.

4.16 Responsible Lending Conduct - Release of movable / immovable property documents on repayment/ settlement of personal loans.

With regard to release of movable / immovable property documents upon receiving full repayment and closure of personal loan account, the UCBs shall comply with the instructions contained in circular [DoR.MCS.REC.38/01.01.001/2023-24](#) dated September 13, 2023 on Responsible Lending Conduct - Release of Movable / Immovable Property Documents on Repayment / Settlement of Personal Loans.

5. Reporting / Exchange of Credit Information

5.2 Exchange of information - Lending under Consortium Arrangement / Multiple Banking Arrangements

5.2.1 UCBs need to strengthen their information back-up about the borrowers enjoying credit facilities from multiple banks.

(i) At the time of granting fresh facilities, UCBs may obtain declaration from the borrowers about the credit facilities already enjoyed by them from other banks. In the case of existing lenders, all the banks may seek a declaration from their existing borrowers availing sanctioned limits of 5 crore and above or wherever, it is in their knowledge that their borrowers are availing credit facilities from other banks, and introduce a system of exchange of information with other banks as indicated above.

(ii) Subsequently, UCBs should exchange information about the conduct of the borrowers' accounts with other banks at least at quarterly intervals.

(iii) Obtain regular certification by a professional, preferably a Company Secretary / Cost Accountant / Chartered Accountant regarding compliance of various statutory prescriptions that are in vogue.

(iv) Make greater use of credit reports available from Credit Information Companies [Credit Information Bureau (India) Limited (CIBIL), Experian Credit Information Company of India Private Ltd., Equifax Credit Information Services Pvt. Ltd. and High Mark Credit Information Services Pvt. Ltd.].

(v) The UCBs should incorporate suitable clauses in the loan agreements in future (at the time of next renewal in the case of existing facilities) regarding exchange of credit information so as to address confidentiality issues.

Government of India has set up the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) under the provisions of the [SARFAESI Act, 2002](#), with the objective of preventing frauds in loans involving multiple lending from different banks on the same immovable property. UCBs, accordingly were advised vide circular [UBD.BPD.\(PCB\)Cir No.27/13.04.002/2012-13](#) dated December 14, 2012 to voluntarily file with CERSAI, in their own interest, records of equitable mortgages created by them. Pursuant to this, Government issued a Gazette Notification dated January 22, 2016 for filing of the following types of security interest on the CERSAI portal:

(i) Particulars of creation, modification or satisfaction of security interest in immovable property by mortgage other than mortgage by deposit of title deeds.

- (ii) Particulars of creation, modification or satisfaction of security interest in hypothecation of plant and machinery, stocks, debts including book debts or receivables, whether existing or future.
- (iii) Particulars of creation, modification or satisfaction of security interest in intangible assets, being know how, patent, copyright, trademark, licence, franchise or any other business or commercial right of similar nature.
- (iv) Particulars of creation, modification or satisfaction of security interest in any 'under construction' residential or commercial or a part thereof by an agreement or instrument other than mortgage.

In this regard, instructions on Filing of Security Interest relating to Immovable (other than equitable mortgage), Movable and Intangible Assets in CERSAI, issued vide circular [DBR.Leg.No.BC.15/09.08.020/2018-19](#) dated December 27, 2018 have been made applicable to UCBs. Accordingly, UCBs were advised to complete filing the charges pertaining to subsisting transactions with CERSAI by March 31, 2019. It has also been advised to file the charges relating to all current transactions with CERSAI on an ongoing basis

6. Prudential Guidelines on Restructuring of Advances

6.1. General Principles

The basic objective of restructuring is to preserve economic value of units and not evergreening of problem accounts. This can be achieved by UCBs and the borrowers by careful assessment of the viability, quick detection of weaknesses in accounts and a time-bound implementation of restructuring packages. The prudential guidelines will be applicable to all categories of debt restructuring other than those restructured on account of natural calamities, which will continue to be governed by the extant guidelines. The principles and prudential norms laid down are applicable to all advances, including borrowers who are eligible for special regulatory treatment for asset classification as detailed in the prudential guideline on restructuring of advances in [Master Circular- Income Recognition, Asset Classification, Provisioning and Other Related Matters - UCBs](#) dated April 1, 2025, as amended from time to time. For the definition of Micro, Small and Medium Enterprises (MSME), UCBs shall be guided by [Master Directions - Reserve Bank of India \(Priority Sector Lending - Targets and Classification\) Directions, 2025](#) dated March 24, 2025, as amended from time to time.

6.2. Eligibility Criteria for Restructuring of Advances

6.2.1 UCBs may restructure the accounts classified under 'standard', 'sub-standard' and 'doubtful' categories.

6.2.2 UCBs cannot reschedule / restructure / renegotiate borrowal accounts with retrospective effect. While a restructuring proposal is under consideration, the usual asset classification norms would continue to apply. The process of re-classification of an asset should not stop merely because restructuring proposal is under consideration. The asset classification status as on the date of approval of the restructured package by the competent authority would

be relevant to decide the asset classification status of the account after restructuring / rescheduling / renegotiation. In case there is undue delay in sanctioning a restructuring package and in the meantime the asset classification status of the account undergoes deterioration, it would be a matter of supervisory concern.

6.2.3 Normally, restructuring cannot take place unless alteration / changes in the original loan agreement are made with the formal consent / application of the debtor. However, the process of restructuring can be initiated by the UCB in deserving cases subject to customer agreeing to the terms and conditions.

6.2.4 No account will be taken up for restructuring by the UCBs unless the financial viability is established and there is a reasonable certainty of repayment from the borrower, as per the terms of restructuring package. The viability should be determined by the UCBs based on the acceptable viability benchmarks determined by them, which may be applied on a case-by-case basis, depending on merits of each case. Illustratively, the parameters may include the Return on Capital Employed, Debt Service Coverage Ratio, Gap between the Internal Rate of Return and Cost of Funds and the amount of provision required in lieu of the diminution in the fair value of the restructured advance. The accounts not considered viable should not be restructured and UCBs should accelerate the recovery measures in respect of such accounts. Any restructuring done without looking into cash flows of the borrower and assessing the viability of the projects / activity financed by UCBs would be treated as an attempt at ever greening a weak credit facility and would invite supervisory concerns / action.

6.2.5 The borrowers indulging in frauds and malfeasance will continue to remain ineligible for restructuring.

UCBs shall adhere to the instructions contained in the circular [DOR.STR.REC.20/21.04.048/2023-24](#) dated June 8, 2023 regarding framework for compromise settlements and technical write-offs.

7. Specific Lending Activities

7.1.1 The grant of bridge loan / interim finance by UCBs to any company (including finance companies) is totally prohibited.

7.1.2 The ban on sanction of bridge loans / interim finance is also applicable in respect of Euro issues.

7.1.3 The UCBs should not circumvent these instructions by purport and / or intent by sanction of credit under a different nomenclature like unsecured negotiable notes, floating rate interest bonds, etc. as also short-term loans, the repayment of which is proposed / expected to be made out of funds to be or likely to be mobilised from external / other sources and not out of the surplus generated by the use of the asset(s).

UCBs should frame comprehensive prudential norms relating to the ceiling on the total amount of real estate loans, single / aggregate exposure limit for such loans, margins, security, repayment schedule and availability of supplementary finance taking into account guidelines

issued by Reserve Bank of India and the policy should be approved by the UCBs' Board. Exposure to builders and contractors for commercial real estate will include fund based and non-fund based exposures secured by mortgages on commercial real estates (office buildings, retail space, multi-purpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels etc). Further, while framing the policy, the UCBs may also consider for inclusion the National Building Code framed by Bureau of Indian Standards (BIS). For detailed information the website of Bureau of Indian Standards (www.bis.gov.in) can be accessed.

7.4.1 In order to bring about uniformity in approach, Reserve Bank of India has formulated guidelines for information of UCBs, on various aspects of lending to information technology and software industry to facilitate free flow of credit. The same were enclosed to our circular [UBD.No.DS.SUB.No.4/13.05.00/98-99](#) dated 5 October 1998, addressed to scheduled UCBs. UCBs are, however, free to modify the guidelines based on their own experience without reference to Reserve Bank of India to achieve the purpose of the guidelines in letter and spirit.

7.4.2 These guidelines have been framed based on the recommendations made by the study group appointed by Reserve Bank of India to study the modalities of credit extension to software industry as also taking into account the suggestions made by the industry associations.

7.4.3 UCBs may take adequate steps to develop expertise in this area by training staff in project appraisal in the area of activity. It has to be ensured that the staff concerned is well aware of the requirements of the industry and remain in tune with the latest developments so that the higher standards of project appraisal can be maintained before extending the working capital finance to Information Technology and software industries.

7.5.1 In order to mitigate the inherent risks attached to sanction of loans and advances against gold / silver ornaments, UCBs are advised to observe the safeguards as detailed in [Annex-3](#).

7.5.2.1 With effect from October 30, 2014 the quantum of loans against gold ornaments that could be granted under the bullet repayment scheme with the approval of their bank's Board has been enhanced from 1 lakh to 2 lakh subject to the following guidelines :

- (i) The amount of loan sanctioned should not exceed 2 lakh at any point of time.
- (ii) The period of the loan shall not exceed 12 months from the date of sanction.
- (iii) Interest will be charged to the account at monthly rests but will become due for payment along with principal only at the end of 12 months from the date of sanction.
- (iv) UCBs should maintain a Loan to Value (LTV) ratio of 75% on the outstanding amount of loan including the interest on an ongoing basis, failing which the loan will be treated as Non Performing Asset (NPA).
- (v) Such loans shall be governed by the extant income recognition, asset classification and provisioning norms which shall be applicable once the principal and interest become overdue.

7.5.2.2 With a view to providing incentives to UCBs meeting PSL targets, with effect from October 6, 2023, the monetary ceiling of gold loans that can be granted under the bullet repayment scheme, has been increased from 2.00 lakh to 4.00 lakh for those UCBs who have met the overall PSL target and sub targets as on March 31, 2023 and continue to meet the targets and sub-targets as prescribed at [para 7.2](#) of Master Directions - Reserve Bank of India (Priority Sector Lending - Targets and Classification) Directions, 2025 dated March 24, 2025, as amended from time to time. All other provisions of the scheme remain unchanged.

7.5.3 Crop loans sanctioned against the collateral security of gold ornaments shall continue to be governed by the extant income recognition, asset classification and provisioning norms for such loans.

7.5.4 UCBs are not permitted to grant any advance for purchase of gold in any form, including primary gold, gold bullion, gold jewellery, gold coins, units of gold Exchange Traded Funds (ETF) and units of gold Mutual Funds.

7.6 Grant of Loans for Acquisition of / Investing in Small Savings Instruments including Kisan Vikas Patras (KVP) :

Grant of loans for acquiring / investing in KVPs does not promote fresh savings and, rather, channelise the existing savings in the form of bank deposits to small savings instruments and thereby defeat the very purpose of such schemes. UCBs may therefore ensure that no loans are sanctioned for acquisition of / investing in small savings instruments including KVPs.

UCBs are advised, as a matter of principle, generally not to grant large value loans to Public Sector / Government Undertakings.

8. Discounting / Rediscounting of Bills by UCBs

UCBs may adhere to the following guidelines while purchasing / discounting / negotiating / rediscounting of genuine commercial / trade bills :

8.1 Since UCBs have already been given freedom to decide their own guidelines for assessing / sanctioning working capital limits of borrowers, they may sanction working capital limit as also bills limit to borrowers after proper appraisal of their credit needs and in accordance with the loan policy as approved by their Board of Directors.

8.2 UCBs should clearly lay down a bill discounting policy approved by their Board of Directors, which should be consistent with their policy of sanctioning of working capital limits. In this case, the procedure for Board approval should include banks' core operating process from the time the bills are tendered till these are realised. UCBs may review their core operating processes and simplify the procedure in respect of bills financing. In order to address the problem of delay in realisation of bills, UCBs may take advantage of improved computer / communication network like Structured Financial Messaging System (SFMS), wherever available, and adopt the system of 'value dating' of their clients' accounts.

8.3 UCBs should open letters of credit (LCs) and purchase / discount / negotiate bills under LCs only in respect of genuine commercial and trade transactions of their borrower constituents who have been sanctioned regular credit facilities by the banks. UCBs should not, therefore, extend fund based (including bills financing) or non-fund based facilities like opening of LCs, providing guarantees and acceptances to non-constituent borrower or / and non-constituent member of a consortium / multiple banking arrangement.

8.4 With effect from March 30, 2012, in case of bills drawn under LCs restricted to a particular UCB, and the beneficiary of the LC is not a borrower who has been granted regular credit facility by that UCB, the UCB concerned may, as per their discretion and based on their perception about the credit worthiness of the LC issuing bank, negotiate such LCs, subject to the condition that the proceeds will be remitted to the regular banker of the beneficiary of the LC. However, the prohibition regarding negotiation of unrestricted LCs for borrowers who have not been sanctioned regular credit facilities will continue to be in force.

8.5 UCBs negotiating bills as above, under restricted LCs, would have to adhere to the instructions of the Reserve Bank / RCS or CRCS regarding share linking to borrowing and provisions of Co-operative Societies Act on membership.

8.6 For the purpose of credit exposure, bills purchased / discounted / negotiated under LC (where the payment to the beneficiary is not made 'under reserve') will be treated as an exposure on the LC issuing bank and not on the borrower. All clean negotiations as indicated above will be assigned the risk weight as is normally applicable to inter-bank exposures, for capital adequacy purposes. In the case of negotiations 'under reserve' the exposure should be treated as on the borrower and risk weight assigned accordingly.

8.7 While purchasing / discounting / negotiating bills under LCs or otherwise, UCBs should establish genuineness of underlying transactions / documents.

8.8 UCBs should ensure that blank LC forms are kept in safe custody as in case of security items like blank cheques, demand drafts etc. and verified / balanced on daily basis. LC forms should be issued to customers under joint signatures of the bank's authorised officials.

8.9 The practice of drawing bills of exchange claused 'without recourse' and issuing letters of credit bearing the legend 'without recourse' should be discouraged because such notations deprive the negotiating bank of the right of recourse it has against the drawer under the [Negotiable Instruments Act](#). UCBs should not, therefore, open LCs and purchase / discount / negotiate bills bearing the 'without recourse' clause.

8.10 Accommodation bills should not be purchased / discounted / negotiated by banks. The underlying trade transactions should be clearly identified, and a proper record thereof maintained at the branches conducting the bills business.

8.11 UCBs should be circumspect while discounting bills drawn by front finance companies set up by large industrial groups on other group companies.

8.12 Bills rediscounts should be restricted to usance bills held by other banks. UCBs should not rediscount bills earlier discounted by NBFCs except in respect of bills arising from sale of light commercial vehicles and two / three wheelers.

8.13 UCBs may exercise their commercial judgment in discounting of bills of services sector. However, while discounting such bills, UCBs should ensure that actual services are rendered, and accommodation bills are not discounted. Services sector bills should not be eligible for rediscounting. Further, providing finance against discounting of services sector bills may be treated as unsecured advance and therefore, should be within the limits prescribed by Reserve Bank of India for sanction of unsecured advances.

8.14 In order to promote payment discipline which would to a certain extent encourage acceptance of bills, all corporate and other constituent borrowers having turnover above threshold level as fixed by the bank's Board of Directors should be mandated to disclose 'aging schedule' of their overdue payables in their periodical returns submitted to banks.

8.15 Any violation of these instructions will be viewed seriously and invite penal action from Reserve Bank of India.

9. Loans to Self Help Groups (SHGs) / Joint Liability Groups (JLGs)

UCBs may lend to SHGs and JLGs as per their Board approved policy framed in this regard, according to the guidelines prescribed below :

Lending to SHGs / JLGs would be considered as normal business activity of the UCB. UCBs will be required to frame, with the approval of their Board, a comprehensive policy on lending to SHGs / JLGs. This policy, including the maximum amount of loan, interest rate chargeable on loans etc. should form part of overall credit policy of the UCB.

UCBs may follow the method of lending directly to SHGs / JLGs. Lending through intermediaries will not be permitted.

9.3.1 SHGs are small groups, formal / informal, of individuals promoting savings habit among members. These savings are then lent by the group to the members for income generating purposes. On the other hand, JLG is an informal group of individuals coming together for the purpose of availing of bank loan either singly or through the group mechanism against mutual guarantee in order to engage in similar type of economic activities.

9.3.2 The SHG would normally consist of 10 to 20 members whereas a JLG would normally have between 4 and 10 members. Membership matters are governed by the byelaws adopted by the UCB and provisions of respective State Co-operative Societies Acts or the [Multi State Co-operative Societies Act, 2002](#). UCBs would, therefore, be required to be guided by the provisions contained in the respective Act and take prior approval of the RCS / CRCS, wherever required, while enrolling such members and granting loans to SHGs / JLGs. The byelaws of UCBs also need to provide for such lending.

The extant instructions on share linking to borrowing would apply for lending to SHGs / JLGs.

The extant limits (individual and total) on grant of unsecured loans and advances will not apply to loans granted to SHGs. However, loans granted by UCBs to JLGs, to the extent not backed by tangible security, will be treated as unsecured and will be subject to the extant limits on unsecured loans and advances.

Individual or Group : Loans granted to SHGs / JLGs would be governed by the extant guidelines on individual exposure limits.

The maximum amount of loan to SHGs should not exceed four times of the savings of the group. The limit may be exceeded in case of well managed SHGs subject to a ceiling of ten times of savings of the group. The groups may be rated on the basis of certain objective parameters such as proven track record, savings pattern, recovery rate, housekeeping etc. JLGs are not obliged to keep deposits with the UCB and hence the amount of loan granted to JLGs would be based on the credit needs of the JLG and the bank's assessment of the credit requirement.

Margin / security requirement will be as per Board approved policy of the UCB concerned.

UCBs may prescribe simple documentation for loans to be granted to SHGs / JLGs keeping in view the purpose of the loan and the status of the borrower.

The SHGs / JLGs would be eligible to open Savings Bank account with UCBs.

UCBs shall be guided by [para 43](#) of the Master Direction - Know Your Customer (KYC) Direction, 2016 dated February 25, 2016, as amended from time to time.

10. Guidelines on Relief Measures to be Extended by Banks in Areas Affected by Natural Calamities

10.1 UCBs are expected to provide relief and rehabilitation assistance, in their area of operation to people affected by natural calamities such as droughts, floods, cyclones, etc. The guidelines are given in [Annex- 4](#).

10.2 In order to avoid delay in taking relief measures on the occurrence of natural calamity, UCBs should evolve a suitable policy framework with the approval of the Board of Directors. An element of flexibility may be provided in the measures so as to synchronise the same with the measures which could be appropriate in a given situation.

10.3 UCBs should get the documentation settled as per revised guidelines in consultation with their legal departments, taking into account the relevant provisions of the [Contract Act](#) and the [Limitations Act](#) and may issue appropriate instructions to their offices in respect of documentation in relation to cases covered by these guidelines.

Annex - 1

[Vide [Paragraph No. 4.1.1\(vii\)](#)]

Key Facts Statement

Annex - 2

Guidelines on Valuation of Properties - Empanelment of Valuers

(Paragraph No. 4.9)

UCBs may be guided by the following aspects while formulating a policy on valuation of properties and appointment of valuers :

a) Policy for Valuation of Properties

- i) UCBs should have a Board approved policy in place for valuation of properties including collaterals accepted for their exposures.
 - ii) The valuation should be done by professionally qualified independent valuers i.e., the valuer should not have a direct or indirect interest.
 - iii) The UCBs should obtain minimum two Independent Valuation Reports for properties valued at 50 crore or above.
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The revaluation policy of fixed assets should, inter alia, cover procedure for identification of assets for revaluation, maintenance of separate set of records for such assets, the frequency of revaluation, depreciation policy for such assets, policy for sale of such revalued assets, etc. The policy should also cover the disclosure required to be made in the 'Notes on Account' regarding the details of revaluation such as the original cost of the fixed assets subject to revaluation and accounting treatment for appreciation / depreciation etc. As the revaluation should reflect the change in the fair value of the fixed asset, the frequency of revaluation should be determined based on the observed volatility in the prices of the assets in the past. Further, any change in the method of depreciation should reflect the change in the expected pattern of consumption of the future economic benefits of the assets. The banks should adhere to these principles meticulously while changing the frequency of revaluation / method of depreciation for a particular class of asset and should make proper disclosures in this regard.

b) Policy for Empanelment of Independent Valuers

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- i) UCBs should have a procedure for empanelment of professional valuers and maintain a register of 'approved list of valuers'.
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- ii) UCBs may prescribe a minimum qualification for empanelment of valuers. Different qualifications may be prescribed for different classes of assets (e.g. land & building, plant & machinery, agricultural land, etc). While prescribing the qualification, UCBs may take into consideration the qualifications prescribed under the [Companies \(Registered Valuers and Valuation\) Rules, 2017](#).
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2. UCBs may also be guided by the relevant Accounting Standard issued by the Institute of Chartered Accountants of India.

Annex - 3

Safeguards to be observed Advances against Pledge of Gold / Silver Ornaments

(vide [paragraph 7.5.1](#))

i) Ownership of Ornaments

It is advisable that the advances are made to persons properly introduced to the UCB. The UCB should satisfy itself about the ownership of the gold ornaments etc. before accepting them for pledge. The UCB should obtain a declaration from the borrower that the ornaments are his own property and that he has the fullest right to pledge them to the UCB. Taking of ornaments for pledge and release thereof to the parties concerned after repayment of the bank's dues should be done strictly in the authorised official's room to avoid any risk.

ii) Appraiser

The UCB should appoint an approved jeweller or shroff as an appraiser for valuation of the gold ornaments proposed to be pledged to the UCB and obtain adequate security from him in the form of cash and indemnity bond. Valuation and appraisal of the ornaments in the bank's premises itself would be ideal but when these are not possible, the UCB should take suitable precautions against their loss while in transit. The UCB should send the ornaments to the appraiser in a locked box, one key of which should be kept with the appraiser and the other with the UCB. The box should be sent through a responsible member of the staff along with the prospective borrower. The placing of ornaments in the box at both the ends should be done in the presence of the employee carrying the ornaments to the appraiser and the borrower. The UCB should take a suitable insurance cover for loss of the ornaments while in transit.

iii) Valuation Report

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- a. The valuation certificate of the appraiser should clearly indicate the description of the ornaments, their fitness, gross weight of the ornaments, net weight of the gold content exclusive of stones, lac, alloy, strings, fastenings and the value of the gold at the prevailing market price. The valuation report should be duly signed by the appraiser and kept along with the loan documents by the UCB.
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- b. In order to standardize the valuation and make it more transparent to the borrower, it has been decided that gold jewellery accepted as security/collateral will have to be valued at the average of the closing price of 22 carat gold for the preceding 30 days as quoted by the India Bullion and Jewellers Association Ltd. [Formerly known as the Bombay Bullion Association Ltd. (BBA)]. In terms of circular [DCBR.BPD. \(PCB/RCB\).Cir.No.3/13.05.001/2015-16](#) dated October 15, 2015, UCBs may also use the historical spot gold price data of the preceding 30 days publicly disseminated by a Commodity Exchange regulated by the Securities and Exchange Board of India. If the gold is of purity less than 22 carats, the UCB should translate the collateral into 22 carat and value the exact grams of the collateral. In other words, jewellery of lower purity of gold shall be valued proportionately
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iv) Record of Security

The full name of the borrower, his residential address, date of advance, amount and description of the ornaments in detail should be recorded in the gold ornaments register which should be checked / initialled by the Manager.

v) Custody of Ornaments

The ornaments belonging to each borrower (or articles of each loan) together with a list indicating the description of ornaments, gold loan account number, name of party, etc. should be kept separately in small cloth bags. A tag indicating loan account number and name of the party should be tied to the bag to facilitate identification. The bags should be arranged in trays according to loan account numbers and kept in the strong room or fire proof safes under joint custody.

vi) Period

The period of advance against gold ornaments should be generally restricted to 6 months or 1 year.

vii) Margin

- a) As a prudential measure, Loan to Value (LTV) Ratio of not exceeding 75% is applicable for UCBs' lending against gold jewellery (including bullet repayment loans against pledge of gold jewellery). The UCB should collect interest on advances promptly. In no circumstances should it allow to water down the margin by debiting the interest accrued to the loan account.
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- b) Hallmarking of gold jewellery ensures the quality of gold used in the jewellery as to caratage, fineness and purity. UCBs would find granting of advances against the security of such hallmarked jewellery safer and easier. Preferential treatment of hallmarked jewellery is likely to encourage practice of hallmarking which will be in the long-term interest of consumers, lenders and the industry. Therefore, UCBs while considering granting advances against jewellery may keep in view the advantages of hallmarked jewellery and decide on the margin and rates of interest thereon.
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viii) Return of Ornaments

On repayment of the loan together with the interest payable in the account, the ornaments should be returned to the borrower and his receipt obtained in token of having received the ornaments.

ix) Part Release

While allowing part release of the ornaments against part repayment of the loan, care should be taken to ensure that the value of the left-over ornaments is sufficient to cover outstanding balance with the margin prescribed in the account.

x) Delivery to Third Parties

When the ornaments are delivered to third parties, a letter of authority from the borrower and subsequent confirmation of the borrower should be obtained. The letter of authority should contain an undertaking by the borrower, absolving the UCB of any responsibility in the event of dispute or loss arising from the delivery of the ornaments to the party named therein. The receipt of the third party should be obtained on the letter of authority as well as in the gold loan ledger.

xi) Default

When the borrower fails to repay the loan on the due date, a notice calling upon him to repay the loan within a specified time should be given and if no response is received, a reminder should be sent by registered post informing the borrower that the ornaments would be auctioned and after adjusting the sale proceeds against the outstanding dues to the UCB, the balance, if any, would be paid to the borrower against his receipt.

xii) Re-pledge of Ornaments

It is not advisable for UCBs to make advances against re-pledge of ornaments as this facility is likely to be misused for financing moneylenders, which is not a desirable activity.

xiii) Insurance

The jewels pledged to the UCB should be insured for the appraised value against the risk of burglary. If UCBs store the pledged jewels in fire-proof strong rooms, insuring them against fire may not be necessary. UCBs may take blanket insurance policy covering cash, jewels and other valuables and also covering all types of risks.

xiv) Verification

Surprise verification of the packets containing gold / silver ornaments by an officer other than the joint custodian be undertaken and should be recorded in a separate register with necessary details.

Annex - 4

Guidelines for Relief Measures by Banks in Areas Affected by Natural Calamities

[Vide [paragraph 10.1](#)]

1. Periodic but frequent occurrence of droughts, floods, cyclones, tidal waves and other natural calamities cause heavy toll of human life and wide spread damage to economic pursuits of human beings in one area or the other of the country. The devastation caused by such natural calamities call for massive rehabilitation efforts by all agencies. The State and local authorities draw programmes for economic rehabilitation of the affected people. The developmental role assigned to the commercial banks and co-operative banks, warrants their active support in revival of the economic activities.
 2. Since the area and time of occurrence and intensity of natural calamities cannot be anticipated, it is imperative that the banks have a blue-print of action in such eventualities so that the required relief and assistance is provided with the utmost speed and without any loss of time. This presupposes that all the branches of urban cooperative banks will have a set of standing instructions spelling out the action that the branches will have to initiate in the calamity affected areas immediately after the requisite declaration by the district / State authorities. It is necessary that these instructions should also be available with the State Government authorities and all the District Collectors so that all concerned are clear as to the action that would be taken by the banks' branches in the affected areas.
 3. The precise details in regard to the provision of credit assistance by the commercial banks, will depend on the requirements of the situation, their own operational capabilities and the actual needs of the borrowers. This can be decided by them in consultation with the district authorities.
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4. Nevertheless, to enable banks to take uniform and concerted action expeditiously, particularly to provide the financial assistance to agriculturist, small scale industrial units, artisan, small business and trading establishments affected by natural calamities, the following guidelines are commended.
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5. To facilitate co-ordination and expeditious action by the financing institutions, the convenors of the concerned District Consultative Committee (DCC) of the affected districts should convene a meeting immediately after the occurrence of natural calamities. In the event of the calamity covering a larger part of the State, the convenors of the State Level Bankers' Committee (SLBC) will also convene a meeting immediately to evolve a co-ordinated programme of action for implementation of the programme in collaboration with the State / district authorities while determining the quantum of assistance required by a person affected by the natural calamity, the banks may take into consideration the assistance / subsidy received by him from the State Government and / or other agencies.
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6. Regional / Zonal heads of UCBs should be vested with certain discretionary powers so that they do not have to seek fresh approvals from their Central Offices to the line of action agreed to by the District / State Level Bankers' Committees. For example, such discretionary power would be necessary in respect of adoption of scale of finance, extension of loan periods, sanction of new loans, keeping in view the total liability of the borrower (i.e. arising out of the old loan where the assets financed are damaged or lost on account of natural calamity as well as the new loan for creation / repair of such assets, margin, security, etc.).
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7. Identification of the Beneficiaries

The bank branches should obtain from the concerned Government authorities list of affected villages within their area of operation. From among the identified persons, assessment of loss sustained by the existing constituents of the banks would be easier. In the case of fresh borrowers, however, discreet enquiries should be made in this regard and assistance of the Government authorities should be sought wherever available for ascertaining genuineness of their requirements. For providing conversion facilities in respect of crop loans, procedure for identification of areas where such facilities have to be provided has been indicated under crop loans in [paragraph 12](#) below.

8. Coverage

Each branch will provide credit assistance not only to its existing borrowers but also to other eligible persons within its command area provided they are not covered by any other financial agency.

9. Priorities

Immediate assistance including finances would be needed for protecting and rejuvenating standing crops / orchards / plantations etc. Equally important will be repair and protection of livestock sheds, grains and fodder storage / structures, drainage, pumping, and other measures and operations to repair pump-sets, motors, engines and other necessary implements. Subject to seasonal requirements, next crop financing would be taken up.

10. Agricultural Loans

- i) The bank assistance in relation to agriculture would be needed in the form of short-term loans for the purpose of raising crops and term loans for purchase of milch / draught animals, repairs of existing tube-wells and pump-sets, digging of new tube-wells and installation of new pump-sets, land reclamation, silt / sand removal, protection and rejuvenation of standing crops / orchard / plantations, etc., repairs and protection of livestock sheds, grain and fodder storage structures, etc.
- ii) **Crop Loans** : In the case of natural calamities, such as droughts, floods etc., Government authorities would have declared annewari to indicate the extent to which the crops are damaged. However, where such declaration has not been made banks should not delay in providing conversion facilities, and the District Collector's certificate that crop yield is below 50 % of the normal yield supported by the views of the DCC in the matter (for which a special meeting may have to be convened) should be sufficient for invoking quick relief arrangements. The certificate of the Collector should be issued crop -wise covering all crops, including food-grains. Issuing of such certificates in respect of cash crops, may, however, be left to the discretion of the Collector.
- iii) To be effective, the assistance to farmers will have to be disbursed with utmost speed. For this purpose the lead bank and the district authorities concerned should evolve a procedure whereby identification of borrowers, issuance of certificates regarding Government / co-operative / bank dues, title of the applicant to land etc. is secured simultaneously.
- iv) Possibilities of organising credit camps, where Block Development and Revenue officials, Co-operative Inspectors, Panchayat Pradhans etc. could help finalise the applications on the spot, could be explored in consultation with the district authorities where such credit camps are being organised. The State Government will also arrange with the Collectors to issue an executive order for the following officers or their authorised representatives to assume respective duties and responsibilities as envisaged under implementation of credit camps programme :

* Block Development Officer

* Co-operative Inspector

* Revenue Authority / Village Revenue Assistant

* Bank official operating in the area

* PACS / LAMPS / FSS

* Gram Panchayat Pradhan

In order to avoid delay, the forms in which the State Government Officers have to give certificates at the Credit Camps may be got printed in sufficient numbers by the respective District Magistrates.

- v) In considering loan applications for the ensuing crop season the current dues of the applicants to the State Government may be ignored, provided the State Government declare a moratorium for a sufficiently long period on all amounts due to the government as on the date of occurrence of the natural calamity.
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11. Consumption Loans

Loans up to 5000/- could be sanctioned to existing borrowers for general consumption purposes without any collateral and such loans may be provided even if no risk fund has been constituted by respective State Governments.

12. Fresh Loans

12. Timely fresh financial assistance to resume productive activities may be provided not only to the existing borrowers, but also to other eligible borrowers. Notwithstanding the status of the existing account, fresh loans granted to the borrowers will be treated as current dues.
-

13. Restructuring of existing Loans

- a. As the repaying capacity of the people affected by natural calamities gets severely impaired due to the damage to the economic pursuits and loss of economic assets, relief in repayment of loans becomes necessary in areas affected by natural calamity and hence, restructuring of the existing loans will be required. The principal amount outstanding in the crop loans and agriculture term loans as well as accrued interest thereon may be converted into term loans.
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b. The repayment period of restructured term loans may vary depending on the severity of calamity and its recurrence, the extent of loss of economic assets and distress caused. Generally, the restructured period for repayment may be 3 to 5 years. However, where the damage arising out of the calamity is very severe, banks may, at their discretion, extend the period of repayment ranging up to 7 years and in extreme cases of hardship, the repayment period may be prolonged up to a maximum period of 10 years. In all cases of restructuring, moratorium period of at least one year should be considered. Further, the banks should not insist for additional collateral security for such restructured loans. The asset classification status of the restructured term loan and other dues will be as under :

c. The restructured crop loans may be treated as current dues and need not be classified as NPA. The asset classification of the restructured term loans would thereafter be governed by the revised terms and conditions and would be treated as NPA if interest and / or instalment of principal remain overdue for two crop seasons for short duration crops and for one crop season for long duration crops. Depending upon the duration of crops raised by an agriculturist, the above norms would also be made applicable to the restructured agricultural term loans.

d. The above norms will be applicable to all direct agricultural advances as listed at [Annex 1](#) of Master Circular No. DOR.STR.REC.10/21.04.048/2025-26 dated April 1, 2025 on prudential norms on Income Recognition, Asset Classification and Provisioning pertaining to advances, as amended from time to time.

e. Additional finance, if any, may be treated as "standard asset" and its future asset classification will be governed by the terms and conditions of its sanction.

f. The asset classification as on the date of natural calamity will continue, if the restructuring is completed within a period of three months from the date of natural calamity. The restructured accounts would, otherwise, be governed by provisions of circular [UBD.BPD.No.30/09.09.001/05-06 @1](#) dated March 9, 2006. Further, the guidelines applicable to sub-standard accounts, will apply, mutatis mutandis to doubtful accounts.

g. In retail or consumer loans segment, the banks may restructure the loans in a manner suitable to the borrowers on a case-to-case basis.

14. Scale of Finance

Scale of finance in respect of different crops will be uniform in a district. The scales will be fixed taking into account the prevailing conditions and norms presently adopted by different lending agencies. In fixing the scales, minimum consumption needs of borrowers will be taken into account. The concerned District Magistrate and Managers of branches of banks operating in the district would be advised to adopt the scales so laid down.

15. Development Loans - Investment Costs

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- i) The existing term loan instalments will have to be rescheduled / postponed keeping in view the repaying capacity of the borrowers and the nature of natural calamity viz.,
-
- a) Droughts, floods or cyclones etc. where only crop for that year is damaged and productive assets are not damaged.
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- b) Floods or cyclones where the productive assets are partially or totally damaged and borrowers are in need of a new loan.
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- ii) In regard to natural calamity under category (a), the banks may postpone the payment of instalment during the year of natural calamity and extend the loan period by one year except (subject to the following exceptions) -
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- a) Those cultivators who had not effected the development or investment for which the loan was obtained or had disposed of the equipment or machinery purchased out of the loan.
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- b) Those who are income tax payers.
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- c) In the case of drought, those who are having perennial sources of irrigation except where water supply was not released from canals or irrigation facility was not available from other perennial sources.
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- d) Tractor owners, except in genuine case where there is loss of income and consequential impairment of their repaying capacity.
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- iii) Under this arrangement the instalments defaulted wilfully in earlier years will not be eligible for rescheduling. The banks may have to postpone payment of interest by borrowers. While fixing extension of period the commitment towards interest may also be taken into account.
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- iv) In regard to [category \(i\)\(b\)](#) above, i.e., where the borrower's assets are totally damaged, the rescheduling by way of extension of loan period may be determined on the basis of overall repaying capacity of the borrower including his repayment commitment on the old term loans and towards the conversion loan (medium term loan) on account of postponing of repayment of short-term loans and the fresh crop loan. In such cases, the repayment period of total loan (including interest liability) less the subsidies received from the Government agencies, compensation available under the insurance schemes, etc. may be fixed having regard to the repaying capacity of the borrower subject to a maximum of 15 years, depending upon the type of investment as well as the economic (useful) life of the new asset financed, except in cases where loans relate to land shaping, silt removal, soil conservation etc. Thus in the case of loans for agricultural machineries, viz. pump-sets and tractors, it should be ensured that the total loan period does not generally exceed 9 years from the date of advance.
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16. Apart from rescheduling existing term loans, banks will provide to affected farmers diverse type of term loans for developmental purposes, such as :

i) **Minor Irrigation**

Term loans for repairs to wells, pump-sets, etc. which are to be quantified after assessing the extent of damage and estimated cost of repairs.

ii) **Bullocks**

Where the drought animals have been washed away, requests for fresh loans for a new pair of bullocks / he-buffaloes may be considered. Where loans are given for purchase of new cattle or where farmers have bought milch cattle, reasonable credit may be given for purchase of fodder or feed.

iii) **Milch Cattle**

Term loan for milch cattle will be considered depending upon breed, milk yield, etc., the loan amount will include repairs to shelters, purchase of equipment and feed.

iv) **Insurance**

Considering the proneness of areas to cyclones and other natural calamities, the cattle should be insured instead of Risk-cum-Mortality Fund established for similar purpose in other safe areas. Milch animals / draught cattle should be branded for identification as also to serve as safeguard against their re-sale by the beneficiaries.

v) **Poultry and Piggery**

For poultry, piggery and rearing of goats, loans will be considered as per norms of different banks.

vi) **Fisheries**

In the case of borrowers who have lost their boats, nets and other equipment, re-phasing of payment of existing dues may be allowed on merits. Fresh loans may be granted to them with loan maturity of 3/4 years. Loans for repairs to boats of the existing borrowers may also be considered. In cases where subsidy is available, the quantum of loan should be reduced to that extent. In States where substantial subsidy towards cost of boats, nets, etc. is likely to be available, proper co-ordination with the State Government Department concerned in this regard must be ensured. Apart from complying with other norms and conditions for grant of advances, assistance may be sought from the Department of Fisheries, which may be expected to take measures which would enable banks to proceed with financing for this purpose. The boats should be comprehensively insured against all risks including natural calamities as far as possible.

17. Land Reclamation

- i) It is likely that financial assistance will be required for reclamation of lands covered by sand casting. Normally, sand / silt deposits upto 3 inches will either be ploughed back into the soil or removed by the farmers without any need for financial assistance. Loan applications will, however, be considered in cases where immediate cultivation is possible and reclamation (removal of sand) is necessary. Wherever reclamation finance for saline lands is warranted, the cost of reclamation not exceeding 25 % of the scale allowed for crop loan may be advanced along with the crop loan.
 - ii) For other activities like Sericulture, Horticulture, Floriculture, Betel vine growing etc., banks will advance loans for investment and working capital under their existing schemes and follow usual procedures laid down by them. The working capital finance may be provided until such period the income from the plantation is adequate to take care of such expenditure.
 - iii). However, additional need based crop loans, if necessary, would be given for revitalisation / rejuvenation of standing crop / orchards based on individual assessment.
 - iv) The question relating to procurement and proper arrangement for supply of adequate quantity of seeds and various types of fertilisers will have to be discussed with the State Government and District Administration in each district. Similarly, for the purpose of ensuring adequate irrigation facilities, the State Government will undertake repairs to Government owned shallow and deep tube-wells and River Lift Irrigation System damaged by floods and other natural calamities. As for fisheries, the fisheries department of the State Government will make arrangement to obtain fingerlings / and supply them to those who wish to revive tank fishing with bank finance.
 - v) The State Government will have to consider preparation of schemes which would enable commercial banks to obtain refinance at NABARD rates for amounts advanced by banks for the said purpose.
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18. Artisans and Self-Employed

- i) For all categories of rural artisans and self employed persons including handloom weavers, loans will be needed for repairs of sheds, replacement of implements and purchase of raw materials and stores. In sanctioning the loan, due allowance will be made for subsidy / assistance available from the State Government concerned.
 - ii) There may be many artisans, traders and self-employed who may not have any banking arrangement or facility with any bank, but will now need financial assistance for rehabilitation. Such categories will be eligible for assistance from banks' branches in whose command areas they reside or carry on their profession / business. Where such a person / party falls under the command area of more than one bank, the banks concerned will meet together and sort out his problem.
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19. Small Scale and Tiny Units

- i) Rehabilitation of units under village and cottage industry sector, small scale industrial units as also smaller of the medium industrial sector damaged, will also need attention. Term loans for repairs to and renovation of factory buildings / sheds and machinery as also for replacement of damaged parts and working capital for purchase of raw materials and stores will need to be provided urgently.
 - ii) Where the raw materials or finished goods have been washed away or ruined or damaged, banks security for working capital will naturally be eroded and the working capital account (Cash Credit or Loan) will be out of order. In such cases, banks will convert drawings in excess of the value of security into a term loan and also provide further working capital to the borrower.
 - iii) Depending on the damage suffered and time needed for rehabilitation and restarting production and sales, term loan instalments will have to be suitably rescheduled keeping in view the income generating capacity of the unit. Short-fall in margins will have to be condoned or even waived and borrower should be allowed time to build up margin gradually from his future cash generation. Wherever State Government or any agency has formulated special scheme for providing grants / subsidy / seed money, suitable margin may be stipulated to the extent of such grants / subsidy / seed money.
 - iv) The primary consideration before the banks in extending credit to a small / tiny unit for its rehabilitation should be the viability of the venture after the rehabilitation programme is implemented.
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20. Terms and Conditions

The terms and conditions governing relief loans will be flexible as to security, margin, etc. In the case of small loans covered by guarantee of Deposit Insurance and Credit Guarantee Corporation, personal guarantees will not be insisted upon. In any case, credit should not be denied for want of personal guarantees.

21. Security

Where the bank's existing security has been eroded because of damage or destruction by floods, assistance will not be denied merely for want of additional fresh security. The fresh loan may be granted even if the value of security (existing as well as the asset to be acquired from the new loan) is less than the loan amount. For fresh loans sympathetic view will have to be taken :

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- a) Where the crop loan (which has been converted into term loan) was earlier given against personal security / hypothecation of crop which would be the case for crop loans upto 5,000/- and the borrower is not able to offer charge / mortgage of land as security for the converted loan, he should not be denied conversion facility merely on the ground of his inability to furnish land as security.
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- b) If the borrower has already taken a term loan against mortgage / charge on land, the bank should be content with a second charge for the converted term loan.
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- c) Banks should not insist on third party guarantees for providing conversion facilities.
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- d) In the case of term loans for replacement of equipment, repairs, etc. and for working capital finance to artisans and self-employed persons or for crop loans, usual security may be obtained. Where land is taken as security in the absence of original Title Records, a Certificate issued by the Revenue Department Officials may be accepted for financing farmers who have lost proof of their titles i.e. in the form of deeds, as also the registration certificates issued to registered share-croppers.
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- e) As per the recommendations of the Reserve Bank of India's report on Customer Service, banks will finance the borrowers who require loans upto 500/- without insisting either on collateral security or guarantee for any type of economic activity.
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22. Margin

Margin requirements be waived or the grants / subsidy given by the concerned State Government may be considered as margin.

23. Interest

The rates of interest will be in accordance with the directives of the Reserve Bank of India. Within the areas of their discretion, however, banks are expected to take a sympathetic view of the difficulties of the borrowers and extend a concessional treatment to calamity-affected people.

- i) Those meeting the eligibility criteria under the scheme of Differential Rate of Interest should be provided credit in accordance with the provision of the scheme.
 - ii) In respect of current dues in default, no penalty will be charged. The banks should also suitably defer the compounding of interest charges.
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24. Other Issues

i) Business Continuity Planning (BCP)

In the backdrop of increased leveraging of technology in banking system, BCP has become a key pre-requisite for minimizing business disruption and system failures. As a BCP strategy, banks may identify alternate branches for branches located in areas prone to natural calamities. Banks may therefore formulate full-fledged comprehensive BCP along with Disaster-Recovery (DR) arrangements. The banks may also focus on keeping the DR site current, to test them comprehensively and synchronize the data between the primary and secondary sites.

ii) Access to Customers to their Bank Accounts

- a) In areas where the bank branches are affected by natural calamity and are unable to function normally, banks may operate from temporary premises, under advice to Reserve Bank of India. For continuing the temporary premises beyond 30 days, specific approval may be obtained from the Regional Office (RO) concerned of Reserve Bank of India. Banks may also ensure rendering of banking services to the affected areas by setting up satellite offices, extension counters or mobile banking facilities under intimation to RO of Reserve Bank of India.
 - b) To satisfy customer's immediate cash requirements, banks could consider waiving the penalties related to accessing accounts such as fixed deposits
 - c) Restoration of the functioning of ATMs at the earliest or making alternate arrangements for providing such facilities may be given due importance. Banks may consider putting in place arrangements for allowing their customers to access other ATM networks, Mobile ATMs, etc.
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iii) Currency Management

Banks / branches affected by natural calamity, if required, may contact other banks maintaining its current accounts or the currency chest branch to which it is linked in order to ensure that supply of currency is maintained to its customers.

iv) **KYC Norms**

To facilitate opening of new accounts by persons affected by natural calamities especially for availing various relief's given by Government / other agencies, banks may open accounts with -

- a) introduction from another account holder who has undergone full KYC procedure, or
 - b) documents of identity such as Voter's Identity Card or a driving license, identity card issued by an office, company, school, college, etc. along with a document indicating the address such as Electricity Bill, Ration Card etc. or
 - c) introduction by two neighbours who have the documents as indicated in [paragraph \(b\)](#) above or
 - d) in the absence of the above, any other evidence to the satisfaction of the bank.
 - e) The above instructions will be applicable to cases where the balance in the account does not exceed 50,000/- or the amount of relief granted (if higher) and the total credit in the account does not exceed 1,00,000/- or the amount of relief granted, (if higher) in a year.
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v) **Clearing and Settlement Systems**

To ensure continuity in clearing service, Reserve Bank of India has advised the banks for 'on-city back-up centres' in 20 large cities and effective low-cost settlement solution for the remaining cities. The banks in a clearing area could meet with a view to providing flexible clearing services where normal clearing services are disrupted. However, notwithstanding these arrangements, banks may also consider discounting cheques for higher amounts to meet customers' requirement of funds. Banks could also consider waiver fees for EFT, ECS or mail services so as to facilitate inward transfer of funds to accounts of persons affected by a natural calamity

25. Applicability of the Guidelines in the case of Trade and Industry

Instructions on moratorium, maximum repayment period, additional collateral for restructured loans and asset classification in respect of fresh finance will be applicable to all affected restructured borrowal accounts, including accounts of industries and trade, besides agriculture

26. Applicability of the Guidelines in the case of Riots and Disturbances

Whenever Reserve Bank of India advises the banks to extend rehabilitation assistance to the riot / disturbance affected persons, the aforesaid guidelines may broadly be followed by banks for the purpose. It should, however, be ensured that only genuine persons, duly identified by the State Government agencies as having been affected by the riots, etc., are extended rehabilitation / assistance.

- i) With a view to ensuring quick relief to the affected persons, the District Collector, on occurrence of the riot / disturbances, may ask the Lead Bank Officer to convene a meeting of the DCC, if necessary, and submit a report to the DCC on the extent of damage caused to the life and property in the area affected by riots / disturbances. If the DCC is satisfied that there has been extensive loss to life and property, the relief, as per aforesaid guidelines, may be extended to the people affected by riots / disturbances. In certain centres where there are no DCCs, the District Collector may request the Convener SLBC of the State to convene a meeting of the bankers to consider extension of relief to the affected persons. The report submitted by the Collector and the decision thereon of DCC / SLBC may be recorded and should form a part of the minutes of the meeting. A copy of the proceedings of the meeting may be forwarded to the concerned Regional Office of the Reserve Bank of India.
 - ii) It should be ensured that only genuine persons duly identified by the State Administration, as having been affected by the riots / disturbances are provided the assistance.
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@1 Actual Circular No. should be UBD.BPD.Cir.No.36/09.09.001/05-06 instead of UBD.BPD.No.30/09.09.001/05-06

The Chief Executive Officers,
All Primary (Urban) Co-operative Banks.

Master Circular on Maintenance of Statutory Reserves - Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) by Primary (Urban) Co-operative Banks

Please refer to our Master Circular [UBD.BPD.\(PCB\).MC.No.15/12.03.000/2014-15](#) dated July 1, 2014 on the captioned subject. The enclosed [Master Circular](#) consolidates and updates all the instructions / guidelines on the subject issued up to June 30, 2015 and mentioned in the Appendix.

Maintenance of Statutory Reserves Cash Reserve Ratio (CRR) & Statutory Liquidity Ratio (SLR) by Primary (Urban) Co-operative Banks

1. Introduction

1.1 All primary (urban) co-operative banks (UCBs) (scheduled as well as non-scheduled) are required to maintain stipulated level of cash reserve ratio (CRR) and statutory liquidity ratio (SLR).

1.2 In regard to cash reserve, the provisions of [section 42\(1\)](#) of the Reserve Bank of India Act, 1934 (RBI Act, 1934), governs scheduled UCBs whereas, non scheduled UCBs are governed by the provisions of [section 18](#) of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies) [BR Act, 1949(AACS)].

1.3 The provisions of section 24 of the Act *ibid* govern maintenance of SLR for all banks (scheduled as well as non-scheduled).

1.4 The instructions on all these aspects which are operational as on date of this circular are detailed in the following paragraphs.

2. General

2.3 The work of maintaining the register on daily basis may be entrusted to a responsible official and it should be put up daily to the Chief Executive Officer, who is responsible for ensuring compliance with the statutory liquidity requirements at the close of business every day.

2.4 To facilitate compilation of figures under various heads of the register, the explanations in respect of each item which form part of the Rules, as footnotes to Form I are given in the [Annex 9](#). However, it may be noted that Scheduled UCBs are required to compute CRR requirements as per [Section 42](#) of RBI Act, 1934.

Earlier, in terms of [section 42\(1\)](#) of the RBI Act, 1934, the scheduled UCBs were required to maintain with the Reserve Bank of India (Reserve Bank) during the fortnight, a minimum average daily balance of 3% of their total demand and time liabilities (DTL) in India obtaining on the last Friday of the second preceding fortnight. Further, Reserve Bank was empowered to increase, through Gazette notification, the said rate up to 15% of the DTL. The [RBI Act, 1934](#) was amended by Parliament in June 2006 and the Reserve Bank of India (Amendment) Bill, 2006 came into force with effect from April 1, 2007. As per the amendment, sub-section (1) of Section 42 of the RBI Act, 1934 was amended enabling the Reserve Bank, having regard to the needs of securing monetary stability in the country, to prescribe CRR for scheduled banks without any floor or ceiling rate. Accordingly, with effect from April 1, 2007, Reserve Bank having regard to the needs of securing the monetary stability in the country, prescribes the CRR for Scheduled UCBs without any floor or ceiling rate.

In terms of [section 42\(1\)A](#) of the RBI Act 1934, the Scheduled UCBs are required to maintain, in addition to the balances prescribed under Section 42(1) of the Act, an additional average daily balance, the amount of which shall not be less than the rate specified by the Reserve Bank in the notification published in the Gazette of India from time to time. Such additional balance will be calculated with reference to the excess of the total of demand and time liabilities (DTL) of the bank as shown in the return referred to in Section 42(2) of the RBI Act, 1934 over the total of its DTL at the close of the business on the date specified in the notification.

Currently Reserve Bank has not prescribed any incremental CRR.

For the purpose of maintenance of CRR and SLR the Reserve Bank may specify from time to time with reference to any transaction or class of transactions that such transaction or transactions shall be treated as liability in India of a scheduled UCB.

At present with effect from the fortnight beginning from February 9, 2013, the CRR prescribed by the Reserve Bank is 4.0 per cent of a bank's total of demand and time liabilities adjusted for the exemptions discussed in section 3.11. The schedule of changes brought about in the CRR prescription has been detailed in the table below :

Effective Date (from the fortnight beginning)	CRR on Net Demand and Time Liabilities (per cent)
January 6, 2007	5.50
February 17, 2007	5.75
March 3, 2007	6.00
April 14, 2007	6.25

April 28, 2007	6.50
August 04, 2007	7.00
November 10, 2007	7.50
April 26, 2008	7.75
May 10, 2008	8.00
May 24, 2008	8.25
July 05, 2008	8.50
July 19, 2008	8.75
August 30, 2008	9.00
October 11, 2008	6.50
October 25, 2008	6.00
November 08, 2008	5.50
January 17, 2009	5.00
February 13, 2010	5.50
February 27, 2010	5.75
April 24, 2010	6.00
January 28, 2012	5.50
March 10, 2012	4.75
September 22, 2012	4.50
November 3, 2012	4.25
February 9, 2013	4.00

In order to provide flexibility to banks and enable them to choose an optimum strategy of holding reserves depending upon their intra period cash flow, scheduled UCBs are presently required to maintain on average daily balance, a minimum of 95 per cent of the prescribed CRR balance based on their Net Demand and Time Liabilities (NDTL).

In order to improve the cash management by banks, as a measure of simplification, a lag of two weeks has been introduced in the maintenance of stipulated CRR by the scheduled banks. Thus, with effect from the fortnight beginning from November 6, 1999, the prescribed CRR during a fortnight has to be maintained by every bank based on its NDTL as on the last Friday of the second preceding fortnight i.e. based on the NDTL as on reporting Friday, October 22, 1999 and so on.

i) Liabilities of a bank may be in the form of demand or time deposits or borrowings or other miscellaneous items of liabilities. As defined under [Section 42](#) of RBI Act, 1934, liabilities of a bank may be towards banking system or towards others. 'Demand Liabilities' include all liabilities which are payable on demand. 'Time Liabilities' are those which are payable otherwise than on demand. Reserve Bank of India has been authorised in terms of Section 42(1)(c) of RBI Act, 1934 to classify any particular liability and hence for any doubt regarding classification of a particular liability, banks are advised to approach Reserve Bank for necessary clarifications.

ii) The computation of DTL, liabilities to the banking system, and assets with the banking system, NDTL etc. are explained in detail in [Annex I](#).

Loans / borrowings from abroad by banks in India will be considered as 'liabilities to others' and will be subject to reserve requirements.

When a bank accepts funds from a client under its remittance facilities scheme, it becomes a liability (liability to others) in its books. The liability of the bank accepting funds will extinguish only when the correspondent bank honours the drafts issued by the accepting bank to its customers. As such, the balance amount in respect of the drafts issued by the accepting bank on its correspondent bank under the remittance facilities scheme and remaining unpaid should be reflected in the accepting bank's books as an outside liability under the head 'Liability to others in India' and the same should also be taken into account for computation of NDTL for CRR / SLR purpose.

The amount received by correspondent banks has to be shown as 'Liability to the Banking System' by them and not as 'Liability to others' and this liability could be netted off by the correspondent banks against the inter-bank assets. Likewise sums placed by banks issuing drafts / interest / dividend warrants are to be treated as 'Assets with Banking System' in their books and can be netted off from their inter-bank liabilities.

3.10 Loans out of Foreign Currency Non-Resident (Banks) (FCNR [B]) Deposits and Inter-Bank Foreign Currency (IBFC) Deposits

Loans out of FCNR [B] Deposits Scheme and IBFC Deposits should be included as part of bank credit while reporting in Form 'B'. For the purpose of reporting banks should convert their FCNR (B) Deposits, Overseas foreign currency assets and bank credit in India in foreign currency in 4 major currencies into rupees at Foreign Exchange Dealers' Association of India (FEDAI) noon mean rate on the reporting Friday.

(i) The liabilities to the Banking System as computed under clause (d) of explanation to [section 42\(1\)](#) of the RBI Act, 1934.

(ii) Credit balances in ACU (US\$) accounts.

For the purpose of maintaining CRR, every scheduled bank is required to maintain a Principal Account with the Deposit Accounts Department (DAD) of the Reserve Bank at the centre where the principal office of the bank is located.

In view of the amendment carried out to RBI Act 1934, omitting sub-section (1B) of section 42, the Reserve Bank does not pay any interest on the CRR balances maintained by Scheduled UCBs with effect from the fortnight beginning March 31, 2007.

(i) In terms of Section 42(2) of the RBI Act, 1934 every scheduled bank is required to send to the Reserve Bank, a Return [Form B ([Annex 2](#))] at the close of business on each alternate Friday within seven days after the date of which it relates, duly signed by two responsible officers of bank containing the relevant information. Where such alternate Friday is a public holiday under the [Negotiable Instruments Act, 1981](#), for one or more offices of the bank, the Return should give the preceding day's figures in respect of such office or offices, but should nevertheless be deemed to relate to that Friday.

(ii) Where the last Friday of a month is not an alternate Friday for the purpose of the above Return, the banks should send to Reserve Bank, a Special Return in Form B giving the same details as specified above as at the close of business on such last Friday or where such last Friday is a public holiday under the Negotiable Instruments Act, 1981, as at the close of business on the preceding working day and such return should also be submitted within seven days after the date to which it relates.

(iii) Banks are required to calculate the proportion of their savings bank deposits as at the close of business on March 31 and September 30, into demand and time liabilities in terms of [Regulation 7](#) of the RBI Act, 1934, Scheduled Bank's Regulations, 1951 and report in the prescribed form given in [Annex 2](#).

(iv) Whenever there are wide variations between the sources and uses of funds as being reported in the fortnightly Return and the variations exceed 20 per cent, the banks concerned should advise the reasons for such wide variations in the return.

(v) In terms of Regulation 5(1) (c) of the Scheduled Banks Regulations, the banks are required to furnish a list of the names, the official designations and specimen signatures of the officers of the bank who are authorized to sign on behalf of the bank Returns prescribed under

Section 42(2) of the RBI Act, 1934 of whom only two may sign such return. The bank has to submit to Reserve Bank fresh set of signatures whenever there is change in the incumbency.

Failure to submit the Return / late submission of the Return attracts the provisions of [section 42](#) (4) of RBI Act, 1934 and the banks are liable for imposition of penalties as indicated therein.

(a) From the fortnight beginning June 24, 2006, the penal interest for default in maintenance of CRR is charged as under :

(i) In case of default in maintenance of CRR requirement on daily basis, which is presently 95 per cent of the total CRR requirement, penal interest will be recovered for that day at the rate of three per cent per annum above the bank rate on the amount by which the amount actually maintained falls short of the prescribed minimum on that day and if short fall continues on the next succeeding days, penal interest will be recovered at a rate of five per cent per annum above the bank rate.

(ii) In case of default in maintenance of CRR on average basis during a fortnight, penal interest will be recovered as envisaged in subsection (3) of [Section 42](#) of RBI Act, 1934.

(b) When under the provisions of Section 42 (3) of the RBI Act, 1934 penal interest at the increased rate of 5 per cent above bank rate has become payable -

(i) Every Director, Manager or Secretary of the scheduled bank who is knowingly and willfully a party to the default, shall be punishable with fine which may extend to five hundred Rupees and with a further fine which may extend to five hundred Rupees for each subsequent fortnight during which default continues.

(ii) The Reserve Bank may prohibit the scheduled bank from receiving any fresh deposit after the said fortnight, and if default is made by the bank in complying with the prohibition referred to in this clause, every director and officer of the bank who is knowingly and willfully a party to such default or who through negligence or otherwise contributes to such default shall in respect of each such default be punishable with fine which may extend to five hundred rupees and with a further fine which may extend to five hundred rupees for each day after the first, on which a deposit received in contravention of such prohibition is retained by the scheduled bank.

4. Cash Reserves for Non-Scheduled UCBs.

In terms of [section 18 \(1\)](#) of the BR Act, 1949, (AACS), every UCB (not being a scheduled bank) is required to maintain in India on a daily basis Cash Reserve, equivalent to such percent as the Reserve Bank may specify by notification in the Official Gazette from time to time, of its DTL in India on as on the last Friday of the second preceding fortnight and shall submit to the Reserve Bank before fifteenth day of every month a Return showing the amount so held on alternate Fridays during a month with particulars of DTL in India on such Fridays and if any such Friday is a public holiday under [Negotiable Instruments Act, 1881](#), at the close of business on the preceding working day. This balance may be maintained by way of cash resources with itself or by way of balance in a current account with the Reserve Bank or the State Co-operative Bank of the State concerned or by way of net balance in current accounts,

or with the Central Co-operative Bank of the district concerned or in one or more of the aforesaid ways. The net balance in current accounts shall in relation to a co-operative bank mean the excess, if any, of the aggregate of the credit balances in current account maintained by that co-operative bank with the State Bank of India or a subsidiary bank or a corresponding new bank or IDBI Bank, over the aggregate of the credit balances in current accounts held by the said banks with such co-operative bank.

In terms of Notification [UBD.BPD.\(PCB\).Not.No.1/16.26.000/2013-14](#) dated June 5, 2014, Cash Reserve Ratio (CRR) required to be maintained by every Primary (Urban) Co-operative Bank, whether a scheduled cooperative bank or not, shall be 4 per cent of the total of demand and time liabilities, from the fortnight beginning from July 12, 2014.

The computation of DTL, liabilities to the banking system, assets with the banking system, and NDTL, etc. are explained in detail in [Annex 3](#).

Non-scheduled banks are required to submit a Return in Form I, as per proforma given in [Annex 4](#), to the Regional Office concerned of Reserve Bank not later than 20 days after the end of the month to which it relates showing the position, inter alia, of cash reserve maintained by the banks under [section 18](#) of the BR Act, 1949 (AACS) as at the close of business on each alternate Friday during the month, with particulars of its DTL in India on such Fridays or if any such Friday is a public holiday under the Negotiable Instruments Act, 1881, at the close of business on the preceding working day. Non-scheduled banks are required to furnish in Appendix I, as per proforma given in [Annex 5](#), along with the Return in Form I showing the position of the

- (a) cash reserve required to be maintained under section 18 of the BR Act, 1949 (AACS)
- (c) extent of deficit / surplus for each day of the month.

Non-scheduled banks should ensure to maintain the required cash reserve and submit the prescribed return along with Appendix I ([Annex 5](#)) within the stipulated time to the concerned Regional Offices. Failure to submit the Return in time attracts the provisions of [section 46\(4\)](#) of the BR Act, 1949 (AACS), and the banks are liable to imposition of penalties as indicated therein. The banks should, therefore, in their own interest ensure that the stipulations of the [section 18](#) of the BR Act, 1949 (AACS) referred to above are strictly adhered to.

In terms of Sub-section 1(A) of Section 18 of BR Act, 1949 (AACS), if the balance held by cooperative bank at the close of business on any day is below the minimum specified under sub-section (1), such co-operative bank shall, without prejudice to the provisions of any other law for the time being in force, be liable to pay to the Reserve Bank, in respect of that day, penal interest at a rate of three per cent. above the bank rate on the amount by which such balance falls short of the specified minimum, and if the shortfall continues further, the penal interest so charged shall be increased to a rate of five per cent. above the bank rate in respect of each subsequent day during which the default continues.

5. Statutory Liquidity Reserves (Scheduled and Non-Scheduled UCBs)

In terms of [section 24 \(2A\)](#) of the BR Act, 1949 (AACs), every co-operative bank in addition to the Cash Reserve required to be maintained under [section 18\(1\)](#), shall maintain in India, liquid assets, the value which shall not be less than such percentage as may be specified by Reserve Bank in the Official Gazette from time to time and not exceeding forty percentage of its NDTL in India as on the last Friday of the second preceding fortnight.

Pursuant to the enactment of the [Banking Laws \(Amendment\) Act, 2012](#), giving powers to RBI to specify the percentage of SLR as well as the form and manner of holding SLR by co-operative banks, it was decided to reduce the SLR for all Urban Co-operative Banks from 25.00 per cent to 22.50 per cent of their total demand and time liabilities with effect from the fortnight beginning July 12, 2014. With effect from February 7, 2015, the SLR for all UCBs is 21.50% of NDTL. Urban Co-operative Banks not maintaining SLR in three forms i.e. cash, gold and approved securities were given time upto March 31, 2015 to comply with instructions contained in the Notification [UBD.BPD.\(PCB\).Not.No.2/16.26.000/2013-14](#) dated June 5, 2014 (Annex 10). In the interim period, Urban Co-operative Banks were permitted to maintain SLR as per instructions contained in circulars [UBD.BR.Cir.19/16.26.00/2001-02](#) dated October 22, 2001 and [UBD.\(PCB\).CO.BPD.Cir.28/16.26.00/2008-09](#) dated November 26, 2008. However, term deposits held by Primary (Urban) Co-operative Banks with Public Sector Banks were also made eligible for being reckoned for SLR purpose in the interim period, upto March 31, 2015. It may be noted that balances kept with State Co-operative Banks / District Central Co-operative Banks as also term deposits with public sector banks are now not eligible for being reckoned for SLR purpose w.e.f April 1, 2015.

The compliance with a daily statement to banks/Reserve Bank listing the securities lodged/utilised this obligation is monitored ordinarily with reference to the position of the SLR as on the relevant alternate Friday as shown in the return in Form I.

Banks are also required to maintain SLR on borrowing through CBLO. However, securities lodged in the Gilt Account of the bank maintained with Clearing Corporation of India Ltd. (CCIL) under Constituent Subsidiary General Ledger account (CSGL) facilities remaining unencumbered at the end of any day can be reckoned for SLR purposes by the bank concerned. For this purpose, CCIL will provide a daily statement to banks / Reserve Bank listing the securities lodged/utilised/remaining unencumbered.

(iii) Unencumbered investment in approved securities as defined in section 5(a) of the Banking Regulation Act, 1949 (10 of 1949) read with section 56 thereof.

(In terms of circular No. [IDMD.3426/11.01.01/\(D\)225-06](#)* dated March 03, 2006**, all Negotiated Dealing System-Order Matching (NDS-OM) segment members were allowed to undertake 'When Issued transactions' on NDS-OM platform. The securities bought in the 'When Issued' market would be eligible for SLR purposes, only on delivery.)

** Actual date should be 03-05-06.

Note : Unencumbered deposits with state/district central co-operative bank of the state / district concerned :

a) Wherever a district is served by more than one central co-operative bank, the area of operations of each central co-operative bank within the district is quite distinct and separate as per the provisions of the bye-laws of the central co-operative bank concerned. The primary cooperative banks operating in the area of the central cooperative bank concerned in the district will be normally affiliated to that central co-operative bank. Therefore, the central co-operative bank concerned in the district to which the primary co-operative bank is affiliated, or in whose area the primary co-operative bank has its registered office, will be the central cooperative bank of the district concerned for the purposes of Sections 18 & 24 of the BR Act, 1949 (AACS).

b) Where a primary co-operative bank operates beyond such area, by opening branches in areas served by other central co-operative banks in the district, it can treat its balances with latter also as cash reserve or liquid assets, as the case may be.

(Legally speaking, the banks may invest in gold (including gold ornaments) to maintain liquid assets. However, such investments are of unproductive nature and yield no income, except price increase, which is subject to speculative forces. Keeping these aspects in view as well as the difficulties involved in valuation, safekeeping, etc., the banks should not invest in gold to maintain liquid assets for SLR purposes.)

All UCBs are required to maintain investments in Government Securities only in Subsidiary General Ledger (SGL) Accounts with Reserve Bank or in CSDL Accounts of scheduled commercial banks, Primary Dealers (PDs), State Co-operative Banks, and Stock Holding Corporation of India Ltd.(SHCIL) or in the dematerialised accounts with depositories such as National Securities Depositories Ltd (NSDL), Central Depository Services Ltd. (CDSL), and National Securities Clearing Corporation Ltd. (NSCCL).

(i) In terms of [section 5\(a\)](#) of BR Act, 1949 (AACS), "approved securities" means the securities issued by the Central Government or any State Government or such other securities as may be specified by the Reserve Bank from time to time. The SLR status of securities issued by Government of India and the State Governments will be indicated in the Press Release issued by the Reserve Bank at the time of issuance of the securities. An updated and current list of the SLR securities is available on the Reserve Bank's website (www.rbi.org.in) under the link 'Database on Indian Economy'. In case of any doubt regarding the classification of a security for the purpose of section 24, the banks may seek clarifications from Reserve Bank.)

(ii) Banks may reckon their reserve fund investments in fixed deposits, or the investments in approved securities as SLR assets provided they are unencumbered.

(iii) "Unencumbered investment" of a primary co-operative bank shall include its investment in the approved securities lodged with another institution for an advance or any other credit arrangement to the extent to which such securities have not been drawn against or availed of.

(i) The Classification and Valuation of Securities for SLR will be done as specified by the Reserve Bank from time to time. For detailed instruction on classification and valuation of securities for SLR, please refer to Master circular No [DCBR. BPD \(PCB\).MC.No.4](#)

[/16.20.000/2015-16](#) dated July 01, 2015.

(ii) A format for reporting the data is given in [Annex 6](#). Information in the format may be furnished as an Annex, to return in Form I, only to the Regional Office concerned of this department with effect from 2003. The monthly Return should contain information of the fortnights following in the respective months.

(i) The net liabilities to the 'Banking System' as computed under clause (d) of explanation to [section 18\(1\)](#) of the BR Act, 1949 (AACS) are exempted from maintenance of SLR

(ii) The procedure followed for working out net inter-bank liabilities for the purpose of SLR should be in accordance with clause (d) of explanation to [section 18\(1\)](#) of the BR Act, 1949(AACS). The procedure to compute total NDTL for the purpose of SLR and minimum percentage of SLR under [section 24\(2A\)](#) of BR Act, 1949 (AACS) must be similar to the procedure followed for computation of CRR as detailed in [Annex 3](#).

(iii) In terms of [clause \(d\)](#) of explanation to section 18(1) of the BR Act, 1949 (AACS) the amount of net inter-bank liabilities is to be calculated after reducing 'assets with banking system' from 'liabilities to the banking system'. If it is a positive figure, it should be added to 'liabilities to others' to arrive at total NDTL. If it is a negative figure, net inter-bank liabilities would be considered as zero and 'liabilities to others' would be considered as total NDTL. For the purpose of working out liabilities, subject to a prescribed SLR under the law, if net inter-bank liabilities are positive it should be deducted from total NDTL. However, for the purpose of working out minimum SLR on total NDTL, net inter-bank liabilities should also be included.

(iv) The computation of DTL, liabilities to the banking system, assets with the banking system, and NDTL, etc. are explained in detail in [Annex 3](#).

(v) In case a UCB has availed a loan from DCCB / SCB with which it maintains deposits, for the computation of SLR, the amount of loan availed should be deducted from deposits irrespective of whether a lien has been marked on such deposits or not, as in case of default the lender bank can exercise the lien and the deposits may not be available to meet the liquidity needs.

(i) All UCBs (scheduled and non-scheduled), are required to submit a Return in Form I (as detailed in [Annex 4](#)) under [section 24](#) of the BR Act, 1949 (AACS) every month showing the position of liquid assets maintained under the said section as at the close of business on each alternate Friday during the month.

[Note: In respect of Non-Scheduled UCBs, Return in Form I is common for reporting cash reserves and statutory liquid assets.]

(ii) All UCBs (scheduled and non-scheduled) are required to furnish Appendix II, as per proforma given in [Annex 7](#), along with the Return in Form I showing the position of -

(a) statutory liquid assets required to be maintained under [Section 24](#) of the BR Act, 1949 (AACS).

(c) the extent of deficit/surplus for each day of the month.

(i) In terms of [section 24\(4\)\(a\)](#) of the BR Act, 1949 (AACS), if on any alternate Friday or, if such Friday is a public holiday, on the preceding working day, the amount maintained by any bank at the close of business on that day falls below the minimum prescribed by or under clause 24(2A)(a), the bank shall be liable to pay to the Reserve Bank in respect of that day's default, penal interest for that day at the rate of 3 per cent per annum above the bank rate on the amount by which the amount actually maintained falls short of the prescribed minimum on that day.

(ii) Further, vide section 24(4)(b), if the default occurs again on the next succeeding alternate Friday, or, if such Friday is a public holiday, on the preceding working day, and continues on succeeding alternate Fridays or preceding working days, as the case may be, the rate of penal interest shall be increased to a rate of 5 per cent per annum above the bank rate on each such shortfall in respect of that alternate Friday and each succeeding alternate Friday or preceding working day, if such Friday is a public holiday, on which the default continues.

(iii) Without prejudice to the provisions of section 24(4), on the failure of any bank to maintain on any day, the amount so required to be made by or under clause (a) of section 24(2A), the Reserve Bank under Section 24(5)(a) may, in respect of such default, require the concerned bank to pay penal interest for that day as provided in section 24(4)(a) and if the default continues on the next succeeding working day, the penal interest may be increased as provided in section 24(4)(b) for the days concerned.

(iv) In terms of the provisions of Section 24 (6) (a) the penalty payable under sub Sections (4) and (5) is to be paid by the banks within a period of thirty days from the date on which the notice is issued by the Reserve Bank.

(v) Banks should invariably ensure to maintain the required SLR and submit the prescribed Return along with Appendix II ([Annex 8](#)) within the stipulated time to Regional Offices concerned. Failure to submit the Return in time will attract the provisions of section 46(4) of the Act *ibid* and the banks will be liable to imposition of penalties as indicated therein.

(vi) Where it is observed that banks are persistently defaulting despite instructions and repeated advice, the Reserve Bank in addition to levy of penalty on such defaulting banks, may be constrained to consider cancelling the license in case of licensed banks and refuse license in case of unlicensed banks under section 22 of the Act, *ibid*. The banks should, therefore, in their own interest ensure maintenance of statutory liquidity ratio at prescribed rates and be very prompt in submission of Return in Form I, Form IX, Form 'B' to Regional Office concerned of Reserve Bank.

i) Apart from maintenance of CRR and SLR at the prescribed rates, banks are also required to submit relative statutory Returns well in time to the Regional Office concerned of Reserve Bank. Any violation of these statutory requirements, apart from levy of penal interest would also attract penalties under Section 46(4), read with [Section 56](#) of the BR Act, 1949 (AACS).

ii) Whenever any bank fails to maintain the requisite amount of Cash Reserve/Liquid Assets, it should explain the reasons for such default in the letter forwarding the Return.

Master Circular on Maintenance of Deposit Accounts - Primary (Urban) Co-operative Banks

Please refer to our Master Circular [UBD.BPD.\(PCB\).MC.No:13/13.01.000/2014-15](#) dated July 1, 2014 on the captioned subject (available at RBI website www.rbi.org.in). The enclosed [Master Circular](#) consolidates and updates all the instructions / guidelines on the subject issued up to June 30, 2015 and mentioned in the [Appendix](#).

Master Circular on Maintenance of Deposit Accounts - Primary (Urban) Co-operative Banks

1. Introduction

Acceptance of deposits and maintenance of deposit accounts is the core activity in any bank. The very basic legal interpretation of the word "banking" as defined in the [Banking Regulation Act, 1949](#) means accepting deposits of money, for the purpose of lending or investment, from the public, repayable on demand or otherwise, and withdrawable by cheque, draft, order or otherwise. Thus, deposits are the major resource and mainstay of a bank and the main objective of a bank is to mobilise adequate deposits. Various instructions, guidelines, etc. issued from time to time to primary (urban) co-operative banks (UCBs) in regard to opening and conduct / monitoring of deposit accounts are detailed hereunder.

2. Opening of Deposit Accounts

A large number of frauds are perpetrated in banks mainly through opening of accounts in fictitious names, irregular payment of cheques, manipulation of accounts and unauthorised operations in accounts. Considering the fact that opening of an account is the first entry point for any person to become a customer of the bank, utmost vigilance in opening of accounts and operations in the accounts is called for. Even the legal protection under the [Negotiable Instruments Act, 1881](#) which governs payment and collection of negotiable instruments and provides certain rights, liabilities (obligations) and protections to the issuers / drawers, payees, endorsees, drawees, collecting banks and paying / drawee banks, will be available, only if the bank makes the payment or receives payment of a cheque / draft payable to order in due course. Any payment or collection of a negotiable instrument is deemed in due course only when the bank acts in good faith and without negligence and does so for a customer.

Before implementation of the system of document-based verification of identity, as laid down in PML Act / Rules, introduction from an existing customer of the bank was considered necessary for opening of bank accounts. In many banks, obtaining of introduction for opening of accounts is still a mandatory part of customer acceptance policy even though documents of identity and

address as required under our instructions are provided. This poses difficulties for prospective customers in opening accounts as they find it difficult to obtain introduction from an existing account holder.

Since introduction is not necessary for opening of accounts under PML Act and Rules or Reserve Bank's extant KYC instructions, banks should not insist on introduction for opening bank accounts of customers.

(i) The banks should obtain photographs of the depositors / account holders who are authorised to operate the accounts at the time of opening of all new accounts. The customers' photographs should be recent and the cost of photographs to be affixed on the account opening forms may be borne by the customers.

(ii) Only one set of photographs need to be obtained and separate photographs should not be obtained for each category of deposit. The applications for different types of deposit accounts should be properly referenced.

(iii) Photographs of persons authorised to operate the deposit accounts viz. S.B. and Current accounts should be obtained. In case of other deposits viz. Fixed, Recurring, Cumulative etc. photographs of all depositors in whose names the deposit receipt stands may be obtained, except in the case of deposits in the name of minor, where guardians' photographs could be obtained. Fresh photographs will be required to be obtained from minor customers on their becoming major.

(iv) The banks should also obtain photographs of 'Pardanashin' women.

(v) The banks should also obtain photographs of Non-Resident (External) (NRE), Non-Resident Ordinary (Rupee) (NRO), Foreign Currency Non-Resident (FCNR) account holders.

For operations in the accounts, banks should not ordinarily insist on the presence of account holder unless the circumstances so warrant. Photographs cannot be a substitute for specimen signatures.

(i) Banks, local authorities and Government departments (excluding public sector undertakings or quasi-Government bodies) are exempted from the requirement of photographs.

(ii) The photographs need not be obtained for borrowal accounts viz. Cash Credit, Overdrafts accounts, etc.

(iii) The banks may not insist for photographs in case of accounts of staff members (Single / Joint).

It is not proper for banks even unwittingly to allow themselves to be utilised by unscrupulous persons for the purpose of tax evasion. Therefore, banks should obtain full and complete address of depositors and record these in the books and the account opening forms so that the parties could be traced without difficulty, in case of need. Independent confirmation of the address of the account holder should be obtained in all cases.

The banks are required to obtain PAN / GIR number of a depositor opening an account with an initial deposit of Rs.50,000/- and above.

The opening of new accounts should be authorised only by the Branch Manager or by the Officer-in-Charge of the Deposit Accounts Department concerned at bigger branches.

The banks should ensure that all account opening formalities are undertaken at the bank's premises and no document is allowed to be taken out for execution. Where it is absolutely necessary to make exception of the above rule, banks may take precaution such as deputing an officer to verify the particulars, obtaining a signed photograph on a suitably formatted verification sheet, forwarding by registered Acknowledgement Due, mailing a copy of the account opening form and accompanying instructions to the client for necessary verification before any operations are conducted in the accounts.

Keeping in view the importance of credit discipline for reduction in Non-Performing Assets (NPA) level of banks, banks should insist on a declaration from the account-holder to the effect that he is not enjoying any credit facility with any other bank or obtain a declaration giving particulars of credit facilities enjoyed by him with any other bank(s). The account-opening bank should ascertain all the details and should also inform the concerned lending bank(s). The account-opening bank should obtain No-objection Certificate from such banks.

However, in case no response is received from the existing bankers after a minimum period of a fortnight, banks may open current accounts of prospective customers.

Further, where the due diligence is carried out on the request of a prospective customer who is a corporate customer or a large borrower enjoying credit facilities from more than one bank, the bank may inform the consortium leader, if under consortium, and the concerned banks, if under multiple banking arrangement.

Banks are advised to be guided by the need for effective due diligence in these matters as also the objective of customer satisfaction and ensure that suitable arrangements are in place for prompt and serious attention to references received from banks in this regard.

UCBs are advised to offer a 'Basic Savings Bank Deposit Account' which will offer following minimum common facilities to all their customers:-

- (i) The 'Basic Savings Bank Deposit Account' should be considered a normal banking service available to all.
- (ii) This account shall not have the requirement of any minimum balance.
- (iii) The services available in the account will include deposit and withdrawal of cash at bank branch as well as ATMs; receipt / credit of money through electronic payment channel or by means of deposit / collection of cheques drawn by Central / State Government agencies and departments;

(iv) While there will be no limit on the number of deposits that can be made in a month, account holders will be allowed a maximum of four withdrawals in a month, including ATM withdrawals; and

The above facilities will be provided without any charges. Further, no charge will be levied for non-operation / activation of in-operative 'Basic Savings Bank Deposit Account'.

The UCBs would be free to evolve other requirements including pricing structure for additional value-added services beyond the stipulated basic minimum services on reasonable and transparent basis and applied in a non-discriminatory manner.

The 'Basic Savings Bank Deposit Account' would be subject to RBI instructions on Know Your Customer (KYC) / Anti Money Laundering (AML) for opening of bank accounts issued from time to time. If such account is opened on the basis of simplified KYC norms, the account would additionally be treated as a 'Small Account' and would be subject to conditions stipulated for such accounts as indicated in [paragraph 2.6 \(iii\)](#) of Master Circular UBD.BPD. (PCB).MC.No.16/12.05.001/2014-15 dated July 1, 2014 on KYC Norms / AML Measures / CFT / Obligations of banks under [PMLA, 2002](#).

Holders of 'Basic Savings Bank Deposit Account' will not be eligible for opening any other savings bank deposit account in that bank. If a customer has any other existing savings bank deposit account in that bank, he / she will be required to close it within 30 days from the date of opening a 'Basic Savings Bank Deposit Account'.

The existing basic banking 'no-frills' accounts should be converted to 'Basic Savings Bank Deposit account'. However, financial inclusion objectives would not be fully met if the banks do not increase the banking outreach to the remote corners of the country. This has to be done with affordable infrastructure and low operational costs with the use of appropriate technology. This would enable banks to lower the transaction costs to make small ticket transactions viable. Banks are, therefore, urged to scale up their financial inclusion efforts by utilising appropriate technology. Care must be taken to ensure that the solutions developed are highly secure, amenable to audit and follow widely accepted open standards to allow inter-operability among the different systems adopted by different banks.

In view of several queries received in respect of 'Basic Savings Bank Deposit Account', a list of "Frequently Asked Questions (FAQs)" on the subject is available in the RBI website under the "FAQs" tab.

2.5.1 UCBs may maintain NRO accounts arising from their redesignation as such, upon the existing resident account holders becoming non-resident and in such accounts only, periodical credit of interest will be permitted. UCBs are not permitted to open any fresh NRO accounts (with the exception of Category I Authorized Dealers).

2.5.2 UCBs registered in States that have entered into a Memorandum of Understanding (MOU) with Reserve Bank of India (Reserve Bank) for supervisory and regulatory co-ordination and those registered under the Multi State Co-operative Societies Act, 2002 and complying with the following norms are eligible for authorization to maintain NRE accounts.

- (i) Minimum net worth of Rs 25 crore.
- (ii) CRAR of not less than 9%.
- (iv) Compliance with CRR / SLR requirements.
- (v) Net profit for preceding three years without any accumulated losses.
- (vi) Sound internal control systems.
- (vii) Satisfactory compliance with KYC / AML guidelines.
- (viii) Presence of at least two professional directors on the Board.

3. Restrictions on Opening of Certain Types of Deposit Accounts

It has been brought to notice of the Reserve Bank that some banks are offering special term deposit products to customers, in addition to regular term deposits, ranging from 300 days to five years, with the following features:

- i. Lock-in periods ranging from 6 to 12 months;
- ii. Premature withdrawal is not permitted during the lock-in period. In case premature withdrawal is allowed during the lock-in period, no interest is paid;
- iii. Rates of interest offered on these deposits are not in tune with the rates of interest on normal deposits and
- iv. Part pre-payment is allowed by some banks subject to certain conditions.

Before launching new domestic deposit mobilisation schemes with the approval of their respective Boards, UCBs should ensure that the provisions of Reserve Bank's directives on interest rates on deposits, premature withdrawal of term deposits, sanction of loans / advances against term deposits, etc., issued from time to time, are strictly adhered to. Any violation in this regard will be viewed seriously and may attract penalty under the [Banking Regulation Act, 1949](#) (As Applicable to Co-operative Societies). It is clarified that the special schemes, with lock-in periods and other features referred to above, which have been floated by some banks, are not in conformity with Reserve Bank's instructions. Banks that have floated such deposit schemes are, therefore, advised to discontinue the schemes with immediate effect and report compliance to Regional Office concerned of Reserve Bank.

With a view to promoting the objective of financial inclusion and also to bring uniformity among banks in opening and operating minors' accounts, banks are advised as under:

- (i) A savings / fixed / recurring bank deposit account can be opened by a minor of any age through his / her natural or legally appointed guardian.

(ii) Minors above the age of 10 years may be allowed to open and operate savings bank accounts independently, if they so desire. Banks may, however, keeping in view their risk management systems, fix limits in terms of age and amount up to which minors may be allowed to operate their deposit accounts independently. They can also decide, in their own discretion, as to what minimum documents are required for opening of accounts by minors.

(iii) On attaining majority, the erstwhile minor should confirm the balance in his / her account and if the account is operated by the natural guardian / legal guardian, fresh operating instructions and specimen signature of erstwhile minor should be obtained and kept on record for all operational purposes.

(iv) UCBs are free to offer additional banking facilities like internet banking, ATM / debit card, cheque book facility etc., subject to the safeguards that minor accounts are not allowed to be overdrawn and that these always remain in credit.

3.3.1 Generally, the banks are reluctant to open deposit account in the name of minor, with mother as a guardian. Presumably, reluctance to allow mother as a guardian when the father is alive, is based on [section 6](#) of the Hindu Minority and Guardianship Act, 1956 which stipulates that, during his lifetime, father alone should be the natural guardian of a Hindu minor.

3.3.2 The legal and practical aspects of the problem have been examined by the Reserve Bank. If the idea underlying the demand for allowing mothers to be treated as guardians related only to the opening of fixed, recurring deposit and savings banks accounts, notwithstanding the legal provisions, such accounts could be opened by banks provided they take adequate safeguards in allowing operations in the accounts by ensuring that minors' account opened with mothers as guardians are not allowed to be overdrawn and that they always remain in credit. In this way, the minor's capacity to enter into contract would not be a subject matter of dispute.

3.3.3 Further, in cases where the amount involved is large, and if the minor is old enough to understand the nature of the transaction, the banks could take his acceptance also for paying out money from such account.

4. Nomination Facilities

(i) Nomination facility should be made available to all types of deposit accounts, irrespective of the nomenclature used by different banks.

(ii) Unless the customer prefers not to nominate, (this may be recorded, without giving scope for conjecture of non-compliance) nomination should be a rule, to cover all existing and new accounts.

(iii) Nomination facility is available for saving bank accounts opened for credit of pension. However, [Co-operative Societies \(Nomination\) Rules, 1985](#), are distinct from the Arrears of Pension (Nomination) Rules, 1983, and the nomination exercised by the pensioner under the latter Rules for receipt of arrears of pension will not be valid for the purpose of deposit

accounts held by the pensioners with banks for which a separate nomination is necessary in terms of Co-operative Societies (Nomination) Rules, 1985, in case a pensioner desires to avail of nomination facility.

(iv) Banks are advised to generally insist that the person opening a deposit account makes a nomination. In case the person opening an account declines to fill in nomination, the banks should explain the advantages of nomination facility. If the person opening the account still does not want to nominate, the banks should ask him to give a specific letter to the effect that he does not want to make nomination. In case the person opening the account declines to give such a letter, the bank should record the fact on the account opening form and proceed with opening of the account if otherwise found eligible. Under no circumstances, a bank should refuse to open an account solely on the ground that the person opening the account refused to nominate. This procedure should be adopted in respect of deposit accounts in the name of Sole Proprietary Concerns also.

(v) It is clarified that the various nomination forms ([DA1](#), [DA2](#), and [DA3](#) for Bank Deposits, [Forms SC1](#), [SC2](#) and [SC3](#) for articles in safe custody and [Forms SL1](#), [SL1A](#), [SL2](#), [SL3](#) and [SL3A](#) for Safety Lockers) prescribed under the Co-operative Banks (Nomination) Rules, 1985, only Thumb-impression(s) shall be attested by two witnesses. The signatures of the account holders need not be attested by witnesses. Banks are advised to ensure strict compliance of the said instructions

[Sections 45ZA](#) to [45ZF](#) of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies) provide, inter alia, for the following matters:

(i) to enable a co-operative bank to make payment to the nominee of a deceased depositor, of the amount standing to the credit of the depositor.

(ii) to enable a co-operative bank to return the articles left by a deceased person in its safe custody to his nominee, after making an inventory of the articles in the manner directed by the Reserve Bank.

(iii) to enable a co-operative bank to release the contents of a safety locker to the nominee, of the hirer of such locker, in the event of the death of the hirer after making an inventory of the contents of the safety locker in the manner directed by the Reserve Bank.

(i) Nomination forms for deposit accounts, articles kept in safe custody and the contents of safety lockers,

(iii) Registration of nominations and cancellation and variation of nominations, and matters related to the above.

(a) The nomination to be made by the depositor or, as the case may be, all the depositors together in respect of a deposit held by a co-operative bank to the credit of one or more individuals.

- (b) The said nomination may be made only in respect of a deposit, which is held in the individual capacity of the depositor and not in any representative capacity as the holder of an office or otherwise.
- (c) Where the nominee is a minor, the depositor or, as the case may be, all the depositors together, may, while making the nomination, appoint another individual not being a minor, to receive the amount of the deposit on behalf of the nominee in the event of the death of the depositor or, as the case may be, all the depositors during the minority of the nominee.
- (d) In the case of a deposit made in the name of a minor, the nomination shall be made by a person-lawfully entitled to act on behalf of the minor.
- (e) The cancellation of the said nomination to be made by the depositor or, as the case may be, all the depositors together.
- (f) A variation of the said nomination to be made by the depositor or, as the case may be all the depositors together.
- (g) The said nomination shall be made in favour of only one individual.
- (h) A nomination, cancellation of nomination or variation of nomination may be made as aforesaid at any time during which the deposit is held by a co-operative bank to the credit of the depositor or depositors, as the case may be.
- (i) In the case of a deposit held to the credit of more than one depositor, the cancellation or variation of a nomination shall not be valid unless it is made by all the depositors surviving at the time of the cancellation or variation of the nomination.
- (j) The co-operative bank shall acknowledge in writing, to the depositor or depositors concerned the filing of the relevant duly completed Form of nomination or cancellation of nomination or variation of nomination, as the case may be, in respect of a deposit.
- (k) The relevant duly completed Form of Nomination or cancellation of nomination or variation of nomination filed with the co-operative bank shall be registered in the books of the co-operative bank.
- (l) A nomination or cancellation of nomination or variation of nomination shall not cease to be in force merely by reason of the renewal of the deposit.

In terms of [Rules 2\(9\)](#), [3\(8\)](#) and [4\(9\)](#) of the Co-operative Banks (Nomination) Rules 1985, banks are required to acknowledge in writing to the depositor(s) / locker hirers (s) the filing of the relevant duly completed Form of nomination, cancellation and / or variation of the nomination. Banks are advised to strictly comply with the provisions of [Banking Regulation Act, 1949 \(As Applicable to Co-operative Societies\)](#) and [Co-operative Banks \(Nomination\) Rules, 1985](#) and devise a proper system of acknowledging the receipt of the duly completed form of nomination, cancellation and / or variation of the nomination. Such acknowledgement should be given to all the customers irrespective of whether the same is demanded by the customers.

Further, in addition to the legend "Nomination Registered", they should also indicate the name of the Nominee in the Pass Books / Statement of Accounts / Fixed Deposit Receipts, in case the customer is agreeable to the same.

The Rules 2(10), 3(9) and 4(10) require a bank to register in its books the nomination, cancellation and / or variation of the nomination. The banks should accordingly take action to register nominations or changes therein, if any, made by their depositor(s) hirer(s) of lockers.

(i) In addition to obtaining nomination form, banks may provide for mentioning name and address of the nominee in the account opening form. Publicity about nomination facility is needed, including printing compatible message on chequebook, passbook and any other literature reaching the customer as well as launching periodical drives to popularise the facility.

(ii) In case of joint deposits, after the death of one of the depositors, the banks may allow variation / cancellation of a subsisting nomination by other surviving depositor (s) acting together. This is also applicable to deposits having operating instructions "either or survivor". It may be noted that in the case of a joint deposit account, the nominee's right arises only after the death of all the depositors.

(iii) The banks may introduce a practice of recording on the face of the pass book the position regarding availment of nomination facility with the legend 'Nomination Registered'. This may be done in the case of term deposit receipts also.

The legal provisions providing for nomination and return of articles kept in safe custody to the nominee and protection against notice of claims of other persons are detailed in [Sections 45ZC](#) and [45ZD](#) of Banking Regulation Act, 1949 (As Applicable to Co-operative Societies).

The Nomination Rules in respect of articles kept in safe custody provides as under:

- (a) The nomination to be made by an individual (hereinafter referred to as the "depositor") in respect of articles left in safe custody with a co-operative bank.
- (b) Where the nominee is minor, the depositor may, while making the nomination, appoint another individual not being a minor, to receive the said articles on behalf of the nominee in the event of the death of the depositor during the minority of the nominee.
- (c) Where the articles are left in safe custody with a co-operative bank in the name of a minor, the nomination shall be made by a person lawfully entitled to act on behalf of the minor.
- (d) The nomination should be made in favour of only one individual.
- (e) A nomination, cancellation of nomination or variation of nomination may be made by the depositor at any time during which the articles so deposited are held in safe custody by the co-operative bank.
- (f) The co-operative bank should acknowledge in writing, to the depositor, the filing of the relevant duly completed Form of nomination or cancellation of nomination or variation of nomination, as the case may be, in respect of the articles so deposited.

(g) The duly completed Form of nomination or cancellation of nomination or variation of nomination filed with the co-operative bank should be registered in the books of the co-operative bank.

(i) Nomination facilities are available only in the case of individual depositors and not in respect of persons jointly depositing articles for safe custody.

(ii) While returning articles kept in safe custody to the nominee or nominees and surviving hirers, banks are not required to open sealed / closed packets left with them for safe custody while releasing them.

(iii) In the matter of returning articles left in safe custody by the deceased depositor to the nominee, the Reserve Bank, in pursuance of [sections 45ZC\(3\)](#) and [45ZE\(4\)](#), read with [section 56](#), of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies), has specified the formats for the purpose.

(iv) In order to ensure that the articles left in safe custody are returned to the genuine nominee, as also to verify the proof of death, co-operative banks may devise their own claim formats or follow the procedure, if any, suggested for the purpose either by their own federation / association or by the Indian Banks' Association (IBA). As regards proof of death of depositor, the IBA has advised its member banks to follow the procedures as prevalent in banks viz. production of the death certificate or any other satisfactory mode of proof of death.

The legal provisions providing for nomination and release of contents of safety lockers to the nominee and protection against notice of claims of other persons are detailed in [Sections 45ZE](#) and [45ZF](#) of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies).

(a) Where the locker is hired from a co-operative bank by two or more individuals jointly, the nomination to be made by such hirers.

(b) In the case of a sole hirer of a locker, nomination shall be made in favour of only one individual.

(c) Where the locker is hired in the name of a minor, the nomination shall be made by a person lawfully entitled to act on behalf of the minor.

(d) The cancellation of the said nomination to be made by the sole hirer or, as the case may be, joint hirers of a locker.

(f) A variation of the said nomination to be made by the joint hirers of a locker.

(g) A nomination, cancellation of nomination or variation of nomination may be made as aforesaid at any time during which the locker is under hire.

(h) A co-operative bank shall acknowledge in writing to the sole hirer or joint hirers, the filling of the relevant duly completed Form of nomination or cancellation of nomination or variation of nomination, as the case may be, in respect of the locker so hired.

(i) The relevant duly completed Form of nomination or cancellation of nomination or variation of nomination filed with the co-operative bank shall be registered in the books of the co-operative bank.

(i) In the matter of allowing the nominee(s) to have access to the locker and permitting him / them to remove the contents of the locker, the Reserve Bank, in pursuance of [sections 45ZC\(3\) and 45ZE \(4\)](#), read with [section 56](#), of the Banking Regulation Act, 1949, has specified the Formats for Banking Regulation Act, 1949.

(ii) In order to ensure that the amount of deposits, articles left in safe custody and contents of lockers are returned to the genuine nominee, banks may take action as indicated in [paragraph 4.5.3 \(iv\)](#) above.

(iii) While releasing contents of lockers to the nominee or nominees and surviving hirers, banks are not required to open sealed / closed packets found in locker.

(iv) As regards locker hired jointly, on the death of any one of the joint hirers, the contents of the locker are only allowed to be removed (jointly by the nominee and the survivors) after an inventory is taken in the prescribed manner. In such a case, after such removal preceded by an inventory, the nominee and surviving hirer(s) may still keep the entire contents with the same bank, if they so desire by entering into a fresh contract of hiring a locker.

(v) [Section 45ZE](#), read with [section 56](#) of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies), does not preclude a minor from being a nominee for obtaining delivery of the contents of a locker. However, the responsibility of the banks in such cases is to ensure that when the contents of a locker are sought to be removed on behalf of the minor nominee, the articles are handed over to a person who, in law, is competent to receive the articles on behalf of the minor.

5. Operations in Accounts

(i) A copy of the letter No. LA.C/19-96-29 dated 28 August 1980, received from the IBA is given in the [Annex I](#). Banks may consider the desirability of issuing suitable instructions to their branches for their information and necessary guidance on the subject.

(ii) If fixed / term deposit accounts are opened with operating instructions 'Either or Survivor', the signatures of both the depositors need not be obtained for payment of the amount of the deposits on maturity. However, the signatures of both the depositors may have to be obtained, in case the deposit is to be paid before maturity. If the operating instruction is 'Either or Survivor' and one of the depositors expires before the maturity, no pre-payment of the fixed / term deposit may be allowed without the concurrence of the legal heirs of the deceased joint holder. This, however, would not stand in the way of making payment to the survivor on maturity.

(iii) In case the mandate is 'Former or Survivor', the 'Former' alone can operate / withdraw the matured amount of the fixed term deposit, when both the depositors are alive. However, the signature of both the depositors may have to be obtained, in case the deposit is to be paid

before maturity. If the former expires before the maturity of the fixed / term deposit, the 'Survivor' can withdraw the deposit on maturity. Premature withdrawal would however require the consent of both the parties, when both of them are alive, and that of the surviving depositor and the legal heirs of the deceased in case of death of one of the depositors.

(iv) If the joint depositors prefer to allow premature withdrawals of fixed / term deposits also in accordance with the mandate of 'Either or Survivor' or 'Former or Survivor', as the case may be, it would be open to banks to do so, provided they have taken a specific joint mandate from the depositors for the said purpose.

(i) In the case of too many joint account holders, the banks should keep the following guidelines in view, while opening joint accounts and permitting operations thereon:

(a) While there are no restrictions on the number of account holders in a joint account, it is incumbent upon the banks to examine, every request for opening joint accounts very carefully. In particular, the purpose, nature of business handled by the parties and other relevant aspects relating to the business, and the financial position of the account holders, need to be looked into before opening such accounts. Care has also to be exercised when the number of account holders is large.

(b) The account payee cheques payable to third parties should not be collected.

(c) Cheques that are "crossed generally" and payable to "order" should be collected only on proper endorsement by the payee.

(d) Care should be exercised in collection of cheques for large amounts.

(e) The transactions put through in joint accounts should be scrutinised by the banks periodically and action taken as may be appropriate in the matter. Care should be exercised to ensure that the joint accounts are not used for benami transactions.

(ii) The internal control and vigilance machinery should be tightened to cover the above aspects relating to the opening and operation of joint accounts.

5.2.1 A system of maintaining a close watch over the operations in new accounts should be introduced. While at branches, primarily the responsibility for monitoring newly opened accounts would rest with the in-charges of the concerned Department / Section, the Branch Managers or the Managers of Deposit Accounts Department at larger branches should at least for the first six months, from the date of opening of such accounts, keep a close watch, so as to guard against fraudulent or doubtful transactions taking place therein. If any transaction of suspicious nature is revealed, banks should enquire about the transaction from the account holder, and if no convincing explanation is forthcoming, they should consider reporting such transactions to the appropriate investigating agencies.

5.2.2 Caution should be exercised whenever cheques / drafts for large amounts are presented for collection, or Telegraphic Transfers (TTs) / Mail Transfers (MTs) are received for credit of new accounts immediately / within a short period after opening of account. In such cases, genuineness of the instruments and the account holder should be thoroughly verified. If

necessary the paying bank should check with the collecting bank about the genuineness of any large value cheques / drafts issued. Demand Drafts (DDs) / Cheques for large amounts presented for collection should be verified under ultra violet lamps to safe guard against chemical alterations.

5.3.1 A system of close monitoring of cash withdrawal for large amounts should be put in place. Where third party cheques, drafts, etc. are deposited in the existing and newly opened accounts followed by cash withdrawals for large amounts, the banks should keep a proper vigil over the requests of their clients for such cash withdrawals for large amounts.

5.3.2 The banks should introduce a system of closely monitoring cash deposits and withdrawals for Rs.5 lakh and above not only in deposit accounts but also in all other accounts like cash credit / overdraft etc. The banks / branches should also maintain a separate register to record details of individual cash deposits and withdrawals for Rs.5 lakh and above. The details recorded should include, in the case of deposits, the name of the account holder, account number, amount deposited and in the case of withdrawals, the name of the account holder, account number, amount of withdrawal and name of the beneficiary of the cheque. Further, any cash deposits or withdrawals of Rs.5 lakh and above should be reported by the Branch Manager to the Head Office on a fortnightly basis along with full particulars, such as name of the account holder, account number, date of opening the account, etc. On receipt of these statements from branches, the Head Office should immediately scrutinise the details thereof and have the transactions looked into by deputing officials, if the transactions prima facie appear to be dubious or giving rise to suspicion. The inspecting officials from the Reserve Bank during the course of their inspections will also be looking into the statements submitted by the branches.

5.3.3 The other important areas in the payment of cheques wherein due caution need to be exercised are verification of drawer's signature, custody of specimen signature cards, supervision over issue of cheque books and control over custody of blank cheque books / leaves. While need for examining cheques for large amounts under Ultra Violet Ray Lamps is recognised by all banks, in practice it is rarely done as there is often a tendency to be lax in the matter resulting in avoidable loss. In addition, due care should be exercised in regard to issue and custody of tokens, movement of cheques tendered across the counter and custody of all instruments after they are paid by the banks. Depositors / Customers should be asked to surrender unused cheque books before closing / transferring the accounts. Also safe custody of specimen signature cards is of utmost importance, especially when operating instructions are changed, the change should be duly verified by a senior official in the branch.

Fresh cheque books should be issued only against production of duly signed requisition slips from previous cheque book issued to the party. In case the cheque book is issued against a requisition letter, the drawer should be asked to come personally to the bank or cheque book should be sent to him under registered post directly without being delivered to the bearer. Loose cheques should be issued to account holder only when they come personally with a requisition letter and on production of passbooks.

In view of the increase in the amount of unclaimed deposits with banks year after year and the inherent risk associated with such deposits, it is felt that banks should play a more pro-active role in finding the whereabouts of the account holders whose accounts have remained inoperative. Moreover, there is a feeling that banks are undeservedly enjoying the unclaimed deposits, while paying no interest on it. Keeping these factors in view, UCBs may follow the instructions detailed below while dealing with inoperative / dormant accounts:

(i) UCBs should carry out an annual review of accounts in which there are no operations (i.e. no credit or debit other than crediting of periodic interest or debiting of service charges) for more than one year. The banks may approach the customers and inform them in writing that there has been no operation in their accounts and ascertain the reasons for the same. In case the non-operation in the account is due to shifting of the customers from the locality, they may be asked to provide the details of the new bank accounts to which the balance in the existing account could be transferred.

(ii) If the letters are returned undelivered, they may immediately be put on enquiry to find out the whereabouts of customers or their legal heirs in case they are deceased.

(iii) In case the whereabouts of the customers are not traceable, banks should consider contacting the persons who had introduced the account holder. They could also consider contacting the employer / or any other person whose details are available with them. They could also consider contacting the account holder telephonically in case his telephone number / Cell number has been furnished to the bank. In case of Non Resident accounts, the bank may also contact the account holders through email and obtain their confirmation of the details of the account.

(iv) Keeping in view public interest, it has been decided that banks should play a more pro-active role in finding the whereabouts of the account holders of unclaimed deposits / inoperative accounts. Banks having websites, are therefore advised that they should display the list of unclaimed deposits / inoperative accounts which are inactive / inoperative for ten years or more on their respective websites. Those banks which do not have their websites should make available the list in their respective branches. The list so displayed on the websites / available in the branches must contain only the names of the account holder(s) and his / her address in respect of unclaimed deposits / inoperative accounts. In case such accounts are not in the name of individuals, the names of individuals authorized to operate the accounts should also be indicated. However, the account number, its type and the name of the branch (not applicable in case of unit banks) shall not be disclosed on the bank's website. The list so published by the banks on their websites should also provide a "Find" option to enable the public to search the list of accounts by name of the account holder. All UCBs were advised to complete action as above by June 30, 2015.

(v) A savings as well as current account should be treated as inoperative / dormant if there are no transactions in the account for over a period of two years.

(vi) In case any reply is given by the account holder giving the reasons for not operating the account, banks should continue classifying the same as an operative account for one more year within which period the account holder may be requested to operate the account. However, in case the account holder still does not operate the same during the extended period, banks should classify the same as inoperative account after the expiry of the extended period.

(vii) For the purpose of classifying an account as 'inoperative' both the type of transactions i.e. debit as well as credit transactions induced at the instance of customers as well as third party should be considered. However, the service charges levied by the bank or interest credited by the bank should not be considered. There may be instances where the customer has given a mandate for crediting the interest in Fixed Deposit account to the Savings Bank account and there are no other operations in the Savings Bank account. Since the interest on Fixed Deposit account is credited in the Savings Bank accounts as per the mandate of the customer, the same could be treated as a customer induced transaction and the account should be treated as operative account as long as the interest on Fixed Deposit account is credited to the Savings Bank account. The Savings Bank account can be treated as inoperative only after two years from the date of the last credit entry of the interest on Fixed Deposit account.

(viii) There may be instances where the customer has given a mandate for crediting dividend on shares to Savings Bank account and there are no other operations in the Savings Bank account. Since dividend on shares is credited to Savings Bank accounts as per the mandate of the customer, the same should be treated as a customer induced transaction and such account should be treated as operative account as long as the dividend is credited to the Savings Bank account. The Savings Bank account can be treated as inoperative account only after two years from the date of the last credit entry of the dividend, provided there is no other customer induced transaction.

(ix) Further, the segregation of the inoperative accounts is from the point of view of reducing risk of frauds etc. However, the customer should not be inconvenienced in any way, just because his account has been rendered inoperative. The classification is there only to bring to the attention of dealing staff, the increased risk in the account. The transaction may be monitored at a higher level both from the point of view of preventing fraud and making a Suspicious Transactions Report. However, the entire process should remain un-noticeable by the customer.

(x) Operation in such accounts may be allowed after due diligence as per risk category of the customer. Due diligence would mean ensuring genuineness of the transaction, verification of the signature and identity etc. However, it has to be ensured that the customer is not inconvenienced as a result of extra care taken by the bank.

(xi) There should not be any charge for activation of inoperative account.

(xii) Banks are also advised to ensure that the amounts lying in inoperative accounts ledger are properly audited by the internal auditors / statutory auditors of the bank.

(xiii) Interest on savings bank accounts should be credited on regular basis whether the account is operative or not. If a Fixed Deposit Receipt matures and proceeds are unpaid, the amount left unclaimed with the bank will attract savings bank rate of interest.

(xiv) State and Central Governments have expressed difficulties in crediting cheques / Direct Benefit Transfer / Electronic Benefit Transfer / Scholarships for students, etc. into accounts opened for the beneficiaries under various Central / State Government schemes, but had been classified as dormant / inoperative due to non-operation of the account for over two years. UCBs are, therefore, advised that they may allot a different "product code" in their CBS to all such accounts opened by banks so that the stipulation of inoperative / dormant account due to non-operation does not apply, while crediting proceeds as mentioned above. In order to reduce the risk of fraud etc., in such accounts, while allowing operations in these accounts, due diligence should be exercised by ensuring the genuineness of transactions, verification of signature and identity, etc. However, care may be taken to ensure that the customer is not inconvenienced in any manner.

(xv) Banks are not permitted to levy penal charges for non-maintenance of minimum balances in any inoperative account.

Taking into consideration the recommendations of Damodaran Committee and in the interest of customers, it has been decided that while levying charges for non-maintenance of minimum balance in savings bank account, UCBs shall be subject to the following additional guidelines with effect from April 1, 2015:

(i) In the event of a default in maintenance of minimum balance / average minimum balance as agreed to between the bank and customer, the bank should notify the customer clearly by SMS / email / letter etc. that in the event of the minimum balance not being restored in the account within a month from the date of notice, penal charges will be applicable.

(ii) In case the minimum balance is not restored within a reasonable period, which shall not be less than one month from the date of notice of shortfall, penal charges may be recovered under intimation to the account holder.

(iii) The policy on penal charges to be so levied may be decided with the approval of the Board of the bank.

(iv) The penal charges should be directly proportionate to the extent of shortfall observed. In other words, the charges should be a fixed percentage levied on the amount of difference between the actual balance maintained and the minimum balance as agreed upon at the time of opening of account. A suitable slab structure for recovery of charges may be finalized.

(v) It should be ensured that such penal charges are reasonable and not out of line with the average cost of providing the services.

(vi) It should be ensured that the balance in the savings account does not turn into negative balance solely on account of levy of charges for non-maintenance of minimum balance.

Pursuant to the amendment of the Banking Regulation Act, 1949, section 26A has been inserted in the Act, empowering Reserve Bank to establish The Depositor Education and Awareness Fund (the Fund). Accordingly, the Scheme, which is given in [Annex II](#) has been notified in the Official Gazette on May 24, 2014. As per paragraph 3(vi) of the Scheme, banks shall calculate the cumulative balances in all accounts along with interest accrued, as on the day prior to the effective date, i.e May 23, 2014 and such amounts due should be transferred to the Depositor Education and Awareness Fund (Fund) on June 30, 2014 (before the close of banking hours). Subsequently, as mentioned in paragraph 3(vii) of the Scheme, banks shall transfer to the Fund the amounts becoming due in each calendar month (i.e. proceeds of the inoperative accounts and balances remaining unclaimed for ten years or more) as specified in the Scheme and the interest accrued thereon on the last working day of the subsequent month. Detailed instructions regarding crediting amount to the Fund, returns to be submitted to RBI, etc. are given in [Annex II \(a\)](#)

5.8.1 In order to facilitate old / sick / incapacitated bank customers to operate their bank accounts, procedure as laid down in [paragraph 5.8.2](#) below may be followed. The cases of sick / old / incapacitated account holders fall into the following categories:

(i) an account holder who is too ill to sign a cheque / cannot be physically present in the bank to withdraw money from his bank account but can put his / her thumb impression on the cheque / withdrawal form, and

(ii) an account holder who is not only unable to be physically present in the bank but is also not even able to put his / her thumb impression on the cheque / withdrawal form due to certain physical defect / incapacity.

(i) Wherever thumb or toe impression of the sick / old / incapacitated account holder is obtained, it should be identified by two independent witnesses known to the bank, one of whom should be a responsible bank official.

(ii) Where the customer cannot even put his / her thumb impression and also would not be able to be physically present in the bank, a mark obtained on the cheque / withdrawal form which should be identified by two independent witnesses, one of whom should be a responsible bank official.

5.8.3 In such cases, the customer may be asked to indicate to the bank as to who would withdraw the amount from the bank on the basis of cheque / withdrawal form as obtained above and that person should be identified by two independent witnesses. The person who would be actually drawing the money from the bank should be asked to furnish his signature to the bank.

5.8.4 In this context, according to an opinion obtained by the IBA from their consultant on the question of opening of a bank account of a person who had lost both his hands and could not sign the cheque / withdrawal form, there must be physical contact between the person who is to sign and the signature or the mark put on the document. Therefore, in the case of the person who has lost both his hands, the signature can be by means of a mark. This mark can be

placed by the person in any manner. It could be the toe impression, as suggested. It can be by means of mark which anybody can put on behalf of the person who has to sign, the mark being put by an instrument which has had a physical contact with the person who has to sign.

5.8.5 Legal Guardianship Certificates issued under the Mental Health Act, 1987 and National trust for the Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999

(i) The Mental Health Act, 1987 provides for a law relating to the treatment and care of mentally ill persons and to make better provision with respect to their property and affairs. According to the said Act, "mentally ill person" means a person who is in need of treatment by reason of any mental disorder other than mental retardation. Sections 53 and 54 of this Act provide for the appointment of guardians for mentally ill persons and in certain cases, managers in respect of their property. The prescribed appointing authorities are the district courts and collectors of districts under the Mental Health Act, 1987.

(ii) The National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999 provides for a law relating to certain specified disabilities. Clause (j) of Section 2 of that Act defines a "person with disability" to mean a person suffering from any of the conditions relating to autism, cerebral palsy, mental retardation or a combination of any two or more of such conditions and includes a person suffering from severe multiple disabilities. This Act empowers a Local Level Committee to appoint a guardian to a person with disabilities, who shall have the care of the person and property of the disabled person.

Banks may also ensure that their branches give proper guidance so that the parents / relatives of the disabled persons do not face any difficulty in this regard.

5.9 Receipt of Foreign Contributions by various Associations / Organisations in India under Foreign Contribution (Regulation) Act, 1976

5.9.1 The Foreign Contribution (Regulation) Act, requires that the associations having a definite cultural, economic, educational, religious and social programme and receiving foreign contribution should get themselves registered with the Ministry of Home Affairs, Government of India and receive foreign contribution only through such one of the branches of a bank, as an association may specify in its application for registration with the Ministry of Home Affairs.

5.9.2 Further, the said Act provides that every association referred to in sub-section (1) of Section (6) may, if it is not registered with the Central Government, accept any foreign contribution only after obtaining prior permission of the Central Government.

5.9.3 There are also certain organisations of a political nature, not being political parties (including their branches / units) specified by the Central Government under Section 5(l) of the Act. These organisations require prior Permission of the Central Government for accepting any foreign contribution. In this regard, the banks should take the following precautions:

- (i) To afford credit of the proceeds of cheques / drafts representing foreign contribution only if the association is registered with the Ministry of Home Affairs, Government of India.
- (ii) To insist on production of a communication from the Ministry of Home Affairs conveying prior permission of the Central Government for acceptance of specific amount of foreign contribution in case the association is not registered under the [Foreign Contribution \(Regulation\) Act, 1976](#).
- (iii) Not to afford credit to the account of such associations as are not registered with the Ministry of Home Affairs separately for the purpose of accepting foreign contribution under the [Foreign Contribution \(Regulation\) Act, 1976](#).
- (iv) Not to afford credit to the account of such associations as have been directed to receive foreign contributions only after obtaining prior permission of the Central Government.
- (v) Not to allow the credit of the proceeds of the cheques / demand drafts etc. to the organisations of a political nature, not being political parties (including their branches and units) unless a letter containing the prior permission of the Central Government under the Foreign Contribution (Regulation) Act, 1976 is produced by such organisations.
- (vi) To note the registration number as conveyed by the Ministry of Home Affairs to the various associations in the relevant records particularly the pages of the ledgers in which the foreign contribution accounts of associations are maintained to ensure that no unwanted harassment is caused to such associations.
- (vii) In case any cheque/demand draft has been tendered to the bank for realisation of its proceeds and credit to the account of the association/organisation by an association or organisation which is not registered or which requires prior permission, as the case may be, the concerned branch of the bank may approach the Ministry of Home Affairs for further instructions. In no case the banks should credit the account of association/organisation of a political nature, not being a political party, as specified by the Central Government and of an unregistered association, unless the association/ organisation produces a letter of the Ministry of Home Affairs conveying permission of the Central Government to accept the foreign contribution.
- (viii) Where prior permission has been granted such permission is to accept only the specific amount of the foreign contribution which would be mentioned in the relevant letter. The Ministry of Home Affairs is invariably endorsing a copy of the order of registration or prior permission for each association/organisation to the concerned branch of the bank through which the foreign contributions are to be received for credit to the Associations/ Organisations deposit account.

5.9.4 For the above purpose, appropriate systems may be devised within the bank to ensure meticulous compliance with these instructions and completely eliminate instances of non-compliance. The system so devised may be intimated to all the branches of the bank for proper implementation and strict compliance and the same should be effectively monitored at Head Office level.

5.9.5 The Ministry of Home Affairs (MHA), Government of India has developed software for submission of online reports of receipt of foreign contribution by banks. MHA has advised that submitting reports online through software would be optional till October 31, 2013. However, from November 1, 2013 onwards, online submission of report would be compulsory. UCBs are advised to access <http://mha1.nic.in/fcra.htm> website for all the details on FCRA reporting and the user guide can be accessed at <http://mha1.nic.in/pdfs/USERGuideBank-270813.pdf>.

5.9.6 Non-adherence to these instructions will tantamount to violation of the provisions of the said Act. Even non-submission of the prescribed Return in time to the Government of India would be viewed very seriously.

6. Settlement of Claims in Respect of Deceased Depositors

Urban Co-operative Banks are advised to instruct all their branches to adhere to the extant instructions on the subject to facilitate expeditious and hassle free settlement of claims on the death of a depositor. With a view to facilitating timely settlement of claims on the death of a depositor, banks are advised to provide claim forms for settlement of claims of the deceased's account(s), to any person/s who is /are approaching the bank /branches for this. Urban Co-operative Banks having website may also place the claim forms on their website prominently so that claimants of the deceased depositor can access and download the forms without their having to visit the concerned bank / branch for obtaining such forms for filing claim with the bank.

To facilitate expeditious and hassle-free settlement of claims on the death of a depositor, the following guidelines may be followed:

In the case of deposit accounts where the depositor had utilised the nomination facility and made a valid nomination or where the account was opened with the survivorship clause ("either or survivor", or "anyone or survivor", or "former or survivor" or "latter or survivor"), the payment of the balance in the deposit account to the survivor(s)/nominee of a deceased deposit account holder represents a valid discharge of the bank's liability provided:

- (a) the bank has exercised due care and caution in establishing the identity of the survivor(s) / nominee and the fact of death of the account holder, through appropriate documentary evidence;
- (b) there is no order from the competent court restraining the bank from making the payment from the account of the deceased; and
- (c) it has been made clear to the survivor(s) / nominee that he would be receiving the payment from the bank as a trustee of the legal heirs of the deceased depositor, i.e., such payment to him shall not affect the right or claim which any person may have against the survivor(s) / nominee to whom the payment is made.

6.2 It may be noted that since payment made to the survivor(s) / nominee, subject to the foregoing conditions, would constitute a full discharge of the bank's liability, insistence on production of legal representation is superfluous and unwarranted and only serves to cause

entirely avoidable inconvenience to the survivor(s) / nominee and would, therefore, invite serious supervisory disapproval. In such case, therefore, while making payment to the survivor(s) / nominee of the deceased depositor, the banks are advised to desist from insisting on production of succession certificate, letter of administration or probate, etc., or obtain any bond of indemnity or surety from the survivor(s)/nominee, irrespective of the amount standing to the credit of the deceased account holder.

In case where the deceased depositor had not made any nomination or for the accounts other than those styled as "either or survivor" (such as single or jointly operated accounts), banks are advised to adopt a simplified procedure for repayment to legal heir(s) of the depositor keeping in view the imperative need to avoid inconvenience and undue hardship to the common person. In this context, banks may, keeping in view their risk management systems, fix a minimum threshold limit, for the balance in the account of the deceased depositors, up to which claims in respect of the deceased depositors could be settled without insisting on production of any documentation other than a letter of indemnity.

(i) In case of term deposits with "Either or Survivor" or "Former or Survivor" mandate, UCBs are permitted to allow premature withdrawal of the deposit by the surviving joint depositor on the death of the other, only if, there is a joint mandate from the joint depositors to this effect.

(ii) UCBs which have neither incorporated such a clause in the account opening form nor taken adequate measures to make the customers aware of the facility of such mandate, cause unnecessary inconvenience to the "surviving" deposit account holder (s). UCBs are, therefore, advised to invariably incorporate the aforesaid clause in the account opening form and also inform their existing as well as future term deposit holders about the availability of such an option.

(iii) The joint deposit holders may be permitted to give the mandate either at the time of placing fixed deposit or anytime subsequently during the term /tenure of the deposit. If such a mandate is obtained, banks can allow premature withdrawal of term /fixed deposits by the surviving depositor without seeking the concurrence of the legal heirs of the deceased joint deposit holder. Such premature withdrawal would not attract any penal charge.

In order to avoid hardship to the survivor(s) / nominee of a deposit account, banks are advised to obtain appropriate agreement / authorization from the survivor(s) / nominee with regard to the treatment of pipeline flows in the name of the deceased account holder. In this regard, banks could consider adopting either of the following two approaches:

* The bank could be authorized by the survivor(s) / nominee of a deceased account holder to open an account styled as 'Estate of Shri _____, the Deceased' where all the pipeline flows in the name of the deceased account holder could be allowed to be credited, provided no withdrawals are made.

* The bank could be authorized by the survivor(s) / nominee to return the pipeline flows to the remitter with the remark "Account holder deceased" and to intimate the survivor(s) / nominee accordingly. The survivor(s) / nominee / legal heir(s) could then approach the remitter to effect

payment through a negotiable instrument or through ECS transfer in the name of the appropriate beneficiary.

For dealing with the requests from the nominee(s) of the deceased locker-hirer / depositors of the safe-custody articles (where such a nomination had been made) or by the survivor(s) of the deceased (where the locker / safe custody article was accessible under the survivorship clause), for access to the contents of the locker / safe custody article on the death of a locker hirer / depositor of the article, the banks are advised to adopt generally the foregoing approach, mutatis mutandis, as indicated for the deposit accounts. Detailed guidelines in this regard are, however, being issued separately.

Banks are advised to settle the claims in respect of deceased depositors and release payments to survivor(s) / nominee(s) within a period not exceeding 15 days from the date of receipt of the claim subject to the production of proof of death of the depositor and suitable identification of the claim(s), to the bank's satisfaction. Banks should report to the Customer Service Committee of the Board, at appropriate intervals, on an ongoing basis, the details of the number of claims received pertaining to deceased depositors / locker-hirers / depositors of safe custody article accounts and those pending beyond the stipulated period, giving reasons therefor.

6.8 Provisions of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies)

Banks are advised to give wide publicity and provide guidance to deposit account holders on the benefits of the nomination facility and the survivorship clause. Illustratively, it should be highlighted in the publicity material that in the event of the death of one of the joint account holders, the right to the deposit proceeds does not automatically devolve on the surviving joint deposit account holder, unless there is a survivorship clause.

7. Settlement of Claims in Respect of Missing Persons

The system which should be followed by banks in case a claim is received from a nominee / legal heirs for settlement of claim in respect of missing persons is as under:

(a) The settlement of claims in respect of missing persons would be governed by the provisions of [Section 107 / 108](#) of the Indian Evidence Act, 1872. Section 107 deals with presumption of continuance and Section 108 deals with presumption of death. As per the provisions of Section 108 of the Indian Evidence Act, presumption of death can be raised only after a lapse of seven years from the date of his/her being reported missing. As such, the nominee / legal heirs have to raise an express presumption of death of the subscriber under [Section 107 / 108](#) of the Indian Evidence Act before a competent court. If the court presumes that he/she is dead, then the claim in respect of a missing person can be settled on the basis of the same.

(b) Banks are advised to formulate a policy, which would enable them to settle the claims of a missing person after considering the legal opinion and taking into account the facts and circumstances of each case. Further, keeping in view the imperative need to avoid

inconvenience and undue hardship to the common person, banks are advised that keeping in view their risk management systems, they may fix a threshold limit, up to which claims in respect of missing persons could be settled without insisting on production of any documentation other than (i) FIR and the non-traceable report issued by police authorities and (ii) letter of indemnity.

(c) The Office of the Registrar General of India, Ministry of Home Affairs, Government of India has devised a procedure for Registration of Death and issue of Death Certificate of Missing persons in Natural Calamities affected areas in Uttarakhand during June 14-20 vide its circular F.No.1/2/(Uttarakhand)/ 2011-VS-CRS dated August 16, 2013 (MHA Circular). Urban Co-operative Banks (UCBs) are advised to settle the claims in respect of missing persons, covered by MHA Circular, without insisting on production of any documentation other than (i) the 'Death Certificate' issued by the Designated Officer under MHA Circular and (ii) letter of indemnity.

(d) UCBs are advised that the instructions at paragraph (a) and (b) would be applicable in other cases which are not covered by MHA Circular.

8. Deposit Mobilisation

8.1.1 Banks are prohibited from paying brokerage on deposits in any form to any individual, firm, company, association, institution or any other person.

8.1.2 Banks should not employ/engage outside persons even through firms/ companies for collection of deposits including Non-Resident deposits or for selling any other deposit linked products on payment of fees/ commission in any form or manner, except to the extent permitted vide Reserve Bank's Interest Rate Directives.

8.2 Acceptance of Deposits by Unincorporated Bodies / Private Ltd. Companies with 'Bank Guarantee'

Banks should not accept deposits at the instance of private financiers or unincorporated bodies under any arrangement, which provides for either the issue of deposit receipts favouring the clients of private financiers or giving of an authority by power of attorney, nomination otherwise for such clients receiving such deposits at maturity.

It may be noted that the [Prize Chits and Money Circulation Schemes \(Banning\) Act, 1978](#) (No. 43 of 1978) imposes a total ban on the promotion and conduct of prize chit scheme except by charitable and educational institutions notified in that behalf by the State Governments concerned. The lottery falls within the expression "prize chit" under the Act referred to above. Further, sale of lottery tickets on bank counters could be open to abuse and avoidable complaints from members of public. Therefore, the banks should not associate themselves directly or indirectly with lottery schemes of organisations of any description.

9. Greater Co-ordination between Banking System and Income-Tax Authorities

In order to facilitate the identification of locker keys by the Income-tax officials, the banks should emboss on all locker keys an identification code which would indicate the bank and the branch which had hired the lockers. In case of already hired out lockers, banks should

introduce a system whereby the locker keys could be embossed with the identification code of the bank/branch as and when the customer visits the branch for opening the locker. An arrangement for installation of necessary machinery at the branches with the help of the vendor company of the locker cabinet may be made for this purpose. The branches concerned may advise all the locker hirers about the embossing of the locker keys. It may also be ensured that the identification code is embossed on the locker keys in the presence of the locker hirer only.

There is a need for greater co-ordination between the Income Tax Department and the banking system. As such, the banks may ensure that they extend necessary help/co-ordination to tax officials whenever required. Further, the banks will have to view with serious concern cases where their staff connives/assists in any manner with offences punishable under the Income Tax Act. In such cases, in addition to the normal criminal action, such staff member should also be proceeded against departmentally.

10. 'KNOW YOUR CUSTOMER' (KYC) GUIDELINES AND ANTI MONEY LAUNDERING (AML) STANDARDS

Annex - I

**Joint Accounts - 'Either or Survivor',
'Latter or Survivor' 'Former or Survivor', etc.**

{Ref. Paragraph 5.1.1}

LAC/19-96-29

August 28, 1980

Chief Executives of
All Member Banks

Dear Sirs,

**Joint Accounts 'Either or Survivor',
Latter or Survivor' 'Former or Survivor' etc.**

In the recent past, several letters have appeared in the press highlighting the difficulties experienced by the joint holders of Savings Bank or Term Deposit accounts, especially in regard to payment before maturity or in the settlement of claims when one of the account holders dies. There appears to be some confusion and misunderstanding about the procedure to be followed in respect of such accounts and the legal implications of the expressions 'Either or Survivor', 'Latter of Survivor', 'Former or Survivor' etc.

2. Joint Accounts

In the case of joint accounts (Current, Savings or Deposits) in the names of two or more persons, the terms relating to which do not provide for payment of the amount due under the account to the Survivor(s) in the event of death of one of them, for the banks to obtain a valid discharge payment should be made jointly to Survivor(s) and the legal heirs of the deceased joint account holder. In such a case, in view of the difficulty in ascertaining with certainty as to who the legal heirs of the deceased are, it is the practice of the banks to insist on the production of legal representation (to the estate of the deceased) before settling the claim. As obtaining a grant of legal representation would entail delay and expenses, banks should encourage the opening of joint accounts on terms such as, payable to (a) Either or Survivor, (b) Former/Latter or Survivor, (c) Anyone or Survivors, or Survivor, etc. This point has been emphasised in the Recommendation No. 6 of the Working Group on Customer Service in banks.

3. Benefits of Survivorship

If the benefit of survivorship is provided, the survivor can give a valid discharge to the bank. Even though payment to the survivor will confer a valid discharge to the bank, the survivor will, however, hold the money only as trustee for the legal heirs (who may include the survivor as well) unless he is the sole beneficial owner of the balance in the account or the sole legal heir of the deceased. Thus, the survivor's right unless he is the sole owner of the balance in the account/sole legal heir of the deceased, is only in the nature of a mere right to collect the money from the bank. If the legal heirs of the deceased lay a claim to the amount in the bank, they should be advised that in terms of the contract applicable to the account, the survivor is the person entitled to payment by the bank and that, unless the bank is restrained by an order of a competent court, the bank would be within its rights to make the payment to the survivor(s) named in the account. The position, briefly, is that a payment to survivor can be made if there are no orders from a competent court restraining the bank from making such payments.

4. Joint Savings Bank Account - Either or Survivor / Any one or Survivors or Survivor

As stated in paragraph 3 above, the survivor can give a valid discharge to the bank. If the legal heirs claim the amount, the bank can inform them that unless they obtain and have served on the bank an order of competent court restraining the bank from effecting payment to the survivor, the bank will be within its rights to do so.

5. Joint Term Deposit Account - Premature/Payment or Loan on death of one of the account holders

5.1 Account in the style of 'Either or Survivor or 'Anyone or Survivors or Survivor'

In a joint term deposit account which has been opened in the style of either or survivor/any one or survivors or survivor, the bank often receives a request, on the death of one of the joint account holders, from the surviving depositors) to allow premature encashment or the grant of a loan against the term deposit receipt. It would be in order to accede to the request of the surviving depositors) for premature payment if (i) there is an option included in the contract of deposit to repay before maturity and (ii) "either/any one or survivorship" mandate has been obtained from original depositors. Requests for loans from surviving depositor(s) could also be considered in special cases, though in the case of such loans, the bank may face a possible risk if the legal representatives of the deceased depositor lay an effective claim to the deposit before it is paid on maturity. In such an event, the bank will have to look to the borrower(s) for repayment. This position for premature payment or grant of loan is applicable also in respect of a joint account (in the style of either or survivor/any one or survivors or survivor), where all the account holders are alive.

As a measure of operational prudence, a clause to the effect that loan/premature payment can be permitted to either / any one of the depositors any time during the deposit period can, however, be included in the term deposit contract, i.e. the account opening or application form itself, in the manner indicated in paragraph 6 below.

5.2 Joint Term Deposit - Former or Survivor/Latter or Survivor etc.

In the case of these term deposits, the intention of the owner depositor (former/latter) is to facilitate repayment of the term deposit to the survivor only in the event of his death. He (the owner depositor) is in a position to retain with him at all times, the right to dispose of the monies until his death or maturity of the deposit receipt, whichever is earlier. There should, therefore, be no objection to the bank permitting premature payment of such deposits or granting advances against them at the request of the former/latter without insisting on the production of a consent letter from the other party/parties to the term deposit receipt. Here also it is preferable to make this position explicit to the joint depositors, by incorporating suitable clause in the term deposit account opening or application form.

6. Special clause in the application / account opening form for Term Deposit Receipt

Banks may consider incorporating a clause to the following effect in the account opening form/application form establishing the contract of term deposit:

'The Bank may, on receipt of written application from Shri ----- the former/the latter/the first name the second name etc. of us or Either or Survivor of us, in its Any one or Survivors of Survivor of us, absolute discretion and subject to such terms and conditions as the Bank may stipulate, (a) grant a loan / advance against the security of the term deposit receipt to be issued in our joint names or (b) make premature payment of the proceeds of the deposit to the former/the latter/the first named of us / either the second or survivor of us etc. named of us/any one of us or survivors or survivor of us".

Master Circular Maintenance of Deposit Accounts

The Depositor Education and Awareness Fund Scheme, 2014

The Reserve Bank of India, in exercise of the powers conferred by sub-sections (1) and (5) of Section 26A of the Banking Regulation Act, 1949 (10 of 1949) and of all the powers enabling it in this behalf, hereby makes the following Scheme:-

Chapter I

1. Short Title and Commencement:

- (i) This Scheme may be called The Depositor Education and Awareness Fund Scheme, 2014.
 - (ii) This Scheme shall come into force with effect from the date on which it is notified in the Official Gazette.
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Chapter - II

2. Definitions:

In this Scheme, unless the context otherwise requires:-

- (i) (a) 'Act' means the Banking Regulation Act, 1949 (10 of 1949);
 - (b) 'bank' means a banking company, a co-operative bank, multi-state co-operative bank, State Bank of India, a subsidiary bank, a corresponding new bank and a regional rural bank;
 - (c) 'Fund' means the Depositor Education and Awareness Fund established under paragraph 3;
 - (d) 'Committee' means the Committee constituted under paragraph 8 to administer the Fund;
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(e) 'Effective date' means the date on which the Scheme is notified in the Official Gazette;

(f) 'DICGC' means the Deposit Insurance and Credit Guarantee Corporation established under Section 3 of the Deposit Insurance Corporation Act, 1961;

(g) 'Liquidator' means liquidator of a bank appointed under any law for the time being in force;

(h) 'Principal amount' means the amount, including interest, transferred by a bank to the Fund in terms of Section 26A of the Act;

(i) 'Amount due' means any credit balances in any account or any deposit in a bank remaining unclaimed or inoperative for ten years or more;

(ii) Words and expressions used in this Scheme and not defined herein, but defined in the Act, shall have the meaning respectively assigned to them in the Act.

3. Establishment of the Fund and Credits therein:

(i) Reserve Bank hereby establishes a Fund to be called the Depositor Education and Awareness Fund referred to in Section 26A of the Act.

(ii) The amounts to be credited to the Fund by banks shall be deposited in the specified account maintained with the Reserve Bank.

(iii) For the purpose of this paragraph, the amounts to be credited to the Fund shall be the credit balance in any deposit account maintained with banks which have not been operated upon for ten years or more, or any amount remaining unclaimed for ten years or more, which include:-

(a) savings bank deposit accounts;

(b) fixed or term deposit accounts;

(c) cumulative/recurring deposit accounts;

(d) current deposit accounts;

(e) other deposit accounts in any form or with any name;

(f) cash credit accounts;

(g) loan accounts after due appropriation by the banks;

(h) margin money against issue of Letter of Credit/Guarantee etc., or any security deposit;

(i) outstanding telegraphic transfers, mail transfers, demand drafts, pay orders, bankers cheques, sundry deposit accounts, vostro accounts, inter-bank clearing adjustments, unadjusted National Electronic Funds Transfer (NEFT) credit balances and other such transitory accounts, unreconciled credit balances on account of Automated Teller Machine (ATM) transactions, etc.;

(j) undrawn balance amounts remaining in any prepaid card issued by banks but not amounts outstanding against travellers cheques or other similar instruments, which have no maturity period;

(k) rupee proceeds of foreign currency deposits held by banks after conversion of foreign currency to rupees in accordance with extant foreign exchange regulations; and

(l) such other amounts as may be specified by the Reserve Bank from time to time.

(iv) Any amount payable in foreign currency under an instrument or a transaction, that has remained unclaimed for ten years or more, shall at the time of transfer to the Fund be converted into Indian Rupees at the exchange rate prevailing on that date and in the event of a claim, the Fund shall be liable to refund only the Indian Rupees received by the Fund with respect to such instrument or transaction.

(v) A bank shall transfer to the Fund the entire amount as specified in sub-paragraph (iii), including the accrued interest that the bank would have been required to pay to the customer/ depositor as on the date of transfer to the Fund.

(vi) A bank shall calculate the cumulative balances in all such accounts as specified in sub-paragraphs (iii) and (iv), as on the day prior to the effective date and transfer the amount to the Fund on the last working day of subsequent month along with the interest accrued as specified in sub-paragraph (v).

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- (vii) From the effective date, banks are required to transfer to the Fund the amounts becoming due in each calendar month (i.e. balances remaining unclaimed for ten years or more) as specified in sub-paragraphs (iii) and (iv) and the interest accrued thereon as specified in sub-paragraph (v), on the last working day of the subsequent month.
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- (viii) Notwithstanding anything contained in the Banking Companies (Period of Preservation of Records) Rules, 1985, or Co-operative Banks (Period of Preservation of Records) Rules, 1985, banks shall preserve records/documents containing details of all accounts and transactions, including deposit accounts in respect of which amounts are required to be credited to the Fund permanently; and where refund has been claimed from the Fund, banks shall preserve records/documents in respect of such accounts and transactions, for a period of at least five years from the date of refund from the Fund.
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- (ix) Reserve Bank may call for all relevant information in respect of an account or deposit or transaction for which a claim for refund has been submitted by a bank.
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4. Refunds and Interest:

- (i) In case of demand from a customer/ depositor whose unclaimed amount/deposit had been transferred to Fund, banks shall repay the customer/depositor, along with interest if applicable, and lodge a claim for refund from the Fund for an equivalent amount paid to the customer/depositor
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- (ii) The interest payable, if any, from the Fund on a claim shall accrue only from the date on which the balance in an account was transferred to the Fund to the date of payment to the customer/depositor. No interest shall be payable in respect of amounts refunded from the Fund, in respect of which no interest was payable by the bank to its customer/depositor.
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- (iii) Rate of interest, if any, payable on the principal amount transferred to the Fund shall be specified by Reserve Bank from time to time.
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- (iv) In the case of a claim for refund of foreign currency denominated deposit accounts, instruments or transactions specified in paragraphs 3 (iii) (k) and 3 (iv), irrespective of whether the banks have paid the depositor/customer in Indian rupees or foreign currency, the banks shall be entitled to claim refund of the eligible amount from the Fund, in Indian rupees only.
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- (v) In case of any claim for refund of part amount by the depositor whose unclaimed amount/inoperative deposit had been transferred to the Fund, the account will be revived and will become operative. The bank shall claim the entire amount transferred to the Fund in respect of such depositor along with interest payable, if any, from the Fund.
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- (vi) Refunds made by a bank in each calendar month should be claimed for reimbursement from the Fund on the last working day of the subsequent month.
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- (vii) In the case of a bank under liquidation, during the pendency of the liquidation proceedings, if any claim is received from depositors whose deposits were covered by DICGC insurance at the time of transfer to the Fund, the Fund shall pay to the liquidator, an amount equal to the amount that could have been claimed from DICGC with respect to such deposits, and with respect to all other amounts paid by the liquidator towards the amounts transferred to the Fund, whether insured by DICGC or not, the Fund shall reimburse the liquidator.
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5. Banks to submit Returns:

Banks shall furnish returns to Reserve Bank in the form and manner as prescribed by Reserve Bank from time to time.

6. Accounts:

- (i) The Fund shall maintain its accounts including Income and Expenditure Statement in the form and manner as prescribed by the Committee.
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- (ii) The amounts credited to the account of the Fund, maintained with Reserve Bank shall form part of Reserve Bank Balance Sheet.
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- (iii) The amounts credited to the account of the Fund may be invested by Reserve Bank in such manner as prescribed by the Committee.
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- (iv) All income of the Fund shall be credited to the Fund.
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- (v) All expenditure incurred for the promotion of depositors' education, awareness, interests and other purposes that may be specified by Reserve Bank under Section 26A (4) of the Act, shall be charged to the Fund.
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7. Audit of Accounts:

- (i) The accounting year for the Fund shall be from April 1 to March 31 of the subsequent year.
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- (ii) The accounts of the Fund shall be audited by the statutory auditor of the Reserve Bank or any other auditors as directed by the Reserve Bank.
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- (iii) The Annual Accounts of the Fund, at the end of each accounting year, shall be placed before the Central Board of the Reserve Bank, along with the report of auditors and the activity report of the Fund.
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Chapter - III

Constitution, Management and Functions of the Committee

8. Constitution of the Committee:

- (i) There shall be a Committee to administer and manage the Fund in accordance with the Scheme.
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- (ii) The Committee shall consist of an ex-officio Chairperson and not more than six members as decided by the Reserve Bank. The detail of the composition of the Committee is as follows:
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- (a) a Deputy Governor of Reserve Bank, nominated by Governor, shall be the ex-officio Chairperson of the Committee;
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- (b) not more than two officers of Reserve Bank, not below the rank of Chief General Manager, nominated by it in this behalf;
-
- (c) Chairman and Managing Director or Chief Executive Officer of a bank by rotation, as nominated by the Reserve Bank;
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- (d) one person nominated by Reserve Bank, who is considered as expert in the field of banking or accounting or any other field, which the Reserve Bank considers appropriate;
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- (e) one person nominated by Reserve Bank, representing the interests of customers and depositors of banks, drawn from amongst organisations or associations formed by such customers or depositors and
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- (f) an officer, not below the rank of Chief General Manager, nominated by Reserve Bank to act as Member Secretary to the Committee.
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- (iii) The members, except the ex-officio Chairperson of the Committee, shall hold office for a period of two years and thereafter until their successors shall have been nominated.
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- (iv) A retiring member shall be eligible for re-nomination.
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- (v) Reserve Bank shall provide Secretariat for the Committee and necessary infrastructure and manpower to assist the Committee in the administration of the Fund.
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- (vi) The Committee may constitute one or more Sub-Committees, from amongst its members, whenever it deems necessary to do so, to facilitate efficient and speedy discharge of its functions.
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- (vii) Any defect in the constitution or any vacancy in the Committee would not invalidate any proceedings of the Committee or the decisions taken by the Committee.
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- (viii) The members mentioned at sub-paragraphs (ii)(d) and (ii)(e) shall be entitled to remuneration, as determined by Reserve Bank, from time to time for the meetings attended by them.
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9. Functions and Objectives of the Committee:

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- (i) The Committee shall meet as and when necessary, but at least once in a quarter. The quorum for each meeting shall be at least the Chairman and one-third of its total members.
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- (ii) The Committee shall frame its own rules of business.
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- (iii) The Fund shall be utilised for promotion of depositors' interests and for such other purposes which may be necessary for promotion of depositors' interest as may be specified by the Reserve Bank. The Committee shall function keeping in view the purposes contemplated in Section 26A(4) of the Act and in accordance with the purposes that may be specified by Reserve Bank in this regard from time to time.
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- (iv) The Committee may from time to time lay down a list of activities, the criteria and procedure, etc. for incurring expenditure and achieving the objectives of the Fund.
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- (v) The Committee shall administer the Fund and shall exercise all powers on behalf of the Fund, including incurring of all expenditure that may be charged to the Fund, and keeping the corpus of the Fund invested.
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- (vi) The expenses of the Committee and other expenses for administration of the Fund shall be charged to the Fund as decided by the Committee.
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- (vii) For facilitating the Reserve Bank for determination of the rate of interest payable by the Fund to the depositors, the Committee shall provide to the Reserve Bank such information on the income and expenditure of the Fund as may be required.
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10. Power to call upon the banks:

- (i) The Committee may call upon any bank to pay the amount due to the Fund.
 - (ii) The Committee may call for any information from banks relating to unclaimed amounts and the inoperative accounts, in general or a bank in particular, from time to time, and it shall be the duty of such banks/bank to furnish the information sought by the Committee.
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11. Promotion of Depositors' Interests and recognition of entities:

- (i) For the promotion of depositors' interests, the Committee may register/recognise from time to time various institutions, organizations or associations, engaged in activities relating to depositor awareness and education, including those proposing to conduct programmes for depositors of banks, organizing seminars and symposia for depositors and undertaking projects and research activities relating to these areas.
 - (ii) Institutions, organizations or associations registered/recognized by the Committee may be considered for grant of funds as a grant-in-aid either as one time measure or in stages or by way of reimbursement, depending upon the nature of the activity proposed.
 - (iii) The Committee shall determine and lay down the criteria for grant of financial assistance to institutions, organizations and associations, as stated in sub-paragraph (i).
 - (iv) The Committee may examine the proposals and the proposed end use of grants and assistance before authorising release of funds.
 - (v) The Committee may call for information in respect of or verify in any manner, the end use of funds granted to such institutions, organizations or associations.
 - (vi) The Committee may take such action as it deems fit in the interests of the Fund, including legal action, as and when considered necessary.
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12. Interpretation of the provisions of the Scheme:

If any issue arises in the interpretation of the provisions of the Scheme, the matter shall be referred to the Reserve Bank, and the decision of the Reserve Bank thereon shall be final.

13. Amendment of the Scheme:

The Reserve Bank may amend any or all the provisions of the Scheme anytime, if deemed necessary by giving a Gazette Notification.

14. Power to remove difficulties:

If any difficulty arises in giving effect to the provisions of this Scheme, the Reserve Bank may take such actions or pass such orders, as may appear necessary for the purpose of removing such difficulty.

Annex - II (a)

DEAF Scheme, 2014 - Guidelines

1. Crediting the Fund in Electronic form only

It is advised that banks shall remit the amounts due (as defined in the Scheme), in electronic form through portal facility of the E-Kuber (Core Banking Solution) of Reserve Bank of India (RBI), to a designated account created for the Scheme, viz. "DEAF Account 161001006009". All banks are advised to generate a single entry for remitting the amounts to the Fund. Accordingly, the amount required to be transferred to the Fund in terms of paragraphs 3(vi) and 3(vii) of the Scheme, can be credited to the Depositor Education and Awareness Fund (DEAF) Account, specified above, maintained with RBI (within banking hours) on the last working day of the month. Further each bank has been allotted a unique "Bank DEAF Code" by the RBI, for operating the Fund which is given in [Annex I](#) of circular DBOD.No.DEAF.Cell.BC.114/30.01.002/2013-14 dated May 27, 2014. Every bank remitting amount to the DEAF Account should indicate its unique "Bank DEAF Code".

2. Procedure to be followed by banks for crediting the Fund

- (i) Own Account - This facility is available under the service "DEAF Service" of the E-Kuber portal. When a bank is crediting its own amount due to the Fund it should furnish its DEAF code (bank specific DEAF code is given in Annex I of circular mentioned above.) in the "Bank DEAF Code" field and the detailed breakup (number of accounts and amount) of the deposits viz. interest bearing, non-interest bearing deposits and other credits (i.e., any amount other than deposits remaining unclaimed as defined in paragraph 3(iii) of the Scheme), in the fields provided for the same, of the aforementioned service in the portal. Other credits would be non-interest bearing.
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- (ii) **Members' Account** - In case of a bank remitting amounts due of member / other banks (banks not having current account with RBI) who approach the bank for remitting such amounts to the Fund, the bank should not consolidate the amounts of all banks, instead they should separately remit the amount due bank-wise, for the amount to be credited to the Fund. In the Bank DEAF Code field available in the DEAF Service of E-Kuber, bank should provide appropriate Bank DEAF Code of the member / other bank, whose funds are being transferred. Also, the detailed breakup (number of accounts and amount) of the deposits viz. interest bearing deposits, non-interest bearing deposits and other credits should be provided in the fields designated for the same. Other credits would be non-interest bearing. Further, it is advised that while making payment towards claims / refunds from the Fund of members / other banks, RBI would credit the account of the sponsor bank from where the credits would flow to the member / other banks.
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3. Returns prescribed

In terms of paragraph 5 of the Scheme, banks shall, furnish returns duly audited to RBI in the form and manner prescribed. In this regard, all banks are advised to furnish returns duly audited as per details given below :

- (i) [Form I](#) - Banks shall submit a consolidated return on the date of transferring the amount to the Fund furnishing the total amount credited (indicating separately the amount of interest bearing deposits, non-interest bearing deposits and other credits transferred). For each tranche transferred to the Fund, banks shall maintain complete details viz., name of customer, account number, amount, including interest accrued, transferred to the Fund, date of transfer to the Fund and other related documents, etc. These details / documents shall be maintained by the banks tranche-wise.
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- (ii) [Form II](#) - A monthly return to be submitted by the bank for the total amount of funds transferred to the Fund (indicating interest bearing deposits, noninterest bearing deposits and other credits). The return shall be forwarded by 15th of the succeeding month.
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Since there is a considerable overlap between Form I and Form II, it has been decided to club Form I and Form II together in a new form, "Form I & II" as annexed. The periodicity, the last date of submission and all other instructions contained in paragraphs 4 and 5 of the said circular dated May 27, 2014, as applicable to the existing Form II, will be applicable to the new "Form I & II"

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- (iii) [Form III](#) - In terms of paragraph 4 (i) of the Scheme, in case of demand from a customer / depositor whose unclaimed amount / deposit had been transferred to Fund, banks shall repay the customer / depositor, along with interest, if applicable, and lodge a claim for refund from the Fund for an equivalent amount paid to the customer / depositor. In case of any claim for refund of the part amount by the depositor, whose unclaimed amount / inoperative deposit had been transferred to the Fund, the bank shall claim the entire amount transferred to the Fund in respect of such depositor along with interest payable, if any, from the Fund. The details of the refund made by a bank in each calendar month should be furnished in Form III by 15th of the subsequent month. Form III as per should give details i.e., the name of the customer / depositor, date of transfer of the amount to the Fund, date of payment of the amount to the customer, rate of interest claimed from the Fund etc. The return may be forwarded by 15th of the succeeding month to which the claim pertains so as to enable the Reserve Bank to process the same and refund the amount on the last working day of the month. Any return received after 15th of the succeeding month to which the claim pertains, would be processed in the subsequent month.
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- (iv) [Form IV](#) - A monthly consolidated return for claims made by the bank from the Fund may be forwarded by 15th of the succeeding month.
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- (v) [Form V](#) - A yearly return indicating item-wise details of amount due outstanding at the year-end may be submitted within thirty days after the close of each calendar year.
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It is advised that banks may necessarily furnish the above returns, even if it is a nil return, to the RBI at the periodicity indicated above.

4. Audit

On the date of transferring the amount to the Fund, the bank should maintain customer-wise details verified by the concurrent auditors, including payment of up-to-date interest accrued, that has been credited to the deposit account till the date of transfer to the Fund, with respect to interest bearing deposits. With respect to non-interest bearing deposits and other credits transferred to the Fund, customer-wise details, duly audited, should be maintained with the bank. The concurrent auditors should also verify and certify that, as per the banks' books, the returns have been correctly compiled by the bank in the monthly and yearly returns submitted to RBI. The above returns shall also be verified by the statutory auditors at the time of annual audit and an Annual Certificate shall be obtained from statutory auditors and forwarded to RBI, certifying that the returns have been correctly compiled by the bank.

5. Authorized Signatories

The banks are advised to furnish true copy of the Resolution of the Board of Directors authorising two officials designated as authorized signatories, who would operate the account jointly, for the claims / refund on behalf of the bank from the Fund. The specimen signatures of the authorised signatories may be duly attested by the Chairman, Executive Director or Chief Executive Officer. The specimen signature of the authorized signatories along with Board Resolution may be forwarded as per the Annex IX.

6. Disclosure in Notes to Accounts

All such unclaimed liabilities (where amount due has been transferred to DEAF) may be reflected as "Contingent Liability - Others, items for which the bank is contingently liable" under Schedule 12 of the annual financial statements. Banks are also advised to disclose the amounts transferred to DEAF under the notes to accounts as per the format given below.

(Amounts in Rs. crore)		
	Current year	Previous year
Opening balance of amounts transferred to DEAF		
Add : Amounts transferred to DEAF during the year		
Less : Amounts reimbursed by DEAF towards claims		
Closing balance of amounts transferred to DEAF		

The above returns duly certified by the auditors may be forwarded in original, to the Chief General Manager, Reserve Bank of India, Department of Banking Operations & Development, Central Office, DEAF Cell, 12th Floor, Shahid Bhagat Singh Road, Fort, Mumbai - 400001, as also scanned copy in pdf format by email. The statutory auditors' Annual Certificate as mentioned in paragraph 5.6.6 above may also be forwarded at the above address along with a scanned copy in pdf format by e-mail.

A. List of Circulars consolidated in the Master Circular

Sr. No.	Circular No.	Date	Subject

1.	<u>DBR.No.DEAFCell.BC.105/30.01.002/2014-15</u>	18.06.2015	The Depositor Education and Awareness Fund Scheme, 2014 -Section 26A of Banking Regulation Act, 1949- Operational Guidelines
2.	<u>DCBR.BPD.(PCB/RCB).Cir.No.18/13.01.000/2014-15</u>	27.02.2015	Unclaimed Deposits / Inoperative Accounts in Banks Display list of Inoperative Accounts
3.	<u>DCBR.BPD.(PCB/RCB).Cir.No.3/12.05.001/2014-15</u>	12.12.2014	Levy of Penal charges on Non-Maintenance of Minimum Balance in Savings Bank Accounts
4.	<u>UBD.BPD.Cir.No.14/12.05.001/2014-15</u>	11.09.2014	Inoperative Accounts
5.	<u>UBD.BPD(PCB)Cir.No.69/14.01.062/2013-14</u>	10.6.2014	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Measures/Combating of Financing of Terrorism (CFT) /Obligations of Banks under Prevention of Money Laundering Act (PMLA), 2002 - Primary (Urban) Co-operative Banks - Clarification on Proof of address
6.	<u>DBOD.No.DEAFCell.BC.114/30.01.002/2013-14</u>	27.05.2014	The Depositor Education and Awareness Fund Scheme, 2014 - Section 26A of Banking Regulation Act, 1949 - Operational Guidelines
7.	<u>UBD.BPD.CIR.No.62/13.03.000/2013-14</u>	15.05.2014	Levy of penal charges on Non-Maintenance of Minimum balances in inoperative accounts
8.	<u>UBD.BPD.(PCB).CIR.No.61/13.01.000/2013-14</u>	12.05.2014	Opening of Bank Accounts in the Names of Minor

9.	<u>DBOD.No.DEAF.Cell.BC.101/30.01.002/2013-14</u>	21.03.2014	The Depositor Education and Awareness Fund Scheme, 2014 - Section 26A of Banking Regulation Act, 1949
10.	<u>UBD.BPD.(PCB).CIR.No.44/13.01.000/2013-14</u>	21.1.2014	Legal Guardianship Certificates issued under the Mental Health Act, 1987 and National Trust for the Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities act, 1999
11.	<u>UBD.BPD.(PCB).CIR.No.35/13.01.000/2013-14</u>	31.10.2013	Financial Inclusion - Access to Banking Services - Basic Savings Bank deposit Account (BSBDA) - FAQs
12.	<u>UBD.BPD.(PCB).CIR.No.34/13.01.000/2013-14</u>	30.10.2013	Settlement of claims in respect of Missing Persons in Uttarakhand Disaster
13.	<u>UBD.BPD.(PCB).CIR.No.23/13.01.000/2013-14</u>	30.9.2013	Unclaimed Deposits /Inoperative Accounts in UCBs - Treatment of Certain Savings Bank accounts opened for Credit of Scholarship Amounts and Credit of Direct Benefit Transfer under Government Schemes
14.	<u>UBD.BPD.(PCB).CIR.No.21/14.01.062/2013-14</u>	27.9.2013	Foreign contribution (Regulation) Rule, 2011 - Online Reporting of Receipt of Foreign contribution by banks - Primary (Urban) Co-operative Banks
15.	<u>UBD.BPD(AD)Cir.No.4/14.01.062/2013-14</u>	10.9.2013	Foreign Students studying in India -KYC Procedure for Opening of Bank Accounts

16.	UBD.BPD.(PCB).CIR.No.10/13.01.000/2013-14	5.9.2013	Settlement of Claims of Deceased Depositors - Simplification of Procedure - Placing of Claim Forms on Bank's website
17.	UBD.BPD(PCB)Cir.No.11/14.01.062/2013-14	5.9.2013	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Measures/Combating of Financing of Terrorism (CFT) /Obligations of Banks under Prevention of Money Laundering Act (PMLA), 2002 - Primary (Urban) Co-operative Banks - Simplifying Norms for Self Help Groups - Primary UCBs
18.	UBD.BPD(PCB)Cir.No.2/14.01.062/2013-14	31.7.2013	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Measures/Combating of Financing of Terrorism (CFT) /Obligations of Banks under Prevention of Money Laundering Act (PMLA), 2002 - Primary (Urban) Co-operative Banks - Simplifying Norms for Self Help Groups - Primary UCBs
19.	UBD.BPD(PCB)Cir.No.46/14.01.062/2012-13	3.4.2013	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Measures / Combating of Financing of Terrorism (CFT) / Obligations of Banks under Prevention of Money Laundering Act (PMLA), 2002 - Primary (Urban) Co-operative Banks - Simplifying Norms for Self Help Groups - Primary UCBs

20.	UBD.BPD(PCB)Cir.No.39/14.01.062/2012-13	7.3.2013	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Measures / Combating of Financing of Terrorism (CFT) / Obligations of Banks under Prevention of Money Laundering Act (PMLA), 2002 - Primary (Urban) Co-operative Banks
21.	UBD.CO.PCB.Cir.No.37/14.01.062/2012-13	25.2.2013	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Measures - Combating of Financing of Terrorism (CFT) / Obligations of Banks under Prevention of Money Laundering Act (PMLA), 2002
22.	UBD.BPD.(PCB).CIR.No.32/13.01.000/2012-13	21.1.2013	Settlement of Claims in Respect of Deceased Depositors - Simplification of Procedure - UCBs
23.	UBD.BPD(PCB)Cir.No.28/14.01.062/2012-13	19.12.2012	Know Your Customer (KYC) norms / Anti-Money Laundering (AML) Standards/ Combating of Financing of Terrorism (CFT) / Obligation of banks under Prevention of Money Laundering Act (PMLA), 2002
24.	UBD.BPD(PCB)Cir.No.25/13.01.000/2012-13	3.12.2012	The Co-operative Banks (Nomination) Rules, 1985 - Clarifications

25.	UBD.BPD.(PCB).Cir.No.14/14.01.062/2012-13	9.10.2012	Know Your Customer (KYC) / Anti-Money Laundering (AML) / Combating of Financing of Terrorism (CFT) Guidelines - Unique Customer Identification Code (UCIC) for banks' customers in India - Primary (Urban) Co-operative Banks
26.	UBD.BPD.(PCB).Cir.No.8/14.01.062/2012-13	13.9.2012	Know Your Customer (KYC) / Anti-Money Laundering (AML) / Combating of Financing of Terrorism (CFT) - Risk Categorization and Updation of Customer Profiles - Primary (Urban) Co-operative Banks
27.	UBD.BPD.(PCB)CirNo.6/13.01.000/2012-13	30.8.2012	Premature Repayment of Term / Fixed Deposits in banks with "Either or Survivor" or "Former or Survivor" mandate - Clarification
28.	UBD.BPD.(PCB)CirNo.5/13.01.000/2012-13	17.8.2012	Financial Inclusion - Access to Banking Services - Basic Savings Bank Deposit Account
29.	UBD.BPD.(PCB)CirNo.3/14.01.062/2012-13	10.7.2012	Intra-bank Deposit Accounts Portability
30.	UBD.BPD.(PCB)No.34/12.05.001/2011-12	11.5.2012	Know Your Customer Norms - Accounts of Proprietary concern
31.	UBD.BPD.(PCB)CIR.No.11/13.01.000/2011-12	17.11.2011	Repayment of Term / Fixed Deposits in Bank

32.	UBD.BPD.(PCB)No.8/12.05.001/2011-12	09.11.2011	Know Your Customer Norms - Letter issued by Unique Identification Authority of India (UIDAI) containing details of Name, Address and Aadhaar Number
33.	UBD.BPD.(PCB)No.37/12.05.001/2010-11	18.02.2011	Know Your Customer Norms - Anti-Money Laundering (AML) Standards / Combatting of financing Terrorism (CFT) / Obligation of Banks under PMLA, 2002
34.	UBD.CO.BPD.No.35/12.05.001/2010-11	10.01.2011	Opening of Bank Accounts - Salaried Employees
35.	UBD.BPD.No.33/12.05.001/2010-11	31.12.2010	Operation of Bank Accounts and Money Mules
36.	UBD.BPD.(PCB).No.10/12.05.001/2010-11	23.8. 2010	Know your Customer Norms / Anti Money Laundering Standards / Combating of financing of Terrorism (CFT) / Obligation of Banks under Prevention of Money Laundering Act, 2002
37.	UBD.BPD.CO.NSB1/38/12.03.000/2009-10 * Actual Cir. No. should be UBD.BPD.CO.NSBI/38/12.03.000/2009-10	23.12.2009	Know your Customer guidelines - Accounts of Proprietary Concern
38.	UBD.CO.BPD.(PCB).Cir.No.22/12.05.001/2009-10	16.11.2009	Extension of Safe Deposit Locker / Safe Custody Article Facility and Access to Safe Deposit Lockers / Return of Safe Custody Articles by banks - UCBs

39.	UBD.BPD.(PCB).Cir.No.19/13.01.000/2009-10	09.11.2009	Unclaimed Deposits and Inoperative/Dormant Accounts in UCBs
40.	UBD.BPD.CO.NSB1/11/12.03.000/2009-10	29.09.2009	Know Your Customer Guidelines - Accounts of Proprietary Concern
41.	UBD.CO.BPD.PCB.Cir.No.9/12.05.001/2009-10	16.09.2009	Adherence to KYC / AML guidelines while opening and conduct of the accounts of Multi Level Marketing Firms
42.	UBDCOBPDCirNo:56/09.39.000/2008-09	12.03.2009	Acknowledgement of Nomination and indicating the Name of the Nominee in Pass Books / Fixed Deposit Receipts
43.	UBD.COBPDCirNo:9/13.01.000/2008-09	01.09.2008	Unclaimed Deposits and Inoperative/ Dormant Accounts in UCBs
44.	DPSS No2096/04.04.007/07-08	20.06.2008	Use of electronic mode of payment for large value transactions
45.	45/13.01.000/2007-08@ @ actual Ref. no. should be "UBD(PCB)BPDCirNo:45/13.01.000/2007-08 "	12.05.2008	Settlement of claims in respect of missing person
46.	DPSS. No 1407/02.10.02/2007-08	10.03.2008	Use of electronic mode of payment for large value transactions
47.	UBD.CO.BPD.(PCB).No.32/09.39.000/2007-08	25.02.2008	Know Your Customer (KYC) Norms / Anti-Money Laundering (AML) Standards / Combating of Financing Terrorism

48.	UBD.CO.BPD.No.27/12.05.001/2007-08	4.12.2007	Guardians appointed by Dist. Courts
49.	UBD(PCB)BPDCirNo:21/13.01.000/2007-08	15.11.2007	Deposit schemes with lock-in period
50.	UBD.CO.BPD.(PCB).No.2/09.18.300/2007-08	4.7. 2007	IT-enabled Financial inclusion
51.	UBD.CO.BPD.CirNo:36/13.01.000/2006-07	19.04.2007	Nomination Facility in Single Deposit Accounts - UCBs
52.	UBD.CO.BPD.CirNo:46/16.12..000/2006-07	19.04.2007 * Actual Date should be 04-06-2007	Norms for maintaining NRE/NRO accounts- UCBs
53.	UBD.PCB.CirNo.19/13.01.000/2005-06	24.11.2005	Financial inclusion - UCBs
54.	UBD.PCB.CirNo.4/13.01.000/2005-06	14.07.2005	Settlement of claims in respect of deceased depositors - simplified procedure- UCBs
55.	UBD.PCB.CirNo.7/09.11.01/2004-05	29.07.2004	Opening of current account by banks-need for discipline
56.	UBDPCBCirNo.14/09.11.01/2004-05	24.08.2004	Opening of current account by banks-need for discipline
57.	UBD.CO.BR.29/16.48.00/2000-01	29.01.2001	Payment of balances in accounts of the deceased customers to legal survivors/claimants

58.	UBD.BR.15/16.48.00/2000-2001	21.11.2000	Payment of balances in accounts of the Deceased Customers to survivors/claimants
59.	UBD.CO.BSD.I/11/12.05.00/2000-2001	15.11.2000	Opening of deposit accounts - Completion of formalities
60.	UBD.BR.Cir.3/16.48.00/2000-2001	25.08.2000	Payment of balance in accounts of the Deceased customers to survivors / claimants
61.	UBDNoBSD.I/12/12.05.00/99-2000	28.10.1999	Receipt of foreign contributions by various Associations / Organisations in India under Foreign Contribution (Regulation) Act, 1976
62.	.UBD.No.BR.32/16.04.00/98-99	28.06.1999	Nomination Facility in Deposit Accounts
63.	UBDNo.BSD.I/PCBs.18/12.05.01/98-99	30.01.1999	Recent of Foreign Contributions by various Associations / Organisations in India under Foreign Contribution (Regulation) Act, 1976
64.	UBD.No.DS.PCB.Cir.12/13.01.00/98-99	21.12.1998	Operation of Banks Accounts by Old / Sick / Incapacitated Customers
65.	UBD.No.Plan.PCB.Cir.23/09.50.00/97-98	28.11.1997	Issue of cheque books
66.	UBD.No.BSD.I/PCB/09/12.05.00/97-98	18.09.1997	Opening of fictitious / benami deposit accounts and collection of stolen / forged instruments etc.

67.	UBD.No.I&L.49/12.05.00/95-96	14.03.1996	Frauds in banks - - Extension Counters
68.	UBD.No.I&L.51/12.05.00/95-96	14.03.1996	Frauds in banks through fictitious accounts
69.	UBD.No.I&L.PCB.44/12.05.00/95-96	22.02.1996	Monitoring of deposit accounts
70.	UBD.No.I&L.PCB.36/12.05.00/95-96	05.01.1996	Committee to enquire into various aspects relating to frauds and malpractices in banks
71.	UBD.No.I&L.PCB.28/12.05.00/95-96	10.11.1995	Monitoring of deposit accounts
72.	UBD.No.I&L/PCB/65/12.05.00/94-95	28.06.1995	Frauds in banks - Monitoring of deposit accounts
73.	UBD.No.I&L(PCB)38/12.15.00/94-95	10.01.1995	34th Report of the Estimates Committee on the Ministry of Finance (Department of Economic Affairs) - Prevention of frauds
74.	UBDNo.I&L27/12.05.00/94-95	31.10.1994	Committee to enquire into various aspects relating to frauds and malpractices in banks obtaining photographs of depositors
75.	UBD.No.I&L/PCB24/12.05.00/94-95	19.10.1994	Fraudulent encashment of payment instruments
76.	UBD.No.I&L74/12.05.00/93/94	27.05.1994	Committee to enquire into various aspects relating to frauds and malpractices in banks

77.	UBDNo.36/12.05.00/93-94	08.12.1993	Committee to enquire into various aspects relating to frauds and malpractices in banks Primary Co-operative Banks
78.	UBD.DC.1/V.1-89/90	02.01.1990	Opening of Bank Accounts in the Names of Minors with Mothers as Guardians
79.	UBD.No.BR.695/B.1-88/89	19.12.1988	Payment of Balance in Accounts of the Deceased Customers to Survivors / Claimants - Non-insistence on Production of Succession Certificate - Extension to Other Assets
80.	Ref.UBD.No.DC.18/V.1-88/89	10.08.1988	Deposit Collection Schemes floated by Private Organisations - Sale of Lottery Tickets by Banks
81.	UBD.No.BR.483/B1-87/88	21.10.1987	Payment of Balance in Accounts of the Deceased Customers to Survivors / Claimants
82.	UBD.No.I&L.88/J.1-87/88	08.06.1987	Matters relating to Greater Co-ordination between Banking System and Income-tax Authorities
83.	UBD.DC.19/V.1.86/87	03.09.1986	Acceptance of Deposits by Unincorporated Bodies / Private Ltd. Companies with "Bank Guarantee"

84.	UBD.BR.13/A6-86/87	11.08.1986	Banking Laws (Amendment) Act, 1983 - Sections 45ZA to 45ZF read with Section 56 of the Banking Regulation Act, 1949 - Co-operative Banks Nomination Rules, 1985 - Nomination Facilities
85.	UBD.No.I&L.110/J.I-85/86	02.06.1986	Deposit Accounts - Opening of
86.	UBD.BR.764A/A-6-84/85	29.03.1985	Banking Laws (Amendments) Act, 1983-84 -Bringing into force of remaining provisions
87.	UBD.(DC)1148/V.1-84/85	22.02.1985	Opening of a bank account in the name of minor with mother as guardian
88.	UBD.BR.16/A.6-84/85	09.07.1984	Banking Laws (Amendment) Act, 1983
89.	DBOD.UBD.(I&L)No.2584/J1-82/83	22.03.1983	Opening of various deposit accounts in primary co-operative banks-introduction
90.	ACD.ID(P)6428/J.1/80-81	17.02.1981	Joint accounts 'either or survivor', latter or survivor, 'former or survivor' etc.
91.	ACD: ID: 4998-J: 17-76-7	09.12.1976	Deposit Accounts: Introduction
92.	ACD:INSP: 5173/F:15/70-71	17.06.1971	Register for Unclaimed Deposits

93.	ACD.BR.1454/A.1/67-8	08.04.1968	Position of term deposits accepted prior to the commencement of the banking laws (application to co-operative societies) act 1965 by a co-operative society other than a primary credit society or a co-operative bank
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List of other Circulars from which instructions relating to maintenance of Deposit Accounts have also been consolidated in the Master Circular

Sr. No.	Circular No.	Date	Subject
1.	UBD.BSD-1/8/12.05.00/2000-01	09-11-2000	Frauds - Preventive Measures
2.	UBD.21/12.15.00/ 93-94	21-09-1993	Committee to enquire into various aspects relating to frauds and malpractices in primary (urban) co-operative banks.

1. Actual point should be 6.2 which is referred in Index page.

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In order to prevent banks and other financial institutions from being used as a channel for Money Laundering (ML) / Terrorist Financing (TF) and to ensure the integrity and stability of the financial system, efforts are continuously being made both internationally and nationally, by way of prescribing various rules and regulations. Internationally, the Financial Action Task Force (FATF), which is an inter-governmental body established in 1989 by the Ministers of its member jurisdictions, sets standards and promotes effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing and other related threats to the integrity of the international financial system. India, as a member of FATF, is committed to upholding measures to protect the integrity of the international financial system.

In India, the [Prevention of Money-Laundering Act, 2002](#), and the [Prevention of Money-Laundering \(Maintenance of Records\) Rules, 2005](#), form the legal framework on Anti-Money Laundering (AML) and Countering the Financing of Terrorism (CFT). The provisions of the [PML Act, 2002](#) and the [PML Rules, 2005](#), as amended from time to time by the Government of India, require Regulated Entities (REs) to follow certain customer identification procedures while undertaking a transaction either by establishing an account-based relationship or otherwise, and to monitor their transactions.

Accordingly, in exercise of the powers conferred by [sections 35A](#) of the Banking Regulation Act, 1949, , [section 10\(2\)](#) read with [section 18](#) of Payment and Settlement Systems Act 2007 (Act 51 of 2007), [Section 11\(1\)](#) of the Foreign Exchange Management Act, 1999, [Rule 9\(14\)](#) of the Prevention of Money-Laundering (Maintenance of Records) Rules, 2005, and all other laws enabling the Reserve Bank in this regard, the RBI being satisfied that it is necessary and expedient in the public interest so to do, hereby issues the Directions hereinafter specified.

A. Short Title and Commencement.

1. These Directions shall be called the Reserve Bank of India (Commercial Banks - Know Your Customer) Directions, 2025.
2. These directions shall come into effect on the day they are placed on the official website of the RBI.

B. Applicability

3. These directions shall be applicable to Commercial Banks (hereinafter collectively referred to as 'banks' and individually as a 'bank').

For the purpose of these Directions, 'Commercial Banks' mean banking companies (other than Small Finance Banks, Payment Banks, and Local Area Banks), corresponding new banks, and the State Bank of India, as defined respectively under [clauses \(c\)](#), [\(da\)](#), and [\(nc\)](#) of Section 5 of the Banking Regulation Act, 1949.

4. These directions shall also apply to those branches and majority-owned subsidiaries of the bank which are located abroad, to the extent they are not contradictory to the local laws in the host country, provided that :

(1) where applicable laws and regulations prohibit implementation of these guidelines, the bank shall bring the same to the notice of the RBI. The RBI may advise the bank to take further necessary action, including application of additional measures to manage the ML / TF risks.

(2) in case there is a variance in KYC / AML standards prescribed by the RBI and the host country regulators, branches / subsidiaries of the bank shall adopt the more stringent regulation of the two.

(3) branches / subsidiaries of a Foreign Incorporated bank may adopt the more stringent regulation of the two i.e., standards prescribed by RBI and their home country regulators.

Provided that this rule shall not apply to 'small accounts' referred to in [paragraph 28](#) of Chapter VI.

C. Definitions

5. In these Directions, unless the context otherwise requires, the following meanings are assigned to the terms herein :

(i) 'Aadhaar number' shall have the meaning assigned to it in [clause \(a\)](#) of section 2 of the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016 (18 of 2016);

(iii) 'Authentication', in the context of Aadhaar authentication, means the process as defined under [sub-section \(c\)](#) of section 2 of the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016.

(a) Where the customer is a company, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical persons, has / have a controlling ownership interest or who exercises control through other means.

* 'Controlling ownership interest' means ownership of / entitlement to more than 10 percent of the shares or capital or profits of the company.

* 'Control' shall include the right to appoint the majority of the directors or to control the management or policy decisions including by virtue of their shareholding or management rights or shareholders agreements or voting agreements.

(b) Where the customer is a partnership firm, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person(s), has / have ownership of / entitlement to more than 10 percent of capital or profits of the partnership or who exercises control through other means.

Explanation : For the purpose of this sub-clause, 'control' shall include the right to control the management or policy decision.

(c) Where the customer is an unincorporated association or body of individuals, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has / have ownership of / entitlement to more than 15 percent of the property or capital or profits of the unincorporated association or body of individuals.

(d) Where the customer is a trust, the identification of beneficial owner(s) shall include identification of the author of the trust, the trustee, the beneficiaries with 10 percent or more interest in the trust and any other natural person exercising ultimate effective control over the trust through a chain of control or ownership.

(v) 'Certified Copy' - Obtaining the certified copy by the bank shall mean comparing the copy of the proof of possession of Aadhaar number where offline verification cannot be carried out or the officially valid document produced by the customer with the original, and an authorised officer of the bank shall record the comparison on the copy as per the provisions contained in the Act. Provided that in case of Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs), as defined in [Foreign Exchange Management \(Deposit\) Regulations, 2016 {FEMA 5\(R\)}](#), the bank may alternatively obtain the original certified copy, certified by any one of the following :

(a) authorised officials of overseas branches of Scheduled Commercial Banks registered in India,

(f) Indian Embassy / Consulate General in the country where the non- resident customer resides.

(vi) 'Central KYC Records Registry' (CKYCR) means an entity defined under [Rule 2\(1\)](#) of the Rules, to receive, store, safeguard and retrieve the KYC records in digital form of a customer.

(vii) 'Designated Director' means a person whom the bank designates to ensure overall compliance with the obligations imposed under [chapter IV](#) of the PML Act and the Rules and shall include the Managing Director or a whole-time Director, whom the Board of Directors has duly authorised.

Explanation : For the purpose of this clause, the terms 'Managing Director' and 'Whole-time Director' shall have the meaning assigned to them in the [Companies Act, 2013](#).

(viii) 'Digital KYC' means that an authorised officer of the bank captures a live photo of the customer and officially valid document or the proof of possession of Aadhaar (where offline verification cannot be carried out), along with the latitude and longitude of the location where such live photo is being taken, as per the provisions contained in the Act.

(ix) 'Digital Signature' shall have the same meaning as assigned to it in [clause \(p\)](#) of sub-section (1) of section (2) of the Information Technology Act, 2000 (21 of 2000).

(x) 'Equivalent e-document' means an electronic equivalent of a document that the issuing authority of such document issues with its valid digital signature, including documents issued to the digital locker account of the customer as per [rule 9](#) of the Information Technology (Preservation and Retention of Information by Intermediaries Providing Digital Locker Facilities) Rules, 2016.

(xi) 'Group' - The term 'group' shall have the same meaning assigned to it in [clause \(e\)](#) of sub-section (9) of section 286 of the Income-tax Act, 1961 (43 of 1961).

(xii) 'Know Your Client (KYC) Identifier' means the unique number or code that the Central KYC Records Registry assigns to a customer.

Explanation : A customer can obtain his KYC Identifier through the following ways : In the process of opening an account, once the customer's KYC Identifier is generated by CKYCR and provided to the bank, the bank shall share the same with the concerned customer. The customer can also access his KYC Identifier on CKYCR Portal (www.ckycindia.in).

(xiii) 'Non-profit organisations' (NPO) means any entity or organisation, constituted for religious or charitable purposes referred to in [clause \(15\)](#) of section 2 of the Income-tax Act, 1961 (43 of 1961), that is registered as a trust or a society under the Societies Registration Act, 1860 or any similar State legislation or a company registered under [section 8](#) of the Companies Act, 2013 (18 of 2013).

(xiv) 'Officially Valid Document' (OVD) means the passport, the driving licence, proof of possession of Aadhaar number, the Voter's Identity Card that the Election Commission of India issues, the job card that NREGA issues and an officer of the State Government duly signs, and the letter that the National Population Register issues containing details of name and address. Provided that,

(a) where the customer submits his proof of possession of Aadhaar number as an OVD, he may submit it in such form that the Unique Identification Authority of India (UIDAI) issues.

(b) When the customer furnishes an OVD that does not have an updated address, the bank shall deem the following documents or the equivalent e-documents thereof to be OVDs for the limited purpose of proof of address :-

- * utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill);

- * pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings, if they contain the address;

- * letter of allotment of accommodation from employer that is issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and licence agreements with such employers allotting official accommodation;

Illustration : If a customer is staying in Chennai but their OVD contains an address of New Delhi, they can open an account in Chennai by submitting a deemed to be OVD for the purpose of proof of address. However, as mentioned below in [clause \(c\)](#), they are required to submit an OVD with current address within a period of three months.

(c) the customer shall submit OVD with current address within a period of three months of submitting the documents specified at [\(b\)](#) above

(d) if the OVD that a foreign national presents does not contain the details of address, the bank shall accept documents that Government departments of foreign jurisdictions issue, and a letter that the Foreign Embassy or Mission in India issues, as proof of address.

Explanation : For the purpose of this clause, the bank shall deem a document to be an OVD even if there is a change in the name subsequent to its issuance provided that it is supported by a marriage certificate that the State Government issues or a Gazette notification, indicating such a change of name.

(xv) 'Offline verification' shall have the same meaning as assigned to it in [clause \(pa\)](#) of section 2 of the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016 (18 of 2016).

(e) an association of persons or a body of individuals, whether incorporated or not,

(f) every artificial juridical person, not falling within any one of the above persons [\(a to e\)](#), and

(g) any agency, office or branch owned or controlled by any of the above persons [\(a to f\)](#).

(xvii) 'Principal Officer' means a bank's nominated officer at the management level, responsible for furnishing information as per [rule 8](#) of the Rules.

(xviii) 'Suspicious transaction' means a 'transaction' as defined below, including an attempted transaction, whether or not made in cash, which, to a person acting in good faith :

(a) gives rise to a reasonable ground of suspicion that it may involve proceeds of an offence specified in the Schedule to the Act, regardless of the value involved; or

(d) gives rise to a reasonable ground of suspicion that it may involve financing of the activities relating to terrorism.

Explanation : Transaction involving financing of the activities relating to terrorism includes transaction involving funds that the bank suspects are linked or related to, or to be used for terrorism, terrorist acts or by a terrorist, terrorist organisation or those who finance or are attempting to finance terrorism.

(xix) A 'Small Account' means a savings account which is opened in terms of [sub-rule \(5\)](#) of rule 9 of the PML Rules, 2005. Details of the operation of a small account and controls to be exercised for such account are specified in [paragraph 28](#).

(xx) 'Transaction' means a purchase, sale, loan, pledge, gift, transfer, delivery or the arrangement thereof and includes :

(b) deposit, withdrawal, exchange or transfer of funds in whatever currency, whether in cash or by cheque, payment order or other instruments or by electronic or other non-physical means;

(e) any payment made or received, in whole or in part, for any contractual or other legal obligation; or

(f) establishing or creating a legal person or legal arrangement.

(2) Unless the context otherwise requires, terms in these Directions shall bear the meanings assigned to them below :

(i) 'Common Reporting Standards' (CRS) means reporting standards set for implementation of multilateral agreement signed to automatically exchange information based on Article 6 of the Convention on Mutual Administrative Assistance in Tax Matters.

(ii) **Correspondent Banking** : Correspondent banking is the provision of banking services by one bank (the 'correspondent bank') to another bank (the 'respondent bank'). A correspondent bank may provide the respondent banks with a wide range of services, including cash management (e.g., interest- bearing accounts in a variety of currencies), international wire transfers, cheque clearing, payable- through accounts and foreign exchange services.

(iii) 'Customer' means a person who is engaged in a financial transaction or activity with the bank and includes a person on whose behalf the person who is engaged in the transaction or activity, is acting.

(iv) 'Walk-in Customer' means a person who does not have an account-based relationship with the bank, but undertakes transactions with the bank.

(v) 'Customer Due Diligence (CDD)' means identifying and verifying the customer and the beneficial owner using reliable and independent sources of identification.

Explanation : The CDD, at the time of commencement of an account-based relationship or while carrying out occasional transaction of an amount equal to or exceeding 50,000, whether conducted as a single transaction or several transactions that appear to be connected, or any international money transfer operations, shall include :

(a) Identification of the customer, verification of their identity using reliable and independent sources of identification, obtaining information on the purpose and intended nature of the business relationship, where applicable

(b) Taking reasonable steps to understand the nature of the customer's business, and its ownership and control;

- (c) Determining whether a customer is acting on behalf of a beneficial owner, and identifying the beneficial owner and taking all steps to verify the identity of the beneficial owner, using reliable and independent sources of identification.
- (vi) 'Customer identification' means undertaking the process of CDD.
- (vii) 'FATCA' means Foreign Account Tax Compliance Act of the United States of America (USA) which, inter alia, requires foreign financial institutions to report about financial accounts held by U.S. taxpayers or foreign entities in which U.S. taxpayers hold a substantial ownership interest.
- (viii) 'IGA' means Inter Governmental Agreement between the Governments of India and the USA to improve international tax compliance and to implement FATCA of the USA.
- (ix) 'KYC Templates' means templates prepared to facilitate collating and reporting KYC data to the CKYCR, for individuals and legal entities.
- (x) 'Non-face-to-face customers' means customers who open accounts without visiting the branch / offices of the bank or meeting the officials of the bank.
- (xi) 'On-going Due Diligence' means regular monitoring of transactions in accounts to ensure that transactions are consistent with the bank's knowledge about the customers, customers' business and risk profile, the source of funds / wealth.
- (xii) **Payable-through accounts** : The term payable-through accounts refers to correspondent accounts that third parties use directly to transact business on their own behalf.
- (xiii) 'Periodic Updation' means the steps taken to ensure that documents, data or information collected under the CDD process are kept up-to-date and relevant by undertaking reviews of existing records at the periodicity prescribed by the RBI.
- (a) all Scheduled Commercial Banks (SCBs) / Regional Rural Banks (RRBs) / Local Area Banks (LABs) / All Primary (Urban) Co-operative Banks (UCBs) / State and Central Co-operative Banks (StCBs / CCBs), and any other entity which has been licensed under [Section 22](#) of Banking Regulation Act, 1949, which as a group shall be referred as 'banks'
- (c) All Non-Banking Finance Companies (NBFCs), Miscellaneous Non- Banking Companies (MNBCs) and Residuary Non-Banking Companies (RNBCs)
- (e) All Payment System Providers (PSPs) / System Participants (SPs) and Prepaid Payment Instrument Issuers (PPI Issuers)
- (f) All authorised persons (APs), including those who are agents of Money Transfer Service Scheme (MTSS), regulated by the Regulator.
- (xv) 'Shell Bank' means a bank that has no physical presence in the country in which it is incorporated and licensed, and which is unaffiliated with a regulated financial group that is subject to effective consolidated supervision. Physical presence means meaningful mind and

management located within a country. The existence simply of a local agent or low-level staff does not constitute physical presence.

(xvi) **'Video based Customer Identification Process (V-CIP)'** : an alternative method by which an authorised official of the bank conducts customer identification with facial recognition and customer due diligence. This process involves a seamless, secure, live, informed- consent based audio-visual interaction with the customer to obtain identification information required for CDD purpose, and to ascertain the veracity of the information which the customer furnished, through independent verification and by maintaining an audit trail of the process. The bank shall treat such processes complying with prescribed standards and procedures on par with face-to-face CIP for the purpose of this Direction.

(a) **Batch transfer** : A batch transfer is a transfer comprised of a number of individual wire transfers that are being sent to the same financial institutions but may / may not be ultimately intended for different persons.

(b) **Beneficiary** : Beneficiary refers to a natural or legal person or legal arrangement whom / which the originator identifies as the receiver of the requested wire transfer.

(c) **Beneficiary RE** : It refers to a financial institution that RBI regulates, which receives the wire transfer from the ordering financial institution directly or through an intermediary RE and makes the funds available to the beneficiary.

(d) **Cover Payment** : Cover Payment refers to a wire transfer that combines a payment message which the ordering financial institution sends directly to the beneficiary financial institution with the routing of the funding instruction (the cover) from the ordering financial institution to the beneficiary financial institution through one or more intermediary financial institutions.

(e) **Cross-border wire transfer** : Cross-border wire transfer refers to any wire transfer where the ordering financial institution and beneficiary financial institution are located in different countries. This term also refers to any chain of wire transfer in which at least one of the financial institutions involved is located in a different country.

(f) **Domestic wire transfer** : Domestic wire transfer refers to any wire transfer where the ordering financial institution and beneficiary financial institution are located in India. This term, therefore, refers to any chain of wire transfers that takes place entirely within the borders of India, even though the system used to transfer the payment message may be located in another country.

(g) **Financial Institution** : In the context of wire-transfer instructions, the term 'Financial Institution' shall have the same meaning as has been ascribed to it in the FATF Recommendations, as revised from time to time.

(h) **Intermediary RE** : Intermediary RE refers to an RBI regulated financial institution / entity that handles an intermediary element of the wire transfer, in a serial or cover payment chain and that receives and transmits a wire transfer on behalf of the ordering financial institution and

the beneficiary financial institution, or another intermediary financial institution.

(i) **Ordering RE** : Ordering RE refers to the RBI-regulated financial institution which initiates the wire transfer and transfers the funds upon receiving the request for a wire transfer on behalf of the originator.

(j) **Originator** : Originator refers to the account holder who allows the wire transfer from that account, or where there is no account, the natural or legal person that places the order with the ordering financial institution to perform the wire transfer.

(k) **Serial Payment** : Serial Payment refers to a direct sequential chain of payment where the wire transfer and accompanying payment message travel together from the ordering financial institution to the beneficiary financial institution directly or through one or more intermediary financial institutions (e.g., correspondent banks).

(l) **Straight-through Processing** : Straight-through processing refers to payment transactions that are conducted electronically without the need for manual intervention.

(m) **Unique transaction reference number** : Unique transaction reference number refers to a combination of letters, numbers or symbols, a payment service provider determines, in accordance with the protocols of the payment and settlement system or messaging system used for the wire transfer.

(n) **Wire transfer** : Wire transfer refers to any transaction carried out on behalf of an originator through a financial institution by electronic means with a view to making an amount of funds available to a beneficiary at a beneficiary financial institution, irrespective of whether the originator and the beneficiary are the same person.

A. Board of Directors / Policies related guidelines :

6. Know Your Customer (KYC) Policy :

(1) The bank shall have a KYC policy. The Board of Directors of the bank, or any committee to which the Board has delegated power, shall duly approve the KYC policy.

(ii) Any exceptional measures for KYC updation, such as requiring a recent photograph, physical presence, or a more frequent updation schedule than the minimum prescribed.

(iii) Obtaining a copy of OVD or deemed OVD, for the purpose of proof of change of address during KYC updation.

(iv) Providing facility of updation / periodic updation of KYC at any branch.

(i) Policies approved by the Board detailing a robust due diligence process for managing requests to change the registered Mobile Number for Accounts opened in non-face-to-face mode.

(ii) Policy approved by the Board or a committee headed by the Chairman / CEO / MD, to establish parameters for approving cross-border correspondent banking relationships. New correspondent banking relationships require post facto approval from the Board or the empowered committee.

7. The specific responsibilities and actions stipulated for the Board or its relevant committees in [paragraph 6](#) above are elaborated upon in greater detail within the Directions.

8. In terms of PML Rules, groups shall implement group-wide policies for the purpose of discharging obligations under the provisions of [chapter IV](#) of the PML Act, 2002. (15 of 2003). Accordingly, every bank which is part of a group, shall implement group-wide programmes against money laundering and terror financing, including group-wide policies for sharing information required for the purposes of client due diligence, money laundering, and terrorist finance risk management, and such programmes shall include adequate safeguards on the confidentiality and use of information exchanged, including safeguards to prevent tipping-off.

9. Bank's policy framework shall seek to ensure compliance with [PML Act](#) / Rules, including regulatory instructions in this regard and shall provide a bulwark against threats arising from money laundering, terrorist financing, proliferation financing and other related risks. While ensuring compliance with the legal / regulatory requirements as above, the bank may also consider adoption of best international practices taking into account the FATF standards and FATF guidance notes, for managing risks better.

10. Money Laundering and Terrorist Financing Risk Assessment by the bank :

(1) The bank shall carry out 'Money Laundering (ML) and Terrorist Financing (TF) Risk Assessment' exercises periodically to identify, assess and take effective measures to mitigate its money laundering and terrorist financing risk for clients, countries or geographic areas, products, services, transactions or delivery channels, etc.

The assessment process shall consider all the relevant risk factors before determining the level of overall risk and the appropriate level and type of mitigation to be applied. While preparing the internal risk assessment, the bank shall take cognizance of the overall sector-specific vulnerabilities, if any, that the regulator / supervisor may share with the bank from time to time.

(2) The bank shall properly document its risk assessment and it shall be proportionate to the nature, size, geographical presence, complexity of activities / structure, etc. of the bank. Further, the Board or a committee of the Board to which it has delegated power shall determine the periodicity of the risk assessment exercise, in alignment with the outcome of the risk assessment exercise. However, the bank shall review it at least annually.

(3) The bank shall present the outcome of the exercise to the Board or any committee of the Board to which power has been delegated in this regard. The outcome shall also be made available to competent authorities and self-regulating bodies.

11. The bank shall apply a Risk Based Approach (RBA) for mitigation and management of the risks (identified on its own or through national risk assessment) and shall have Board-approved policies, controls and procedures in this regard. The bank shall implement a CDD programme, having regard to the ML / TF risks identified and the size of business. Further, the bank shall monitor the implementation of the controls and enhance them if necessary.

12. **Compliance of KYC policy :** The bank shall ensure compliance with KYC Policy through :

- (1) specifying as to who constitute 'Senior Management' for the purpose of KYC compliance.
- (2) allocation of responsibility for effective implementation of policies and procedures.
- (3) independent evaluation of the compliance functions of the bank's policies and procedures, including legal and regulatory requirements.
- (4) concurrent / internal audit system to verify compliance with KYC / AML policies and procedures.
- (5) submission of quarterly audit notes and compliance to the Audit Committee.

13. The bank shall ensure that it does not outsource the decision-making functions of determining compliance with KYC norms.

B. Other General Guidelines :

14. **Designated Director :**

- (1) A 'Designated Director' is a Board-nominated person whom the bank designates to ensure overall compliance with the obligations imposed under [Chapter IV](#) of the PML Act and the Rules.
- (2) The bank shall communicate the name, designation, address and the contact details of the Designated Director to the FIU-IND and RBI.
- (3) The bank shall not nominate the Principal Officer as the 'Designated Director'.

15. **Principal Officer :**

- (1) The Principal Officer shall be responsible for ensuring compliance, monitoring transactions, and sharing and reporting information as required under the law / regulations.
- (2) The bank shall communicate the name, designation, address and contact details of the Principal Officer to the FIU-IND and RBI.

16. The bank shall frame a Customer Acceptance Policy.

17. Without prejudice to the generality of the aspect that Customer Acceptance Policy may contain, the bank shall :

- (1) not open any account in an anonymous or fictitious / benami name.
- (2) open no account where it is unable to apply appropriate CDD measures, either due to non-cooperation of the customer or unreliability of the documents / information furnished by the customer. The bank shall consider filing an STR, if necessary, when it is unable to comply with the relevant CDD measures in relation to the customer.
- (3) not undertake a transaction or commence an account-based relationship without following the CDD procedure.
- (4) specify the mandatory information to be sought for KYC purposes while opening an account and during the periodic updation.
- (5) obtain additional information, where its internal KYC Policy has not specified such information requirement, with the explicit consent of the customer.
- (6) apply the CDD procedure at the UCIC level. Thus, if an existing KYC-compliant customer of a bank desires to open another account or avail of any other product or service from the same bank, there shall be no need for a fresh CDD exercise as far as identification of the customer is concerned.
- (7) follow the CDD Procedure for all the joint account holders, while opening a joint account.
- (8) clearly spell out the circumstances in which a customer is permitted to act on behalf of another person / entity.
- (9) put in place a suitable system to ensure that the identity of the customer does not match with any person or entity, whose name appears in the sanctions lists indicated in [Chapter IX](#) of these Directions.
- (10) verify the Permanent Account Number (PAN) (if obtained) from the verification facility of the issuing authority.
- (11) verify the customer's digital signature on the equivalent e-document (if obtained) as per the provisions of the [Information Technology Act, 2000](#) (21 of 2000).
- (12) verify the Goods and Services Tax (GST) number from the search / verification facility of the issuing authority, where the GST details are available.

18. The Customer Acceptance Policy shall not result in denial of a banking / financial facility to members of the general public, especially those who are financially or socially disadvantaged, including the Persons with Disabilities (PwDs). The bank shall not reject an application for onboarding or periodic updation of KYC without application of mind. The officer concerned shall duly record the reason(s) for rejection.

19. Where the bank forms a suspicion of money laundering or terrorist financing, and it reasonably believes that performing the CDD process will tip-off the customer, it shall not pursue the CDD process, and instead file an STR with FIU-IND.

20. For risk management, the bank shall have a risk-based approach which includes the following.

- (1) The bank shall categorise customers into low, medium, and high-risk categories, based on its assessment and risk perception.
- (2) The bank may lay down broad principles for the risk-categorisation of customers.
- (3) The bank shall undertake risk categorisation based on parameters such as the customer's identity, social / financial status, nature of business activity, and information about the customer's business and its location, geographical risk covering customers as well as transactions, type of products / services offered, delivery channel used for delivery of products / services, types of transactions undertaken such as cash, cheque / monetary instruments, wire transfers, forex transactions, etc. The bank may also factor in the ability to confirm identity documents through online or other services offered by issuing authorities, while considering customer's identity.
- (4) The bank shall keep the risk categorisation of a customer and the specific reasons for such categorisation confidential and shall not reveal this information to the customer to avoid tipping off.

Provided that the bank collects various other non-intrusive information from different categories of customers relating to the perceived risk, and specifies the same in the KYC policy.

Explanation : The bank may also use the FATF Public Statement, the reports and guidance notes on KYC / AML issued by the Indian Banks Association (IBA), and other agencies, etc., in its risk assessment.

21. The bank shall undertake identification of customers in the following cases :

- (1) Commencement of an account-based relationship with the customer.
- (2) Carrying out any international money transfer operations for a person who is not an account holder of the bank.
- (3) When there is a doubt about the authenticity or adequacy of the customer identification data it has obtained.
- (4) Selling third-party products as agents, selling its own products, payment of dues of credit cards / sale and reloading of prepaid / travel cards and any other product for more than 50,000.
- (5) Carrying out transactions for a non-account-based customer, i.e., a walk-in customer, where the amount involved is equal to or exceeds 50,000, whether conducted as a single transaction or several transactions that appear to be connected.
- (6) When the bank has reason to believe that a customer (account-based or walk-in) is intentionally structuring a transaction into a series of transactions below the threshold of 50,000.

22. For the purpose of verifying the identity of customers at the time of commencement of an account-based relationship or while carrying out an occasional transaction of an amount equal to or exceeding 50,000, whether conducted as a single transaction or several transactions that appear to be connected, or any international money transfer operations, the bank, shall at its option, rely on customer due diligence done by a third party, subject to the following conditions :

- (1) The bank obtains the records or information of the customer due diligence carried out by the third party immediately from the third party or from the Central KYC Records Registry.
- (2) The bank shall take adequate steps to satisfy itself that the third party will make copies of identification data and other relevant documentation relating to the customer due diligence requirements available, upon request, without delay.
- (3) A regulator regulates, supervises, or monitors the third party, and the third party has measures in place for compliance with customer due diligence and record-keeping requirements in line with the requirements and obligations under the [PML Act](#).
- (4) The bank shall ensure that the third party is not based in a country or jurisdiction assessed as high-risk.
- (5) The bank will have the ultimate responsibility for customer due diligence and undertaking enhanced due diligence measures, as applicable.

A. CDD Procedure in case of Individuals

23. For undertaking CDD, the bank shall obtain the following from an individual while establishing an account-based relationship or while dealing with the individual who is a beneficial owner, authorised signatory or the power of attorney holder related to any legal entity :

- (i) they are desirous of receiving any benefit or subsidy under any scheme notified under [section 7](#) of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016); or
- (ii) they decide to submit their Aadhaar number voluntarily to a bank or any RE notified under the first proviso to [sub-section \(1\)](#) of section 11A of the PML Act; or
- (2) the proof of possession of Aadhaar number where the bank can carry out offline verification; or
- (3) the proof of possession of Aadhaar number where the bank cannot carry out the offline verification or any OVD or the equivalent e-document thereof containing the details of their identity and address; or
- (4) the KYC Identifier with an explicit consent to download records from CKYCR; and

(5) PAN or the equivalent e-document thereof or [Form No. 60](#) as defined in Income-tax Rules, 1962; and

(6) the bank may require such other documents including in respect of the nature of business and financial status of the customer, or the equivalent e-documents thereof.

(i) Aadhaar number under [clause \(1\)](#) above to a bank or REs notified under first proviso to [sub-section \(1\)](#) of section 11A of the PML Act, such bank shall carry out authentication of the customer's Aadhaar number using UIDAI's e-KYC authentication facility. Further, in such a case, if the customer wants to provide a current address, different from the address as per the identity information available in the Central Identities Data Repository, they may give a self-declaration to that effect to the bank.

(ii) proof of possession of Aadhaar under [clause \(2\)](#) above where offline verification can be carried out, the bank shall carry out offline verification.

(iii) an equivalent e-document of any OVD, the bank shall verify the digital signature as per the provisions of the [Information Technology Act, 2000](#) (21 of 2000) and any rules issued thereunder and take a live photo as specified under [paragraph 24](#) below.

(iv) any OVD or proof of possession of Aadhaar number under [clause \(3\)](#) above where offline verification cannot be carried out, the bank shall carry out verification through digital KYC as specified under [paragraph 24](#) below.

(v) KYC Identifier under [clause \(4\)](#) above, the bank shall retrieve the KYC records online from the CKYCR in accordance with [paragraph 65](#).

Provided that for a period not beyond such date as the Government may notify for a class of REs, instead of carrying out digital KYC, the bank pertaining to such class may obtain a certified copy of the proof of possession of Aadhaar number or the OVD and a recent photograph where the customer does not submit an equivalent e- document.

Provided further that in case the bank cannot perform an e-KYC authentication for an individual desirous of receiving any benefit or subsidy under any scheme notified under [section 7](#) of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 owing to injury, illness or infirmity on account of old age or otherwise, and similar causes, the bank shall, apart from obtaining the Aadhaar number, perform identification preferably by carrying out offline verification or alternatively by obtaining the certified copy of any other OVD or the equivalent e- document thereof from the customer. An official of the bank shall invariably carry out CDD done in this manner, and such exception handling shall also be a part of the concurrent audit as mandated in [paragraph 12](#) and [13](#). The bank shall ensure to duly record the cases of exception handling in a centralised exception database. The database shall contain the details of grounds of granting exception, customer details, name of the designated official authorising the exception and additional details, if any. The bank shall subject the database to periodic internal audit / inspection and the bank shall make database available for supervisory review.

Explanation 1 : The bank shall, where its customer submits a proof of possession of Aadhaar Number containing Aadhaar Number, ensure that such customer redacts or blacks out his Aadhaar number through appropriate means where the authentication of Aadhaar number is not required as per [proviso \(i\)](#) above.

Explanation 2 : A bank official, business correspondent, or business facilitator can perform biometric-based e-KYC authentication, including Aadhaar Face Authentication.

Explanation 4 : Aadhaar number is not mandatory for purposes of KYC. However, in case the customer is desirous of receiving any benefit or subsidy under any scheme notified under [section 7](#) of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016), the customer shall provide the Aadhaar number to the bank. In other cases, customers may provide the Aadhaar number voluntarily.

- (1) The bank shall develop an application for digital KYC process and make it available at customer touch points for undertaking KYC of its customers and shall undertake the KYC process only through this authenticated application.
- (2) The bank shall control the access to the Application and shall ensure that unauthorised persons do not use it. Authorised officials shall access the Application only through a login-id and password or a Live OTP or Time OTP controlled mechanism that the bank provides.
- (3) The customer, for the purpose of KYC, shall visit the location of the authorised official of the bank or vice-versa. The original OVD shall be in possession of the customer.
- (4) The bank shall ensure that the authorised officer takes a Live photograph of the customer and embeds the same photograph in the Customer Application Form (CAF). Further, the bank's system Application shall put a watermark in readable form, containing the CAF number, GPS coordinates, authorised official's name, unique employee code (which the bank assigns) and date (DD:MM:YYYY) and time stamp (HH:MM:SS), on the captured live photograph of the customer.
- (5) The bank's Application shall have the feature that it captures only a live photograph of the customer and does not capture any printed or video graphed photograph. The background behind the customer while capturing live photograph shall be of white colour and no other person shall come into the frame while capturing the live photograph of the customer.
- (6) Similarly, the authorised officer shall capture the live photograph of the original OVD or proof of possession of Aadhaar where offline verification cannot be carried out (placed horizontally), vertically from above and shall apply a water-marking in readable form as mentioned above. The authorised officer shall ensure there is no skew or tilt in the mobile device while capturing the live photograph of the original documents.
- (7) The authorised officer shall capture the live photograph of the customer and his original documents in proper light so that they are clearly readable and identifiable.

(8) Thereafter, the authorised officer shall fill all the entries in the CAF as per the documents and information furnished by the customer. In those documents where Quick Response (QR) code is available, such details may be auto-populated by scanning the QR code instead of manual filing the details. For example, in case of physical Aadhaar / e-Aadhaar downloaded from UIDAI where QR code is available, the details like name, gender, date of birth and address may be auto-populated by scanning the QR available on Aadhaar / e-Aadhaar.

(9) Once the above-mentioned process is completed, a One Time Password (OTP) message containing the text that 'Please verify the details filled in form before sharing OTP' shall be sent to customer's own mobile number. Upon successful validation of the OTP, the bank will treat it as the customer's signature on CAF. However, if the customer does not have their own mobile number, the bank may use the mobile number of their family / relatives / known persons for this purpose and clearly mention it in the CAF. In any case, the bank shall not use the mobile number of authorised officer registered with the bank for the customer signature. The bank shall check that the mobile number used in customer signature is not the mobile number of the authorised officer.

(10) The authorised officer shall provide a declaration about the capturing of the live photograph of the customer and original document. For this purpose, the bank shall verify the authorised officer with One Time Password (OTP) which will be sent to his mobile number registered with the bank. Upon successful OTP validation, the bank shall treat it as the authorised officer's signature on the declaration. The live photograph of the authorised officer shall also be captured in this authorised officer's declaration.

(11) Subsequent to all these activities, the Application shall give information about the completion of the process and submission of activation request to activation officer of the bank, and also generate the transaction-id / reference-id number of the process. The authorised officer shall intimate the details regarding transaction-id / reference- id number to the customer for future reference.

(i) information available in the picture of the document matches with the information entered by authorised officer in CAF.

(ii) live photograph of the customer matches with the photo available in the document.; and

(iii) the authorised officer has properly filled all of the necessary details in CAF, including mandatory field.

(13) On Successful verification, the CAF shall be digitally signed by authorised officer of the bank who will take a print of CAF, get signatures / thumb-impression of customer at appropriate place, then scan and upload the same in system. Original hard copy may be returned to the customer.

(14) The bank may use the services of Business Correspondent (BC) for this process.

25. Accounts opened using Aadhaar OTP based e-KYC, in non-face-to-face mode, are subject to the following conditions :

- (2) As a risk-mitigating measure for such accounts, the bank shall ensure that it sends transaction alerts, OTP, etc., only to the mobile number of the customer registered with Aadhaar. The bank shall have a Board-approved policy delineating a robust process of due diligence for dealing with requests for change of mobile number in such accounts.
- (3) The aggregate balance of all the deposit accounts of the customer shall not exceed Rupees One Lakh. In case the balance exceeds the threshold, the bank shall cease the account's operation, until it completes the CDD as mentioned at [\(6\)](#) below.
- (4) The aggregate of all credits in a financial year, in all the deposit accounts taken together, shall not exceed Rupees Two Lakh.
- (5) As regards borrowal accounts, the bank shall sanction only term loans. The aggregate amount of term loans sanctioned shall not exceed 60,000 in a year.
- (6) The bank shall not allow accounts, both deposit and borrowal, opened using OTP based e-KYC to operate for more than one year unless it carries out identification as per [paragraph 23](#) or as per [paragraphs 26](#) and [27](#) (V-CIP). If the bank uses Aadhaar details under [paragraphs 26](#) and [27](#), it shall follow the process in its entirety, including fresh Aadhaar OTP authentication.
- (7) If the bank does not complete the CDD procedure as mentioned above within a year;
- (a) in respect of deposit accounts, the bank shall close the same immediately, and
 - (b) in respect of borrowal accounts, the bank shall allow no further debits.
- (8) The bank shall obtain declaration from the customer to the effect that no other account has been opened nor will be opened using OTP based KYC in non-face-to-face mode with any other RE. Further, while uploading KYC information to CKYCR, bank shall clearly indicate that such accounts are opened using OTP based e-KYC and other REs shall not open accounts based on the KYC information of accounts opened with OTP based e-KYC procedure in non-face- to-face mode.
- (9) The bank shall have strict monitoring procedures including systems to generate alerts in case of any non-compliance / violation, to ensure compliance with the above- mentioned conditions.

26. The bank may undertake V-CIP to carry out :

- (1) CDD in case of new customer onboarding for individual customers, proprietor in case of proprietorship firm, authorised signatories and Beneficial Owners (BOs) in case of Legal Entity (LE) customers.

Provided that in case of CDD of a proprietorship firm, the bank shall also obtain the equivalent e-document of the activity proofs with respect to the proprietorship firm, as mentioned in [paragraph 31](#) and [paragraph 32](#), apart from undertaking CDD of the proprietor.

- (2) Conversion of existing accounts opened in non-face-to-face mode using Aadhaar OTP based e-KYC authentication as per [paragraph 25](#).
- (3) Updation / Periodic updation of KYC for eligible customers.
- (i) The bank shall have complied with the RBI [guidelines](#) on minimum baseline cyber security and resilience framework for banks, as updated from time to time as well as other general guidelines on IT risks. The bank shall house the technology infrastructure in its own premises and the V-CIP connection and interaction shall necessarily originate from its own secured network domain. Any technology related outsourcing for the process shall comply with relevant RBI guidelines. Where the bank uses a cloud deployment model, it shall ensure that ownership of data in such model rests with the bank only and all the data including video recording is transferred to the bank's exclusively owned / leased server(s) including cloud server, if any, immediately after the V-CIP process is completed and the cloud service provider or third-party technology provider assisting the V-CIP shall retain no data.
- (ii) The bank shall ensure end-to-end encryption of data between customer device and the hosting point of the V-CIP application, as per appropriate encryption standards. The bank shall record the customer consent in an auditable and alteration-proof manner.
- (iii) The V-CIP infrastructure / application shall be capable of preventing connection from IP addresses outside India or from spoofed IP addresses.
- (iv) The video recordings shall contain the live GPS co-ordinates (geo-tagging) of the customer undertaking the V-CIP and date and time stamp. The quality of the live video in the V-CIP shall be adequate to allow identification of the customer beyond doubt.
- (v) The application shall have components with face liveness / spoof detection as well as face matching technology with high degree of accuracy, even though the ultimate responsibility of any customer identification rests with the bank.
- Explanation :** Making specific facial gestures, like blinking of eyes, smiling, frowning, etc. is not mandatory for liveness check. The bank shall take due cognizance of special needs, if any, of the customer during liveness check.
- (vi) The bank may use appropriate artificial intelligence (AI) technology to ensure that the V-CIP is robust.
- (vii) Based on experience of detected / attempted / 'near-miss' cases of forged identity, the bank shall regularly update the technology infrastructure including application software as well as workflows. The bank shall report any detected case of forged identity through V-CIP as a cyber event under extant regulatory guidelines.
- (viii) The bank shall subject the V-CIP infrastructure to necessary tests such as Vulnerability Assessment, Penetration testing and a Security Audit to ensure its robustness and end-to-end encryption capabilities. The bank shall mitigate any critical gap reported under this process

before rolling out its implementation. The empanelled auditors of Indian Computer Emergency Response Team (CERT-In) shall conduct such tests. Such tests shall also be carried out periodically in conformance to internal / regulatory guidelines.

(ix) The bank shall subject the V-CIP application software and relevant APIs / webservice to appropriate testing of functional, performance, and maintenance strength before being used in live environment. The bank shall roll out the application only after closure of any critical gap found during such tests. Such tests shall also be carried out periodically in conformity with internal / regulatory guidelines.

(i) Each bank shall formulate a clear workflow and standard operating procedure for V-CIP and ensure adherence to it. The V-CIP process shall be operated only by officials of the bank specially trained for this purpose. The official shall be capable to carry out liveness check and detect any other fraudulent manipulation or suspicious conduct of the customer and act upon it. The liveness check shall not result in exclusion of person with special needs.

(ii) Disruption of any sort including pausing of video, reconnecting calls, etc., may not result in creation of multiple video files. If pause or disruption is not leading to the creation of multiple files, then the bank may not initiate a fresh session. However, in case of call drop / disconnection, fresh session shall be initiated.

(iii) The bank shall vary the sequence and / or type of questions, including those indicating the liveness of the interaction, during video interactions to establish that the interactions are real-time and not pre-recorded.

(iv) The bank shall reject the account opening process if it observes any prompting at the customer end.

(v) The bank shall factor in the fact that the V-CIP customer is an existing or new customer, or if the case relates to one rejected earlier or if the name appears in some negative list, at an appropriate stage of workflow.

(vi) The authorised official of the bank performing the V-CIP shall record audio and video as well as capture a photograph of the customer present for identification and obtain the identification information using any one of the following :

(a) OTP based Aadhaar e-KYC authentication.

(b) Offline Verification of Aadhaar for identification.

(c) KYC records downloaded from CKYCR, in accordance with [paragraph 65](#), using the KYC identifier provided by the customer.

(d) Equivalent e-document of Officially Valid Documents (OVDs) including documents issued through DigiLocker.

(vii) The bank shall ensure to redact or blackout the Aadhaar number in terms of [paragraph 23](#).

(viii) In case of offline verification of Aadhaar using XML file or Aadhaar Secure QR Code, the bank shall ensure that the XML file or QR code generation date is not older than three working days from the date of carrying out V-CIP.

(ix) Further, in line with the prescribed period of three working days for usage of Aadhaar XML file / Aadhaar QR code, the bank shall ensure that it undertakes video process of the V-CIP within three working days of downloading / obtaining the identification information through CKYCR / Aadhaar authentication / equivalent e-document, if in the rare cases, the entire process cannot be completed at one go or seamlessly. However, the bank shall ensure that no incremental risk is added due to this.

(x) If the address of the customer is different from that indicated in the OVD, the bank shall capture suitable records of the current address, as per the existing requirement. The bank shall ensure that it also confirms the economic and financial profile / information submitted by the customer from the customer undertaking the V-CIP in a suitable manner.

(xi) The bank shall capture a clear image of PAN card displayed by the customer during the process, except in cases where e-PAN is provided by the customer. The bank shall verify the PAN details from the database of the issuing authority, including through DigiLocker.

(xii) The use of printed copy of equivalent e-document, including an e-PAN is not valid for the V-CIP.

(xiii) The authorised official of the bank shall ensure that photograph of the customer in the Aadhaar / OVD and PAN / e-PAN matches with the customer undertaking the V-CIP and the identification details in Aadhaar / OVD and PAN / e-PAN shall match with the details provided by the customer.

(xiv) The bank shall permit assisted V-CIP when it takes help of Business Correspondents (BCs) to facilitate the process only at the customer end. The bank shall maintain the details of the BC assisting the customer, where it utilises the services of BCs. The bank shall have the ultimate responsibility for customer due diligence.

(xv) The bank shall make all accounts opened through V-CIP operational only after subjecting them to concurrent audit to ensure the integrity of process and its acceptability of its outcome.

(xvi) The bank shall appropriately comply with all matters not specified under the paragraph but required under other statutes such as the [Information Technology \(IT\) Act](#).

(i) The bank shall store the entire data and recordings of V-CIP in a system / systems located in India. The bank shall ensure that the video recording is stored in a safe and secure manner and bears the date and time stamp that affords easy historical data search. The extant instructions on record management, as stipulated in this direction, shall also apply to V-CIP.

(ii) The bank shall preserve the activity log along with the credentials of the official performing the V-CIP.

28. Notwithstanding anything contained in [paragraph 23](#) and as an alternative thereto, in case an individual who desires to open a bank account, the bank shall open a 'Small Account', which entails the following limitations :

- (1) the aggregate of all credits in a financial year does not exceed Rupees One Lakh;
- (2) the aggregate of all withdrawals and transfers in a month does not exceed 10,000; and
- (3) the balance at any point of time does not exceed 50,000.

Provided that the bank shall not consider this limit on balance when making deposits through Government grants, welfare benefits and payment against procurements.

- (i) The bank shall obtain a self-attested photograph from the customer.
- (ii) The designated officer of the bank certifies under their signature that the person opening the account has affixed their signature or thumb impression in their presence.

Provided that when the individual is a prisoner in a jail, they shall affix their signature or thumbprint in the presence of the officer-in-charge of the jail and the said officer shall certify the same under his signature. The account shall remain operational only if the prisoner annually submits the proof of address that the officer in-charge of the jail issues.

- (iii) The bank shall open such accounts only at Core Banking Solution (CBS) linked branches or in a branch where it is possible to manually monitor and ensure that it does not credit foreign remittances to the account.

- (iv) The bank shall ensure that the stipulated monthly and annual limits on aggregate of transactions and balance requirements in such accounts are not breached, before it allows a transaction to take place.

- (v) The account shall remain operational initially for a period of 12 months which the bank can extend for a further period of 12 months, provided the account holder applies and furnishes evidence of having applied for any of the OVDs during the first 12 months of the opening of the said account.

- (vi) The bank shall review the entire relaxation provisions after 24 months.

- (vii) Notwithstanding anything contained in [clauses \(v\)](#) and [\(vi\)](#) above, the small account shall remain operational between April 1, 2020, and June 30, 2020, and such other periods as the Central Government may notify.

Provided that if the bank renders any account ineligible for being classified as a small account due to credits / balance in the account exceeding the permissible limits, the bank may allow withdrawals within the limit prescribed for small accounts where the limits thereof have not been breached.

29. KYC verification once done by one branch / office of the bank shall be valid for transfer of the account to any other branch / office of the same bank, provided the bank has already completed the full KYC verification for the concerned account and the same is not due for periodic updation.

B. CDD Measures for Sole Proprietary firms

30. For opening an account in the name of a sole proprietary firm, the bank shall carry out the CDD of the individual (proprietor).

31. In addition to the above, the bank shall also obtain any two of the following documents or the equivalent e-documents thereof as proof of business / activity in the name of the proprietary firm :

- (1) Registration certificate including Udyam Registration Certificate (URC) issued by the Government.
- (2) Certificate / licence issued by the municipal authorities under Shop and Establishment Act
- (5) Certificate / registration document issued by Sales Tax / Service Tax / Professional Tax authorities
- (6) IEC (Importer Exporter Code) issued to the proprietary concern by the office of DGFT or Licence / certificate of practice issued in the name of the proprietary concern by any professional body incorporated under a statute
- (7) Complete Income Tax Return (not just the acknowledgement) in the name of the sole proprietor where the firm's income is reflected, duly authenticated / acknowledged by the Income Tax authorities
- (8) Utility bills such as electricity, water, landline telephone bills, etc.

32. In cases where the bank is satisfied that it is not possible to furnish two such documents, the bank may, at its discretion, accept only one of those documents as proof of business / activity.

Provided that the bank undertakes contact point verification and collects such other information and clarifications as would be required to establish the existence of such firm, and shall confirm and satisfy itself that it has verified the business activity from the address of the proprietary concern.

C. CDD Measures for Legal Entities

33. For opening an account of a company, the bank shall obtain certified copies of each of the following documents or the equivalent e-documents thereof :

- (4) A resolution from the Board of Directors and power of attorney granted to its managers, officers or employees to transact on its behalf

- (5) Documents, as specified in [paragraph 23](#), relating to beneficial owner, managers, officers or employees, as the case may be, holding an attorney to transact on the company's behalf
- (7) The registered office and the principal place of its business, if it is different.

34. For opening an account of a partnership firm, the bank shall obtain the certified copies of each of the following documents or the equivalent e-documents thereof :

- (4) Documents, as specified in [paragraph 23](#), relating to beneficial owner, managers, officers or employees, as the case may be, holding an attorney to transact on its behalf
- (6) address of the registered office, and the principal place of its business, if it is different.

35. For opening an account of a trust, the bank shall obtain the certified copies of each of the following documents or the equivalent e-documents thereof :

- (4) Documents, as specified in [paragraph 23](#), relating to beneficial owner, managers, officers or employees, as the case may be, holding an attorney to transact on its behalf
- (5) the names of the beneficiaries, trustees, settlor, protector, if any and authors of the trust
- (7) list of trustees and documents, as specified in [paragraph 23](#), for those discharging the role as trustee and authorised to transact on behalf of the trust.

36. For opening an account of an unincorporated association or a body of individuals, the bank shall obtain the certified copies of each of the following documents or the equivalent e-documents thereof :

- (2) PAN or [Form No. 60](#) of the unincorporated association or a body of individuals
- (4) Documents, as specified in [paragraph 23](#), relating to beneficial owner, managers, officers or employees, as the case may be, holding an attorney to transact on its behalf and
- (5) Such information as may be required by the bank to collectively establish the legal existence of such an association or body of individuals.

Explanation : Unregistered trusts / partnership firms shall be included under the term 'unincorporated association'.

Explanation : The term 'body of individuals' includes societies.

37. For opening account of a customer who is a juridical person (not specifically covered in the earlier part) such as societies, universities and local bodies like village panchayats, etc., or who purports to act on behalf of such juridical person or individual or trust, the bank shall obtain and verify the certified copies of the following documents or the equivalent e-documents thereof :

- (1) Document showing name of the person authorised to act on behalf of the entity

(2) Documents, as specified in [paragraph 23](#), of the person holding an attorney to transact on its behalf and

(3) Such documents as may be required by the bank to establish the legal existence of such an entity / juridical person.

D. Identification of Beneficial Owner

38. For opening an account of a Legal Person who is not a natural person, the bank shall identify the beneficial owner(s) and shall undertake all reasonable steps in terms of [sub-rule \(3\)](#) of Rule 9 of the Rules to verify their identity, keeping in view the following :

(ii) it is an entity resident in jurisdictions notified by the Central Government and listed on stock exchanges in such jurisdictions, or

(iii) it is a subsidiary of such listed entities; it is not necessary to identify and verify the identity of any shareholder or beneficial owner of such entities.

(2) In cases of trust / nominee or fiduciary accounts, the bank determines whether the customer is acting on behalf of another person as trustee / nominee or any other intermediary. In such cases, the bank shall obtain satisfactory evidence of the identity of the intermediaries and of the persons on whose behalf they are acting, as well as details of the nature of the trust or other arrangements in place.

E. On-going Due Diligence

39. The bank shall undertake ongoing due diligence of customers to ensure that their transactions are consistent with their knowledge about the customers, customers' business and risk profile, the source of funds / wealth.

40. Without prejudice to the generality of factors that call for close monitoring, the bank shall necessarily monitor the following types of transactions :

(1) Large and complex transactions including RTGS transactions, and those with unusual patterns, inconsistent with the normal and expected activity of the customer, which have no apparent economic rationale or legitimate purpose.

(2) Transactions which exceed the thresholds prescribed for specific categories of accounts.

(3) High account turnover inconsistent with the size of the balance maintained.

(4) Deposit of third-party cheques, drafts, etc. in the existing and newly opened accounts followed by cash withdrawals for large amounts.

For ongoing due diligence, the bank may consider adopting appropriate innovations including artificial intelligence and machine learning (AI and ML) technologies to support effective monitoring.

41. The bank shall align the extent of monitoring with the risk category of the customer.

(1) The bank shall put in place a system of periodic review of risk categorisation of accounts, with such periodicity being at least once in every six months, and shall establish the need for applying enhanced due diligence measures.

(2) The bank shall closely monitor the transactions in accounts of marketing firms, especially accounts of Multi-level Marketing (MLM) companies.

Explanation : The bank shall subject high-risk accounts to more intensified monitoring.

Explanation : Cases where a large number of cheque books are sought by the company and / or multiple small deposits (generally in cash) across the country in one bank account and / or where a large number of cheques are issued bearing similar amounts / dates, shall be immediately reported to RBI and other appropriate authorities such as FIU-IND.

42. Updation / Periodic Updation of KYC

(1) The bank shall adopt a risk-based approach for periodic updation of KYC ensuring that it keeps the information or data collected under CDD is kept up-to-date and relevant, particularly where there is high risk. However, the bank shall carry out periodic updation at least once in every two years for high-risk customers, once in every eight years for medium risk customers and once in every 10 years for low-risk customers from the date of opening of the account / last KYC updation. The bank shall document its policy in this regard as part of the bank's internal KYC policy duly approved by the Board of Directors of bank or any committee of the Board to which power has been delegated.

(2) Notwithstanding the provisions given above, in respect of an individual customer who is categorised as low-risk, the bank shall allow all transactions and ensure the updation of KYC within one year of its falling due for KYC or up to June 30, 2026, whichever is later. The bank shall subject accounts of such customers to regular monitoring. This shall also apply to low-risk individual customers for whom periodic updation of KYC has already fallen due.

(i) **No change in KYC information :** In case of no change in the KYC information, the bank shall obtain a self-declaration from the customer in this regard through the customer's email-id registered with the bank, customer's mobile number registered with the bank, ATMs, or digital channels (such as online banking / internet banking, mobile application of bank) letter, etc.

(ii) **Change in address :** In case of a change only in the address details of the customer, the bank shall obtain a self-declaration of the new address from the customer through customer's email-id registered with the bank, customer's mobile number registered with the bank, ATMs, digital channels (such as online banking / internet banking, mobile application of bank), letter, etc., and shall verify the declared address through positive confirmation within two months, by means such as address verification letter, contact point verification, deliverables, etc.

(iii) Further, the bank at its option, may obtain a copy of OVD or deemed OVD, as defined in [sub-clause \(xiv\)](#) of clause (1) of paragraph 5, or the equivalent e-documents thereof, as defined in [sub-clause \(x\)](#) of clause (1) of paragraph 5, for the purpose of proof of address, declared by

the customer at the time of updation / periodic updation. However, the bank shall clearly specify such requirement, in its internal KYC policy duly approved by the Board of Directors of the bank or any committee of the Board to which power has been delegated.

(iv) ***Use of Business Correspondent (BC) by banks for Updation / Periodic Updation of KYC*** : The bank may obtain a self-declaration from the customer in case of no change in KYC information or change only in the address details through an authorised BC of the bank. The bank shall enable its BC systems for recording these self-declarations and supporting documents thereof in electronic form in the bank's systems.

The bank shall obtain the self-declaration including the supporting documents, if required, in the electronic mode from the customer through the BC, after successful biometric based e-KYC authentication. Until the bank makes an option available in the electronic mode, the customer may submit such declaration in physical form. The BC shall authenticate the self-declaration and supporting documents submitted in person by the customer and promptly forward the same to the concerned bank branch. The BC shall provide the customer an acknowledgment of receipt of such declaration / submission of documents.

The bank shall update the customer's KYC records and intimate the customer once the records get updated in the system, as required under [clause \(5\)](#) of paragraph 42 of the Direction. It is, however, reiterated that the concerned bank retains the ultimate responsibility for periodic updation of KYC.

(v) ***Accounts of customers, who were minor at the time of opening account, on their becoming major*** : In case of customers for whom the bank opened an account when they were minors, the bank shall obtain fresh photographs upon their becoming a major and, at that time, shall ensure that CDD documents as per the current CDD standards are available. Wherever required, the bank may carry out fresh KYC of such customers, i.e., customers for whom it opened account when they were minor, upon their becoming a major.

(vi) The bank may use Aadhaar OTP based e-KYC in non-face-to-face mode for updation / periodic updation. To clarify, conditions stipulated in [paragraph 25](#) are not applicable in case of updation / periodic updation of KYC through Aadhaar OTP based e-KYC in non-face to face mode.

(vii) Declaration of current address, if the current address is different from the address in Aadhaar, shall not require positive confirmation in this case. The bank shall ensure that the mobile number for Aadhaar authentication is same as the one available with them in the customer's profile, in order to prevent any fraud.

(i) ***No change in KYC information*** : In case of no change in the KYC information of the LE customer, the bank shall obtain a self-declaration in this regard from the LE customer through its email id registered with the bank, ATMs, digital channels (such as online banking / internet banking, mobile application of bank), letter from an official authorised by the LE in this regard, board resolution, etc. Further, the bank shall ensure during this process that Beneficial Ownership (BO) information available with them is accurate and shall update the same, if required, to keep it as up-to-date as possible.

- (ii) **Change in KYC information :** In case of change in KYC information, the bank shall undertake the KYC process equivalent to that applicable for onboarding a new LE customer.
- (i) The bank has customer's KYC document as per the current CDD standards available with it. This is applicable even if there is no change in customer information but the documents available with the bank are not as per the current CDD standards. Further, in case the validity of the CDD documents available with the bank has expired at the time of periodic updation of KYC, the bank shall undertake the KYC process equivalent to that applicable for onboarding a new customer.
- (ii) The bank verifies the customer's PAN details, if available, from the database of the issuing authority at the time of periodic updation of KYC.
- (iii) The bank provides an acknowledgment to the customer mentioning the date of receipt of the relevant document(s), including self-declaration from the customer, for carrying out updation / periodic updation. Further, the bank shall ensure that it promptly updates the information / documents obtained from the customers at the time of updation / periodic updation of KYC in its records / database and provide an intimation, mentioning the date of updation of KYC details, to the customer.
- (iv) In order to ensure customer convenience, the bank may consider making available the facility of updation / periodic updation of KYC at any branch, in terms of their internal KYC policy duly approved by the Board of Directors of the bank or any committee of the Board to which power has been delegated.
- (v) The bank shall adopt a risk-based approach with respect to periodic updation of KYC. The bank shall clearly specify in its internal policy, duly approved by the Board of Directors of the bank or any committee of the Board to which power has been delegated, any additional and exceptional measures, it adopts that are not otherwise mandated under the above instructions, such as requirement of obtaining recent photograph, requirement of physical presence of the customer, requirement of periodic updation of KYC only in the branch of the bank where account is maintained, a more frequent periodicity of KYC updation than the minimum specified periodicity etc.
- (6) The bank shall advise the customers that in order to comply with the PML Rules, in case of any update in the documents submitted by the customer at the time of establishment of business relationship / account-based relationship and thereafter, as necessary; customers shall submit to the bank the update of such documents. This shall be done within 30 days of the update to the documents for the purpose of updating the records at the bank's end.
- (7) **Due Notices for Periodic Updation of KYC :** The bank shall intimate its customers, in advance, to update their KYC. Prior to the due date of periodic updation of KYC, the bank shall give at least three advance intimations, including at least one intimation by letter, at appropriate intervals to its customers through available communication options / channels for complying with the requirement of periodic updation of KYC. Subsequent to the due date, the bank shall give at least three reminders, including at least one reminder by letter, at appropriate intervals, to such customers who have still not complied with the requirements, despite advance

intimations. The letter of intimation / reminder may, inter alia, contain easy-to-understand instructions for updating KYC, escalation mechanism for seeking help, if required, and the consequences, if any, of failure to update their KYC in time. Issue of such advance intimation / reminder shall be duly recorded in the bank's system against each customer for audit trail. The bank shall expeditiously implement the same but not later than January 01, 2026.

43. In case of existing customers, the bank shall obtain the PAN or equivalent e-document thereof or [Form No. 60](#), by such date which the Central Government may notify, failing which the bank shall temporarily cease operations in the account until the customer submits the PAN or equivalent e-documents thereof or [Form No. 60](#).

Provided that before temporarily ceasing operations for an account, the bank shall give the customer an accessible notice and a reasonable opportunity to be heard. Further, the bank shall include, in its internal policy, appropriate relaxation(s) for continued operation of accounts for customers who are unable to provide PAN or equivalent e-document thereof or [Form No. 60](#) owing to injury, illness or infirmity on account of old age or otherwise, and such like causes. However, the bank shall subject such accounts to enhanced monitoring.

Provided further that if a customer having an existing account-based relationship with a bank gives in writing to the bank that they do not want to submit their PAN or equivalent e-document thereof or [Form No. 60](#), the bank shall close the account and all obligations due in relation to the account shall be appropriately settled after establishing the identity of the customer by obtaining the identification documents as applicable to the customer.

Explanation : For the purpose of this paragraph, 'temporary ceasing of operations' in relation to an account shall mean the temporary suspension of all transactions or activities in relation to that account by the bank till such time the customer complies with the provisions of this paragraph. In case of asset accounts such as loan accounts, for the purpose of ceasing the operation in the account, only credits shall be allowed.

F. Enhanced and Simplified Due Diligence Procedure

44. Enhanced Due Diligence (EDD) for non-face-to-face customer onboarding (other than customer onboarding in terms of [paragraph 25](#)) : Non-face-to-face onboarding facilitates the bank to establish a relationship with the customer without meeting the customer physically or through V-CIP. Such non-face-to-face modes for the purpose of this paragraph include use of digital channels such as CKYCR, DigiLocker, equivalent e-document, etc., and non- digital modes such as obtaining copy of OVD certified by additional certifying authorities as allowed for NRIs and PIOs. The bank shall undertake the following EDD measures for non-face-to-face customer onboarding (other than customer onboarding in terms of [paragraph 25](#)) :

(1) If the bank has introduced the process of V-CIP, it shall provide the same as the first option to the customer for remote onboarding. It is reiterated that the bank shall treat processes complying with prescribed standards and procedures for V-CIP on par with face-to-face CIP for the purpose of these Directions.

(2) In order to prevent frauds, alternate mobile numbers shall not be linked post CDD with such accounts for transaction OTP, transaction updates, etc. The bank shall permit transactions only from the mobile number used for account opening. The bank shall have a Board-approved policy delineating a robust process of due diligence for dealing with requests for change of registered mobile number.

(3) Apart from obtaining the current address proof, the bank shall verify the current address through positive confirmation before allowing operations in the account. The bank may carry out the positive confirmation by means of such as address verification letter, contact point verification, deliverables, etc.

(4) The bank shall obtain PAN from the customer and the PAN shall be verified from the verification facility of the issuing authority.

(5) First transaction in such accounts shall be a credit from existing KYC-complied bank account of the customer.

(6) The bank shall categorise such customers as high-risk customers and shall subject accounts opened in non-face-to-face mode to enhanced monitoring until the identity of the customer is verified in face-to-face manner or through V-CIP.

45. Accounts of Politically Exposed Persons (PEPs)

(1) The bank shall have the option of establishing a relationship with PEPs (whether as customer or beneficial owner) provided that, apart from performing normal customer due diligence :

(i) the bank has in place appropriate risk management systems to determine whether the customer or the beneficial owner is a PEP;

(ii) The bank shall take reasonable measures for establishing the source of funds / wealth;

(iii) the bank shall obtain approval to open an account for a PEP from the senior management;

(iv) the bank subjects all such accounts to enhanced monitoring on an on-going basis;

(v) in the event of an existing customer or the beneficial owner of an existing account subsequently becoming a PEP, the bank obtains the senior management's approval to continue the business relationship;

(2) These instructions shall also apply to family members or close associates of PEPs.

Explanation : For the purpose of this paragraph, 'Politically Exposed Persons' (PEPs) are individuals who are or have been entrusted with prominent public functions by a foreign country, including the Heads of States / Governments, senior politicians, senior government or judicial or military officers, senior executives of state-owned corporations and important political party officials.

46. Client accounts opened by professional intermediaries : The bank shall ensure while opening client accounts through professional intermediaries, that :

- (1) The bank shall identify clients when a professional intermediary opens a client account on behalf of a single client.
- (2) The bank shall have option to hold 'pooled' accounts managed by professional intermediaries on behalf of entities like mutual funds, pension funds or other types of funds.
- (3) The bank shall not open accounts of such professional intermediaries who are bound by any client confidentiality which prohibits disclosure of the client details to the bank.
- (4) The bank shall identify all the beneficial owners where intermediaries do not co- mingle funds at the level of the bank, and there are 'sub- accounts', each of them attributable to a beneficial owner, or where such funds are co-mingled at the level of the bank, the bank shall look for the beneficial owners.
- (5) The bank shall, at their discretion, rely on the 'customer due diligence' (CDD) done by an intermediary, provided that the intermediary is a regulated and supervised entity and has adequate systems in place to comply with the KYC requirements of the customers.
- (6) The ultimate responsibility for knowing the customer lies with the bank.

47. Simplified norms for Self Help Groups (SHGs) :

- (1) The bank shall not require CDD of all the members of an SHG while opening the savings bank account of the SHG.
- (2) The CDD of all the office bearers shall suffice.
- (3) The bank may undertake CDD of all the members of an SHG at the time of credit linking of SHGs.

48. Procedure to be followed by the bank while opening accounts of foreign students

- (1) The bank shall, at its option, open a Non-Resident Ordinary (NRO) bank account of a foreign student on the basis of his / her passport (with visa and immigration endorsement) bearing the proof of identity and address in the home country together with a photograph and a letter offering admission from the educational institution in India.

Provided that the bank shall obtain a declaration about the local address within a period of 30 days of opening the account and shall verify the said local address.

Provided further that pending the verification of address, the account shall be operated with the condition that allows foreign remittances not exceeding USD 1,000 or equivalent into the account and a cap of 50,000 on aggregate withdrawal of the same, during the 30-day period.

(2) The account shall be treated as a normal NRO account, and shall be operated in terms of RBI's instructions on Non-Resident Ordinary Rupee (NRO) Account, and the provisions of FEMA 1999.

(3) Students with Pakistani nationality shall require prior approval of the RBI for opening the account.

49. Simplified KYC norms for Foreign Portfolio Investors (FPIs) :

(1) Accounts of FPIs which are eligible / registered as per SEBI guidelines, for the purpose of investment under Portfolio Investment Scheme (PIS), shall be opened by accepting KYC documents as detailed in (2) below, subject to Income Tax (FATCA / CRS) Rules.

Provided that the bank shall obtain an undertaking from FPIs or the Global Custodian acting on behalf of the FPI that as and when required, the exempted documents as detailed in (2) below will be submitted.

		FPI Type		
Document Type		Category I	Category II	Category III
Entity Level	Constitutive Documents (Memorandum and Articles of Association, Certificate of Incorporation etc.)	Mandatory	Mandatory	Mandatory
	Proof of Address	Mandatory (Power of Attorney {PoA} mentioning the address is acceptable as address proof)	Mandatory (Power of Attorney mentioning the address is acceptable as address proof)	Mandatory other than Power of Attorney
	PAN	Mandatory	Mandatory	Mandatory
	Financial Data	Exempted [*]	Exempted [*]	Mandatory
	SEBI Registration Certificate	Mandatory	Mandatory	Mandatory
	Board Resolution	Exempted [*]	Mandatory	Mandatory

Senior Management (Whole Time Directors / Partners / Trustees / etc.)	List	Mandatory	Mandatory	Mandatory
	Proof of Identity	Exempted [*]	Exempted [*]	Entity declares [*] on letter head full name, nationality, date of birth or submits photo identity proof
	Proof of Address	Exempted [*]	Exempted [*]	Declaration on Letter Head [*]
	Photographs	Exempted	Exempted	Exempted [*]
Authorised Signatories	List and Signatures	Mandatory - list of Global Custodian signatories can be given in case of PoA to Global Custodian	Mandatory - list of Global Custodian signatories can be given in case of PoA to Global Custodian	Mandatory
	Proof of Identity	Exempted [*]	Exempted [*]	Mandatory
	Proof of Address	Exempted [*]	Exempted [*]	Declaration on Letter Head [*]
	Photographs	Exempted	Exempted	Exempted [*]
Ultimate Beneficial Owner (UBO)	List	Exempted [*]	Mandatory	Mandatory
	Proof of Identity	Exempted [*]	Exempted [*]	Mandatory
	Proof of Address	Exempted [*]	Exempted [*]	Declaration on Letter Head [*]
	Photographs	Exempted	Exempted	Exempted [*]
* Not required while opening the bank account. However, FPIs concerned may submit an undertaking that upon demand by Regulators / Law Enforcement Agencies the relative document/s would be submitted to the bank.				
@@ FPIs from certain jurisdictions where the practice of passing Board Resolution for the purpose of opening bank accounts etc. is not in vogue, may submit 'Power of Attorney granted to Global Custodian / Local Custodian in lieu of Board Resolution'				

Category	Eligible Foreign Investors
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I.	Government and Government related foreign investors such as Foreign Central Banks, Governmental Agencies, Sovereign Wealth Funds, International / Multilateral Organisations / Agencies.
II.	Appropriately regulated broad based funds such as Mutual Funds, Investment Trusts, Insurance / Reinsurance Companies, Other Broad Based Funds etc.
	Appropriately regulated entities such as Banks, Asset Management Companies, Investment Managers / Advisors, Portfolio Managers etc.
	Broad based funds whose investment manager is appropriately regulated.
	University Funds and Pension Funds.
	University related Endowments already registered with SEBI as FII / Sub Account.
III.	All other eligible foreign investors investing in India under PIS route not eligible under Category I and II such as Endowments, Charitable Societies / Trust, Foundations, Corporate Bodies, Trusts, Individuals, Family Offices, etc.

50. The bank shall take the following steps regarding maintenance, preservation and reporting of customer information, with reference to provisions of [PML Act](#) and Rules. The bank shall,

- (1) maintain all necessary records of transactions between the bank and the customer, both domestic and international, for at least five years from the date of transaction;
- (2) preserve the records pertaining to the identification of the customers and their addresses, obtained while opening the account and during the course of business relationship, for at least five years after the business relationship has ended;
- (3) swiftly make available, the identification records and transaction data to the competent authorities upon request;
- (4) introduce a system of maintaining proper records of transactions prescribed under [Rule 3](#) of Prevention of Money Laundering (Maintenance of Records) Rules, 2005 (PML Rules, 2005);
- (5) maintain all necessary information in respect of transactions prescribed under PML [Rule 3](#) to permit the reconstruction of an individual transaction, including the following :
 - (iv) the parties to the transaction.

(6) evolve a system for proper maintenance and preservation of account information in a manner that allows the bank to retrieve data easily and quickly whenever required or when competent authorities request it;

(7) maintain records of the identity and address of its customers, and records in respect of transactions referred to in [Rule 3](#) in hard or soft format.

Explanation - For the purpose of this paragraph, the expressions 'records pertaining to the identification', 'identification records', etc., shall include updated records of the identification data, account files, business correspondence and results of any analysis undertaken.

51. The bank shall ensure that in case of customers who are non-profit organisations, the bank registers details of such customers on the DARPAN Portal of NITI Aayog. If they are not registered, the bank shall register the details on the DARPAN Portal. The bank shall also maintain such registration records for a period of five years after the business relationship between the customer and the bank has ended or the account has been closed, whichever is later.

52. The bank shall furnish to the Director, Financial Intelligence Unit-India (FIU-IND), the information referred to in [Rule 3](#) of the PML (Maintenance of Records) Rules, 2005 in accordance with [Rule 7](#) thereof.

Explanation : In terms of Third Amendment Rules [notified](#) September 22, 2015 regarding amendment to [sub rule 3](#) and [4](#) of [rule 7](#), Director, FIU-IND shall have powers to issue guidelines to the REs for detecting transactions referred to in various clauses of [sub-rule \(1\)](#) of rule 3, to direct them about the form of furnishing information and to specify the procedure and the manner of furnishing information.

53. The bank shall take note of the reporting formats and comprehensive reporting format guide, prescribed / released by FIU-IND and Report Generation Utility and Report Validation Utility developed to assist reporting entities in the preparation of prescribed reports. The bank which is yet to install / adopt suitable technological tools for extracting CTR / STR from its live transaction data shall make use of the editable electronic utilities to file electronic Cash Transaction Reports (CTR) / Suspicious Transaction Reports (STR) which FIU- IND has placed on its website. The Principal Officer of the bank, shall have suitable arrangement to cull out the transaction details from branches which are yet to be computerised and to feed the data into an electronic file with the help of the editable electronic utilities of CTR / STR as have been made available by FIU-IND on its website <http://fiuindia.gov.in>.

54. When furnishing information to the Director, FIU-IND, a delay of each day in not reporting a transaction or delay of each day in rectifying a mis-represented transaction beyond the time limit as specified in the Rule shall constitute as a separate violation. The bank shall not put any restriction on operations in the accounts merely on the basis of the STR filed.

The bank, its directors, officers, and all employees shall ensure that the fact of maintenance of records referred to in [rule 3](#) of the PML (Maintenance of Records) Rules, 2005, and furnishing of the information to the Director is confidential. However, such confidentiality requirement shall

not inhibit sharing of information under [paragraph 8](#) of these Directions of any analysis of transactions and activities which appear unusual, if the bank has done any such analysis.

55. To identify and report suspicious transactions effectively, the bank shall implement robust software that generates alerts when transactions are inconsistent with a customer's risk categorisation and updated profile.

Requirements / obligations under International Agreements - Communications from International Agencies

(1) The bank shall ensure that in terms of [Section 51A](#) of the Unlawful Activities (Prevention) (UAPA) Act, 1967 and amendments thereto, it does not have any account in the name of individuals / entities appearing in the lists of individuals and entities, suspected of having terrorist links, which are approved by and periodically circulated by the United Nations Security Council (UNSC). The details of the two lists are as under :

(i) The 'ISIL (Da'esh) and Al-Qaida Sanctions List', established and maintained pursuant to Security Council resolutions 1267 / 1989 / 2253, which includes names of individuals and entities associated with Al-Qaida, is available at

www.un.org/securitycouncil/sanctions/1267/aq_sanctions_list

(ii) The 'Taliban Sanctions List', established and maintained pursuant to Security Council resolution 1988 (2011), which includes names of individuals and entities associated with the Taliban is available at <https://www.un.org/securitycouncil/sanctions/1988/materials>

(2) The bank shall also ensure to refer to the lists as available in the Schedules to the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as amended from time to time. The bank shall verify the aforementioned lists, i.e., UNSC Sanctions Lists and lists as available in the Schedules to the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as amended from time to time, on a daily basis, and any modifications to the lists in terms of additions, deletions or other changes shall be taken into account by the bank for meticulous compliance.

(3) The bank shall report the details of accounts resembling any of the individuals / entities in the lists to FIU-IND in addition to advising the Ministry of Home Affairs (MHA) as required under UAPA notification dated February 2, 2021 ([Annex I](#) of these Directions).

(4) Freezing of Assets under [Section 51A](#) of UAPA, 1967 : The bank shall strictly follow the procedure laid down in the UAPA Order dated February 2, 2021 ([Annex I](#) of these Directions), and shall ensure the meticulous compliance with the Order issued by the Government. The list of Nodal Officers for UAPA is available on the website of MHA.

57. Obligations under Weapons of Mass Destruction (WMD) and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 (WMD Act, 2005) :

(1) The bank shall ensure meticulous compliance with the 'Procedure for Implementation of [Section 12A](#) of the Weapons of Mass Destruction (WMD) and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005' laid down in terms of [Section 12A](#) of the WMD Act, 2005 vide Order dated September 1, 2023, by the Ministry of Finance, Government of India ([Annex II](#) of these Directions).

(2) In accordance with [paragraph 3](#) of the aforementioned Order, the bank shall ensure not to carry out transactions in case the particulars of the individual / entity match with the particulars in the designated list.

(3) Further, the bank shall run a check, on the given parameters, at the time of establishing a relation with a customer and on a periodic basis to verify whether individuals and entities in the designated list are holding any funds, financial asset, etc., in the form of bank account, etc.

(4) In case of a match in the above cases, the bank shall immediately inform the transaction details with full particulars of the funds, financial assets or economic resources involved to the Central Nodal Officer (CNO), designated as the authority to exercise powers under [Section 12A](#) of the WMD Act, 2005. The bank shall send a copy of the communication to the State Nodal Officer, where the account / transaction is held and to the RBI.

(5) The bank may note that, in terms of [Paragraph 1](#) of the Order, Director, FIU-India has been designated as the CNO.

(6) The bank may refer to the designated list, as amended from time to time, available on the portal of FIU-India.

(7) In case there are reasons to believe beyond doubt that funds or assets held by a customer would fall under the purview of [clause \(a\)](#) or (b) of sub-section (2) of section 12A of the WMD Act, 2005, the bank shall prevent such individual / entity from conducting financial transactions, under intimation to the CNO by email, FAX and by post, without delay.

(8) In case the bank receives an order to freeze assets under [Section 12A](#) from the CNO, the bank shall, without delay, take necessary action to comply with the Order.

(9) The bank shall observe the process of unfreezing of funds, etc., as per [paragraph 7](#) of the Order. Accordingly, the bank shall forward a copy of application received from an individual / entity regarding unfreezing, along with full details of the asset frozen, as given by the applicant, to the CNO by email, FAX and by post, within two working days.

58. The bank shall verify every day, the 'UNSCR 1718 Sanctions List of Designated Individuals and Entities', as available at <https://www.mea.gov.in/Implementation-of-UNSC-Sanctions-DPRK.htm>, to take into account any modifications to the list in terms of additions, deletions or other changes and also ensure compliance with the 'Implementation of Security Council Resolution on Democratic People's Republic of Korea Order, 2017', as amended from time to time by the Central Government.

59. In addition to the above, the bank shall take into account :

(2) lists in the first schedule and the fourth schedule of UAPA, 1967 and any amendments to the same for compliance with the Government orders on implementation of [Section 51A](#) of the UAPA and [Section 12A](#) of the WMD Act.

60. The bank shall undertake countermeasures when called upon so to do by any international or intergovernmental organisation of which India is a member and which is accepted by the Central Government.

61. Jurisdictions that do not or insufficiently apply the FATF Recommendations

(1) The bank shall consider the FATF Statements circulated by the RBI from time to time, and publicly available information, for identifying countries, which do not or insufficiently apply the FATF Recommendations. The bank shall apply enhanced due diligence measures, which are effective and proportionate to the risks, to business relationships and transactions with natural and legal persons (including financial institutions) from countries for which this is called for by the FATF.

(2) The bank shall give special attention to business relationships and transactions with persons (including legal persons and other financial institutions) from or in countries that do not or insufficiently apply the FATF Recommendations and jurisdictions included in FATF Statements.

Explanation : The processes referred to in (1) and (2) above do not preclude the bank from having legitimate trade and business transactions with the countries and jurisdictions mentioned in the FATF statement.

(3) The bank shall examine the background and purpose of transactions with persons (including legal persons and other financial institutions) from jurisdictions included in FATF Statements and countries that do not or insufficiently apply the FATF Recommendations, retain written findings together with all documents, and make them available to the RBI / other relevant authorities, on request.

62. The bank is encouraged to leverage latest technological innovations and tools for effective implementation of name screening to meet the sanctions requirements.

63. Secrecy Obligations and Sharing of Information :

(1) The bank shall maintain secrecy regarding the customer information that arises out of the contractual relationship between the bank and the customer.

(2) The bank shall treat information collected from customers for the purpose of opening of account as confidential and shall not divulge details thereof for the purpose of cross-selling, or for any other purpose without the express permission of the customer.

(3) While considering the requests for data / information from Government and other agencies, the bank shall satisfy itself that the information being sought is not of such a nature as will violate the provisions of the laws relating to secrecy in the transactions.

(iv) Where the disclosure is made with the express or implied consent of the customer.

64. Compliance with the provisions of [Foreign Contribution \(Regulation\) Act, 2010](#) : The bank shall ensure adherence to the provisions of [Foreign Contribution \(Regulation\) Act, 2010](#), and Rules made thereunder. Further, the bank shall also ensure meticulous compliance with any instructions / communications on the matter issued from time to time by the RBI based on advice received from the Ministry of Home Affairs, Government of India.

65. CDD Procedure and sharing KYC information with Central KYC Records Registry (CKYCR)

(1) Government of India has authorised the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI), to act as, and to perform the functions of the CKYCR vide Gazette Notification No. [S.O.3183\(E\)](#) dated November 26, 2015.

(2) In terms of provision of [Rule 9\(1A\)](#) of the PML Rules, the bank shall capture customer's KYC records and upload onto CKYCR within 10 days of commencement of an account-based relationship with the customer.

(4) The bank shall capture the KYC information for sharing with the CKYCR in the manner mentioned in the Rules, as per the KYC templates prepared for 'Individuals' and 'Legal Entities' (LEs), as the case may be. The templates may be revised from time to time, as may be required and released by CERSAI.

(5) The 'live run' of the CKYCR started from July 15, 2016, in a phased manner, beginning with new 'individual accounts'. Accordingly, Scheduled Commercial Banks shall invariably upload the KYC data pertaining to all new individual accounts opened on or after January 1, 2017, with CKYCR. SCBs were initially allowed time up-to February 1, 2017, for uploading data in respect of accounts opened during January 2017.

REs other than SCBs were required to start uploading the KYC data pertaining to all new individual accounts opened on or after from April 1, 2017, with CKYCR in terms of the provisions of the Rules *ibid*.

(6) The bank shall upload KYC records pertaining to accounts of LEs opened on or after April 1, 2021, with CKYCR in terms of the provisions of the Rules *ibid*. The bank shall upload KYC records as per the LE Template released by CERSAI.

(7) Once KYC Identifier is generated by CKYCR, the bank shall ensure that the same is communicated to the individual / LE as the case may be.

(8) In order to ensure that all KYC records are incrementally uploaded on to CKYCR, the bank shall upload / update the KYC data pertaining to accounts of individual customers and LEs opened prior to the above-mentioned dates as per [clauses \(5\)](#) and [\(6\)](#), respectively, at the time of periodic updation as specified in [paragraph 42](#) of these Directions, or earlier, when the updated KYC information is obtained / received from the customer. Also, whenever the bank obtains additional or updated information from any customer as per [clause \(10\)](#) below in this paragraph or [Rule 9\(1C\)](#) of the PML Rules, the bank shall within seven days or within such

period as may be notified by the Central Government, furnish the updated information to CKYCR, which shall update the KYC records of the existing customer in CKYCR. CKYCR shall thereafter inform electronically all the reporting entities who have dealt with the concerned customer regarding updation of KYC record of the said customer. Once CKYCR informs the bank regarding an update in the KYC record of an existing customer, the bank shall retrieve the updated KYC records from CKYCR and update the KYC record maintained by the bank.

(9) The bank shall ensure that during periodic updation, the customers are migrated to the current CDD standard.

(10) For the purpose of establishing an account-based relationship, updation / periodic updation or for verification of identity of a customer, the bank shall seek the KYC Identifier from the customer or retrieve the KYC Identifier, if available, from the CKYCR and proceed to obtain KYC records online by using such KYC Identifier and shall not require a customer to submit the same KYC records or information or any other additional identification documents or details, unless-

(i) there is a change in the information of the customer as existing in the records of CKYCR; or

(ii) the KYC record or information retrieved is incomplete or is not as per the current applicable KYC norms; or

(iv) the bank considers it necessary in order to verify the identity or address (including current address) of the customer, or to perform enhanced due diligence or to build an appropriate risk profile of the customer.

66. Reporting requirement under Foreign Account Tax Compliance Act (FATCA) and Common Reporting Standards (CRS) : Under FATCA and CRS, the bank shall adhere to the provisions of Income Tax Rules [114F](#), [114G](#) and [114H](#) and determine whether they are a Reporting Financial Institution as defined in Income Tax [Rule 114F](#) and if so, shall take following steps for complying with the reporting requirements :

(1) Register on the related e-filing portal of Income Tax Department as Reporting Financial Institutions at the link <https://incometaxindiaefiling.gov.in/> post login -

-> My Account --> Register as Reporting Financial Institution.

(2) Submit online reports by using the digital signature of the 'Designated Director' by either uploading the Form 61B or 'NIL' report, for which, the schema prepared by Central Board of Direct Taxes (CBDT) shall be referred to.

Explanation : REs shall refer to the spot reference rates published by Foreign Exchange Dealers' Association of India (FEDAI) on their website at <http://www.fedai.org.in/RevaluationRates.aspx> for carrying out the due diligence procedure for the purposes of identifying reportable accounts in terms of [Rule 114H](#).

(3) Develop Information Technology (IT) framework for carrying out due diligence procedure and for recording and maintaining the same, as provided in [Rule 114H](#).

(5) Constitute a 'High-Level Monitoring Committee' under the Designated Director or any other equivalent functionary to ensure compliance.

(6) Ensure compliance with updated instructions / rules / guidance notes / Press releases / issued on the subject by Central Board of Direct Taxes (CBDT) from time to time and available on the website <http://www.incometaxindia.gov.in/Pages/default.aspx>. REs may take note of the following :

67. Period for presenting payment instruments : The bank shall not make payment of cheques / drafts / pay orders/ banker's cheques, if the customer presents them beyond the period of three months from the date of such instruments.

68. Operation of Bank Accounts and Money Mules : The bank shall strictly adhere to the instructions on opening of accounts and monitoring of transactions, to minimise the operations of 'Money Mules' that are used to launder the proceeds of fraud schemes (e.g., phishing and identity theft) by criminals who gain illegal access to deposit accounts by recruiting third parties that act as 'money mules'. The bank shall undertake diligence measures and meticulous monitoring to identify accounts which are operated as Money Mules and take appropriate action, including reporting of suspicious transactions to FIU-IND. Further, if it is established that an account opened and operated is that of a Money Mule, but STR was not filed by the concerned bank, it shall then be deemed that the bank has not complied with these directions.

69. Collection of Account Payee Cheques : The bank shall not collect account payee cheques for any person other than the payee constituent. The bank shall, at its option, collect account payee cheques drawn for an amount not exceeding 50,000 to the account of its customers who are co-operative credit societies, provided the payees of such cheques are the constituents of such co-operative credit societies.

70. The bank shall allot Unique Customer Identification Code (UCIC) while entering into new relationships with individual customers as also the existing individual customers.

71. The bank shall, at their option, not issue UCIC to all walk-in / occasional customers provided it is ensured that there is adequate mechanism to identify such walk-in customers who have frequent transactions with them and ensure that they are allotted UCIC.

72. Introduction of New Technologies : The bank shall identify and assess the ML / TF risks that may arise in relation to the development of new products and new business practices, including new delivery mechanisms, and the use of new or developing technologies for both new and existing products. Further, the bank shall ensure :

(1) to undertake the ML / TF risk assessments prior to the launch or use of such products, practices, services, technologies; and

(2) adoption of a risk-based approach to manage and mitigate the risks through appropriate EDD measures and transaction monitoring, etc.

73. Correspondent Banking : The bank shall have a policy approved by its Boards, or by a committee headed by the Chairman / CEO / MD, to lay down parameters for approving cross-border correspondent banking and other similar relationships. In addition to performing normal CDD measures, such relationships shall be subject to the following conditions :

(1) The bank shall gather sufficient information about a respondent bank to understand fully the nature of the respondent bank's business and to determine from publicly available information the reputation of the respondent bank and the quality of supervision, including whether it has been subjected to a ML / TF investigation or regulatory action. The bank shall assess the respondent bank's AML / CFT controls.

(2) The information gathered in relation to the nature of business of the respondent bank shall include information on management, major business activities, purpose of opening the account, identity of any third-party entities that will use the correspondent banking services, regulatory / supervisory framework in the respondent bank's home country among other relevant information.

(3) The bank shall obtain the prior approval from senior management for establishing new correspondent banking relationships. However, the bank shall also take post facto-approval of the Board or the Committee empowered for this purpose.

(4) The bank shall clearly document and understand the respective AML / CFT responsibilities of institutions involved.

(5) In the case of payable-through-accounts, the correspondent bank shall be satisfied that the respondent bank has conducted CDD on the customers having direct access to the accounts of the correspondent bank and is undertaking ongoing 'due diligence' on them.

(6) The correspondent bank shall ensure that the respondent bank is able to provide the relevant CDD information immediately on request.

(7) The bank shall not enter into or continue a correspondent relationship with a shell bank.

(8) The bank shall ensure that the respondent banks do not permit their accounts to be used by shell banks.

(9) The bank shall be cautious of correspondent banking relationships with institutions located in jurisdictions which have strategic deficiencies or have not made sufficient progress in implementation of FATF Recommendations.

(10) The bank shall ensure that respondent banks have KYC / AML policies and procedures in place and apply enhanced 'due diligence' procedures for transactions carried out through the correspondent accounts.

74. Wire Transfer

(1) Information requirements for wire transfers for the purpose of this Direction :

(i) All cross-border wire transfers shall be accompanied by accurate, complete, and meaningful originator and beneficiary information as mentioned below :

(b) the originator account number where such an account is used to process the transaction;

(c) the originator's address, or national identity number, or customer identification number, or date and place of birth;

(e) the beneficiary account number where such an account is used to process the transaction.

In the absence of an account, a unique transaction reference number should be included which permits traceability of the transaction.

(ii) In case of batch transfer, where several individual cross-border wire transfers from a single originator are bundled in a batch file for transmission to beneficiaries, they (i.e., individual transfers) are exempted from the requirements of [clause \(i\)](#) above in respect of originator information, provided that they include the originator's account number or unique transaction reference number, as mentioned above, and the batch file contains required and accurate originator information, and full beneficiary information, that is fully traceable within the beneficiary country.

(iv) Domestic wire transfers of 50,000 and above, where the originator is not an account holder of the ordering bank, shall also be accompanied by originator and beneficiary information as indicated for cross-border wire transfers. Provided that In case of domestic wire transfers below 50,000 where the originator is not an account holder of the ordering banks and where the information accompanying the wire transfer can be made available to the beneficiary RE and appropriate authorities by other means, it is sufficient for the ordering bank to include a unique transaction reference number, provided that this number or identifier will permit the transaction to be traced back to the originator or the beneficiary.

Provided further that the ordering bank shall make the information available within three working / business days of receiving the request from the intermediary RE, beneficiary RE, or from appropriate competent authorities.

(v) The bank shall ensure that all the information on the wire transfers shall be immediately made available to appropriate law enforcement authorities, prosecuting / competent authorities as well as FIU-IND on receiving such requests with appropriate level provisions.

(vi) The wire transfer instructions are not intended to cover the following types of payments :

(a) Any transfer that flows from a transaction carried out using a credit card / debit card / Prepaid Payment Instrument (PPI), including through a token or any other similar reference string associated with the card / PPI, for the purchase of goods or services, so long as the credit or debit card number or PPI id or reference number accompanies all transfers flowing

from the transaction. However, when a credit or debit card or PPI is used as a payment system to effect a person-to-person wire transfer, the wire transfer instructions shall apply to such transactions and the necessary information should be included in the message.

(b) Financial institution-to-financial institution transfers and settlements, where both the originator person and the beneficiary person are regulated financial institutions acting on their own behalf.

It is, however, clarified that nothing within these instructions will impact the obligation of the bank to comply with applicable reporting requirements under [PML Act, 2002](#), and the Rules made thereunder, or any other statutory requirement in force.

(2) Responsibilities of ordering bank, intermediary bank and beneficiary bank, effecting wire transfer, are as under :

(a) The ordering bank shall ensure that all cross-border and qualifying domestic wire transfers {viz., transactions as per [sub-clauses \(iii\)](#) and [\(iv\)](#) of clause (1) above}, contain required and accurate originator information and required beneficiary information, as indicated above.

(b) Customer Identification shall be made if a customer, who is not an account holder of the ordering bank, is intentionally structuring domestic wire transfers below 50,000 to avoid reporting or monitoring. In case of non-cooperation from the customer, efforts shall be made to establish identity and if the same transaction is found to be suspicious, STR may be filed with FIU-IND in accordance with the [PML Rules](#).

(c) Ordering bank shall not execute the wire transfer if it is not able to comply with the requirements stipulated in this paragraph.

(a) The bank processing an intermediary element of a chain of wire transfers shall ensure that all originator and beneficiary information accompanying a wire transfer is retained with the transfer.

(b) Where technical limitations prevent the required originator or beneficiary information accompanying a cross-border wire transfer from remaining with a related domestic wire transfer, the intermediary bank shall keep a record, for at least five years, of all the information received from the ordering financial institution or another intermediary bank.

(c) Intermediary bank shall take reasonable measures to identify cross- border wire transfers that lack required originator information or required beneficiary information. Such measures should be consistent with straight- through processing.

(d) Intermediary bank shall have effective risk-based policies and procedures for determining :

a. when to execute, reject, or suspend a wire transfer lacking required originator or required beneficiary information; and

b. the appropriate follow-up action including seeking further information and if the transaction is found to be suspicious, reporting to FIU-IND in accordance with the PML Rules.

(a) Beneficiary bank shall take reasonable measures, including post-event monitoring or real-time monitoring where feasible, to identify cross-border wire transfers and qualifying domestic wire transfers {viz., transactions as per [sub-clauses \(iii\)](#) and [\(iv\)](#) of clause (1) above}, that lack required originator information or required beneficiary information.

(b) Beneficiary bank shall have effective risk-based policies and procedures for determining :
(a) when to execute, reject, or suspend a wire transfer lacking required originator or required beneficiary information; and (b) the appropriate follow-up action including seeking further information and if the transaction is found to be suspicious, reporting to FIU-IND in accordance with the [PML Rules](#).

(iv) Money Transfer Service Scheme (MTSS) providers and other banks, shall comply with all of the relevant requirements of this paragraph, whether they are providing services directly or through their agents. The bank that control both the ordering and the beneficiary side of a wire transfer shall :

(a) take into account all the information from both the ordering and beneficiary sides in order to determine whether an STR has to be filed; and

(b) file an STR with FIU, in accordance with the [PML Rules](#), if a transaction is found to be suspicious.

(i) Obligations in respect of the bank's engagement or involvement with unregulated entities in the process of wire transfer : The bank shall be cognizant of their obligations under these instructions and ensure strict compliance, in respect of engagement or involvement of any unregulated entities in the process of wire transfer. More specifically, whenever there is involvement of any unregulated entities in the process of wire transfers, the concerned bank shall be fully responsible for information, reporting and other requirements and therefore shall ensure, inter alia, that :

(a) there is unhindered flow of complete wire transfer information, as mandated under these directions, from and through the unregulated entities involved;

(b) the agreement / arrangement, if any, with such unregulated entities by the bank clearly stipulates the obligations under wire transfer instructions; and

(c) a termination clause is available in their agreement / arrangement, if any, with such entities so that in case the unregulated entities are unable to support the wire information requirements, the agreement / arrangement can be terminated. Existing agreements / arrangements, if any, with such entities shall be reviewed within three months to ensure aforementioned requirements.

(ii) The bank's responsibility while undertaking cross-border wire transfer with respect to name screening (such that they do not process cross-border transactions of designated persons and entities) : The bank is prohibited from conducting transactions with designated

persons and entities and accordingly, in addition to compliance with [Chapter IX](#) of the Directions, the bank shall ensure that they do not process cross-border transactions of designated persons and entities.

(iii) ***The bank's responsibility to fulfil record management requirements*** : Complete originator and beneficiary information relating to wire transfers shall be preserved by the bank involved in the wire transfer, in accordance with [paragraph 50](#) of these Directions.

75. Issue and Payment of Demand Drafts, etc. :

(1) Any remittance of funds by way of demand draft, mail / telegraphic transfer / NEFT / IMPS or any other mode and issue of travellers' cheques for value of 50,000 and above shall be effected by debit to the customer's account or against cheques and not against cash payment.

(2) Further, the bank shall incorporate the name of the purchaser on the face of the demand draft, pay order, banker's cheque, etc., by the issuing bank. These instructions shall take effect for such instruments issued on or after September 15, 2018.

76. Quoting of PAN : PAN or equivalent e-document thereof of customers shall be obtained and verified while undertaking transactions as per the provisions of Income Tax [Rule 114B](#) applicable to banks, as amended from time to time, which includes opening of accounts with banks, etc. [Form 60](#) shall be obtained from persons who do not have PAN or equivalent e-document thereof.

77. Selling Third party products : The bank acting as agent while selling third party products as per regulations in force from time to time shall comply with the following aspects for the purpose of these directions :

(1) the identity and address of the walk-in customer shall be verified for transactions above 50,000 as required under [clause \(5\)](#) of paragraph 21 of these Directions.

(2) transaction details of sale of third-party products and related records shall be maintained as prescribed in [paragraph 50](#) of Chapter VII.

(3) AML software capable of capturing, generating and analysing alerts for the purpose of filing CTR / STR in respect of transactions relating to third party products with customers including walk-in customers shall be available.

(4) transactions involving 50,000 and above shall be undertaken only by :

(ii) obtaining and verifying the PAN given by the account-based as well as walk-in customers.

(5) Instruction at (4) above shall also apply to sale of the bank's own products, payment of dues of credit cards / sale and reloading of prepaid / travel cards and any other product for 50,000 and above.

78. At-par cheque facility availed by co-operative banks

(1) The 'at par' cheque facility offered by the bank to co-operative banks shall be monitored and such arrangements be reviewed to assess the risks including credit risk and reputational risk arising therefrom.

(2) The right to verify the records maintained by the customer cooperative banks / societies for compliance with the extant instructions on KYC and AML under such arrangements shall be retained by bank.

79. Hiring of Employees and Employee training :

(1) The bank shall put in place an adequate screening mechanism, including Know Your Employee / Staff policy, as an integral part of its personnel recruitment / hiring process.

(2) The bank shall endeavour to ensure that the staff dealing with / being deployed for KYC / AML / CFT matters have : high integrity and ethical standards, good understanding of extant KYC / AML / CFT standards, effective communication skills and ability to keep up with the changing KYC / AML / CFT landscape, nationally and internationally. The bank shall also strive to develop an environment which fosters open communication and high integrity amongst the staff.

(3) The bank shall put in place an on-going employee training programme so that the members of staff are adequately trained in KYC / AML / CFT policy. The focus of the training shall be different for frontline staff, compliance staff and staff dealing with new customers. The bank shall specially train the front desk staff to handle issues arising from lack of customer education. The bank shall ensure the proper staffing of the audit function with persons adequately trained and well-versed in KYC / AML / CFT policies of the bank, regulation and related issues.

A. Repeal and saving

80. With the issue of these Directions, the existing Directions, instructions, and guidelines relating to Know Your Customer as applicable to Commercial Banks stand repealed, as communicated vide circular [DOR.RRC.REC.302/33-01-010/2025-26](#) dated November 28, 2025. The Directions, instructions, and guidelines repealed prior to the issuance of these Directions shall continue to remain repealed.

81. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines shall continue to be governed by the provisions thereof. All approvals or acknowledgments granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these directions, instructions, or guidelines shall not in any way prejudicially affect:

(1) any right, obligation or liability acquired, accrued, or incurred thereunder;

(2) any penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder;

(3) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture or punishment may be imposed as if those directions, instructions, or guidelines had not been repealed.

B. Application of other laws not barred

82. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations, or directions, for the time being in force.

C. Interpretation :

83. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the RBI may, if it considers necessary, issue necessary clarifications in respect of any matter covered herein and the interpretation of any provision of these Directions given by the RBI shall be final and binding.

Annex I

File No.14014/01/2019/CFT
Government of India
Ministry of Home Affairs
CTCR Division

North Block, New Delhi.

Dated : the 2nd February, 2021

(Amended vide [corrigendum](#) dated March 15, 2023)
(Amended vide [corrigendum](#) dated August 29, 2023)
(Amended vide [corrigendum](#) dated April 22, 2024)

Order

To,

-
- 1) Governor, Reserve Bank of India, Mumbai
 - 2) Chairman, Securities & Exchange Board of India, Mumbai
 - 3) Chairman, Insurance Regulatory and Development Authority, Hyderabad.
 - 4) Foreign Secretary, Ministry of External Affairs, New Delhi.
 - 5) Finance Secretary, Ministry of Finance, New Delhi.
 - 6) Revenue Secretary, Department of Revenue, Ministry of Finance, New Delhi.
 - 7) Secretary, Ministry of Corporate Affairs, New Delhi
 - 8) Chairman, Central Board of Indirect Taxes & Customs, New Delhi.
 - 9) Director, Intelligence Bureau, New Delhi.
 - 10) Additional Secretary, Department of Financial Services, Ministry of Finance, New Delhi.
 - 11) Chief Secretaries of all States / Union Territories
 - 12) Principal Secretary (Home) / Secretary (Home) of all States / Union Territories
 - 13) Directors General of Police of all States & Union Territories
 - 14) Director General of Police, National Investigation Agency, New Delhi.
 - 15) Commissioner of Police, Delhi.
 - 16) Joint Secretary (Foreigners), Ministry of Home Affairs, New Delhi.
 - 17) Joint Secretary (Capital Markets), Department of Economic Affairs, Ministry of Finance, New Delhi.
-

18) Joint Secretary (Revenue), Department of Revenue, Ministry of Finance, New Delhi.

19) Director (FIU-IND), New Delhi.

Copy for information to : -

1. Sr. PPS to HS

2. PS to SS (IS)

**Procedure for implementation
of Section 51A of the Unlawful Activities (Prevention) Act, 1967.**

[Section 51A](#) of the Unlawful Activities (Prevention) Act, 1967 (UAPA) reads as under :-

"51A. For the prevention of, and for coping with terrorist activities, the Central Government shall have power to -

- a) freeze, seize or attach funds and other financial assets or economic resources held by, on behalf of or at the direction of the individuals or entities listed in the Schedule to the Order, or any other person engaged in or suspected to be engaged in terrorism;
-
- b) prohibit any individual or entity from making any funds, financial assets or economic resources or related services available for the benefit of the individuals or entities listed in the Schedule to the Order or any other person engaged in or suspected to be engaged in terrorism;
-
- c) prevent the entry into or the transit through India of individuals listed in the Schedule to the Order or any other person engaged in or suspected to be engaged in terrorism".
-

The [Unlawful Activities \(Prevention\) Act, 1967](#) defines "Order" as under : -

"Order" means the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as may be amended from time to time.

2. In order to ensure expeditious and effective implementation of the provisions of [Section 51A](#), a revised procedure is outlined below in supersession of earlier orders and guidelines on the subject :

3. Appointment and communication details of the UAPA Nodal Officers :

3.1 The Joint Secretary (CTCR), Ministry of Home Affairs would be the Central [designated] Nodal Officer for the UAPA [**Telephone Number : 011-23093124, 011-230923465 (Fax), email address : jsctcr-mha@gov.in**].

3.2 The Ministry of External Affairs, Department of Economic Affairs, Ministry of Corporate Affairs, Foreigners Division of MHA, FIU-IND, Central Board of Indirect Taxes and Customs (CBIC) and Financial Regulators (RBI, SEBI and IRDA) shall appoint a UAPA Nodal Officer and communicate the name and contact details to the Central [designated] Nodal Officer for the UAPA.

3.4^{@2} All the States and UTs shall appoint a UAPA Nodal Officer preferably of the rank of the Principal Secretary / Secretary, Home Department and communicate the name and contact details to the Central [designated] Nodal Officer for the UAPA.

3.5^{@2} The Central [designated] Nodal Officer for the UAPA shall maintain the consolidated list of all UAPA Nodal Officers and forward the list to all other UAPA Nodal Officers, in July every year or as and when the list is updated and shall cause the amended list of UAPA Nodal Officers circulated to all the Nodal Officers.

3.6^{@2} The Financial Regulators shall forward the consolidated list of UAPA Nodal Officers to the banks, stock exchanges / depositories, intermediaries regulated by SEBI and insurance companies.

3.7^{@2} The Regulators of the real estate agents, dealers in precious metals & stones (DPMS) and DNFBPs shall forward the consolidated list of UAPA Nodal Officers to the real estate agents, dealers in precious metals & stones (DPMS) and DNFBPs.

4. Communication of the list of designated individuals / entities :

4.1 The Ministry of External Affairs shall update the list of individuals and entities subject to the UN sanction measures whenever changes are made in the lists by the UNSC 1267 Committee pertaining to Al Qaida and Da'esh and the UNSC 1988 Committee pertaining to Taliban. On such revisions, the Ministry of External Affairs would electronically forward the changes without delay to the designated Nodal Officers in the Ministry of Corporate Affairs, CBIC, Financial Regulators, FIU-IND, CTCR Division and Foreigners Division in MHA.

4.2 The Financial Regulators shall forward the list of designated persons as mentioned in [Para 4\(i\)](#) above, without delay to the banks, stock exchanges / depositories, intermediaries regulated by SEBI and insurance companies.

4.3 The Central [designated] Nodal Officer for the UAPA shall forward the designated list as mentioned in [Para 4\(i\)](#) above, to all the UAPA Nodal Officers of States / UTs without delay.

4.4 The UAPA Nodal Officer in Foreigners Division of MHA shall forward the designated list as mentioned in [Para 4\(i\)](#) above, to the immigration authorities and security agencies without delay.

4.5 The Regulators of the real estate agents, dealers in precious metals & stones (DPMS) and DNFBPs shall forward the list of designated persons as mentioned in [Para 4\(i\)](#) above, to the real estate agents, dealers in precious metals & stones (DPMS) and DNFBPs without delay.

5. Regarding funds, financial assets or economic resources or related services held in the form of bank accounts, stocks or Insurance policies etc.

5.1 The Financial Regulators will issue necessary guidelines to banks, stock exchanges / depositories, intermediaries regulated by the SEBI and insurance companies requiring them -

(i) To maintain updated designated lists in electronic form and run a check on the given parameters on a daily basis to verify whether individuals or entities listed in the Schedule to the Order, hereinafter, referred to as designated individuals / entities are holding any funds, financial assets or economic resources or related services held in the form of bank accounts, stocks, Insurance policies etc., with them.

(ii) In case, the particulars of any of their customers match with the particulars of designated individuals / entities, the banks, stock exchanges / depositories, intermediaries regulated by SEBI, insurance companies shall immediately inform full particulars of the funds, financial assets or economic resources or related services held in the form of bank accounts, stocks or Insurance policies etc., held by such customer on their books to the Central [designated] Nodal Officer for the UAPA, at Fax No.011-23092551 and also convey over telephone No. 011-23092548. The particulars apart from being sent by post shall necessarily be conveyed on email id : jsctcr-mha@gov.in.

(iii) The banks, stock exchanges / depositories, intermediaries regulated by SEBI and insurance companies shall also send a copy of the communication mentioned in [5.1\(ii\)](#) above to the UAPA Nodal Officer of the State / UT where the account is held and to Regulators and FIU-IND, as the case may be, without delay.

(iv) In case, the match of any of the customers with the particulars of designated individuals / entities is beyond doubt, the banks, stock exchanges / depositories, intermediaries regulated by SEBI and insurance companies shall prevent such designated persons from conducting financial transactions, under intimation to the Central [designated] Nodal Officer for the UAPA at Fax No.011-23092551 and also convey over telephone No.011-23092548. The particulars apart from being sent by post should necessarily be conveyed on e-mail id : jsctcr-mha@gov.in, without delay.

(v) The banks, stock exchanges / depositories, intermediaries regulated by SEBI, and insurance companies shall file a Suspicious Transaction Report (STR) with FIU-IND covering all transactions in the accounts, covered under [Paragraph 5.1\(ii\)](#) above, carried through or attempted as per the prescribed format.

5.2 On receipt of the particulars, as referred to in [Paragraph 5\(i\)](#) above, the Central [designated] Nodal Officer for the UAPA would cause a verification to be conducted by the State Police and / or the Central Agencies so as to ensure that the individuals / entities identified by the banks, stock exchanges / depositories, intermediaries and insurance companies are the ones listed as designated individuals / entities and the funds, financial assets or economic resources or related services, reported by banks, stock exchanges / depositories, intermediaries regulated by SEBI and insurance companies are held by the designated individuals / entities. This verification would be completed expeditiously from the date of receipt of such particulars.

5.3 In case, the results of the verification indicate that the properties are owned by or are held for the benefit of the designated individuals / entities, an orders to freeze these assets under [Section 51A](#) of the UAPA would be issued by the Central [designated] nodal officer for the UAPA without delay and conveyed electronically to the concerned bank branch, depository and insurance company under intimation to respective Regulators and FIU-IND. The Central [designated] nodal officer for the UAPA shall also forward a copy thereof to all the Principal Secretaries / Secretaries, Home Department of the States / UTs and all UAPA nodal officers in the country, so that any individual or entity may be prohibited from making any funds, financial assets or economic resources or related services available for the benefit of the designated individuals / entities or any other person engaged in or suspected to be engaged in terrorism. The Central [designated] Nodal Officer for the UAPA shall also forward a copy of the order to all Directors General of Police / Commissioners of Police of all States / UTs for initiating action under the provisions of the [Unlawful Activities \(Prevention\) Act, 1967](#).

The order shall be issued without prior notice to the designated individual / entity.

6. Regarding financial assets or economic resources of the nature of immovable properties :

6.1 The Central [designated] Nodal Officer for the UAPA shall electronically forward the designated list to the UAPA Nodal Officers of all States and UTs with request to have the names of the designated individuals / entities, on the given parameters, verified from the records of the office of the Registrar performing the work of registration of immovable properties in their respective jurisdiction, without delay.

6.2 In case, the designated individuals / entities are holding financial assets or economic resources of the nature of immovable property and if any match with the designated individuals / entities is found, the UAPA Nodal Officer of the State / UT would cause communication of the complete particulars of such individual / entity along with complete details of the financial assets or economic resources of the nature of immovable property to the Central [designated] Nodal Officer for the UAPA without delay at Fax No. 011-23092551 and also convey over telephone No. 011-23092548. The particulars apart from being sent by post would necessarily be conveyed on email id : jsctcr-mha@gov.in.

6.3 The UAPA Nodal Officer of the State / UT may cause such inquiry to be conducted by the State Police so as to ensure that the particulars sent by the Registrar performing the work of registering immovable properties are indeed of these designated individuals / entities. This verification shall be completed without delay and shall be conveyed within 24 hours of the verification, if it matches with the particulars of the designated individual / entity to the Central [designated] Nodal Officer for the UAPA at the given Fax, telephone numbers and also on the email id.

6.4 The Central [designated] Nodal Officer for the UAPA may also have the verification conducted by the Central Agencies. This verification would be completed expeditiously.

6.5 In case, the results of the verification indicates that the particulars match with those of designated individuals / entities, an order under [Section 51A](#) of the UAPA shall be issued by the Central [designated] Nodal Officer for the UAPA without delay and conveyed to the concerned Registrar performing the work of registering immovable properties and to FIU-IND under intimation to the concerned UAPA Nodal Officer of the State / UT.

The order shall be issued without prior notice to the designated individual / entity.

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- 6.6 Further, the UAPA Nodal Officer of the State / UT shall cause to monitor the transactions / accounts of the designated individual / entity so as to prohibit any individual or entity from making any funds, financial assets or economic resources or related services available for the benefit of the individuals or entities listed in the Schedule to the Order or any other person engaged in or suspected to be engaged in terrorism. The UAPA Nodal Officer of the State / UT shall, upon becoming aware of any transactions and attempts by third party immediately bring to the notice of the DGP / Commissioner of Police of the State / UT for initiating action under the provisions of the [Unlawful Activities \(Prevention\) Act, 1967](#).
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7. Regarding the real-estate agents, dealers of precious metals / stones (DPMS) and other Designated Non-Financial Businesses and Professions (DNFBPs) and any other person :

- (i) The Designated Non-Financial Businesses and Professions (DNFBPs), inter alia, include casinos, real estate agents, dealers in precious metals / stones (DPMS), lawyers / notaries, accountants, company service providers and societies / firms and non-profit organizations. The list of designated entities / individuals should be circulated to all DNFBPs by the concerned Regulators without delay.
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- (a) The DNFBPs are required to ensure that if any designated individual / entity approaches them for a transaction or relationship or attempts to undertake such transactions, the dealer should not carry out such transactions and, without delay, inform the UAPA Nodal officer of the State / UT with details of the funds / assets held and the details of the transaction, who in turn would follow the same procedure as in [para 6.2 to 6.6](#) above. Further, if the dealers hold any assets or funds of the designated individual / entity, either directly or indirectly, they shall freeze the same without delay and inform the UAPA Nodal officer of the State / UT.
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- (ii) The CBIC shall advise the dealers of precious metals / stones (DPMS) that if any designated individual / entity approaches them for sale / purchase of precious metals / stones or attempts to undertake such transactions the dealer should not carry out such transaction and without delay inform the CBIC, who in turn follow the similar procedure as laid down in the [paragraphs 6.2 to 6.5](#) above.
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- (iii) The UAPA Nodal Officer of the State / UT shall advise the Registrar of Societies / Firms / non-profit organizations that if any designated individual / entity is a shareholder / member / partner / director / settler / trustee / beneficiary / beneficial owner of any society / partnership firm / trust / non-profit organization, then the Registrar should inform the UAPA Nodal Officer of the State / UT without delay, who will, in turn, follow the procedure as laid down in the [paragraphs 6.2 to 6.5](#) above. The Registrar should also be advised that no societies / firms / non-profit organizations should be allowed to be registered, if any of the designated individual / entity is a director / partner / office bearer / trustee / settler / beneficiary or beneficial owner of such juridical person and in case such request is received, then the Registrar shall inform the UAPA Nodal Officer of the concerned State / UT without delay, who will, in turn, follow the procedure laid down in the [paragraphs 6.2 to 6.5](#) above.
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- (iv) The UAPA Nodal Officer of the State / UT shall also advise appropriate department of the State / UT, administering the operations relating to Casinos, to ensure that the designated individuals / entities should not be allowed to own or have beneficial ownership in any Casino operation. Further, if any designated individual / entity visits or participates in any game in the Casino and / or if any assets of such designated individual / entity is with the Casino operator, and of the particulars of any client matches with the particulars of designated individuals / entities, the Casino owner shall inform the UAPA Nodal Officer of the State / UT without delay, who shall in turn follow the procedure laid down in [paragraph 6.2 to 6.5](#) above.
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- (v) The Ministry of Corporate Affairs shall issue an appropriate order to the Institute of Chartered Accountants of India, Institute of Cost and Works Accountants of India and Institute of Company Secretaries of India (ICSI) requesting them to sensitize their respective members to the provisions of [Section 51A](#) of UAPA, so that if any designated individual / entity approaches them, for entering / investing in the financial sector and / or immovable property, or they are holding or managing any assets / resources of Designated individual / entities, then the member shall convey the complete details of such designated individual / entity to UAPA Nodal Officer in the Ministry of Corporate Affairs who shall in turn follow the similar procedure as laid down in [paragraph 6.2 to 6.5](#) above.
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- (vi) The members of these institutes should also be sensitized that if they have arranged for or have been approached for incorporation / formation / registration of any company, limited liability firm, partnership firm, society, trust, association where any of designated individual / entity is a director / shareholder / member of a company / society / association or partner in a firm or settler / trustee or beneficiary of a trust or a beneficial owner of a juridical person, then the member of the institute should not incorporate / form / register such juridical person and should convey the complete details of such designated individual / entity to UAPA Nodal Officer in the Ministry of Corporate Affairs who shall in turn follow the similar procedure as laid down in [paragraph 6.2 to 6.5](#) above.
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- (vii) In addition, the member of the ICSI be sensitized that if he / she is Company Secretary or is holding any managerial position where any of designated individual / entity is a Director and / or Shareholder or having beneficial ownership of any such juridical person then the member should convey the complete details of such designated individual / entity to UAPA Nodal Officer in the Ministry of Corporate Affairs who shall in turn follow the similar procedure as laid down in [paragraph 6.2 to 6.5](#) above.
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- (viii) The Registrar of Companies (ROC) may be advised that in case any designated individual / entity is a shareholder / director / whole time director in any company registered with ROC or beneficial owner of such company, then the ROC should convey the complete details of such designated individual / entity, as per the procedure mentioned in [paragraph 8 to 10 above](#). This procedure shall also be followed in case of any designated individual / entity being a partner of Limited Liabilities Partnership Firms registered with ROC or beneficial owner of such firms. Further the ROC may be advised that no company or limited liability Partnership firm shall be allowed to be registered if any of the designated individual / entity is the Director / Promoter / Partner or beneficial owner of such company or firm and in case such a request received the ROC should inform the UAPA Nodal Officer in the Ministry of Corporate Affairs who in turn shall follow the similar procedure as laid down in [paragraph 6.2 to 6.5](#) above.
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- (ix) Any person, either directly or indirectly, holding any funds or other assets of designated individuals or entities, shall, without delay and without prior notice, cause to freeze any transaction in relation to such funds or assets, by immediately informing the nearest Police Station, which shall, in turn, inform the concerned UAPA Nodal Officer of the State / UT along with the details of the funds / assets held. The concerned UAPA Nodal Officer of the State / UT, would follow the same procedure as in [para 6.2 to 6.6](#) above.
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8. Regarding implementation of requests received from foreign countries under U.N. Security Council Resolution 1373 of 2001 :

- 8.1 The U.N. Security Council Resolution No.1373 of 2001 obligates countries to freeze without delay the funds or other assets of persons who commit, or attempt to commit, terrorist acts or participate in or facilitate the commission of terrorist acts; of entities owned or controlled directly or indirectly by such persons; and of persons and entities acting on behalf of, or at the direction of such persons and entities, including funds or other assets derived or generated from property owned or controlled, directly or indirectly, by such persons and associated persons and entities. Each individual country has the authority to designate the persons and entities that should have their funds or other assets frozen. Additionally, to ensure that effective cooperation is developed among countries, countries should examine and give effect to, if appropriate, the actions initiated under the freezing mechanisms of other countries.
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8.2 To give effect to the requests of foreign countries under the U.N. Security Council Resolution 1373, the Ministry of External Affairs shall examine the requests made by the foreign countries and forward it electronically, with their comments, to the Central [designated] Nodal Officer for the UAPA for freezing of funds or other assets.

8.3 The Central [designated] Nodal Officer for the UAPA shall cause the request to be examined without delay, so as to satisfy itself that on the basis of applicable legal principles, the requested designation is supported by reasonable grounds, or a reasonable basis, to suspect or believe that the proposed designee is a terrorist, one who finances terrorism or a terrorist organization, and upon his satisfaction, request would be electronically forwarded to the Nodal Officers in Regulators, FIU-IND and to the Nodal Officers of the States / UTs. The proposed designee, as mentioned above would be treated as designated individuals / entities.

9. Upon receipt of the requests by these Nodal Officers from the Central [designated] Nodal Officer for the UAPA, the similar procedure as enumerated at [paragraphs 5](#) and [6](#) above shall be followed.

The freezing orders shall be issued without prior notice to the designated persons involved.

10. **Regarding exemption, to be granted to the above orders in accordance with UNSCR 1452.**

10.1 The above provisions shall not apply to funds and other financial assets or economic resources that have been determined by the Central [designated] nodal officer of the UAPA to be :-

(a) necessary for basic expenses, including payments for foodstuff, rent or mortgage, medicines and medical treatment, taxes, insurance premiums and public utility charges, or exclusively for payment of reasonable professional fees and reimbursement of incurred expenses associated with the provision of legal services or fees or service charges for routine holding or maintenance of frozen funds or other financial assets or economic resources, after notification by the MEA of the intention to authorize, where appropriate, access to such funds, assets or resources and in the absence of a negative decision within 48 hours of such notification;

(b) necessary for extraordinary expenses, provided that such determination has been notified by the MEA;

10.2. The addition may be allowed to accounts of the designated individuals / entities subject to the provisions of [paragraph 10](#) of :

(a) interest or other earnings due on those accounts, or

(b) payments due under contracts, agreements or obligations that arose prior to the date on which those accounts became subject to the provisions of resolutions 1267 (1999), 1333 (2000), or 1390 (2002),

Provided that any such interest, other earnings and payments continue to be subject to those provisions;

10.3 (a) : The designated individual or organisation may submit a request to the Central [Designated] Nodal Officer for UAPA under the provisions of [Para 10.1](#) above. The Central [Designated] Nodal Officer for UAPA may be approached by post at "Joint Secretary (CTCR), North Block, New Delhi - 110001" or through email to jsctcr-mha@gov.in"

(b) : The Central [Designated] Nodal Officer for UAPA shall examine such requests, in consultation with the Law Enforcement Agencies and other Security Agencies and Intelligence Agencies and, if accepted, communicate the same, if applicable, to the Ministry of External Affairs, Government of India for notifying the committee established pursuant to UNSC Resolution 1267 (1999) of the intention to authorize, access to such funds, assets or resources in terms of [Para 10.1](#) above.

11. Regarding procedure for unfreezing of funds, financial assets or economic resources or related services of individuals / entities inadvertently affected by the freezing mechanism upon verification that the person or entity is not a designated person :

11.1 Any individual or entity, if it has evidence to prove that the freezing of funds, financial assets or economic resources or related services, owned / held by them has been inadvertently frozen, they shall move an application giving the requisite evidence, in writing, to the concerned bank, stock exchanges / depositories, intermediaries regulated by SEBI, insurance companies, Registrar of Immovable Properties, ROC, Regulators of DNFBPs and the UAPA Nodal Officers of State / UT.

11.2 The banks, stock exchanges / depositories, intermediaries regulated by SEBI, insurance companies, Registrar of Immovable Properties, ROC, Regulators of DNFBPs and the State / UT Nodal Officers shall inform and forward a copy of the application together with full details of the asset frozen given by any individual or entity informing of the funds, financial assets or economic resources or related services have been frozen inadvertently, to the Central [designated] Nodal Officer for the UAPA as per the contact details given in [Paragraph 3.1](#) above, within two working days.

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- 11.3 The Central [designated] Nodal Officer for the UAPA shall cause such verification, as may be required on the basis of the evidence furnished by the individual / entity, and, if satisfied, he / she shall pass an order, without delay, unfreezing the funds, financial assets or economic resources or related services, owned / held by such applicant, under intimation to the concerned bank, stock exchanges / depositories, intermediaries regulated by SEBI, insurance company, Registrar of Immovable Properties, ROC, Regulators of DNFBPs and the UAPA Nodal Officer of State / UT. However, if it is not possible for any reason to pass an Order unfreezing the assets within 5 working days, the Central [designated] Nodal Officer for the UAPA shall inform the applicant expeditiously.
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11A. Regarding procedure for unfreezing of funds, financial assets or economic resources or related services of individuals / organisations in the event of delisting by the UNSCR 1267 (1999), 1988 (2011) and 1989 (2011) Committee

Upon making an application in writing by the concerned individual / organisation, to the concerned bank, stock exchanges / depositories, intermediaries regulated by SEBI, insurance companies, Registrar of Immovable Properties, RoC, Regulators of DNFBPs, Department of Posts and the UAPA Nodal Officers of all States / UTs., who in turn shall forward the application along with the full details of the assets frozen to the Central [Designated] Nodal Officer for UAPA within two working days. The Central [Designated] Nodal Officer for UAPA shall examine the request in consultation with the Law Enforcement Agencies and other Security Agencies and Intelligence Agencies and cause such verification as may be required and if satisfied, shall pass an order, without delay, unfreezing the funds, financial assets or economic resources or related services owned or held by the applicant under intimation to concerned bank, stock exchanges / depositories, intermediaries regulated by SEBI, insurance companies, Registrar of Immovable Properties, RoC, Regulators of DNFBPs, Department of Posts and the UAPA Nodal Officers of all States / UTs.

12. Regarding prevention of entry into or transit through India :

- 12.1 As regards prevention of entry into or transit through India of the designated individuals, the UAPA Nodal Officer in the Foreigners Division of MHA, shall forward the designated lists to the immigration authorities and security agencies with a request to prevent the entry into or the transit through India. The order shall take place without prior notice to the designated individuals / entities.
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- 12.2 The immigration authorities shall ensure strict compliance of the order and also communicate the details of entry or transit through India of the designated individuals as prevented by them to the UAPA Nodal Officer in Foreigners Division of MHA.
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13. **Procedure for communication of compliance of action taken under [Section 51A](#)**
: The Central [designated] Nodal Officer for the UAPA and the Nodal Officer in the Foreigners Division, MHA shall furnish the details of funds, financial assets or economic resources or related services of designated individuals / entities frozen by an order, and details of the individuals whose entry into India or transit through India was prevented, respectively, to the Ministry of External Affairs for onward communication to the United Nations.

14. **Communication of the Order issued under [Section 51A](#) of Unlawful Activities (Prevention) Act, 1967** : The order issued under [Section 51A](#) of the Unlawful Activities (Prevention) Act, 1967 by the Central [designated] Nodal Officer for the UAPA relating to funds, financial assets or economic resources or related services, shall be communicated to all the UAPA nodal officers in the country, the Regulators of Financial Services, FIU-IND and DNFBPs, banks, depositories / stock exchanges, intermediaries regulated by SEBI, Registrars performing the work of registering immovable properties through the UAPA Nodal Officer of the State / UT.

15. All concerned are requested to ensure strict compliance of this order.

Sd/-
(Ashutosh Agnihotri)
Joint Secretary to the Government of India

Annex II

F.No.P - 12011/14/2022-ES Cell-DOR
Government of India
Ministry of Finance
Department of Revenue

[New Delhi, dated the 1st September, 2023.](#)

Order

To,

-
- 1) Governor, Reserve Bank of India, Mumbai
 - 2) Chairman, Securities & Exchange Board of India, Mumbai
 - 3) Chairman, Insurance Regulatory and Development Authority, Hyderabad.
 - 4) Foreign Secretary, Ministry of External Affairs, New Delhi.
 - 5) Finance Secretary, Ministry of Finance, New Delhi.
 - 6) Revenue Secretary, Department of Revenue, Ministry of Finance, New Delhi.
 - 7) Secretary, Ministry of Corporate Affairs, New Delhi
 - 8) Chairman, Central Board of Indirect Taxes & Customs, New Delhi.
 - 9) Director, Intelligence Bureau, New Delhi.
 - 10) Additional Secretary, Department of Financial Services, Ministry of Finance, New Delhi.
 - 11) Chief Secretaries of all States / Union Territories
 - 12) Principal Secretary (Home) / Secretary (Home) of all States / Union Territories
 - 13) Directors General of Police of all States & Union Territories
 - 14) Director General of Police, National Investigation Agency, New Delhi.
 - 15) Commissioner of Police, Delhi.
 - 16) Joint Secretary (Foreigners), Ministry of Home Affairs, New Delhi.
 - 17) Joint Secretary (Capital Markets), Department of Economic Affairs, Ministry of Finance, New Delhi.
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18) Joint Secretary (Revenue), Department of Revenue, Ministry of Finance, New Delhi.

19) Director (FIU-IND), New Delhi.

Copy for information to : -

1. Sr. PPS to HS

2. PS to SS (IS)

**Procedure for Implementation of
Section 12A of "The Weapons of Mass Destruction and
their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005"**

[Section 12A](#) of The Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 [hereinafter referred to as 'the Act'] reads as under : -

"12A. (1) No person shall finance any activity which is prohibited under this Act, or under the United Nations (Security Council) Act, 1947 or any other relevant Act for the time being in force, or by an order issued under any such Act, in relation to weapons of mass destruction and their delivery systems.

(2) For prevention of financing by any person of any activity which is prohibited under this Act, or under the United Nations (Security Council) Act, 1947 or any other relevant Act for the time being in force, or by an order issued under any such Act, in relation to weapons of mass destruction and their delivery systems, the Central Government shall have power to-

a) freeze, seize or attach funds or other financial assets or economic resources-

i. owned or controlled, wholly or jointly, directly or indirectly, by such person; or

ii. held by or on behalf of, or at the direction of, such person; or

iii. derived or generated from the funds or other assets owned or controlled, directly or indirectly, by such person;

prohibit any person from making funds, financial assets or economic resources or related services available for the benefit of persons related to any activity which is prohibited under this Act, or under the United Nations (Security Council) Act, 1947 or any other relevant Act for the time being in force, or by an order issued under any such Act, in relation to weapons of mass destruction and their delivery systems.

- (3) The Central Government may exercise its powers under this section through any authority who has been assigned the power under sub-section (1) of section 7
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II In order to ensure expeditious and effective implementation of the provisions of [Section 12A](#) of the Act, the procedure is outlined below.

1. **Appointment and communication details of Section 12A Nodal Officers :**

- 1.1 In exercise of the powers conferred under Section 7(1) of the Act, the Central Government assigns Director, FIU-India, Department of Revenue, Ministry of Finance, as the authority to exercise powers under [Section 12A](#) of the Act. The Director, FIU-India shall be hereby referred to as the Central Nodal Officer (CNO) for the purpose of this order. [Telephone Number : 011- 23314458, 011- 23314435, 011- 23314459 (FAX), email address : dir@fiuindia.gov.in].
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- 1.2 Regulator under this order shall have the same meaning as defined in [Rule 2\(fa\)](#) of Prevention of Money-Laundering (Maintenance of Records) Rules, 2005. Reporting Entity (RE) shall have the same meaning as defined in [Section 2\(1\)\(wa\)](#) of Prevention of Money-Laundering Act, 2002. DNFPBs is as defined in [section 2\(1\)\(sa\)](#) of Prevention of Money-Laundering Act, 2002.
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- 1.3 The Regulators, Ministry of Corporate Affairs and Foreigners Division of MHA shall notify a Nodal Officer for implementation of provisions of [Section 12A](#) of the Act. The Regulator may notify the Nodal Officer appointed for implementation of provisions of [Section 51A](#) of UAPA, also, as the Nodal Officer for implementation of [Section 12A](#) of the Act. All the States and UTs shall notify a State Nodal officer for implementation of [Section 12A](#) of the Act. A State / UT may notify the State Nodal Officer appointed for implementation of provisions of [Section 51A](#) of UAPA, also, as the Nodal Officer for implementation of [Section 12A](#) of the Act.
-
- 1.4 The CNO shall maintain an updated list of all Nodal Officers, and share the updated list with all Nodal Officers periodically. The CNO shall forward the updated list of all Nodal Officers to all REs.
-

2. **Communication of the lists of designated individuals / entities :**

2.1 The Ministry of External Affairs will electronically communicate, without delay, the changes made in the list of designated individuals and entities (hereinafter referred to as 'designated list') in line with [section 12A\(1\)](#) to the CNO and Nodal officers.

2.1.1 Further, the CNO shall maintain the Designated list on the portal of FIU-India. The list would be updated by the CNO, as and when it is updated, as per [para 2.1](#) above, without delay. It shall make available for all Nodal officers, the State Nodal Officers, and to the Registrars performing the work of registration of immovable properties, either directly or through State Nodal Officers, without delay.

2.1.2 The Ministry of External Affairs may also share other information relating to prohibition / prevention of financing of prohibited activity under [Section 12A](#) (after its initial assessment of the relevant factors in the case) with the CNO and other organisations concerned, for initiating verification and suitable action.

2.1.3 The Regulators shall make available the updated designated list, without delay, to their REs. The REs will maintain the designated list and update it, without delay, whenever changes are made as per [para 2.1](#) above.

2.2 The Nodal Officer for [Section 12A](#) in Foreigners Division of MHA shall forward the updated designated list to the immigration authorities and security agencies, without delay.

3. **Regarding funds, financial assets or economic resources or related services held in the form of bank accounts, stocks or insurance policies, etc.**

3.1 All Financial Institutions shall -

i. Verify if the particulars of the entities / individual, party to the financial transactions, match with the particulars of designated list and in case of match, REs shall not carry out such transaction and shall immediately inform the transaction details with full particulars of the funds, financial assets or economic resources involved to the CNO by email, FAX and by post, without delay.

ii. Run a check, on the given parameters, at the time of establishing a relation with a customer and on a periodic basis to verify whether individuals and entities in the designated list are holding any funds, financial assets or economic resources or related services, in the form of bank accounts, stocks, Insurance policies etc. In case, the particulars of any of their customers match with the particulars of designated list, REs shall immediately inform full particulars of the funds, financial assets or economic resources or related services held in the form of bank accounts, stocks or insurance policies etc., held on their books to the CNO by email, FAX and by post, without delay.

iii. The REs shall also send a copy of the communication, mentioned in [3.1\(i\)](#) and [\(ii\)](#) above, to State Nodal Officer, where the account / transaction is held, and to their Regulator, as the case may be, without delay.

iv. In case there are reasons to believe beyond doubt that funds or assets held by a customer would fall under the purview of [clause \(a\)](#) or (b) of sub-section (2) of Section 12A, REs shall prevent such individual / entity from conducting financial transactions, under intimation to the CNO by email, FAX and by post , without delay.

3.2 On receipt of the particulars, as referred to in [Paragraph 3.1](#) above, the CNO would cause a verification to be conducted by the State Police and / or the Central Agencies so as to ensure that the individuals / entities identified by the REs are the ones in designated list and the funds, financial assets or economic resources or related services, reported by REs are in respect of the designated individuals / entities. This verification would be completed expeditiously from the date of receipt of such particulars.

3.3 In case, the results of the verification indicate that the assets are owned by, or are held for the benefit of, the designated individuals / entities, an order to freeze these assets under [Section 12A](#) would be issued by the CNO without delay and be conveyed electronically to the concerned RE under intimation to respective Regulators. The CNO shall also forward a copy thereof to all the Principal Secretaries / Secretaries, Home Department of the States / UTs and All Nodal officers in the country, so that any individual or entity may be prohibited from making any funds, financial assets or economic resources or related services available for the benefit of the designated individuals / entities. The CNO shall also forward a copy of the order to all Directors General of Police / Commissioners of Police of all States / UTs for initiating suitable action.

3.4 The order shall be issued without prior notice to the designated individual / entity.

4. **Regarding financial assets or economic resources of the nature of immovable properties :**

4.1 The Registrars performing work of registration of immovable properties shall -

- i. Verify if the particulars of the entities / individual, party to the transactions, match with the particulars of the designated list, and, in case of match, shall not carry out such transaction and immediately inform the details with full particulars of the assets or economic resources involved to the State Nodal Officer, without delay.
 - ii. Verify from the records in their respective jurisdiction, without delay, on given parameters, if the details match with the details of the individuals and entities in the designated list. In case, the designated individuals / entities are holding financial assets or economic resources of the nature of immovable property, and if any match with the designated individuals / entities is found, the Registrar shall immediately inform the details with full particulars of the assets or economic resources involved to the State Nodal Officer, without delay.
 - iii. In case there are reasons to believe beyond doubt that assets that are held by an individual / entity would fall under the purview of [clause \(a\)](#) or (b) of subsection (2) of [Section 12A](#), Registrar shall prevent such individual / entity from conducting transactions, under intimation to the State Nodal Officer by email, FAX and by post , without delay.
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4.2 the State Nodal Officer would cause communication of the complete particulars of such individual / entity along with complete details of the financial assets or economic resources to the CNO without delay by email, FAX and by post.

4.3 The State Nodal Officer may cause such inquiry to be conducted by the State Police so as to ensure that the particulars sent are indeed of these designated individuals / entities. This verification shall be completed without delay and shall be conveyed, within 24 hours of the verification, if it matches, with the particulars of the designated individual / entity, to the CNO without delay by email, FAX and by post.

4.4 The CNO may also have the verification conducted by the Central Agencies. This verification would be completed expeditiously.

4.5 In case, the results of the verification indicate that the assets are owned by, or are held for the benefit of, the designated individuals / entities, an order to freeze these assets under [Section 12A](#) would be issued by the CNO without delay and be conveyed electronically to the concerned Registrar performing the work of registering immovable properties, and to FIU under intimation to the concerned State Nodal Officer. The CNO shall also forward a copy thereof to all the Principal Secretaries / Secretaries, Home Department of the States / UTs and All Nodal officers in the country, so that any individual or entity may be prohibited from making any funds, financial assets or economic resources or related services available for the benefit of the designated individuals / entities. The CNO shall also forward a copy of the order to all Directors General of Police / Commissioners of Police of all States / UTs for initiating suitable action.

4.6 The order shall be issued without prior notice to the designated individual / entity.

5. **Regarding the real-estate agents, dealers of precious metals / stones (DPMS), Registrar of Societies / Firms / non-profit organizations, The Ministry of Corporate Affairs and Designated Non-Financial Businesses and Professions (DNFBPs) :**

- (i) The dealers of precious metals / stones (DPMS) as notified under [PML \(Maintenance of Records\) Rules, 2005](#) and Real Estate Agents, as notified under [clause \(vi\)](#) of Section 2(1)(sa) of Prevention of Money-Laundering Act, 2002, are required to ensure that if any designated individual / entity approaches them for sale / purchase of precious metals / stones / Real Estate Assets or attempts to undertake such transactions, the dealer should not carry out such transaction and, without delay, inform the [Section 12A](#) Nodal officer in the Central Board of Indirect Taxes and Customs (CBIC). Also, If the dealers hold any assets or funds of the designated individual / entity, they shall freeze the same without delay and inform the [Section 12A](#) Nodal officer in the CBIC, who will, in turn, follow procedure similar to as laid down for State Nodal Officer in the [paragraphs 4.2 to 4.6](#).
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(ii) Registrar of Societies / Firms / non-profit organizations are required to ensure that if any designated individual / entity is a shareholder / member / partner / director / settler / trustee / beneficiary / beneficial owner of any society / partnership firm / trust / non-profit organization, then the Registrar shall freeze any transaction for such designated individual / entity and shall inform the State Nodal Officer, without delay, and, if such society / partnership firm / trust / non-profit organization holds funds or assets of designated individual / entity, follow the procedure as laid down for State Nodal Officer in the [paragraphs 4.2 to 4.6](#) above. The Registrar should also ensure that no societies / firms / non-profit organizations should be allowed to be registered if any of the designated individual / entity is a director / partner / office bearer / trustee / settler / beneficiary or beneficial owner of such juridical person and, in case, such request is received, then the Registrar shall inform the State Nodal Officer, without delay.

(iii) The State Nodal Officer shall also advise appropriate department of the State / UT, administering the operations relating to Casinos, to ensure that the designated individuals / entities should not be allowed to own or have beneficial ownership in any Casino operation. Further, if any designated individual / entity visits or participates in any game in the Casino or if any assets of such designated individual / entity are with the Casino operator, or if the particulars of any client match with the particulars of designated individuals / entities, the Casino owner shall inform the State Nodal Officer, without delay, and shall freeze any such transaction.

(iv) The Ministry of Corporate Affairs shall issue an appropriate order to the Institute of Chartered Accountants of India, Institute of Cost and Works Accountants of India and Institute of Company Secretaries of India (ICSI), requesting them to sensitize their respective members to the provisions of [Section 12A](#), so that, if any designated individual / entity approaches them, for entering / investing in the financial sector and / or immovable property, or they are holding or managing any assets / resources of designated individual / entities, then the member shall convey the complete details of such designated individual / entity to [Section 12A](#) Nodal Officer in the Ministry of Corporate Affairs, who shall in turn follow the similar procedure as laid down for State Nodal Officer in [paragraph 4.2 to 4.6](#) above.

(v) The members of these institutes should also be sensitized by the Institute of Chartered Accountants of India, Institute of Cost and Work Accountants of India and Institute of Company Secretaries of India (ICSI) that if they have arranged for or have been approached for incorporation / formation / registration of any company, limited liability firm, partnership firm, society, trust, association where any designated individual / entity is a director / shareholder / member of a company / society / association or partner in a firm or settler / trustee or beneficiary of a trust or a beneficial owner of a juridical person, then the member of the institute should not incorporate / form / register such juridical person and should convey the complete details of such designated individual / entity to [Section 12A](#) Nodal Officer in the Ministry of Corporate Affairs.

(vi) In addition, a member of the ICSI shall, if he / she is Company Secretary or is holding any managerial position where any of designated individual / entity is a Director and / or Shareholder or having beneficial ownership of any such juridical person, convey the complete details of such designated individual / entity to [Section 12A](#) Nodal Officer in the Ministry of Corporate Affairs, who shall follow the similar procedure as laid down in [paragraph 4.2 to 4.6](#) above for State Nodal Officer, if such company, limited liability firm, partnership firm, society, trust, or association holds funds or assets of the designated individual / entity.

(vii) In case any designated individual / entity is a shareholder / director / whole time director in any company registered with the Registrar of Companies (ROC) or beneficial owner of such company or partner in a Limited Liabilities Partnership Firm registered with ROC or beneficial owner of such firm, the ROC should convey the complete details of such designated individual / entity to [Section 12A](#) Nodal officer of Ministry of Corporate Affairs. If such company or LLP holds funds or assets of the designated individual / entity, he shall follow the similar procedure as laid down in [paragraph 4.2 to 4.6](#) above for State Nodal Officer. Further the ROCs are required to ensure that no company or limited liability Partnership firm shall be allowed to be registered if any of the designated individual / entity is the Director / Promoter / Partner or beneficial owner of such company or firm, and in case such a request is received, the ROC should inform the [Section 12A](#) Nodal Officer in the Ministry of Corporate Affairs.

(viii) All communications to Nodal officer as enunciated in [subclauses \(i\) to \(vii\)](#) above should, inter alia, include the details of funds and assets held and the details of transaction.

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- (ix) The Other DNFBPs are required to ensure that if any designated individual/entity approaches them for a transaction or relationship or attempts to undertake such transactions, the dealer should not carry out such transaction and, without delay, inform the [Section 12A](#) Central Nodal officer. The communication to the Central Nodal Officer would include the details of funds and assets held and the details of the transaction. Also, If the dealers hold any assets or funds of the designated individual / entity, they shall freeze the same without delay and inform the [Section 12A](#) Central Nodal officer.
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(DNFBPs shall have the same meaning as the definition in [Section 2\(1\)\(sa\)](#) of Prevention of Money-Laundering Act, 2002.)

- 5.1. All Natural and legal persons holding any funds or other assets of designated persons and entities, shall, without delay and without prior notice, freeze any transaction in relation to such funds or assets and shall immediately inform the State Nodal officer along with details of the funds / assets held, who in turn would follow the same procedure as in [para 4.2 to 4.6](#) above for State Nodal Officer. This obligation should extend to all funds or other assets that are owned or controlled by the designated person or entity, and not just those that can be tied to a particular act, plot or threat of proliferation; those funds or other assets that are wholly or jointly owned or controlled, directly or indirectly, by designated persons or entities; and the funds or other assets derived or generated from funds or other assets owned or controlled directly or indirectly by designated persons or entities, as well as funds or other assets of persons and entities acting on behalf of, or at the direction of designated persons or entities.
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- 5.2 No person shall finance any activity related to the 'designated list' referred to in [Para 2.1](#), except in cases where exemption has been granted as per [Para 6](#) of this Order.
-

- 5.3. Further, the State Nodal Officer shall cause to monitor the transactions / accounts of the designated individual / entity so as to prohibit any individual or entity from making any funds, financial assets or economic resources or related services available for the benefit of the individuals or entities in the designated list. The State Nodal Officer shall, upon becoming aware of any transactions and attempts by third party, without delay, bring the incidence to the notice of the CNO and the DGP / Commissioner of Police of the State / UT for initiating suitable action.
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- 5.4 Where the CNO has reasons to believe that any funds or assets are violative of [Section 12A\(1\)](#) or Section 12A(2)(b) of the Act, he shall, by order, freeze such funds or Assets, without any delay, and make such order available to authorities, Financial Institutions, DNFBPs and other entities concerned.
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- 5.5 The CNO shall also have the power to issue advisories and guidance to all persons, including FIs and DNFBPs obligated to carry out sanctions screening. The concerned Regulators shall take suitable action under their relevant laws, rules or regulations for each violation of sanction screening obligations under [section 12A](#) of the WMD Act.
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6. Regarding exemption, to be granted to the above orders

- 6.1. The above provisions shall not apply to funds and other financial assets or economic resources that have been determined by the CNO to be : -
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- (a) necessary for basic expenses, including payments for foodstuff, rent or mortgage, medicines and medical treatment, taxes, insurance premiums and public utility charges, or exclusively for payment of reasonable professional fees and reimbursement of incurred expenses associated with the provision of legal services or fees or service charges for routine holding or maintenance of frozen funds or other financial assets or economic resources, consequent to notification by the MEA authorizing access to such funds, assets or resources.
-

This shall be consequent to notification by the MEA to the UNSC or its Committee, of the intention to authorize access to such funds, assets or resources, and in the absence of a negative decision by the UNSC or its Committee within 5 working days of such notification.

- (b) necessary for extraordinary expenses, provided that such determination has been notified by the MEA to the UNSC or its Committee, and has been approved by the UNSC or its Committee;
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- 6.2. The accounts of the designated individuals / entities may be allowed to be credited with :
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- (a) interest or other earnings due on those accounts, or (b) payments due under contracts, agreements or obligations that arose prior to the date on which those accounts became subject to the provisions of [Section 12A](#) of the Act.
-

Provided that any such interest, other earnings and payments continue to be subject to those provisions under [para 3.3](#);

6.3 Any freezing action taken related to the designated list under this Order should not prevent a designated individual or entity from making any payment due under a contract entered into prior to the listing of such individual or entity, provided that :

(i) the CNO has determined that the contract is not related to any of the prohibited goods, services, technologies, or activities, under this Act, or under the United Nations (Security Council) Act, 1947 or any other relevant Act for the time being in force, or by an order issued under any such Act, in relation to weapons of mass destruction and their delivery systems;

(ii) the CNO has determined that the payment is not directly or indirectly received by an individual or entity in the designated list under this Order; and

(iii) the MEA has submitted prior notification to the UNSC or its Committee, of the intention to make or receive such payments or to authorise, where appropriate, the unfreezing of funds, other financial assets or economic resources for this purpose, ten working days prior to such authorization

7. Regarding procedure for unfreezing of funds, financial assets or economic resources or related services of individuals / entities inadvertently affected by the freezing mechanism upon verification that the individual or entity is not a designated person or no longer meet the criteria for designation :

7.1 Any individual / entity, if it has evidence to prove that the freezing of funds, financial assets or economic resources or related services, owned / held has been inadvertently frozen, an application may be moved giving the requisite evidence, in writing, to the relevant RE / Registrar of Immovable Properties / ROC / Regulators and the State.

7.2 The RE / Registrar of Immovable Properties / ROC / Regulator and the State Nodal Officer shall inform, and forward a copy of the application, together with full details of the asset frozen, as given by applicant to the CNO by email, FAX and by Post, within two working days. Also, listed persons and entities may petition a request for delisting at the Focal Point Mechanism established under UNSC Resolution.

7.3 The CNO shall cause such verification, as may be required on the basis of the evidence furnished by the individual / entity, and, if satisfied, it shall pass an order, without delay, unfreezing the funds, financial assets or economic resources or related services, owned / held by such applicant, under intimation to all RE / Registrar of Immovable Properties / ROC / Regulators and the State Nodal Officer. However, if it is not possible, for any reason, to pass an Order unfreezing the assets within 5 working days, the CNO shall inform the applicant expeditiously.

7.4 The CNO shall, based on de-listing of individual and entity under UN Security Council Resolutions, shall pass an order, if not required to be designated in any other order, without delay, unfreezing the funds, financial assets or economic resources or related services, owned / held by such applicant, under intimation to all RE / Registrar of Immovable Properties / ROC / Regulators and the State Nodal Officer.

8. **Procedure for communication of compliance of action taken under [Section 12A](#)** : The CNO and the Nodal Officer in the Foreigners Division, MHA shall furnish the details of funds, financial assets or economic resources or related services of designated individuals / entities, frozen by an order, and details of the individuals whose entry into India or transit through India was prevented, respectively, to the Ministry of External Affairs, for onward communication to the United Nations.

9. **Communication of the Order issued under [Section 12A](#)** : The Order issued under [Section 12A](#) of the Act by the CNO relating to funds, financial assets or economic resources or related services, shall be communicated to all nodal officers in the country.

10. This order is issued in suppression of F.No.P-12011/14/2022-ES Cell-DOR, dated 30th January 2023.

11. All concerned are requested to ensure strict compliance of this order.

Sd/-
(Manoj Kumar Singh)
Director (HQ)

@1 Actual Act name should be Reserve Bank of India Act, 1934 instead of Reserve Bank of India Act, 1935

@2 Actual Point No. should be 3.3, 3.4, 3.5 3.6 instead of 3.4, 3.5, 3.6, 3.7

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 kmtnew.rbi.org.in/GetDocument.aspx

Please refer to our Master Circular [DOR.MRG.REC.50/21.04.141/2021-22](#) dated September 20, 2021 on the captioned subject. The [enclosed](#) Master Circular consolidates and updates all the instructions / guidelines on the subject issued as on date.

1. Restrictions on Holding Shares in Other Co-operative Societies

1.1 [Section 19](#) of the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies) (BR Act, 1949 (AACS)) stipulates that no co-operative bank shall hold shares in any other co-operative society except to such extent and subject to such conditions as the Reserve Bank of India (Reserve Bank) may specify in that behalf. However, nothing contained in the section applies to -

1.1.1 shares acquired through funds provided by the State Government for that purpose;

1.1.2 in the case of a central co-operative bank, the holding of shares in the state co-operative bank to which it is affiliated; and

1.1.3 in the case of a primary (urban) co-operative bank (UCB), holding of shares in the central co-operative bank to which it is affiliated or in the state co-operative bank of the state in which it is registered.

1.2 In pursuance of the powers conferred by [Section 19](#) read with Section 56 of the said Act, the Reserve Bank has specified that the extent and conditions subject to which co-operative banks may hold shares in any other co-operative society shall be as follows :

1.2.2 The investment of a bank in the shares of any one co-operative institution coming under [paragraph 1.2.1](#) above shall not exceed 5 per cent of the subscribed capital of that institution.

Note : When more than one co-operative bank contributes to the shares in a co-operative society falling under [paragraph 1.2.1](#), the limit of 5 per cent of the subscribed capital indicated above shall apply not in respect of the investment of each of the banks but in respect of the investment of all the banks taken together. In other words, the total investment of all the co-operative banks should be limited to 5 per cent of the subscribed capital of the enterprise concerned.

A co-operative bank should offer to make its contribution to the shares of a co-operative society coming under [paragraph 1.2.1](#) above only if the bye-laws of the recipient society provide for the retirement of share capital contributed by it.

1.2.3 The retirement of the share capital contributed by a bank to the shares of any society coming under [paragraph 1.2.1](#) above should be completed in 10 equal annual installments commencing from the co-operative year immediately following the year in which the concern commences business or production.

1.2.4 A co-operative bank should not, except with the permission of the Reserve Bank, contribute to the share capital of a society coming under category referred to in [paragraph 1.2.1](#) above, if it is situated outside its area of operation.

1.2.5 The above restrictions will not apply to holdings by co-operative banks of shares in non-profit making co-operative societies such as those formed for the protection of mutual interests, (e.g., co-operative banks' association) or for the promotion of co-operative education etc., (e.g., state co-operative union), or housing co-operatives for the purpose of acquiring premises on ownership basis, etc.

3.1 Keeping in view the various regulatory / statutory guidelines and the bank's own internal requirements, UCBs should lay down, with the approval of their Board of Directors, the broad Investment Policy and objectives to be achieved while undertaking investment transactions. The Investment Policy should be reviewed each year. The Board / Committee / Top Management should actively oversee investment transactions. Banks should not undertake any transactions on behalf of Portfolio Management Scheme (PMS) clients in their fiduciary capacity, and on behalf of other clients, either as custodians of their investments or purely as their agents.

3.2 The bank's Investment Policy should clearly indicate the authority to put through investment deals, the procedure to be followed for obtaining sanction of the appropriate authority for putting through deals, fixing various prudential exposure limits, and reporting system.

3.3 The Investment Policy of the bank should include guidelines on the quantity (ceiling) and quality of each type of security to be held on its own investment account. It should be prepared strictly observing the instructions issued by the Registrar of Co-operative Societies (Central Registrar of Co-operative Societies, where applicable) and the Reserve Bank from time to time and clearly spell out the internal control mechanism, accounting standards, audit, review and reporting system to be evolved.

3.4 All the transactions should be clearly recorded indicating full details. The Top Management should undertake a periodic review of investment transactions in a critical manner and put up details of large transactions to the Board, for information.

3.5 A copy of the internal Investment Policy guidelines framed by the bank with the approval of its Board should be forwarded to the concerned Regional Office of Department of Supervision, Reserve Bank, certifying that the policy is in accordance with the prescribed guidelines and the same has been put in place. Subsequent changes, if any, in the Investment Policy should also be advised to the Regional Office of the Reserve Bank.

3.6 For investment in non-SLR instruments, banks should review their Investment Policy and ensure that it provides for the nature and extent of investments intended to be made, the risk parameters, and cut-loss limits for holding / divesting the investments. The banks should put in place proper risk management systems for capturing and analyzing the risk in respect of non-SLR investments and taking remedial measures in time. Banks should also be guided by instructions given in [paragraph 12](#) of this Master Circular.

4.1 UCBs should not undertake any purchase / sale transactions with broking firms or other intermediaries on principal-to-principal basis.

4.2 Banks should not hold an oversold position in any security except for those banks which are eligible to undertake short sale position in Government securities as prescribed in [paragraph 10](#) of this Master Circular. However, scheduled UCBs may sell a Government Security already contracted for purchase, provided :

4.2.2 the purchase contract is guaranteed by Clearing Corporation of India Ltd. (CCIL) or the security is contracted for purchase from the Reserve Bank and,

4.2.3 the sale transaction will settle either in the same settlement cycle as the preceding purchase contract, or in a subsequent settlement cycle so that the delivery obligation under the sale contract is met by the securities acquired under the purchase contract (e.g. when a security is purchased on T+0 basis, it can be sold on either T+0 or T+1 basis on the day of the purchase; if however it is purchased on T+1 basis, it can be sold on T+1 basis on the day of purchase or on T+0 or T+1 basis on the next day). Sale of Government Securities allotted to successful bidders in primary issues on the day of allotment, with and between CSDL constituent account holders is permitted.

4.3 For purchase of securities from the Reserve Bank through Open Market Operations (OMO), no sale transactions should be contracted prior to receiving the confirmation of the deal / advice of allotment from the Reserve Bank.

4.4 Banks should exercise abundant caution to ensure adherence to these guidelines. The concurrent auditors should specifically verify the compliance with these instructions. The concurrent audit reports should contain specific observations on the compliance with the above instructions and should be incorporated in the monthly report to the Chairman / Managing Director / Chief Executive Officer of the bank and the half yearly review to be placed before the Board of Directors. CCIL will make available to all market participants as part of its daily reports, the time stamp of all transactions as received from NDS-OM. The mid office / back office and the auditors may use this information to supplement their checks / scrutiny of transactions for compliance with the instructions. Any violation noticed in this regard should immediately be reported to the concerned Regional Office of Department of Supervision, Reserve Bank of India. Any violation noticed in this regard would attract penalties as currently applicable to the bouncing of SGL even if the deal has been settled because of the netting benefit under DVP III, besides attracting further regulatory action as deemed necessary.

4.5 Banks successful in the auction of primary issue of Government Securities, may enter into contracts for sale of the allotted securities in accordance with the terms and conditions as indicated below :

4.5.1 The contract for sale can be entered into only once by the allottee bank, on the basis of an authenticated allotment advice issued by Reserve Bank. The selling bank should make suitable noting / stamping on the allotment advice indicating the sale contract number etc., the details of which should be intimated to the buying entity. Any sale of securities should be only on a T+0 or T+1 settlement basis.

- 4.5.2 The contract for sale of allotted securities can be entered into by banks only with entities maintaining SGL Account with Reserve Bank for delivery and settlement on the next working day through the DVP system.
- 4.5.3 The face value of securities sold should not exceed the face value of securities indicated in the allotment advice.
- 4.5.4 The sale deal should be entered into directly without the involvement of broker/s.
- 4.5.5 Separate record of such sale deals should be maintained containing details such as number and date of allotment advice, description and the face value of securities allotted, the purchase consideration, the number, date of delivery and face value of securities sold, sale consideration, the date and details of actual delivery etc. This record should be made available to Reserve Bank for verification. Banks should immediately report any cases of failure to maintain such records.
- 4.5.6 Such type of sale transactions of Government Securities allotted in the auctions for primary issues on the same day and based on authenticated allotment advice should be subjected to concurrent audit and the relative audit report should be placed before the Board of Directors of the bank once every month. A copy thereof should also be sent to the concerned Regional Office of Department of Supervision, RBI.
- 4.5.7 Banks will be solely responsible for any failure of the contracts due to the securities not being credited to their SGL account on account of non-payment etc.
- 4.6 While undertaking OTC transactions in Government securities, banks should seek a scheduled commercial bank, a Primary Dealer (PD), a financial institution, another UCB, insurance company, mutual fund or provident fund, as a counterparty for their transactions. Preference should be given to direct deals with such counter parties. It will be desirable to check prices from other banks or PDs with whom the UCB may be maintaining Gilt account. The prices of all trades done in Government Securities, including those traded through NDS-OM, are also available at Reserve Bank's website (www.rbi.org.in).
- 4.7 Scheduled UCBs may undertake retailing of Government Securities with non-bank clients, such as provident funds, non-banking financial companies, high net worth individuals etc. subject to the following conditions :
- 4.7.1 Banks may freely buy and sell Government Securities on an outright basis at the prevailing market prices without any restriction on the period between sale and purchase.
- 4.7.2 Retailing of Government Securities should be on the basis of ongoing market rates / yield curve emerging out of secondary market transactions.
- 4.7.3 Immediately on sale, the corresponding amount should be deducted by the bank from its investment accounts and also from its SLR assets.
- 4.7.4 These transactions should be looked into by the concurrent / statutory auditors of the bank.

4.7.5 Banks should put in place adequate internal control checks / mechanisms as advised by the Reserve Bank from time to time.

4.8 Banks may take advantage of the non-competitive bidding facility in the auction of Government of India dated securities, provided by the Reserve Bank. Under this scheme, banks may bid upto 2 crore (face value) in any auction of Government of India dated securities, either directly, through a bank or through a PD. For availing this facility, no bidding skill is required, as allotment upto 2 crore (face value) is made at the weighted average cut-off rate which emerges in the auction. UCBs may also participate directly or through a bank or a PD in the competitive and non-competitive auctions of State Development Loans (SDLs) conducted by the Reserve Bank.

Participation in non-competitive auction of SDLs will be as per guidelines prescribed in the Scheme of Non-Competitive Bidding in the Auction of SDLs issued vide circular [IDMD.No.954/08.03.001/2009-10](#) dated August 24, 2009, as amended from time to time. An advertisement in leading newspapers is issued 4-5 days in advance of the date of auction. Half yearly auction calendar of Government of India securities is also issued by the Reserve Bank.

4.9 Gilt Accounts, if opened, should be used for holding the securities and such accounts should be maintained in the same bank with whom the cash account is maintained.

4.10 In case Gilt account is opened with any of the eligible non-banking institutions, the particulars of the designated funds account (with a bank) should be intimated to that institution.

4.11 All transactions must be monitored to see that delivery takes place on settlement day. The fund account and investment account should be reconciled on the same day before close of business.

4.12 Officials deciding about purchase and sale transactions should be separated from those responsible for settlement and accounting.

4.13 All investment transactions should be perused by the Board at least once a month.

4.14 When the bank has been specifically permitted to tender physical SGL transfer forms, it should keep a proper record of the SGL forms received / issued to facilitate counter-checking by their internal control systems / Inspecting Officers of Reserve Bank / other auditors.

4.15 All purchase / sale transactions in Government Securities by the banks should necessarily be through SGL / CSGL account (with Reserve Bank) or Gilt account (with a scheduled commercial bank / State co-operative bank / PD / SHCIL) or in a dematerialised account with depositories (NSDL / CDSL).

4.16 No transactions in Government Securities by a UCB should be undertaken in physical form with any broker.

4.17 The entities maintaining the CSGL / designated funds accounts are required to ensure availability of clear funds in the designated funds accounts for purchases and of sufficient securities in the CSGL account for sale transactions.

4.18 The security dealings of banks generally being for large values, it may be necessary to ensure, before concluding the deal, the ability of the counterparty to fulfill the contract, particularly where the counterparty is not a bank.

4.19 While buying securities for SLR purpose, the bank should ensure that the security it intends to purchase has an SLR status. The SLR status of securities issued by the Government of India and the State Governments will be indicated in the Press Release issued by the Reserve Bank at the time of issuance of the securities. An updated and current list of the SLR securities will be posted on the Reserve Bank's website (<https://dbie.rbi.org.in>) under the link "Database on Indian Economy-Statistics-Financial Market-Government Securities Market."

4.20 In order to avoid concentration of risk, the banks should have a fairly diversified investment portfolio. Smaller investment portfolios should preferably be restricted to securities with high safety and liquidity such as Government Securities.

4.21 UCBs may seek the guidance of Primary Dealers' Association of India (PDAI) / Fixed Income and Money Market Dealers' Association (FIMMDA) on investment in Government Securities.

4.22 All licensed UCBs fulfilling the eligibility criteria contained in circular [IDMD.DOD.No.13/10.25.66/2011-12](#) dated November 18, 2011 as amended from time to time, are allowed direct access to Negotiated Dealing System - Order Matching platform. The eligibility criteria are as under :

- (a) Current account with RBI or a funds account with one of the Designated Settlement Banks (DSBs) chosen by Clearing Corporation of India Limited (CCIL) for funds settlement.
- (b) Subsidiary General Ledger (SGL) Account with RBI.
- (c) Membership of Negotiated Dealing System (NDS).
- (d) Indian Financial Network (INFINET) connectivity.
- (e) Membership of CCIL.
- (f) Minimum Capital to Risk Weighted Assets Ratio (CRAR) of 9 per cent.
- (g) Net Non-Performing Assets (NPA) of less than 5 per cent.
- (h) Minimum net worth of 25 crore.

4.23 All eligible UCBs desirous of obtaining NDS-OM membership are required to apply to concerned Regional Office of the Department of Supervision, RBI, for regulatory clearance before applying to Financial Markets Regulation Department (FMRD), RBI for NDS-OM membership.

4.24 Eligible UCBs applying for NDS-OM membership need to have the required infrastructure in place for direct access to NDS-OM and also bear the cost involved in setting up the infrastructure. After opening a SGL account with the RBI (which is one of the several

requirements to be fulfilled by a UCB for obtaining NDS-OM membership), the UCB concerned cannot open / maintain a gilt account with a CSGIL account holder. However, such UCBs can continue to bid for Government securities under the scheme of non-competitive bidding in Government securities.

5.1.1 Transfers through SGL accounts by UCBs having SGL facility can be made only if they maintain a regular current account with the Reserve Bank. All transactions in Government Securities for which SGL facility is available, should be put through SGL accounts only.

5.1.2 Banks should report / conclude their transactions on NDS / NDS-OM and clear / settle them through CCIL as central counterparty. In such cases where exceptions have been specifically permitted to tender physical SGL transfer forms, the guidelines regarding SGL transfer forms should also be followed.

5.1.3 Before issue of SGL transfer forms covering the sale transactions, banks should ensure that they have sufficient balance in the respective SGL accounts. Under no circumstances, an SGL transfer form issued by a bank in favour of another bank should bounce for want of sufficient balance in the SGL account. The purchasing bank should issue the cheques (or make payment by any other eligible mode) only after receipt of the SGL transfer forms from the selling bank.

5.1.4 In the event of bouncing of SGL transfer forms and the failure of the account holder concerned to offer satisfactory explanation for such bouncing, the UCB shall be liable to pay penalties as under:

i. Graded monetary penalties subject to a maximum penalty of 5 lakhs per instance :

Sl. No	Applicable to	Monetary penalty	Illustration [Penal amount on 5 crore default]
1	First three defaults in a financial year (April to March)	0.10 per cent (10 paise per 100 FV)	50,000/-
2	Next three defaults in the same financial year	0.25 per cent (25 paise per 100 FV)	1,25,000/-
3	Next three defaults in the same financial year	0.50 per cent (50 paise per 100 FV)	2,50,000/-

ii. On the tenth default in a financial year, the bank will be debarred from using the SGL A/c for undertaking short sales in Government securities even to the extent permissible under circular [IDMD.No/11.01.01\(B\)/2006-07](#) dated January 31, 2007 as amended from time to time,

during the remaining portion of the financial year. In the next financial year, upon being satisfied that the UCB in question has made improvements in its internal control systems, RBI may grant specific approval for undertaking short sales by using the SGL A/c facility.

iii. The monetary penalty may be paid by the UCB concerned by way of a cheque or through electronic mode for the amount favouring the Reserve Bank of India, within five working days of receipt of intimation of order imposing penalty from RBI.

5.1.5 For the purpose of instructions given in [paragraph 5.1.3](#), 'SGL bouncing' shall mean failure of settlement of a Government securities transaction on account of insufficiency of funds in the current account of the buyer or insufficiency of securities in the SGL / CSGL account of the seller, maintained with the Reserve Bank of India.

5.1.6 The defaulting UCB shall make appropriate disclosure, on the number of instances of default as well as the quantum of penalty paid to the Reserve Bank during the financial year, under the "Notes to Account" in its balance sheet.

5.1.7 Notwithstanding anything contained in [paragraphs 5.1.3](#) to [5.1.5](#), the Reserve Bank reserves the right to take any action including temporary or permanent debarment of the SGL account holder, in accordance with the powers conferred under the [Government Securities Act, 2006](#) as it may deem fit, for violation of the terms and conditions of the opening and maintenance of SGL / CSGL accounts or breach of the operational guidelines issued from time to time.

5.1.8 In addition to the above, as NDS Members, UCBs should strictly abide by all other provisions of the NDS (Membership) Regulations, 2002 as amended from time to time.

5.1.9 Value Free Transfer (VFT) of the government securities, i.e. transfer of securities from one SGL / CSGL to another SGL / CSGL account, without corresponding payment leg in the books of RBI, shall be in terms of instructions issued by Internal Debt Management Department vide circular [IDMD.CDD.No.S930/11.22.003/2021-22](#) dated October 5, 2021.

5.2.1 The SGL transfer forms should be in the standard format prescribed by the Reserve Bank and printed on semi-security paper of uniform size. These should be serially numbered and there should be a control system in place to account for each SGL form.

5.2.2 SGL transfer forms should be signed by two authorised officials of the bank whose signatures should be recorded with the respective PDO of Reserve Bank and other banks.

5.2.3 The SGL transfer form received by the purchasing bank should be deposited in its SGL account immediately. No sale should be affected by way of return of SGL transfer form held by the bank.

5.2.4 Any bouncing of SGL transfer forms issued by selling bank in favour of the buying bank should immediately be brought to the notice of the Reserve Bank by the buying bank.

5.3.1 Record of SGL transfer forms issued / received should be maintained. Balances as per the bank's books in respect of SGL accounts should be reconciled with the balances in the books of PDOs. The PDO concerned will forward a monthly statement of balances of SGL / CSGSL account to all account holders. UCBs having SGL / CSGSL accounts with PDOs may use these statements for the purpose of monthly reconciliation of their SGL / CSGSL balances as per their books and the position in this regard should be placed before the Audit Committee of the Board. This reconciliation should also be periodically checked by the internal audit department. A system for verification of the authenticity of the SGL transfer forms received from other banks and confirmation of authorised signatories should be put in place.

5.3.2 Banks should also forward a quarterly certificate to the PDO concerned, indicating that the balances held in the SGL accounts with the PDO have been reconciled and that it has been placed before the Audit Committee of the Board. A copy thereof should be sent to the concerned Regional Office concerned of the Department of Supervision, RBI.

5.3.3 Banks should put in place a system to report to the Top Management on a monthly basis the details of transactions in securities, details of SGL bouncing and review of investment transactions undertaken during the period.

5.3.4 All promissory notes, debentures, shares, bonds, etc., held in physical form, should be properly recorded and held under joint custody. A separate register may be maintained to record the particulars of securities taken out / re-lodged. These should be subjected to periodical verification, say once in a quarter or half-year, by persons unconnected with their custody.

5.3.5 Certificates should be obtained at quarterly / half-yearly intervals in respect of securities lodged with other institutions. Similarly, it is necessary to reconcile the SGL Account balance with the PDO at monthly intervals.

5.3.6 The internal inspectors and concurrent auditors should peruse the transactions to ensure that the deals have been undertaken in the best interest of the bank. The Vigilance Cell should also make surprise sample checks of large transactions.

5.3.7 The concurrent auditors should certify that investments held by the bank, as on the last reporting Friday of each quarter and as reported to Reserve Bank, are actually owned / held by it. Such a certificate should be submitted to the concerned Regional Office of Department of Supervision RBI, within 30 days from the end of the relative quarter.

6.1.1 The inter-bank securities transactions should be undertaken directly between banks and no bank should engage the services of any broker in such transactions. Banks may, however, undertake securities transactions among themselves or with non-bank clients through members of National Stock Exchange (NSE) / BSE wherein the transactions are transparent. In case any transactions in securities are not undertaken on NSE / BSE, the same should be undertaken by the banks directly without the use of brokers.

6.1.2 Purchase of permissible shares and PSU bonds in the secondary market (other than inter-bank transactions) should be only through recognised stock exchanges and registered stock- brokers.

6.1.3 The SBI DFHI has been permitted to operate as a broker in the inter- bank participation market. This would enable the banks to seek intermediation of SBI DFHI for borrowing / lending, if required. However, the banks shall be free to settle transaction in the inter-bank participations market directly, if so desired.

6.1.4 If a deal is put through with the help of a broker, the role of the broker should be restricted to that of bringing the two parties to the deal together. Under no circumstances banks should give power of attorney or any other authorisation to the brokers / intermediaries to deal on their behalf in the money and securities markets.

6.1.5 Disclosure of counter party should be insisted upon on conclusion of the deal put through brokers.

6.1.6 Contract confirmation from the counter party should be insisted upon.

6.1.7 The brokers should not be involved in the settlement process at all i.e., both the fund settlement and delivery of security should be done with the counterparty directly.

6.2.1 The bank should prepare a panel of brokers with the approval of their Board of Directors.

6.2.2 Brokers should be empaneled after verifying their credentials e.g. :

(b) Membership of BSE / NSE for debt market.

(c) Market turnover in the preceding year as certified by the Exchange/s.

(d) Market reputation etc.

6.2.3 The bank should check websites of SEBI / respective exchanges, to ensure that the broker has not been put in the banned list.

6.3.1 A disproportionate part of the business should not be transacted through only one or a few brokers. Banks should fix aggregate contract limits for each of the approved brokers and ensure that these limits are not exceeded. A record of broker-wise details of deals put through and brokerage paid should be maintained.

6.3.2 A limit of 5 per cent of total transactions (both purchases and sales) entered into by the banks during a year should be treated as the aggregate upper contract limit for each of the approved brokers.

6.3.3 This limit should cover both the business initiated by the bank and the business offered / brought to the bank by a broker.

6.3.4 It should be ensured that the transactions entered through individual brokers during a year normally do not exceed the prescribed limit. However, if it becomes necessary to exceed the aggregate limit for any broker, the specific reasons, therefore, should be recorded in writing by the authority empowered to put through the deals. In such cases, post- facto approval of the Board may be obtained after explaining the circumstances under which the limit was exceeded.

Note : Clarifications on certain issues raised by the banks in this regard are furnished in [Annex I](#).

7 Settlement of Government Securities Transactions - Through Clearing Corporation of India Ltd. (CCIL)

7.1 All Government Securities transactions (both Outright and Repo) are being settled through CCIL only.

7.2 UCBs, which are not a member of NDS-CCIL system, should undertake their transactions in Government Securities through gilt account / demat account maintained with a NDS member.

7.3 All outright secondary market transactions in Government Securities will be settled on T+1 basis. However, in case of repo transactions in Government Securities, the market participants will have the choice of settling the first leg on either T+0 basis or T+1 basis as per their requirement.

8.1 The facility of trading of Government Securities on the stock exchanges, in the dematerialized mode only, is available to banks in addition to the present NDS-OM of the Reserve Bank, which will continue to remain in place.

8.2 The UCBs have the option to undertake transactions in dated Government of India securities in dematerialised form on automated order driven system of NSE and BSE in addition to the existing mode of dealing through SGL / CSGL accounts with Reserve Bank or gilt accounts with the designated entities such as Scheduled Commercial Bank / PD / State Co-operative Bank etc.

8.3 As the trading facility on the above stock exchanges will operate parallel to the present system of trading in Government Securities, the trades concluded on the exchanges will be cleared by their respective clearing corporations / Clearing Houses. However, trading members of the stock exchanges shall not be involved in the settlement process for any regulated entity of Reserve Bank. All stock exchange trades of banks have to be settled either directly with CCIL / Clearing House (in case they are clearing members) or else through a clearing member custodian.

8.4 With a view to facilitating participation on the stock exchanges within the regulations prescribed by Reserve Bank, SEBI and the exchanges, banks are being extended the following facilities:

8.4.1 Opening demat accounts with a bank depository participant (DP) of NSDL / CDSL or with SHCIL in addition to their SGL / CSGL accounts with Reserve Bank / authorised entities.

8.4.2 Value free transfer of securities between SGL / CSGl and demat accounts is being enabled at PDO, Mumbai, subject to operational guidelines issued separately by Internal Debt Management Department to all SGL / CSGl account holders.

8.5 The balances in Government Securities maintained by the banks in the depositories will be included for SLR purpose. Any shortfall in maintenance of CRR / SLR resulting from settlement failure (on either the NDS-CCIL market or the stock exchanges) will attract the usual penalties.

8.6 The Boards of UCBs may take a conscious decision in regard to using the stock exchange platform for making investments in Government Securities in addition to the existing NDS-CCIL market and the direct bidding facility. As regulations of SEBI will also apply insofar as trading of Government Securities is concerned, the Board should frame and implement a suitable policy to ensure that operations are conducted in accordance with the norms laid down by Reserve Bank / SEBI and the respective stock exchange. Prior to commencing operations, the dealing officials should also familiarize themselves with the basic operating procedures of the stock exchanges.

8.7.1 Banks should put in place appropriate internal control systems catering to stock exchange trading and settlement before commencing operations on the exchanges. The back-office arrangement should be such that trading on the NDS-OM / OTC market and on the stock exchanges can be tracked easily for settlement, reconciliation and management reporting. Banks should, therefore, install enabling IT infrastructure and adequate risk management systems.

8.7.2 Only SEBI registered brokers who are authorized by the permitted exchanges (NSE / BSE) to undertake transactions in Government Securities can be used for placing buy / sell orders. A valid contract note indicating the time of execution must be obtained from the broker at end of day.

8.7.3 The dealing officials should independently check prices in the market or on the stock exchange screens before placing their orders with the brokers. The decision-making processes cannot be delegated to brokers by the banks.

8.7.4 The transactions done through any broker will be subjected to the current guidelines on transactions done through brokers.

8.7.5 Brokers / trading members shall not be involved in the settlement process; all trades have to be settled through clearing member custodians. Hence, it will be necessary for UCBs to enter into a bilateral clearing agreement with such service providers beforehand.

8.7.6 All transactions must be monitored with a view to ensuring timely receipt of funds and securities. Any delay or failure should be promptly taken up with the exchange / authorities concerned.

8.7.7 At the time of trade, securities must be available with the banks either in their SGL or in the demat account with depositories.

8.7.8 Any settlement failure on account of non-delivery of securities / non-availability of clear funds will be treated as SGL bouncing and the current penalties in respect of SGL bouncing will be applicable. The stock exchanges will report such failures to the respective PDOs.

8.7.9 For the limited purpose of dealing through the screen-based trading system of the stock exchanges the condition that a UCB should seek a scheduled commercial bank, a PD, a financial institution, another UCB, insurance company, mutual fund or provident fund as a counterparty, while undertaking transactions in Government Securities, will not apply.

8.7.10 Banks should report on weekly basis to their Audit Committee of the Board, giving the details of trades on aggregate basis done on the stock exchanges and details of any 'closed-out' transactions on the exchanges.

8.7.11 The banks should take all necessary precautions and strictly adhere to all instructions / guidelines issued by the Reserve Bank relating to transactions in Government Securities as hitherto.

9.1 UCBs may execute repo transactions subject to adherence to instructions given in Repurchase Transactions (Repo) (Reserve Bank) Directions, 2018 issued vide circular [FMRD.DIRD.01/14.03.038/2018-19](#) dated July 24, 2018.

9.2 However, only Scheduled UCBs with strong financials and sound risk management practices are eligible to undertake repo transactions in corporate debt securities. Accordingly, scheduled UCBs, fulfilling the following conditions only would be permitted to undertake such transactions.

(a) CRAR of 10 per cent or more and gross NPA of less than 5 per cent and continuous record of profits during the previous three years.

(b) Sound risk management practices and mandatory concurrent audit of the Investment portfolio.

9.3 Further, the Repo transactions in corporate bonds shall be undertaken only with scheduled commercial banks / PDs and not with other market participants. UCBs which are lenders of funds in a repo transaction may provide for Counter-party credit risk corresponding to the risk weight for such exposure as applicable to the loan / investment exposure. UCBs may also ensure that securities acquired under repo along with other non-SLR investment already in the Balance Sheet should be within the stipulated ceiling of non-SLR investment (i.e., 10 per cent of a bank's total deposits as on March 31 of the previous year). The funds borrowed under repo should be within the limit prescribed for call money borrowing (i.e., 2 per cent of the previous year's deposits).

9.4 UCBs can undertake repo transactions only in Government securities held in excess of the prescribed SLR requirements.

9.5 Repos shall be accounted as per guidelines contained in [Annex III](#) of this Master Circular.

10. Short Selling in Government Securities

10.1 Well managed UCBs, who are members of NDS-OM and have regular concurrent audit of their treasury operations, are permitted to undertake intra-day short selling of Government Securities. Accordingly, Urban Co-operative Banks, fulfilling the following conditions are required to seek permission from the Regional Offices concerned to undertake such transactions.

- a. NDS-OM Membership.
- b. Net Worth of 25 crore, CRAR of 9 per cent or more and net NPA of not more than 3 per cent.
- c. Sound risk management practices and mandatory concurrent audit of their Treasury Operations.

10.2 UCBs are advised to adhere to the instructions / directions as prescribed in Short Sale (Reserve Bank) Directions, 2018 issued vide [FMRD.DIRD.05/14.03.007/2018-19](#) dated July 25, 2018.

11. 'When Issued' Transactions In Government Securities

11.1 UCBs shall adhere to the When Issued Transactions (Reserve Bank) Directions, 2018 issued [FMRD.DIRD.03/14.03.007/2018-19](#) dated July 24, 2018 for undertaking "When Issued" (WI) transactions.

11.2 The accounting treatment of transactions undertaken in WI securities would be as follows :

- (a) The 'WI' security should be recorded in books as an off- balance sheet item till issue of the security.
- (b) The off- balance sheet net position in 'WI' market should be marked to market scrip-wise on a daily basis at the day's closing price of the 'WI' security. In case the price of the 'WI' security is not available, the value of the underlying security be used instead. Depreciation, if any, should be provided for and appreciation, if any, should be ignored.
- (c) The off-balance sheet (net) position in 'WI' securities, scrip-wise, would attract a risk weight of 2.5 per cent.
- (d) On delivery, the underlying security may be classified in any of the three categories, viz; 'Held to Maturity', 'Available for Sale' or 'Held for Trading', depending upon the intent of holding, at the contracted price.

11.3 It is clarified that the securities bought in the 'WI' market would be eligible for SLR purposes, only on delivery.

12. Non - SLR Investments

12.1 In order to contain risks arising out of the non-SLR investment portfolio of banks, the banks should adhere to the following guidelines :

- (a) "A" or equivalent and higher rated Commercial Papers (CPs), debentures and bonds.
- (b) Units of Debt Mutual Funds and Money Market Mutual Funds.
- (c) Equity Shares of Market Infrastructure Companies (MICs).

(a) The Non-SLR investments shall be limited to 10 per cent of a bank's total deposits as on March 31 of the previous year.

1. UCBs investing in equity shares of Market Infrastructure Companies (MICs), if it becomes necessary to do so for acquiring membership of MICs are allowed to exceed the limit for Investments in Non- SLR / unlisted securities prescribed in [paragraph 12.1.2 \(a\)](#) and [12.1.2 \(b\)](#) above. The MICs eligible for investments by UCBs are Clearing Corporation of India Ltd., National Payments Corporation of India, and Society for World Wide Inter-Bank Financial Tele-Communication (SWIFT). The list of eligible MICs will be updated from time to time by the Reserve Bank of India.

2. Investment by UCBs in the equity shares of the UO, for acquiring its membership, shall be exempt from the limits for investments in Non- SLR / unlisted securities prescribed in [paragraph 12.1.2 \(a\)](#) and [12.1.2 \(b\)](#) above.

(a) Investment in perpetual debt instruments is not permitted.

(b) In terms of [UBD.\(PCB\).BPD.Cir.No.14/16.20.000/2007-08](#) dated September 18, 2007, where banks have already exceeded the limit for investment in unlisted securities, no further investment in such securities will be permitted. Since there is a time lag between issuance and listing of securities, which are proposed to be listed but not listed at the time of subscription, banks may not be able to participate in primary issues of non-SLR securities. In view of this, investments in non-SLR debt securities (both primary and secondary market) by banks where the security is proposed to be listed in the Exchange(s) may be considered as investment in listed security at the time of making investment. However, if such security is not listed within the period specified, the same will be reckoned for the 10 per cent limit specified for unlisted non-SLR securities. In case such investments included under unlisted non-SLR securities lead to a breach of 10 per cent limit, the bank would not be allowed to make further investments in non-SLR securities (both primary and secondary market) till such time its investment in unlisted securities comes within the limit of 10 per cent.

(c) Investment in deep discount / zero coupon bonds should be subject to the minimum rating as stated above and comparable market yields for the residual duration. However, banks are not permitted to invest in Zero Coupon Bonds from February 18, 2011 as advised vide circular No. [UCB\(PCB\)BPD.Cir.No.36/16.20.000/2010-11](#) dated February 18, 2011 unless the issuer builds up a sinking fund for all accrued interest and keeps it invested in liquid investments / securities (Government bonds).

(d) Investment in units of Mutual Funds, other than units of Debt Mutual Funds and Money Market Mutual Funds, are not permitted. The existing holding in units of Mutual Funds other than Debt Mutual Funds and Money Market Mutual Funds, including those in UTI should be

disinvested. Till such time that they are held in the books of the bank, they will be reckoned as Non-SLR investments for the purpose of the limit at 13.1.1 above. The banks should, however, review their existing risk management policy to ensure that they do not have disproportionate exposure in any one scheme of a Mutual Fund.

(e) Non-SLR investment, other than in units of Debt Mutual Funds and Money Market Mutual Funds, and CPs, shall be in instruments with an original maturity of over one year.

(f) Investments in shares of All India Financial Institutions (AIFIs) are not permitted. In terms of [UBD.\(PCB\).BPD.Cir.No.14/16.20.000/2007-08](#) dated September 18, 2007, the existing shareholding in these institutions may be phased out and till such time they are held in the books of the bank, they will be reckoned as non-SLR investments for the purpose of the limit at [12.1.2 \(a\)](#) above.

(g) All fresh investments under non-SLR category should be classified under Held for Trading (HFT) / Available for Sale (AFS) categories only and marked to market as applicable to these categories of investments. However, investments in the long-term bonds issued by companies engaged in executing infrastructure projects and having a minimum residual maturity of seven years may be classified under Held to Maturity (HTM) category

(h) All non-SLR investments will be subject to the prescribed prudential single / group counter party exposure limits.

(i) All transactions for acquisition / sale of non-SLR investments in secondary market may be undertaken with mutual funds, pension / provident funds and insurance companies, in addition to undertaking transactions with commercial banks and primary dealers, subject to adherence to the instructions contained in [Para 7](#) of RBI Master Direction FMRD.DIRD.2/14.01.002/2017-18 dated August 10, 2017.

Note : For the definitions of certain items such as rated security, investment grade rating, etc., please see [Annex II](#).

The Board should review the following aspects of non-SLR investment at least at half-yearly intervals :

(a) Total business (investment and divestment) during the reporting period.

(b) Compliance with prudential limits prescribed for non-SLR investment.

(c) Compliance with the prudential guidelines issued by Reserve Bank on Non-SLR securities.

(d) Rating migration of the issuers / issues held in the bank's books and consequent diminution in the portfolio quality.

(e) Extent of non-performing investments in the non-SLR category and sufficient provision thereof.

The banks shall disclose the details of the issuer-wise composition of non-SLR investments and the non-performing investments, as indicated in [Annexure III](#) - C.3(d) of Master Direction on Financial Statements - Presentation and Disclosures dated August 30, 2021.

12.2 Security Receipts (SR) / Pass Through Certificates (PTCs) / other securities received through Asset Reconstruction Companies (ARC)

(i) Investment by UCBs in SRs / PTCs / other securities issued by ARCs as consideration towards transfer of stressed loans to the ARCs will be classified as non-SLR investment in the books of UCBs. Accordingly, the valuation, classification and other norms applicable to investment in non-SLR instruments prescribed by RBI from time to time shall be applicable to UCBs' investment in SRs / PTCs / other securities issued by ARCs.

(ii) UCBs are allowed to hold these investments, over and above the limit of 10 per cent of its deposits as on 31 March of the previous year, for non-SLR securities. UCBs are not permitted to make any direct investment in the SRs / PTCs / other securities issued by ARCs.

The total amount of deposits placed by an UCB with other banks (inter-bank) for all purposes including call money / notice money, and deposits, if any, placed for availing clearing facility, CSGF facility, currency chest facility, remittance facility and non-fund based facilities like Bank Guarantee, Letter of Credit, etc. shall not exceed 20 per cent of its total deposit liabilities as on March 31 of the previous year. The balances held in deposit accounts with commercial banks (including scheduled Small Finance Banks), scheduled UCBs, State Cooperative Banks, District Central Cooperative Banks and investments in Certificate of Deposits issued by commercial banks, being interbank exposures, will be included in this 20 per cent limit.

In cases where the smaller non-scheduled UCBs are keeping current account / minimum required balance for clearing purpose with relatively larger non-scheduled bank for sub-member clearing arrangements, it is possible that the financial position of the non-scheduled UCB with whom such deposits are kept, could take a hit due to unexpected downturn in its business and which could have an effect on the financial position for the depositing bank and its business. Non-scheduled UCBs, which have exposures to other non-scheduled UCBs on account of clearing arrangements may, therefore, review their exposures to such banks periodically based on their published balance sheet and Profit and Loss Account statements.

Within the prudential inter-bank (gross) exposure limit, deposits with any single bank should not exceed 5 per cent of the depositing bank's total deposit liabilities as on March 31 of the previous year.

12.3.3 Scheduled UCBs may accept deposits from other scheduled UCBs, if it is part of an arrangement for providing specific services to the latter bank such as acting as the sponsor bank for clearing purposes, DD arrangement, CSGF facility, currency chest facility, foreign exchange transactions, remittance facility and non-fund based facilities like bank guarantee (BG), letter of credit (LC), etc. However, the acceptance of deposits by scheduled UCBs from other scheduled UCBs in the nature of placement of deposits for investment purposes is not permitted

12.3.4 Only Scheduled UCBs fulfilling the criteria provided in circular [DCBR.BPD.\(PCB\).Cir.No.8/16.20.000/2015-16](#) dated November 19, 2015 are permitted to accept deposits from scheduled / non-scheduled UCBs. Those scheduled UCBs which fail to meet the criteria shall phase out the deposits as provided in circular *ibid*. The total inter-UCB deposits accepted by a scheduled UCB satisfying the criteria should not exceed 10 per cent of its total deposit liabilities as on 31st March of the previous financial year.

12.3.5 The interbank exposures arising from deposits placed by UCBs with a UCB under All-inclusive Directions (AID) shall be fully provided within five years at the rate of 20 per cent annually in terms of circular [DOR.\(PCB\).BPD.Cir.No.11/16.20.000/2019-20](#) dated April 20, 2020. Further, wherever UCBs are facing difficulty in withdrawal of deposits from a weak State Cooperative Bank / District Central Cooperative Bank, they shall make provision to the extent of 10 per cent per annum on their exposure to such State Cooperative Banks / District Central Cooperative Banks. The interest receivable on such deposits shall not be recognised as income by the UCBs.

12.3.6 Keeping in view the prescribed prudential limits, UCBs may formulate a policy taking into account their funds position, liquidity and other needs for placement of deposits with other banks, the cost of funds, expected rate of return and interest margin on such deposits, the counter party risk, etc., and place it before their Board of Directors. The Board should review the position at least at half yearly intervals.

13. Internal Control and Investment Accounting

13.1.1 For every transaction entered into, a deal slip should be prepared which should contain details relating to name of the counterparty, whether it is direct deal or through a broker, and if through a broker, details of security, amount, price, contract date and time. For each deal, there must be a system of issue of confirmation to the counterparty.

13.1.2 The Deal Slips should be serially numbered and controlled separately to ensure that each deal slip has been properly accounted for.

13.1.3 On the basis of vouchers passed after verification of actual contract notes received from the broker / counterparty and confirmation of the deal by the counterparty the Accounts Section should independently write the books of accounts.

13.1.4 A record of broker-wise details of deals put through and brokerage paid should be maintained.

13.1.5 The Internal Audit Department should audit the transactions in securities on an ongoing basis and monitor compliance with the laid down management policies and prescribed procedures and report the deficiencies directly to the management of the bank.

In order to bring about uniform accounting practice among banks in booking of income on units of mutual funds (debt mutual funds and money market mutual fund) and equity of AIFs, as a prudent practice, such income should be booked on cash basis and not on accrual basis.

However, in respect of income from Government Securities / bonds of public sector undertakings and AIFIs, where interest rates on the instruments are predetermined, income may be booked on accrual basis, provided interest is serviced regularly and is not in arrears.

13.2.2.1 With a view to bringing about uniformity in the accounting treatment of broken period interest on Government Securities paid at the time of acquisition, the banks should not capitalise the broken period interest paid to seller as part of cost but treat it as an item of expenditure under Profit & Loss Account.

13.2.2.2 It is to be noted that the above accounting treatment does not take into account taxation implications and hence the bank should comply with the requirements of income tax authorities in the manner prescribed by them.

13.2.2.3 Accounting Procedure for investments in Government Securities - Settlement Date Accounting

With a view to bringing in uniformity in the practice adopted by banks while accounting for investments in Government Securities, it has been decided that banks should follow "Settlement Date" accounting for recording both outright and repos / reverse repo transactions in Government Securities.

14. Recommendations of Ghosh Committee

The following recommendations made by the Ghosh Committee should be implemented by the banks to prevent frauds and malpractices :

14.1.1 In view of the possibility of abuse, treasury functions viz. investments, funds management including inter-bank borrowings, bills rediscounting, etc. should be subjected to concurrent audit and the results of audit should be placed before the Chairman and Managing Director of the bank at prescribed intervals.

14.1.2 It is the primary responsibility of the banks to ensure that there are adequate audit procedures for ensuring proper compliance of the instructions in regard to the conduct of investment portfolio.

(i) Ensure that in respect of purchase and sale of securities the concerned department has acted within its delegated powers.

(ii) Ensure that the securities other than those in SGL and in demat form, as shown in the books, are physically held.

(iii) Ensure that the Accounting Unit is complying with the guidelines regarding SGL forms, delivery of scrips, documentation and accounting.

(iv) Ensure that the sale or purchase transactions are done at rates beneficial to the bank.

(v) Scrutinise conformity with broker limits and include excesses observed in their periodical reports.

14.1.4 Banks should formulate internal control guidelines for acquisition of permissible shares, debentures and PSU bonds in the secondary market duly approved by their Boards.

Purchase and sale of Government Securities etc. should be separately subjected to audit by internal auditors. In the absence of internal auditors, audit may be conducted by Chartered Accountants. The results of their audit should be placed before the Board of Directors once in every quarter.

Banks should undertake a half-yearly review (as of March 31 and September 30) of their investment portfolio, which should, apart from other operational aspects of investment portfolio, clearly indicate and certify adherence to the laid down internal Investment Policy and procedures and Reserve Bank's guidelines and put up the same before the Board within a month. Such review reports should be forwarded to Regional Office of Department of Supervision (erstwhile Urban Banks Department) by May 15 / November 15 respectively.

Banks should scrupulously follow the above instructions. Any violation of these instructions will invite penal action against defaulting banks which could include raising of reserve requirements, withdrawal of refinance from the Reserve Bank, denial of access to money markets, denial of new branches / extension counters and advising the President of Clearing House to take appropriate action including suspension of membership of the Clearing House.

15. Categorisation of Investments

15.1 UCBs are required to classify their entire investment portfolio (including SLR and Non-SLR securities) under three categories, viz. :

Banks should decide the category of the investment at the time of acquisition and the decision should be recorded on the investment proposals. Investments in non-SLR securities, since September 18, 2007, should be classified under HFT / AFS categories only and marked to market as applicable to these categories of investments. However, investments in the long-term bonds issued by companies engaged in executing infrastructure projects and having a minimum residual maturity of seven years may be classified under HTM category.

15.2.1 Securities acquired by the banks with the intention to hold them up to maturity will be classified under HTM category.

15.2.2 The investments included under HTM category should not exceed 25 per cent of the bank's total investments. However, banks are permitted to exceed the limit of 25 per cent of their total investments under HTM category provided,

(b) the total SLR securities held in the HTM category is not more than 25 per cent of their NDTL as on the last Friday of the second preceding fortnight.

15.2.3 UCBs are not expected to resort to sale of securities held in HTM category. However, if due to liquidity stress, UCBs are required to sell securities from HTM portfolio, they may do so with the permission of their Board of Directors and rationale for such sale may be clearly recorded. Profit on sale of investments from HTM category shall first be taken to the Profit and

Loss account and, thereafter, the amount of such profit shall be appropriated to 'Capital Reserve' from the net profit for the year after statutory appropriations. Loss on sale shall be recognized in the Profit and Loss account in the year of sale.

15.3.1 Securities acquired by the banks with the intention to trade by taking advantage of the short-term price / interest rate movements will be classified under HFT category.

15.3.2 If banks are not able to sell the security within 90 days due to exceptional circumstances such as tight liquidity conditions, or extreme volatility, or market becoming unidirectional, the security should be shifted to the AFS category, subject to conditions stipulated in [paragraphs 15.5.3](#) and [15.5.4](#) below.

15.4.1 Securities which do not fall within the above two categories will be classified under AFS category.

15.4.2 Banks have the freedom to decide on the extent of holdings under AFS category. This may be decided by them considering various aspects such as basis of intent, trading strategies, risk management capabilities, tax planning, manpower skills, capital position, etc.

(Profit or loss on sale of investments in HFT and AFS categories should be taken to the Profit and Loss Account).

15.5.1 Banks may shift investments to / from HTM category with the approval of the Board of Directors once in a year. Such shifting will normally be allowed at the beginning of the accounting year. No further shifting to / from this category will be allowed during the remaining part of that accounting year.

15.5.2 Banks may shift investments from AFS category to HFT category with the approval of their Board of Directors. In case of exigencies, such shifting may be done with the approval of the Chief Executive of the Bank, but should be ratified by the Board of Directors.

15.5.3 Shifting of investments from HFT category to AFS category is generally not allowed. However, it will be permitted only under exceptional circumstances such as mentioned in [paragraph 15.3.2](#) above, subject to depreciation, if any, applicable on the date of transfer, with the approval of the Board of Directors / Investment Committee.

15.5.4 Transfer of scrips from one category to another, under all circumstances, should be done at the acquisition cost / book value / market value on the date of transfer, whichever is the least, and the depreciation, if any, on such transfer should be fully provided for.

For the purpose of Balance Sheet, the investments should continue to be classified in the following categories :

16. Valuation of Investments

16.1.1 Investments classified under HTM category need not be marked to market and will be carried at acquisition cost unless it is more than the face value, in which case the premium should be amortised over the period remaining to maturity.

16.1.2 The individual scrip in the AFS category will be marked to market at the year-end or at more frequent intervals. The book value of the individual securities would not undergo any change after the revaluation.

16.1.3 The individual scrip in the HFT category will be marked to market at monthly or at more frequent intervals. The book value of individual securities in this category would not undergo any change after marking to market.s

Note : Securities under AFS and HFT categories shall be valued scrip-wise and depreciation / appreciation shall be aggregated for each classification as indicated at [paragraph 15.6](#) above separately for AFS and HFT. Net depreciation, if any, shall be provided for. Net appreciation, if any, should be ignored. Net depreciation required to be provided for in any one classification should not be reduced on account of net appreciation in any other classification. Similarly, net depreciation for any classification in one category should not be reduced from appreciation in similar classification in another category.

16.1.4 (i) Investment Depreciation Reserve (IDR) required to be created on account of depreciation in the value of investments held under 'AFS' or 'HFT' categories in any year should be debited to the Profit & Loss Account and an equivalent amount (net of tax benefit, if any, and net of consequent reduction in the transfer to Statutory Reserve) or the balance available in the Investment Fluctuation Reserve (IFR) Account, whichever is less, shall be transferred from the IFR Account to Profit & Loss Account.

(ii) In the event that IDR created on account of depreciation in investments is found to be in excess of the required amount in any year, the excess should be credited to the Profit & Loss Account and an equivalent amount (net of taxes, if any, and net of transfer to Statutory Reserves as applicable to such excess provision) should be appropriated to the IFR Account to be utilised to meet future depreciation requirement for investments.

(iii) The amounts debited to the Profit & Loss Account for depreciation provision and the amount credited to the Profit & Loss Account for reversal of excess provision should be debited and credited respectively under the head "Expenditure - Provisions & Contingencies".

(iv) The amounts appropriated from the Profit & Loss Account / to IFR and the amount transferred from the IFR to the Profit & Loss Account should be shown as 'below the line' items after determining the profit for the year.

16.1.5 In respect of securities included in any of the three categories where interest / principal is in arrears, the banks should not reckon income on the securities and should also make appropriate provisions for the depreciation in the value of the investment. The banks should not set-off the depreciation requirement in respect of these non-performing securities against the appreciation in respect of other performing securities.

The 'market value' for the purpose of periodical valuation of investments included in the AFS and the HFT categories would be the market price of the scrip as available from the trades / quotes on the stock exchanges, SGL account transactions, and prices declared by Financial Benchmarks India Pvt. Limited (FBIL) / FIMMDA.

In respect of unquoted securities, the procedure as detailed below should be adopted.

(a) The Reserve Bank will not announce the YTM rates for unquoted Government securities, for the purpose of valuation of investments by banks. The banks shall value the unquoted Central Government securities on the basis of the prices / YTM rates put out by the Financial Benchmark India Pvt. Ltd. (FBIL) at periodical intervals.

(b) It is clarified that the reckoning of number of years for the purpose of deciding upon appropriate 'Yield To Maturity' (YTM) Rate be done by rounding off the fractional period of a year to the nearest completed year.

(c) As regards valuation of other unquoted securities including PSU bonds, banks should uniformly follow YTM method for arriving at valuation of unquoted securities.

(ii) Treasury Bills should be valued at carrying cost.

State Government securities shall be valued on the basis of the prices / YTM rates put out by FBIL periodically.

Other approved securities will be valued applying the YTM method by marking it up by 25 basis points above the yields of the Central Government Securities of equivalent maturity put out by FBIL periodically.

All debentures / bonds other than debentures / bonds which are in the nature of advance should be valued on the YTM basis. Such debentures / bonds may be of different ratings. These will be valued with appropriate mark-up over the YTM rates for Central Government securities as put out by FBIL / FIMMDA periodically. The mark-up will be graded according to the ratings assigned to the debentures / bonds by the rating agencies subject to the following :

(a) The rate used for the YTM for rated debentures / bonds should be at least 50 basis points above the rate applicable to a Government of India security of equivalent maturity,

(b) The rate used for the YTM for un-rated debentures / bonds should not be less than the rate applicable to rated debentures / bonds of equivalent maturity. The mark-up for the un-rated debentures / bonds should appropriately reflect the credit risk borne by the bank.

(c) Where interest / principal on the debenture / bonds is in arrears, the provision should be made for the debentures as in the case of debentures / bonds treated as advances. The depreciation / provision requirement towards debentures where the interest is in arrears or principal is not paid as per due date, shall not be allowed to be set-off against appreciation against other debentures / bonds.

(ii) Where the debentures / bond is quoted and there have been transactions within 15 days prior to the valuation date, the value adopted should not be higher than the rate at which the transaction is recorded on the stock exchange.

If UCBs have regularly received dividends from co-operative institutions, then their shares should be valued at face value. In a number of cases, the co-operative institutions in whose shares the UCBs have made investments have either gone into liquidation or have not declared dividend at all. In such cases, the banks should make full provision in respect of their investments in shares of such co-operative institutions. In cases where the financial position of co-operative institutions in whose shares banks have made investments is not available, the shares have to be taken at Re. 1/- per co-operative institution.

(a) Over the years, the Government of India has, from time to time, issued several special securities which do not qualify for the purpose of complying with the SLR requirements of UCBs. Such Government securities are governed by a separate set of terms and conditions and entail a higher degree of illiquidity spread.

(b) For the limited purpose of valuation, all special securities issued by the Government of India, directly to the beneficiary entities, which do not carry SLR status, may be valued at a spread of 25 bps above the corresponding yield on Government of India securities.

(c) It may be noted, that at present, such special securities comprise: Oil Bonds, Fertiliser Bonds, bonds issued to the State Bank of India (during the rights issue), Unit Trust of India, Industrial Finance Corporation of India Ltd., Food Corporation of India, the erstwhile Industrial Investment Bank of India Ltd., the erstwhile Industrial Development Bank of India and the erstwhile Shipping Development Finance Corporation.

UCBs are advised to refer to [Paragraph 76-79](#) of the Reserve Bank of India (Transfer of Loan Exposures) Directions, 2021 dated September 24, 2021, in this regard.

Investments in quoted debt / money market Mutual Fund Units should be valued as per stock exchange quotations. Investments in un-quoted Mutual Funds Units are to be valued on the basis of the latest re-purchase price declared by the Mutual Funds in respect of each particular Scheme. In case of funds with a lock-in period, or where repurchase price / market quote is not available, units could be valued at Net Asset Value (NAV). If NAV is not available, then these could be valued at cost, till the end of the lock-in period.

17. Investment Fluctuation Reserve (IFR)

17.1 All UCBs shall build IFR out of realised gains on sale of investments, and subject to available net profit, of a minimum of 5 per cent of the investment portfolio. This minimum requirement should be computed with reference to investments in two categories, viz. HFT and AFS. However, banks are free to build up a higher percentage of IFR up to 10 per cent of the portfolio depending on the size and composition of their portfolio, with the approval of their Board of Directors.

17.2 Banks should transfer maximum amount of the gains realised on sale of investment in securities to the IFR. Transfer to IFR shall be as an appropriation of net profit after appropriation to Statutory Reserve.

17.3 The IFR consisting of realised gains from the sale of investments held in AFS & HFT would be eligible for inclusion in Tier II capital.

17.4 Transfer from IFR to the Profit and Loss Account to meet depreciation requirement on investments would be a 'below the line' extraordinary item.

17.5 Banks should ensure that the unrealised gains on valuation of the investment portfolio are not taken to the Income Account or to the IFR.

17.6 Banks may utilise the amount held in IFR to meet, in future, the depreciation requirement on investment in securities.

17.7 A bank may, at its discretion, draw down the balance available in IFR in excess of 5 per cent of its investment in AFS & HFT for credit to the balance of profit / loss as disclosed in the profit and loss account at the end of any accounting year. In the event the balance in the IFR is less than 5 per cent of its investment in AFS & HFT, a draw down will be permitted subject to the following conditions :

(a) The drawn down amount is used only for meeting the minimum Tier I capital requirements by way of appropriation to free reserves or reducing the balance of loss, and

b) The amount drawn down is not more than the extent to which the MTM provisions made during the aforesaid year exceed the net profit on sale of investments during that year.

It may be noted that IFR is created out of appropriation of net profit from the realised gains from the sale of investments held in AFS & HFT, and forms part of the reserves of the bank qualifying under Tier II capital.

IDR is a provision created by charging diminution in investment value to Profit and Loss Account. While the amount held in IFR should be shown in the balance sheet as such, the amount held in IDR should be reported as Contingent provisions against depreciation in investment.

Master Circular on Inspection & Audit Systems in Primary (Urban) Co-operative Banks

Master Circular on Inspection & Audit Systems in Primary (Urban) Co-op. Banks

Master Circular on Inspection & Audit Systems in Primary (Urban) Co-op. Banks

1. Introduction

1.1 It has been observed that quite often the internal inspection machinery in banks has failed to highlight and pinpoint the existence of gross and serious irregularities such as improper credit appraisal, disbursement without observing the terms of sanction, failure to exercise proper post-disbursement supervision, even suppression of information relating to unauthorised excess drawals allowed, kite flying in bills and cheques, etc. or bring to light frauds. The internal inspection reports rarely make any adverse comments on the failure of officials of Controlling / Head Offices. The failure of the internal inspection machinery is mainly attributable to the incompetence of the internal inspection personnel the casual manner in which the work is carried out and lack of follow up of the inspection. Personnel who cannot otherwise be deployed in other sensitive / critical areas more often staff the inspection / audit department.

2. Ghosh Committee recommendations on internal inspection and audit

The Reserve Bank of India had constituted a [High Level Committee](#), under the chairmanship of Shri A. Ghosh, the then Deputy Governor of RBI, to enquire into the various aspects relating to frauds and malpractices in banks. The Committee made a number of recommendations and suggested precautions to be taken to avoid incidence of frauds and malpractices in the banks. Reserve Bank of India had examined these recommendations and some of the recommendations relevant to the primary (urban) co-operative banks recommended for adoption by them are indicated below :

Banks should introduce a sound system of internal audit. With a view to strengthening the credibility of the inspection system in detecting cases of frauds / malpractices, steps need to be taken to gear up the inspection / audit machinery and to improve the quality of officers of the inspection department. The head of the inspection department at the Head Office should be a sufficiently senior person and should report directly to the Chairman. If the bank has Regional Offices, there should be an audit machinery under an official of sufficient seniority as the Regional Office Chief to conduct the periodic audit of branches under its jurisdiction. The officers posted to this department should have sufficient experience and exposure and the

department should be headed by an official of sufficient seniority and proven integrity. In order to attract competent staff to the department, minimum, continuous experience of three years in Inspection Department should be made as a prerequisite for promotion to senior level.

The periodicity of the internal audit of the branches should be at least once in every 12 months, which should be really of surprise character.

2.3.1 The coverage of such inspections should also be made more comprehensive, inter alia, to include a thorough examination of the internal control system obtaining at the branches including the various periodical control returns submitted to the controlling offices. The internal inspection report should specifically comment, on the position of irregularities pointed out in the inspection report of Reserve Bank of India. The inspection / audit officials should also critically analyse and make in-depth study of the corruption / fraud prone areas such as appraisal of credit proposals, balancing of books, reconciliation of inter-branch accounts, settlement of clearing transactions, suspense accounts, premises and stationery accounts during the course of inspections leaving no scope for any malpractices / irregularities remaining undetected.

2.3.2 The internal inspector should scrutinise the suspense account during inspection / visit and give specific instructions for early reversal of entries.

2.3.3 The banks should ensure that the system evolved for recording the details of off-balance sheet transactions are properly followed by all branches. These records should be periodically balanced and internal inspectors should verify the same and offer critical comments.

2.3.4 Proper inventory of dead stock articles, stationery should be maintained and subjected to surprise check at periodical intervals by the officials of the branch as also internal inspectors.

Internal auditors should bring out non-compliance with the prudential norms relating to income recognition, asset classification and provisioning for taking suitable action in the matter.

The internal inspectors should verify all the cheque purchased / discounted beyond the sanctioned limit. They should be asked to conduct a sample checking of transactions.

The annual internal inspection may be supplemented by surprise short inspections, revenue audit, credit portfolio audit etc. in large sized banks. Surprise short inspection may be carried out by officials at appropriate higher levels to ensure that branch officials are not indulging in malafide practices.

The reasons of leakage of income unearthed during such audit should be examined in-depth and action taken against the officials responsible for the lapses.

2.6.1 A system of exclusive scrutiny of credit portfolio with focus on larger advances and group exposures at regular intervals may be introduced in large sized UCBs. A special scrutiny of high value accounts shifted to the bank along with executives / officials including General Managers / Chief Executive Officer / Managing Directors transferred from other banks should

be done. Similarly the accounts transferred from other branches along with the officials should be subjected to thorough scrutiny during the internal inspection. The summary of the important findings may be submitted to the Committee of the Board.

3. Other Areas of Importance

Primary (urban) co-operative banks are required to include the following measures in respect of investment portfolio audit :

3.1.1 The reconciliation of the balances of SGL transfer forms as per bank's books should be periodically checked by the internal audit department.

3.1.2 In view of the possibility of abuse, purchase and sale of government securities etc. should be separately subjected to audit by internal auditors (and in the absence of internal auditors by Chartered Accountants out of the panel maintained by the Registrar of Co-operative Societies) and the results of their audit should be placed before the Board of Directors once every quarter.

* Adherence to the aggregate upper contract limit for each of the approved brokers is within a limit of 5% of total transactions (both purchase and sales) entered into by the bank during a year.

* that disproportionate part of the business is not transacted through only one or a few brokers and that aggregate contract limits for each of the approved brokers are not exceeded. The limit should cover both the business initiated by the bank and the business offered / brought to the bank by broker. The business put through any individual broker or brokers in excess of the limit of 5% of total transactions entered into by the bank during the year with the reasons therefor, should be covered in the half-yearly review to the Board of Directors; and

* The deals have been undertaken in the best interest of the bank.

4. Concurrent Audit System

4.1 [Ghosh Committee](#) had recommended introduction of concurrent audit at large and exceptionally large branches of banks to serve as administrative support to branches, help in adherence to prescribed systems and procedures and prevention and timely detection of lapses / irregularities. Concurrent Audit which was introduced in all scheduled and other primary (urban) co-operative banks with deposits over Rs.50 crore was extended to all UCBs based on the recommendations of the Joint Parliamentary Committee (JPC), which enquired into stock market scam and matters relating thereto.

4.2 The concurrent audit system is to be regarded as part of a bank's early-warning system to ensure timely detection of irregularities and lapses, which helps in preventing fraudulent transactions at branches. It is, therefore, necessary for the bank's management to bestow serious attention to the implementation of various aspects of the system such as selection of branches, coverage of business operations, appointment of auditors, appropriate reporting procedures, follow-up / rectification processes and utilisation of the feed-back from the system for appropriate and quick management decisions.

4.3 The Board should once in a year review the effectiveness of the system and take necessary measures to correct the lacunae in the system,

4.4 It is basically for the individual banks' managements to decide the details of the concurrent audit system. However, a note indicating the broad features of concurrent audit system is given in [Annex 1](#) for the guidance of the banks. The note broadly defines the concept and scope of concurrent audit, such as converge of business / branches, types of activities to be covered during the audit reporting system. The note also details the broad suggestions in respect of various aspects of concurrent audit.

4.5 It is expected that the suggestions in the note would ensure some uniformity in the systems to be introduced by different banks. While framing a concurrent audit system, the banks may clearly spell out the linkages between different forms of internal inspections and audits already in existence and the proposed concurrent audit.

4.6 The concurrent auditors shall certify that the investments held by the bank as on the last reporting Friday of each quarter as reported to the Reserve Bank of India are actually owned / held by it as evidenced by physical securities or the custodians statement. The certificate should be submitted to the Regional Office of the Reserve Bank of India, having jurisdiction over the bank, within thirty days from the end of the relative quarter.

4.7 The concurrent auditors should specifically verify compliance to the instructions contained in our circular [UBD.BPD.SUB No.5/09.80.00/2003-04](#) dated 28 April 2004 regarding transactions in Govt. Securities.

4.8 Serious irregularities brought out in the concurrent audit report should be immediately reported to the Regional Office concerned of this department.

4.9 Chartered Accountants / audit firms associated with the bank for internal / concurrent audit assignments should not undertake statutory audit assignment during the same period. The firms associated with internal / concurrent audit should relinquish the internal / concurrent audit before accepting the statutory audit assignment during the year.

5. Audit for Electronic Data Processing System

5.1 Primary (urban) co-operative banks which have partially / fully computerised their operations should introduce EDP audit system on perpetual basis. The EDP audit cell should be constituted as part of their Inspection and Audit Department in banks having an independent Inspection and Audit Department and other primary (urban) co-operative banks, which do not have an independent Inspection & Audit Department, should create a dedicated group of persons, who can perform functions of an EDP Auditor. Entire domain of EDP activities (from policy to implementation) should be brought under scrutiny of Inspection and Audit Department. The overall control and supervision of these EDP Audit Cells should be vested in the Audit Committees. Financial outlay as well as activities to be performed by EDP department should be reviewed by senior management at periodical intervals.

Primary (Urban) Co-operative Banks may comply with following guidelines while carrying out EDP Audit.

5.2 A team of competent and motivated EDP personnel may be developed in order to take care of a possible exodus of key personnel. EDP auditors' technical knowledge should be augmented on a continuing basis through deputation to seminars / conferences, supply of technical periodicals and books etc.

5.3 Duties of system programmer / designer should not be assigned to persons operating the system. System person would only make modifications / improvements to programs and the operating persons would only use such programs without having the right to make any modifications. In order to bring about uniformity of software used by various branches / offices there should be a formal method of incorporating change in standard software and it should be approved by senior management. Inspection and Audit Department should verify such changes from the view-point of control and for its implementation in other branches in order to maintain uniformity.

5.4 Major factors which lead to security violations in computers include inadequate or incomplete system design, programming errors, weak or inadequate logical access controls, absent or poorly designed procedural controls, ineffective employee supervision and management controls. These may be plugged by :

- * introducing standards for quality assurance and periodically testing and checking them; and
- * screening employees prior to induction into EDP application areas and keeping a watch on their behavioral pattern.
- * putting in place appropriate control measures to protect the computer system from attacks of unscrupulous elements.

5.5 Replacement of manual procedures by computer applications should be done after a parallel run of the system and ensuring that all aspects of security, reliability and accessibility of data.

5.6 In order to ensure that the EDP applications have resulted in a consistent and reliable system for inputting of data, processing and generation of output, various tests to identify erroneous processing, to assess the quality of data, to identify inconsistent data and to compare data with physical forms should be introduced.

5.7 The bank should make a formal declaration of system development methodology, programming and documentation standards to be followed, compliance should be verified by EDP Auditors.

5.8 Contingency plans / procedures in case of failure of system should be introduced / tested at periodic intervals. EDP auditor should put such contingency plan under test during the audit for evaluating the effectiveness of such plans.

5.9 While engaging outside computer agencies, banks should ensure to incorporate the "clause of visitorial rights" in the contract, so as to have the right to inspect the process of application and also ensure the security of the data / inputs given to such outside agencies.

6. Information System (IS) Audit

UCBs have adopted technology and have been offering electronic banking, tele banking, electronic clearing / funds transfer, electronic money, smart cards etc to its customers. In view of the above and having regard to risks emanating from adoption of technology, there is a need to introduce IS Audit in UCBs. It is, therefore, advised that

- (i) UCBs may adopt an IS audit policy, if not already done, appropriate to its level of operations, complexity of business and level of computerization and review the same at regular intervals in tune with guidelines issued by RBI from time to time.
- (ii) UCBs may also adopt appropriate systems and practices for conducting IS audit on annual basis covering all the critically important branches (in terms of nature and volume of business).
- (iii) Such audits should be undertaken preferably prior to the statutory audit so that IS audit reports are available to the statutory auditors well in time for examination and for incorporating comments, if any, in the audit reports.
- (iv) IS audit reports should be placed before the board and compliance should be ensured within the time frame as outlined in the audit policy.
- (v) The above instructions may be implemented during the current accounting year beginning from April 1, 2014 to March 31, 2015.

7. Audit Committee of Board (Apex Audit Committee)

7.1 The Reserve Bank of India has, from time to time, emphasised the need on the part of the directors of the primary (urban) co-operative banks to ensure timely review and action on the findings of statutory inspection / audit reports and submission of the compliance reports thereto. Yet, in most of the banks, there is no proper system to examine and follow-up the observations and suggestions made in the inspection reports of Reserve Bank of India, statutory auditors and those submitted by the internal inspection department, vigilance cell and internal auditors. Timely follow-up action on the findings of inspection reports and guidelines, circulars etc. issued by RBI as also the internal audit / inspection, etc. is considered desirable to tone up the overall functioning and operational efficiency of the banks.

7.2 In order to ensure and enhance the effectiveness of internal audit / inspection as a management tool, it is considered necessary that an Apex Audit Committee should be set up at the Board level for overseeing and providing direction to the internal audit / inspection machinery and other executives of primary (urban) co-operative banks. The Audit Committee of the Board of Directors (ACB) may consist of the Chairman and three / four Directors, one or more of such Directors being Chartered Accountants or persons having experience in

management, finance, accountancy and audit system, etc. This also implies that the banks need to constitute, wherever necessary, their Boards with an adequate number of such professionals.

7.3 The Audit Committee of the Board should review the implementation of the guidelines issued by RBI and submit a note thereon, to the Board at quarterly intervals.

7.4 The other duties / responsibilities of the Audit Committee of Board (ACB) are as follows :

7.4.1 ACB should provide direction and oversee the operations of the total audit function in the bank. The total audit function will imply the organization, operationalisation and quality control of internal audit and inspection within the bank and follow-up on the statutory audit of the bank and inspection of the Reserve Bank.

7.4.2 As regards internal audit, ACB should review the internal inspection / audit function in the bank - the system, its quality and effectiveness in terms of follow up. It should review the follow up action on the internal inspection reports, particularly of "unsatisfactory" branches and branches classified by the bank as extra large branches. It should also specially focus on the follow up on :

- * Inter-branch adjustment accounts.
- * Unreconciled long outstanding entries in inter-branch accounts and inter-bank accounts.
- * Arrears in balancing of books at various branches.
- * Frauds.
- * All other major areas of housekeeping.
- * Compliance with the Statutory Audit Reports / Concurrent Audit Reports / RBI inspection reports.
- * Omission on the part of internal inspecting officials to detect serious irregularities should be viewed seriously.
- * Periodical review of the accounting policies / systems in the bank with a view to ensuring greater transparency in the bank's accounts and adequacy of accounting controls.

Annex - 1

[Vide [para 4.4](#)]

Note on Concurrent Audit

1. Introduction

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- 1.1 A High level Committee set up by the Reserve Bank of India at the instance of Government of India under the chairmanship of Shri A. Ghosh, the then Deputy Governor, to enquire into various aspects of frauds and malpractices in banks, had recommended in its [report](#), submitted in June 1992 that a system of Concurrent Audit should be introduced at large and exceptionally large branches to serve as administrative support to branches, help in adherence to prescribed systems and procedures and timely detection of lapses / irregularities. An informal group set up by the Reserve Bank of India comprising senior officers of some large commercial banks and the representatives from the Institute of Chartered Accountants of India examined the various aspects connected with the system. The views that emerged in the Group's discussions are detailed below which could be considered for adoption by primary (urban) co-operative banks.
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2. Scope of Concurrent Audit

- 2.1 Concurrent audit is an examination, which is contemporaneous with the occurrence of transactions or is carried out as near thereto as possible. It attempts to shorten the interval between a transaction and its examination by an independent person not involved in its documentation. There is an emphasis in favour of substantive checking in key areas rather than test checking.
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- 2.2 A concurrent auditor may not sit in judgement of the decision taken by bank / branch Manager or an authorised official. However, the auditor will necessarily have to see whether the transactions or decisions are within the policy parameters laid down by the Head Office / Board of Directors, they do not violate the instructions or policy prescriptions of the Reserve Bank of India and that they are within the delegated authority and in compliance with the terms and conditions for exercise of delegated authority.
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3. Coverage of Business / Branches

- 3.1 The suggested coverage may be as under :
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- 3.1.1 The Departments / Divisions at the Head Office dealing with treasury functions viz. investments, funds management including inter-bank borrowings, bill rediscount, in stock invest scheme, credit card system and foreign exchange business are to be subjected to concurrent audit. In addition, all branch offices undertaking such business, as also large branches and dealing rooms have to be subjected to continuous audit.
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- 3.1.2 The problem branches, which are continuously getting poor or very poor rating in the bank's annual inspection / audit and where the house keeping is extremely poor may be covered.
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- 3.1.3 Banks may also include additional branches at their discretion on the basis of need; that is their professional judgement about the overall functioning of the branches.
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4. Types of Activities to be covered

- 4.1 The main role of the concurrent audit is to supplement the efforts of the bank in carrying out simultaneous internal check of the transactions and other verifications and compliance with the procedures laid down. In particular, it should be seen that the transactions are properly recorded / documented and vouched. The concurrent auditors may broadly cover the following items :

4.1.1 **Cash**

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| 4.1.1.1 | Daily cash transactions with particular reference to any abnormal receipts and payments. |
| 4.1.1.2 | Proper accounting of inward and outward cash remittances. |
| 4.1.1.3 | Proper accounting of currency chest transactions (if any), its prompt reporting to Reserve Bank of India |
| 4.1.1.4 | Expenses incurred by cash payment involving sizeable amount. |
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4.1.2 **Investments**

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| 4.1.2.1 | Ensure that in respect of purchase and sale of securities, the branch has acted within its delegated power having regard to its Head Office instructions. |
| 4.1.2.2 | Ensure that the securities held in the books of the branch are physically held by it. |
| 4.1.2.3 | Ensure that the branch is complying with the RBI / Head Office / Board guidelines regarding BRs, SGL forms, delivery of scrips, documentation and accounting |
| 4.1.2.4 | Ensure that the sale or purchase transactions are done at rates beneficial to the bank. |
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4.1.3 **Deposits**

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| 4.1.3.1 | Check the transactions about deposits received and repaid. |
| 4.1.3.2 | Percentage check of interest paid on deposits may be made, including calculation of interest on large deposits |
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| 4.1.3.3 | Check new accounts opened. Operations in new Current / SB accounts may be verified in the initial period itself to see whether there are any unusual operations. Also examine whether the formalities connected with the opening of new accounts have been followed as per RBI instructions. |
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4.1.4 **Advances**

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| 4.1.4.1 | Ensure that loans and advances have been sanctioned properly (i.e. after due scrutiny and at the appropriate level). |
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| 4.1.4.2 | Verify whether the sanctions are in accordance with delegated authority. |
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| 4.1.4.3 | Ensure that securities and documents have been received and properly charged / registered. |
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| 4.1.4.4 | Ensure that post disbursement, supervision and follow-up is proper, such as receipt of stock statement, instalments, renewal of limits, etc. |
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| 4.1.4.5 | Verify whether there is any misutilisation of the loans and advances and whether there are instances indicative of diversion of funds. |
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| 4.1.4.6 | Check whether the letters of credit issued by the branch are within the delegated power and ensure that they are for genuine trade transactions. |
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| 4.1.4.7 | Check the bank guarantees issued, whether they have been properly worded and recorded in the register of the bank. Whether they have been promptly renewed on the due dates. |
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| 4.1.4.8 | Ensure proper follow-up of overdue bills of exchange. |
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| 4.1.4.9 | Verify whether the classification of advances has been done as per RBI guidelines. |
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| 4.1.4.10 | Verify whether the submission of claims to ECGC is in time. |
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| 4.1.4.11 | Verify that instances of exceeding delegated powers have been promptly reported to Controlling / Head Office / Board by the branch and have been got confirmed or ratified at the required level |
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| 4.1.4.12 | Verify the frequency and genuineness of such exercise of authority beyond the delegated powers by the concerned officials. |
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4.1.5 ***Foreign Exchange Transactions***

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| 4.1.5.1 | Check foreign bills negotiated under letters of credit. |
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| 4.1.5.2 | Check FCNR and other non-resident accounts, whether the debits and credits are permissible under the rules. |
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| 4.1.5.3 | Check whether inward / outward remittance have been properly accounted for. |
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| 4.1.5.4 | Examine extension and cancellation of forward contracts for purchase and sale of foreign currency. Ensure that they are duly authorised and necessary charges have been recovered. |
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| 4.1.5.5 | Ensure that balances in Nostro accounts in different foreign currencies are within the limit as prescribed by the Bank. |
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| 4.1.5.6 | Ensure that the overbought / oversold position maintained in different currencies is reasonable, taking into account the foreign exchange operations. |
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| 4.1.5.7 | Ensure adherence to the guidelines issued by RBI / HO of the bank about dealing room operations |
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| 4.1.5.8 | Ensure verification / reconciliation of Nostro and Vostro account transactions / balances. |
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4.1.6 ***Housekeeping***

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| 4.1.6.1 | Ensure that the maintenance and balancing of accounts, Ledgers and registers including clean cash and general ledger is proper. |
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| 4.1.6.2 | Ensure prompt reconciliation of entries outstanding in the inter-branch and inter-bank accounts, Suspense Accounts, Sundry Deposits Account, Drafts Accounts, etc. Ensure early adjustment of large value entries. |
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4.1.6.3	Carryout a percentage check of calculations of interest, discount, commission and exchange.
4.1.6.4	Check whether debits in income account have been permitted by the competent authorities.
4.1.6.5	Check the transactions of staff accounts.
4.1.6.6	In case of difference in clearing, there is a tendency to book it in an intermediary suspense account instead of locating the difference. Examine the day book to verify as to how the differences in clearing have been adjusted. Such instances should be reported to Head Office / Board of Directors in case the difference persists.
4.1.6.7	Detection and prevention of revenue leakages through close examination of income and expenditure accounts / transactions.
4.1.6.8	Check cheques returned / bills returned register and look into reasons for return of those instruments.
4.1.6.9	Checking of inward and outward remittances (DDs. MTs and TTs).
4.1.7	<i>Other Items</i>
4.1.7.1	Ensure that the branch gives proper compliance to the internal inspection / audit reports.
4.1.7.2	Ensure that customer complaints are dealt with promptly
4.1.7.3	Verification of statements, HO returns, statutory returns.
4.2	The aforesaid list is illustrative and not exhaustive. The banks may, therefore, add other items to the list, which in their opinion are useful for the purpose of proper control of the branch operations. In the context of volume of transactions in the large branches it may not be always possible for the concurrent auditors to do a cent percent check. They may, therefore, consider adopting the following norms :
4.2.1	In certain areas, such as off balance sheet items (LCs and BGs), investment portfolio, foreign exchange transactions, fraud prone / sensitive areas, advances having outstanding balances of more than Rs.5 lakhs, if any unusual feature is observed, the concurrent auditors may conduct cent percent check.

4.2.2 In the case of areas such as income and expenditure items, inter-bank and inter-branch accounting, interest paid and interest received, clearing transactions, and deposit accounts, the check can be restricted to 10 to 25 per cent of the number of transactions.

4.2.3 Where any branch has poor performance in certain areas or requires close monitoring in housekeeping, loans and advances or investments, the concurrent auditors may carry out intensive checking of such areas.

4.2.4 Concurrent auditors may concentrate on high value transactions having financial implication for the bank rather than those involving lesser amount, although number-wise they may be large.

4.2.5 If any adverse remark is required to be given, the concurrent auditors should give reasons therefore.

4.2.6 Concurrent auditors may themselves identify problem areas at branch level / bank and offer their suggestions to overcome them.

5. Appointment and Remuneration of Auditor

5.1 The option to consider whether the concurrent audit should be done by the external auditors (professionally qualified Chartered Accountants) or its own staff may be left to the individual banks. In case bank decides to appoint external auditors for the purpose, the terms of their appointment and remuneration to be paid may be fixed by the banks within the broad guidelines approved by the Board and / or by the Registrar of Co-operative Societies of the State concerned.

5.2 The audit firms will be responsible for any omissions or commissions in respect of transactions seen by them. In case any serious act of omission or commission is noticed in the working of the concurrent auditors (external), the bank may consider terminating their appointment and a report may be made to the Institute of Chartered Accountants of India for such action as they deem fit under intimation to RBI / RCS.

5.3 In case the bank prefers to entrust the audit to its own officers, the bank has to ensure that these officers are well experienced and of sufficient seniority in order to exercise necessary independence and objectivity while conducting concurrent audit. It would be desirable and necessary to rotate the auditors, whether internal or external, periodically. Progressively, it may be considered whether reliance on external auditors may be reduced as soon as requisite skills for audit work are developed by the proper selection and training of officers from within.

6. Reporting System

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- 6.1 The concurrent auditors may report the minor irregularities, wrong calculations etc. to the Branch Manager for an on-the-spot rectification and reporting compliance.
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- 6.2 If these irregularities are not rectified within a reasonable period of time say a week, these may be reported to the head office. If the auditors observe any serious irregularities, these should be straight away reported to Head Office immediately. The auditor will have to lay emphasis on the propriety aspect of the audit. Banks may institute an appropriate system of follow-up of the reports of the concurrent auditors. There must be a system of annual review of the working of concurrent audit.
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7. Conclusion

While instituting the concurrent audit system, the attempt should be to integrate the same with other systems of internal audit / inspections, which are already in existence. One of the drawbacks hitherto has been non-integration of the different systems of internal audit and inspections and lack of response to audit objections / qualifications. It is necessary that the entire system of audit, inspection and their follow-up is properly documented and the performance of the integrated audit system is reviewed from time to time.

A. List of Circulars consolidated in the Master Circular

B. List of other circulars from which instructions relating to Inspection & Audit Systems in Primary (Urban) Co-operative Banks have also been consolidated in the Master Circular

Sr. No.	Circular No.	Date	Subject
1.	UBD.No.CO.BSD.I.PCB.44/12.05.05/2000-2001	23.04.2001	Guidelines for classification and Valuation of Investment by Banks
2.	UBD.No.POT.Cir.PCB.39/09.29.00/2000-2001	18.04.2001	Sale of Government Securities allotted in the auction of Primary Issues
3.	UBD.No.Plan.SUB.20/09.81.00/97-98	19.02.1998	Retailing of Government Securities

4.	UBD.21/12:15:00/93-94	21.09.1993	Committee to enquire into various aspects relating to frauds and malpractices in banks - Primary (Urban) Co-operative banks
5.	UBD.No.Plan.13/UB.81/92-93	15.09.1992	Investments portfolio of banks - Transactions in securities
6.	UBD.No.2420-J.20-83/84	02.04.1984	Frauds, Misappropriation, Embezzlements and Defalcation of Funds in Primary (Urban) Co-operative Banks

Master Circular - Income Recognition, Asset Classification, Provisioning and Other Related Matters - UCBs

Please refer to our Master Circular [DOR.STR.REC.9/21.04.048/2024-25](#) dated April 02, 2024 consolidating instructions / guidelines issued to banks till March 31, 2024 on matters relating to prudential norms on income recognition, asset classification and provisioning pertaining to advances.

2. Attached is the revised [Master Circular](#), updated to reflect all instructions issued upto March 31, 2025 on the above matter, as listed in [Annex 9](#). It may be noted that this Master Circular only consolidates all instructions on the above matter issued up to March 31, 2025 and does not contain any new instructions / guidelines.

Master Circular Income Recognition, Asset Classification, Provisioning and Other Related Matters

1.1 In order to reflect a bank's actual financial health in its balance sheet and as per the recommendations made by the Committee on Financial System (Chairman Shri M. Narasimham), the Reserve Bank has introduced, in a phased manner, prudential norms for income recognition, asset classification and provisioning for the advances portfolio of the banks.

1.2 Broadly, the policy of income recognition should be objective and based on record of recovery rather than on any subjective considerations. Likewise, the classification of assets of banks has to be done on the basis of objective criteria, which would ensure a uniform and consistent application of the norms. The provisioning should generally be made on the basis of the classification of assets into different categories.

1.3 The requirements of the State Co-operative Societies Acts and / or rules made thereunder or other statutory enactments may continue to be followed, if they are more stringent than those prescribed hereby.

2. Non-performing Assets (NPA)

(i) Interest and / or installment of principal remain overdue¹ for a period of more than 90 days in respect of a Term Loan.

(ii) The account remains 'out of order'², in respect of an Overdraft / Cash Credit (OD / CC) and all other loan products being offered as an overdraft facility, including those not meant for business purposes and / or which entail interest repayments as the only credits.

(iii) The bill remains overdue for a period of more than 90 days in the case of bills purchased and discounted.

(v) Any amount to be received remains overdue for a period of more than 90 days in respect of other accounts.

(vi) In addition, an account may also be classified as NPA in terms of certain specific provisions of this Master Circular, including inter alia [paragraphs 2.2.7](#) and clarifications provided under the frequently asked questions (FAQs) in [Annex-4](#).

2.1.2 (A) The exact due dates for repayment of a loan, frequency of repayment, breakup between principal and interest, examples of SMA / NPA classification dates, etc. should be clearly specified in the loan agreement and the borrower should be apprised of the same at the time of loan sanction and also at the time of subsequent changes, if any, to the sanction terms / loan agreement till full repayment of the loan.

(i) In credit card accounts, the amount spent is billed to the card users through a monthly statement with a definite due date for repayment. Banks give an option to the card users to pay either the full amount or a fraction of it, i.e., minimum amount due, on the due date and roll-over the balance amount to the subsequent months' billing cycle.

(ii) A credit card account will be treated as non-performing asset if the minimum amount due, as mentioned in the statement, is not paid fully within 90 days from the payment due date mentioned in the statement.

(iii) Banks shall report a credit card account as 'past due' to credit information companies (CICs) or levy penal charges, viz. late payment charges, etc., if any, only when a credit card account remains 'past due' for more than three days. The number of 'days past due' and late payment charges shall, however, be computed from the payment due date mentioned in the credit card statement.

a) A loan granted for short duration crops will be treated as NPA, if the installment of principal or interest thereon remains overdue for two crop seasons.

b) A loan granted for long duration crops will be treated as NPA, if the installment of principal or interest thereon remains overdue for one crop season.

(ii) For the purpose of these guidelines, "long duration" crops would be crops with crop season longer than one year and crops, which are not "long duration" crops would be treated as "short duration" crops.

(iii) The crop season for each crop, which means the period up to harvesting of the crops raised, would be as determined by the State Level Bankers' Committee in each state.

(iv) Depending upon the duration of crops raised by an agriculturist, the above NPA norms would also be made applicable to agricultural term loans availed by him.

(v) Banks should ensure that while granting loans and advances, realistic repayment schedules are fixed on the basis of cash flows / fluidity with the borrowers.

(i) The system should ensure that identification of NPAs is done on an on-going basis and accounts are classified as NPA immediately, as soon as they turn into NPA as per the guidelines contained in this circular, without waiting till the end of quarter / financial year. Banks should also make provisions for NPAs as at the end of each calendar quarter i.e. as at the end of March / June / September / December, so that the income and expenditure account for the respective quarters as well as the P&L account and balance sheet for the year end reflects the provision made for NPAs.

(ii) The borrower accounts shall be flagged as overdue by banks as part of their day-end processes for the due date, irrespective of the time of running such processes. Similarly, classification of borrower accounts as SMA³ as well as NPA shall be done as part of day-end process for the relevant date and the SMA or NPA classification date shall be the calendar date for which the day end process is run. In other words, the date of SMA / NPA shall reflect the asset classification status of an account at the day-end of that calendar date.

Example : If due date of a loan account is March 31, 2022, and full dues are not received before the bank runs the day-end process for this date, the date of overdue shall be March 31, 2022. If it continues to remain overdue, then this account shall get tagged as SMA-1 upon running day-end process on April 30, 2022 i.e. upon completion of 30 days of being continuously overdue. Accordingly, the date of SMA-1 classification for that account shall be April 30, 2022.

Similarly, if the account continues to remain overdue, it shall get tagged as SMA-2 upon running day-end process on May 30, 2022 and if continues to remain overdue further, it shall get classified as NPA upon running day-end process on June 29, 2022.

(iii) UCBs having total assets of 2000 crore or above as on March 31, 2020 were required to implement system-based asset classification⁴ with effect from June 30, 2021.

(iv) UCBs having total assets of 1000 crore or above but less than 2000 crore as on March 31, 2020 and having self-assessed themselves as being under Level III or Level IV in terms of the circular [DoS.CO/CSITE/BC.4083/31.01.052/2019-20](https://www.reserved.gov.in/DOCS/DOCS/BC.4083/31.01.052/2019-20) dated December 31, 2019 on Comprehensive Cyber Security Framework for UCBs were required to implement system-based asset classification with effect from September 30, 2021.

(v) UCBs which meet the above criteria as at the end of the financial year 2020-2021 or subsequent financial years shall implement system-based asset classification within a period of six months from the end of the financial year concerned. For smooth implementation of the system, such UCBs may conduct pilot / parallel run and evaluate the results for accuracy / integrity of the asset classification in compliance with the applicable RBI instructions so as to ensure that they are ready for implementation of the system-based asset classification from the appointed date.

(vi) UCBs not meeting the above criteria are also encouraged to voluntarily implement the system-based asset classification in their own interest.

- (i) Banks should charge interest at monthly rests in the context of adoption of 90 days norm for recognition of loan impairment w.e.f. from the year ended March 31, 2004 and consequential need for close monitoring of borrowers' accounts.
- (ii) The charging / compounding of interest on agricultural advances would be linked to crop seasons and the instructions regarding charging of interest on monthly rests shall not be applicable to agricultural advances.
- (iii) Banks should take into consideration due date/s fixed on the basis of fluidity with borrowers and harvesting / marketing season while charging interest and compound the same if the loan / installment becomes overdue in respect of short duration crops and allied agricultural activities.

2.1.6 Classification as Special Mention Account (SMA) and Reporting of Large Exposures to Central Repository of Information on Large Credits (CRILC) - UCBs

SMA is an account which is exhibiting signs of incipient stress resulting in the borrower defaulting in timely servicing of her debt obligations, though the account has not yet been classified as NPA. As early recognition of such accounts enables banks to initiate timely remedial actions to prevent their potential slippages into NPAs, all UCBs shall classify loans / advances accounts as SMA, as under :

SMA Sub-categories	<u>Basis for classification</u> Principal or interest payment or any other amount wholly or partially overdue for
SMA-0	Up to 30 days
SMA-1	More than 30 days and up to 60 days
SMA-2	More than 60 days and up to 90 days

In case of revolving credit facilities like cash credit, the SMA sub-categories will be as follows :

SMA Sub-categories	<u>Basis for classification</u> Outstanding balance remains continuously in excess of the sanctioned limit or drawing power, whichever is lower, for a period of
SMA-1	More than 30 days and up to 60 days
SMA-2	More than 60 days and up to 90 days

(ii) The above-mentioned instructions on classification of borrower accounts into SMA categories are applicable for all loans, including retail loans, other than agricultural advances governed by crop season-based asset classification norms, irrespective of size of exposure.

(iii) Primary (Urban) Co-operative Banks (UCBs) having total assets of 500 crore and above shall report credit information, including classification of an account as Special Mention Account (SMA), on all borrowers having aggregate exposures of 5 crore and above with them to Central Repository of Information on Large Credits (CRILC) maintained by the Reserve Bank. Aggregate exposure shall include all fund-based and non-fund based exposure, including investment exposure on the borrower.

(iv) UCBs having total assets of 500 crore and above are required to submit CRILC Report on quarterly basis. Detailed operating instructions have been issued vide circular [DoS.OSMOS.No.4633/33.05.018/2019-20](#) dated January 16, 2020 on 'Reporting of Large Exposures to Central Repository of Information on Large Credits (CRILC) - UCBs' by the Department of Supervision, Reserve Bank of India.

(v) UCBs should take utmost care about data accuracy and integrity while submitting the information / data on large credit to RBI, failing which penal action as per the provisions of the [Banking Regulation Act, 1949](#) may be taken.

(i) The treatment of an asset as NPA should be based on the record of recovery. Banks should not treat an advance as NPA merely due to existence of some deficiencies which are temporary in nature such as non-availability of adequate drawing power, balance outstanding exceeding the limit, non-submission of stock statements and the non-renewal of the limits on the due date, etc. Where there is a threat of loss, or the recoverability of the advances is in doubt, the asset should be treated as NPA.

(ii) A credit facility should be treated as NPA as per norms given in [paragraph 2.1](#) above. However, where entire overdues pertaining to all the credit facilities availed by a borrower from a given bank have been regularised by repayment through genuine sources (not by sanction of additional facilities or transfer of funds between accounts), the accounts may be upgraded to 'standard' asset category. In such cases, it should, however, be ensured that the accounts remain in order subsequently and a solitary credit entry made in an account on or before the balance sheet date which extinguishes the overdue amount of interest or installment of principal is not reckoned as the sole criteria for treatment of the account as a standard asset.

(i) In respect of a borrower having more than one facility with a bank, all the facilities granted by the bank will have to be treated as NPA and not the particular facility or part thereof which has become irregular / NPA.

(ii) However, in respect of consortium advances or financing under multiple banking arrangements, each bank may classify the borrowal accounts according to its own record of recovery and other aspects having a bearing on the recoverability of the advances. Each bank shall follow the principle at (i) above for NPA classification of a borrower.

(i) Where natural calamities impair the repaying capacity of agricultural borrowers, as a relief measure, banks may decide on their own to :

(a) convert the short-term production loan into a term loan or re-schedule the repayment period, and

(ii) In such cases of conversion or re-schedulement, the term loan as well as fresh short-term loan may be treated as current dues and need not be classified as non-performing asset (NPA). The asset classification of these loans would, therefore, be governed by the revised terms and conditions and these would be treated as NPA under the extant norms applicable for classifying agricultural advances as NPAs.

In the case of housing loan or similar advances granted to staff members where interest is payable after recovery of principal, interest need not be considered as overdue from the first month onwards. Such loans / advances should be classified as NPA only when there is a default in repayment of instalment of principal or payment of interest on the respective due dates.

(i) The credit facilities backed by guarantee of the Central Government though overdue should not be treated as NPA.

(ii) This exemption from classification of government guaranteed advances as NPA is not for the purpose of recognition of income.

(iii) State Government guaranteed advance and investment in State Government guaranteed securities would attract asset classification and provisioning norms, if interest and / or principal or any other amount due to the bank remains overdue for more than 90 days, irrespective of the fact whether the guarantee have been invoked or not.

'Project Loan' would mean any term loan which has been extended for the purpose of setting up of an economic venture. Banks must fix a Date of Commencement of Commercial Operations (DCCO) for all project loans at the time of sanction of the loan / financial closure (in the case of multiple banking or consortium arrangements).

For the purpose of Income Recognition and Asset Classification norms, all project loans may be divided into the following two categories; (i) Project Loans for infrastructure sector (ii) Project Loans for non-infrastructure sector. Detailed guidelines are given in [Annex 8](#).

In the case of bank finance given for industrial projects where moratorium is available for payment of interest, payment of interest becomes due only after the moratorium or gestation period is over. Therefore, such amounts of interest do not become overdue and hence NPA, with reference to the date of debit of interest. They become overdue after due date for payment of interest, if uncollected

i. before commencement of commercial production / operation;

ii. after commencement of commercial production / operation but before the asset has been classified as 'sub-standard';

iii. after commencement of commercial production / operation and the asset has been classified as 'sub-standard' or 'doubtful'.

2.2.7.2 The accounts classified as 'standard assets' should be immediately re-classified as 'sub-standard assets' upon restructuring.

2.2.7.3 The non performing assets, upon restructuring, would slip into further lower asset classification category as per extant asset classification norms with reference to the pre-restructuring repayment schedule.

2.2.7.4 All restructured accounts which have been classified as non-performing assets upon restructuring, would be eligible for upgradation to the 'standard' category after observation of 'satisfactory performance' during the 'specified period' ([Annex 5](#)).

2.2.7.5 In case, however, satisfactory performance during the specified period is not evidenced, the asset classification of the restructured account would be governed as per the applicable prudential norms with reference to the pre-restructuring payment schedule.

2.2.7.6 Any additional finance may be treated as 'standard asset', up to a period of one year after the first interest / principal payment, whichever is earlier, falls due under the approved restructuring package. However, in the case of accounts where the pre-restructuring facilities were classified as 'sub-standard' and 'doubtful', interest income on the additional finance should be recognised only on cash basis. If the restructured asset does not qualify for upgradation at the end of the above specified one year period, the additional finance shall be placed in the same asset classification category as the restructured debt.

2.2.7.7 In respect of loan accounts which enjoy special regulatory treatment as per [para 2.2.7.25](#), upon restructuring, such non-performing assets would continue to have the same asset classification as prior to restructuring. In case satisfactory performance of the account is not evidenced during the 'specified period', it would slip into further lower asset classification categories as per extant asset classification norms with reference to the pre-restructuring repayment schedule.

2.2.7.8 In case a restructured asset, which is a standard asset on restructuring, is subjected to restructuring on a subsequent occasion, it should be classified as substandard. If the restructured asset is a sub-standard or a doubtful asset and is subjected to restructuring, on a subsequent occasion, its asset classification will be reckoned from the date when it became NPA on the first occasion. However, such advances restructured on second or more occasion may be allowed to be upgraded to standard category after one year from the date of first payment of interest or repayment of principal whichever falls due earlier in terms of the current restructuring package subject to satisfactory performance.

2.2.7.9 Subject to provisions of [paragraphs 2.2.7.6](#) and [2.2.7.22](#) interest income in respect of restructured accounts classified as 'standard assets' will be recognized on accrual basis and that in respect of the account classified as 'non performing assets' will be recognized on cash basis.

Banks will hold provision against the restructured advances on the basis of classification of assets into prescribed categories as detailed in [paragraph 3](#) below .

The erosion in the fair value of the advance should be computed as the difference between the fair value of the loan before and after restructuring. Fair value of the loan before restructuring will be computed as the present value of cash flows representing the interest at the existing rate charged on the advance before restructuring and the principal, discounted at a rate equal to the bank's BPLR as on the date of restructuring plus the appropriate term premium and credit risk premium for the borrower category on the date of restructuring". Fair value of the loan after restructuring will be computed as the present value of cash flows representing the interest at the rate charged on the advance on restructuring and the principal, discounted at a rate equal to the bank's BPLR as on the date of restructuring plus the appropriate term premium and credit risk premium for the borrower category on the date of restructuring".

2.2.7.12 It may please be noted that the above formula moderates the swing in the diminution of present value of loans with the interest rate cycle and will have to be followed consistently in future.

2.2.7.13 Further, it is reiterated that the provisions required as above arise due to the action of the banks resulting in change in contractual terms of the loan upon restructuring which are in the nature of financial concessions. These provisions are distinct from the provisions which are linked to the asset classification of the account classified as NPA and reflect the impairment due to deterioration in the credit quality of the loan. Thus, the two types of the provisions are not substitute for each other.

2.2.7.14 It is also re-emphasised that the guidelines on restructuring of advances by RBI are aimed at providing an opportunity to banks and borrowers to preserve the economic value of the units and should not be looked at as a means to evergreen the advances.

2.2.7.15 In their published annual Balance Sheets, banks shall make disclosures as per [Annex-6](#)

2.2.7.16 In the case of working capital facilities, the diminution in the fair value of the cash credit / overdraft component may be computed as indicated in [para 2.2.7.11](#) above, reckoning the higher of the outstanding amount or the limit sanctioned as the principal amount and taking the tenor of the advance as one year. The term premium in the discount factor would be as applicable for one year. The fair value of the term loan components (Working Capital Term Loan and Funded Interest Term Loan) would be computed as per actual cash flows and taking the term premium in the discount factor as applicable for the maturity of the respective term loan components.

2.2.7.17 In the event any security is taken in lieu of the diminution in the fair value of the advance, it should be valued at Re.1 This will ensure that the effect of charging off the economic sacrifice to the Profit & Loss account is not negated.

2.2.7.18 The diminution in the fair value may be re-computed on each balance sheet date till satisfactory completion of all repayment obligations and full repayment of the outstanding in the account, so as to capture the changes in the fair value on account of changes in BPLR, term premium and the credit category of the borrower. Consequently, banks may provide for the shortfall in provision or reverse the amount of excess provision held in the distinct account.

2.2.7.19 If due to lack of expertise / appropriate infrastructure, a bank finds it difficult to ensure computation of diminution in the fair value of advances extended by small branches, as an alternative to the methodology prescribed above for computing the amount of diminution in the fair value, banks will have the option of notionally computing the amount of diminution in the fair value and providing therefore, at five percent of the total exposure, in respect of all restructured accounts where the total dues to bank(s) are less than rupees one crore.

2.2.7.20 The total provisions required against an account (normal provisions plus provisions in lieu of diminution in the fair value of the advance) are capped at 100% of the outstanding debt amount.

(d) *Prudential Norms for Conversion of Unpaid Interest into 'Funded Interest Term Loan' (FITL)*

The FITL created by conversion of unpaid interest will be classified in the same asset classification category in which the restructured advance has been classified. Further movement in the asset classification of FITL would also be determined based on the subsequent asset classification of the restructured advance.

(i) The income, if any, generated may be recognised on accrual basis, if FITL is classified as 'standard', and on cash basis in the cases where the same has been classified as a non-performing asset.

(ii) The unrealised income represented by FITL should have a corresponding credit in an account styled as "Sundry Liabilities Account (Interest Capitalization)".

(iii) Only on repayment in case of FITL, the amount received will be recognized in the P&L Account, while simultaneously reducing the balance in the "Sundry Liabilities Account (Interest Capitalisation)".

2.2.7.23 The special regulatory treatment for asset classification, in modification to the provisions in this regard stipulated in [para 2.2.7.1 to 2.2.7.8](#), will be available to the borrowers engaged in important business activities, subject to compliance with certain conditions as enumerated in [para 2.2.7.28](#) below. Such treatment is not extended to the following categories of advances :

(i) Consumer and personal advances including advances to individuals against the securities of shares / bonds / debentures, etc.

2.2.7.24 The asset classification of the above two categories of accounts as well as that of other accounts which do not comply with the conditions enumerated in [para 2.2.7.28](#), will be governed by the prudential norms in this regard described in [para 2.2.7.1 to 2.2.7.8](#) above.

- (i) Incentive for quick implementation of the restructuring package.
- (ii) Retention of the asset classification of the restructured account in the pre restructuring asset classification category

During the pendency of the application for restructuring of the advance with the bank, the usual asset classification norms would continue to apply. The process of reclassification of an asset should not stop merely because the application is under consideration. However, as an incentive for quick implementation of the package, if the approved package is implemented by the bank within 90 days from the date of receipt of application by the bank, the asset classification status may be restored to the position which existed when the restructuring application was received by the bank.

Subject to the compliance with the undernoted conditions in addition to the adherence to the prudential framework laid down in [para 2.2.7.1 to 2.2.7.8](#) :

- (i) In modification to [para 2.2.7.2](#), an existing 'standard asset' will not be downgraded to the sub-standard category upon restructuring.
- (ii) In modification to [para 2.2.7.3](#), during the specified period, the asset classification of the sub-standard / doubtful accounts will not deteriorate upon restructuring, if satisfactory performance is demonstrated during the specified period.

2.2.7.28 However, these benefits will be available subject to compliance with the following conditions :

i) The dues to the bank are 'fully secured' as defined in [Annex 5](#). The condition of being fully secured by tangible security will not be applicable in the following cases :

- (a) SSI borrowers, where the outstanding is up to 25 lakh.
- (b) infrastructure projects, provided the cash flows generated from these projects are adequate for repayment of the advance, the financing bank(s) have in place an appropriate mechanism to escrow the cash flows, and also have a clear and legal first claim on these cash flows.
- (c) WCTL created by conversion of the irregular portion of principal dues over the drawing power, subject to the condition that provisions are made against the unsecured portion of the WCTL, as under :

* Substandard Assets : 20% during the first year and to be increased by 20% every year thereafter until the specified period (one year after the first payment is due under the terms of restructuring)

* If the account is not eligible for upgradation after the specified period, the unsecured portion will attract provision of 100%.

- ii) The unit becomes viable in 10 years, if it is engaged in infrastructure activities, and in 7 years in the case of other units.
- iii) The repayment period of the restructured advance including the moratorium, if any, does not exceed 15 years in the case of infrastructure advances and 10 years in the case of other advances. The Board of Directors of the banks should prescribe the maximum period not exceeding 15 years for restructured advances keeping in view the safety and soundness of advances.
- iv) Promoters' sacrifice and additional funds brought by them should be a minimum of 15% of banks' sacrifice.
- v) Personal guarantee is offered by the promoter except when the unit is affected by external factors pertaining to the economy and industry.
- vi) The restructuring under consideration is not a 'repeated restructuring' as defined in [para \(iv\) of Annex 5](#).

2.2.7.29 Banks should disclose in their published annual Balance Sheets, under 'Notes on Accounts', information relating to number and amount of advances restructured and the amount of diminution in the fair value of the restructured advances in [Annex 6](#).

2.2.7.30 A few illustrations on the asset classification of restructured accounts are given in [Annex 7](#).

2.2.7.31 Resolution of Covid-19 related stress implemented under the following circulars shall be subject to the specific requirements, including the prudential requirements, specified therein :

(ii) [DOR.No.BP.BC/4/21.04.048/2020-21](#) dated August 6, 2020 on "Micro, Small and Medium Enterprises (MSME) sector - Restructuring of Advances";

(iii) [DOR.STR.REC.11/21.04.048/2021-22](#) dated May 5, 2021 on "Resolution Framework - 2.0 : Resolution of Covid-19 related stress of Individuals and Small Businesses" read with [DOR.STR.REC.20/21.04.048/2021-22](#) dated June 4, 2021 on "Resolution Framework - 2.0 : Resolution of Covid-19 related stress of Individuals and Small Businesses - Revision in the threshold for aggregate exposure";

(iv) [DOR.STR.REC.12/21.04.048/2021-22](#) dated May 5, 2021 on 'Resolution Framework 2.0 - Resolution of Covid-19 related stress of Micro, Small and Medium Enterprises (MSMEs)' read with [DOR.STR.REC.21/21.04.048/2021-22](#) dated June 4, 2021 on 'Resolution Framework - 2.0 : Resolution of Covid-19 related stress of Micro, Small and Medium Enterprises (MSMEs) - Revision in the threshold for aggregate exposure'

(i) Advances against term deposits, NSCs eligible for surrender, KVPs and Life policies need not be treated as NPAs although interest thereon may not have been paid for more than 90 days, provided adequate margin is available in the accounts.

(ii) Banks should fix monthly / quarterly instalments for repayment of gold loans for non-agricultural purposes taking into account the pattern of income generation and repayment capacity of the borrowers and such gold loan accounts may be treated as NPAs if instalments of principal and / or interest thereon are overdue for more than 90 days.

(iii) As regards gold loans granted for agricultural purposes, interest is required to be charged as per Supreme Court judgment at yearly intervals and payment should coincide with the harvesting of crops. Accordingly, such advances will be treated as NPA only if instalments of principal and / or interest become overdue after due date.

The investments are also subject to the prudential norms on income recognition. Banks should not book income on accrual basis in respect of any security, irrespective of the category in which it is included, where the interest / principal is in arrears for more than 90 days.

Banks should report the figures of NPAs to the Regional Office of the Reserve Bank at the end of each year within two months from the close of the year in the prescribed proforma given in the [Annex 2](#).

With a view to increasing awareness among the borrowers, banks should place consumer education literature on their websites, explaining with examples, the concepts of date of overdue, SMA and NPA classification and upgradation, with specific reference to day-end process. Banks should also consider displaying such consumer education literature in their branches by means of posters and / or other appropriate media. Further, it shall also be ensured that their front-line officers educate borrowers about all these concepts, with respect to loans availed by them, at the time of sanction / disbursal / renewal of loans.

3. Asset Classification

Standard asset is one which does not disclose any problems and which does not carry more than normal risk attached to the business. Such an asset should not be an NPA.

An asset would be classified as sub-standard if it remained NPA for a period less than or equal to 12 months. In such cases, the current net worth of the borrowers / guarantors or the current market value of the security charged is not enough to ensure recovery of the dues to the banks in full. In other words, such assets will have well defined credit weaknesses that jeopardise the liquidation of the debt and are characterised by the distinct possibility that the banks will sustain some loss, if deficiencies are not corrected.

An asset is required to be classified as doubtful, if it has remained NPA for more than 12 months. A loan classified as doubtful has all the weaknesses inherent as that classified as sub-standard, with the added characteristic that the weaknesses make collection or liquidation in full, on the basis of currently known facts, conditions and values, highly questionable and improbable.

A loss asset is one where loss has been identified by the bank or internal or external auditors or by the Co-operation Department or by the Reserve Bank of India's inspection but the amount has not been written off, wholly or partly. In other words, such an asset is considered un-

collectible and of such little value that its continuance as a bankable asset is not warranted although there may be some salvage or recovery value.

(i) Broadly speaking, classification of assets into above categories should be done taking into account the degree of well defined credit weaknesses.

(ii) In respect of accounts where there are potential threats to recovery on account of erosion in the value of security, it will not be prudent for the banks to classify them first as sub-standard and then as doubtful after expiry of 12 months from the date the account has become NPA. Such accounts should be straight away classified as doubtful asset or loss asset, as appropriate, irrespective of the period for which they have remained as NPA.

3.3.2 Advances Granted under Rehabilitation Packages Approved by Term Lending Institutions

(i) Banks are not permitted to upgrade the classification of any advance in respect of which the terms have been re-negotiated unless the package of re-negotiated terms has worked satisfactorily for a period of one year. While the existing credit facilities sanctioned to a unit under rehabilitation packages approved by term lending institutions will continue to be classified as sub-standard or doubtful, as the case may be, in respect of additional facilities sanctioned under the rehabilitation packages, the income recognition and asset classification norms will become applicable after a period of one year from the date of disbursement.

(ii) A similar relaxation be made in respect of SSI units which are identified as sick by banks themselves and where rehabilitation packages / nursing programmes have been drawn by the banks themselves or under consortium arrangements.

(i) Banks may adhere to the timelines for implementation of system-based asset classification mentioned at [paragraph 2.1.4](#) above.

(ii) Banks, which are not required to implement system-based asset classification in terms of the instructions at [paragraph 2.1.4](#), should establish appropriate internal systems to eliminate the tendency to delay or postpone the identification of NPAs, especially in respect of high value accounts. The banks may fix a minimum cut-off point to decide what would constitute a high value account depending upon their respective business levels. The cut-off point should be valid for the entire accounting year.

(iii) Responsibility and validation levels for ensuring proper asset classification may be fixed by the bank.

(iv) The system should ensure that doubts in asset classification due to any reason are settled through specified internal channels within one month from the date on which the account would have been classified as NPA as per extant guidelines.

(v) Banks should ensure scrupulous compliance with the instructions for recognition of credit impairment and view aberrations by dealing officials seriously.

(vi) RBI would continue to identify the divergences arising due to non-compliance, for fixing accountability. Where there is wilful non-compliance by the official responsible for classification and is well documented, RBI would initiate deterrent action including imposition of monetary penalties.

4. Income Recognition

4.1.1 The policy of income recognition has to be objective and based on the record of recovery. Income from non-performing assets (NPA) is not recognised on accrual basis but is booked as income only when it is actually received. Therefore, banks should not take interest on non-performing assets to their income account on accrual basis.

4.1.2 However, interest on advances against term deposits, NSCs, KVPs and life insurance policies may be taken to income account on the due date, provided adequate margin is available in the accounts.

4.1.3 Fees and commissions earned by the banks as a result of re-negotiations or rescheduling of outstanding debts should be recognised on an accrual basis over the period of time covered by the re-negotiated or rescheduled extension of credit.

4.1.4 If Government guaranteed advances remain 'overdue' for more than 90 days, the interest on such advances should not be taken to income account unless the interest has been realised. This shall be applicable in cases of both Central and State Government guaranteed accounts.

4.1.5 In cases of loans where moratorium has been granted for repayment of interest, banks may recognize interest income on accrual basis for accounts which continue to be classified as 'standard'. This shall be evaluated against the definition of 'restructured accounts' provided at [sl.no. \(iii\) of Annex-5](#) to this Master Circular

4.2.1 If any advance, including bills purchased and discounted, becomes NPA, interest accrued and credited to income account, should be reversed or provided for, if the same is not realised. This will also apply to Government guaranteed accounts which remain overdue for more than 90 days.

4.2.2 However, if loans with moratorium on payment of interest (permitted at the time of sanction of the loan) become NPA after the moratorium period is over, the capitalized interest, if any, corresponding to the interest accrued during such moratorium period need not be reversed.

4.2.3 In respect of NPAs, fees, commission and similar income that have accrued should cease to accrue in the current period and should be reversed with respect to past periods, if uncollected.

4.2.4 Banks undertaking equipment leasing should follow prudential accounting standards. Lease rentals comprises of two elements - a finance charge (i.e. interest charge) and a charge towards recovery of the cost of the asset. The interest component alone should be taken to

income account. Such interest component taken to income account, before the asset became NPA, if unrealised should be reversed or provided for.

4.3.1 As a prudent practice and in order to bring about uniform accounting practice among banks for booking of income on units of UTI and equity of All India Financial Institutions, such income should be booked on cash basis and not on accrual basis.

4.3.2 However, in respect of income from Government securities / bonds of public sector undertakings and All India Financial Institutions, where interest rates on the instruments are predetermined, income may be booked on accrual basis, provided interest is serviced regularly and is not in arrears.

Interest realised on NPAs may be taken to income account, provided the credits in the accounts towards interest are not out of fresh / additional credit facilities sanctioned to the borrower concerned.

4.5.1 In case of NPAs, as a prudential norm, there is no use in debiting the said account by interest accrued in subsequent months and taking this accrued interest amount as income of the bank as the said interest is not being received. It is simultaneously desirable to show such accrued interest separately or park in a separate account so that interest receivable on such NPA account is computed and shown as such, though not accounted as income of the bank for the period.

4.5.2 The interest accrued in respect of performing assets may be taken to income account as the interest is reasonably expected to be received. However, if interest is not actually received for any reason in these cases and the account is to be treated as an NPA, then the amount of interest so taken to income should be reversed or should be provided for in full.

4.5.3 With a view to ensuring uniformity in accounting the accrued interest in respect of both the performing and non-performing assets, the following guidelines may be adopted notwithstanding the existing provisions in the respective State Co-operative Societies Act.

(i) Interest accrued in respect of non-performing advances should not be debited to borrowal accounts but shown separately under 'Interest Receivable Account' on the 'Property and Assets' side of the balance sheet and corresponding amount shown under 'Overdue Interest Reserve Account' on the 'Capital and Liabilities' side of the balance sheet.

(ii) In respect of borrowal accounts, which are treated as performing assets, accrued interest can alternatively be debited to the borrowal account and credited to Interest account and taken to income account. In case the accrued interest in respect of the borrowal account is not actually realised and the account has become NPA, interest accrued and credited to income account should be reversed or provided for.

(iii) The illustrative accounting entries to be passed in respect of accrued interest on both the performing and non-performing advances are indicated in the [Annex 3](#).

4.5.4 In the above context, it may be clarified that overdue interest reserve is not created out of the real or earned income received by the bank and as such, the amounts held in the Overdue Interest Reserve Account cannot be regarded as 'reserve' or a part of the owned funds of the banks. It will also be observed that the Balance Sheet format prescribed under the [Third Schedule](#) to the Banking Regulation Act, 1949 (As Applicable to Co-operative Societies) specifically requires the banks to show 'Overdue Interest Reserve' as a distinct item on the 'Capital and Liabilities' side vide item 8 thereof.

5. Provisioning Norms

5.1.1 In conformity with the prudential norms, provisions should be made on the non-performing assets on the basis of classification of assets into prescribed categories as detailed in [paragraph 3](#) above. Further, in terms of circular - [DOR.CAP.REC.No.27/09.18.201/2024-25](#) on "Prudential Treatment of Bad and Doubtful Debt Reserve by Co-operative Banks" dated August 02, 2024, all provisions required as per this Master Circular, whether accounted for under the head "Bad and Doubtful Debt Reserve (BDDR)" or any other head of account, shall be charged as an expense to the P&L account in the accounting period in which they are recognized. After charging all applicable provisions as per this Master Circular and other extant regulations to the Profit and Loss Account, banks may make any appropriations of net profits below the line to BDDR, if required as per the applicable statutes or otherwise.

5.1.2 Taking into account the time lag between an account becoming doubtful of recovery, its recognition as such, the realisation of the security and the erosion over time in the value of security charged to the bank, the banks should make provision against loss assets, doubtful assets and sub-standard assets as below :

The entire assets should be written off after obtaining necessary approval from the competent authority and as per the provisions of the Co-operative Societies Act / Rules. If the assets are permitted to remain in the books for any reason, 100 per cent of the outstanding should be provided for.

(a) Provision should be 100 per cent of the extent to which the advance is not covered by the realisable value of the security to which the bank has a valid recourse. The realisable value should be estimated on a realistic basis.

(b) In regard to the secured portion, provision may be made on the following basis, at the rates ranging from 20 per cent to 100 per cent of the secured portion depending upon the period for which the asset has remained doubtful :

All UCBs	
Period for which the advance has remained in 'doubtful' category	Provision Requirement
Up to one year	20 per cent

One to three years	30 per cent
Advances classified as 'doubtful for more than three years' on or after April 1, 2010	100 percent

A general provision of 10 per cent on total outstanding should be made without making any allowance for ECGC guarantee cover and securities available.

(a) The standard asset provisioning norms applicable to Tier I, Tier 2, Tier 3 and Tier 4 UCBs as categorized under the revised regulatory framework⁵, shall be as under :

- i. Direct advances to agriculture and SME sectors which are standard, shall attract a uniform provisioning requirement of 0.25 percent of the funded outstanding on a portfolio basis.
- ii. Advances to commercial real estate (CRE) sector which are standard shall attract a uniform provisioning requirement of 1.00 percent of the funded outstanding on a portfolio basis.
- iii. Advances to commercial real estate - residential housing (CRE-RH)⁶ sector which are standard, provision requirement shall be 0.75 percent.
- iv. For all other advances, banks shall maintain a uniform general standard asset provision of a minimum of 0.40 per cent of the funded outstanding on a portfolio basis.

(b) The standard asset provisioning requirements for all UCBs are summarized as under :

Category of Standard Asset	Rate of Provisioning
Direct advances to Agriculture and SME sectors	0.25%
Commercial Real Estate (CRE) sector	1.00%
Commercial Real Estate-Residential Housing Sector (CRE-RH)	0.75%
All other loans and advances not included above	0.40%

(c) The erstwhile Tier I UCBs, which are currently maintaining standard asset provision of 0.25% on 'all other loans and advances not included above' are permitted to achieve the provisioning requirement of 0.40% on such advances in a staggered manner by March 31, 2025. Thus, provision on all such standard loans and advances outstanding as on March 31, 2023 shall be increased to 0.30% by March 31, 2024, to 0.35% by September 30, 2024 and to 0.40% by March 31, 2025.

(d) The provisions towards "standard assets" need not be netted from gross advances but shown separately as "Contingent Provision against Standard Assets" under "Other Funds and Reserves" {item.2 (viii) of Capital and Liabilities} in the Balance Sheet.

(e) In case banks are already maintaining excess provision than what is required / prescribed by Statutory Auditor / RBI Inspection for impaired credits under Bad and Doubtful Debt Reserve^{*} or any other head of account^{*} / provisions for NPA⁷, additional provision required for Standard Assets may be segregated and the same may be parked under the head "Contingent Provisions against Standard Assets" with the approval of their Board of Directors. Shortfall if any, on this account may be made good in the normal course.

* Provisions created above the line i.e. by charging as an expense to the Profit and Loss account.

(f) The above contingent provision will be eligible for inclusion in Tier II capital.

There is no objection if the banks create bad and doubtful debts reserve beyond the specified limits on their own or if provided in the respective State Co-operative Societies Acts.

Banks may have retirement benefit schemes for their staff, viz. Provident Fund, Gratuity and Pension. It is necessary that such liabilities are estimated on actuarial basis and full provision should be made every year for the purpose in their Profit and Loss Account.

5.3.1 The entire amount due to the bank (irrespective of quantum of security held against such assets), or for which the bank is liable (including in case of deposit accounts), is to be provided for over a period not exceeding four quarters commencing with the quarter in which the fraud has been detected;

5.3.2 However, where there has been delay beyond the prescribed period, in reporting the fraud to Reserve Bank, the entire provisioning is required to be made at once. In addition, Reserve Bank of India may also initiate appropriate supervisory action where there has been delay by the bank in reporting a fraud or provisioning there against.

State Government guaranteed advance and investment in State Government guaranteed securities would attract extant provisioning norms on the basis of classification of assets into prescribed categories as detailed in [paragraph 3](#) above.

(ii) **Advances granted under Rehabilitation Packages approved by Term Lending Institutions**

(a) The existing credit facilities sanctioned to a unit under rehabilitation package approved by term lending institutions, should continue to be classified as sub-standard or doubtful asset as the case may be.

(b) However, the additional facilities sanctioned as per package finalised by term lending institutions, the income recognition and asset classification norms will become applicable after a period of one year from the date of disbursement.

(c) In respect of additional credit facilities granted to SSI units which are identified as sick and where rehabilitation packages / nursing programmes have been drawn by the banks themselves or under consortium arrangements, no provision need be made for a period of one year.

(iii) Advances against fixed / term deposit, NSCs eligible for surrender, KVPs, and life policies are exempted from provisioning requirements.

(iv) Advances against gold ornaments, government securities and all other kinds of securities are not exempted from provisioning requirements.

(a) In the case of doubtful assets which are guaranteed by ECGC, provision should be made only for the balance in excess of the amount guaranteed by the Corporation. Further, while arriving at the provisioning required, realisable value of the securities should first be deducted from the outstanding balance in respect of the amount guaranteed by the Corporation and then provision made as illustrated hereunder :

Example	
Outstanding Balance	4 lakhs
ECGC Cover	50 per cent
Period for which the advance has remained doubtful	More than 3 years
Value of security held (excludes worth of borrower / guarantor)	1.50 lakhs

Provision required to be made	
Outstanding balance	4.00 lakhs
Less : Value of security held	1.50 lakhs
Unrealised balance	2.50 lakhs
Less : ECGC Cover (50% of unrealisable balance)	1.25 lakhs
Net unsecured balance	1.25 lakhs
Provision for unsecured portion of advance	1.25 lakhs (@ 100 per cent of unsecured portion)
Provision for secured portion of advance (as on March 31 2005)	0.90 lakhs (@ 60 per cent of secured portion of 1.50 lakh).

Total provision required to be made	2.15 lakhs (as on March 31, 2005).
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(b) Banks have the option of following more stringent method of provisioning in respect of advances covered by the guarantees of ECGC as compared to the method given above.

In terms of circular [DOR.STR.REC.67/21.06.201/2022-23](#) dated September 07, 2022, banks have been permitted to apply zero risk weight to advances guaranteed by Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) and individual schemes under National Credit Guarantee Trustee Company Ltd (NCGTC), subject to certain conditions. In case such advances become non-performing, no provisions need to be made towards the guaranteed portion. The amount outstanding in excess of the guaranteed portion, should be provided for as per the extant guidelines on provisioning for non-performing assets.

(vii) **Interbank exposure of Primary (Urban) Co-operative Banks (UCBs) under All Inclusive Directions**

a) The interbank exposures arising from deposits placed by UCBs with a UCB under AID and their non-performing exposures arising from discounted bills drawn under LCs issued by a UCB under AID shall be fully provided within five years at the rate of 20% annually. Further, the interest receivable on the deposits shall not be recognised as income by the UCBs.

b) If the UCBs choose to convert such deposits into long term perpetual debt instruments (e.g. Innovative Perpetual Debt Instrument - IPDI) which may be recognised as capital instrument under a scheme of restructuring / revival of a UCB under AID, provision on the portion of deposits converted into such instruments shall not be required.

6. Transfer of Loan Exposures

7. Government Debt Relief Schemes (DRS)

Banks participating as lenders under Debt Relief Schemes (DRS) announced by State Governments shall comply with the guidelines contained in [Annex-1](#) of the circular on Government Debt Relief Schemes (DRS) dated December 31, 2024,

Direct Finance to Agriculture

1.1 Finance to Individual Farmers for Agriculture and Allied Activities (Dairy, Fishery, Piggery, Poultry, Bee-keeping, etc.)

Loans to individual farmers [including Self Help Groups (SHGs) or Joint Liability Groups (JLGs), i.e. groups of individual farmers, provided banks maintain disaggregated data on such loans] engaged in Agriculture and Allied Activities, viz., dairy, fishery, animal husbandry, poultry, bee-keeping and sericulture (up to cocoon stage).

1.2 Loans to others [such as corporates, partnership firms and institutions] for Agriculture and Allied Activities (dairy, fishery, piggery, poultry, bee-keeping, etc.) up to an aggregate limit of 4 crore per borrower for the following purposes:

- (i) Short-term loans for raising crops, i.e. for crop loans. This will include traditional/non-traditional plantations, horticulture and allied activities.
 - (ii) Medium & long-term loans for agriculture and allied activities (e.g. purchase of agricultural implements, technological solutions, machinery and developmental activities undertaken in the farm and development loans for allied activities).
 - (iii) Loans for pre-harvest and post-harvest activities viz. spraying, harvesting, grading and transporting of their own farm produce.
 - (iv) Loans to farmers up to 2.5 crore against pledge / hypothecation of agricultural produce (including warehouse receipts) for a period not exceeding 12 months, irrespective of whether the farmers were given crop loans for raising the produce or not.
 - (v) Loans to small and marginal farmers (SMFs) for purchase of land for agricultural purposes.
 - (vi) Loans to distressed farmers indebted to non-institutional lenders, against appropriate collateral.
 - (vii) Export credit for exporting their own farm produce.
-

**Illustrative Accounting Entries to be passed in respect of
Accrued Interest on both the Performing and Non-performing Advances**

I. Accrued Interest on Performing Advances

- i) It has been clarified in [paragraph 4.5.2](#) and [4.5.3 \(ii\)](#) of the Master Circular that accrued interest in respect of performing advances may be charged to borrowal accounts and taken to income account. Illustratively, if the accrued interest is 10,000/- in respect of performing advances of a borrower 'X' (cash credit, overdraft, loan account, etc.) the following entries can be passed in the Books of Account.
-

(Dr) Borrower's account (CC, OD loan)	10,000.00
(Cr) Interest account	10,000.00

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- ii) In case the accrued interest of 10,000/- in respect of the borrowal account is not actually realised and the account has become NPA, interest accrued and credited to income account should be reversed or provided for if the same is not realised by passing the following entries :

(Dr) P&La/c)	10,000.00
(Cr) Overdue Interest Reserve Account	10,000.00

-
- iii) In case accrued interest is realised subsequently, the following entries may be passed :

(Dr) Cash / Bank account	10,000.00
(Cr) Borrower's Account (CC, OD, Loan)	10,000.00
(Dr) Overdue Interest Reserve Account	10,000.00
(Cr) Interest account	10,000.00

II. Accrued Interest on Non-Performing Advances

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- i) Accrued interest in respect of non-performing advances may be debited to 'Interest Receivable Account' and corresponding amount credited to 'Overdue Interest Reserve Account'. For example, if the interest accrued in respect of Cash Credit / OD / Loan etc. account of a borrower 'Y' is 20,000/- the accounting entries may be passed as under :
-

(Dr) Interest Receivable Account	20,000.00
(Cr) Overdue Interest Reserve Account	20,000.00

- ii) Subsequently, if interest is actually realised, the following accounting entries may be passed :
-

(Dr) Cash / Bank Account	20,000.00
(Cr) Interest account	20,000.00
(Dr) Overdue Interest Reserve Account	20,000.00
(Cr) Interest Receivable Account	20,000.00

III. Accounting of Overdue Interest in Loan Ledgers & Balance Sheet

- i) With a view to facilitating the banks to work out the amount of interest receivable in respect of each non-performing borrowal account, banks can consider opening a separate column in the individual ledger accounts of such borrowers and interest receivable shown therein. This would enable the banks to determine at a particular point of time, the amount of interest actually to be recovered from the borrowers. Total of the amounts shown under the separate columns in the loan ledgers would be interest receivable in respect of non-performing advances and it would get reflected as such on the 'assets' side of balance sheet with a corresponding item on the liabilities side of the balance sheet as 'Overdue Interest Reserve'.
-
- ii) Similarly, a separate column should be provided in the loan ledger in respect of performing advances for showing accrued interest taken to income account. If the accrued interest is not realised and the account becomes NPA, the amount has to be reversed or provided for.
-

(Clarification on certain frequently asked questions)
(vide [para 7](#))

- Whether a working capital account will become an NPA if the stock statements are not submitted regularly? What should be the period for which the stock statements can be in arrears before the account is treated as an NPA?**
-

Banks should ensure that drawings in the working capital accounts are covered by the adequacy of current assets, since current assets are first appropriated in times of distress. Considering the practical difficulties of large borrowers, stock statements relied upon by the banks for determining drawing power should not be older than three months. The outstanding in the account based on drawing power calculated from stock statements older than three months would be deemed as irregular. A working capital borrowal account will become NPA if such irregular drawings are permitted in the account for a continuous period of 90 days.

2. Whether an account will become an NPA if the review / renewal of regular / ad-hoc credit limits are not done when due? What should be periodicity of review / renewal to decide the present status of an account?

Banks shall adhere to the instructions contained in the [Master Circular for Urban Cooperative Banks \(UCBs\) on Management of Advances - UCBs](#) dated April 8, 2022, as updated from time to time, regarding the requirement of policy for periodic review of the working capital limits. Further, banks shall also adhere to the instructions issued vide circular [DoS.CO.PPG.BC.1/11.01.005/2020-21](#) dated August 21, 2020 on 'Ad-hoc / Short Review / Renewal of Credit Facilities', including inter alia the requirement of a detailed Board approved policy on methodology and periodicity for review / renewal of credit facilities within the overall regulatory guidelines and strict adherence to the same. An account where the regular / ad-hoc credit limits have not been reviewed or have not been renewed within 90 days from the due date / date of ad-hoc sanction will be treated as NPA. In case of constraints such as non-availability of financial statements and other data from the borrowers, the branch should furnish evidence to show that renewal / review of credit limits is already on and would be completed soon.

3. Regularisation of the account around the date of balance sheet - Whether it will be in order to treat a borrowal account as 'standard', if it has been irregular for a major part of the year, but has been regularised near the balance sheet date?

The asset classification of borrowal accounts where a solitary or a few credits are recorded before the balance sheet date should be handled with care and without scope for subjectivity. Where the account indicates inherent weakness on the basis of the data available, the account should be deemed as a NPA. In other genuine cases, the banks must furnish satisfactory evidence to the Statutory Auditors / Inspecting Officers about the manner of regularisation of the account to eliminate doubts on their performing status.

4. Classification of NPAs where there is a threat to recovery

How should the instructions on classification of NPAs straightaway as doubtful or a loss asset be interpreted and what can be termed as a 'significant credit impairment'?

An NPA need not go through the various stages of classification in case of serious credit impairment and such assets should be straightway classified as a doubtful / loss asset as appropriate. Erosion in the value of security can be reckoned as significant when the realizable value of the security is less than 50 per cent of the value assessed by the bank or accepted by RBI at the time of last inspection, as the case may be. Such NPAs may be straightaway classified under doubtful category and provisioning should be made as applicable to doubtful assets.

5. Classification of credit facilities under consortium

In certain cases of consortium accounts, though the record of recovery in the account with a member bank may suggest that the account is a NPA, the banks submit that, at times, the borrower has deposited adequate funds with the consortium leader / member of the consortium and the bank's share is due for receipt. In such cases, will it be in order for the member bank to classify the account as 'standard' in its books?

Asset classification of accounts under consortium should be based on the record of recovery of the individual member banks and other aspects having a bearing on the recoverability of the advances. Where the remittances by the borrower under consortium lending arrangements are pooled with one bank and / or where the bank receiving remittances is not parting with the share of other member banks, the account will be treated as not serviced in the books of the other member banks, and therefore, be treated as NPA. The banks participating in the consortium should, therefore, arrange to get their share of recovery transferred from the lead bank or get an express consent from the lead bank for the transfer of their share of recovery, to ensure proper asset classification in their respective books.

6. Appropriation of recoveries - What is the practice to be adopted by banks regarding appropriation of recoveries in NPA accounts?

In the absence of a clear agreement between the bank and the borrower for the purpose of appropriation of recoveries in NPAs (i.e. towards Principal or interest due) banks should adopt an accounting principle and exercise the right of appropriation of recoveries in a uniform and consistent manner.

7. Overdues in other credit facilities - There are instances where banks park the dues from a borrower in respect of devolved letters of credit and invoked guarantees in a separate account, irrespective of whether the borrower's credit facilities are regular or not. How to determine when the account in which such dues are parked has become an NPA?

A number of banks adopt the practice of parking the dues of the borrower in respect of devolved letters of credit and invoked guarantees in a separate account which is not a regular sanctioned facility. As a result these are not reflected in the principal operating account of the borrower. This renders application of the prudential norms for identification of NPAs difficult. It is, therefore, advised that if the debts arising out of devolvement of letters of credit or invoked guarantees are parked in a separate account, the balance outstanding in that account also should be treated as a part of the borrower's principal operating account for the purpose of application of prudential norms on income recognition, asset classification and provisioning.

8. Treatment of loss assets - An NPA account will be classified as a loss asset only when there is no security in the account or where there is considerable erosion in the realisable value of the security in the account. What can be termed as a 'considerable' erosion for the account to be classified as a loss asset?

If the realisable value of the security, as assessed by the bank / approved valuers / RBI is less than 10 per cent of the outstanding in the borrowal accounts, the existence of security should be ignored and the asset should be straightaway classified as loss asset. It may be either written off after obtaining necessary permission from the competent authority as per the Co-operative Societies Act / Rules, or fully provided for by the bank.

9. Valuation of Security - A major source of divergence in provisioning requirement was the realisable value of the primary and collateral security. Can uniform guidelines be prescribed for adoption in this area, at least for large value accounts?

With a view to bringing down divergence arising out of difference in assessment of the value of security it has been decided that in cases of NPAs with balance of 10 lakh and above :

- a) The current assets and their valuation are looked into at the time of Statutory Audit / Concurrent audit. However, in order to enhance the reliability on stock valuations, stock audit at annual intervals by external agencies could be considered in case of larger advances. The cut off limit and the names of the external agencies may be finalised by the Board.
 - b) Collaterals such as immovable properties charged in favour of the bank should be got valued once in three years by valuers appointed as per the guidelines approved by the Board of Directors.
-

10. Compromise settlements and technical write-offs - What are the guidelines to be complied by banks, for undertaking compromise settlements and technical write-offs?

Please refer to the '[Framework for Compromise Settlements and Technical Write-offs](#)' dated June 08, 2023 and the [FAQs](#) on the same, issued on June 20, 2023.

Prudential Guidelines on Restructuring of Advances

Key Concepts

i) **Advances**

The term 'Advances' will mean all kinds of credit facilities including cash credit, overdrafts, term loans, bills discounted / purchased, receivables, etc. and investments other than that in the nature of equity.

ii) **Fully Secured**

When the amounts due to a bank (present value of principal and interest receivable as per restructured loan terms) are fully covered by the value of security, duly charged in its favour in respect of those dues, the bank's dues are considered to be fully secured. While assessing the realisable value of security, primary as well as collateral securities would be reckoned, provided such securities are tangible securities and are not in intangible form like guarantee etc., of the promoter / others. However, for this purpose the bank guarantees, State Government Guarantees and Central Government Guarantees will be treated on par with tangible security.

iii) **Restructured Accounts**

A restructured account is one where the bank, for economic or legal reasons relating to the borrower's financial difficulty, grants to the borrower concessions that the bank would not otherwise consider. Restructuring would normally involve modification of terms of the advances / securities, which would generally include, among others, alteration of repayment period / repayable amount / the amount of instalments / rate of interest (due to reasons other than competitive reasons).

iv) **Repeatedly Restructured Accounts**

When a bank restructures an account a second (or more) time(s), the account will be considered as a 'repeatedly restructured account'. However, if the second restructuring takes place after the period up to which the concessions were extended under the terms of the first restructuring, that account shall not be reckoned as a 'repeatedly restructured account'.

v) **SMEs**

Small and Medium Enterprises as defined in terms of the circular [FIDD.MSME & NFS.BC.No.4/06.02.31/2020-21](#) dated August 21, 2020 on 'New Definition of Micro, Small and Medium Enterprises - clarifications', as updated from time to time.

vi) **Specified Period**

Specified Period means a period of one year from the date when the first payment of interest or installment of principal falls due under the terms of restructuring package.

vii) **Satisfactory Performance**

Satisfactory performance during the specified period means adherence to the following conditions during that period.

Non-Agricultural Cash Credit Accounts

In the case of non-agricultural cash credit accounts, the account should not be out of order any time during the specified period. In addition, there should not be any overdues at the end of the specified period.

Non-Agricultural Term Loan Accounts

In the case of non-agricultural term loan accounts, no payment should remain overdue for a period of more than 90 days. In addition there should not be any overdues at the end of the specified period.

All Agricultural Accounts

In the case of agricultural accounts, at the end of the specified period the account should be regular.

Asset Classification of Restructured Accounts under the Guidelines				
Particulars	Case 1	Case 2	Case 3	Case 4

I.	Assumed due date of payment	31.01.2007	31.01.2007		
	Assumed date of restructuring	31.03.2007	31.03.2007	31.03.2007	31.03.2007
	Period of delinquency as on the date of restructuring	2 months	2 months	18 months	18 months
	Asset Classification (AC) before restructuring	'Standard'	'Standard'	'Doubtful - less than one year'	'Doubtful - less than one year'
	Date of NPA	NA	NA	31.12.05 (Assumed)	31.12.05 (Assumed)
II.	Asset Classification (AC) on Restructuring				
	Assumed status of the borrower	Eligible for special regulatory treatment	Not eligible for special regulatory treatment	Eligible for special regulatory treatment	Not eligible for special regulatory treatment
	AC after restructuring	'Standard'	Downgraded to 'Substandard' w.e.f 31.03.07 (i.e., on the date of restructuring)	'Doubtful - less than one year'	'Doubtful - less than one year'
	Assumed first payment due under the revised terms	31.12.07	31.12.07	31.12.07	31.12.07

III. Asset Classification after Restructuring						
	A. The account performs satisfactorily as per restructured terms					
	(a)	AC during the specified one year period (i.e., from 31.12.07 to 31.12.08)	No change (i.e., remains 'Standard')	'Doubtful - less than one year' w.e.f. 31.03.08 (i.e. one year after classification as 'Substandard')	No change (i.e., remains 'Doubtful - less than one year')	'Doubtful - one to three years' w.e.f. 31.12.07 (i.e., one year after classification as 'Doubtful less than one year')
	(b)	AC after the specified one year period	Continues in 'Standard' category	Upgraded to 'Standard' category	Upgraded to 'Standard' category	Upgraded to 'Standard' category
	B. If performance not satisfactory vis-a-vis restructured terms					
	(a)	AC during the specified one year period (in case the unsatisfactory performance is established before completion of one year period)	Treated as substandard w.e.f 30.4.2007 and downgraded to 'Doubtful less than one year' with effect from 30.04.08.	'Doubtful - less than one year' w.e.f. 31.03.08 (i.e. one year after classification	'Doubtful one to three years' w.e.f. 31.12.07	'Doubtful - one to three years' w.e.f. 31.12.07 (i.e., one year after classification as 'Doubtful less than one year' (on 31.12.06)
	(b)	AC after the specified one year period, if the unsatisfactory performance continues	Will migrate to 'Doubtful - one to three years' w.e.f. 30.04.09 and 'Doubtful more than three years' w.e.f. 30.04.2011.	Will migrate to 'Doubtful - one to three years' w.e.f. 31.03.09 and 'Doubtful more than three years' w.e.f. 31.03.2011.	Will migrate to 'Doubtful - more than three years' w.e.f. 31.12.09	Will migrate further to 'Doubtful more than three years' w.e.f. 31.12.09

Guidelines on Asset Classification of Projects under Implementation

Banks must fix a Date of Commencement of Commercial Operations (DCCO) for all project loans at the time of sanction of the loan / financial closure⁹ (in the case of multiple banking or consortium arrangements). For the purpose of IRAC norms, all project loans may be divided into the following two categories; (i) Project Loans for infrastructure sector (ii) Project Loans for non-infrastructure sector.

1. Project Loans for Infrastructure Sector

- 1.1 A loan for an infrastructure project will be classified as NPA during any time before commencement of commercial operations as per record of recovery (90 days overdue), unless it is restructured and becomes eligible for classification as 'standard asset' in terms of [paras.1.3](#) and [1.4](#) below.
-
- 1.2 A loan for an infrastructure project will be classified as NPA if it fails to commence commercial operations within two years from the original DCCO, even if it is regular as per record of recovery, unless it is restructured and becomes eligible for classification as 'standard asset' in terms of [paras 1.3](#) and [1.4](#) below.
-
- 1.3 There may be occasions when completion of projects is delayed for legal and other extraneous reasons like delays in Government approvals etc. All these factors, which are beyond the control of the promoters, may lead to delay in project implementation and involve restructuring / rescheduling of loans by banks. If a project loan classified as 'standard asset' is restructured any time during the period up to two years from the original date of commencement of commercial operations (DCCO), in accordance with prudential guidelines on restructuring of advances at [paragraph 2.2.7](#) above, it can be retained as a standard asset if the fresh DCCO is fixed within the following limits, and further provided the account continues to be serviced as per the restructured terms :
-

a) ***Infrastructure Projects involving Court Cases***

Up to another 2 years (beyond the existing extended period of 2 years i.e total extension of 4 years), in case the reason for extension of date of commencement of production is arbitration proceedings or a court case.

b) ***Infrastructure Projects delayed for other reasons beyond the Control of Promoters***

Up to another 1 year (beyond the existing extended period of 2 years i.e. total extension of 3 years), in other than court cases.

- 1.4 The dispensation in [para 1.3](#) is subject to the condition that the application for restructuring should be received before the expiry of period of two years from the original DCCO and when the account is still standard as per record of recovery. The other conditions applicable would be :
-

-
- i. In cases where there is moratorium for payment of interest, banks should not book income on accrual basis beyond two years from the original DCCO, considering the high risk involved in such restructured accounts.
-
- ii. Banks should maintain provisions on such accounts as long as these are classified as standard assets as under :
-

Until two years from the original DCCO	0.40%
During the third and the fourth years after the original DCCO.	1.00%

For the purpose of these guidelines, mere extension of DCCO will also be treated as restructuring even if all other terms and conditions remain the same.

2. Project Loans for Non-Infrastructure Sector

- 2.1 A loan for a non-infrastructure project will be classified as NPA during any time before commencement of commercial operations as per record of recovery (90 days overdue), unless it is restructured and becomes eligible for classification as 'standard asset' in terms of [paras 2.3](#) and [2.4](#) below.
-
- 2.2 A loan for a non-infrastructure project will be classified as NPA if it fails to commence commercial operations within six months from the original DCCO, even if it is regular as per record of recovery, unless it is restructured and becomes eligible for classification as 'standard asset' in terms of [paras 2.3](#) and [2.4](#) below.
-
- 2.3 In case of non-infrastructure projects, if the delay in commencement of commercial operations extends beyond the period of six months from the date of completion as determined at the time of financial closure, banks can prescribe a fresh DCCO, and retain the "standard" classification by undertaking restructuring of accounts in accordance with prudential guidelines on restructuring of advances at [paragraph 2.2.7](#) above, provided the fresh DCCO does not extend beyond a period of twelve months from the original DCCO. This would among others also imply that the restructuring application is received before the expiry of six months from the original DCCO, and when the account is still "standard" as per the record of recovery.
-

The other conditions applicable would be :

- a) In cases where there is moratorium for payment of interest, banks should not book income on accrual basis beyond six months from the original DCCO, considering the high risk involved in such restructured accounts.
-

-
- b) Banks should maintain provisions on such accounts as long as these are classified as standard assets as under :
-

Until the first six months from the original DCCO	0.40%
During the next six months	1.00%

-
- 2.4 For this purpose, mere extension of DCCO will also be treated as restructuring even if all other terms and conditions remain the same.
-

3. These guidelines will however not be applicable to restructuring of commercial real estate and housing loans.

4. Other Issues

- 4.1 All other aspects of restructuring of project loans before commencement of commercial operations would be governed by the instructions on restructuring of advances as contained in this Master Circular.
-

- 4.2 Any change in the repayment schedule of a project loan caused due to an increase in the project outlay on account of increase in scope and size of the project, would not be treated as restructuring if :
-

- i) The increase in scope and size of the project takes place before commencement of commercial operations of the existing project.
-
- ii) The rise in cost excluding any cost-overflow in respect of the original project is 25% or more of the original outlay.
-
- iii) The bank re-assesses the viability of the project before approving the enhancement of scope and fixing a fresh DCCP.
-
- iv) On re-rating, (if already rated) the new rating is not below the previous rating by more than one notch.
-

Definition of 'Infrastructure Lending'

Any credit facility in whatever form extended by lenders (i.e. banks, FIs or NBFCs) to an infrastructure facility as specified below falls within the definition of "infrastructure lending". In other words, a credit facility provided to a borrower company engaged in developing or operating and maintaining, or developing, operating and maintaining any infrastructure facility that is a project in any of the following sectors, or any infrastructure facility of a similar nature

a road, including toll road, a bridge or a rail system; a highway project including other activities being an integral part of the highway project; a port, airport, inland waterway or inland port; a water supply project, irrigation project, water treatment system, sanitation and sewerage system or solid waste management system; telecommunication services whether basic or cellular, including radio paging, domestic satellite service (i.e., a satellite owned and operated by an Indian company for providing telecommunication service), network of trunking, broadband network and internet services; An industrial park or Special Economic Zone generation or generation and distribution of power; transmission or distribution of power by laying a network of new transmission or distribution lines; construction relating to projects involving agro-processing and supply of inputs to agriculture; construction for preservation and storage of processed agro-products, perishable goods such as fruits, vegetables and flowers including testing facilities for quality ; construction of educational institutions and hospitals; laying down and / or maintenance of gas, crude oil and petroleum pipelines, any other infrastructure facility of similar nature.

Annex 9

A. List of Circulars consolidated in the Master Circular

Sr. No.	Circular No.	Date	Subject
1.	DOR.STR.REC.12/21.04.048/2023-24	24-04-2023	Provisioning for Standard Assets by primary (Urban) Co-operative banks-revised norms under four-tiered regulatory framework
2.	DOR.STR.REC.67/21.06.201/2022-23	07.09.2022	Review of Prudential Norms - Risk Weights for Exposures guaranteed by Credit Guarantee Schemes (CGS)
3.	DOR.STR.REC.85/21.04.048/2021-22	15.02.2022	Prudential norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances - Clarifications
4.	DOR.STR.REC.68/21.04.048/2021-22	12.11.2021	Prudential norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances - Clarifications

5.	<u>DOR.(PCB).BPD.Cir.No.11/16.20.000/2019-20</u>	20.08.2020 ^{@1}	Provisioning on interbank exposure of Primary (Urban) Co-operative Banks (UCBs) under All Inclusive Directions
6.	<u>DoR(PCB).BPD.Cir.No.1/13.05.001/2020-21</u>	12.08.2020	System-based asset classification - UCBs
7.	<u>DOR(PCB).BPD.Cir.No.7/13.05.000/2019-20</u>	27.12.2019	Reporting of Large Exposures to Central Repository of Information on Large Credits (CRILC) - UCBs
8.	<u>DBR.No.BP.BC.30/21.04.048/2015-16</u>	16.07.2015	Prudential Norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances - Credit Card Accounts
9.	<u>DCBR.BPD.(PCB/RCB).Cir.No.35/12.05..001/2014-15</u>	14.05.2015	Provisioning pertaining to Fraud Accounts
10.	<u>UBD BPD(PCB)CirNo.45/13.05.000/2013-14</u>	28.01.2014	Housing Sector : New Sub-Sector CRE-Residential Housing (CRE-RH) Segment within CRE Sector & Rationalisation of Provisioning and Risk Weight

11.	UBD.BPD.PCB.Cir.No.37/09.22.010/2013-14	14.11.2013	Advances guaranteed by Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) - Risk Weights and Provisioning
12.	UBD.BPD.(PCB).CIR.No.49/09.14.000/2010-11	24.05.2011	Enhancement in Gratuity Limits - Prudential Regulatory Treatment
13.	UBD.BPD.Cir.No.59/09.14.000/2009-10	23.04.2010	IRAC norms for Projects under implementation
14.	UBD.BPD.Cir.No.29/09.11.600/2009-10	08.12.2009	Review of Monetary Policy - Provisioning requirement
15.	UBD.CO.LS.Cir.No.66/07.01.000/2008-09	06.05.2009	Annual Policy Statement for 2009-10- Extension of area of operation - Liberalisation
16.	UBD.PCB.BPD.53/13.05.000/2008-09	06.03.2009	Prudential Guidelines on Restructuring of Advances
17.	UBD.PCB.Cir.No.29/09.11.600/2008-09	01.12.2008	Provisioning for Standard Assets and Risk Weights for exposures
18.	UBD.PCB.Cir.No.47/09.11.600/07-08	26.05.2008	Provisioning Requirement for Standard Assets

19.	UBD.PCB.Cir.No.38/09.14.000/2007-08	02.04.2008	Income Recognition, Asset Classification & Provisioning Norms
20.	UBD.(PCB).Cir.No.35/09.20.001/07-08	07.03.2008	Classification of UCBs for Regulatory Purposes
21.	UBD.PCB.Cir.No.38/9.14.000/06-07	30.04.2007	Annual Policy Statement for the year 2007-08- Income recognition, asset classification and provisioning norms
22.	UBD.PCB.Cir.No.30/9.11.600/06-07	19.02.2007	3rdQuarter Review of Annual Statement on Monetary Policy for 2006-07- Provisioning for Standard Assets
23.	UBD.PCB.Cir.57/09.11.600/05-06	15.06.2006	Annual Policy Statement for the Year 2006-07- additional provisioning requirements for standard assets.
24.	UBD.PCB.Cir.20/09.11.600/05-06	24.11.2005	Mid Term Review of Annual Policy Statement for the year 2005-06- additional provisioning for standard assets

25.	UBD.PCB.Cir.1/09.140.00/05-06	04.07.2005	Income recognition and asset classification norms
26.	UBD.PCB.Cir.42/09.140.00/04-05	30.03.2005	Prudential Norm-IRAC and other related matters-procedure for accounting of accrued interest
27.	UBD.PCB.Cir.26/09.140.00/04-05	01.11.2004	Prudential Norms-State Govt Guaranteed Exposures.
28.	UBD.PCB.Cir.21/12.05.05/04-05	27.09.2004	Annual Policy Statement for the Year 2004-05 additional provisioning requirements for NPAs.
29.	UBD.PCB.cir.22/12.05.05/04-05	27.09.2004	Income recognition, asset classification, provisioning-26adoption of 90 days norms
30.	UBD.PCB.Cir.17/13.04.00/04-05	04.09.2004	Income recognition, asset classification, provisioning - adoption of 90 days norms
31.	UBD.PCB.Cir.9/13.04.00/04-05	04.08.2004	Income recognition, asset classification, provisioning - adoption of 90 days norms

32.	UBD.PCB.Cir.No.55/12.05.05/	30.06.2004	Annual Policy Statement for the year 2004-05. Additional Provisioning requirement for NPAs.
33.	UBD.PCB.Cir.No.53/13.05.03/	30.06.2004	Annual Policy Statement for the year 2004-05. Prudential Norms for Agricultural Advances
34.	UBD.PCB.No.49/12.05.03/2003-04	01.06.2004	Income recognition, asset classification, provisioning norms
35.	UBD.CIR.48/13.04.00/2002-03	22.05.2003	IRAC - 90 days norm for recognition of loan impairment - exemptions
36.	UBD.BSD-I.No.15/12.05.05/2002-03	11.09.2002	Income recognition, asset classification, provisioning and other related matters
37.	UBD.BSD.I.15/12.05.05/2002-03	11.09.2002	Income recognition, asset classification, provisioning - 12 months norms
38.	UBD.BSD.I.PCB.No.44/12.05.05/	21.05.2002	Classification of Agricultural Advances
39.	UBD.BSD.I.PCB.22/12.05.05/2001-02	12.11.2001	Treatment of restructured accounts

40.	UBD.No.BSD.I.PCB13/12.05.05/2001-02	06.10.2001	Divergence in asset classification and provisioning
41.	UBD.No.BSD.I.PCB.12/12.05.05/01-02	5.10.2001	Income Recognition and asset classification - Adoption of 90 days norm
42.	UBD.No.BSD.I.16/12.05.05/2000-2001	8.12.2000	Income Recognition and asset classification, provisioning and related matters - "Past Due" concept.
43.	UBD.No.BSD.I.PCB/14/12.05.05/	20.11.2000	Income recognition, Asset Classification and Provisioning
44.	UBD.CO.BSD-I.PCB.34/12.05.05/99-2000	24.05.2000	Income Recognition, Asset Classification, Provisioning and Valuation of Investments
45.	UBD.No.BSD.PCB./25/12.05.05/99-00	28.02.2000	Income Recognition, Asset Classification, Provisioning and other related matters
46.	UBD.No.BSD.I/22/12.05.00/99-2000	08.02.2000	IRAC - Agricultural loans affected by natural calamities

47.	UBD.No.BSD.I/11/12.05.00/1999-2000	12.10.1999	Clarification on classification of gold loans into Non-performing Assets
48.	UBD.No.BSD.I/2/12.05.05/1999-2000	28.07.1999	Income Recognition, 45Asset Classification and Provisioning - Concept of Commencement of Commercial Production
49.	UBD.No.BSD-I.29/12.05.05/98-99	23.04.1999	Income recognition asset classification and other related matters
50.	UBD.No.BSD-I.2/12.05.01/98-99	17.07.1998	Prudential norms for Income Recognition, Asset classification and provisioning - Agricultural Advances
51.	UBD.No.I&L.(PCBs)42/12.05.00/	20.03.1997	Prudential norms - Income Recognition, Asset Classification, Provisioning and other related matters.
52.	UBD.No.I&L.(PCBs)68/12.05.00/	10.06.1996	Income Recognition, assets classification, provisioning and other related matters Clarifications

53.	<u>UBD.No.I&L.(PCB)61/12.05.00/94-95</u>	06.06.1995	Income recognition, asset classification, provisioning and other related matters Valuation of investment and others
54.	<u>UBD.No.I&L(PCB)46/12.05.00/94-95</u>	28.02.1995	IRAC and other related matters - Procedure for accounting accrued interest
55.	<u>UBD.I&L(PCB)37/12.05.00/94-95</u>	09.01.1995	Income recognition, assets classification, provisioning and other related matters
56.	<u>UBD.No.I&L.86/12.05.00/93-94</u>	28.06.1994	IRAC, provisioning and other related matters
57.	<u>UBD.No.I&L.63/12.05.00/93-94</u>	01.03.1994	Income recognition, assets classification, provisioning and other related matters
58.	<u>UBD.No.48/12.05.00/93-94</u>	14.01.1994	IRAC, provisioning and other related matters
59.	<u>UBD.No.45/12.05.00/93-94</u>	24.12.1993	IRAC and other related matters clarification regarding credit facilities backed by Government Guarantees

60.	UBD.I&L.71/J.1/92-93	17.06.1993	IRAC, Povisioning and other related matters - clarification
61.	UBD.No.I&L.63J-I/92-93	16.04.1993	IRAC, provisioning and other related matters
62.	UBD.No.I&L.38/J.1-92/93	09.02.1993	IRAC, provisioning and other related matters
63.	UBD.No.I&L 51/J.1-90/91	23.02.1991	Classification of Non-Performing Loans

B. List of Other Circulars from which instructions have also been consolidated in the Master Circular

No.	Circular No.	Date	Subject
1.	UBD.No.DS.PCB.Cir.3/13.04.00/2002-03	20.07.2002	Charging of interest at monthly rests
2.	UBD.No.POT.PCB.CIR.No.45/09.116.00/2000-01	25.04.2001	Application of CRAR Norms to PCBs
3.	UBD.No.DS.PCB.20/13.04.00/97-98	10.11.1997	Compounding of Interest on Agri Advance

1 Any amount due to the bank under any credit facility, if not paid by the due date fixed by the bank, becomes overdue.

i. the outstanding balance in the CC / OD account remains continuously in excess of the sanctioned limit / drawing power for 90 days, or

ii. the outstanding balance in the CC / OD account is less than the sanctioned limit / drawing power but there are no credits continuously for 90 days, or the outstanding balance in the CC / OD account is less than the sanctioned limit / drawing power but credits are not enough to cover the interest debited during the previous 90 days period. The aforesaid 'previous 90 days period' is inclusive of the day for which the day-end process is being run.

4 'System-based asset classification' would mean asset classification (downgrading as well as upgrading) carried out by the CBS / computerized systems of the bank in an automated manner on an ongoing basis, based on the relevant RBI instructions / guidelines.

6 CRE-RH would consist of loans to builders / developers for residential housing projects (except for captive consumption) under CRE segment. Such projects should ordinarily not include non-residential commercial real estate. However, integrated housing projects comprising some commercial space (e.g. shopping complex, school, etc.) can also be classified under CRE-RH, provided that the commercial area in the residential housing project does not exceed 10% of the total Floor Space Index (FSI) of the project. In case the FSI of the commercial area in the predominantly residential housing complex exceeds the ceiling of 10%, the project loans should be classified as CRE and not CRE-RH.

7 Refer to [para 3c\) ii](#) of the circular DOR.CAP.REC.No.27/09.18.201/2024-25 dated August 02, 2024

9 For greenfield projects, financial closure is defined as a legally binding commitment of equity holders and debt financiers to provide or mobilise funding for the project. Such funding must account for a significant part of the project cost which should not be less than 90 per cent of the total project cost securing the construction of the facility.

@1 Actual Circular date should be 20th April 2020 for the Circular referred in Annex 9 at Serial No.5

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The Managing Director / Chief Executive Officers
All Primary (Urban) Co-operative Banks

Please refer to our Master Circular [DoR.STR.REC.3/09.27.000/2024-25](#) dated April 01, 2024 on the captioned subject. Attached is the revised Master Circular, updated to reflect all instructions issued up to March 31, 2025 on the above matter, as listed in the [Annex](#). It may be noted that this [Master Circular](#) only consolidates all instructions on the above matter issued up to March 31, 2025 and does not contain any new instructions / guidelines.

1. Guarantees

In view of the risks involved in the business of issuance of guarantees, the Primary (Urban) Co-operative Banks (UCBs) should extend guarantees within restricted limits so that their financial position is not impaired. The banks should follow certain broad guidelines in respect of their guarantee business as indicated in the following paragraphs.

- (i) As a general rule, banks may provide only financial guarantees and not performance guarantees.
- (ii) However, scheduled banks may issue performance guarantees on behalf of their constituents subject to exercising due caution in the matter.

It would be desirable for UCBs to confine their guarantees to relatively short-term maturities. Guarantees should not be issued for periods exceeding ten years in any case.

The total volume of guarantee obligations outstanding at any time may not exceed 10 per cent of the total owned resources of the bank comprising paid up capital, reserves and deposits. Within the overall ceiling, proportion of unsecured guarantees outstanding at any time may be limited to an amount equivalent to 25% of the owned funds (paid up capital + reserves) of the bank or 25% of the total amount of guarantees, whichever is less.

Banks should preferably issue secured guarantees. A secured guarantee means a guarantee made on the security of assets (including cash margin), the market value of which will not at any time be less than the amount of the contingent liability on the guarantee, or a guarantee fully covered by counter guarantee/s of the Central Government, State Governments, public sector financial institutions and / or insurance companies.

Banks should avoid undue concentration of unsecured guarantee commitments to particular groups of customers and / or trades. The banks' Board of Directors should fix suitable proportions for issuance of unsecured guarantees on behalf of any individual constituent so that these guarantees do not exceed a -

- (a) reasonable proportion of the total obligations in respect of unsecured guarantees provided by the bank to all such constituents at any time, and
- (b) reasonable multiple of the shareholdings in the bank.
- (i) Banks should generally provide deferred payment guarantees backed by adequate tangible securities or by counter guarantees of the Central or the State Government or public sector financial institutions or of insurance companies and other banks.
- (ii) Banks, which intend to issue deferred payment guarantees on behalf of their borrowers for acquisition of capital assets should ensure that the total credit facilities including the proposed deferred payment guarantees do not exceed the prescribed exposure ceilings.
- (iii) The proposals for deferred payment guarantees should be examined having regard to the profitability / cash flows of the project to ensure that sufficient surpluses are generated by the borrowing unit to meet the commitments as a bank has to meet the liability at regular intervals in respect of the instalments due. The criteria generally followed for appraising a term loan proposal for acquisition of capital assets should also be applied while issuing deferred payment guarantees.

UCBs should not issue, either to a Court or to Government, or any other person, a guarantee on behalf of or on account of any importers guaranteeing payment of customs duty and / or import duty, or other levies, payable in respect of import of essential commodities without taking, as security for issue of such guarantees, a cash margin equivalent to at least one half of the amount payable under the guarantee. The term "essential commodities" shall mean such commodities as may be specified by the Reserve Bank of India from time to time.

While issuing financial guarantees, banks should observe the following safeguards :

- (i) UCBs shall appraise the proposals for guarantees with the same diligence as in the case of fund based limits and such assessments shall inter alia factor in the presence of security, adequate margin, etc., or otherwise.
- (ii) Bank guarantees should be issued in security forms serially numbered to prevent issuance of fake guarantees.
- (iii) Guarantees above a particular cut off point, as may be decided by each bank, should be issued under two signatures in triplicate, one copy each for the branch, beneficiary and Controlling Office / Head Office. It should be binding on the part of the beneficiary to seek confirmation of the Controlling Office / Head Office as well for which a specific stipulation be incorporated in the guarantee itself.
- (iv) The guarantees should not normally be allowed to the customers who do not enjoy credit facilities with the banks but only maintain current accounts. If any requests are received from such customers, the banks should subject the proposals to thorough scrutiny and satisfy themselves about the genuine need of the customers. Banks should be satisfied that the customers would be in a position to meet the claims under the guarantees, when received, and not approach the bank for credit facility in this regard. For this purpose the banks should

enquire into the financial position of the customers, the source of funds from which they would be in a position to meet the liability and prescribe a suitable margin and obtain other security, as necessary. The banks may also call for the detailed financial statements and Wealth-tax / Income-tax returns of the customer to satisfy themselves of their financial status. The observations of the banks in respect of all these points should be recorded in banks' books.

(v) Where the customers enjoy credit facilities with other banks, the reasons for their approaching the bank for extending the guarantees should be ascertained and invariably, a reference should be made to their existing bankers with whom they are enjoying credit facilities.

(vi) Banks, when approached to issue guarantees in favour of other banks for grant of credit facilities by another bank, should examine thoroughly the reasons for approaching another bank for grant of credit facilities and satisfy themselves of the need for doing so. This should be recorded in bank's books. When it is considered necessary to issue such guarantees, the banks concerned should ensure that the relative guarantee document, beyond a stipulated amount, should not be signed singly but by two authorised officials jointly after obtaining proper sanction and authority and proper record of such guarantee issued being maintained. The credit proposals should be subjected to usual scrutiny by the lending bank ensuring that the proposals conform to the prescribed norms and guidelines and credit facilities are allowed only if the bank is satisfied about the merits of the proposal and the availability of another bank's guarantee should not result in a dilution of the standards of evaluation of the proposal and financial discipline in lending.

(i) Government of India and Reserve Bank of India have been receiving a number of complaints on non-payment or delay in payment of bank guarantees upon invocation.

(ii) The bank guarantee is a commitment made by the issuing bank to make payment to the beneficiary (albeit at the behest of the bank's constituent). Failure on the part of the bank to honour the claim legitimately made on it projects a distorted picture of its functioning.

(iii) In fact some strictures were passed by Courts in the past against banks for not honouring the guarantee commitments promptly. In this connection, an extract of a judgment pronounced by the Hon'ble Supreme Court, in a case on the issue of injunctions obtained by parties from courts restraining payment of invoked guarantees is appended :

"We are therefore, of the opinion that the correct position of law is that commitment of banks must be honoured free from interference by the courts and it is only in exceptional cases, that is to say, in case of fraud or in case where irretrievable injustice would be done, if bank guarantee is allowed to be encashed, the court should interfere."

(iv) The UCBs should, therefore, honour bank guarantees issued by them promptly on their invocation as reluctance on their part to honour commitments in respect of invoked guarantees tend to bring the banking system into disrepute.

(i) The Ministry of Finance has advised that some of the Departments such as Department of Revenue, Govt. of India, are finding it difficult to execute judgments delivered by various courts in their favour as banks do not honour their guarantees unless certified copies of the court judgments are made available to them.

(ii) Keeping in view these difficulties, banks may follow the following procedure :

(a) Where the bank is a party to the proceeding initiated by Government for enforcement of bank guarantee and the case is decided in favour of the Government by the Court, bank should not insist on production of certified copy of the judgment as the judgment order is pronounced in open court in the presence of the parties / their counsels and the judgment is known to the bank and a copy of the judgement is available on websites of the Courts.

(b) In case the bank is not a party to the proceeding, a signed copy of the minutes of the order certified by the Registrar / Deputy or Assistant Registrar of the High Court duly attested to be true copy by Govt. Counsel should be sufficient for honouring the obligation under the guarantees unless the guarantor bank decides to file any appeal against the order of the High Court.

(i) The Constitution of India states that all executive action relating to Union of India shall be, and shall be stated to be, in the name of President of India. However, the business of the Government of India is transacted through several ministries / departments and even though documents such as guarantees reflect the President of India as one of the parties, correspondence is not to be exchanged with the President of India but with concerned Government Ministry / Departments.

(ii) The banks should, therefore, ensure that any correspondence relating to guarantees furnished by the banks in the name of the President of India favouring the Government Departments should not be addressed to the President of India causing avoidable inconvenience to the President's Secretariat.

2. Co-acceptance of Bills

(i) Banks have been co-accepting bills of their customers. On many occasions these bills turn out to be accommodation bills drawn by groups of sister concerns on each other where no genuine trade transaction takes place. Such bills on maturity are not honoured by the drawees and the banks which have co-accepted the bills have to make payment of these bills and thereafter, they find it difficult to recover the amount from the drawers / drawees of bills. This happens because the financial position and capacity of the parties to honour the bills, in the event of need, is not gone into by the banks co-accepting the bills.

(ii) There have also been cases where the particulars regarding co-acceptance of bills are not recorded in the bank's books with the result that the extent of co-acceptance cannot be verified during inspections and the Head Office becomes aware of the co-acceptance only when a claim is received from the discounting bank.

- (i) While sanctioning co-acceptance limits to their customers, the need therefore should be ascertained and such limits should be extended only to their customers enjoying other limits with the bank.
- (ii) Only genuine trade bills should be co-accepted and the banks should ensure that the goods covered by bills co-accepted are actually received in the stock accounts of the borrowers.
- (iii) The valuation of the goods as mentioned in the accompanying invoice should also be verified to see that there is no over valuation of stocks.
- (iv) The banks should not extend their co-acceptance to house bills / accommodation bills drawn by group concerns on one another.
- (v) The powers to co-accept bills, beyond a stipulated limit, must be exercised by two authorised officials jointly.
- (vi) Proper records of the bills co-accepted for each customer should be maintained so that the commitments for each customer and the total commitments at a branch can be readily ascertained and these should be scrutinised by internal inspectors and commented upon in their reports.
- (vii) Proper periodical returns may be prescribed so that the Branch Managers report such co-acceptance commitments entered into by them to the controlling offices. Such returns should also reveal the position of bills that have become overdue and which the bank had to meet under the co-acceptance obligation. This will enable the controlling offices to monitor such co-acceptances furnished by the branches and take suitable action in time, in difficult cases.

3. Letters of Credit (LCs)

UCBs should not normally grant LC facilities in respect of parties who maintain only nominal current accounts. In case of borrowers maintaining only current accounts, who approach for opening of LCs, banks should invariably ascertain from the existing bankers of the borrowers the reasons as to why they are not extending LC facilities to the concerned borrowers. Banks should open LCs in respect of such parties only after making proper enquiries in regard to the antecedents of the borrowers from the bankers with whom the parties are enjoying main limits, their financial position and their ability to retire the bills. They should also prescribe a suitable margin and obtain other security, as necessary.

There is no restriction for the banks in opening LCs for import of essential items. However, banks are not permitted to open inland LCs, providing a clause therein which would enable other banks to discount usance bills under the LCs.

- (ii) Large LCs are issued under two authorised signatures where one of the signatures for LCs should be from the Head Office / Controlling Office. As the need for large LCs may not arise overnight, with the availability of courier service, speed post service etc., this procedure

- may not result in delay. In the LCs itself a column may be provided to indicate the authority who had sanctioned it together with the particulars thereof;
- (iii) LCs are not issued for amounts out of proportion to the borrowers' genuine requirements and these are opened only after ensuring that the borrowers have made adequate arrangements for retiring the bills received under LCs out of their own resources or from the existing borrowing arrangements;
- (iv) where LCs are for purchase of raw materials, borrowers do not maintain unduly high inventory of raw materials in relation to the norms / past trends. Where such LCs are to be opened on D/A basis, credit on the relative purchase is duly taken into account for the purpose of working out drawing power in cash credit accounts;
- (v) in the case of borrowers having banking arrangements on a consortium basis, the LCs are opened within the sanctioned limit on the basis of the agreed share of each of the banks. Member-banks should not, however, open LCs outside the sanctioned limits without the knowledge of the lead bank / other banks;
- (vi) if there is no formal consortium arrangement for financing the borrower, LCs should not be opened by the existing bank or a new bank, without the knowledge of the other banks;
- (vii) LCs for acquisition of capital goods should be opened only after banks have satisfied themselves about tying up of funds for meeting the relative liability by way of providing for long term funds or term loans from financial institutions / banks;
- (viii) In no case, working capital limits should be allowed to be utilised for retiring bills pertaining to acquisition of capital assets.
- (ix) Banks should not extend any non-fund based facilities or additional / ad-hoc credit facilities to parties who are not their (the bank's) regular constituents for their production finance requirements; nor should they discount bills drawn under LCs or otherwise for beneficiaries who are not their regular clients. In case it becomes unavoidably necessary to provide such a facility to a party not being a regular client, banks should invariably seek the prior concurrence of the existing banker of the borrowers and also make proper enquiries in regard to the antecedents of the borrowers, their financial position and ability to retire the bills etc. in time.
- (x) With effect from March 30, 2012 in case of bills drawn under LCs restricted to a particular UCB, and the beneficiary of the LC is not a borrower who has been granted regular credit facility by that UCB, the UCB concerned may, as per their discretion and based on their perception about the credit worthiness of the LC issuing bank, negotiate such LCs, subject to the condition that the proceeds will be remitted to the regular banker of the beneficiary of the LC. However, the prohibition regarding negotiation of unrestricted LCs for borrowers who have not been sanctioned regular credit facilities will continue to be in force.

(xi) UCBs negotiating bills as above, under restricted LCs, would have to adhere to the instructions of the Reserve Bank / RCS or CRCS regarding share linking to borrowing and provisions of Co-operative Societies Act on membership

(i) There have been a few instances where LCs were opened by officials of banks in an unauthorised manner. In certain cases, the LCs transactions were not recorded in the books of the branch by officials issuing them, while in some other cases the amounts of LCs were much in excess of the powers vested in them for the purpose. Subsequently when the banks come to know about the fraudulent issue of LCs, they disclaim liability on the ground that these are transactions involving a conspiracy / collusion between the beneficiary and the constituent.

(ii) It may be appreciated that if the bills drawn under LCs are not honoured, it will adversely affect the character of LCs and the relative bills as an accepted means of payment. This could also affect the credibility of the entire payment mechanism through banks and affect the image of the banks. It is, therefore, necessary that all the banks should honour their commitments under LCs and make payments promptly leaving no opportunity for any complaints in this regard. Needless to say that banks should take suitable action against the concerned officials as well as the constituents on whose behalf the LCs are opened and the beneficiaries of LCs, if a criminal conspiracy is involved.

4. Other Common Guidelines

4.1 Credit Exposure Norms and Statutory / Other Restrictions on Non- fund Based Limits

e) advances to nominal members, must be strictly observed.

4.2 Banks should ensure that the systems evolved for recording the details of off-balance sheet transactions are properly followed by all branches. These records should be periodically balanced and internal inspectors should verify the same and offer critical comments.

4.3 Banks should ensure that unauthorised LCs are not issued.

4.4 Banks must lay down clear instructions for their branch staff in respect of loan accounts where such non-funded facilities become funded on account of devolvement of bills covered under the bank's LCs or due to invocation of guarantees issued by the bank. The banks must evolve proper guidelines to ensure that, accounts where non-funded limits become "funded" are closely monitored and goods covered under devolved bills remain under bank's control / hypothecation, particularly where malafides are suspected. In cases of goods covered under import LCs, banks must also ensure immediate submission of custom's copy of the Bill of Entry and take measures as prescribed in the guidelines issued by Foreign Exchange Department.

4.5 A number of banks adopt the practice of parking the dues of the borrower in respect of devolved LCs and invoked guarantees in a separate account which is not a regular sanctioned facility. As a result, these are not reflected in the principal operating account of the borrower. This renders application of the prudential norms for identification of NPAs difficult. It is, therefore, advised that if the debts arising out of devolvement of LCs or invoked guarantees are

parked in a separate account, the balance outstanding in that account also should be treated as a part of the borrower's principal operating account for the purpose of application of prudential norms on income recognition, asset classification and provisioning.

4.6 Banks are encouraged to strengthen their information back up about the borrowers enjoying credit facilities from multiple banks by obtaining declaration from the borrowers about the credit facilities already enjoyed by them from other banks. In the case of existing lenders, all the banks may seek a declaration from their existing borrowers availing sanctioned limits of Rs.5.00 crore and above or wherever, it is in their knowledge that their borrowers are availing credit facilities from other banks and introduce a system of exchange of information with other banks. Subsequently banks should exchange information about the conduct of the borrowers' accounts with other banks at least at quarterly intervals. Banks should also make use of CRILC or credit reports available from Credit Information Companies. The banks should incorporate suitable clauses in the loan agreements regarding exchange of credit information so as to address confidentiality issues. Banks should also obtain regular certification by a professional, preferably a Company Secretary, Chartered Accountant or Cost Accountant regarding compliance of various statutory prescriptions that are in vogue. The formats for collecting information from the borrowers, exchange of information among banks and certification by a professional are furnished in our circular [UBD.PCB.No.36/13.05.000/2008-09](#) dated January 21, 2009 read with circular [UBD.PCB.No.59/13.05.000/2008-09](#) dated April 9, 2009.

4.7 Banks are exposed to various risks in every financial transaction including commitments in the form of Guarantees, Co-acceptances, LCs etc. The managements of UCBs have to base their business decisions on sound risk management systems with the ultimate objective of protecting the interest of depositors and stakeholders. It is, therefore, important that UCBs adopt effective Asset-Liability Management (ALM) systems to address the issues related to liquidity, interest rate and currency risks. Banks should invariably follow the ALM guidelines issued by Reserve Bank in this regard.

4.8 UCBs categorized as Category - I Authorised Dealer Banks shall also ensure compliance with [A.P. \(DIR Series\) Circular No. 18](#) dated October 04, 2024 regarding 'Due diligence in relation to non-resident guarantees availed by persons resident in India'.

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The Chairman / Managing Director / Chief Executive Officer
All Primary (Urban) Cooperative Banks (UCBs)
All State Cooperative Banks (StCBs) and
Central Cooperative Banks (CCBs)

Master Directions on Fraud Risk Management in Urban Cooperative Banks (UCBs) / State Cooperative Banks (StCBs) / Central Cooperative Banks (CCBs)

Please find enclosed as [Annex](#) 'Reserve Bank of India (Fraud Risk Management in UCBs / StCBs / CCBs) Directions, 2024' issued in exercise of the powers conferred under [Section 21](#) and [Section 35A](#) read with [Section 56](#) of the Banking Regulation Act, 1949. These Directions shall supersede the earlier directions on the subject, namely, 'Master Circular- 'Classification and Reporting' ([DCBR.CO.BPD.MC.No.1/ 12.05.001/2015-16](#)) dated July 1, 2015.

Master Directions (MD) on Fraud Risk Management in Urban Cooperative Banks (UCBs) / State Cooperative Banks (StCBs) / Central Cooperative Banks (CCBs)

In exercise of the powers conferred under [Section 21](#) and [Section 35A](#) read with [Section 56](#) of the Banking Regulation Act, 1949, the Reserve Bank of India being satisfied that it is necessary and expedient in the public interest and in the interest of banking policy to do so, hereby, issues the Directions hereinafter specified.

These Directions shall be called the Reserve Bank of India (Fraud Risk Management in UCBs / StCBs / CCBs) Directions, 2024.

The provisions of these Directions shall, unless otherwise provided, apply to all Primary (Urban) Cooperative Banks (UCBs) and Rural Cooperative Banks i.e. State Cooperative Banks (StCBs) and Central Cooperative Banks (CCBs) licensed or permitted to carry on banking business in India by the Reserve Bank of India. Such Cooperative Banks shall hereinafter collectively be referred to as 'Cooperative Banks' for the purpose of these Directions.

These Directions are issued with a view to providing a framework to Cooperative Banks for prevention, early detection and timely reporting of incidents of fraud to Law Enforcement Agencies (LEAs), Reserve Bank of India (RBI) and NABARD¹ and dissemination of information by RBI and matters connected therewith or incidental thereto.

2. Governance Structure in Cooperative Banks for Fraud Risk Management

2.1 There shall be a Board² Approved Policy³ on fraud risk management delineating roles and responsibilities of Board / Board Committees and Senior Management of the Cooperative Bank. The Policy shall also incorporate measures for ensuring compliance with principles of natural justice⁴ in a time-bound manner which at a minimum shall include :

2.1.1 Issuance of a detailed Show Cause Notice (SCN) to the Persons⁵, Entities and its Promoters / Whole-time and Executive Directors against whom allegation of fraud is being examined⁶. The SCN shall provide complete details of transactions / actions / events basis which declaration and reporting of a fraud is being contemplated under these Directions.

2.1.2 A reasonable time of not less than 21 days shall be provided to the Persons / Entities on whom the SCN was served to respond to the said SCN.

2.1.3 Cooperative Banks shall have a well laid out system for issuance of SCN and examination of the responses / submissions made by the Persons / Entities prior to declaring such Persons / Entities as fraudulent.

2.1.4 A reasoned Order shall be served on the Persons / Entities conveying the decision of the Cooperative Banks regarding declaration / classification of the account as fraud or otherwise. Such Order(s) must contain relevant facts / circumstances relied upon, the submission made against the SCN and the reasons for classification as fraud or otherwise.

2.2 The Fraud Risk Management Policy shall be reviewed by the Board at least once in three years, or more frequently, as may be prescribed by the Board.

2.3 Special Committee of the Board for Monitoring and Follow-up of cases of Frauds :

2.3.1 Cooperative Banks shall constitute a Committee of the Board to be known as 'Special Committee of the Board for Monitoring and Follow-up of cases of Frauds' (SCBMF) with a minimum of three members of the Board, consisting of the Chief Executive Officer and two directors⁷. The Committee shall be headed by one of the directors. UCBs categorised as Tier 1 & 2 for regulatory purposes⁸ and StCBs / CCBs having deposits below 1000 crore⁹, shall have the option of constituting a Committee of the Executives (CoE) with a minimum of three members, at least one of whom shall be the Chief Executive Officer for the purpose of performing the roles and responsibilities of SCBMF as required under these Directions.

2.3.2 SCBMF shall oversee the effectiveness of the fraud risk management in the Cooperative Bank. SCBMF shall review and monitor the cases of frauds, including root cause analysis, and suggest mitigating measures for strengthening the internal controls, risk management framework and minimising the incidence of frauds. The coverage¹⁰ and periodicity of such reviews shall be decided by the Board of the Cooperative Bank.

2.4 The Senior Management shall be responsible for implementation of the fraud risk management policy approved by the Board of the Cooperative Bank. A periodic review of incidents of fraud shall also be placed before Board / Audit Committee of Board (ACB), as appropriate, by the Senior Management of the Cooperative Bank.

2.5 Cooperative Banks shall put in place a transparent mechanism to ensure that Whistle Blower complaints on possible fraud cases / suspicious activities in account(s) are examined and concluded appropriately under their Whistle Blower Policy.

2.6 Cooperative Banks shall set-up an appropriate organisational structure for institutionalisation of fraud risk management¹¹ within their overall risk management functions / Department. A sufficiently senior official shall be responsible for monitoring and reporting of frauds.

3.1.1 UCBs categorised as Tier 3 & 4 and StCBs / CCBs having deposits above 1000 crore (i.e. Applicable Cooperative Banks for the purpose of this Chapter) shall have a framework for Early Warning Signals (EWS) under the overall Fraud Risk Management Policy approved by the Board.

3.1.2 A Board Level Committee¹³ shall oversee the effectiveness of the framework for EWS. The Senior Management shall be responsible for implementation of a robust Framework for EWS within the Applicable Cooperative Bank.

3.1.3 Applicable Cooperative Banks shall identify appropriate early warning indicators for monitoring credit facilities / loan accounts and other banking transactions. These indicators shall be reviewed periodically for their effectiveness. Suspicion of fraudulent activity thrown up by the presence of one or more EWS indicators shall alert / trigger deeper investigation from potential fraud angle and initiating preventive measures.

3.1.4 The EWS framework shall be subject to suitable validation in accordance with the directions of the Board Level Committee so as to ensure its integrity, robustness and consistency of the outcomes.

(i) A system of robust EWS which is integrated with Core Banking Solution (CBS) or other operational systems; (ii) Initiation of remedial action on triggers / alerts from EWS System in a timely manner; and (iii) Periodic review of credit sanction and monitoring processes, internal controls and systems.

3.3.1 The EWS system shall be comprehensive and designed to include both the quantitative and qualitative indicators to make the framework robust and effective. The broad indicators which the EWS system may illustratively capture could be based on the transactional data of accounts, financial performance of borrowers, market intelligence, conduct of the borrowers, etc.

3.3.2 Generation of EWS alert(s) / trigger(s) shall necessitate examination whether the account needs to be investigated from potential fraud angle.

3.4.1 Applicable Cooperative Banks shall develop / strengthen their EWS system by identifying suitable indicators and parameterising them in their EWS system for monitoring other banking / non-credit related transactions. Applicable Cooperative Banks shall strive to continuously upgrade the EWS system for enhancing its integrity and robustness, monitor other banking / non-credit related transactions efficiently and prevent fraudulent activities through the banking channel. Further, the effectiveness of EWS system shall be tested periodically.

3.4.2 The design and specification of EWS system shall be robust and resilient to ensure that integrity of system is maintained, personal and financial data of customers are secure and transaction monitoring for prevention / detection of potential fraud is on real-time basis¹⁵. Applicable Cooperative Banks shall remain vigilant in monitoring transactions / unusual activities, specifically in the non-KYC compliant and money mule accounts etc., so as to contain unauthorised / fraudulent transactions and to prevent misuse of banking / financial channel.

3.4.3 The dedicated MIS Unit or other Analytics Setup in Applicable Cooperative Banks shall extensively monitor and analyse financial transactions, including transactions carried out through digital platforms / applications, in order to identify unusual patterns and activities which could alert the Applicable Cooperative Banks in time for initiating appropriate measures towards prevention of fraudulent activities.

3.5 Applicable Cooperative Banks shall put in place / suitably upgrade their existing EWS system within six months from the date of issuance of these Directions.

4. Credit facility / Loan account / Other banking transactions - Indication of fraudulent activities

Cooperative Banks shall monitor activities in credit facility / loan account / other banking transactions and remain alert on activities which could potentially turn out to be fraudulent.

4.1 In cases where there is a suspicion / indication of wrongdoing or fraudulent activity, Cooperative Banks shall use an external audit¹⁶ or an internal audit as per their Board Approved Policy for further investigation in such accounts.

4.1.1 Cooperative Banks shall frame a policy on engagement of external auditors covering aspects such as due diligence, competency and track record of the auditors, among others. Further, the contractual agreement with the auditors shall, inter alia, contain suitable clauses on timeline for completion of the audit and submission of audit report to the Cooperative Banks within a specified time limit, as approved by the Board.

4.1.2 The loan agreement with the borrower shall contain clauses for conduct of such audit at the behest of lender(s). In cases where the audit report submitted remains inconclusive or is delayed due to non-cooperation by the borrower, Cooperative Banks shall conclude on status of the account as a fraud or otherwise based on the material available on their record and their own internal investigation / assessment in such cases¹⁷.

4.1.3 Cooperative Banks (sole lending, multiple banking arrangement or consortium lending) shall ensure that the principles of natural justice¹⁸ are strictly adhered to before classifying / declaring an account as fraud.

4.1.4 In case an account is identified as a fraud by any Cooperative Bank, the borrowal accounts of other group companies, in which one or more promoter(s) / whole-time director(s) are common shall also be subjected to examination by Cooperative Banks concerned from fraud angle under these Directions.

4.1.5 In cases where Law Enforcement Agencies (LEAs) have suo moto initiated investigation involving a borrower account, Cooperative Banks shall follow the process of classification of account as fraud as per their Board approved Policy and in tune with the process as given under [Para 2.1](#) *ibid*.

4.2 Independent confirmation from the third-party service providers including professionals

Cooperative Banks place reliance on various third-party service providers as part of pre-sanction appraisal and post-sanction monitoring. Therefore, Cooperative Banks may incorporate necessary terms and conditions in their agreements with third-party service providers to hold them accountable in situations where wilful negligence / malpractice by them is found to be a causative factor for fraud.

4.3.1 Cooperative Banks shall initiate and complete the examination of staff accountability in all fraud cases in a time-bound manner in accordance with their internal policy.

4.3.2 In cases involving very senior executives of the Cooperative Banks (MD & CEO / Chief Executive Officer / Executives of equivalent rank)¹⁹, the ACB shall initiate examination of their accountability and place before the Board.

4.4.1 Persons / Entities classified and reported as fraud by Cooperative Banks and also Entities and Persons associated²⁰ with such Entities, shall be debarred from raising of funds and / or seeking additional credit facilities from financial entities regulated by RBI, for a period of five years from the date of full repayment of the defrauded amount / settlement amount agreed upon in case of a compromise settlement.

4.4.2 Lending to such Persons / Entities, being commercial decisions, the lending Cooperative Banks shall have the sole discretion to entertain or decline such requests for credit facilities after the expiry of the mandatory cooling period as mentioned at [Para 4.4.1](#) above.

4.5.1 In case an entity classified as fraud has subsequently undergone a resolution either under IBC or under the resolution framework of RBI²¹ resulting in a change in the management and control of the entity / business enterprise, the Cooperative Bank shall examine whether the entity shall continue to remain classified as fraud or the classification as fraud could be removed after implementation of the Resolution Plan under IBC or aforesaid prudential framework. This would, however, be, without prejudice to the continuance of criminal action against erstwhile promoter(s) / director(s) / persons who were in charge and responsible for the management of the affairs of the entity / business enterprise.

4.5.2 The penal measures as detailed in [Para 4.4](#) shall not be applicable to entities / business enterprises after implementation of the resolution plan under IBC or aforesaid prudential framework.

4.5.3 The penal measures detailed in [Para 4.4](#) shall continue to apply to the erstwhile promoter(s) / director(s) / persons who were in charge and responsible for the management of the affairs of the entity / business enterprise.

5. Reporting of Frauds to Law Enforcement Agencies (LEAs)

5.1 Cooperative Banks shall immediately report the incidents of fraud to appropriate LEAs viz. State Police authorities, etc. subject to applicable laws.

5.2 Cooperative Banks shall establish suitable nodal point(s) / designate officer(s) for reporting incidents of fraud to LEAs and for proper coordination to meet the requirements of the LEAs.

To ensure uniformity and consistency while reporting incidents of fraud to RBI through Fraud Monitoring Returns (FMRs) using online portal, UCBs shall choose the most appropriate category from any one of the following :

- (iii) Manipulation of books of accounts or through fictitious accounts, and conversion of property;
- (iv) Cheating by concealment of facts with the intention to deceive any person and cheating by impersonation;
- (v) Forgery with the intention to commit fraud by making any false documents / electronic records;
- (vi) Wilful falsification, destruction, alteration, mutilations of any book, electronic record, paper, writing, valuable security or account with intent to defraud;
- (x) Fraudulent electronic banking / digital payment related transactions committed on UCBs; and
- (xi) Other type of fraudulent activity not covered under any of the above.

6.2.1 UCBs shall furnish FMR²³ in individual fraud cases, irrespective of the amount involved, immediately but not later than 14 days from the date of classification²⁴ of an incident / account as fraud.

6.2.2 UCBs shall adhere to the timeframe prescribed in these Master Directions for reporting of fraud cases to RBI²⁵. UCBs must examine and fix staff accountability for delays in identification of fraud cases and in reporting to RBI.

6.2.3 While reporting frauds, UCBs shall ensure that persons / entities who / which are not involved / associated with the fraud are not reported in the FMR.

6.2.4 UCBs may, under exceptional circumstances, withdraw FMR / remove name(s) of perpetrator(s) from FMR. Such withdrawal / removal shall, however, be made with due justification and with the approval of an official at least in the rank of a director.

6.3.1 UCBs shall close fraud cases using 'Closure Module' where the actions as stated below are complete :

- (ii) The examination of staff accountability has been completed.

6.3.2 In all closure cases of reported frauds, UCBs shall maintain details of such cases for examination by auditors.

7.1 To ensure uniformity and avoid duplication, reporting of frauds involving forged instruments, including fake / forged instruments sent in clearing in respect of truncated instruments, shall continue to be done by the paying banker and not by the presenting banker. In such cases the presenting Cooperative Bank shall immediately handover the underlying instrument to the drawee / paying Cooperative Bank, as and when demanded, to enable them to inform LEAs for investigation and further action under law and to report the fraud to RBI.

7.2 However, in the case of presentment of an instrument which is genuine but payment has been made to a person who is not the true owner; or where the amount has been credited before realisation and subsequently the instrument is found to be fake / forged and returned by the paying Cooperative Bank, the presenting Cooperative Bank which is defrauded or is put to loss by paying the amount before realisation of the instrument shall file the fraud report with the RBI and inform the LEAs for investigation and further action under law.

8. Other Instructions

Cooperative Banks shall subject the title deeds and other related title documents in respect of all credit facilities of 1 crore and above to periodic legal audit and re-verification, till the loan is fully repaid. The scope and periodicity of legal audit shall be in accordance with the Board approved policy referred to in [clause 2.1](#) above.

8.2 Treatment of Accounts classified as Fraud and sold to other Lenders / Asset Reconstruction Companies (ARCs)²⁷

Cooperative Banks shall complete the investigation from fraud angle before transferring the loan account / credit facility to other lenders / ARCs. In cases where Cooperative Banks conclude that a fraud has been perpetrated in the account, they shall report it to RBI / NABARD²⁸ before selling the asset to other lenders / ARCs²⁹.

8.3.1 During the course of the audit, auditors may come across instances where the transactions in the account or the documents point to the possibility of fraudulent transactions in the account. In such a situation, the auditor should immediately bring it to the notice of the senior management and if necessary, to the Audit Committee of the Board (ACB) of the Cooperative Banks for appropriate action.

8.3.2 Internal Audit in Cooperative Banks shall cover controls and processes involved in prevention, detection, classification, monitoring, reporting, closure and withdrawal of fraud cases, and also weaknesses observed in the critical processes in the fraud risk management framework of the Cooperative Bank³⁰.

8.4 'Date of Occurrence', 'Date of Detection' and 'Date of Classification' of Fraud - for the purpose of reporting under FMR

8.4.1 The 'date of occurrence' is the date when the actual misappropriation of funds has started taking place, or the event occurred, as evidenced / reported in the audit or other findings.

8.4.2 The 'date of detection' to be reported in FMR is the actual date when the fraud came to light in the concerned branch / audit / department, as the case may be, and not the date of approval by the competent authority of the Cooperative Bank.

8.4.3 The 'date of classification' is the date when due approval from the competent authority has been obtained for such a classification, and the reasoned order is passed.

9. Reporting Cases of Theft, Burglary, Dacoity and Robbery

9.1 Cooperative Banks shall report³² instances of theft, burglary, dacoity and robbery (including attempted cases), to Fraud Monitoring Group (FMG), Department of Supervision, Central Office, Reserve Bank of India, immediately (not later than seven days) from their occurrence.

9.2 Cooperative Banks shall also submit a quarterly Return (RBR) on theft, burglary, dacoity and robbery to RBI using online portal, covering all such cases during the quarter. This shall be submitted within 15 days from the end of the quarter to which it relates.

10. Repeal

With the issue of these Directions, instructions / guidelines contained in the Circulars issued by the Reserve Bank of India listed in [Appendix](#) stand repealed, as the contents of the same have been incorporated in the Master Directions. All the instructions / guidelines contained in these Circulars shall be deemed as given under these Directions.

S. No.	Circular No.	Circular Date	Subject
1.	DOS.CO.FMG.No.S402/23.14.019/2022-23	20-05-2022	Migration of reporting of frauds by UCBs to new XBRL Phase II Live setup
2.	DCBS.CO.OSS.No.443/18.00.024/2018-19	27-08-2018	Reporting of Frauds on XBRL - FMR1 submission, FMR 2 discontinuation and introduction of FMR - 3
3.	DCBS.CO.Cir.No.001/12.17.001/2015-16	19-05-2016	Frauds in UCBs : Changes in Monitoring and Reporting mechanism

1 StCBs / CCBs shall report the incidents of fraud to NABARD as hitherto.

- 3 The policy shall inter alia contain measures towards prevention, early detection, investigation, staff accountability, monitoring, recovery and reporting of frauds.
- 4 Please refer to the judgement of the Hon'ble Supreme Court dated March 27, 2023 on [Civil Appeal No.7300 of 2022](#) in the matter of State Bank of India & Ors Vs. Rajesh Agarwal & Ors. and connected matters, read with the Order dated May 12, 2023 passed by the Hon'ble Supreme Court in Misc. Application. No.810 of 2023, specifically in relation to serving a notice, giving an opportunity to submit a representation before classifying Persons / Entities as fraud and passing a reasoned order. The orders of the Hon'ble High Court of Bombay dated August 7, 2023 in Writ Petition (L) No. 20751 of 2023 and the Hon'ble High Court of Gujarat dated August 31, 2023 in Special Civil Application No. 12000 of 2021 and connected matters shall be referred to.
- 5 Including Third Party Service Providers and Professionals such as architects, valuers, chartered accountants, advocates, etc.
- 6 As non-whole-time directors (like nominee directors and independent directors) are normally not in charge of, or responsible to the company for the conduct of business of the company, Cooperative Banks may take this into consideration before proceeding against such directors under these Directions.
- 7 i.e. directors with suitable banking experience or with relevant professional qualification in the fields of law, accountancy or finance.
- 8 'Revised Regulatory Framework - Categorization of Urban Co-operative Banks (UCBs) for Regulatory Purposes' issued vide Circular Ref. [DOR.REG.No.84/07.01.000/2022-23](#) dated December 01, 2022.
- 9 The deposits of StCBs and CCBs shall be reckoned as per audited balance sheet as on 31st March of the immediate preceding Financial Year.
- 10 The coverage may include, among others, categories / trends of frauds, industry / sectoral / geographical concentration of frauds, delay in detection / classification of frauds and delay in examination / conclusion of staff accountability, etc.
- 11 i.e. prevention, early detection, investigation, staff accountability, monitoring, recovery, analysis and reporting of frauds, etc. and other related aspects under the Board approved Policy.
- 12 The Directions under Chapter III shall be applicable to UCBs categorised as Tier 3 & 4 for regulatory purposes and StCBs / CCBs having deposits above 1000 crore only.
- 13 i.e. Risk Management Committee or any other Committee having similar functions.
- 15 or with a minimum time lag without compromising the effectiveness of the outcome of EWS system in prevention / detection of potential frauds.
- 16 Auditors who are qualified to conduct audit under relevant statutes.

- 17 Cooperative Banks shall ensure that principles of natural justice are strictly adhered to before classifying / declaring an account as fraud (Please refer to [Para 2.1](#) *ibid*).
- 18 Please refer to the judgement of the Hon'ble Supreme Court dated March 27, 2023 on [Civil Appeal No.7300 of 2022](#) in the matter of State Bank of India & Ors Vs. Rajesh Agarwal & Ors. and connected matters, read with the Order dated May 12, 2023 passed by the Hon'ble Supreme Court in Misc. Application. No.810 of 2023, specifically in relation to serving a notice, giving an opportunity to submit a representation before classifying Persons / Entities as fraud and passing a reasoned order. The orders of the Hon'ble High Court of Bombay dated August 7, 2023 in Writ Petition (L) No. 20751 of 2023 and the Hon'ble High Court of Gujarat dated August 31, 2023 in Special Civil Application No. 12000 of 2021 and connected matters shall be referred to (Please refer to [Para 2.1](#) *ibid*).
- 19 Such executive shall not participate in the meeting of the Board / ACB / SCBMF in which their accountability is to be considered.
- 20 (a) if it is an entity, another entity will be deemed to be associated with it, if that entity is (i) a subsidiary company as defined under [clause 2 \(87\)](#) of the Companies Act, 2013 or (ii) falls within the definition of a 'joint venture' or an 'associate company' under [clause \(6\)](#) of section 2 of the Companies Act, 2013.
- (b) in case of a natural person, all entities in which she / he is associated as promoter, or director, or as one in charge and responsible for the management of the affairs of the entity shall be deemed to be associated.
- 22 The reporting requirements prescribed under [Chapter VI](#) are not applicable to StCBs / CCBs. They shall report incidents of fraud to NABARD in the manner and in Returns / Formats as prescribed by NABARD.
- 23 Updates to the FMR shall be provided through FMR Update Application (FUA).
- 25 Delay in reporting of frauds, and the consequent delay in alerting other UCBs, could result in similar frauds being perpetrated elsewhere.
- 26 Reporting to NABARD in case of StCBs / CCBs.
- 27 Reference is invited to Master Direction - Reserve Bank of India (Transfer of Loan Exposures) Directions, 2021 (ref : [DOR.STR.REC.51/21.04.048/2021-22](#) dated September 24, 2021) as updated from time to time.
- 28 StCBs / CCBs shall report to NABARD.
- 29 In cases where accounts are sold to ARCs, Cooperative Banks shall continue to report subsequent developments in such accounts to RBI / NABARD, by obtaining requisite information periodically from the concerned ARCs.
- 30 Including delay in reporting, non-reporting, conduct of staff accountability examination, prudential provisioning, etc.

31 The reporting requirements prescribed under [Chapter IX](#) are not applicable to StCBs / CCBs. They shall report incidents of theft, burglary, dacoity and robbery to NABARD in the manner and in Returns / Formats as prescribed by NABARD.

32 In the prescribed format 'Report on Bank Robbery, Theft, etc. (RBR) through e-mail (fmgcoub@rbi.org.in).

Please refer to the Master Circular [DOR.CRE.REC.No.6/07.10.002/2024-25](#) dated April 2, 2024 on the captioned subject, consolidating the instructions / guidelines issued to UCBs till April 01, 2024. Attached is the revised [Master Circular](#), updated to reflect all instructions issued upto March 31, 2025 on the above matter, as listed in [Annex - 3](#). It may be noted that this Master Circular only consolidates all instructions on the above matter issued up to March 31, 2025 and does not contain any new instructions / guidelines.

1. General

1.1 The role of primary (urban) co-operative banks (UCBs) in providing housing finance has been reviewed from time to time. These banks, with their vast network, occupy a very strategic position in the financial system and have an important role to play in providing credit to the housing sector. Further, housing finance to specified categories up to prescribed limits is treated as priority sector lending, and the need for UCBs providing credit to priority sector has come to be increasingly recognised consistent with the social objectives placed before the banking system.

1.2 Therefore, with a view to enabling the UCBs to play a more positive role in providing finance for housing schemes, particularly to the weaker sections of the community, these banks are permitted to grant loans for housing schemes up to certain limits from their own resources subject to the guidelines detailed hereunder.

1.3 Bigger banks that have large surplus resources may undertake larger lending for housing, as this will provide a remunerative avenue for investment of their surplus funds.

1.4 Wherever banks are still required to obtain special permission of the Registrar for financing housing societies, it is suggested that these banks should obtain general permission to finance housing societies subject to such terms and conditions as may be prescribed for the purpose.

2. Eligible Category of Borrowers

- (a) Individuals and co-operative / group housing societies.
- (b) Housing boards undertaking housing projects or schemes for economically weaker sections (EWS), low income groups (LIG) and middle income groups (MIG).
- (c) Owners of houses / flats for extension and up-gradation, including major repairs.

3. Eligibility for Housing Finance

The borrowers in the above categories will be eligible for finance for the following purposes :

- (d) Under slum clearance schemes - directly to the slum dwellers on the guarantee of the Government, or indirectly through Statutory Boards established for this purpose
- (e) Education, health, social, cultural or other institutions / centres which are part of a housing project and considered necessary for the development of settlements or townships
- (f) Shopping centres, markets and such other centres catering to the day to day needs of the residents of the housing colonies and forming part of a housing project

4. Terms and Conditions for Housing Loans

Finance provided by the UCBs to the eligible categories of borrowers shall be subject to the following terms and conditions :

- (i) UCBs, based on their commercial judgment and other prudential business considerations, with the approval of their Board of Directors, are free to identify the eligible borrowers, decide margins and grant housing loans depending upon the repaying capacity of borrowers.
- (ii) Housing loans to individuals shall be subject to the following ceilings.
- (iii) The prudential exposure limits for UCBs for a single borrower / party and a group of connected borrowers / parties shall be 15 per cent and 25 per cent, respectively, of their tier-I capital.

4.2 Interest rate, foreclosure charges / prepayment penalty and reset of floating interest rate on Equated Monthly Instalments (EMI) based housing loans

Banks may, with the approval of their Boards, determine the rate of interest, keeping in view the size of accommodation, degree of risk and other relevant considerations. UCBs shall also be guided by provisions contained at [para 4.1](#) of the Master Circular on Management of Advances - UCBs dated April 1, 2025, as amended from time to time.

With effect from June 26, 2012 it has been decided that UCBs will not be permitted to charge foreclosure charges / prepayment penalties in home loans extended on floating interest rate basis.

At the time of sanction of EMI based floating rate housing loans, UCBs are required to take into account the repayment capacity of borrowers to ensure that adequate headroom/margin is available for elongation of tenor and/or increase in EMI, in the scenario of possible increase in the benchmark rate during the tenor of the loan. Further, UCBs are advised to put in place an appropriate policy framework for reset of floating interest rates on EMI based housing loans, complying with the requirements contained in the circular [DOR.MCS.REC.32/01.01.003/2023-24](#) dated August 18, 2023. A set of [frequently asked questions \(FAQs\)](#) providing clarifications related to implementation of the circular has been uploaded in the FAQs section of the RBI website.

4.3.1 Penalty, if charged, for non-compliance of material terms and conditions of loan contract by the borrower shall be treated as 'penal charges' and shall not be levied in the form of 'penal interest' that is added to the rate of interest charged on the advances. Levy of such penal charges shall be governed in terms of the circular [DoR.MCS.REC.28/01.01.001/2023-24](#) dated August 18, 2023 on "Fair Lending Practice - Penal Charges in Loan Accounts".

4.3.2 A set of [frequently asked questions \(FAQs\)](#) providing clarifications related to implementation of the guidelines on penal charges has been uploaded in the FAQs section of the RBI website.

UCBs shall comply with the instructions contained in the circular [DOR.STR.REC.13/13.03.00/2024-25](#) on 'Key Facts Statement (KFS) for Loans & Advances' dated April 15, 2024, as amended from time to time.

(c) by both.

4.5.2 Where this is not feasible, banks may accept security of adequate value in the form of LIC policies, Government Promissory Notes, shares / debentures, gold ornaments or such other security as they deem appropriate.

4.5.3 With regard to release of movable/ immovable property documents upon receiving full repayment and closure of loan account, the UCBs shall comply with the instructions contained in circular [DoR.MCS.REC.38/01.01.001/2023-24](#) dated September 13, 2023 on 'Responsible Lending Conduct - Release of Movable / Immovable Property Documents on Repayment/ Settlement of Personal Loans'.

(i) Housing loans may be repayable within a maximum period of 20 years, including moratorium or repayment holiday.

(c) 18 months from the date of disbursement of first instalment of the loan, whichever is earlier.

(i) The instalments should be fixed on a realistic basis taking into account the repaying capacity of the borrower.

(ii) In order to make housing finance affordable, banks may consider fixing the instalments on a graduated basis, if there is reasonable expectation of growth in the income of the borrower in the coming years. Graduated basis means fixing lower repayment instalments in the initial years and gradually increasing the instalment amount in subsequent years coinciding with expected increase in income in subsequent years.

4.8.1 Aggregate exposure of a UCB to residential mortgages (housing loans to individuals), other than those eligible to be classified as priority sector, shall not exceed 25 per cent of its total loans and advances.

4.8.2 Aggregate exposure of a UCB to real estate sector, excluding housing loans to individuals, shall not exceed five per cent of its total loans and advances.

4.8.3 The exposure should take into account both fund based and non-fund based facilities.

4.8.4 Working capital loans given by UCBs against hypothecation of construction materials provided to the contractors who undertake comparatively small construction on their own without receiving advance payments as provided for in [paragraph 7](#) of this circular is exempted from the prescribed limit.

4.8.5 Finance extended to the eligible category of borrowers mentioned in [paragraph 2](#) above will only be eligible to be treated as housing finance. While the purpose of the loan shall determine whether the loans granted against the security of immovable property need to be classified as real estate loans, the source of repayment will determine whether the exposure is against commercial real estate. For classification of such loans as Real Estate / Commercial Real Estate, UCBs may be guided by the instructions contained in [Annex 1](#). As loans to the residential housing projects under the Commercial Real Estate (CRE) Sector exhibit lesser risk and volatility than the CRE Sector taken as a whole, a separate sub-sector called 'Commercial Real Estate-Residential Housing' (CRE-RH) has been carved out from the CRE Sector. CRE-RH would consist of loans to builders/developers for residential housing projects (except for captive consumption) under CRE segment. Such projects should ordinarily not include non-residential commercial real estate. However, integrated housing projects comprising some commercial space (e.g. shopping complex, school, etc.) can also be classified under CRE-RH, provided that the commercial area in the residential housing project does not exceed 10% of the total Floor Space Index (FSI) of the project. In case the FSI of the commercial area in the predominantly residential housing complex exceeds the ceiling of 10%, the project loans should be classified as CRE and not CRE-RH.

4.8.6 UCBs shall not exceed the limit prescribed for grant of housing, real estate, commercial real estate loans even for the funds obtained from higher financing agencies and refinance from National Housing Bank.

5. Additional / Supplementary Finance

5.1 UCBs may extend additional finance to carry out alterations, additions, repairs to houses / flats already financed by them, subject to, repayment capacity of borrowers.

5.2 In the case of individuals who might have raised funds for construction / acquisition of accommodation from other sources and need supplementary finance, banks may extend credit after obtaining pari passu or second mortgage charge over the property mortgaged in favour of other lenders and / or against such other security as they may deem appropriate after due assessment of aggregate repayment capacity of borrowers.

5.3 UCBs may extend need-based credit up to a maximum of 10 lakh in metropolitan centres and up to 6 lakh in other centres for repairs / additions / alterations, irrespective of whether the house / flat is owner occupied or tenant occupied, after obtaining such security as the banks may deem appropriate. The banks shall satisfy themselves regarding the estimated cost of repairs, additions, etc. having regard to the extent of such repairs or additions, materials to be used, cost of labour and other charges and after obtaining certificate/s from qualified engineers / architects in respect thereof, considered necessary.

5.4 The terms and conditions relating to margin, interest rates, repayment period etc. in respect of additional / supplementary finance may be same as indicated in respect of loans for construction / acquisition.

6. Lending to Housing Boards

6.1 UCBs may extend loans to housing boards within their States. The rate of interest to be charged on the loans to such boards may be fixed at the discretion of the banks.

6.2 While extending loans to housing boards, banks may not only keep in view the past performance of the housing boards in the matter of recovery from the beneficiaries but should also stipulate that the boards will ensure prompt and regular recovery of loan instalments from the beneficiaries.

7. Advances to Builders / Contractors

7.1 Builders / contractors generally require huge funds, take advance payments from the prospective buyers or from those on whose behalf construction is undertaken and, therefore, may not normally require bank finance for the purpose. Any financial assistance extended to them by UCBs may result in dual financing. Banks should, therefore, normally refrain from sanctioning loans and advances to this category of borrowers.

7.2 However, where contractors undertake comparatively small construction work on their own, (i.e. when no advance payments are received by them for the purpose), banks may consider extending financial assistance to them against the hypothecation of construction materials, provided such loans and advances are in accordance with the bye laws of the bank and instructions / directives issued by the Reserve Bank from time to time.

7.3 Banks should undertake a proper scrutiny of the relevant loan applications, and satisfy themselves, among other things, about the genuineness of the purpose, the quantum of financial assistance required, creditworthiness of the borrower, repayment capacity, etc. and also observe the usual safeguards, such as, obtaining periodic stock statements, carrying out periodic inspections, determining drawing power strictly on the basis of the stock held, maintaining a margin of not less than 40 to 50 percent, etc. They should also ensure that materials used up in the construction work are not included in the stock statements for the purpose of determining the drawing power.

7.4 Valuation of land : It has been observed that while financing builders / contractors, certain banks valued the land for the purpose of security, on the basis of the discounted value of the property after it is developed, less the cost of development. This is not in conformity with established norms. In this connection, it is clarified that UCBs should not extend fund based / non-fund based facilities to builders / contractors for acquisition of land even as a part of a housing project. Further, wherever land is accepted as collateral, valuation of such land should be at the current market price only.

7.5 UCBs may also take collateral security, wherever available. As construction work progresses, contractors will get paid and such payments should be applied to reduce the balance in the borrowal accounts. If possible, banks could perhaps enter into a tripartite agreement with the borrower and his clients, particularly when no collateral securities are available for such advances.

7.6 It has been observed that some banks have introduced certain innovative Housing Loan Schemes in association with developers / builders, e.g. upfront disbursement of sanctioned individual housing loans to builders without linking the disbursements to various stages of construction of housing project, interest / EMI on the housing loan availed of by the individual borrower being serviced by the builders during the construction period / specified period, etc. In view of the higher risks associated with such lump-sum disbursement of sanctioned housing loans and customer suitability issues, UCBs are advised that disbursement of housing loans sanctioned to individuals should be closely linked to the stages of construction of the housing project / houses and upfront disbursement should not be made in cases of incomplete / under-construction / green field housing projects.

8. Housing Loans under Priority Sector

9. Precautions

9.1 A number of cases have come to the notice of Reserve Bank, where unscrupulous persons have defrauded the banks by obtaining multiple bank finance against the same property by preparing a number of sets of the original documents and submitting the same to various banks for obtaining housing finance. Similarly, the salary certificates of employees of certain public sector undertakings were fabricated, so as to match the requirement of banks for availing higher amounts of loan. The estimates given were also on the higher side, so as to avoid contribution of margin money by the borrowers.

Such frauds could take place on account of laxity on the part of the bank officials to follow the laid down procedures for verifying the genuineness of the documents submitted by borrowers independently through their own advocates / solicitors. Banks should, therefore, take due precaution while accepting various documents.

9.2 Banks shall satisfy themselves that loans extended by them are not for unauthorized construction or for misuse of properties / encroachment on public land. For this purpose, they should ensure strict compliance with the procedure laid down in [Annex 2](#).

9.3 In a case which came up before the Hon'ble High Court of Judicature at Bombay, the Hon'ble Court observed that the bank granting finance to housing / development projects should insist on disclosure of the charge / or any other liability on the plot, in the brochure, pamphlets etc., which may be published by developer / owner inviting public at large to purchase flats and properties. The Court also added that this obviously would be part of the terms and conditions on which the loan may be sanctioned by the bank. Keeping in view the above observations, while granting finance for eligible housing schemes, UCBs are advised to stipulate as part of terms and conditions that :

- (a) The builder / developer shall disclose in the pamphlets / brochures etc., the name(s) of the bank(s) to which the property is mortgaged.
- (b) The builder / developer would append the information relating to mortgage while advertising for a particular scheme in newspapers / magazines etc.
- (c) The builder / developer would indicate in the pamphlets / brochures that he would provide No Objection Certificate (NOC) / permission of the mortgagee bank for sale of flats / property, if required. UCBs are advised to ensure compliance of the above terms and conditions. Funds should not be released unless the builder / developer fulfils the above requirements.

10. National Building Code

The Bureau of Indian Standards (BIS) formulates comprehensive building Code namely National Building Code (NBC) of India providing guidelines for regulating the building construction activities across the country. The Code, updated from time to time contains all the important aspects relevant to safe and orderly building development such as administrative regulations, development control rules and general building requirements; fire safety requirements; stipulations regarding materials, structural design and construction (including safety); and building and plumbing services. Adherence to NBC will be advisable in view of the importance of safety of buildings especially against natural disasters. Banks' boards may consider this aspect for incorporation in their loan policies. Further information regarding the NBC can be accessed from the website of Bureau of Indian Standards (<http://www.bis.gov.in/>).

Annex - 1

Definition of Commercial Real Estate Exposure (CRE) (vide [paragraph 4.8.5](#))

Real Estate is generally defined as an immovable asset - land (earth space) and the permanently attached improvements to it. Income-producing real estate (IPRE) is defined in para 226 of the Basel II Framework as under :

"Income-producing real estate (IPRE) refers to a method of providing funding to real estate (such as, office buildings to let, retail space, multifamily residential buildings, industrial or warehouse space, and hotels) where the prospects for repayment and recovery on the exposure depend primarily on the cash flows generated by the asset. The primary source of these cash flows would generally be lease or rental payments or the sale of the asset. The borrower may be, but is not required to be, an SPE (Special Purpose Entity), an operating company focused on real estate construction or holdings, or an operating company with sources of revenue other than real estate. The distinguishing characteristic of IPRE versus other corporate exposures that are collateralised by real estate is the strong positive correlation between the prospects for repayment of the exposure and the prospects for recovery in the event of default, with both depending primarily on the cash flows generated by a property".

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2. The Income Producing Real Estate (IPRE) is synonymous with Commercial Real Estate (CRE). From the definition of IPRE given above, it may be seen that for an exposure to be classified as IPRE / CRE, the essential feature would be that the funding will result in the creation / acquisition of real estate (such as, office buildings to let, retail space, multifamily residential buildings, industrial or warehouse space, and hotels) where the prospects for repayment would depend primarily on the cash flows generated by the asset. Additionally, the prospect of recovery in the event of default would also depend primarily on the cash flows generated from such funded asset which is taken as security, as would generally be the case. The primary source of cash flow (i.e., more than 50% of cash flows) for repayment would generally be lease or rental payments or the sale of the assets as also for recovery in the event of default where such asset is taken as security.
-
3. In certain cases where the exposure may not be directly linked to the creation or acquisition of CRE, but the repayment would come from the cash flows generated by CRE. For example, exposures taken against existing commercial real estate whose prospects of repayments primarily depend on rental / sale proceeds of the real estate should be classified as CRE. Other such cases may include; extension of guarantees on behalf of companies engaged in commercial real estate activities, corporate loans extended to real estate companies etc.
-
4. It follows from the definition at [para 2](#) and [3](#) above that if the repayment primarily depends on other factors such as operating profit from business operations, quality of goods and services, tourist arrivals etc., the exposure would not be counted as Commercial Real Estate.
-
5. UCBs should not extend finance for acquisition of land even if it is part of a project. However, finance can be granted to individuals for purchase of a plot, provided a declaration is obtained from the borrower that he intends to construct a house on the said plot, within such period as may be laid down by the banks themselves.
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Simultaneous Classification of CRE into other Regulatory Categories

6. It is possible for an exposure to get classified simultaneously into more than one category, real estate, CRE, infrastructure etc. as different classifications are driven by different considerations. In such cases, the exposure would be reckoned for regulatory / prudential exposure limit, if any, fixed by RBI or by the bank itself, for all the categories to which the exposure is assigned. For the purpose of capital adequacy, the largest of the risk weights applicable among all the categories would be applicable for the exposure. The rationale for such an approach is that, while at times certain classifications / categorizations could be driven by socio-economic considerations and may be aimed at encouraging flow of credit towards certain activities, these exposures should be subjected to appropriate risk management / prudential / capital adequacy norms so as to address the risk inherent in them. Similarly, if an exposure has sensitivity to more than one risk factor it should be subjected to the risk management framework applicable to all the relevant risk factors.
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7. In order to assist banks in determining as to whether a particular exposure should be classified as CRE or not, some examples based on the principles described above are given below. Based on the above principles and illustrations given, banks should be able to determine, whether an exposure not included in the illustrative examples is a CRE or not and should record a reasoned note justifying the classification.
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Illustrative Examples

A. Exposures which should be classified as CRE

1. Loans extended to builders for construction of any property which is intended to be sold or given on lease (e.g., loans extended to builders for housing buildings, hotels, restaurants, gymnasiums, hospitals, condominiums, shopping malls, office blocks, theatres, amusement parks, cold storages, warehouses, educational institutions, industrial parks) In such cases, the source of repayment in normal course would be the cash flows generated by the sale / lease rentals of the property. In case of default of the loan, the recovery will also be made from sale of the property if the exposure is secured by these assets as would generally be the case.
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2. Loans for Multiple Houses intended to be rented out

The housing loans extended in cases where houses are rented out need to be treated differently. If the total number of such units is more than two, the exposure for the third unit onwards may be treated as CRE exposure as the borrower may be renting these housing units and the rental income would be the primary source of repayment.

3. Loans for Integrated Township Projects

Where the CRE is part of a big project which has small non-CRE component, it will be classified as CRE exposure since the primary source of repayment for such exposures would be the sale proceeds of buildings meant for sale.

4. Exposures to Real Estate Companies

In some cases, exposure to real estate companies is not directly linked to the creation or acquisition of CRE, but the repayment would come from the cash flows generated by Commercial Real Estate. Such exposures illustratively could be :

* Corporate Loans extended to these companies

* Investments made in the debt instruments of these companies

* Extension of guarantees on behalf of these companies

5. General Purpose loans where repayment is dependent on real estate prices

Exposures intended to be repaid out of rentals / sale proceeds generated by the existing CRE owned by the borrower, where the finance may have been extended for a general purpose.

B. Exposures which may not be classified as CRE

1. Exposures to entrepreneurs for acquiring real estate for the purpose of their carrying on business activities, which would be serviced out of the cash flows generated by those business activities. The exposure could be secured by the real estate where the activity is carried out, as would generally be the case, or could even be unsecured.

a. Loans extended for construction of a cinema theatre, establishment of an amusement park, hotels and hospitals, cold storages, warehouses, educational institutions, running haircutting saloons and beauty parlours, restaurant, gymnasium etc. to those entrepreneurs who themselves run these ventures would fall in this category. Such loans would generally be secured by these properties.

For instance, in the case of hotels and hospitals, the source of repayment in normal course would be the cash flows generated by the services rendered by the hotel and hospital. In the case of a hotel, the cash flows would be mainly sensitive to the factors influencing the flow of tourism, not directly to the fluctuations in the real estate prices. In the case of a hospital, the cash flows in normal course would be sensitive to the quality of doctors and other diagnostic services provided by the hospital. In these cases, the source of repayment might also depend to some extent upon the real estate prices to the extent the fluctuation in prices influence the room rents, but it will be a minor factor in determining the overall cash flows. In these cases, however, the recovery in case of default, if the exposure is secured by the Commercial Real Estate, would depend upon the sale price of the hotel / hospital as well as upon the maintenance and quality of equipment and furnishings.

The above principle will also be applicable in the cases where the developers / owners of the real estate assets (hotels, hospitals, warehouses, etc.) lease out the assets on revenue sharing or profit sharing arrangement and the repayment of exposure depends upon the cash flows generated by the services rendered, instead of fixed lease rentals.

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- b. Loans extended to entrepreneurs, for setting up industrial units will also fall in this category. In such cases, the repayment would be made from the cash flows generated by the industrial unit from sale of the material produced which would mainly depend upon demand and supply factors. The recovery in case of default may partly depend upon the sale of land and building if secured by these assets.
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Thus, it may be seen that in these cases the real estate prices do not affect repayment though recovery of the loan could partly be from sale of real estate.

2. Loans extended to a company for a specific purpose, not linked to a real estate activity, which is engaged in mixed activities including real estate activity.
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For instance, a company has two divisions. One division is engaged in real estate activity, and other division is engaged in power production. An infrastructure loan, for setting up of a power plant extended to such a company, to be repaid by the sale of electricity would not be classified as CRE. The exposure may or may not be secured by plant and machinery.

3. Loans extended against the Security of future rent receivables

A few banks have formulated schemes where the owners of existing real estate such as shopping malls, office premises, etc. have been offered finance to be repaid out of the rentals generated by these properties. Even though such exposures do not result in funding / acquisition of commercial real estate, the repayment might be sensitive to fall in real estate rentals and such exposures should be classified as CRE. However, if there are certain in built safety conditions which have the effect of delinking the repayments from real estate price volatility like, the lease rental agreement between the lessor and lessee has a lock in period which is not shorter than the tenor of loan and there is no clause which allows a downward revision in the rentals during the period covered by the loan banks can classify such exposures as non CRE. Banks may, however, record a reasoned note in all such cases.

4. Credit facilities provided to construction companies which work as Contractors

The working capital facilities extended to construction companies working as contractors, rather than builders, will not be treated as CRE exposures because the repayment would depend upon the contractual payments received in accordance with the progress in completion of work.

5. Financing of acquisition / renovation of self-owned office / company premises

Such exposures will not be treated as CRE exposures because the repayment will come from company revenues. The exposures to industrial units towards setting up of units or projects and working capital requirement, etc. would not be treated as CRE exposures.

Annex - 2

(Vide [Paragraph 9.2](#))

Direction of the Hon'ble High Court of Delhi

Procedure for ensuring the loan sought is for authorised structure

A. Housing Loan for Building Construction

- i) In cases where the applicant owns a plot / land and approaches the banks / FIs for a credit facility to construct a house, a copy of the sanctioned plan by competent authority in the name of a person applying for such credit facility must be obtained by the Banks / FIs before sanctioning the home loan.
 - ii) An affidavit-cum-undertaking must be obtained from the person applying for such credit facility that he shall not violate the sanctioned plan, construction shall be strictly as per the sanctioned plan and it shall be the sole responsibility of the executant to obtain completion certificate within 3 months of completion of construction, failing which the bank shall have the power and the authority to recall the entire loan with interest, costs and other usual bank charges.
 - iii) An Architect appointed by the bank must also certify at various stages of construction of building that the construction of the building is strictly as per sanctioned plan and shall also certify at a particular point of time that the completion certificate of the building issued by the competent authority has been obtained.
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B. Housing Loan for Purchase of Constructed Property / Built up Property

- i) In cases where the applicant approaches the bank / FIs for a credit facility to purchase a built up house / flat, it should be mandatory for him to declare by way of an affidavit-cum-undertaking that the built up property has been constructed as per the sanctioned plan and / or building bye-laws and as far as possible has a completion certificate also.
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- ii) An Architect appointed by the bank must also certify before disbursement of the loan that the built up property is strictly as per sanctioned plan and / or building bye-laws.
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- C. No loan should be given in respect of those properties which fall in the category of unauthorized colonies unless and until they have been regularized and development and other charges paid.
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- D. No loan should be given in respect of properties meant for residential use but which the applicant intends to use for commercial purposes and declares so while applying for loan.
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- E. The above directions will not be applicable to construction of farmhouses on agricultural land since the agricultural land is outside the limit of Grampanchayats and Municipal Councils and as these authorities neither sanction plans nor issue completion certificates for farmhouses constructed by the farmers on the agricultural land. In all such cases, local rules will apply.
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A. List of Circulars Consolidated in the Master Circular

B. List of Other Circulars from which instructions relating to Housing Finance have also been consolidated in the Master Circular

- 1 UCBs are categorised under respective tiers in terms of the circular [DOR.REG.No.84/07.01.000/2022-23](#) dated December 1, 2022.

KMT by ALPHA PLUS

 kmtnew.rbi.org.in/GetDocument.aspx

Please refer to RBI Master Circular [DoR.CRE.REC.71/07.10.002/2023-24](#) dated January 16, 2024 on the captioned subject consolidating the instructions / guidelines issued to UCBs till January 15, 2024. Attached is the revised [Master Circular](#), updated to reflect all instructions issued upto March 31, 2025 on the above matter, as listed in the [Annex](#). It may be noted that this Master Circular only consolidates all instructions on the above matter issued up to March 31, 2025 and does not contain any new instructions / guidelines.

1. General

1.1 As a prudential measure aimed at better risk management and avoidance of concentration of credit risk, primary (urban) co-operative banks (UCBs) have been advised to fix limits on their exposure -

(iii) towards unsecured advances.

1.2 In addition, these banks are also required to observe certain statutory and regulatory restrictions in respect of :

(ii) investments in shares, debentures and bonds .

1.3 Currently operative instructions on all these aspects are detailed in the following paragraphs.

2. Definitions

Tier-I capital as on March 31 of the preceding financial year shall be reckoned for the purpose of fixing the exposure limits. Tier-I capital for the purpose will be the same as that prescribed for computation of capital adequacy of UCBs (vide Master Circular dated April 1, 2025 on [Prudential Norms on Capital Adequacy](#), as amended from time to time).

2.2 Exposure shall include both credit exposure (Loans and Advances) and investment exposure (Non- SLR securities) as indicated below.

- (a) funded and non-funded credit limits and underwriting and similar commitments;
- (b) facilities extended by way of equipment leasing and hire purchase financing; and,
- (c) ad hoc limits sanctioned to the borrowers to meet the contingencies.

2.3.2 Credit exposure shall not include loans and advances granted against the security of bank's own term deposits.

2.3.3 The sanctioned limit or outstanding whichever is higher shall be reckoned for arriving at credit exposure limit. Further, in case of fully drawn term loans, where there is no scope of re-drawal of any portion of the sanctioned limit, banks may reckon the outstanding for arriving at credit exposure limit.

2.3.4 In respect of non-funded credit limit, 100 per cent of such limit or outstanding, whichever is higher, need be taken into account for the purpose.

2.3.5 The level of individual bank's share in Consortium / Multiple Banking / Syndication shall be governed by single borrower / group exposure.

UCBs shall be guided by provisions contained at [Chapter VII](#) of the Master Direction on 'Classification, Valuation and Operation of Investment Portfolio of UCBs' dated April 1, 2023, as updated from time to time.

2.5.1 The decision in regard to definition of a group is left to the perception of the UCBs, which are generally aware of the basic constitution of their clientele. The group to which a particular borrowing unit belongs may, therefore, be decided by the UCBs on the basis of relevant information available with them, the guiding principle in this regard being commonality of management and effective control.

2.5.2 The different firms with one or more common partners engaged in the same line of business, viz., manufacturing, processing, trading activity, etc. shall be deemed to be connected group and units coming under common ownership shall be deemed to be a single party.

Unsecured advances shall include clean overdrafts, loans against personal security, clean bills or *Multani hundies* purchased or discounted, cheques purchased and drawals allowed against cheques sent for collection but shall exclude :

- (i) advances backed by guarantee of the central or state governments, public sector financial institutions, banks and Deposit Insurance & Credit Guarantee Corporation;
- (ii) advances against supply bills drawn on the central or state governments or state owned undertakings which are accompanied by duly authorised inspection notes or receipted challans;
- (iv) advances against inland Document against Acceptance (D/A) bills drawn under letters of credit;
- (v) advances against inland D/A bills (even where such bills are not drawn under letters of credit) having a usance of not exceeding 90 days;
- (vi) advances granted to salaried employees against personal security, provided that the Co-operative Societies Act of the State concerned contains an obligatory provision for deduction of periodical loan instalments by the employer out of the employee's salary / wages to meet the bank's claims and provided further that the bank has taken advantages of this provision in respect of each of such advances;¹

- (vii) advances against supply bills drawn on private parties of repute and receipted challans of public limited companies and concerns of repute and not outstanding for more than 90 days;
- (viii) advances against book debts which are not outstanding for more than 90 days;
- (ix) cheques issued by governments, public corporation and local self governing institutions;
- (xiii) advances against legal assignment of contract moneys due, or to become due.

Note : All bills of exchange not accompanied by the official receipts of the Indian Railways or Indian Airlines Corporation or Road and Water Transport Operators, as approved by the Board of Directors of the primary co-operative bank, shall be deemed to be clean bills.

3. Exposure Norms

3.1.1 UCBs are required to fix, with the approval of their Board of Directors, exposure ceiling in relation to their Tier-I capital. The exposure for the purpose shall comprise both credit exposure (loans and advances) and investment exposure (Non-SLR securities) as detailed at [Para 2.3](#) and [2.4](#) so that -

- (i) the exposure to an individual borrower does not exceed 15 per cent of Tier-I capital; and,
- (ii) the exposure to a group of connected borrowers / parties does not exceed 25 per cent of Tier-I capital.

3.1.2 The exposure limits prescribed in [Para 3.1.1](#) apply to all types of fresh exposures taken by UCBs after March 13, 2020 and UCBs were required to bring down their exposures which were in excess of the revised limits to within the aforesaid revised limits by March 31, 2023. However, where the existing exposure comprises only term loans and non-fund-based facilities, while no further exposure shall be taken on such borrowers, these facilities may be allowed to continue as per their respective repayment schedule / till maturity.

3.1.3 Whether borrowers / parties belong to a 'group of connected borrowers / parties' shall be determined based on the instructions contained at [Para 2.5.1](#) and [2.5.2](#) above.

The exercise of computing the exposure ceilings may be conducted every year after the finalisation and audit of balance sheet of the bank and the exposure ceilings may be advised to the loan sanctioning authorities and the investment department in the bank. In view of the linking of shareholding to lending, accretion to or reduction in the share capital after the balance sheet date, may be taken into account for determining exposure ceiling at half-yearly intervals, with the approval of their Board of Directors. Accordingly, banks may, if they so desire, fix a fresh exposure limit taking into account the amount of share capital available as on 30th September. However, accretion to capital funds other than to share capital, such as half-yearly profit etc., will not be eligible for reckoning the exposure ceiling. Banks should also ensure that they do not take exposures in excess of ceiling prescribed in anticipation of infusion of capital on a future date.

UCBs shall have at least 50 per cent of their aggregate loans and advances comprising of Small Value Loans, i.e., loans of value not more than 25 lakh or 0.4 per cent of their Tier-I capital, whichever is higher, subject to a ceiling of 3 crore per borrower. Boards of UCBs, however, shall periodically review the portfolio behaviour and quality under different loan-size categories and where necessary, may consider fixing lower ceilings. Tier-I capital for this purpose shall be reckoned in the manner provided in [paragraph 2.1](#) above. Notwithstanding the above, UCBs shall adhere to the exposure limits stipulated at [Para 3.1](#) above. It is clarified that 'loans' for the purpose shall include all types of funded and non-funded exposures in the nature of credit. UCBs which do not, at present, comply with the prescribed threshold shall be in conformity with the above requirements as per following glide path :

Target Date	March 31, 2025	March 31, 2026
Minimum percentage of Small Value Loans in aggregate loans and advances	40%	50%

3.4.1 UCBs are advised to frame, with the approval of their Board of Directors, comprehensive prudential norms relating to the ceiling on the total amount of real estate loans, keeping in view the Reserve Bank of India guidelines to ensure that bank credit is used for construction activity and not for activity connected with speculation in real estate subject to the instructions in following paragraphs.

3.4.2 Aggregate exposure of a UCB to residential mortgages (housing loans to individuals), other than those eligible to be classified as priority sector, shall not exceed 25 per cent of its total loans and advances.

3.4.3 Aggregate exposure of a UCB to real estate sector, excluding housing loans to individuals, shall not exceed five per cent of its total loans and advances.

3.4.4 Working capital loans given by UCBs against hypothecation of construction materials provided to the contractors who undertake comparatively small construction on their own without receiving advance payments is exempted from the prescribed limit.

3.4.5 UCBs are not permitted to exceed the limit prescribed for grant of housing, real estate, commercial real estate loans to the extent of funds obtained from higher financing agencies and refinance from National Housing Bank.

UCB Tier ²	Loan Amount* per dwelling unit
Tier 1	60 lakh
Tier 2	1.40 crore
Tier 3	2 crore
Tier 4	3 crore

* subject to extant single borrower exposure limits

UCBs shall be guided by provisions contained at [Para 14.1\(a\)](#) of chapter VIII of the Master Direction on 'Classification, Valuation and Operation of Investment Portfolio of UCBs' dated April 1, 2023, as updated from time to time.

UCBs shall be guided by provisions contained at [Para 14.1\(b\)](#) of chapter VIII of the Master Direction on 'Classification, Valuation and Operation of Investment Portfolio of UCBs' dated April 1, 2023, as updated from time to time.

Placement / acceptance of deposits by UCBs shall be subject to instructions contained under [Chapter VIII](#) of Master Direction on Classification, Valuation and Operation of Investment Portfolio of UCBs dated April 1, 2023, as amended from time to time.

4. Ceiling on Unsecured Advances (with Surety & without Surety)

Limits for Individual Borrower and Group Borrower				
Criteria	UCBs with DTL up to 10 Crore	UCBs with DTL above 10 crore & up to 50 Crore	UCBs with DTL above 50 Crore & up to 100 Crore	UCBs with DTL above 100 Crore
UCBs having CRAR equal to or more than 9%	1.00 lakh	2.00 lakh	3.00 lakh	5.00 lakh
UCBs having CRAR less than 9%	0.25 lakh	0.50 lakh	1.00 lakh	2.00 lakh

4.2.1 The total unsecured loans and advances (with surety or without surety or for cheque purchase) granted by a UCB to its members should not exceed 10 per cent of its total assets as per the audited balance-sheet as on 31 March of the preceding financial year.

No bank shall finance a borrower, who is already enjoying credit facilities with another bank, without obtaining a 'NOC' from such financing bank and where the aggregate of the credit facilities enjoyed by the borrower exceeds the ceiling stipulated in the directive for a single party, the prior approval of Reserve Bank of India shall be obtained.

4.2.2 In order to provide further impetus to UCBs engaged in financial inclusion it has been decided that for UCBs whose priority sector loan portfolio is not less than 90 per cent of the gross loans may, with the prior approval of the Reserve Bank, grant unsecured advances to the extent of 35 per cent of their total assets as per the audited balance sheet at the end of the preceding financial year, subject to the following conditions :

(i) The entire unsecured loan portfolio in excess of the normally permitted 10 per cent, shall comprise of priority sector loans and the exposure to any individual borrower shall not exceed 40,000/-

(ii) CRAR of not less than 9 per cent as per the latest Inspection Report and audited financial statements.

(iii) Gross NPAs of not more than 7 per cent as per the latest Inspection Report and audited financial statements.

4.2.3 In respect of UCBs whose priority sector lending portfolio is less than 90%, unsecured loans up to 10,000 sanctioned by UCBs shall be exempt from the aggregate ceiling on unsecured exposure of 10 per cent of total assets as per audited balance sheet as on March 31 of the previous financial year, subject to following conditions:

(i) The individual amount sanctioned should not exceed 10,000/-.

(ii) The loan should be for productive purpose and banks should ensure end use of funds lent.

(iv) The Gross NPAs of the bank should not be more than 7 per cent.

The unsecured loans so extended by the bank shall not exceed 15 per cent of its total assets. Financial parameters detailed above shall be as per the latest Inspection Report and audited financial statements.

4.2.4 In view of the fact that salary earners' banks grant advances to salaried employees of a particular institution / group of institutions to which their membership is restricted and deductions are made from the salaries through their employers, the salary earners' banks may allow such advances in excess of the limits prescribed above subject to the following conditions :

(i) The Co-operative Societies Act of the State concerned contains an obligatory provision for deduction of periodical loan instalments by the employer out of employee's salaries / wages to meet bank's claims.

(ii) The bank has taken advantage of this provision in respect of each of such advance.

(iii) A general limit for such advances is fixed by the bank in terms of certain multiples of the pay packet taking into account the monthly income of the employees.

4.2.5 The advances granted by UCBs, other than salary earners' societies, to all salaried borrowers wherein repayment is sought to be ensured through deduction from borrower's salaries as per the provisions of the State Co-operative Societies Act, should be reckoned as secured only for the purpose of computation of total unsecured advances to the members as a whole. While granting advances to the individual salaried borrowers, the banks should ensure that these advances do not exceed the maximum limit on unsecured advances as indicated in [paragraph 4.1](#).

UCBs shall be guided by provisions contained at [Para 4\(c\)](#) of Master Direction - Credit Card and Debit Card - Issuance and Conduct Directions, 2022 dated April 21, 2022, as updated from time to time.

5. Statutory Restrictions

In terms of [Section 20\(1\)\(a\)](#) of the Banking Regulation Act, 1949, a primary (urban) co-operative bank cannot grant loans and advances on the security of its own shares.

[Section 20A\(1\)](#) of the Banking Regulation Act, 1949 (As applicable to Co-operative Societies) stipulates that a UCB shall not, except with the prior approval of the Reserve Bank, remit in whole or in part any debt due to it by -

(ii) any firm or company in which any of its directors is interested as director, partner, managing agent or guarantor, or

(iii) any individual, if any of its directors is his partner or guarantor.

5.4 In terms of [Section 20A\(2\)](#) of the said Act, any remission made in contravention of the provisions of sub-section (1) above shall be void and of no effect.

6. Regulatory Restrictions

6.1.1 UCBs shall not make, provide or renew any loans and advances or extend any other financial accommodation to or on behalf of their directors or their relatives, or to the firms / companies / concerns in which the directors or their relatives are interested (collectively called as "director related loans"). Further, the directors or their relatives or the firms / companies / concerns in which the directors or their relatives are interested shall also not stand as surety / guarantor to the loans and advances or any other financial accommodation sanctioned by UCBs. 'Advances' for the purpose shall include all types of funded / working capital limits such as cash credits, overdrafts, credit cards, etc.

6.1.2 The following categories of Director related loans are exempted from the purview of the above instructions :

(i) Regular employee-related loans to staff Directors, if any, on the Boards of UCBs;

(ii) Normal loans, as applicable to members, to the Directors on the Boards of Salary Earners' UCBs;

(iii) Normal employee-related loans to Managing Directors / Chief Executive Officers of UCBs;

(iv) Loans to Directors and their relatives against Government Securities, Fixed Deposits and Life Insurance policies standing in their own name.

(i) The term 'any other financial accommodation' shall include funded and non-funded credit limits and underwritings and similar commitments, as under :

(a) The funded limits shall include loans and advances by way of bill / cheque purchase / discounting, pre-shipment and post-shipment credit facilities and deferred payment guarantee limits extended for any purpose including purchase of capital equipment and acceptance limits in connection therewith sanctioned to borrowers, and guarantees by issue of which a bank undertakes financial obligation to enable its constituents to acquire capital assets. It shall also include investments which are in the nature of / in lieu of credit.

(b) The non-funded limits shall include letters of credit, guarantees other than those referred to in [paragraph \(a\)](#) above, underwritings and similar commitments. It shall also include off-balance sheet exposure in the form of derivatives.

(c) The one is related to the other (or vice-versa) in the manner indicated below :

(iii) The word "interested" shall mean the director of the UCB or his relative, as the case may be, being a director, managing agent, manager, employee, proprietor, partner, coparcener or guarantor, as the case may be, of the firm / company / concern [including Hindu Undivided Family (HUF)] :

Provided that a Director of a UCB or his relative shall also be deemed to be interested in a company, being the subsidiary or holding company, if he / she is a Director, Managing Agent, Manager, employee or guarantor of the respective holding or subsidiary company :

Provided further that a director of a UCB shall also be deemed to be interested in a company / firm if he / she holds substantial interest in or is in control of the company / firm or in a company, being the subsidiary or holding company, if he / she holds substantial interest in or is in control of the respective holding or subsidiary company :

Provided further that a relative of a director of a UCB shall also be deemed to be interested in a company / firm if he / she is a major shareholder or is in control of the company / firm or in a company, being the subsidiary or holding company, if he / she is a major shareholder or is in control of the respective holding or subsidiary company.

(iv) The term "substantial interest" shall have the same meaning as assigned to it in [section 5\(ne\)](#) of the Banking Regulation Act, 1949.

(v) The term "control" shall include the right to appoint majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders agreements or voting agreements or in another manner.

(vi) The term "major shareholder" shall mean a person holding 10 per cent or more of the paid up share capital.

6.1.4 UCBs shall be guided by Master Direction - Reserve Bank of India (Filing of Supervisory Returns) Directions - 2024 dated February 27, 2024, as amended from time to time, for submission of return regarding Director-related loans.

UCBs may sanction loans to nominal members for short / temporary period and for purchase of consumer durables, subject to the following ceiling :

UCBs		Ceiling of Loan Amount
(i)	with deposits upto 50 crore	50,000/- per borrower
(ii)	with deposits above 50 crore	1,00,000/- per borrower

The banks should desist from sanctioning advances against FDRs / term deposits of other banks.

6.4 Advances by Salary Earners' Primary (Urban) Co-operative Banks (SEBs) against Term Deposits of Non-members

6.4.1 In terms of RBI circular [UBD.No.BL.\(SEB\)5A/07.01.00-2001/02](#) dated August 8, 2001, SEBs applying for permission to open branches should ensure, inter alia, that their byelaws do not contain provisions for giving loans to outsiders (non-employees) by enrolling them as members / nominal members.

6.4.2 SEBs are permitted to grant advances against term deposits of non-members, subject to the following conditions :

- (i) The SEB should be fulfilling all the criteria for financially sound and well managed (FSWM) UCBs.
- (ii) The SEB should have in place an Audit Committee of the Board of Directors which is constituted and functioning in compliance with the instructions contained in RBI circular [UBD.No.Plan.\(PCB\).9/09.06.00-94/95](#) dated July 25, 1994.
- (iii) The bye-laws of SEB should have a provision for giving loans to non-members against term deposits held in their own name singly or jointly with other non-members / members.
- (iv) The SEB should maintain a reasonable margin against such advances at all times as per the policy approved by its Board.
- (v) No credit facilities, other than advances against term deposits, shall be granted to non-members.

UCBs have been prohibited from entertaining any proposal for bridge loan / interim finance including that against capital / debentures issues and / or in the form of loans of a bridging nature, pending raising of long term funds from the market by way of capital, deposits etc. from all the categories of non-banking financial companies i.e. equipment leasing, hire-purchase, loan, investment and also residuary non-banking companies.

(i) UCBs are prohibited from extending any fund based or non fund based credit facilities, whether secured or unsecured, to stockbrokers against shares and debentures / bonds, or other securities, such as fixed deposits, LIC policies etc.

(ii) UCBs are not permitted to extend any facility to commodity brokers. This would include issue of guarantees on their behalf.

6.6.2 Advances against units of mutual funds can be extended only to individuals as in the case of advances against the security of shares, debentures and bonds ([Para 6.6.3](#)).

6.6.3 Loans against the primary / collateral security of shares / debentures should be limited to 5 lakh if the security is in physical form and up to 10 lakh if the security is in demat form.

6.6.4 A margin of 50 per cent should be maintained on all such advances.

6.6.7 It is essential that before accepting shares as security, banks should put in place appropriate risk management systems. All the approved loan proposals should be placed before the Audit Committee of the Bank at least once in two months. The Management and Audit Committee should ensure that all loans against shares are made only to those individuals who are not in any way connected with any stock broking entity. Details of the loan sanctioned should be reported to the Board in its subsequent meeting.

UCBs shall not grant any loan or advance to any person for purchasing their own Perpetual Non Cumulative Preference Shares (PNCPS), Tier-II preference shares (such as Perpetual Cumulative Preference Shares, Redeemable Non Cumulative Preference Shares and Redeemable Cumulative Preference Shares), Perpetual Debt instruments (PDI) and Long Term Subordinated bonds (LTSB). UCBs shall not grant any loan or advance to any person for purchasing PNCPS, Tier-II preference shares, PDI and LTSB of other banks. UCBs should not invest in PNCPS (Tier-I), other Preference shares (Tier-II) and also in Long Term (Subordinated) Deposits (Tier-II), PDI, LTSB issued by other banks; nor should they grant advances against the security of the above instruments issued by them or other banks.

(i) For availing loans or advances from a UCB, its membership is a must. However, UCBs are normally not expected to enroll non-banking financial institutions (like investment and financial companies as well as other persons engaged in the business competing with or conflicting with the business of the bank) as their members since it would be in contravention of the state co-operative societies act concerned and will also not be in conformity with the provision of model by-law No. 9. Therefore, banks should not finance NBFCs, other than those engaged in hire-purchase / leasing.

(ii) Similarly, admission of non-banking financial companies which are not engaged exclusively in leasing / hire purchase business as members may be contrary to the provisions contained in the state cooperative societies act concerned and model by-law No. 9. It will, therefore, be necessary for the UCBs to obtain prior approval of the Registrar of Co-operative Societies concerned before admitting such leasing / hire purchase companies as members.

6.8.2 **Activities eligible for finance to NBFCs engaged in Hire Purchase / Leasing Activities**

Within the prescribed credit exposure norms and above stated restrictions, UCBs, with working capital funds aggregating to 25 crore and above, may finance the NBFC - Investment and Credit Companies (NBFC-ICC), subject to the following limits :

Type of NBFC		Maximum Limit on Bank Finance
(i)	NBFC-ICC having not less than 75 per cent of their assets in equipment leasing and hire purchase, and 75 per cent of their gross income from these two types of activities as per the last audited balance sheet of the companies.	3 times of the Net Owned Funds (NOF) of the NBFC
(ii)	NBFC-ICC carrying out equipment leasing and hire purchase other than (i) above	2 times of the Net Owned Funds (NOF) of the NBFC

(i) The maximum limit on bank finance should be within the overall ceiling of borrowing by NBFCs, upto ten times of their NOF.

(ii) Bank finance to leasing concerns should be restricted only to "full payout" leases i.e., those leases where the cost of the asset is fully recovered during the primary lease period itself and further it should cover purchases of only new equipment.

(iii) As a prudent policy, lease rentals due during the period of next five years should alone be taken into account for the purpose of lending.

6.8.3 **Activities not Eligible for Finance to NBFCs engaged in Hire Purchase / Leasing Activities**

6.8.3.1 The following activities undertaken by non-banking financial companies engaged in hire purchase / leasing activities are not eligible for bank credit. As such, these items should be excluded from the build-up of current assets while arriving at permissible bank finance for all categories of NBFCs :

- (i) Bills discounted / rediscounted by NBFCs, except where specifically permitted;
- (ii) Investments made in shares, debentures etc. of a current nature, i.e., stock-in-trade;
- (iii) Investment in and advances to subsidiaries, group companies or other entities; and,
- (iv) Investments in and inter-corporate loans / deposits to other companies.

6.8.3.2 In respect of items indicated at (i) and (ii) above, banks should not make any adjustment in the projected net working capital (NWC). It may be added that the projected NWC represents long-term surplus available to support current operations and, therefore, does not need to be adjusted as a result of changing / pruning the level of current assets while reducing the level of maximum permissible bank finance.

Scheduled UCBs may rediscount bills discounted by NBFCs arising from sale of commercial vehicles, including light commercial vehicles, two wheeler and three wheeler vehicles, subject to normal lending safeguards and the following conditions :

- (ii) the bills should represent genuine sale transactions as may be ascertained from the chassis / engine numbers; and,
- (iii) before rediscounting the bills, the UCBs should satisfy themselves about the bona- fides and track record of NBFCs which have discounted the bills.

Consequent to the Government of India notification dated December 12, 1995 specifying 'Hire Purchase' and 'Equipment Leasing' as forms of business in which it is lawful for a primary cooperative bank to engage, Scheduled UCBs are allowed to undertake these activities. Scheduled UCBs are advised to ensure that :

- (i) These activities are undertaken only at select branches of banks.
- (ii) These activities are to be treated at par with loans and advances and subject to extant exposure norms on individual / group borrowers.
- (iii) The banks should maintain a balanced portfolio of equipment leasing, hire purchase vis-a-vis aggregate credit. Credit exposure to each of these activities should not exceed 5 per cent of total advances.
- (iv) The banks undertaking these activities should follow prudent accounting standards. Entire lease rental should not be taken to banks' income account. Only the interest component should be taken to income account. The component representing replacement cost of the asset should be carried to the Balance Sheet in the form of a provision for depreciation.
- (v) As a prudent measure, full depreciation should be provided during the primary lease period of the asset.

Non Scheduled UCBs, which also desire to undertake these activities should obtain RBI permission.

UCBs are permitted to finance agricultural activities subject to the following conditions:

- (i) UCBs would provide direct finance only to members (no nominal members) and not through any agency like primary agricultural credit societies and primary land development banks etc.,

(ii) Credit should be extended only after obtaining 'no dues certificate' from the existing credit agencies in the area, and

(iii) Banks should follow the scales of finance and obtain security as per guideline issued by RBI / NABARD.

6.11.1 UCBs may lend to SHGs and JLGs as per their Board approved policy framed according to the prescribed RBI guidelines in this regard.

6.11.2 UCBs may follow the method of lending directly to SHGs / JLGs. Lending through intermediaries will not be permitted.

6.11.3 The extant limits (individual and total) on grant of unsecured loans and advances will not apply to loans granted to SHGs. However, loans granted by UCBs to JLGs, to the extent not backed by tangible security, will be treated as unsecured and will be subject to the extant limits on unsecured loans and advances.

6.11.4 Loans granted to SHGs / JLGs would be governed by the extant guidelines on individual exposure limits.

6.11.5 The maximum amount of loan to SHGs should not exceed four times of the savings of the group. The limit may be exceeded in case of well managed SHGs subject to a ceiling of ten times of savings of the group. The groups may be rated on the basis of certain objective parameters such as proven track record, savings pattern, recovery rate, housekeeping etc. JLGs are not obliged to keep deposits with the bank and hence the amount of loan granted to JLGs would be based on the credit needs of the JLG and the bank's assessment of the credit requirement.

6.12.1 Under the law, employees' contributions to provident fund deducted from wages of the employees / members, for a period of more than six months and not paid to the Commissioner are a first charge on the assets of the borrowers, in the case of the insolvency / winding up of the borrowing employer. In the circumstances, primary (urban) cooperative banks should safeguard their interest vis-a-vis such statutory dues.

6.12.2 Therefore, banks should satisfy themselves that there are no arrears of Provident Fund and other statutory dues of the borrowers by obtaining a declaration from them that all such dues have been duly paid. Proof in this regard may be called for only in cases where banks have reason to doubt the borrowers' declaration. Even where a proof is required, it is not necessary to insist on a certificate from the Regional Provident Fund Commissioner; production of a receipt evidencing the payment of the dues or a certificate from the auditors of the borrower or any other similar proof may be considered sufficient. In the case of sick units where there are arrears for reasons beyond the control of the borrowers, banks may continue to consider such cases on merits.

2. UCBs are categorised under respective tiers in terms of the circular [DOR.REG.No.84/07.01.000/2022-23](#) dated December 1, 2022.

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Please refer to our Master Circular [UBD.BPD.\(PCB\).MC No.10/12.05.001/2014-15](#) dated July 1, 2014 on the captioned subject (available at RBI website www.rbi.org.in). The enclosed [Master Circular](#) consolidates and updates all the instructions / guidelines on the subject issued up to June 30, 2015 and mentioned in the Appendix.

1. Introduction

The quality of customer service in Primary (Urban) Co-operative Banks (banks) has great significance as they are established primarily to fill the existing gaps in banking and credit needs in urban and semi urban areas. Meeting the legitimate aspirations of its customers will enable a bank to maintain its image, create confidence and attract funds comparatively at low cost in a competitive environment. Ensuring improvement in the customer service rendered by the banks has been the constant endeavour of Reserve Bank of India. In 1990, Reserve Bank of India had set up a Committee headed by Shri M.N.Goiporia, the then Chairman of State Bank of India to examine the various aspects of customer service in banks and make suitable recommendations for its perceptible improvement. The Committee had made various recommendations to ensure improvement in the customer service in the banks. The Committee on Procedures and Performance audit on Public Services (CPPAPS) had also made suggestions for improvement of customer service in banks. Reserve Bank has issued instructions to banks on the suggestions accepted by the Bank. In addition, Reserve Bank has also issued various guidelines on the subject in general and on specific aspects relating to immediate credit for the outstation instruments sent for collection, payment of interest for delay in collection of instrument, adherence of time schedule in such matters as payment to customers, issue of DDs / TTs, issue of cheque books, etc. The consolidated instructions are summarised below :

2. Service at the Counters

The employees are expected to be at their seats at the commencement of the business hours and attend to all the customers who are in the branch prior to the close of business hours. In practice, however, in many branches of banks, employees take their own time to open the counters and also do not attend to customers who are in the queue at the close of business hours. Some banks with a view to ensuring that the service to customers is made available exactly at the commencement of business hours fix the working hours of the staff 15 minutes before the start of business hours. This arrangement can be made by all the banks at their branches in metropolitan and urban centres.

Time norms for specified business transactions should be displayed prominently in the banking hall so that it attracts the customers' attention as well as that of the employees for adherence.

2.3 There are complaints that counters are closed at the end of business hours, without disposing of customers. Banks may issue instructions that all customers who enter the banking hall before the close of business hours may be attended to.

Staff at the counters may undertake the following transactions during the extended business hours (branches to indicate the timings)

Banks may devise appropriate procedures to ensure that no counter remains unattended during the business hours and uninterrupted service is rendered to the customers by making adequate relief arrangements as may be necessary.

All branches, except very small ones, should have "Enquiry" or "May I help you" counters. Such counters may exclusively attend to enquiries or may be combined with other functions depending upon the requirement. As far as possible, such counters should be near the entry point to the banking hall.

Banks should install dual display note counting machines at the payment counters of their branches for the use of their customers towards building confidence in the minds of the public to accept note packets secured with paper bands.

2.8. Facilities at Extension Counters

Banks are allowed to undertake following limited transactions at the Extension Counters :

(v) Advances against fixed deposits of their customers (within the sanctioning power of the official concerned at the Extension Counter) and

(vi) Disbursement of other loans (only for individuals) sanctioned by the Head Office / base branch up to the limit of 10 lakh only.

3. Deposit and other Accounts

Banks are directed to include 'third gender' in all forms / applications etc. prescribed by the Reserve Bank or the banks themselves, wherein any gender classification is envisaged.

(a) Banks should ensure that full address / telephone number of the branch is invariably mentioned in the Pass Book / Statement of Accounts issued to account holders.

(b) Banks should provide MICR code and IFSC Code of the branch in all passbook / statement of account to their account holders.

(c) Banks should invariably offer passbook facility to all their savings bank account-holders (individuals). The cost of providing such passbooks should not be recovered from the customers.

(d) Banks may devise controls to ensure that the passbooks are updated on an ongoing basis, and complete and correct particulars are written in a legible hand

(e) Customers also need to be educated to submit the passbooks regularly for updating

- (f) Banks may take the following steps to provide customer satisfaction in these areas :
- (i) Customer education drives may be launched to bring home the advantages of getting the passbooks updated regularly / periodically.
- (ii) Employees may be exhorted to attach importance to this area to provide customer satisfaction.
- (g) As a rule, passbooks may be updated immediately on submission. If updating is not possible immediately due to a large number of entries, then paper tokens be issued for collection of passbooks on the next day.

3.2.1 Furnishing remitter details in pass book / pass sheet / account statement for credits received by customers through NEFT / NECS / ECS

The procedural guidelines on NEFT / NECS / ECS and various circulars issued from time to time by the Reserve Bank clearly highlights the minimum information that should be provided to customers about the details of credit received through NEFT / NECS / ECS. Complaints about incomplete details about the remitter (or beneficiary) and / or the source of credit (or debit) in the passbooks / pass sheets / account statements, as also lack of uniformity across banks in providing even such minimal information are on the rise. Banks may enable their Core Banking Solutions (CBS) to capture complete information from the relevant fields in the messages / data files which can be displayed to customers when they access their accounts online or provide to them additionally when they approach the branch counters / help desks / call centres.

- (a) Banks have made considerable innovations in the area of term deposits. Various innovative schemes have been introduced to suit customer requirements. However, customer awareness of the different schemes and facilities thereunder is actually lacking. Banks should therefore ensure that various term deposit schemes are made known to the customers through proper publicity and advice. The customers need to also be informed specifically of the provision of monthly interest on term deposits at a discounted rate and the facility of safe custody of term deposit receipts.
- (b) Term deposit application forms may be so devised as to contain a direction for disposal of deposits on maturity. In those cases where the customer does not indicate the course of action by the bank on maturity of deposits, banks may as a rule send intimation of impending due date of the deposit well in advance.

There is room for providing customer satisfaction by assisting customers in taking proper decisions for investment in various deposit schemes having regard to their particular needs and expectations. The banks should provide assistance / guidance to customers in the area of investment of funds in the various deposit schemes vis-a-vis the requirement of the customers.

Banks may make available to the customers brochures / pamphlets in regional language / Hindi / English giving details of various schemes available and terms and conditions thereof. Such brochures may also contain, among others, dos and don'ts for smooth handling of day-to-day banking transactions, e.g. updating of passbooks, preferably in the leaner weeks of the month,

say, third / fourth week, advantages of maintaining joint accounts and nomination, keeping the term deposit receipts in safe custody with the banks with instructions for disposal on maturity etc.

The settlement of claims in respect of missing persons would be governed by the provisions of [Section 107 / 108](#) of the Indian Evidence Act, 1872. Section 107 deals with presumption of continuance and Section 108 deals with presumption of death. As per the provisions of [Section 108](#) of the Indian Evidence Act, presumption of death can be raised only after a lapse of seven years from the date of his / her being reported missing. As such, the nominee / legal heirs have to raise an express presumption of death of the subscriber under [Section 107 / 108](#) of the Indian Evidence Act before a competent court. If the court presumes that he / she is dead, then the claim in respect of a missing person can be settled on the basis of the same.

Banks are advised to formulate a policy, which would enable them to settle the claims of a missing person after considering the legal opinion and taking into account the facts and circumstances of each case. Further, keeping in view the imperative need to avoid inconvenience and undue hardship to the common person, banks are advised that keeping in view their risk management systems, they may fix a threshold limit, up to which claims in respect of missing persons could be settled without insisting on production of any documentation other than (i) FIR and the non-traceable report issued by police authorities and (ii) letter of indemnity.

4. Safe Deposit Lockers

Banks should provide more and more lockers, especially in residential areas, while keeping in view the commercial viability.

The Committee on Procedures and Performance Audit on Public Services (CPPAPS) had made some recommendations for easy operation of lockers. Accordingly, banks may adhere to the following guidelines :-

Banks should not link the provisions of lockers facility with placement of fixed or any other deposit beyond what is specifically permitted.

Banks may obtain a Fixed Deposit which would cover 3 year's rent and the charges for breaking open the locker in case of an eventuality. However, banks should not insist on such Fixed Deposit from the existing locker hirers.

Branches should maintain a wait list for the purpose of allotment of lockers and ensure transparency in allotment of lockers. All applications received for allotment of locker should be acknowledged and given a wait list number.

Banks should exercise due care and necessary precaution for the protection of the lockers provided to the customer.

(i) Banks should carry out customer due diligence for both new and existing customers at least to the levels prescribed for customers classified as medium risk. If the customer is classified in a higher risk category, customer due diligence as per KYC norms applicable to

such higher risk category should be carried out.

(ii) Where the lockers have not been operated for more than three years for medium risk category or one year for a higher risk category, banks should immediately contact the locker hirer and advise him to either operate the locker or surrender it. This exercise should be carried out even if the locker hirer is paying the rent regularly. Further, the bank should ask the locker hirer to give in writing, the reasons why he / she did not operate the locker. In case the locker hirer has some genuine reasons as in the case of NRIs or persons who are out of town due to a transferable job etc., banks may allow the locker hirer to continue with the locker. In case the locker hirer does not respond nor operate the locker, banks should consider opening the lockers after giving due notice to him. In this context, banks should incorporate a clause in the locker agreement that in case the locker is not operated for more than one year, the bank would have the right to cancel the allotment of the locker and open the locker, even if the rent is paid regularly.

(iii) Banks need to draw up a procedure in consultation with their legal advisers for breaking open the lockers and taking stock of inventory.

(iv) In order to facilitate identifying the ownership of the locker keys, banks should introduce a system whereby the locker keys could be embossed with the Identification Code of the bank / branch. An arrangement for installation of necessary machinery at the branches with the help of the vendor company of the locker cabinet may be made for this purpose. The branches concerned may advise all the locker hirers about the embossing of the locker keys. It may also be ensured that the Identification Code is embossed on the locker keys in the presence of the locker hirer only. While Identification Code should be embossed on keys of all new lockers to be installed, in respect of keys of already hired out lockers, the Identification Code may be embossed whenever the hirer visits the bank to operate the locker.

4.1.5 Access to the safe deposit lockers / return of safe custody articles to Survivor(s) / Nominee(s) / Legal heir(s)

Instructions were laid down vide circular [UBD.BPD.Cir.No.4/13.01.00/2005-06](#) dated July 14, 2005 for handing over the proceeds of deposit accounts. A similar procedure should be adopted for return of contents of lockers / safe custody articles to Survivor / Nominee / Legal Heirs.

4.1.6 Access to the safe deposit lockers / return of safe custody articles (with survivor / nominee clause)

If the sole locker hirer nominates a person, banks should give to such nominee access of the locker and liberty to remove the contents of the locker in the event of the death of the sole locker hirer. In case the locker was hired jointly with the instructions to operate it under joint signatures, and the locker hirer(s) nominates person(s), in the event of death of any of the locker hirers, the bank should give access of the locker and the liberty to remove the contents jointly to the survivor(s) and the nominee(s). In case the locker was hired jointly with survivorship clause and the hirers instructed that the access of the locker should be given over to 'either or survivor', 'anyone or survivor' or 'former or survivor' or according to any other

survivorship clause, banks should follow the mandate in the event of the death of one or more of the locker hirers. However, banks should take the following precautions before handing over the contents :

- (a) Banks should exercise due care and caution in establishing the identity of the survivor(s) / nominee(s) and the fact of death of the locker hirer by obtaining appropriate documentary evidence.
- (b) Banks should make diligent effort to find out if there is any order from a competent court restraining the bank from giving access to the locker of the deceased.
- (c) Banks should make it clear to the survivor(s) / nominee(s) that access to locker / safe custody articles is given to them only as a trustee of the legal heirs of the deceased locker hirer; such access given to them shall not affect the right or claim which any person may have against the survivor(s) / nominee(s) to whom the access is given.

4.1.7 Access to the safe deposit lockers / return of safe custody articles (without survivor / nominee clause)

There is an imperative need to avoid inconvenience and undue hardship to legal heir(s) of the locker hirer(s). In case where the deceased locker hirer had not made any nomination or where the joint hirers had not given any mandate that the access may be given to one or more of the survivors by a clear survivorship clause, banks are advised to adopt a customer-friendly procedure drawn up in consultation with their legal advisers for giving access to legal heir(s) / legal representative of the deceased locker hirer. Similar procedure should be followed for the articles under safe custody of the bank.

4.1.9 Banks should prepare an inventory before returning articles left in safe custody / before permitting removal of the contents of a safe deposit locker in terms of Notification [UBD.BR.767/B.1-84/85](#) dated March 29, 1985. The inventory shall be in the appropriate Forms set out as enclosed to the Notification or as near thereto as circumstances require. A copy of the Notification is shown as [Annex II](#).

Banks should give wide publicity and provide guidance to locker-hirers / depositors of safe custody articles on the benefits of the nomination facility and the survivorship clause.

Banks are urged to scale up IT initiatives for financial inclusion speedily while ensuring that solutions are highly secure, amenable to audit, and follow widely accepted open standards to ensure eventual inter-operability among the different systems.

5. Banking facilities to the visually challenged

(i) All the banking facilities such as cheque book facility including third party cheques, ATM facility, Net banking facility, locker facility, retail loans, credit cards etc. are required to be invariably offered to the visually challenged without any discrimination. Banks may also advise their branches to render all possible assistance to the visually challenged for availing the various banking facilities.

(ii) Banks should make at least one third of new ATMs installed as talking ATMs with Braille keypads and place them strategically in consultation with other banks to ensure that at least one talking ATM with Braille keypad is generally available in each locality for catering to the needs of visually impaired persons. Banks may also bring the location of such talking ATMs to the notice of their visually impaired customers. Banks should make all new ATMs installed from July 1, 2014 as talking ATMs with Braille keypads and lay down a road map for converting existing ATMs as talking ATMs with Braille keypads and the same may be reviewed from time to time by the Board of Directors / Customer Service Committee of the Board.

(iii) In addition to the above, magnifying glasses should also be provided in all bank branches for the use of persons with low vision, wherever they require, for carrying out banking transactions with ease. Branches should display at a prominent place notice about the availability of magnifying glasses and other facilities available for persons with disabilities.

6. Identity Badges

Each employee may wear on his person, identity badge with photograph and name prominently displayed on it. Besides giving an official touch, it will create a better rapport with the customers.

7. Job Enrichment

Periodic change of duties and job rotation among employees is necessary. Elementary checking functions such as authentication of pass books / issuance of receipts for cheques deposited for credit to the customers' accounts etc., would not only make useful contribution towards customer service but also would give a boost to the morale and self image of the employees.

8. Training

It is essential to align the training programmes to the needs in various areas with an eye on customer service. The employees should be trained to develop the right kind of attitude towards customer service, and empathy towards customer needs and expectations. Training programmes may be so devised as to bring about positive attitudinal changes compatible to customer orientation.

9. Induction Training

Training to new recruits should be a precursor to other follow - up training programmes. All new recruits, i.e. clerks / officers should be necessarily exposed to induction programme immediately after recruitment. A co-ordinated approach amongst banks is required in this regard.

10. Reward and Recognition

The system of reward / recognition should be such that it puts an indifferent employee to a considerable disadvantage - psychologically and even financially. Only if the reward scheme is objectively enunciated, employees will be motivated to perform better. Indifferent and casual

approach to work (customer service) should not go unnoticed, giving such employees wrong signals. Banks should evolve a fair system whereby employees are gauged or rated in the area of customer service and good work is rewarded.

11. Systems and Procedures

Systems and procedures are necessary to assist banks in functioning in an effective and efficient manner and to ensure safety of customer's money. Banks may keep their systems and procedures in trim, by a continuous process of introduction of new procedures that may be required and by doing away with unwanted ones.

12. Customer Service Audit

Various facets of service to the customers need review and introduction of more avenues has to be identified. Banks may subject themselves to an audit approach towards their customer service points at grass root levels and also at policy prescription and macro levels in the matter of extension of customer service.

13. Complaint Box and Book

A Complaint cum Suggestion Box may be kept in the bank premises at a prominent place. Every bank branch may also maintain a Complaint Book with adequate number of perforated copies in each set, so designed as to instantly provide the complainant with an acknowledged copy of the complaint. A format of complaint book with adequate number of perforated copies prepared by the Indian Banks Association is given at [Annex I](#). Banks should take appropriate steps to introduce the same for ensuring uniformity at all offices of the banks.

14. Inspection / Audit Reports

The internal inspectors / auditors including audit firms engaged for the purpose during the course of their inspection / audit of branches should examine the various customer service aspects including the efficacy of the complaints handling and grievance redressal machinery; and based on their observations, record the improvements and deficiencies in various areas.

15. Complaint Prone Employees

Placement of employees in customer contact slots should be on a selective basis. By imaginative and innovative approaches, enough number of employees can be brought-up by training. Cases of deliberate recalcitrance and disregard of customer service spirit should be taken note of and kept in concerned employees' service records apart from taking other action against such employees.

16. Periodical visits by senior officials

Senior officials while visiting the branches should also give priority to the customer service aspects. It will be great advantage if senior official counter checks the actual 'branch atmosphere' by having in hand a report on customer service submitted by the branch.

17. Infrastructure provision

Banks may bestow attention to providing adequate space, proper furniture, drinking water facilities, clean environment, (which include keeping the walls free of posters) etc., in their premises to enable conduct of banking transactions smoothly and more comfortably.

18. Customer Education

Customer education both in regard to rights and responsibilities in dealing with banks should be viewed as a fundamental issue in any attempt to improve customer service. Customer should be made aware not only of the various schemes and services offered by banks, but also about the formalities, procedures, legal requirements and limitations in the matter of providing services by the banks, through a proper mix of advertisements, literature, interface, seminars, etc. Banks should involve their employees in all customer education programmes.

19. Security Arrangements

In view of the incidents involving terrorists / dacoits, banks should review and improve upon the existing security system in branches so as to instill confidence amongst the employees and the public. Regular drill / training to the security staff should be ensured.

20. Fair Practices Code - Display of Bank / Service Charges

20.1 Banks have the freedom to prescribe service charges with the approval of their Boards. However, while fixing service charges, for various types of services like charges for cheque collection, etc., they should ensure that they are reasonable and are not out of line with the average cost of providing these services. Banks should also take care to ensure that customers with low volume of activities are not penalized.

20.2. Display of information - Comprehensive Notice Board

Banks should put up in a notice board important aspects or indicators on 'customer service information', 'service charges', 'grievance redressal' and 'others'. The notice board should be updated on a periodical basis.

Banks should display information relating to interest rates and service charges in their premises as well as post it on their websites, to enable the customer to obtain the desired information at a glance. An indicative format is enclosed at [Annexure IV *](#).

20.3 Further, all banks, including scheduled banks, should also display at their offices / branches the service charges relating to the following services in the local languages :

A. Services rendered free of charge

B. Others

UCBs are advised to leverage technology available with them and the telecom providers to ensure that the charges levied by banks for sending SMS alerts are levied on all customers on actual usage basis.

20.4 Banks should also ensure that the charges levied for offering various electronic products and for outstation cheque collection service do not exceed the framework of charges prescribed by the Reserve Bank, (for transactions originated and payable in India), which is summed up as under :-

a)	Inward Transactions		
	RTGS / NEFT / ECS transactions		Free, no charge to be levied
b)	Outward Transactions		
	i)	RTGS	
		1 to 5 lakh	Not exceeding 25 per transaction
		5 lakh and above	Not exceeding 50 per transaction
	ii)	NEFT	
		Up to 1 lakh	Not exceeding 5 per transaction
		1 lakh and above	Not exceeding 25 per transaction

Banks may prescribe charges not higher than cheque return charges for ECS debit returns.

Value	Service charge from Savings a/c of customers
Up to and including 5,000	25 ^
Above 5,000 and up to and including 10,000	50 ^
Above 10,000 and up to and including 1,00,000	100 ^
Above 1,00,000	Left to the banks to decide
^ All inclusive maximum amount chargeable by banks to the customers	

C) Service Charges for Cheque Collection under Speed Clearing (by Collecting Banks from customers)

Value	Service charge from all customers
Up to and including 1,00,000	Nil

Above 1,00,000	Left to the banks to decide
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Banks are free to fix charges for collection of instruments for credit to other type of accounts.

- (a) The service charge structure put in place by the bank should have the approval of the Board of Directors.
- (b) Charges fixed should be reasonable and computed on a cost-plus-basis and not as an arbitrary percentage of the value of the instrument. The service charge structure should not be open ended and should clearly specify the maximum charges that would be levied on customers including charges, if any, payable to other banks.
- (c) While sharing service charges, banks may be guided by the provisions of circular [CIR/RB-I/CCP/64](#) dated April 8, 2010 issued by the Indian Banks Association.
- (d) Banks may note to ensure that collection charges fixed for instruments of any value is lower under Speed Clearing vis-a-vis Outstation Cheque Collection so as to encourage the use of Speed Clearing.
- (e) Banks, which have fixed their service charges for outstation / speed clearing for instruments valuing above 1 lakh as percentage to the value of instruments are advised to review the same and fix the charges on a cost plus basis
- (f) Banks may note to ensure that collection charges fixed for instruments valuing above 1 lakh is lower under Speed Clearing vis-a-vis Outstation Cheque collection as advised in paragraph 6 (d) of our circular dated January 19, 2011 so as to encourage the use of Speed Clearing.
- (g) The updated service charges structure may be incorporated in the cheque Collection Policy (CCP) and the customers notified accordingly. The revised rates may also be placed on the bank's web site.
- (h) The service charges mandated / fixed by banks are inclusive of all charges (postal, courier, handling, etc.) other than service tax.
- (i) Banks should use electronic modes like RTGS / NEFT to remit clearing proceeds to the collecting bank branch availing of Outstation Cheque Collection facility.

Note : The above provisions are not applicable to cash handling charges levied by banks for handling large value cash transactions.

D. With a view streamline practice of charges for cheque returns to be levied by bank, the banks are advised to adhere to the following instructions :

- i. Cheque return charges shall be levied only in cases where the customer is at fault and is responsible for such returns. The illustrative, but not exhaustive, list of returns, where the customers are not at fault are indicated in the [Annex IV](#).

ii. Cheques that need to be re-presented without any recourse to the payee, shall be made in the immediate next presentation clearing not later than 24 hours (excluding holidays) with due notification to the customers of such re-presentation through SMS alert, email etc.

(i) Banks have been deploying ATMs to increase their reach to increase the usage of ATMs as a delivery channel. Banks have also entered into bilateral or multilateral arrangements with other banks to have inter-bank ATM networks. While ATMs facilitate a variety of banking transactions for customers, their main utility has been for cash withdrawal and balance enquiry.

(ii) The number of ATMs and Point of Sale (POS) terminals in the country and the use of debit cards at POS terminals at different merchant establishments has been steadily increasing. As a further step towards enhancing the customer convenience in using the plastic money, it has been decided to permit cash withdrawals at POS terminals. To start with, this facility will be available to all debit cards issued in India, up to 1,000 per day. The conditions subject to which this facility is being extended are given in the [Annexure V](#).

(iii) After an analysis of the ATM deployment in the country as well as availability of alternate means of electronic payment infrastructure and access thereto, it was decided to revise the service charges as under:-

a) Taking into account the high density of ATMs, bank branches and alternate modes of payment available to the customers, the number of mandatory free ATM transactions for savings bank account customers at other banks' ATMs has been reduced from the present five to three transactions per month (inclusive of both financial and non-financial transactions) for transactions done at the ATMs located in the six metro centres, viz. Mumbai, New Delhi, Chennai, Kolkata, Bengaluru and Hyderabad. Nothing, however, precludes a bank from offering more than three free transactions at other bank ATMs to its account holders if it so desires :

b) This reduction will, however, not apply to small / no frills / Basic Savings Bank Deposit account holders who will continue to enjoy five free transactions, as hitherto.

c) At other locations i.e. other than the six metro centres mentioned above, the present facility of five free transactions for savings bank account customers shall remain unchanged. If transactions are carried out at both the six metro centres and other locations, the total number of transactions (inclusive of both financial and non-financial) free of charge at other bank ATMs would continue to remain at FIVE.

d) ATM installing banks are advised to indicate clearly at each ATM location that the ATM is situated in a 'metro' or 'non-metro' location using appropriate means (message displayed on the ATM / sticker / poster, etc.) to enable the customer to identify the status of the ATM in relation to availability of number of free transactions. Further, banks are advised to ensure the "ATM location identifiers" in their ATM database is accurate and kept up-to-date at all times so as to minimise disputes, if any, in the matter.

e) The issuing banks are also advised to put in place proper mechanisms to track such transactions and ensure that no customer inconvenience or complaints arise on this account.

f) Banks are advised that at least five free transactions (inclusive of financial and non financial transactions) per month should be permitted to the savings bank account customers for use of own bank ATMs at all locations. Beyond this, banks may put in place appropriate Board approved policy relating to charges for customers for use of own bank ATMs.

g) The ceiling / cap on customer charges of Rs.20/- per transaction (plus service tax, if any) will be applicable.

h) Banks are advised to ensure that the charges structure on ATM transactions, as per their Board approved policy, is informed to the customer in a fair and transparent manner.

i) Further, banks are advised to put in place suitable mechanism for cautioning / advising / alerting the customers about the number of free transactions (OFF-US as well as ON-US) already utilised during the month by the customer and the possibility that charges may be levied as per the banks' policy on charges.

The service charges for the following types of cash withdrawal transactions may be determined by the banks themselves :

(a) cash withdrawal with the use of credit cards.

(b) cash withdrawal in an ATM located abroad.

To improve the customer service through enhancement of efficiency in ATM operations, banks are advised to initiate action as below :

a) The message regarding non-availability of cash in ATMs should be displayed before the transaction is initiated by the customer. Banks may exercise option to display such notices either on screen or in some other way.

b) The ATM ID may be displayed clearly in the ATM premises to enable a customer to quote the same while making a complaint / suggestion.

c) The forms for lodging ATM complaints may be made available by the banks within the ATM premises and display the name and phone number of the officials with whom the complaint can be lodged may be displayed.

d) Banks may make available sufficient toll-free phone numbers for lodging complaints / reporting and blocking lost cards to avoid delays and also attend the requests on priority. Local helpline numbers (city-wise / centre wise) should also be increased and should be prominently displayed in the ATM premises / banks' web-site.

e) Banks may proactively register the mobile numbers / e-mail IDs of their customers for sending alerts and also educate their customers to intimate changes, if any. A time-bound programme for updation of mobile number and or e-mail of all existing accounts may be drawn up. These details should be updated periodically along with KYC details.

f) To prevent fraudulent withdrawal at ATMs, RBI had mandated requirement of PIN entry for each and every transaction, including balance enquiry transactions. It is advised that the time out sessions should be enabled for all screens / stages of ATM transaction keeping in view the time required for such functions in normal course. Bank may ensure that no time extensions are allowed beyond a reasonable limit at any stage of the transaction.

g) Banks, in collaboration with Indian Banks' Association, may run advertisement campaign in both, print and electronic media at regular intervals for creating awareness about electronic banking products.

21.3 Banks shall reimburse to the customers the amount wrongfully debited, if any, due to ATMs failure to dispense cash within a maximum period of 12 days from the date of receipt of customer complaints.

Banks are advised to take necessary steps to provide all existing ATMs / future ATMs with ramps so that wheel chair users / persons with disabilities can easily access them. The height of the ATM should be such that it does not create an impediment in its use by a wheelchair user. Banks may also take appropriate steps including ramps at the entrance of the bank branches so that the person with disabilities / wheel chair users can enter the bank branches and conduct business without much difficulty and report the progress made in this regard periodically to their Board of Directors / Customer Service Committee of the Board and ensure compliance. However, in cases where it is impracticable to provide such ramp facilities, whether permanently fixed to earth or otherwise, the requirement may be dispensed with, for reasons recorded or displayed in branches or ATMs concerned.

In the CBS environment, customers of a bank can be uniquely identified by their account number across branches. In terms of the extant Procedural Guidelines for RTGS / NEFT / NECS / ECS Credit, banks are generally expected to match the name and account number information of the beneficiary before affording credit to the account. In the Indian context, however, given the many different ways in which beneficiary names can be written, it becomes extremely challenging for the banks to perfectly match the name field contained in the electronic transfer instructions with the name on record in the books of the destination bank. This leads to manual intervention hindering the straight-through-processing (STP) environment causing delay in credit or due return of uncredited instructions. The manual intervention also provides scope for error and fraudulent intent.

Being essentially credit-push in nature, responsibility for accurate input and successful credit lies with the remitting customers and the originating banks. The role of destination banks is limited to affording credit to beneficiary's account based on details furnished by the remitter / originating bank. Instructions for processing such inward transactions based solely on account number information are given in [Annexure VI](#).

It was observed that in many branches the dealing officials / staff were unaware of the actual charges for NEFT and there was no board or material displaying the NEFT charges for customers wanting to remit funds. It was also observed that few large banks were diverting the walk-in customers / non-account holders / non-home branch customers to customer service

points / agents for undertaking such transactions where the customers were being levied charges far higher than those mandated for NEFT transactions. In this context banks are advised to :

- a. Educate all their staff / officials about the NEFT process in general and extension of the facility to walk-in customers and customer charges applicable on NEFT, in particular, as outlined in the Procedural Guidelines for NEFT and instructions issued by the Reserve Bank from time to time on NEFT.
- b. Ensure NEFT applications forms with proper instructions are made available at all branches. The extant charges applicable on NEFT transactions should be displayed at all branches / locations of the bank where NEFT transactions can be conducted. A printed "charges card" in appropriate vernacular language should invariably be carried by agents / business correspondents of the banks.
- c. Ensure that the charges levied on customers for inter-bank NEFT transactions at both branch locations and CSP / BC / agent locations are at par. Further, it should be ensured that the customers should not be forcibly diverted to BC / CSP / agent locations from the branches for conducting NEFT transactions.
- d. Ensure that positive confirmation of credit to beneficiary account is invariably sent for all inward transactions received by them. Similarly, banks originating the NEFT transactions may ensure that such positive confirmation is relayed to all remitting customers, including walk-in customers who provide their mobile number / e-mail id, in accordance with our guidelines on the matter. Intimation of failed / returned transactions should also be brought to the notice of the remitting customer and funds credited to the account immediately / returned to the remitted at the earliest.
- e. Ensure that in case of delayed credits or delayed returns, the penal interest as applicable is paid suo-moto to the customer without necessitating a request for the same by the customer. Banks resorting to back-dating or value-dating such delayed transactions are not excused from paying the penal interest for the delayed period and adoption of such practices will be viewed seriously.

23. Mobile Banking Transactions

RBI had set up a "Technical Committee on Mobile Banking" to study the challenges faced by banks in providing mobile banking to customers in general(customer enrolment and technical issues) and also to examine the options / alternatives for expanding the reach of mobile banking in the country. The suggestions / recommendations that emerged from a conference organized to discuss the recommendations of the committee and that by an informal group formed with the representations from various stake holders for" Setting standards for on-boarding mobile banking customers by banks" are summarized below:-

- (i) There is a need for a greater degree for standardization in relating to on-boarding of customers for mobile banking (new customers, existing account holders whose mobile numbers are available with the bank but not registered for mobile banking, and existing

account holders where mobile number is not available with the bank), as also the subsequent processes for authentication, including accessible options for generation of MPIN by customers.

(ii) Banks should strive to provide options for easy registration for mobile banking services to their customers, through multiple channels, thus minimizing the need for the customer to visit the branch for such services. The time taken between registration of customers for mobile banking services and activation of the service should also be minimal. A few suggestions and best practices that can be adopted by banks for registering / on-boarding customers for mobile banking, under the three scenarios indicated above, are given in the [Annex VII](#).

(iii) Similarly, in order to quicken the process of MPIN generation and also widen the accessibility of this process to their mobile banking registered customers, banks can consider adopting various channels / methods such as

- a. Through the ATM channels (similar to option available for change of PIN on their own ATMs as well as in inter-operable ATM networks)
 - b. Through an option provided in the USSD menu for mobile banking (both their own USSD platform, if any, as well as under the inter-operable USSD Platform for mobile banking)
 - c. Banks' own internet banking website, with necessary safeguards
 - d. Use of MPIN mailers (like PIN mailers for cards)
 - e. Common website can also be designed as an industry initiative
- (iv) Banks are also advised to undertake customer education and awareness programme in multiple languages through different channels of communication to popularise their process of mobile banking registration / activation and its usage etc.

24. Facilities at Extension Counters

24.1 Security Issues and Risk Mitigation measures related to Card Not Present (CNP) transactions

(a) It is mandatory for banks to put in place additional authentication / validation based on information not visible on the cards for all on-line card not present (CNP) transactions (e-commerce / IVR / MOTO / recurring based on standing instructions). It has been observed that there are instances of card not present transactions being effected without the mandated additional authentication / validation even where the underlying transactions are essentially taking place between two residents in India (card issued in India being used for purchase of goods and service offered by a merchant / service provider in India). It is also observed that these entities are evading the mandate of additional authentication / validation by following business / payment models which are resulting in foreign exchange outflow. Such camouflaging and flouting of extant instructions on card security, which has been made possible by merchant transactions (for underlying sale of goods / services within India) being acquired by banks located overseas resulting in an outflow of foreign exchange in the

settlement of these transactions, is not acceptable as this is in violation of the directives issued under the Payment and Settlement Systems Act 2007 besides the requirements under the Foreign Exchange Management Act, 1999. Banks are advised not to adopt such practices leading to willful non-adherence and violation of extant instructions and should immediately put a stop to such arrangements. Banks are further advised that where cards issued by banks in India are used for making card not present payments towards purchase of goods and services provided within the country, the acquisition of such transactions has to be through a bank in India and the transaction should necessarily settle only in Indian currency, in adherence to extant instructions on security of card payments.

(b) Banks were advised that with effect from September 01, 2015 all new cards issued - debit and credit, domestic and international - by banks shall be EMV chip and pin based cards. The migration plan for existing magnetic stripe only cards will be framed in consultation with stakeholders and timeline for the same will be advised in due course.

24.2 Relaxation in requirement of Additional Factor of Authentication for Small Value Card Present Transactions

(a) The instructions for Additional Factor of Authentication(AFA) requirements for small value card present transactions only using contact-less cards are as under:-

- i. Relaxation for AFA requirement is permitted for transactions for a maximum value of Rs.2,000/- per transaction;
- ii. The limit of Rs.2000/- per transaction will be the limit set across all categories of merchants in the country where such contactless payments will be accepted;
- iii. Beyond this transaction limit, the card has to be processed as a contact payment and authentication with PIN (AFA) will be mandatory;
- iv. Even for transaction values below this limit, the customer may choose to make payment as a contact payment, which has to be facilitated by both issuing and acquiring banks. In other words, customers cannot be compelled to do a contactless payment;
- v. Banks are free to facilitate their customers to set lower per-transaction limits. The responsibility for authorizing the contactless payment based on such card-based limits will lie with the card issuing banks;
- vi. Suitable velocity checks (i.e., how many such small value transactions will be allowed in a day / week / month) may be put in place by banks as considered appropriate; and
- vii. The contactless cards should necessarily be chip cards adhering to EMV payment standard, so as to be acceptable across the existing card acceptance infrastructure which are EMV compliant based on the earlier mandate in this regard.

(b) The banks were also advised in the interest of customer awareness and protection

- i. to clearly explain to customers about the technology, its use, and risks while issuing such contact less cards;
 - ii. to create awareness among customers to look for / identify the "contactless" logo on the card (to distinguish them from other cards) as well as the merchant location / POS terminal (to identify that contactless payments are accepted at that location);
 - iii. to clearly indicate to the customers that they can use the card in contactless mode (without PIN authentication) for transactions upto Rs.2000/- in locations where contactless payments are accepted and to make customers aware that they are free to use the same card as a regular chip card (with PIN authentication) at any location irrespective of transaction value;
 - iv. to clearly indicate the maximum liability devolving on the customer, if any, at the time of issuance of such cards along with the responsibility of the customer to report the loss of such cards to the bank; and
 - v. to put in place robust mechanism for seamless reporting of lost / stolen cards, which can be accessed through multiple channels (website, phone banking, SMS, IVR etc.).
- i) ATM transactions irrespective of transaction value and Card Not Present transactions (CNP).

25. Cheque Books / Cheque Collection etc

Banks should ensure that their cheque books are printed with due care and the perforation in the cheque leaves as also binding of cheque books are up to the mark so as to avoid any inconvenience to the customers. All CBS enabled banks are advised to issue only "payable at par" / "multi city" / CTS 2010 standard cheques to all eligible customers.

While the cheque drop facility may be made available to the customers, the facility for acknowledgement of cheques at the regular collection counters should not be denied to them. No branch should refuse to give an acknowledgement on cheques being tendered by customers at their counters. Further, customers should be made aware of both options available to them i.e., dropping cheques in the drop box or tendering them at the counters so that they can take an informed decision in this regard.

25.3. Immediate Credit of Outstation Cheques

25.3.1 Non-scheduled banks should afford immediate credit for all outstation cheques up to the value of 5,000 tendered by individual account holders, provided they are satisfied about proper conduct of the accounts. These arrangements should be scrupulously followed. The banks may recover usual collection charges in respect of outstation cheques. The banks should not wait for customers' requests for the facility but should, as a matter of normal course, provide this service. However, in respect of local cheques, the banks may extend the facility of affording immediate credit up to 5,000 to customers who wish to avail of the facility and are prepared to bear charges for the same.

25.3.2 In case the cheques are returned unpaid, the bank can recover normal rate of interest at the Minimum Lending Rate for the period it is out of funds. For this purpose, banks may consider introducing pay-in-slips superimposing a notice to the effect that in the event of dishonour of the cheque, customer will be subject to payment of normal rate of interest for the period till the bank was out of funds.

In compliance with the orders of National Consumer Dispute Redressal Commission (NCDRC), all banks have to conform to the timeframe prescribed by it, namely :

- (a) For local cheques, credit and debit shall be given on the same day or at the most, on the next day. If there is any delay in collection of the said cheques, the Cheque Collection Policy (CCP) of the bank should include the compensation payable for the delayed period : In case, no rate is specified in the (CCP) compensation at saving bank interest rate shall be paid for the corresponding period of delay
- (b) Timeframe for collection of outstation cheques drawn on state capitals / major cities / other locations shall be 7/10/14 days respectively. If there is any delay in collection of the said cheques beyond this period, interest at the fixed deposit rate or at a specified rate as per the respective policy of the banks, is to be paid to the payee of the cheques. In case the rate is not specified in the Cheque Collection Policy (CCP), the applicable rate shall be the interest rate on Fixed Deposits for the corresponding maturity. The timeframe for collection specified by the Commission shall be treated as outer limit and credit shall be afforded if the process gets completed earlier. The banks shall not decline to accept outstation cheques deposited by their customers for collection.
- (c) The collection period of outstation cheques and interest payable thereon in case of delay shall be published on the notice board in a precise manner in bold / visible letters at a conspicuous place in every branch.

Scheduled banks are required to formulate a comprehensive and transparent policy covering issues relating to (i) immediate credit of local / outstation cheques (ii) Timeframe for collection of local / outstation cheques and (iii) interest payment for delayed collection.

In order to ensure that the above time schedule is scrupulously followed by the branches, there needs to be a clear-cut staff accountability for the delay. For this purpose, special register may be introduced to record the delayed collections for necessary action.

Further, it should be ensured that where delays occur, the account holders are paid penal interest without their making requests therefore. Necessary instructions may be issued to the branches with a view to ensuring strict compliance of these instructions for automatic credit of interest in respect of delayed collection of outstation cheques so as to avoid any room for representations / complaints from public.

Senior Officials while visiting branches should make it a point to check implementation of the above instructions.

- (a) Banks should initiate the following additional measures to reduce the time taken for realization of cheques :
- (b) Cheques drawn on MICR centres should invariably be presented through National Clearing Cell.
- (c) Extensive use should be made of modern telecommunication technology for networking service branches in important centres and between service branches and other branches within a particular centre.
- (d) The concept of Quick / Fast collection service for collection of outstation instruments should be streamlined.
- (e) Separate registers should be maintained for local cheques and outstation cheques to enable the branch managers to exercise better supervision and remedial measures should be initiated to speed up the collection of outstation instruments.
- (f) With a view to closely monitoring the implementation of these instructions, internal inspection teams may be advised to verify these aspects during Inspection of the branches, as this is a singular feature having a direct bearing on rendering improved customer service.
- (g) It is also necessary to make customers aware of the above facilities. The banks may, therefore, make arrangements to display information about the facilities available at the branches, for customers' knowledge.

25.7 Collection of account payee cheques - Prohibition on crediting proceeds to third party account

Banks should not collect 'account payee' cheques for any person other than the payee constituent. Where the drawer / payee instructs the bank to credit the proceeds of collection to any account other than that of the payee, the instruction being contrary to the intended inherent character of the 'account payee' cheque, banks should ask the drawer / payee to have the cheque or the account payee mandate thereon withdrawn by the drawer. This instruction will also apply with respect to the cheque drawn by a bank payable to another bank.

However, with a view to mitigating difficulties faced by members of co-operative credit societies in collection of account payee cheques, collecting banks may consider collecting account payee cheques drawn for an amount not exceeding 50,000 to the account of their customers who are co-operative credit societies if the payees of such cheques are the constituents of such co-operative credit societies. While collecting the cheques as aforesaid, banks should obtain a clear undertaking in writing from the co-operative credit societies concerned that, upon realization, the proceeds of the cheques will be credited only to the account of the member of the co-operative credit society who is the payee named in the cheque. This shall, however, be subject to the fulfillment of the requirements of the provisions of Negotiable Instruments Act, 1881, including Section 131 thereof. The collecting bank shall subject the society to the usual KYC norms and enter into an agreement with the society that the KYC documents in respect of the society's customers are preserved in the society's records and are available to the bank for

scrutiny. The collecting banks should, however, be aware that in the event of a claim by the true owner of the cheque, the rights of the true owner of the cheque are not in any manner affected by these instructions and banks will have to establish that they acted in good faith and without negligence while collecting the cheque in question

25.8. Dishonoured instruments

Banks may ensure that dishonored instrument is returned / dispatched to the customer promptly without delay on the same day but in any case within 24 hours.

Delay beyond two days on the part of paying bank in despatching the proceeds to the collecting bank may be treated as delay attributable to that bank and interest paid on delayed credit by the collecting bank may be reimbursed by the paying bank. Responsibility for payment of interest to the depositor of the cheque, however, should continue to remain that of the collecting bank.

25.10.1 Banks have been advised to review and strengthen the controls in the cheque presenting / passing and account monitoring processes and to ensure that all procedural guidelines including preventive measures are followed meticulously by the dealing staff / officials. Given below are some of the preventive measures UCBs may follow in this regard. The list is only indicative.

- I. Ensuring the use of 100% CTS - 2010 compliant cheques.
- II. Strengthening the infrastructure at the cheque handling Service Branches and bestowing special attention on the quality of equipment and personnel posted for CTS based clearing, so that it is not merely a mechanical process.
- III. Ensuring that the beneficiary is KYC compliant so that the bank has recourse to him / her as long as he / she remains a customer of the bank.
- IV. Examination under UV lamp for all cheques beyond a threshold of say, Rs.2 lakh.
- V. Checking at multiple levels, of cheques above a threshold of say, Rs.5 lakh.
- VI. Close monitoring of credits and debits in newly opened transaction accounts based on risk categorization.
- VII. Sending an SMS alert to payer / drawer when cheques are received in clearing.

The threshold limits mentioned above can be reduced or increased at a later stage with the approval of the Board depending on the volume of cheques handled by the UCBs or its risk appetite.

25.10.2 In addition to the above, UCBs may consider the following preventive measures for dealing with suspicious or large value cheques (in relation to an account's normal level of operations) :

- a) Alerting the customer by a phone call and getting the confirmation from the payer / drawer.

b) Contacting base branch in case of non-home cheques.

The above may be resorted to selectively if not found feasible to be implemented systematically.

25.10.3 Banks have also been advised to take appropriate precautionary measures to ensure that the confidential information viz., customer name / account number / signature, cheque serial numbers and other related information are neither compromised nor misused either from the bank or from the vendors' (printers, couriers etc.) side. Due care and secure handling is also to be exercised in the movement of cheques from the time they are tendered over the counters or dropped in the collection boxes by customers.

25.11. Rounding off cheques to the nearest rupee

Banks are advised to ensure that cheques / drafts issued by clients containing fractions of a Rupee are not rejected or dishonoured by them. Banks may also review the practice being followed by them in this regard and take necessary steps, including through issue of internal circulars, etc., to ensure that the concerned staff are well versed with these instructions so that the general public does not suffer. Banks may also ensure that appropriate action is taken against members of their staff who are found to have refused to accept cheques / drafts containing fractions of a Rupee.

26. Other instructions

26.1.1 With a view to constantly upgrading the quality of customer satisfaction and also identifying more avenues for customer service, banks need to undertake periodical evaluation of the position in regard to the extent of actual implementation at the grass root level of the various recommendations of the Goiporia Committee, the CPPAPS and instructions issued by the Reserve Bank.

26.1.2 Banks also need to evolve an appropriate monitoring system in respect of 15 core recommendations of the Goiporia Committee. The banks are free to include more items for such monitoring and evaluation by their Board of Directors.

26.1.3 Banks should introduce a system of periodical evaluation on customer service on half yearly basis, as at the end of June and December, with a view to ensuring their implementation at all offices of the bank as also upgrading the quality of services to achieve higher satisfaction among the bank's customers.

The duplicate draft amounting to 5,000 or less, may be issued on the basis of adequate indemnity and without obtaining Non-Payment Advice (NPA) from the drawee branch.

Banks should ensure that a duplicate demand draft is issued within a fortnight from the receipt of such requests. For delay in issuing duplicate demand draft beyond the above stipulated period, they should pay interest at rate applicable for fixed deposit of corresponding maturity in order to compensate the customer for such delay. These instructions would be applicable only in cases where the request for duplicate demand draft is made by the purchaser or the

beneficiary and would not be applicable in the case of third party endorsements. Senior Officials, while visiting branches, should make it a point to check implementation of the above instructions.

27. Nomination Facilities

27.1 Banks may get the account opening forms amended to incorporate a space to mention the name and address of the nominee and statutorily prescribed nomination forms may be obtained and preserved with the account opening forms. Availability of nomination facility needs to be widely publicised by printing compatible messages on cheque books / pass books and any other literature reaching the customers.

Nomination should be a rule (rather than an exception) and banks should endeavor to cover all accounts, existing as well as new, under nomination, exception being the ones where the customer himself would prefer not to nominate; this fact may be recorded rather than left to the conjecture of non-compliance

27.2 Nomination facilities are available not only for deposit accounts but also for safe custody articles and safe deposit lockers. As nomination facility for deposit accounts is more known to the customers, compared to the one available for safe custody articles and safe deposit lockers, publicising availability of the facility for these two services also may be effectively done.

The Banking Regulation Act, 1949 (AACs) has been amended by incorporating among others, new [sections 45ZA to 45ZF](#), which provide, inter alia, for the following matters :

- (a) to enable a co-operative bank to make payment to the nominee of a deceased depositor, of the amount standing to the credit of the depositor
- (b) to enable a co-operative bank to return the articles left by a deceased person in its safe custody to his nominee, after making an inventory of the articles in the manner directed by Reserve Bank
- (c) to enable a co-operative bank to release the contents of a safety locker to the nominee of the hirer of such locker, in the event of the death of the hirer after making an inventory of the contents of the safety locker in the manner directed by Reserve Bank.

Since such nomination has to be made in the prescribed manner, the Central Government has framed [Co-operative Banks \(Nomination\) Rules, 1985](#) in consultation with the Reserve Bank. These Rules, together with the provisions of new [Sections 45ZA to 45ZF](#), of Banking Regulation Act, 1949 (AACs) regarding nomination facilities have been brought into force with effect from March 29, 1985.

- (i) Nomination forms for deposit accounts, articles kept in safe custody and the contents of safety lockers,
- (iii) Registration of nominations and cancellation and variation of nominations, and

For the various Forms (DA1, DA2, and DA3 for Bank Deposits, Forms SC1, SC2 and SC3 for articles in safe custody and Forms SL1, SL1A, SL2, SL3 and SL3A for Safety Lockers) prescribed under the Co-operative Banks (Nomination) Rules, 1985 only Thumb-impression(s) shall be attested by two witnesses. The signatures of the account holders need not be attested by witnesses.

In the matter of returning articles left in safe custody by the deceased depositor to the nominee or allowing the nominee/s to have access to the locker and permitting him / them to remove the contents of the locker, the Reserve Bank, in pursuance of [Sections 45 ZC\(3\)](#) and [45 ZE\(4\)](#) of Banking Regulation Act, 1949 (AACs), has specified the formats for the purpose. In order to ensure that the amount of deposits, articles left in safe custody and contents of lockers are returned to the genuine nominee, as also to verify the proof of death, co-operative banks may devise their own claim formats of follow the procedure, if any, suggested for the purpose either by their own Federation / Association or by the Indian Banks Association.

In terms of Rules 2(10), 3(9) and 4(10) a co-operative bank is required to register in its books the nomination, cancellation and / or variation of the nomination. The co-operative banks should accordingly take action to register nominations or changes therein, if any, made by their depositor(s) / hirer(s) of lockers. Government of India has issued the notification bringing into force the provisions relating to nomination facilities, from March 29, 1985. Co-operative banks should therefore, ensure that the nomination facilities are made available to their customers.

27.7 *Incorporation of legend 'Nominations Registered' in pass book, deposit receipt etc.*

Banks should incorporate the legend 'Nominations Registered' on every pass book or deposit receipt so as to enable the relatives to know the availment of the nomination facility by the deceased depositor.

UCBs are advised to put in place a system that will enable them to provide TDS Certificate in Form 16A to their customers from whose deposit accounts income tax has been deducted at source, within the time - frame prescribed under the Income Tax Rules.

29. Monitoring system of implementation of various instructions on customer service

The banks need to evolve an appropriate monitoring system for evaluating the position in regard to the extent of actual implementation at the grass root level of the various recommendations of the Goiporia Committee, the CPPAPS and instructions issued by the Reserve Bank.

30. Customer Service - Redressal of Grievances

(i) Banks should have a robust grievance redressal structure and processes to ensure prompt in-house redressal of all their customer complaints. Banks are advised to ensure that a suitable mechanism exists for receiving and addressing complaints received from their customers with

specific emphasis on resolving such complaints fairly and expeditiously regardless of the source of the complaints.

(ii) Banks should have a system of acknowledging the complaints, where the complaints are received through letters / forms. Banks should prominently display at the branches the names of officials, who can be contacted for redressal of complaints together with their direct telephone number, fax number, complete address (not Post Box No.) and e-mail address etc. for proper and timely contact by the customers and for enhancing the effectiveness of the redressal machinery.

(iii) In the case of scheduled banks, where the complaints are not redressed within one month, the branch concerned / Head Office of the bank should forward a copy of the same to the Nodal Officer concerned under the Banking Ombudsman scheme and keep him updated about the status of the complaint.

(iv) In the case of fraudulent encashment of third party instruments by unscrupulous persons, by opening deposit accounts in the name/s similar to already established concern/s resulting in erroneous and unwanted debit of drawers' accounts, it is advised that in cases where banks are at fault, the banks should compensate the customers without demur; and (ii) in cases where neither the bank is at fault nor the customer is at fault but the fault lies elsewhere in the system, then also the banks should compensate the customer (up to a limit) as part of a Board approved customer relations policy.

31. Legal Guardianship Certificate issued under Mental Health Act, 1987 and National Trust for the welfare of persons with autism, cerebral palsy, mental retardation and multiple disabilities Act, 1999.

The Mental Health Act, 1987 provides for a law relating to the treatment and care of mentally ill persons and to make better provision with respect to their property and affairs. According to the said Act, "mentally ill person" means a person who is in need of treatment by reason of any mental disorder other than mental retardation. Sections 53 and 54 of this Act provide for the appointment of guardians for mentally ill persons and in certain cases, managers in respect of their property. The prescribed appointing authorities are the district courts and collectors of districts under the Mental Health Act, 1987.

The National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999 provides for a law relating to certain specified disabilities. Clause (j) of Section 2 of that Act defines a "person with disability" to mean a person suffering from any of the conditions relating to autism, cerebral palsy, mental retardation or a combination of any two or more of such conditions and includes a person suffering from severe multiple disabilities. This Act empowers a Local Level Committee to appoint a guardian to a person with disabilities, who shall have the care of the person and property of the disabled person.

Banks are advised to take note of the legal position mentioned above and may rely on and be guided by the orders / certificates issued by the competent authority, under the respective Acts, appointing guardians / managers for the purposes of opening / operating bank accounts. In

case of doubt, care may be taken to obtain proper legal advice. Banks may also ensure that their branches give proper guidance to their customers so that the guardians / managers of the disabled persons do not face any difficulties in this regard.

The Managing Director / Chief Executive Officer
All Primary (Urban) Co-operative Banks

1. Constitution of Board of Directors

1.1 Primary (urban) co-operative banks (UCBs or banks) have been functioning under the regulation and supervision of Reserve Bank of India (Reserve Bank or RBI) in terms of the powers vested in it inter alia under the [Banking Regulation Act, 1949](#) (BR Act) and the [Reserve Bank of India Act, 1934](#) (RBI Act).

1.2 The directors on the boards of UCBs must be knowledgeable and persons of high integrity. To ensure professionalism in the Board, banks should, at all times, have at least two professional directors, i.e., persons with suitable banking experience (at middle / senior management level) or with relevant professional qualification in the fields of law, accountancy or finance. Banks should also have a suitable provision in their byelaws to ensure this. However, these instructions would not be insisted upon in case of Salary Earners' Banks in view of the nature of their membership.

1.3 UCBs (other than those having deposit size less than Rs.100 crore and salary earners' banks) are also required to constitute a Board of Management (BoM) to facilitate professional management and focused attention to their banking-related activities, by making suitable amendments to their bye-laws, in accordance with the guidelines contained in RBI circular [DoR\(PCB\).BPD.Cir.No.8/12.05.002/2019-20](#) dated December 31, 2019.

1.4 Since the directors are elected from amongst the members (except co-opted and nominated directors), the persons who are not eligible for admission even as members cannot become directors of UCBs. In particular, persons engaged in money lending, financing and investment activities, either in individual capacity or as proprietor / partner / employee / director of any concern as also those convicted of any criminal offences including moral turpitude are ineligible in terms of clause b (ii) of the model by-law no.9 and / or the provisions contained in the co-operative societies law concerned. Besides, certain eligibility / qualification / disqualification criteria for becoming director in a UCB are also prescribed in the BR Act and the co-operative laws concerned.

1.5 The recommendations made by the "Committee on Urban Co-operative Banks", headed by Shri Madhava Das, regarding the Board of Directors of UCBs and recommended by the Reserve Bank for adoption by the banks are given in [Annex 1](#).

1.6 It was observed during the course of supervisory reviews that some of the UCBs have adopted the practice of creating honorary designations (remunerated or otherwise) / conferring titles at Board level, such as Chairman Emeritus, Group Chairman, etc., which are not recognised in applicable statutes or regulations. While such positions / titles may be indicative

of certain privileges / rights for the incumbent to access all board materials and participate in board / committee meetings, enforcing liability or obligations on such person may be difficult. Such positions may be seen as creating conflicts of interest as well as creation of a parallel or shadow authority impeding effective and independent functioning of the legally constituted board in the best interest of all its stakeholders. As such, UCBs are directed not to create any honorary positions / titles at Board level or confer such titles that are non-statutory in nature¹.

2. Role of directors

2.1 The Board of Directors (BOD or Board) is primarily concerned with formulation of policies keeping in view the applicable statutory provisions and the guidelines issued by the RBI. The Board should also exercise overall supervision and control over the functioning of the bank, leaving the day-to-day administration to the Managing Director (MD) / Chief Executive Officer (CEO).

2.2 It should be ensured that all circulars and other material relating to policies issued by the RBI are placed before the Board for information and appropriate action.

2.3 Directors of UCBs are advised to be guided inter alia by the following guidelines²:

- i. The directors should attend Board meetings regularly and effectively. They should study the Board papers thoroughly and use the good offices of the MD / CEO for eliciting any information at the Board meetings. They should, however, not directly call for papers / files / notes recorded by various departments for scrutiny, etc. in respect of agenda items to be discussed in the meetings.
- ii. Management, on its part, is expected to furnish full facts and complete papers to the directors well in advance as also all additional information / clarification that the directors may seek before taking a decision. The directors are expected to ensure confidentiality of the Bank's agenda papers / notes. They should not reveal any information relating to any constituent of the bank to anyone as they are under the oath of secrecy and fidelity.
- iii. The directors should involve themselves thoroughly in the matter of formulation of general policy and ensure that performance of the bank is monitored adequately at the Board level. They should not issue / give any instructions / direction to any individual officer / employee of the bank in any manner, and should also discourage the individual officer / employee or unions from approaching them in any manner.
- iv. The directors should be familiar with the broad objectives of the bank and the policies laid down by the Reserve Bank. They should analyse the trends of economy, assist in the discharge of management's responsibility to public and formulation of measures to improve customer service and be generally of constructive assistance to the bank management.
- v. The Board should function in a cohesive manner and provide proper leadership to manage the affairs of the bank on smooth and efficient lines. The directors must work as a team and in the spirit of co-operation and should give as much of their wisdom, guidance and knowledge as possible to the management.

- vi. The Directors should bestow attention on the following aspects of the bank's working :
 - e) Ensure that bank's funds are utilized in a proper and judicious manner for the benefit of general members
 - g) Compliance with guidelines on income recognition, asset classification and provisioning towards non-performing assets
 - m) Strengthening of internal control system and housekeeping, viz., proper maintenance of books of accounts and periodical reconciliation
- vii. The directors should not involve themselves in any matter relating to personnel administration such as appointment, transfer, posting or promotion, or redressal of individual grievances of any employee. They should not do anything which will interfere with and / or be subversive of maintenance of discipline, good conduct and integrity of the staff.
- viii. The directors should not approach or exert influence for sanction of any kind of facility by the bank. They should also not sponsor any loan proposal, buildings or sites for bank's premises, enlistment or empanelment of contractors, architects, doctors, lawyers, etc. At the same time, they should not be prejudiced against individual proposals.
- ix. The directors should not participate in the Board discussion if a proposal in which they are directly or indirectly interested comes up for discussion. They should disclose their interest well in advance to the MD / CEO and the Board.
- x. The directors may indicate their directorship of the bank on their visiting card or letter head, but the logos or distinctive design of the bank should not be displayed on the visiting card / letter head.

3. Committees of the Board

3.1.1 In order to ensure and enhance the effectiveness of internal audit / inspection as a management tool, an apex Audit Committee should be set up at the Board level for overseeing and providing directions to the internal audit / inspection machinery and other executives of the bank. The committee may consist of a chairman and three / four directors, one or more of such directors being chartered accountant or having experience in management, finance or accountancy and audit systems.

3.1.2 Audit Committee of the Board (ACB) should review the implementation of the guidelines issued by the RBI and submit a note thereon to the Board at quarterly intervals. The major duties / responsibilities of the ACB are given below :

- i. The ACB should provide direction to and oversee the operations of the entire audit function in the bank. The entire audit function will imply the organization, operationalisation and quality control of internal audit and inspection within the bank, follow up on the statutory audit of the bank and inspection report of the Reserve Bank.

- ii. It should review the internal inspection / audit function in the bank - the system, its quality and effectiveness in terms of follow up. It should review the follow up action on the internal inspection reports. It should also specially focus on the follow up on :
- b) unreconciled long outstanding entries in inter-branch accounts and inter-bank accounts
- iii. Compliance with the statutory audit / concurrent audit / RBI inspection reports
- iv. Omission on the part of internal inspecting officials to detect serious irregularities.
- v. Periodical review of the accounting policies / systems in the bank with a view to ensuring greater transparency in the bank's accounts and adequacy of accounting controls.

The primary responsibility of risk management lies with the Board. In order to focus the required level of attention on various aspects of risk management, UCBs having asset size of 5000 crore or above (as on March 31 of the previous year) are advised to set up a Risk Management Committee (of the Board). The Board shall decide the membership, scope of work and frequency of meeting of the Risk Management Committee.

4. Calendar of reviews - Matters to be placed before the Board of Directors

It has been emphasized in [paragraph 2.3](#) above that directors should bestow their attention on the periodical reviews on important aspects of bank's working. An illustrative list of the reviews which should receive the attention of the directors as also the periodicity at which these may be placed before the Board of Directors is indicated in [Annex 2](#).

5. Donations to trusts and institutions where directors or their relatives hold position or are interested

5.1 With effect from August 30, 2013, UCBs are prohibited from giving donations to trusts and institutions, where directors, and / or their relatives hold a position or are interested, even within the permissible ceiling of 1% of the published profit of the bank for the previous year.

5.2 For the purpose of this paragraph, a person shall be deemed to be a relative of another, if and only if, :-

1. Father
2. Mother (including step-mother)
3. Son (including step-son)
4. Son's wife
5. Daughter (including step-daughter)
6. Daughter's husband.
7. Brother (including step-brother)

8. Brother's wife
9. Sister (including step-sister)
10. Sister's husband

5.3 For the purpose of this paragraph, the term "interest" shall mean "trust in which directors / relatives of directors hold positions as trustees or are beneficiaries or involved in any capacity in the working of the trust, which is likely to influence the independence of the directors.

6. Payment of fees and allowances to directors

All expenses on the conduct of Board meetings may be shown against item 3 of P&L Account i.e., "Directors and Local Committee Members - Fees and Allowance". Such expenses would include amounts actually paid to the directors and Local Committee members as also amounts spent on their behalf for attending such meetings.

Annex 1

Recommendations made by Madhava Das Committee on Urban Co-op. Banks with regard to Board of Directors [Vide [para 1.5](#)]

1. Board to provide Representation to Branch Members

Representation on the Board of directors to members of branches is necessary with a view to involving them in the management of the affairs of urban banks. The branches may be grouped according to the following categories for the purpose of election of directors on the Board.

- i. Branches within the limits of the head office, including only the branches within about 25 Kms. from the head office town.
- ii. Branches falling outside the above limits but within the district.
- iii. Branches outside the district including those outside the state.

The representation may be based on membership and not on deposits or loan business of branches. Certain number of seats on the Board may be provided exclusively for the head office town and every branch in a group may get representation by rotation.

2. Eligibility for Director's Post

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- i. The extent of shareholding should not be the determining factor in regard to eligibility to hold office as director in an urban bank. A director should be elected by virtue of the confidence he commands among the members. The existing stipulation that a minimum share qualification for membership of the Board should not be insisted upon is, therefore, salutary.
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- ii. Those contesting for directorship in urban banks should have been members for a minimum period of two years. Similarly, members contesting for election to the Board should have had a minimum deposit of any type of Rs.500 in the urban bank concerned for a minimum period of two years continuously.
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3. Member's Eligibility for Voting

To prevent instances of en-masse enrolment at the instance of certain vested interests just before the general body meeting, primarily with a view to capturing seats on the BODs and thereby destabilizing or dislodging the Boards of efficiently managed urban banks, the members of a primary (urban) cooperative bank should be allowed to participate in the election of its Board of Management³ only after completion of a minimum period of 12 months from the date of acquiring membership.

4. Women Representative on the Board

Where the scope for the organization of an urban bank exclusively for women is limited in any area, the existing urban banks may give representation to women members on the Board of Management and, wherever necessary, set up a separate section to cater to the needs of women members. At least one seat for women shareholders may be reserved on the BODs.

5. Developmental Programmes for Board Members

The members on the BODs need regular programmes to develop themselves into a competent policy and decision-making body. These programmes may include exposing the Board members to short-term orientation courses, workshops, seminars and visits to other banks. A suitable manual prepared by banks themselves or Federations or Associations of urban banks may be one of the methods of familiarizing the directors with their duties under the by-laws. The National Co-operative Union, in collaboration with the National Federation of Urban Co-operative Banks and Credit Societies, and the State Federations or Associations of urban banks, should apply itself to this very important task of educating and training the Boards of Management of urban banks and draw-up co-coordinated programmes for the purpose.

6. Chief Executive to be on the Board

The Chief executive of an urban bank should preferably be a member of the BODs i.e., he should be a Managing Director.

7. State Government Nominee on the Board

State Government may nominate their representatives on the Board of directors of urban banks which are state partnered in regard to share capital. The number of such representatives should not exceed one-third of the total number of directors or three, whichever is less. Further, the directors nominated by the Government should preferably be competent non-officials rather than officers from the Co-operative Department.